

Monte dei Paschi di Siena Group

Annual Report 2019



**MONTE
DEI PASCHI
DI SIENA**
BANK SINCE 1472



Report and Consolidated financial statements as at 31 December 2019



Banca Monte dei Paschi di Siena S.p.a.

Share Capital: € 10,328,618,260.14 fully paid in

Registered with the Arezzo - Siena Company Register – registration no. and tax code 00884060526 MPS VAT

Group - VAT no. 01483500524

Member of the Italian Interbank Deposit Protection Fund. Registered with the Register of Banks under no. 5274

Monte dei Paschi di Siena Banking Group, registered with the Register of Banking Groups.





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CONTROL BODIES AND INDEPENDENT AUDITORS

BOARD OF DIRECTORS

Stefania BARIATTI	Chairman
Antonino TURICCHI	Deputy Chairman
Marco MORELLI	Chief Executive Officer
Maria Elena CAPPELLO	Director
Roberta CASALI	Director
Marco GIORGINO	Director
Fiorella KOSTORIS	Director
Roberto LANCELLOTTI	Director
Nicola MAIONE	Director
Stefania PETRUCCIOLI	Director
Salvatore Fernando PIAZZOLLA	Director
Angelo RICCABONI	Director
Michele SANTORO	Director
Giorgio VALERIO	Director

BOARD OF STATUTORY AUDITORS

Elena CENDERELLI	Chairman
Raffaella FANTINI	Standing Auditor
Paolo SALVADORI	Standing Auditor
Daniele Federico MONARCA	Alternative Auditor
Claudia MEZZABOTTA	Alternative Auditor

SENIOR MANAGEMENT

Marco MORELLI	General Manager
Andrea ROVELLINI	Acting Deputy General Manager
Giampiero BERGAMI	Deputy General Manager

MANAGER RESPONSIBLE FOR PREPARING COMPANY'S FINANCIAL REPORT

Nicola Massimo Clarelli

INDEPENDENT AUDITORS

EY S.p.A.



CONSOLIDATED REPORT ON OPERATIONS

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General accounting standards

The Consolidated Report on Operations as at 31 December 2019 provides a snapshot of the activities and results which largely characterised the Group's operations during the year, both as a whole and in the various business sectors.

In particular, economic and financial indicators, based on accounting data, are those used in internal performance management and management reporting systems, and are consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of presented figures.

The income statement and balance sheet have been reclassified based on presentation criteria that are more suitable for representing the contents of the items according to consistent operational criteria.

In addition, the Report incorporates non-financial company information providing the details on the activities, capital, risks and relations that are significant to the Group's current and future performance. This information is also more thoroughly analysed in the corporate communications found on the Parent Company website www.mps.it, such as: the "Consolidated Non-Financial Statement", "Report on Corporate Governance and Ownership Structure", the "Remuneration Report" and the "Pillar 3 Disclosure".



Results in brief

Below are the main economic and financial values of the Montepaschi Group as at 31 December 2019, compared with those for the previous year. In addition, the key economic and financial indicators are provided¹, based on accounting data, corresponding to those used in internal performance management and management reporting systems, and consistent with the most commonly used metrics within the banking industry, thereby ensuring the comparability of reported figures.

Pursuant to the requirements set forth in the “Guidelines on Alternative Performance Measures” published by the European Securities and Markets Authority (ESMA) in June 2016, this section also contains the definitions and calculation methods of alternative performance measures.

Lastly, please note that the data relating to the balance sheet as at 31 December 2019 do not include the former subsidiary BMP Belgio S.A., which was sold in June, while the subsidiary’s balance sheet data as at 31 December 2018 had been included in the individual items of the Group’s balance sheet, even though it was being disposed of at that time.

INCOME STATEMENT AND BALANCE SHEET FIGURES			
MPS GROUP			
INCOME STATEMENT FIGURES (EUR mln)	31 12 2019	31 12 2018*	Chg.
Net interest income	1,501.3	1,742.8	-13.9%
Net fee and commission income	1,449.5	1,523.3	-4.8%
Other income from banking business	352.6	61.3	n.s.
Other operating income	(80.1)	(39.9)	n.s.
Total Revenues	3,223.3	3,287.5	-2.0%
Operating expenses	(2,289.6)	(2,350.7)	-2.6%
Net impairment losses (reversals) on financial assets measured at amortised cost and financial assets measured at fair value through other comprehensive income	(611.1)	(624.6)	-2.2%
Net operating income	322.5	312.2	3.3%
Net profit (loss) for the year	(1,033.0)	278.6	n.s.
EARNINGS PER SHARE (EUR)	31 12 2019	31 12 2018*	Chg.
Basic earnings per share	(0.936)	0.253	n.s.
Diluted earnings per share	(0.936)	0.253	n.s.
CONSOLIDATED BALANCE SHEET FIGURES (EUR mln)	31 12 2019	31 12 2018*	Chg.
Total assets	132,196.0	130,481.0	1.3%
Loans to customers	88,985.1	86,855.5	2.5%
Direct funding	94,217.3	90,471.7	4.1%
Indirect funding	101,791.5	96,488.6	5.5%
of which: assets under management	59,302.0	55,887.7	6.1%
of which: assets under custody	42,489.6	40,600.8	4.7%
Group net equity	8,279.1	8,992.0	-7.9%
OPERATING STRUCTURE	31 12 2019	31 12 2018*	Chg.
Total headcount - end of year	22,040	23,129	(1,089)
Number of branches in Italy	1,422	1,529	(107)

N.B.: The number of employees refers to the actual workforce and therefore does not include the staff seconded outside the scope of the Group

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

¹ The indicators are calculated using the reclassified data shown in the chapters regarding income statement and balance sheet reclassification principles.



ALTERNATIVE PERFORMANCE MEASURES			
MPS GROUP			
PROFITABILITY RATIOS (%)	31 12 2019	31 12 2018*	Chg.
Cost/Income ratio	71.0	71.5	-0.5
R.O.E. (on average equity)	-12.0	2.9	-14.9
Return on Assets (RoA) ratio	-0.8	0.2	-1.0
ROTE (Return on tangible equity)	-12.0	2.9	-14.9
KEY CREDIT QUALITY RATIOS (%)	31 12 2019	31 12 2018*	Chg.
Net non-performing loans / Loans to Customers	6.8	9.0	-2.2
Gross NPE ratio	12.4	17.3	-4.9
Growth rate of gross NPE	-29.0	-60.8	31.8
Coverage of non-performing exposures	48.8	53.1	-4.3
Bad loans / Loans to Customers	3.3	3.7	-0.4
Loans to Customers measured at amortised cost - Stage 2/Performing loans measured at amortised cost	13.8	15.9	-2.1
Coverage of bad loans	53.7	62.4	-8.7
Net impairment losses on loans measured at amortised cost/ Loans to Customers measured at amortised cost (Provisioning)	0.68	0.72	n.s.
Texas Ratio	85.7	95.0	-9.3

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

Cost/Income ratio: ratio between Operating Expenses (Administrative Expenses and Net value adjustments to property, plant and equipment and intangible assets) and Total revenues (for the composition of the aggregate, see reclassified Income Statement)

Return On Equity (ROE): ratio between the Net profit (loss) for the year and the average between the shareholders' equity (including Profit and Valuation Reserves) at the end of year and the shareholders' equity at the end of the previous year.

Return On Assets (ROA): ratio between the Net profit (loss) for the year and Total assets at the end of the previous year.

Return On Tangible Equity (ROTE): ratio between the Net profit (loss) for the year and the average between the Group's shareholders' equity (including Profit and Valuation Reserves, cleared of Goodwill) at the end of the previous year and for the current year.

Gross NPE ratio: ratio between gross non-performing exposures to customers and gross exposures to customers.

Growth rate of gross NPE: represents the annual growth rate of gross non-performing exposures based on the difference between annual balances.

Coverage of non-performing loans and coverage of bad loans: the coverage ratio on non-performing credit exposures and credit exposures classified in bad loans is calculated as the ratio between the relative loss provisions and the corresponding gross exposures.

Texas Ratio: ratio between gross non-performing credit exposures and the sum of tangible shareholders' equity² and loan loss provisions.

² Shareholders' equity (mln €) of the Group, cleared of the value of intangible assets.



REGULATORY MEASURES			
MPS GROUP			
CAPITAL RATIOS (%)	31 12 2019	31 12 2018*	Chg.
Common Equity Tier 1 (CET1) ratio - phase in	14.7	13.7	1.0
Common Equity Tier 1 (CET1) ratio - fully loaded	12.7	11.3	1.4
Total Capital ratio - phase in	16.7	15.2	1.5
Total Capital ratio - fully loaded	14.7	12.8	1.9
FINANCIAL LEVERAGE INDEX (5)	31 12 2019	31 12 2018*	Chg.
Leverage ratio - Transitional Phase	6.1	5.5	0.6
Leverage ratio - fully phased	5.3	4.5	0.8
LIQUIDITY RATIO (%)	31 12 2019	31 12 2018*	Chg.
LCR	152.4	190.2	-37.8
NSFR	112.6	112.3	0.3
Encumbered asset ratio	36.0	35.5	0.5
Loan to deposit ratio	94.4	96.0	-1.6
Counterbalancing capacity	24.7	21.2	3.5

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

In determining the capital ratios, the “phase-in” (or “transitional”) version represents the application of calculation rules according to the regulatory framework in force at the reporting date, the “fully loaded” version incorporates in the calculation the rules as envisaged at full implementation..

Common equity Tier 1 (CET 1): ratio between primary quality capital³ and RWA (Risk Weighted Asset)⁴

Total Capital Ratio: ratio between Own Funds and overall RWA

Leverage ratio: ratio between Tier 1⁵ and total assets introduced by Basel legislation with the aim of containing the increase on leverage in banking sector and strengthen the risk-based requirements through a different measure based on aggregates of Balance.

Liquidity Coverage Ratio (LCR): Short-term liquidity indicator and correspond to the ratio between the amount of High Quality Liquidity Assets and total net cash outflows lasting 30 calendar days. The comparative figure relating to the LCR as at 31 December 2018 has been restated to take into account a specific interpretation clarification provided by the supervisory authority.

Net Stable Funding Ratio (NSFR): Is a structural liquidity indicator and is expressed as a ratio between the amount of bank's available stable funding and the amount of required stable funding.

Encumbered asset ratio: ratio between the book value of encumbered assets and collateral and total assets and collateral (XVII, section 1.6, point 9, of Regulation (EU) 2015/79).

Loan to deposit ratio: ratio between loans to customers and the sum of customer deposits including bonds issued (deposits from customers, debt securities issued and financial liabilities measured at fair value).

Counterbalancing capacity: shall represent the stock of unencumbered assets or other funding sources which are legally and practically available to the institution at the reporting date to cover potential funding gaps.

³ Defined by art. 4 of Regulation EU/2013/575 (Capital Requirements Regulation, CRR). It's composed by computable elements and capital instruments, net of expected adjustments.

⁴ Risk weighted activities: it is the results of the application of certain weighting ratio (risk weight) to the exposures determined according to the Supervisory rules.

⁵ Sum of primary capital (CET 1) and additional capital (AT 1), as defined by art. 25 of Regulation EU/2013/575.



Executive summary

A summary of the trend in key items of the main aggregates of the Group as at 31 December 2019 is provided below:

- **Net interest income**, amounting to EUR 1,501 mln (-13.9% compared to the previous year), was affected by the activities undertaken to comply with certain commitments in the Restructuring Plan. These include: i) NPE reduction activities, continuing the programme to sell the non-performing loan portfolio which led to reaching the *Gross NPE* ratio target set by the Restructuring Plan two years ahead of schedule but with a negative effect on net interest income; ii) the conclusion in June 2019 of the sale of the subsidiary BMP Belgio S.A., which resulted in the deconsolidation of the related volumes of loans and deposits with a negative effect on net interest income; iii) the return on the market of institutional issues (with Subordinated Tier 2 issues for EUR 300 mln and Senior Preferred issues for EUR 1.2 bn) with a consequent increase in the market funding cost.

Thus, the trend of net interest income is influenced by actions to improve the quality of the credit portfolio with the development of less risky customers in a highly competitive market context, resulting in a reduction in the rates applied, however with dynamics in line with the market. Finally, there was a reorganisation of commercial deposits toward less expensive components with a consequent reduction in the relative cost. Compared to the previous quarter, there was a decrease of 6.0% due to the aforementioned dynamics of the yield on loans and market deposits.

Lastly, the aggregate was impacted by the introduction of IFRS 16, which entailed the recognition of EUR 7 mln in interest expense as at 31 December 2019.

- **Net fee and commission income**, amounting to EUR 1,450 mln, a decrease of 4.8% compared to the previous year, mainly as a result of the reduction in income from asset management, loan commissions (the latter also affected by the elimination of one-off income recorded in the first half of 2018), and income from services.
- **Other revenues from banking business**, equal to EUR 353 mln, show an increase of EUR 291 mln compared to 2018 due to the positive effects recorded in 2019 on Assets measured at fair value, attributable, in particular, to the revaluation of securities recognised in assets resulting from the debt restructuring transactions of Sorgenia and Tirreno Power Group in light of changes in these positions. The aggregate was also influenced by higher profits from the sale of securities, higher positive contribution from trading and hedging activities (2018 reflected the negative effects recorded in the first half of 2018 following the expansion in the BTP-Bund spread), and the higher contribution from the insurance subsidiaries of AXA Group.
- **Other operating income (expenses)**, totalling EUR -80 mln, deteriorated by EUR 40 mln compared to the the previous year, primarily as a result of the recognition of the indemnity linked to the exercise of the right of withdrawal from the agreement entered into with Juliet.
- As a result of the trend in these aggregates, **Total revenues** amounted to EUR 3,223 mln, down 2.0% compared to the previous year.
- **Operating Expenses** amounted to EUR 2,290 mln (-2.6% Y/Y). This aggregate includes **Personnel expenses**, totalling EUR 1,433 mln, which were down 2.0% on a yearly basis, benefiting from workforce reductions. **Other administrative expenses**, amounting to EUR 601 mln, were down by 5.7% compared to the same period of the previous year while **Net value adjustments to property, plant and equipment and intangible assets**, amounting to EUR 255 mln, increased 2.0% compared to 2018. This is attributable to the effects of the entry into force of IFRS 16, which led to recognition of lower Other administrative expenses of approx. EUR 47 mln and higher Net value adjustments to property, plant and equipment and intangible assets of approx. EUR 38 mln.
- **Net impairment (losses)/reversals on financial assets measured at amortised cost and at fair value through other comprehensive income** amounted to EUR 611 mln (EUR 14 mln lower than the previous year) and had a **Provisioning Rate⁶ of 68 bps**. The cost of credit as at 31 December 2019 includes the positive effects linked to the exercise of the right of withdrawal from the agreement entered into with Juliet, which eliminated the forecast costs from the servicing agreement, reflected in value adjustments on the loan portfolio, as well as the negative effects associated with the revision of the NPE reduction strategy.

⁶ Calculated as the ratio between net impairment losses and Loans to Customers



- As a result of the trend in these aggregates, **Net operating income** amounted to EUR 323 mln, up 3.3% compared to the same period of the previous year.
- The trend in the aforementioned income statement aggregates also includes **Net provisions for risks and charges**, totalling EUR -72 mln (EUR -69 mln in 2018), **Gains (losses) on investments**, equalling EUR -5.6 mln (EUR +1.3 mln in 2018), **Restructuring costs**, amounting to EUR -0.3 mln (compared to EUR -202 mln recorded in 2018), costs associated with **SRF (Single Resolution Fund)**, **DGS (Deposit Guarantee Systems) and similar schemes**, amounting to EUR -123 mln (EUR -131 mln in 2018), **DTA fee** of EUR -71 mln (unchanged from the previous year), and **Gains (losses) on sale of investments**, equal to EUR +3 mln (EUR +50 mln in 2018).
- As a result of these trends, together with the negative impact on taxes (EUR -1.1 bn) following the modification of the value of **Deferred tax assets (DTA)** recorded in the financial statements, to take into account the effects on future taxable income resulting from the reintroduction of the “ACE - Support for Economic Growth” tax benefit and changes in the macroeconomic scenario, as well as the net economic effects of the **PPA**, equal to EUR -12 mln (EUR -22 mln as at 31 December 2018), the Group posts a **Net Loss of EUR 1 bn**, compared to a Net Profit of EUR 279 mln posted in 2018.
- **Total Funding** at the end of 2019 came to around **EUR 196.0 bn**, with growth in volumes of EUR 9.0 bn compared to 31 December 2018, both with reference to Indirect Funding, whose Assets under Custody and Management benefited from a significant positive market effect, and with reference to Direct Funding. The latter increased thanks to the growth in Current Accounts and Time Deposits (EUR +3.6 bn), Bonds (EUR +3.1 bn) and Other forms of funding (EUR +1.0 bn), only partially offset by the reduction of EUR 4.0 bn in repurchase agreements.
- **Loans to customers**, including only exposures measured at amortised cost, came to roughly **EUR 89.0 bn** as at 31 December 2019, up compared to 31 December 2018, primarily in Securities lending (EUR +1.9 bn), Repurchase agreements (EUR +1.0 bn), and Mortgage loans (EUR +0.8 bn), while decreases were posted in Current accounts (EUR -0.3 bn) and Non-performing loans (EUR -1.5 bn), which were affected by the sales of UTP and bad loans. The aggregate is down EUR 1.5 bn from the end of September 2019 due to the reduction in Non-performing loans (EUR -0.7 bn), Current accounts (EUR -0.3 bn), and Other loans (EUR -0.5 bn).
- The **net exposure in terms of Non-performing loans**, which includes, in addition to exposures measured at amortised cost, all cash exposures, regardless of the accounting portfolio to which they belong, with the exception of equity securities, UCITS, financial assets held for trading and hedging derivatives, stood at **EUR 6.1 bn** at the end of December 2019, down from the beginning of the year (EUR -1.8 bn), recording in particular a decrease in Unlikely to Pay (down from 5.2% in December 2018 to 3.4% in December 2019). Non-performing past due exposures also decreased, dropping 48% to EUR 75 mln (EUR 145 mln as at 31 December 2018), as did bad loans, which fell by around EUR 242 mln compared to 31 December 2018. The percentage of coverage of non-performing loans was 48.8% (53.1% as at 31 December 2018), with the coverage of bad loans decreasing from 62.4% in December 2018 to 53.7% in December 2019 and unlikely to pay from 44.0% in December 2018 to 43.4% in December 2019.
- With regard to capital ratios, as at 31 December 2019 the **Common Equity Tier 1 Ratio** stood at **14.7%** (13.7% at the end of 2018) and the **Total Capital Ratio** at **16.7%**, compared to 15.2% recorded at the end of December 2018.
- As at 31 December 2019 the operational liquidity position showed an **unencumbered Counterbalancing Capacity of approx. EUR 24.7 bn**, an increase of EUR 3.5 bn compared to 31 December 2018 thanks to the improvement in the commercial imbalance, issues made in the course of the year and the new securitisation of SME mortgage loans, offset only in part by institutional bond and autocovered maturities.



Group overview

The Montepaschi Group is the banking hub led by Banca Monte dei Paschi di Siena, which does business primarily in Italy, mainly providing traditional retail & commercial banking services.

The Group is also active through its specialised product companies in business areas such as leasing, factoring, corporate finance and investment banking. The insurance-pension sector is covered by a strategic partnership with AXA while asset management activities are based on the offer of investment products of independent third parties.

The Group combines traditional services offered through the network of branches and specialised centres with an innovative self-service and digital services system enhanced by the skills of the Widiba financial advisor network.

Foreign banking operations⁷ are focused on supporting the internationalisation processes of corporate clients in all major foreign financial markets.

COMPANY	ACTIVITIES
	Banca Monte dei Paschi di Siena and its subsidiaries operate in the different segments of the banking and financial industry, with activities ranging from traditional banking to special purpose loans, assets under management, bancassurance and investment banking. The Bank performs functions of direction, coordination and control over the Group's companies, as part of the more general guidelines set out by the Board of Directors in compliance with the instructions provided by the Bank of Italy in the interest of the Banking Group's stability.
	Monte Paschi Fiduciaria aims to satisfy the needs of individuals and legal entities wishing to have their assets managed with the utmost confidentiality. Monte Paschi Fiduciaria may take on the custody of assets in its capacity as a trustee and act as a protector in trusts.
	MPS Capital Services Banca per le Imprese provides customers with solutions to financial and credit issues, focusing its business on medium-long term credit facilities, special-purpose loans, corporate finance, capital markets and structured finance.
	MPS Leasing & Factoring is the Group bank specialised in developing an offer of integrated leasing and factoring packages for businesses, artisans and professionals.
	Widiba (Wise-DIalog-Banking) is the Group's bank that integrates a self-service offer with the competencies of MPS's financial advisor network.
	Consorzio Operativo is the centre for the development and management of ICT and telecommunication systems.
	Monte Paschi Banque SA is the Group's bank that supports commercial trade and investments by Italian companies abroad.

⁷On 14 June 2019, the sale of Monte Paschi Belgio S.A. was concluded to an investee of funds managed by Warburg Pincus. The agreement had already been announced to the market in October 2018 and was concluded in June 2019 after the acquisition was approved by the European Central Bank.

For Monte Paschi Banque S.A., the Parent Company has decided to launch the orderly winding-down process by drafting a plan in compliance with what is specified in Commitment no. 14 "Disposal of participations and businesses", i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, (iii) interruption of business development activities, (iv) no new initiative in new segments or markets, as well as other regulatory restrictions in place.



In addition to the above, that is, the presence within the Group of a digital bank (Widiba), a bank for businesses (MPS Capital Services S.p.a.), a bank for financial services (MPS Leasing and Factoring S.p.a.) and a bank for fiduciary services (MPS Fiduciaria S.p.a.), there are companies operating in the viticulture (MPS Poggio Bonelli) and agricultural (Magazzini Generali) sectors.

Intragroup transactions primarily regard the financial support from the Parent Company to other companies, both in the form of deposits as well as repurchase agreement transactions; structured finance transactions through subsidiary MPS Capital Services; outsourcing services relative to the auxiliary activities provided by the Parent Company (administrative services and property administration) and by the Consorzio Operativo di Gruppo (IT services). The description of the main transactions carried out by the Parent Company with its subsidiaries and associates is provided in Part H of the Notes to the Separate Financial Statements of the Parent Company.

Shareholders

As at 31 December 2019, the Parent Company Banca Monte dei Paschi di Siena's share capital amounted to EUR 10,328,618,260.14, broken down into 1,140,290,072 ordinary shares, of which 36,280,748 treasury shares.

According to the communications received pursuant to the applicable legislation and based on other information available, the entities that, as at 31 December 2019, directly and/or indirectly hold ordinary shares representing a shareholding exceeding 3% of the share capital of the Issuer and which do not fall under the cases of exemption set forth in art. 119-bis of the Issuers' Regulations, as well as on the basis of what is set forth on the Consob institutional website, are as follows:

Major BMPS shareholders as at 31 December 2019

Shareholder	% of outstanding ordinary shares
Ministry of Economy and Finance	68.247%
Assicurazioni Generali S.p.A.*	4.319%
BMPS S.p.A.**	3.181%

*Share held directly and through subsidiary companies.

**Own shares held by MPS Group following the capital strengthening transaction pursuant to Italian Law Decree no. 237/2016 (as subsequently amended and converted into law) and Ministerial Decrees of 27 July 2017.



Information on the BMPS share

Share price and trends

Global financial markets closed 2019 with significant growth, also confirmed in the last quarter of the year. Increased returns were posted in both New York (S&P 500), which closed 2019 at +28.9% (+8.5% in the fourth quarter), and Asian stock exchanges, with Tokyo (Nikkei) at +18.2% (+8.7% in the fourth quarter) and Shanghai (SHCOMP) at +22.3% (+5% in the fourth quarter). After the negative performance of 2018, the recovery of confidence in the market triggered a positive trend, with sharp increases in the first quarter and continued growth, which was supported by the triple rate cut by the Federal Reserve and, towards the end of the year, expectations that a trade agreement between China and the US would be reached in the short term.

Fourth quarter results also contributed to increase the annual performance in European markets. The consistent rise in the indices led to appreciation in prices, especially for the Paris stock exchange, which posted growth of 26.4% in 2019 (+5.3% in the fourth quarter) and Frankfurt with +25.5% (+6.6% in the fourth quarter), as well as in Madrid with +11.8% (+3.3% in the fourth quarter). In London, the index posted annual growth of +12.1% (+1.8% in the fourth quarter), closing in recovery after a turbulent 2019 following the outcome of the December elections that clarified the future of Brexit.

Positive fourth quarter result also for the Italian stock exchange, with the FTSE MIB index closing +6.3% and the IT8300 “All Italian Banks” index posting +11.6%, confirming that 2019 grew in comparison to 2018 (+28.3% and +23%, respectively).

The BMPS share closed 2019 at EUR 1.398, down -8.5% for the quarter and -6.5% on an annual basis, against an average daily trading volume of roughly 2.3 million shares in the quarter and 3.2 million over the year.

SHARE PRICE SUMMARY STATISTICS (from 31/12/2018 to 31/12/19)

Average	1.36
Minimum	1.00
Maximum	1.71



Ratings

The ratings assigned by the rating agencies are provided below:

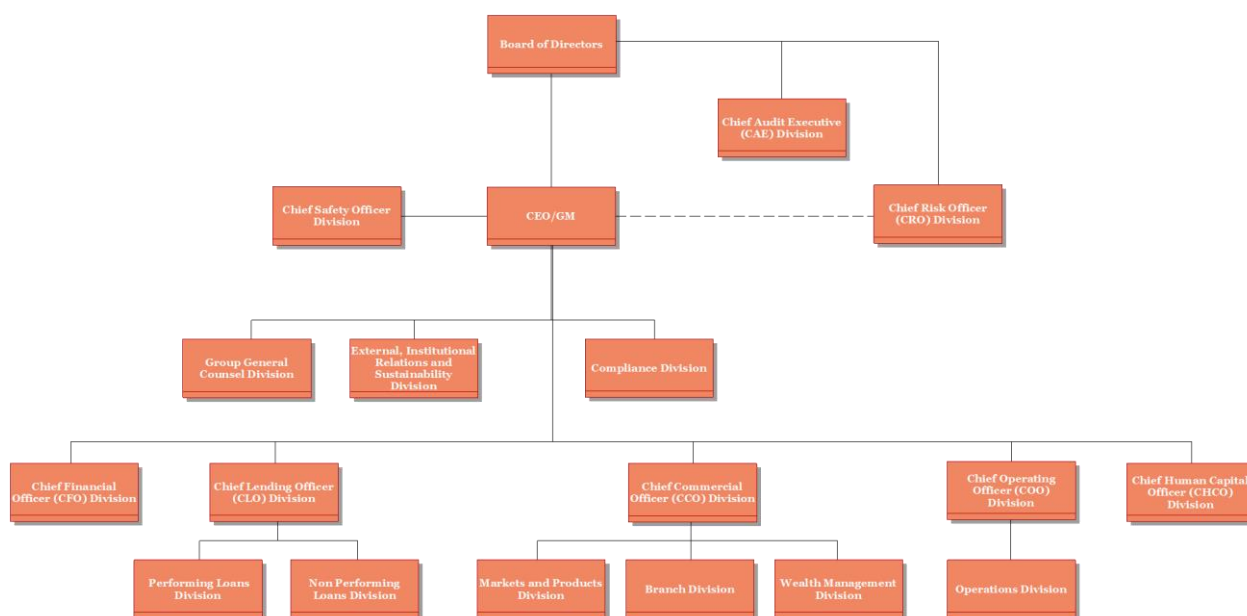
Rating Agencies	Short-term debt	Outlook	Long-term debt	Outlook	Latest update
Fitch Ratings	B	-	B	Stable	12/07/19
DBRS	R-4	Stable	B (High)	Stable	19/06/19
Moody's Investors Service	(P)NP	-	Caa1	Negative	03/12/18

- On 12 July 2019, during its annual review, Fitch Ratings confirmed the long-term rating of “B” with a “Stable” outlook and the short-term rating of “B”.
- On 19 June 2019, DBRS Ratings Limited confirmed the long-term rating of “B (high)” and the short-term rating of “R-4”, “Stable” outlook.
- On 3 December 2018, Moody's Investors Service lowered the long-term rating to “Caa1” from “B3”. The long-term rating outlook was confirmed as “Negative”. Subsequently, on 9 January 2020, the agency improved the Bank's standalone rating and confirmed the long-term debt rating, changing the outlook from negative to positive.

Organisational structure

Through its Head Office, Banca Monte dei Paschi di Siena performs functions of direction, coordination and control over the Group's companies, as part of the more general guidelines set out by the Board of Directors and in the interest of the Group's stability.

Organisational chart of the Bank's Head Offices as at 31 December 2019



The organisational developments in 2019 were characterised by the completion of initiatives to redefine scopes of responsibility, delineated by the new Regional Area organisational model approved by the Board of Directors in the 1st quarter of 2019 and several revision and streamlining activities intended to facilitate the implementation of the Bank's Restructuring Plan agreed upon with the competent Authorities.

In particular, the **revision of the Regional Area organisational model** was completed in April 2019, designed to orient the structures and processes towards sales objectives with a market-based specialisation by District that



is crossed with Service Models by Market. At the same time, the number of Regional Retail Departments was increased (from 38 to 48) for a more widespread commercial presence. Moreover, the Hub and Spoke Network model was eliminated, with the return to the traditional organisational models (Paschi Value, Commercial Module, SPAV) for Hub and Spoke Branches. As regards the Specialised Centres, the Corporate Centres with a mixed SME/Top Corporate/Institutions model were closed, associating their customers with the SME Centres and Institution Centres.

In June 2019, the **organisational model of the Regional Credit Areas was revised**, which restructured the internal organisation to mirror the geographic specialisation and by Market of the Regional Commercial Areas, preserving the High Risk/Disbursement networks within the Credit Sectors.

In July 2019 the **Chief Safety Officer Department** was established, which reports to the “Employer for purposes of Protecting Health and Safety in the Workplace” (known as “Employer for safety purposes”), a role that, based on the provisions of the law and the Articles of Association⁸, in exercising his/her authorities and responsibilities, has independent powers extending over the entire corporate structure, in terms of organisational, decision-making and spending authority, for the best implementation of the obligations envisaged by law on workplace health and safety. This role was previously assigned to the General Manager (who remains “Employer for employment law purposes”). The CSO Department reports structurally to the Chief Executive Officer, with the exception of the performance of the functions assigned by the Articles of Association to the “Employer for purposes of protecting health and safety in the workplace”. In addition to the responsibilities for the health and safety of workers, the new department was also assigned responsibility for oversight of the Environmental Management model, previously assigned to the Chief Operating Officer Department.

In September 2019, the **Compliance Area was organisationally adjusted to the Compliance Department** to align with the hierarchical level recognised to Corporate Control Functions.

In November 2019, the **Chief Commercial Officer Department was reorganised**, involving the elimination of the Retail Department and the Corporate Department, merged into the new Markets and Products Department, and the Foreign Area and the Large Groups Area were transferred to the Network Department. This change was made to increase the effectiveness of commercial initiatives, ensuring clear strategies and behaviours, and to take advantage of the best synergies, eliminating overlapping responsibilities and rationalising structures.

During the year, the External and Institutional Relations Department was renamed the **Communication, Institutional Relations and Sustainability Department**, to focus more clearly also on sustainability issues. In particular, the oversight of these issues has been assigned to the Institutional Relations Service, in which three sectors have been created: “Sponsorships and Events”, “Art Collection” and “Institutional Relations and Sustainability”. The “Web and Social” staff was also created.

With respect to Network processes, actions continued to improve the quality of work, free up more time to be dedicated to sales activities and increase customer service quality, while reducing service response/provision times by streamlining “administrative” activities and document management costs, heavily oriented toward increasing digitalisation of processes.

⁸ The amendments to the Articles of Association concerning the inclusion of provisions relating to the “Employer for purposes of protecting health and safety in the workplace” were approved by the Shareholders' Meeting on 11 April 2019.



Governance & control systems

Corporate governance

The Parent Company's corporate governance takes into account the objective of creating a system of coordinated rules and structures capable of guaranteeing transparent and accurate management of relations with shareholders as well as between them and the directors and top management.

The Group's bodies work so as to pursue the overall proper functioning of the business.

The Group's fair and transparent corporate governance system and shared Code of Ethics provide it with rules to ensure that the legitimate expectations of all stakeholders are incorporated within corporate objectives.

The overall corporate governance system makes reference to banking and financial supervision regulations in force and the Corporate Governance Code of listed companies issued by the Italian Stock Exchange to ensure a clear delineation of roles and responsibilities, the appropriate separation of powers, balanced composition of the corporate bodies, effective controls, monitoring of business risks, adequacy of information flows and the company's social responsibility.

In particular, the administration and control system includes the following: the Board of Directors, the Board of Statutory Auditors and the Shareholders' Meeting. In addition, there are the CEO, who is also General Manager, and four Board committees, specifically, the Risk Committee, Appointments Committee, Remuneration Committee and Related-Party Transactions Committee.

On 17 December 2019, at the request of the independent directors, the Board of Directors unanimously appointed - with the abstention of the party concerned - the independent Director Marco Giorgino, as the Parent Company's Lead Independent Director.

In compliance with the provisions of Italian Legislative Decree no. 231/2001, the Bank has also established a 231 Supervisory Body entrusted with the task of supervising the functioning and observance of the 231 Model, as well as managing its updating.

The Parent Company decided to assign the role of the 231 Supervisory Body to an ad hoc collegial structure separate from the Board of Statutory Auditors, which is "mixed" in nature and consists of three members, including two outside professionals and a director qualified as independent based on the requirements set forth in the Corporate Governance Code of listed companies.

The Parent Company's internal control system is meant to ensure that risks are identified, measured, managed and monitored in such a way so as to enable sound, proper business management in line with pre-established objectives.

Further information on governance, including with regard to the concept of diversity in corporate bodies, is available in the "Report on Corporate Governance and Ownership Structure", available on the Bank's website (<https://www.gruppompis.it/corporate-governance/relazioni-corporate-governance.html>).

Risk governance

Risk governance strategies are defined in line with the Group business model, medium-term Restructuring Plan objectives and external regulatory and legal requirements.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the Board of Directors of the Parent Company. Specifically, the Board of Directors periodically defines and approves strategic risk management guidelines and quantitatively expresses the Group's overall risk appetite.

In fact, the Parent Company's Board of Directors defines the overall Risk Appetite Framework (RAF) for the Group and approves the "Group Risk Appetite Statement" (RAS) at least once per year.

The RAF Governance process is centralised within the Parent Company, which outlines its relevant perimeter at Group level and defines its structure in Group companies, according to the risks assumed, size and operational complexity of each legal entity. The RAF defines the roles of corporate bodies and functions involved in defining the "risk appetite" and the procedures to be implemented if it becomes necessary to restore the level of risk to the objective or within the pre-established limits.

The RAS represents an essential element in defining the Group's risk strategy. The RAS is the formal document



that contains the explicit declaration of the risk/return objectives/limits (overall, by type and broken down by individual companies/business units) that the Bank intends to assume to pursue its strategies. Therefore, with the RAS, the risk objectives/restrictions are identified and the indicators are broken down by Business Unit/Legal Entity (known as “cascading down” of the Risk Appetite). The objective is to increase the Group’s Risk Culture and fully instil accountability in all relevant Business Units with regard to respect and pursuit of the risk appetite objectives, as required by the regulations and recommended by best practices.

The Risk Appetite Process is structured so as to ensure consistency with the ICAAP and ILAAP as well as with Planning and Budget and Recovery processes, in terms of governance, roles, responsibilities, metrics, stress testing methods and monitoring of key risk indicators.

In compliance with the guidelines set forth by the Basel Committee and Best Practices, new prudential supervisory provisions for banks require credit institutions to carry out adequate stress testing exercises.

The Group regularly conducts stress tests on all risk factors. Stress tests are used to assess the Group’s capacity to absorb large potential losses in extreme yet plausible market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

The Group’s methodological approach to stress-testing is based upon the identification of the main risk factors, both Pillar 1 and Pillar 2, with the objective of selecting events or combinations of events (scenarios) which reveal specific vulnerabilities at Group level.

The results from the stress test are submitted to the Top Management and Board of Directors. They are formally examined by the BoD as part of the ICAAP/ILAAP Annual Report approval process, with a view to providing a self-assessment of the current and prospective capital adequacy and liquidity of the Group.

Group Risk governance is provided centrally by the Parent Company’s Board of Directors, which also supervises and is responsible for the updating and issue of internal policies and the main internal regulations in order to promote and guarantee a continuously greater and more widespread risk culture at all levels of the organisation. Awareness of risks and the correct knowledge and application of the internal processes and models governing those risks - first and foremost for those validated for regulatory purposes - are fundamental requirements for effective, sound and prudent business management.

The Risk Control Function is specifically assigned the task of monitoring the Key Risk Indicators (KRIs), drawing up a periodic report for the Board of Directors and implementing the escalation/authorisation processes in the event that thresholds are exceeded.

The incorporation of macro risk and risk-adjusted performance indicators, consistent with the RAF, within staff remuneration and incentive policies represents an additional tool to promote awareness of the behaviours of all resources and the cultivation of a healthy risk culture.

In reference to the Group’s Risk Culture, during 2019 initiatives were pursued regarding corporate bodies (board induction cycles on specific issues) as well as general training initiatives (on-line courses) for all personnel in the areas of risk management and mitigation, as well as other classroom training sessions. In addition, a training programme was conducted for Area Managers to develop awareness of credit risk, on issues regarding wealth risk management, and on anti-money laundering issues and monthly meetings were held between the rating agencies and the managers of the Regional Areas of the Chief Lending Officer and the Chief Commercial Officer in order to continuously monitor the credit risk of the respective portfolios. In collaboration with the Chief Human Capital Officer Department, the Chief Risk Officer Department carried out a project for all Group personnel on the topic of “Risk Culture”, through scheduled eLearning events which featured typical operating situations for the Bank in which specific risks are generated.

Furthermore, during 2019 internal initiatives proceeded to ensure continued compliance with national and international regulatory provisions. The 2019 LiST exercise (Sensitivity analysis of liquidity risk - stress test) was carried out during the year, which was proposed by the ECB to assess the resilience of banks to an idiosyncratic liquidity shock. Moreover, the framework for the reputational risk management was finalised and an early warning system for the PD and LGD credit parameters was included in lending processes, aimed at implementing the New Definition of Default (New DoD), which is expected to be completed by the end of 2020.

In addition, the ICAAP and ILAAP packages were sent to the Regulator in accordance with the ECB’s regulatory prescriptions regarding the “Technical implementation of the EBA Guidelines on ICAAP/ILAAP information for SREP Purposes”, as well as in line with the “ECB Guide to the Internal Capital/Liquidity Adequacy Assessment Process (ICAAP/ILAAP)”, issued in November 2018.



The Montepaschi Group is one of the Italian banks subject to the ECB's Single Supervisory Mechanism.

Compliance systems

Within the broader internal control system, the Compliance Function of the Parent Company autonomously and independently governs non-compliance risk at Group level, periodically reporting to business top management and supervisory authorities on the overall status of compliance of systems, processes, and operations.

In 2019 the structures of the Compliance Function were reviewed; specifically, the Parent Company's Board of Directors, in the meeting of 11 July 2019, resolved the organisational restructuring of the Compliance Function with the establishment of the new Compliance Department and the new Products and Markets Compliance Area. Among other factors, this modification was undertaken to:

- adjust the role and responsibilities exercised by the Compliance Function to the primary central level of the Parent Company;
- align with the hierarchical level recognised to Corporate Control Functions.

In addition to rationalising the structures of the Compliance Department, the restructuring pursued the following objectives:

- definitively conclude the centralisation of the Compliance Function of the Group companies, eliminating the reference organisational structure of the subsidiaries and attributing responsibility for monitoring compliance of the individual regulatory areas to the organisational structures that were already in place to ensure compliance in these areas for the Parent Company;
- strengthen, at Group level, the overall governance of the **Product Approval Governance** process;
- specialise the structures of the new Products and Markets Compliance Area to monitor the observance of regulations and supervisory provisions (Bank of Italy and Consob) relating to services and products;
- establish a new organisational structure, reporting directly to the new Department, dedicated to transversal regulatory areas;
- create further economies of scale at Group level, enhancing skills and at the same time expanding the perimeter of the monitored regulations.

In order to implement the BoD's instructions, the Compliance Function has taken steps to:

- review the taxonomy - common at Group level - of the regulatory areas, further extending the number and redefining the monitoring areas for each structure within the Department;
- strengthen the monitoring of specialised structures identified within the subsidiaries, to which the regulatory areas of "Tax Compliance" and "Workplace Health and Safety and Environmental Protection" are applicable, providing for specific controls carried out by the Compliance Function also for individual subsidiaries.

In 2019, the corrective measures included in the "Remediation Plan" were completed, which had been activated to respond to recommendations and mitigate the findings assigned by the Internal Audit Function following the results of the 2018 audit.

An on-site audit was launched by Bank of Italy in October 2019 regarding Transparency and Fairness of customer relations, in relation to which regular and timely information was provided to Parent Company bodies. Although the audit has not yet concluded, a specific project was launched to comply with the findings that have already been presented as part of the ongoing discussion with the Audit Team. This project will extend throughout 2020 and the solutions will be implemented also based on the definitive outcome of the audit and any findings.

Lastly, additional project initiatives were carried out during the year, particularly in matters related to:

- revision of the Group's Code of Ethics;
- compliance of governance processes for banking and investment products with the *Product Oversight Governance regulation* (POG), in effect from 1 January 2019;
- compliance with the new Supervisory Provisions on Transparency and Fairness of customer relations and the changes issued by the Bank of Italy on 19 March 2019 with regard to: Complaints, Payment Services, Compensation;



- Transparency, with the publication of the document on “Management of changes or suspension of market indices”, concerning the Financial Benchmarks Regulation;
- Protection of personal data, with the completion of remediation activities relating to the internal audit of the electronic signature (known as FEA);
- Investment Services, with the definition of preliminary activities to meet deadlines for measures planned and implemented to comply with the MiFID II regulation;
- usury, with the consolidation of IT procedures checking compliance with threshold rates in order to render level I and II controls more efficient;
- review of contracts to outsource the Compliance Function of Italian subsidiaries to the Parent Company Bank, with reference to the entry into force (30 September 2019) of the new EBA guidelines on outsourcing.

Remuneration Policy

The Group’s remuneration and incentive policies are described every year in the “Remuneration Report”, prepared under Article 123-ter of the Consolidated Law on Finance and subject to approval by the Shareholders' Meeting.

(<https://www.gruppomps.it/corporate-governance/remunerazione.html>)

The enhancement of professional skills and taking management decisions aimed at long-term value creation reflect a corporate culture based on the ethics of responsibility, a strong sense of belonging and continuous focus on human capital growth, in compliance with prudent risk management policies. Thus, the Group approved a specific structured management plan so that the passage from business strategies to results is guaranteed, including through initiatives launched to ensure a continuous process of employee engagement, merit recognition, opportunities for professional growth, and a distinct and distributed leadership based on measurement of performance and responsibilities fulfilled. In particular, the distinctive element for managerial levels is the weighting of the business position (grade) based on its true effect on the business.



Distribution channels

The Group operates with a view to developing and rationalising its distribution network, by combining regional coverage with the strengthening of innovative channels.

Traditional domestic branches are supported by specialist sales centres, which oversee relations with and the specific management of particular customer segments (e.g. SMEs, Private individuals, Institutions, etc.) and by 536 Financial Advisors (567 as at 31 December 2018) that carry out their activities by making use of the offices open to the public that are distributed nationwide.

MONTEPASCHI GROUP - DISTRIBUTION NETWORK AS AT 31/12/2019										
Region										
	Domestic branches ^(*)	Inc.	Client Centres ^(**)						Financial Advisory Offices	Inc.
			SME	Family Office	Private	Institutions	Tot.	Inc.		
Emilia Romagna	96	6.8%	5		6	1	12	8.6%	8	7.3%
Friuli Venezia Giulia	38	2.7%	3		1		4	2.9%	3	2.7%
Liguria	18	1.3%	1		1		2	1.4%	4	3.6%
Lombardia	198	13.9%	10	1	7	2	20	14.3%	10	9.1%
Piemonte	34	2.4%	2		1	1	4	2.9%	2	1.8%
Trentino Alto Adige	2	0.1%								
Valle d'Aosta	2	0.1%								
Veneto	184	12.9%	13	1	6	2	22	15.7%	5	4.5%
Northern Italy	572	40.2%	34	2	22	6	64	45.7%	32	29.1%
Abruzzo	27	1.9%	2		1		3	2.1%	3	2.7%
Lazio	122	8.6%	5	1	3	1	10	7.1%	12	10.9%
Marche	36	2.5%	4		1	1	6	4.3%	4	3.6%
Molise	4	0.3%							1	0.9%
Toscana	307	21.6%	11	1	8	2	22	15.7%	8	7.3%
Umbria	34	2.4%	2		2		4	2.9%	4	3.6%
Central Italy	530	37.3%	24	2	15	4	45	32.1%	32	29.1%
Basilicata	10	0.7%							2	1.8%
Calabria	39	2.7%	1			1	2	1.4%	2	1.8%
Campania	82	5.8%	4	1	3	1	9	6.4%	18	16.4%
Puglia	84	5.9%	6		4	1	11	7.9%	15	13.6%
Sardegna	10	0.7%	1		1		2	1.4%	2	1.8%
Sicilia	95	6.7%	3		3	1	7	5.0%	7	6.4%
Southern Italy and island	320	22.5%	15	1	11	4	31	22.1%	46	41.8%
Total	1,422	100.0%	73	5	48	14	140	100.0%	110	100.0%

(*) as reported to the Bank of Italy

(**) of which n. 9 reported to the Bank of Italy as Office not having the same location of the branch

The **Italy Network** has **1,422 branches** surveyed by the Supervisory Body at the end of 2019, a reduction of 107 operating units compared to 31 December 2018, in implementation of the initiatives laid out in the Restructuring Plan.

The Group also relies on **140 Specialised Centres** (-60 compared to 31 December 2018), of which 87 dedicated to Corporate and Institutions, 48 to Private customers, and 5 to Family Office.

The Group's **ATM network** comprises a total of **2,702 machines** (-92 compared to 31 December 2018), of which 2,132 coinciding with traditional branches (1,710 of these are located in premises with an independent entrance also accessible outside of branch hours) and 570 installed in public places with high operational potential, of which 113 in institutions/companies. There are 1,296 ATMs with the "cash in" function (of which 890 located in self-service areas and 406 inside branches), up by 50 compared to 31 December 2018, in line with the provisions of the project to revise the Retail business model, aimed at reinforcing the use of remote channels and optimising service lines.

The Group has an international presence with a **Foreign Network** geographically distributed across some of the major financial and economic markets and in several emerging countries with the highest rates of growth and/or key relations with Italy, currently structured as follows:



- **1 operational branch** in Shanghai. In line with the provisions of the Restructuring Plan Commitments, the branches in London, New York and Hong Kong were closed in 2019;
- **9 representative offices** (in target areas of Central-Eastern Europe, North Africa, India and China);
- **1 bank under foreign law**, specifically Monte Paschi Banque S.A., for which the Parent Company has decided to launch the orderly winding-down process by drafting a plan in compliance with the indications contained in Commitment no. 14 “Disposal of participations and businesses”, i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, (iii) suspension of business development activities, (iv) no new initiatives in new segments or markets, as well as other regulatory restrictions in place. Performance for 2019 is in line with the plan objectives mentioned above.

With regard to Monte Paschi Belgio S.A, its sale was concluded on 14 June 2019 to an investee of funds managed by Warburg Pincus. The agreement had already been announced to the market in October 2018 and was concluded in June 2019 after the acquisition was approved by the European Central Bank.

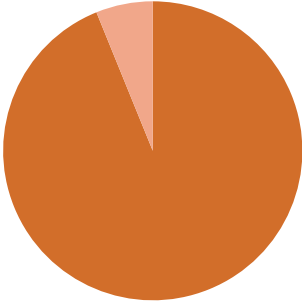
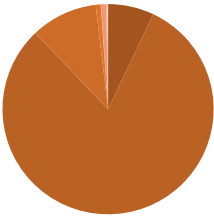
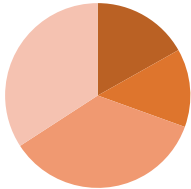
In addition to its presence across the country, the Parent Company offers banking services to customers through electronic channels, through internet banking products for Retail and Corporate customers. As at 31 December 2019, there were 1,053,978 active users (+55,479 compared to 31 December 2018). Internet banking services for retail customers have 916,671 active users and those for corporate customers have 137,307.



Customer base

As at 31 December 2019, the Group⁹ had around 4.7 million customers (compared to 4.8 million as at 31 December 2018) broken down as follows:

- 4.4 million (down with respect to 31 December 2018) are managed by the Sales Network of the Parent Company Banca Monte dei Paschi;
- 0.3 million (essentially stable compared to 31 December 2018) are managed exclusively by Widiba, the Group's online bank.

Customer Breakdown	Business Customers
Breakdown by type  ■ Distribution Network - 93.9% ■ Widiba - 6.1%	Breakdown by type  ■ Small Business - 7% ■ Valore - 80.8% ■ Premium - 10.2% ■ Private - 0.8% ■ Family Office - 0.05% ■ SMEs and other companies - 0.8% ■ Institutions - 0.2% ■ Key Clients - 0.08% ■ Large Corporate - 0.02% Breakdown by geography  ■ North East - 16.8% ■ North West - 13.7% ■ Centre - 35.3% ■ South - 34.2%

At the end of 2019, the Retention and Acquisition indicators¹⁰ stood at 93.5% and 4.2%, up compared to 2018 (93.0% and 4.0%, respectively).

⁹ Intended as the sum of the total MPS and Widiba Network, excluding the customers of the other Group companies.

¹⁰ The indicators refer only to the Parent Company and have been cleared of the effect from the migration of customers to Widiba.



Reference context

At the end of 2019, the global economy showed signs of stabilisation thanks to support from monetary policies, a pause in trade tensions between the United States and China, and greater clarity on the Brexit process (31 January 2020, the official deadline for the UK's withdrawal, with the new relationship with the EU being defined by the end of the year). However, significant downside risks to the economy remain: the trade agreement between the United States and China is the first step in a process that is still far from a final and frictionless resolution; at the same time, tensions in the Middle East (Iran, Libya) could culminate in a conflict with unpredictable outcomes. Furthermore, global economic policies have increasingly limited margins to support the recovery (US debt could exceed 100% of GDP in 2020, according to CBO data¹¹) and tensions linked to income distribution and social equity are growing.

Growth is slowing in the United States, even though fears regarding hard landing seem to have been averted (2.3% Q/Q annualised GDP in 2019, according to Prometeia, from 2.9% in 2018); this result is driven by consumption, but foreign trade remains weak, impacting the manufacturing sector, which is particularly exposed; the labour market is at full capacity but the labour supply is not showing a significant increase; inflation is under control. Signs of strengthening were evident in industrial production in November, which increased more than expected, and from some sector-leading indicators which report greater expansion.

The Eurozone confirms the slowdown trend on modest growth levels: in the third quarter of the year, GDP, supported by private consumption, grew at the same rate as in the previous quarter (+0.2% on a quarterly basis) and growth for the full year 2019 is expected at 1.2% (Prometeia¹²). Industrial production in the Eurozone confirms the period of weakness underway since the beginning of 2018, mainly influenced by the negative performance of the automotive sector. However, after two months of decline, German industrial production in November posted the sharpest increase of the last year and a half (+1.1%). At the end of the year, inflation began to rise again from historic lows, mainly due to the inversion of the trend in the energy component.

Among emerging markets, China was affected by the climate of uncertainty in the commercial sector: Chinese GDP in the third quarter of 2019 recorded the lowest trend growth rate since 1992 (at 6%), with Beijing committed to counteract the slowdown with heavily expansive budget policies. However, resumption of trade talks with the US contributed to stabilising the yuan in international currency markets.

In this context, Italian growth for 2019 is expected to be just above 0%, driven by the modest expansion of consumption: generally favourable conditions in the labour market (in November, employment reached its highest level since 1977) supported the improvement in disposable income for consumer households, which was entirely transferred into the increase in consumption, in a context of a slight trend reduction in fiscal pressure. Despite a partial improvement in the economic indicators after the summer, the trend of the "leading indicator"¹³ continues to be negative and suggests the weakness in production levels will persist.

After the tension in the summer that affected the stock markets, 2019 ended with a rally in stock prices, bolstered by the accommodating approach of Central Banks, the agreement on Brexit, and the partial relief of trade tensions between the USA and China: in particular, Euro Stoxx grew +25%, FTSEMIB +28%, S&P 500 index +29%, and Nikkei +18%. The risk of military escalation between Iran and the US marked the beginning of 2020; markets reversed and then resumed the bullish trend following an easing of tensions.

After showing a trend of substantial reduction until late summer, with an intra-annual minimum close to 0.8%, the yield on the 10-year BTP started to rise again, reaching 1.41% on 31 December 2019 (almost half of the 2.74% posted on 31 December 2018); a similar trend for the German 10-year bond, which was negative, but rose from -0.71% in the summer months to -0.19% at the end of 2019 (0.24% at the end of 2018). The yield on US ten-year treasury bonds closed 2019 at 1.92%, from 2.68% at the end of 2018. As at 31 December 2019, the spread with the Bund amounted to around 160 bps (90 basis points lower than the 2018 year-end level).

In order to offset the cooling in the global economy, the Central Banks intervened yet again during 2019: the Federal Reserve reduced the Federal Funds rate in July, for the first time in ten years, and approved two additional rate cuts in September and October that brought the level of the spread to 1.75%-1.50% as well as intervening in the interbank market with Repos. In September, the ECB reduced the bank deposit rate to -0.50%,

¹¹ US Congressional Budget Office

¹² Prometeia Brief – January 2020

¹³ Istat



with a “tiering” system, and announced a new quantitative easing programme with EUR 20 bn in bond purchases per month starting from 1 November 2019. Additionally, it changed the conditions and extended the duration of the quarterly long-term TLTRO III auctions to three years and most importantly modified its forward guidance, without establishing precise terms for the Authority’s ultra-expansionary policy, which will remain in force as long as necessary. In December 2019, Christine Lagarde, in her first Governing Council as the ECB’s Chairperson, confirmed continuity in the accommodative monetary policy, in line with her predecessor, Mr. Draghi.

Significant events in 2019

On **23 January 2019**, the Parent Company completed a new covered bond issue (bonds secured by Italian residential mortgage loans), intended for institutional investors, amounting to EUR 1 bn with a rating of A1/A+/AAL (Moody’s/Fitch/DBRS). The issue expires in January 2024 and envisages an annual coupon of 2%. Taking into account the “below par” reoffer price, at 99.61%, the yield to maturity was 2.08% per annum. The transaction was settled on 29 January 2019.

On **19 February 2019**, a preventive attachment order was carried out against the Parent Company for a total of EUR 35.7 mln in relation to the investigations under way by the Public Prosecutor of Milan on the reporting to DPI of the customer involved in the purchase of diamonds.

On **2 April 2019**, Fitch Ratings assigned the rating “B (stable)” to the Parent Company’s long-term deposits, in line with the long-term IDR (Issuer Default Rating). This rating initiative is the result of the full depositor preference, legislation introduced in Italy on 1 January 2019 with Law Decree 181/2015, which transposed European Directive no. 2014/59/EU (BRRD) for cases of bank insolvency and resolution proceedings. The full text of Fitch Ratings’ press release is available on the rating agency’s website <http://www.fitchratings.com>.

On **17 April 2019**, the Parent Company announced that the company WRM Capital Asset Management S.r.l. decided not to submit an offer for the Group’s IT platform. The decision was reached at the end of the analysis and evaluation process launched on 9 November 2018, when the Parent Company, although it had noted that no strategic decision had yet been taken, communicated to the market that, as part of its discussions with the various counterparties and in relation to assessments concerning the Bank’s IT platform and its management, it had decided to select WRM, with Oracle and TAS as technology partners, as the only candidate in order to further analyse the fulfilment of requirements that could result in the parties continuing with negotiations and possibly formalising a binding offer. The Parent Company will continue to make strategic assessments of the IT platform and its management, in line with the 2017-2021 Business Plan.

On **21 May 2019**, the Parent Company and the subsidiary Perimetro Gestione Proprietà Immobiliari S.p.A. (“Perimetro”), in execution of the resolutions passed by the Parent Company’s Board of Directors on 28 February 2019 and by the Extraordinary Shareholders’ Meeting of Perimetro on 1 March 2019, respectively, entered into the merger deed relating to the merger by incorporation of the subsidiary Perimetro into the Parent Company Banca MPS (the “Merger”). The statutory effects of the merger became effective upon registration with the Companies’ Register on 22 May 2019, while the accounting and tax effects began as of 1 January 2019. The Merger did not entail any share capital increase of the acquiring company Banca MPS, as the entire share capital of the merged company Perimetro was already held by the acquiring company. The documentation relating to the merger is available on the Group’s institutional website at <http://www.gruppomps.it>.

On **12 June 2019**, following the full repayment of the amount due by way of principal, interest and other accessory costs pursuant to the Loan Agreement (as amended following the meeting of noteholders held on 12 December 2018 and the resulting signing of the rider on 17 December 2018, available on the website <http://www.gruppomps.it> - in the Investor Relations section) by Banca Monte dei Paschi di Siena S.p.A., Casaforte S.r.l. proceeded with the full early redemption of the Class A notes, the Class B notes and the Class Z notes, in compliance with article 8.5 of the notes regulation (as amended following the meeting of noteholders held on 12 December 2018 and the resulting signing of the rider on 17 December 2018, the “Notes Regulation”) at the Redemption Value of the Class A notes, the Redemption Value of the Class B notes and the Redemption Value of the Class Z notes, respectively, each as defined in the Notes Regulation.

On **14 June 2019**, the Parent Company finalised the closing of the sale of the entire equity investment in Banca Monte Paschi Belgio (BMPB) to funds managed by Warburg Pincus. The agreement, already announced to the market on 5 October 2018, is part of the MPS Group’s disposal programme related to the 2017-2021 Restructuring Plan.



On **19 June 2019**, the DBRS Ratings GmbH (DBRS) rating agency, during its annual review, confirmed all of the Parent Company's ratings, including the Long-Term Issuer Rating of "B (high)" and the Short-Term Issuer Rating of "R-4". The outlook remains "stable" for all ratings.

On **30 June 2019**, the Parent Company's Board of Directors approved the exercise of the right of withdrawal set forth in the ten-year servicing agreement entered into with Juliet S.p.A., concerning the recovery of a significant share of the NPLs of the MPS Group. The exercise of withdrawal entails the obligation for the Parent Company to pay a comprehensive indemnity totalling EUR 40 mln (excluding VAT). This decision was necessary in order to have the utmost flexibility in the process of accelerating the reduction of the Group's exposure to non-performing loans in line with the indications received from the regulator during the 2019 SREP and already announced to the market. The agreements have also been reviewed to reduce the overall risk index within a context of a considerable deterioration in the economic framework in recent months. The Parent Company has also expressed its willingness to launch a constructive negotiation process with Juliet and its shareholders in order to mitigate the consequences of the early dissolution of the servicing agreement in the common interest. This will take place by identifying a shared path that enables the parties involved to preserve the commercial relationship, on different bases than the current ones, combining the necessary flexibility of the Parent Company in the management of its NPEs (repurchased following the withdrawal) with the specific expertise developed by Juliet for their reduction. The agreement calls for the involvement of Juliet, under market terms and conditions, acting as the advisor of the Parent Company in the definition of one or more portfolios subject to disposal for a total GBV of EUR 3 bn.

On **2 July 2019**, the Parent Company successfully completed the securitisation of a portfolio of roughly EUR 2.3 bn consisting of "performing" loans disbursed to Italian SMEs. The transaction, carried out as part of the Bank's funding programme, consistent with the objectives of the Restructuring Plan, was structured in line with the requirements of the new regulation on securitisations, obtaining the verification of compliance with the STS regulation ("Simple, Transparent and Standardised" transactions) from the company Prime Collateralised Securities (PCS) UK, a third-party verifier; this characteristic will be effective subsequent to the date of the notice to ESMA. The transaction was carried out through the vehicle Siena PMI 2016 S.r.l, which issued the following securities: Senior notes equal to EUR 519.4 mln in Class A1 and EUR 813.0 mln in Class A2, with an AA/AAA rating from Fitch/DBRS; Mezzanine notes of EUR 225.8 mln in Class B with an AA-/AA(low) rating from Fitch/DBRS; Mezzanine notes equal to EUR 271.0 mln in Class C with a BB+/BB(high) rating from Fitch/DBRS; Mezzanine notes equal to EUR 248.5 mln in Class D with a CCC/CC rating from Fitch/DBRS; Junior notes of roughly EUR 180.7 mln, unrated. In the framework of the securitisation, the European Investment Bank and Cassa Depositi e Prestiti have subscribed Class A2 Senior Notes for EUR 400 mln and EUR 320 mln, respectively. The resulting amount was allocated to disburse loans to support Italian SMEs. The remaining senior notes were allocated for placement with other institutional investors or, along with the Mezzanine and Junior notes, for use as collateral in financing transactions. The transaction was carried out with the contribution of JP Morgan as co-arranger. The texts of the press releases with the assignment of ratings by DBRS Ratings Limited and Fitch Ratings are available on the agencies' websites.

On **4 July 2019**, the Parent Company successfully concluded the placement of a Senior Preferred unsecured fixed-rate bond issue with maturity in 3 years for institutional investors, in the amount of EUR 500 mln. This transaction, carried out in line with the Bank's Funding Plan, represents the first issue of a senior unsecured instrument by the Parent Company since the launch of its restructuring plan. The issue obtained an excellent response from the market, with orders in excess of EUR 1.1 bn from roughly 100 investors. Thanks to strong demand, the return initially indicated in the range of 4.250 - 4.375% was brought to a final level of 4.0%. The security was distributed to various types of institutional investors such as Asset Managers (60.5%), Hedge Funds (23.8%), Banks/Private Banks (14.3%) and others (1.4%). The geographical breakdown was as follows: United Kingdom (37.6%), Italy (31.7%), France, Luxembourg and Switzerland (13.7%), other countries (17%). The bond, issued as part of the BMPS Euro Medium Term Notes programme with a rating of Caa1 (Moody's) / B (Fitch) / B(high) (DBRS), is listed on the Luxembourg Stock Exchange. Morgan Stanley handled the placement as Sole Lead Manager, with the support of MPS Capital Services as Co-Manager.

On **12 July 2019**, the Parent Company announced that, during the annual review, the Fitch rating agency had confirmed all of the Bank's ratings, including the Long-Term Issuer Default Rating of "B" with a "stable" outlook, the Short-Term Issuer Default Rating of "B" and the Viability Rating of "b".

On **16 July 2019**, the Parent Company successfully concluded the placement of a subordinated Tier 2 fixed-rate bond issue with maturity in 10 years for institutional investors, in the amount of EUR 300 mln. This transaction, which represents a further important step by the Parent Company in the implementation of its Restructuring Plan, obtained an excellent response from the market, with final orders totalling around EUR 600 mln from more than 100 investors. Thanks to strong demand, the return initially indicated in the range of 11.00 - 11.50%



was brought to a final level of 10.50%. The security was distributed to various types of institutional investors such as Asset Managers (56.7%), Hedge Funds (17.2%), Banks/Private Banks (15.8%) and others (9.5%). The geographical breakdown was as follows: United Kingdom and Ireland (53.5%), Switzerland (11.2%), France (8.2%), Italy (7.3%), Nordics (5.7%), Germany and Austria (4.6%), other countries (9.7%). The bond, issued as part of the Parent Company's Euro Medium Term Notes programme with a rating of Caa2 (Moody's) / CCC+ (Fitch), is listed on the Luxembourg Stock Exchange.

JP Morgan and Mediobanca handled the placement as Global Coordinator and Joint Bookrunner, supported by Barclays, MPS Capital Services and UBS as Joint Bookrunners.

On **31 July 2019**, the Parent Company finalised two agreements with illimity Bank S.p.A.: the first transaction regards the non-recourse disposal of mixed (secured and unsecured) non-performing loans ("NPLs"), originally backed by ISMEA guarantees, held by Banca MPS and MPS Capital Services. By the end of September, the disposed portfolio had been derecognised from the Group's assets for a value of EUR 217 mln. The second transaction concerns the disposal of unlikely to pay loans, primarily unsecured loans to corporate customers, held by Banca MPS and MPS Capital Services. The disposed portfolio was derecognised from the Group's assets during the third and fourth quarters of 2019 for a value of EUR 439 mln.

On **1 August 2019**, the Parent Company completed a disposal of non-performing loans to an affiliate of Cerberus Capital Management L.P., which involved the sale of unlikely to pay loans to corporate customers, mainly unsecured, held by Banca MPS e MPS Capital Services. The disposed portfolio was derecognised from the Group's assets during the third and fourth quarters of 2019 for a value of EUR 442 mln.

On **13 August 2019**, the Parent Company, continuing with its derisking process, concluded a further 4 disposals of non-performing loans for roughly EUR 322 mln. The deals concluded regarded, in particular, the disposal of mixed secured and unsecured bad loans for a total of EUR 119 mln, and three transactions on unlikely to pay loans, mainly secured, for EUR 203 mln, on Banca MPS and MPS Capital Services portfolios.

On **17 September 2019**, the Parent Company successfully concluded the placement of a Senior Preferred unsecured fixed-rate bond issue with maturity in 5 years for institutional investors, in the amount of EUR 500 mln. The transaction obtained an excellent response from the market, with final orders of around EUR 900 mln from roughly 100 investors. Thanks to strong demand, the return initially indicated, of 3.875%, was brought to a final level of 3.625%. The security was distributed to various types of institutional investors including Asset Managers (67%), Banks/Private Banks (21%), Hedge Funds (5%) and others (7%). The geographical breakdown was as follows: Italy (47%), United Kingdom and Ireland (33%), Scandinavia (6%), Germany (6%), other countries (8%). The bond, issued as part of the Parent Company's Debt Issuance Programme with a rating of Caa1 (Moody's) / B (Fitch) / B(high) (DBRS), is listed on the Luxembourg Stock Exchange. Barclays, J.P. Morgan, Morgan Stanley, MPS Capital Services, NatWest Markets and Société Générale managed the placement as Joint Bookrunners.

On **1 October 2019**, the Parent Company successfully concluded the placement of a Covered Bond issue with maturity in 7 years, for institutional investors, in the amount of EUR 1 bn. The transaction was announced to the market as a benchmark issue with the indication of an initial spread of around "mid swap" + 135 basis points. The order book grew rapidly, on closure surpassing EUR 4 bn and causing a narrowing of the spread to the "mid swap" level + 125 basis points. The bond has a rating of A1 / A+ / AAL (Moody's/Fitch/DBRS), maturity in October 2026 and an annual coupon of 0.875%. Taking into account the "below par" re-offer price, at 99.622%, the yield to maturity is 0.931% per annum. The issue was distributed to 190 institutional investors, including Fund Managers (60%), Banks and Insurance Companies (31%), with residence primarily in Germany and Austria (30%), Italy (23%), the UK (18%) and Northern European countries (14%), demonstrating the widespread international and domestic interest. Commerzbank, Credit Agricole CIB, Credit Suisse, MPS Capital Services, Santander (B&D) and UniCredit managed the placement as Joint Bookrunners.

On **11 December 2019**, the Parent Company received the final decision of the European Central Bank ("ECB") regarding the capital requirements that must be observed effective 1 January 2020. According to this decision, the Group must meet a total SREP capital requirement (TSCR) of 11% at consolidated level in 2020, which includes a minimum Pillar 1 requirement ("P1R") of 8% (of which 4.50% in CET1 capital) and an additional Pillar 2 requirement ("P2R") of 3%, unchanged from 2019, to be held entirely in CET1 capital. The overall minimum requirement for the Total Capital ratio, obtained by adding a Combined Buffer Requirement (CBR) of 2.64% (2.50% Capital Conservation Buffer + 0.13% O-SII Buffer1 + 0.01% Countercyclical Capital Buffer2) to the TSCR, is 13.64%. The overall minimum requirement for the CET1 ratio is 10.14%, the sum of P1R (4.50%), P2R (3%) and CBR (2.64%).

On **27 December 2019**, AMCO and Prelios Group signed an agreement with the Parent Company, MPS Capital Services, UBI Banca and Banco BPM to create a multi-originator platform to manage UTP (Unlikely to Pay)



loans relating to the real estate sector. The partnership combines financial management skills with specific skills in the real estate sector, creating synergies and greater possibilities for credit collection. Furthermore, it is envisaged that the fund will be able to disburse new financing to assist the companies in achieving a turnaround as well as to complete attractive real estate projects. In the first phase currently underway, the positions of 46 borrowers were transferred to the fund by all participating banks for a total of approximately EUR 450 mln. The fund's target is to reach EUR 1.5 bn for the managed portfolio through subsequent phases of transfers. The structure of the project, known as Cuvée, which can be replicated to manage multi-originator transactions relating to other business sectors, allows banks to benefit from the potential recovery in value of positions through the shares held in the fund. With reference to this transaction, as at 31 December 2019, MPS Group derecognised a portfolio of loans related to 7 borrowers for a total of EUR 107 mln.

On **30 December 2019**, the Parent Company communicated that MPS Group continues its derisking process and concluded a non-recourse disposal of non-performing loans (NPLs), mainly unsecured, held by Banca MPS and MPS Capital Services for a gross value of approximately EUR 1.5 bn to *illimity* Bank S.p.A.

With these agreements, which are in addition to the previous transactions carried out during the year, the “pro-forma *Gross NPE ratio*” of MPS Group stood at around 12.4% (including, in addition to these transactions, the transfers completed as at 30 September 2019 but pending derecognition), achieving two years ahead of schedule the target of 12.9% set by the Restructuring Plan for the end of 2021. Thus, the finalisation of these agreements represents an additional and significant step forward in the process of accelerating the derisking envisaged in the 2017-2021 Restructuring Plan and in compliance with the commitments made with the European Commission.

Finally, in **December 2019** the purchase offer made by the F2i and Asterion Funds was accepted for the entire share capital of Sorigenia S.p.A., owned by Nuova Sorigenia Holding S.p.A. (NSH), BMPS and other minority private shareholders, with the following positive impacts on the income statement: i) EUR 141 mln as revaluation of the participative financial instruments held by NSH, of the convertible bonds held by Sorigenia S.p.A. and Sorigenia Power S.p.A., and the equity investment held by the Parent Company in Sorigenia S.p.A., recognised under the item “Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss”; ii) EUR 54 mln as write-backs on loans and credit facilities outstanding as of 31 December 2019 recorded under the item “Net impairment (losses)/reversals on financial assets measured at amortised cost” for EUR 50 mln and the item “Net provisions for risks and charges relating to commitments and guarantees given” for EUR 4 mln. In addition, solely for purposes of the consolidated annual report, a net value adjustment of EUR 6 mln was recorded for the associated equity investment held by the Parent Company in NSH, in the item “Gains (losses) on investments”.



Significant events after 2019

On **10 January 2020**, the Moody's rating agency revised the Parent Company's ratings, increasing the standalone rating to "b3" (from "Caa1"). The long-term ratings of senior unsecured debt and deposits were confirmed at "Caa1" and "B1", respectively, and the outlook has been improved from "negative" to "positive". The subordinated debt rating was increased to "Caa1" (from "Caa2").

On **15 January 2020**, the Parent Company successfully concluded the placement of a subordinated Tier 2 fixed-rate bond issue with maturity in 10 years for institutional investors, in the amount of EUR 400 mln, with an annual yield of 8%. The transaction completes the issue programme for this type of instrument, which was the subject of a specific commitment with the European Commission, and represents an additional and important step forward in implementing the Bank's Restructuring Plan. The issue received an excellent response from the market, with final orders of more than EUR 900 mln from over 100 investors. The security was distributed to various types of institutional investors including Asset Managers (86%), Banks/Private Banks (11%), Hedge Funds (2%) and others (1%). The geographical breakdown was as follows: United Kingdom and Ireland (55%), Italy (28%), Switzerland (7%), France (5%), other countries (5%). The bond, issued as part of the Parent Company's Debt Issuance Programme with a rating of Caa1 (Moody's) / CCC+ (Fitch) / B(low) (DBRS), is listed on the Luxembourg Stock Exchange. Banca IMI, Barclays, BofA Securities, Goldman Sachs, MPS Capital Services and Natwest Markets managed the placement as Joint Bookrunners.

On **21 January 2020**, the Parent Company successfully concluded the placement of an unsecured Senior Preferred fixed-rate bond issue with maturity in 5 years and 3 months (April 2025) for institutional investors, in the amount of EUR 750 mln. The transaction received an excellent response from the market, with final orders of around EUR 1.2 bn from more than 115 investors. Thanks to heavy demand, the yield, which was initially indicated at around 3%, was brought to a final level of 2.7%. The security was distributed to various types of institutional investors including Asset Managers (55%), Banks/Private Banks (27%), Hedge Funds (12%), Pensions Funds and Insurance Companies (5%) and others (1%). The geographical breakdown was as follows: United Kingdom and Ireland (44%), Italy (39%), other countries (17%). The bond, issued as part of the Parent Company's Debt Issuance Programme with a rating of Caa1 (Moody's) / B (Fitch) / B(high) (DBRS), is listed on the Luxembourg Stock Exchange. BNP Paribas, Deutsche Bank, J.P. Morgan, Mediobanca, MPS Capital Services and Santander managed the placement as Joint Bookrunners.

On **11 February 2020**, as part of the competitive procedure that was launched in July 2019 concerning the sale of a real estate portfolio owned by the Group, the Parent Company granted Ardian a period of exclusivity in an effort to finalise the contractual documentation necessary for the sale by the end of February. This competitive procedure is part of the Parent Company's 2017-2021 Restructuring Plan which provides, among the formal commitments assumed by the Parent Company (in particular Commitment no. 17), the sale of properties over the plan horizon.

At the end of a competitive procedure launched in July 2019 and followed by a period of exclusivity granted to Ardian on 10 February 2020, on **28 February 2020**, the Parent Company and Ardian entered into an agreement for the sale of a real estate portfolio owned by the MPS Group. The parties will subsequently sign a preliminary sale and purchase agreement, which will precede the completion of the sale planned for the majority of the real estate properties by the second half of 2020.

Finally, it should be noted that the accounting estimates at 31 December 2019 were made on the basis of a series of macroeconomic and financial indicators at that date. In early January 2020, the new coronavirus epidemic (Covid-19) spread across mainland China and, subsequently, also in other countries including Italy, locally causing the slowdown or interruption of certain economic and commercial activities. The Group considers this epidemic an event that occurred after the reporting date which does not entail adjustment. Since the situation is developing and quickly evolving, it is not possible to provide a quantitative estimate of the potential impact of this event on the Group's financial situation. Therefore, the impact will be considered in the Group's accounting estimates during 2020, including those relating to loan impairments.



Human Resources

KPI as at 31.12.19

Indicators	31/12/2019	31/12/2018	31/12/2017	31/12/2016	31/12/2015	31/12/2014	31/12/2013
Headcount	22,040	23,129	23,463	25,566	25,731	25,961	28,417
<i>Operational location (%)</i>							
Head Offices*	26.4	25.8	22.3	22.5	22.6	21.6	24.0
Italy Network**	72.6	72.5	75.8	75.5	75.3	76.3	74.1
Foreign Network	1.0	1.7	1.9	2.0	2.1	2.0	1.9
<i>Professional occupation level (%)</i>							
Executives	1.3	1.2	1.2	1.2	1.4	1.3	1.3
Middle Managers	38.8	39.1	38.9	39.6	39.2	38.8	38.3
Professionals	59.9	59.7	59.9	59.2	59.4	59.9	60.4
Other indicators							
Training per capita (hours)***	48.9	45.9	41.9	46	37	36	35
Female staff (%)	50.8	50.0	49.7	48.0	47.8	47.6	46.2
Female executives (%)	14.2	10.3	8.2	7.8	7.1	6.1	5.6

* Bank Parent Company and Group companies, net of sales & distribution structures with direct customer interface.

** Regional Areas, DTMs (local unit offices), Branches, Unit, Specialised Centres and sales & distribution structures of the Group Companies.

*** Banca MPS, COG, MPSCS, MPSFid, MPSLF, and Widiba.

Headcount changes

As at 31 December 2019, the Group had a total of 22,040 employees¹⁴, down 1,089 compared to 31 December 2018. During 2019 there were:

- 176 hires, of which 172 new hires and 4 reinstatements. Among the new hires, 54 were made based on agreements and contractual, legislative and regulatory provisions entailing the obligation to hire;
- 1,161 terminations, of which 750 through recourse to the Sector Solidarity Fund;
- 105 departures as a result of the deconsolidation of Banca Monte Paschi Belgio S.A. during the year;
- a positive balance of 1 in terms of other changes in the Group's scope of consolidation.

The 172 new hires consisted of 2 Executives, 8 Middle Managers and 162 Professionals, while the terminations concerned 41 Executives, 521 Middle Managers and 599 Professionals.

The distribution of the workforce at the end of 2019 in customer interface units stands at 72.6% (does not include the foreign banking division which represents 1.0%) and 26.4% in Head Office units.

¹⁴ Instead, personnel on the payroll stood at 22,144 resources.



Personnel management initiatives

The personnel management policies support the reorganisation projects, in line with the restructuring plan objectives, through mobility plans (geographical and professional) with a view to development opportunities for employees according to approaches based on transparency and participation. Thus, operational initiatives were supported by: the Performance Management system; professional and managerial plans which, based on a business continuity approach, ensure adequate quality-quantity staff coverage levels; training programmes to enhance skills, provide managerial career guidance and support requalification processes; as well as engagement and human resource motivation leverage (compensation policies, BMPS welfare system, and internal communication plans). In particular, the Group approved a series of personnel engagement and development initiatives through three specific programmes:

- MPS Development, based on Performance Management results and similar to the process for external customers, for which the population is segmented then coherent and specific HR development initiatives are activated for each segment, which become engagement levers in terms of a merit-based approach, while at the same time promoting diversity. With the aim of supporting and increasing the managers who have recently taken on roles of responsibility, development programmes have been launched which, after carrying out an assessment, define individual action plans designed to strengthen managerial skills;
- MPS Academy, the company's permanent training institute that has supported the transformation of the MPS Group's organisational models since 2012 through a risk-based approach, which identifies the main priorities for initiatives in the various training areas, responding proactively and dynamically to changes in the Group's internal and external context;
- Welfare, which plays a central role in second-level bargaining agreements and is broken down into a set of contractual benefits, which are constantly evolving, differentiated based on traditional and emerging needs of employees, with respect to: supplementary pensions, income support (hiring family members of deceased employees, new hire indemnity, meal vouchers, subsidised loan conditions), health (illness and accident insurance coverage) and work-life balance, with the introduction of innovative initiatives (agile work), and in terms of internal solidarity (MPSolidale).

Among the initiatives for involving people, listening is a fundamental element of the relationship with employees and is carried out continuously and in a structured manner. The survey on the internal atmosphere, conducted at the beginning of the year, shows how colleagues perceive the working environment and context. There was significant participation in 2019, with more than 19,000 questionnaires returned. The CEO's scheduled meetings with the Commercial Network represent an additional strategic engagement and listening initiative. In 2019, 11 meetings were held in the 5 Regional Areas with 11,000 colleagues participating.

Furthermore, mechanisms were activated to ensure the enhancement of internal skills, as evidenced by the filling of certain top management positions through internal development (a factor that has established an important element of loyalty), job rotation and continual turnover, with limited recourse to hiring from the external market. With this in mind, internal job postings were published, making it possible to fill more than 180 open positions.

In terms of enhancing diversity, the "LeaderShe" project has evolved with the launch of the MPS *Diversity & Inclusion Project* (D&I). With an event that involved over 800 people in 8 public areas throughout the region, 8 March 2019 represented the beginning of a comprehensive programme that has the aim of spreading an inclusive and respectful culture of "diversity". This was undertaken with the awareness that diversity in the company is a resource, in that, in addition to being an essential value, it is a strategic priority to increase the Group's human capital in order to enhance and attract all skills. In the second half of the year, the first training sessions dedicated to managers were held and the first D&I Ambassadors were trained in the Parent Company, i.e., resources that will have the task of spreading the culture of diversity. Gender, disabilities, age, and sexual orientation will be the focus of the next two years.

The initiatives of "MPS Orienta", the programme encompassing all activities that Banca MPS dedicates to work guidance, have also been expanded, in the areas of the Sales Network, Corporate Social Responsibility and Employer Branding.

In 2019, operational plans were key to achieving operational efficiency objectives and strengthening the core business in accordance with the project activities set forth in the Restructuring Plan.

During the year, professional and/or regional mobility plans involved roughly 1,600 resources (roughly 35%), based on an approach meant to ensure professional continuity and the best allocation of people with respect to the new organisational roles.



In relation to the Sales Network, on one hand activities to streamline the branches (closure of 100 branches in October) continued in line with Plan forecasts - supported by the activation of operational plans for the reallocation of resources primarily at the merging branches and in any event according to an approach which seeks to leverage the professional skills attained and takes into consideration individual needs and aspirations - and on the other hand the Pegaso Programme was implemented, which entailed refining the distribution model in two steps.

In order to encourage the renewal of the distribution model with a constant focus on commercial activities and on the efficiency of the operating structure, in the first step (April 2019), actions were taken to modify the Sales Network, by reorganising the regional governance structures (Regional Retail and Regional Corporate Departments) and the distribution model was rationalised and simplified (elimination of Hub & Spoke, introduction of “Paschi Value Top”, optimising of certain specialised centres).

In the second step (December 2019), in order to enhance the value of the Parent Company’s customer base in line with customer potential and to balance the “cost-to-serve” while protecting the model’s sustainability, the Retail and Corporate service models were revised, by refining current customer segmentation rules with the resulting assignment of customers to service models, according to the new segmentation criteria that will optimise commercial effectiveness. A specific HR module, known as HR Pegaso Route, was launched as part of the programme, with the aim of continuing on the path of enhancing professional skills through a structured approach to skills gap analysis in choosing candidates, which led to an extensive mapping of skills, in addition to the definition of training and induction courses for new roles, with concurrent training paths dedicated to the requalification of resources involved in job rotation and departing roles of responsibility.

In line with the Pegaso Programme and the redesign of the Regional Departments, the Regional Credit Areas were restructured, which led to the closure of the existing Sectors and the simultaneous creation of the Regional Credit Department Sectors which mirror the Regional Commercial Departments.

Over the course of 2019, the structures of the Network and Regional Coordination recorded overall professional and/or regional mobility which involved roughly 7,900 employees (or 49%), accompanied by a training offer appropriately set up to support the continuing education and professional development process useful for the new service models.

With respect to training, MPS Academy provided more than one million training hours in 2019, equal to 48.9 hours per capita. Approximately 98% of the staff was involved in training activities.

In order to promote the spread of risk culture and to highlight the value created by training initiatives in terms of covering processes and monitoring business risks, a single Training Framework has been defined, which enables each training activity to be associated with one or more business processes/risks from the design phase.

The MPS Academy 3D Approach innovative training model allows training activities to be broken down in multiple dimensions, based on the following three dimensions:

1. Processes: the various training initiatives are linked to the taxonomy of Group processes, with a view to assessing their relative level of coverage or guiding the planning of training initiatives aimed at bridging any gaps;
2. Risks: the various training initiatives are linked to the identified business risks (Group Risk Map) in order to assess their benefit in terms of mitigating the risk inherent in the Group’s operations, effectively responding to the requests of the Top Management and the Regulator/Supervisory Authorities;
3. Areas: training initiatives are aggregated based on standardisation criteria which take into account a series of different components (business, risk, compliance, etc.).

This model also ensures “personalised” training in high-risk areas (e.g. Credit, Anti-Money Laundering and financial crimes, Customer Protection, Data Governance and Cyber Security) conducted following a Risk Assessment and Skills Gap Analysis exercise that determines the exposure to risk (known as the “risk rating”) for each company role and the consequent specific training requirement, directing training on the areas at greatest risk and on the most exposed company profiles and which therefore require greater knowledge. During 2019, the new model was applied in relation to Credit activities (DATTICREDITO project), which involved over 5,000 Network resources from the primary roles involved in the process, and was extended for Anti-Money



Laundering to the entire Network (over 12,000 people involved) and for Customer Protection, launched in December 2019 and planned to involve the primary Network roles (ending in January 2020). For the DATTICREDITO training project, the resulting planning of “personalised” courses started with classroom training courses (1,300 people trained for at least 7.5 hours) and online (over 3,500 people trained for at least 4 hours). In the Anti-Money Laundering area, the online micro-learning training campaign (online training capsules of 10 minutes each) was launched with the registration of 2,500 people on average for each capsule (over 40,000 total registrations). In the financial and insurance sector, the “Customer trust” training programme was implemented in 2019, which involved over 12,000 people in the classroom for at least 15 hours.

Particular attention was also given to the Risk area with regard to initiatives involving all Group staff, with a monthly awareness campaign on Risk Culture through multimedia training objects on the main banking risks (over 42,000 hours provided). Specific initiatives designed ad hoc for the Group's key roles have also been launched. In this regard, a 5-day course known as the Risk Management Lab was delivered on risk topics (Compliance, Transparency, Anti-Money Laundering, Credit Risk) dedicated to the MPS Network Area Managers. Specific classroom initiatives were developed for the staff in the control functions of the General Management and Group companies (Compliance, Risk Management, Anti-Money Laundering, Audit).

Furthermore, 2019 was characterised by the establishment and formalisation of permanent faculties of internal trainers, made up of subject experts (Credit, Anti-Money Laundering and Financial/Insurance) who assist in setting standardised guidelines and methods. The faculties are a knowledge management tool that facilitates the development of training needs and content from the bottom-up, through the interaction between trainers and classroom participants and between the members of the faculty itself.

The main projects were carried out with the objective of:

- boosting the level of personnel instruction and professionalism, also in line with European and national requirements (e.g., MiFID 2, IDD, Bank of Italy Directive on Real Estate Credit);
- spreading a fair and effective risk culture;
- guaranteeing the effective coverage of roles within the company;
- increasing the orientation towards self-development and continuous professional training.

During 2019, multimedia tools with targeted and immediately usable content were made available on the MPS Academy platform such as the Anti-Money Laundering Wiki (DARiO - Online Anti-Money Laundering Documentation) and the Credit Wiki (CIRO - Credit: Information on Risks and Operations), which are online encyclopaedias based on the structure of Wikipedia, with specialised content dedicated to regulations on anti-money laundering, combating terrorism financing, and credit. Additionally, an app, known as The Digital Journey, was created exclusively for all employees of the Montepaschi Group, to keep them updated on transformations in the digital world and to help develop digital skills.

MPS Academy also ensured that all employees are able to constantly improve their professional skills and personal development opportunities by learning transversal skills (*soft skills*). In particular, specific training initiatives were proposed to each employee in relation to the needs of their role (“*push*” training) and each employee was able to access the catalogue for specific training activities (“*pull*” training).

Finally, specific training programmes were launched upon a change in role: in particular, all managerial levels of the Network and the governance structures participate in training courses on *soft skills* related to their role, aimed at developing and strengthening the management and motivation skills of the team, with specific attention promoting the culture of inclusion of diversity.



Strategy

The Group's strategy is outlined in the Restructuring Plan approved by the European Commission on 4 July 2017, which is subject to formal monitoring by the European Commission, through a Monitoring Trustee¹⁵. This monitoring assumes formal relevance in verifying compliance with the commitments only at specific deadlines agreed with the European Commission.

In order to take into account the change in the macroeconomic scenario that occurred in the second half of the year (in particular, expected developments in interest rates, industrial output and household consumption indicators, and consensus on GDP growth estimates), the Parent Company has updated its internal long-term projections for the Group's income statement and balance sheet (2020-2024). These estimates are lower than the figures envisaged in the 2017-2021 Restructuring Plan approved by the competent authorities in July 2017, but nonetheless the values of capital ratios are above the regulatory requirements.

In line with the Restructuring Plan and the updated long-term internal estimates (2020-2024), the Parent Company continues with the process of relaunching the commercial business.

In this regard, note in particular the "Pegaso Programme", which started at the end of 2018 with a two-year horizon and produced a substantial restructuring of the Parent Company's organisational and distribution model in 2019. It involved the implementation of 5 projects:

- the first project focused on "Customer Advocacy" and, among the numerous activities carried out, introduced the NPS (Net Promoter Score) index;
- the second project greatly simplified the commercial model and processes by rationalising the distribution network, by introducing new roles such as the District Manager, developing a new model for supporting Key Clients through a "coverage team", and, at the end of the year, reclassifying customers among the various Service Models, for better commercial follow-up including from a "cost-to-serve" perspective;
- the third project focused on digital transformation, working to build the "Wealth Management" platform and upgrading the "Digital Banking" and "Digital Branch" platforms;
- the fourth project, called "Engines of Growth", generated numerous initiatives to support the business, mainly in the Small Business segment and in Bancassurance;
- the fifth project focused on the appropriate allocation of human resources involved in the redesign of the Network and on their development, in accordance with the global "HR Re-skilling" project.

The "Pegaso Programme" will continue in 2020 with the completion and strengthening of activities that have already been started, such as, for example, the activities for the Consumer Finance platform and the relaunch of the sales activities of the Value segment.

With reference to some of the main commitments of the Restructuring Plan, pursuant to art. 114, paragraph 5 of Italian Legislative Decree 58/1998, the relative implementation status as at 31 December 2019 is described below:

- Risk containment:
 - on 30 June 2019, the Board of Directors approved the exercise of the right of withdrawal set forth in the ten-year servicing agreement entered into with Juliet S.p.A., concerning the recovery of a significant share of the Group's NPEs. This decision was necessary in order to have the utmost flexibility in the process of reducing the Group's exposure to non-performing loans in line with the indications received from the regulator in February 2019 during the SREP (Supervisory Review and Evaluation Process) and already announced to the market. At the same time, the strategy of reducing Group NPEs was reviewed, calling for an acceleration of the 2019 disposal plan so as to further drive down the percentage of gross non-performing loans to total loans (NPE Ratio);
 - in this context, the non-performing portfolio disposal/reduction programme continued, achieving the gross NPE ratio envisaged in the Restructuring Plan two years ahead of schedule. In particular, as at 31 December 2019, the disposal/reduction of the unlikely to pay portfolio came to roughly EUR 2.0 bn and the disposal and deconsolidation of bad loans represented by lease agreements

¹⁵ The Bank confirmed Degroof Petercam Finance as Monitoring Trustee, with the favourable opinion of the European Commission Directorate General for Competition - hereinafter "DG Comp".



amounted to roughly EUR 0.6 bn. Additional disposals of bad loans were also carried out for around EUR 2.1 bn.

- Exposure to sovereign debt:
 - financial assets measured at fair value through other comprehensive income (FVTOCI) are down by around EUR 4 bn compared to the end of 2018, mainly in reference to Italian government debt securities.
- Transfer of foreign banks:
 - the closing of the sale of Banca Monte Paschi Belgio S.A. to an investee of funds managed by Warburg Pincus was finalised on 14 June 2019 (the agreement was already announced to the market in October 2018 and was concluded only in June 2019 after the acquisition was approved by the European Central Bank); Pursuant to the sale agreement, the procedure for determining the price adjustment is underway with the support of an independent expert;
 - the Parent Company, as set out in the Plan, approved the orderly winding-down procedure of the subsidiary Monte Paschi Banque S.A., which consists of limiting the subsidiaries activities strictly to those targeted at the deleveraging of loans, excluding the development of new business. This procedure became necessary after unsuccessful attempts at disposal were made with the timing set forth in the commitment. Performance in 2019 was aligned with the objectives of the subsidiary's orderly winding-down plan.
- Closure of foreign branches:
 - following the termination of banking activities (on 31 December 2018) and the extinction or transfer to Italy of the residual assets, in 2019 activities were initiated to return the licences in the three financial markets concerned. In particular, for the London and New York branches these activities were concluded, while the Hong Kong branch is still awaiting confirmation from the local authorities (HKMA) for the revocation of the license.
- Cost reduction measures:
 - through the activation of the Solidarity Fund, departure of 2,550 resources from 2017 to 2019 (53% of the total 4,800 resources over the Plan period); During 2019, there were 750 terminations through activation of the Solidarity Fund;
 - 610 branches closed, achieving the overall target set for the current year. Of these, 107 branches were closed in the fourth quarter of 2019, in line with the closures planned for the second half of the year;
 - in 2019 the Parent Company did not achieve the profit targets established in the Restructuring Plan. The Plan commitment establishes that, if the profit objectives are not reached, operating costs will be reduced by EUR 100 mln with respect to those envisaged in the Plan; in this case the reduction should take place by 2021.
- Sale of property assets:
 - the commitment calls for the closure of the Perimetro Consortium as well as the disposal in the course of the Plan of owned properties for an equivalent value of EUR 500 mln; from the approval of the Plan (4 July 2017) to 31 December 2019, MPS Group sold 69 real estate assets for a value of roughly EUR 47.4 mln. In addition, preliminary sale agreements have been signed for 23 real estate assets corresponding to approx. EUR 24.0 mln of book value as at 31 December 2019;
 - At the end of February 2020, the Parent Company and Ardian entered in an agreement for the sale of a real estate portfolio owned by the Group. The parties will subsequently sign a preliminary sale and purchase agreement which will precede the closing of the sale planned, for the majority of the real estate properties, by the second half of 2020;
 - in the course of the first half of 2019, the “restructuring” of the Chianti Classico transaction was completed, which led to the merger of Perimetro Gestione Proprietà Immobiliari S.p.A (PGPI) into Banca Monte dei Paschi di Siena S.p.A. (with legal effects as of 22 May 2019 and with accounting and tax effects as of 1 January 2019) and the dismantling of the Casaforte securitisation



through the early repayment of the securitised loan and the Casaforte notes on 12 June 2019. The transaction allows for more flexible management of the MPS Group's property assets and, by reducing the number of entities involved, to govern more effectively the administrative and decision-making processes related to the same.

- Strengthening of the capital position:
 - the issue of a subordinated Tier 2 loan, in January 2018, for EUR 750 mln, was followed in July 2019 by the placement of an additional Tier 2 issue for EUR 300 mln. Note that in January 2020 a subordinated Tier 2 bond was issued, thus completing the issue programme for this type of instrument that was the subject of a specific commitment of the Restructuring Plan.

The commitments required by *DG Comp* envisage, among other things, that the MEF divest its investment held in the Bank by the end of the Restructuring Plan. Thus, the MEF should have submitted to the European Commission by the end of 2019 a plan to sell its stake in the Bank's capital. On 30 December 2019, the MEF communicated that, in agreement with the services of the European Commission, the presentation of the plan to sell the equity investment in MPS was postponed to the beginning of 2020, in light of and consistent with the ongoing dialogue regarding a derisking transaction of the Parent Company.

The 2020-2022 period entails, for the Group, bond maturities of roughly EUR 10.3 bn, the most significant component of which is represented by the EUR 8 bn in senior notes with the Government Guarantee (GGB) maturing in 2020. The TLTRO II to which the Parent Company had access will also mature in 2020, for roughly EUR 16.5 bn (EUR 10 bn maturing in June 2020, EUR 6.5 bn in September 2020).

Against the above-mentioned maturities and starting from a robust liquidity position at the end of 2018, the Group's funding strategy for the 2020-2022 three-year period calls for recourse to diversified sources of funding distributed over time, primarily represented by new public issues (subordinated, senior and covered), bilateral funding and the repayment of the *senior tranches* of the SIENA NPL 2018 transaction, as well as the positive contribution of the trade balance (deposits).

In this regard, in the fourth quarter of 2019, the Parent Company successfully concluded the placement of a Covered Bond issue for EUR 1 bn on 1 October 2019, while on 10 October 2019 the unsecured Senior Preferred issues were re-opened (tapped) for a nominal amount of EUR 250 mln, which had been placed on 17 September 2019 for an original amount of EUR 500 mln.

During the quarter, the Parent Company also had access to the TLTRO III auction in December for EUR 4 bn and made a partial early repayment, for EUR 4.5 bn, of the TLTRO II auction with an original expiry date of June 2020.



Income statement and balance sheet reclassification principles

Income statement reclassification principles

Please note that to enable continuity in the description and interpretation of the Group's results, the income statement data of the subsidiary BMP Belgio S.A. are included in the individual income statement items, rather than in the item "Profit (loss) after tax from assets held for sale and discontinued operations", although it was sold on 14 June 2019. Likewise, the loss on disposal was included in the item "Restructuring costs/One-off charges".

- Item **"Net interest income"** was cleared of the negative contribution (equal to EUR -7 mln) of the Purchase Price Allocation (PPA), referring to past business combinations, which was reclassified to a specific item, and supplemented by the amount relating to the subsidiary BMP Belgio S.A. for EUR +4 mln.
- Item **"Net fee and commission income"** was supplemented by the amount relating to the subsidiary BMP Belgio S.A. for EUR +0.7 mln.
- Item **"Dividends, similar income and gains (losses) on investments"** incorporates item 70 "Dividends and similar income" and the relevant portion of profits from investments in the associate AXA, consolidated using the equity method, equivalent to EUR 86 mln, included in item 250 "Gains (losses) on investments". The aggregate was also cleared of dividends earned on equity securities other than equity investments (EUR 1.8 mln), reclassified to item "Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss".
- Item **"Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss"** includes item 80 "Net profit (loss) from trading", item 100 "Gains (losses) on disposal/repurchase of: i) financial assets measured at amortised cost; ii) financial assets measured at fair value through other comprehensive income, and iii) financial liabilities" and item 110 "Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss". The item also incorporates dividends earned on securities other than equity investments (EUR 1.8 mln) and the portion relating to the subsidiary BMP Belgio S.A. for EUR -3 mln, while the loss on the exposure to the IDPF Voluntary Scheme (for the Carige intervention) was cleared for approximately EUR 8 mln, reclassified to "Risks and charges associated with SRF, DGS and similar schemes".
- The item **"Other operating income (expense)"** includes the balance of item 230 "Other operating expenses/income" net of stamp duties and other expenses recovered from customers, which are included in the reclassified item "Other administrative expenses" (EUR 269 mln) and net of other expenses recovered, which are posted to "Net value adjustments to property, plant and equipment" (EUR 16 mln). Moreover, the item includes the amount relating to the subsidiary BMP Belgio S.A. for EUR +0.1 mln.
- The item **"Personnel expenses"** includes the balance of item 190a "Personnel expenses" reduced by EUR 21 mln, linked primarily to recoveries from INPS relating to provisions recognised for Solidarity Fund departures in 2017, reclassified to "Restructuring costs/One-off charges". The item also includes the amount of the cost relating to BMP Belgio S.A. for EUR 4 mln.
- The item **"Other administrative expenses"** includes the balance of income statement item 190b "Other administrative expenses", reduced by the following cost items:
 - expenses, amounting to EUR 115 mln, resulting from the EU Deposit Guarantee Schemes Directive (hereinafter "DGSD") and Bank Recovery Resolution Directive (hereinafter "BRRD") for the resolution of bank crises, posted under the reclassified item "Risks and charges associated with SRF, DGS and similar schemes";
 - DTA fee, convertible into tax credit, for an amount of EUR 71 mln (posted to the reclassified item "DTA fee");
 - extraordinary charges, relating to project initiatives also aimed at complying with the commitments undertaken with DG Comp (also including the closure of domestic and foreign branches), for EUR 7 mln, stated under reclassified item "Restructuring costs/One-off charges".This item also incorporates the stamp duty and expenses recovered from customers (EUR 269 mln) posted in the income statement under item 230 "Other operating expenses/income" and the relevant portion of the cost for the subsidiary BMP Belgio S.A. for EUR 4 mln.
- Item **"Net value adjustments to property, plant and equipment and intangible assets"** includes the values of items 210 "Net value adjustments to (recoveries on) property, plant and equipment" and 220 "Net



value adjustments to (recoveries on) intangible assets” and was cleared of the negative contribution (EUR - 11 mln) referring to the Purchase Price Allocation (PPA), which was recognised in a specific item, while it incorporates the amount of the expense recovery (EUR 16 mln) that was recorded under item 230 “Other operating expenses/income”. The item also includes the amount relating to the subsidiary BMP Belgio S.A. for EUR -0.9 mln.

- Item “**Net impairment (losses)/reversals on financial assets measured at amortised cost**” includes items 130a “Financial assets measured at amortised cost” and 140 “Modification gains/(losses)”. The item was supplemented by the amount relating to the subsidiary BMP Belgio S.A. for EUR +3 mln.
- Item “**Net impairment (losses)/reversals on financial assets measured at fair value through other comprehensive income**” includes item 130b “Net impairment (losses)/reversals on financial assets measured at fair value through other comprehensive income”, and was supplemented by the portion relating to the subsidiary BMP Belgio S.A. for EUR +0.1 mln.
- Item “**Net provisions for risks and charges**” includes the balance of item 200 “Net provisions for risks and charges” and was supplemented with the portion relating to the subsidiary BMP Belgio S.A. for EUR - 0.2 mln.
- Item “**Gains (losses) on investments**” includes the balance of item 250 “Gains (losses) on investments”, cleared of the portion of profit relative to the investments in AXA, consolidated at equity and equivalent to EUR 86 mln, reclassified under item “Dividends, similar income and gains (losses) on equity investments”.
- Item “**Restructuring costs/One-off charges**” mainly includes the recoveries of EUR 21 mln, primarily recognised by INPS for previous early retirement/solidarity fund manoeuvres and recognised in the financial statements under item 190a “Personnel expenses”, the charges relating to project initiatives, including for the implementation of the commitments undertaken with the DG Comp, amounting to EUR 7 mln recorded in the financial statements under item 190b “Other administrative expenses”, as well as the price adjustment for the sale of the subsidiary BMP Belgio S.A., amounting to EUR 14 mln, recognised in the financial statements under item 320 “Profit (loss) after tax from assets held for sale and discontinued operations”.
- Item “**Risks and charges associated with SRF, DGS and similar schemes**” includes the charges deriving from EU directives DGSD for deposit guarantee and BRRD for the resolution of bank crises, amounting to EUR 115 mln, recognised in the financial statements under item 190b “Other administrative expenses”, as well as the loss on the exposure to the IDPF Voluntary Scheme (for the Carige intervention) for approximately EUR 8 mln, recognised in the financial statements under item 110 “Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss”.
- Item “**DTA fee**” includes the expenses related to the fees paid on DTAs that can be converted into tax credit as set forth in art. 11 of Law Decree no. 59 of 3 May 2016, converted into Law no. 119 of 30 June 2016, recognised in the Financial Statements under item 190b “Other administrative expenses”, for EUR 71 mln.
- Item “**Tax expense (recovery)**” includes the balance of item 300 “Tax expense (recovery) on income from continuing operations” cleared of the theoretical tax component relating to the Purchase Price Allocation (PPA), which was reclassified to a specific item for an amount of EUR 6 mln.
- Item “**Profit (loss) after tax from assets held for sale and discontinued operations**” was cleared of the loss for the period of the subsidiary (EUR -4 mln) posted in the individual income statement items as well as the effects of the price adjustment relating to the sale of the subsidiary BMP Belgio S.A. amounting to EUR 14 mln, reclassified under “Restructuring costs/One-off charges”.
- The overall negative effects of the **Purchase Price Allocation (PPA)** were reclassified to a specific item, excluding them from affected income statement items (in particular “Net interest income” for EUR -7 mln and “Net value adjustments to property, plant and equipment and intangible assets” for EUR -11 mln, net of a theoretical tax burden of EUR +6 mln which was added the item).



Balance sheet reclassification principles

- Asset item **“Financial assets measured at fair value”** includes balance sheet items 20 “Financial assets measured at fair value through profit and loss” and 30 “Financial assets measured at fair value through other comprehensive income”.
- Asset item **“Other assets”**, includes balance sheet items 50 “Hedging derivatives”, 60 “Change in value of macro-hedged financial”, 110 “Tax assets”, 120 “Non-current assets held for sale and discontinued operations” and 130 “Other assets”.
- The liability item **“Deposits from customers and debt securities issued”**, includes items 10b “Financial liabilities measured at amortised cost - deposits from customers”, 10c “Financial liabilities measured at amortised cost - Debt securities issued” and 30 “Financial liabilities measured at fair value”.
- Liability item **“Other liabilities”** includes balance sheet items 40 “Hedging derivatives”, 50 “Change in value of macro-hedged financial liabilities”, 60 “Tax liabilities”, 70 “Liabilities associated with discontinued operations” and 80 “Other liabilities”.

Furthermore, the balance sheet data as at 31 December 2019 (just as at 30 June 2019 and 30 September 2019) do not include BMP Belgio S.A., as the entire equity investment was sold in June. To allow for continuity in the interpretation of the Group’s results, the balance sheet data of the subsidiary as at 31 March 2019, 31 December 2018 and 30 September 2018 were included in the individual items of the balance sheet, although it was being disposed of at that time.

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The reconciliation between the statutory accounts and the reclassified income statement and balance sheet is included in the “Annexes” section.



Reclassified income statement

Reclassified Consolidated Income Statement				
MONTEPASCHI GROUP	31 12 2019	31 12 2018*	Change	
			Abs.	%
Net interest income	1,501.3	1,742.8	(241.5)	-13.9%
Net fee and commission income	1,449.5	1,523.3	(73.8)	-4.8%
Income from banking activities	2,950.8	3,266.1	(315.3)	-9.7%
Dividends, similar income and gains (losses) on equity investments	95.6	74.5	21.1	28.2%
Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and measured at fair value through profit and loss	261.6	(13.0)	274.6	n.m.
Net profit (loss) from hedging	(4.6)	(0.2)	(4.4)	n.m.
Other operating income (expenses)	(80.1)	(39.9)	(40.2)	n.m.
Total Revenues	3,223.3	3,287.5	(64.3)	-2.0%
Administrative expenses:	(2,034.4)	(2,100.6)	66.2	-3.1%
a) personnel expenses	(1,433.0)	(1,462.9)	29.9	-2.0%
b) other administrative expenses	(601.4)	(637.7)	36.3	-5.7%
Net adjustments to (recoveries on) property, plant and equipment / Net adjustments to (recoveries on) intangible assets	(255.2)	(250.1)	(5.1)	2.0%
Operating expenses	(2,289.6)	(2,350.7)	61.1	-2.6%
Pre Provision Profit	933.6	936.8	(3.2)	-0.3%
Net impairment losses (reversals) on:	(611.1)	(624.6)	13.5	-2.2%
a) financial assets measured at amortised cost	(604.8)	(628.1)	23.3	-3.7%
b) Financial assets measured at fair value through other comprehensive income	(6.3)	3.5	(9.8)	n.m.
Net operating income	322.5	312.2	10.3	3.3%
Net provisions for risks and charges	(72.3)	(69.0)	(3.3)	4.8%
<i>of which commitments and guarantees issued</i>	<i>83.6</i>	<i>14.9</i>	<i>68.7</i>	<i>n.m.</i>
Gains (losses) on investments	(5.6)	1.3	(6.9)	n.m.
Restructuring costs / One-off costs	(0.3)	(201.7)	201.5	-99.9%
Risks and charges related to the SRF, DGS and similar schemes	(123.4)	(131.1)	7.8	-5.9%
DTA Fees	(70.6)	(70.9)	0.3	-0.4%
Gains (losses) on disposal of investments	3.0	50.0	(47.0)	-94.0%
Profit (loss) before tax from continuing operations	53.4	(109.2)	162.6	n.m.
Tax expense (recovery) on income from continuing operations	(1,074.6)	410.1	(1,484.7)	n.m.
Net profit (loss) for the period including non-controlling interests	(1,021.2)	300.9	(1,322.1)	n.m.
Net profit (loss) attributable to non-controlling interests	(0.1)	0.1	(0.2)	n.m.
Profit (loss) for the period before PPA	(1,021.1)	300.8	(1,321.9)	n.m.
PPA (Purchase Price Allocation)	(11.9)	(22.2)	10.3	-46.4%
Net profit (loss) for the year	(1,033.0)	278.6	(1,311.6)	n.m.

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



Quarterly trend in reclassified consolidated income statement

Montepaschi Group	2019				2018*			
	4°Q 2019	3°Q 2019	2°Q 2019	1°Q 2019	4°Q 2018	3°Q 2018	2°Q 2018	1°Q 2018
Net interest income	333.4	354.7	404.3	408.9	430.8	442.1	448.5	421.5
Net fee and commission income	371.1	355.9	363.7	358.8	360.4	353.4	403.0	406.5
Income from banking activities	704.5	710.6	768.0	767.7	791.2	795.5	851.5	828.0
Dividends, similar income and gains (losses) on equity investments	15.3	36.9	27.5	15.9	19.5	20.7	16.2	18.1
Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and measured at fair value through profit and loss	146.7	72.9	14.9	27.1	(18.8)	(2.0)	(29.5)	37.4
Net profit (loss) from hedging	(5.8)	1.8	(0.6)	-	0.8	(1.2)	(0.9)	1.1
Other operating income (expenses)	2.2	(11.0)	(63.0)	(8.3)	(23.6)	(3.4)	(5.1)	(7.8)
Total Revenues	862.9	811.1	746.7	802.5	769.1	809.5	832.2	876.8
Administrative expenses:	(524.6)	(491.8)	(509.7)	(508.2)	(554.3)	(504.2)	(526.4)	(515.7)
a) personnel expenses	(352.5)	(354.5)	(357.4)	(368.6)	(364.9)	(364.0)	(366.2)	(367.8)
b) other administrative expenses	(172.1)	(137.4)	(152.3)	(139.7)	(189.5)	(140.2)	(160.1)	(147.9)
Net adjustments to (recoveries on) property, plant and equipment / Net adjustments to (recoveries on) intangible assets	(69.4)	(57.4)	(67.6)	(60.9)	(81.0)	(56.9)	(55.1)	(57.1)
Operating expenses	(594.0)	(549.2)	(577.3)	(569.1)	(635.4)	(561.1)	(581.4)	(572.8)
Pre Provision Profit	269.0	261.9	169.4	233.4	133.7	248.3	250.8	304.0
Net impairment losses (reversals) on:	(246.0)	(113.3)	(87.5)	(164.3)	(256.5)	(121.4)	(108.8)	(137.9)
a) financial assets measured at amortised cost	(241.8)	(112.1)	(86.7)	(164.2)	(267.0)	(115.9)	(108.1)	(137.1)
b) Financial assets measured at fair value through other comprehensive income	(4.2)	(1.2)	(0.8)	(0.1)	10.5	(5.5)	(0.7)	(0.8)
Net operating income	23.0	148.6	81.9	69.1	(122.8)	126.9	142.0	166.1
Net provisions for risks and charges	(39.5)	(8.7)	(6.8)	(17.3)	(53.7)	(16.6)	(51.3)	52.6
of which commitments and guarantees issued	46.1	3.2	12.5	21.8	(22.3)	(9.5)	1.8	44.9
Gains (losses) on investments	(9.3)	0.5	2.4	0.9	0.3	5.0	0.0	(4.0)
Restructuring costs / One-off costs	2.2	(5.6)	0.9	2.2	(140.6)	(27.8)	(16.3)	(17.0)
Risks and charges related to the SRF, DGS and similar schemes	(0.2)	(35.8)	(26.6)	(60.9)	(7.6)	(28.6)	(25.9)	(69.0)
DTA Fees	(17.7)	(17.7)	(17.3)	(17.9)	(17.7)	(17.7)	(17.7)	(17.7)
Gains (losses) on disposal of investments	1.9	0.4	0.1	0.6	(0.1)	0.2	49.6	0.3
Profit (loss) before tax from continuing operations	(39.6)	81.7	34.6	(23.3)	(342.2)	41.4	80.4	111.3
Tax expense (recovery) on income from continuing operations	(1,179.0)	13.3	34.4	56.7	245.7	55.0	26.1	83.3
Net profit (loss) for the period including non-controlling interests	(1,218.6)	95.0	69.0	33.5	(96.6)	96.4	106.5	194.6
Net profit (loss) attributable to non-controlling interests	-	(0.1)	(0.2)	0.2	-	0.1	-	-
Profit (loss) for the period before PPA	(1,218.6)	95.1	69.2	33.3	(96.6)	96.3	106.5	194.6
PPA (Purchase Price Allocation)	(1.3)	(1.3)	(4.0)	(5.4)	(4.1)	(5.5)	(5.6)	(7.0)
Net profit (loss) for the year	(1,219.9)	93.8	65.2	27.9	(100.7)	90.8	100.9	187.6

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



Revenue trends

In 2019, the Group realised total **Revenues** of **EUR 3,223 mln**, down 2.0% compared to the previous year, in particular following the decline in Net interest income and Net fee and commission income as well as the deterioration in Other operating income and expenses, only partially offset by the improvement in other revenues from banking business, as a result of the positive effects recognised on the financial assets measured at fair value and higher gains from the disposal of securities. Instead, revenue grew by EUR 52 mln compared to the previous quarter due to the positive effects recognised on financial assets measured at fair value, only partially offset by the decline in Net interest income and the drop in results from trading activities and the sale of securities.

The table below shows the trend in revenues for each of the identified operating segments.

SEGMENT REPORTING		Business Segments								Corporate Center		Total Montepaschi Group	
Primary segment		Retail banking		Wealth Management		Corporate banking		Widiba		31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y
(EUR mln)		31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y
PROFIT AND LOSS AGGREGATES													
Net interest income		944.9	-4.5%	11.8	57.8%	459.3	-18.7%	57.6	12.0%	27.8	-78.5%	1,501.3	-13.9%
Net fee and commission income, of which		1,184.5	-4.5%	108.9	-5.4%	300.7	-3.2%	12.3	-27.7%	(156.9)	-1.6%	1,449.5	-4.8%
<i>Fee and commission income</i>		1,204.1	n.d.	110.2	n.d.	346.5	n.d.	70.1	n.d.	(15.6)	n.d.	1,715.2	-3.7%
<i>Fee and commission expense</i>		(19.6)	n.d.	(1.3)	n.d.	(45.7)	n.d.	(57.7)	n.d.	(141.3)	n.d.	(265.7)	2.8%
Other income		70.2	n.s.	18.8	n.s.	134.8	n.s.	(0.0)	-29.8%	128.7	75.0%	352.6	n.s.
Other operating expenses/income		18.2	36.9%	0.4	-12.6%	(16.5)	-3.4%	(0.3)	-24.8%	(81.9)	n.s.	(80.1)	n.s.
Total Income		2,217.8	-1.4%	139.8	13.4%	878.3	4.5%	69.6	2.3%	(82.3)	n.s.	3,223.3	-2.0%

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

Net interest income for 2019 amounted to **EUR 1,501 mln**, down 13.9% compared to 2018, reflecting the impact of activities undertaken to comply with certain commitments in the Restructuring Plan. These include: i) NPE reduction activities, continuing the programme to sell the non-performing loan portfolio which led to reaching the gross NPE ratio target set by the Restructuring Plan two years ahead of schedule but with a negative effect on net interest income, which was also influenced by the drop in interest income on impaired financial assets of approx. EUR 51 mln compared to 31 December 2018; ii) the conclusion in June 2019 of the sale of the subsidiary BMP Belgio S.A., which resulted in the deconsolidation of the related volumes of loans and deposits with a negative effect on net interest income of roughly EUR 12 mln; iii) the return on the market of institutional issues (with Subordinated Tier 2 issues for EUR 300 mln and Senior Preferred issues for EUR 1.2 bn) with a consequent additional cost for 2019 of EUR 30 mln.

Thus, the trend of net interest income is influenced by actions to improve the quality of the credit portfolio with the development of less risky customers in a highly competitive market context, resulting in a reduction in the rates applied, however with dynamics in line with the market. Finally, there was a reorganisation of commercial deposits toward less expensive components with a consequent reduction in the relative cost. Compared to the previous quarter, there was a decrease of 6.0% due to the aforementioned dynamics of the yield on loans and market deposits. The aggregate was also impacted by the introduction of IFRS 16, which entailed the recognition of around EUR 6.7 mln in interest expense as at 31 December 2019.



Items	31 12 2019	31 12 2018*	Chg. Y/Y		4°Q 2019	3°Q 2019	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to customers measured at amortised cost	1,644.3	1,809.7	(165.5)	-9.1%	377.4	399.7	(22.3)	-5.6%
Securities issued	(258.4)	(272.8)	14.4	-5.3%	(73.8)	(71.4)	(2.4)	3.4%
Net Differentials on hedging derivatives	(9.1)	(13.2)	4.1	-31.2%	(2.1)	0.5	(2.7)	n.s.
Loans to Banks measured at amortised cost	(22.1)	3.9	(26.0)	n.s.	(3.2)	(11.1)	7.9	-71.2%
Trading portfolios	40.6	35.3	5.3	15.0%	9.6	9.1	0.5	5.5%
Portfolios measured at fair value	12.4	46.0	(33.6)	-73.0%	3.5	2.2	1.3	59.1%
Financial assets measured at fair value through other comprehensive income	83.8	134.8	(51.0)	-37.8%	18.6	19.8	(1.2)	-6.1%
Other net interest income	9.8	(0.9)	10.7	n.s.	3.4	5.8	(2.4)	-41.4%
Net interest income	1,501.3	1,742.8	(241.5)	-13.9%	333.4	354.7	(21.3)	-6.0%
<i>of which: interest income on impaired financial assets</i>	<i>216.1</i>	<i>267.5</i>	<i>(51.4)</i>	<i>-19.2%</i>	<i>45.8</i>	<i>47.6</i>	<i>(1.8)</i>	<i>-3.8%</i>

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

Net fee and commission income as at 31 December 2019, totalling **EUR 1,450 mln**, declined by 4.8% compared to the previous year. This trend was primarily impacted by the reduction in income from asset management and commissions on loans, the latter affected by the elimination of around EUR 15 mln in one-off income recognised in the first half of 2018 linked to the renewal of the Compass S.p.A. product distribution agreement. The trend shows an increase compared to the previous quarter, mainly in commissions on loans, commissions from services, and income from asset management, while other net commissions declined.

Services/value	31 12 2019	31 12 2018	Change Y/Y		4°Q 2019	3°Q 2019	Change Q/Q	
			abs.	%			abs.	%
Assets under management fee	637.0	663.2	(26.2)	-3.9%	163.8	162.3	1.5	0.9%
Product placement	209.8	224.8	(15.0)	-6.7%	53.1	55.3	(2.2)	-4.0%
Continuing fees	347.4	354.0	(6.6)	-1.9%	89.2	88.1	1.1	1.3%
Placement of securities	37.7	39.2	(1.5)	-3.8%	8.8	9.9	(1.1)	-11.5%
Sales of Protection	42.0	45.1	(3.1)	-6.9%	12.7	9.0	3.7	40.8%
Fee and commissions from traditional activities	1,001.2	1,049.1	(47.9)	-4.6%	262.3	240.5	21.8	9.0%
Credit fees	479.9	519.5	(39.6)	-7.6%	128.0	111.9	16.0	14.3%
Fees from foreign service	49.9	53.5	(3.6)	-6.7%	11.5	12.7	(1.2)	-9.6%
Other services	471.4	476.1	(4.7)	-1.0%	122.8	115.9	7.0	6.0%
Other fee and commission income	(188.7)	(189.0)	0.3	-0.1%	(54.9)	(46.9)	(8.0)	17.1%
Net fees and commission income	1,449.5	1,523.3	(73.8)	-4.8%	371.1	355.9	15.2	4.3%



Dividends, similar income and gains (losses) on equity investments totalled **EUR 96 mln**, mainly due to the contribution from the insurance subsidiaries of AXA Group¹⁶. This component was up compared to 31 December 2018 (EUR +21 mln) and down compared to the previous quarter (EUR -22 mln).

Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and at fair value through profit and loss in 2019 totalled **EUR 262 mln**, up from the previous year (EUR -13 mln). The analysis of the main aggregates shows the following:

- **Net profit (loss) from trading of EUR +86 mln**, up compared to 31 December 2018 due to the higher contribution made by the subsidiary MPSCS, which benefitted from the elimination of the negative effects from the expansion of the BTP-Bund spread recorded in 2018. The result for 4Q19 shows a decline compared to the previous quarter due to the performance of the subsidiary MPSCS;
- **Net profit (loss) from financial assets/liabilities measured at fair value through profit and loss was positive for EUR 63 mln**, an improvement from the previous year (EUR -85 mln), in particular due to the revaluation of securities recognised in assets for EUR 155 mln (of which EUR 135 mln recorded in 4Q19) resulting from the debt restructuring transactions of Sorgenia and Tirreno Power Group in light of changes in these positions. The result for 4Q19 showed an improvement from 3Q19 due to the aforementioned revaluations;
- **Gains on disposal/repurchase came to EUR 113 mln**, up compared to EUR 38 mln in the previous year, thanks to higher gains, equivalent to EUR 118 mln, from the sale of securities carried out for the most part in 2Q19 and 3Q19. The 4Q19 result decreased compared to the previous quarter, which was influenced by the considerable gains from the sale of securities.

Items	31 12 2019	31 12 2018	Chg. Y/Y		4°Q 2019	3°Q 2019	Chg. Q/Q	
			Abs.	%			Abs.	%
Financial assets held for trading	69.7	(81.8)	151.5	n.s.	(111.0)	114.2	(225.2)	n.s.
Financial trading liabilities	(76.3)	103.7	(180.0)	n.s.	72.3	(93.7)	166.0	n.s.
Exchange rate effects	23.8	22.4	1.4	6.3%	6.3	4.0	2.3	57.5%
Derivatives	69.1	(10.1)	79.3	n.s.	30.1	5.0	25.2	n.s.
Trading results	86.3	34.2	52.1	n.s.	(2.3)	29.5	(31.8)	n.s.
Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss	62.8	(85.4)	148.2	n.s.	136.4	(39.0)	175.4	n.s.
Disposal / repurchase	112.5	38.2	74.3	n.s.	12.6	82.4	(69.8)	-84.7%
Net profit (loss) from trading and financial assets and liabilities measured at amortised cost and measured at fair value through profit and loss	261.6	(13.0)	274.6	n.s.	146.7	72.9	73.8	n.s.

The following items also make up Revenues:

- **Net profit (loss) from hedging at EUR -5 mln**, a deterioration compared both to 31 December 2018 (EUR -0.2 mln) and 3Q19 (EUR +1.8 mln);
- **Other operating income (expenses) was negative by EUR 80 mln**, a deterioration compared to the result at the end of 2018 (equal to EUR -40 mln) due to the recognition of the indemnity linked to the exercise of the right of withdrawal from the agreement with Juliet. However, the value in 4Q19 (EUR +2.2 mln) was an improvement from 3Q19 (EUR -11 mln).

¹⁶ The investment in associates AXA-MPS Assicurazioni Vita S.p.A. and AXA-MPS Assicurazioni Danni S.p.A. are consolidated in the Group's financial statements using the equity method.



Operating expenses

Note that comparisons with 2018 figures are purely indicative, insofar as the data are inconsistent following the introduction of the new IFRS 16, which led to the recording of lower administrative expenses of EUR 46.6 mln and higher net value adjustments to property, plant and equipment and intangible assets of EUR 37.7 mln.

Operating expenses totalled **EUR 2,290 mln** as at 31 December 2019, down 2.6% on the previous year. The 4Q19 figure was up 8.1% from 3Q19, equivalent to EUR 45 mln, due to the trend in Other administrative expenses and Net value adjustments to property, plant and equipment and intangible assets. A closer look at the individual aggregates reveals the following:

- **Administrative expenses** were **EUR 2,034 mln**, down EUR 66 mln from the previous year. Expenses in 4Q19 were up by 6.7% compared to 3Q19. A breakdown of the aggregate shows:
 - **Personnel expenses**, totalling **EUR 1,433 mln**, were down 2.0% on a yearly basis. Compared to 31 December 2018, the expense trend also benefitted from the reduction in headcount, linked primarily to the early retirement procedure, which resulted in 750 departures as well as the deconsolidation of BMP Belgio which took place in June 2019. These effects were partially offset by contractual increases recorded since October 2018, the effects of the agreement on personnel costs as at 31 December 2018, and the renewal of the second-level bargaining agreement (12 July 2019). The trend is slightly down compared to the previous quarter due to the savings associated with the new three-year agreement on the healthcare insurance policy for employees reflected in 4Q19.
 - **Other administrative expenses** amounted to **EUR 601 mln**, down by 5.7% compared to the previous year. As mentioned above, in comparison with 2018, this aggregate was impacted by the entry into force of IFRS 16, net of which there would have been an upward trend, primarily due to higher expenses in the credit collection segment. There was an increase of 25.3% compared to 3Q19 due to the typical acceleration of expenses at year end.
- As at 31 December 2019, **Net value adjustments to property, plant and equipment and intangible assets** totalled **EUR 255 mln**, up 2.0% compared to the previous year, following the effects of the entry into force of IFRS 16 (cleared of these effects, the trend would have shown a reduction of roughly EUR 33 mln), partially offset by lower impairments on real estate and the end of the amortisation process for certain software. The aggregate improved compared to the previous quarter by 20.9% due to the recognition of higher impairment on real estate and software licenses in 4Q19.



Type of transaction	31 12 2019	31 12 2018*	Chg Y/Y		4°Q 2019	3°Q 2019	Chg Q/Q	
			Abs.	%			Abs.	%
Wages and salaries	(1,024.0)	(1,058.3)	34.3	-3.2%	(253.4)	(251.2)	(2.2)	0.9%
Social-welfare charges	(280.0)	(287.3)	7.3	-2.5%	(68.8)	(68.6)	(0.2)	0.3%
Other personnel expenses	(129.0)	(117.3)	(11.7)	10.0%	(30.3)	(34.7)	4.4	-12.7%
Personnel expenses	(1,433.0)	(1,462.9)	29.9	-2.0%	(352.5)	(354.5)	2.0	-0.6%
Taxes	(233.5)	(236.0)	2.5	-1.1%	(53.9)	(56.8)	2.9	-5.1%
Furnishing, real estate and security expenses	(84.6)	(154.3)	69.7	-45.2%	(22.6)	(17.4)	(5.2)	29.9%
General operating expenses	(177.1)	(193.0)	15.9	-8.2%	(38.1)	(42.6)	4.5	-10.6%
Information technology expenses	(143.5)	(153.0)	9.5	-6.2%	(40.5)	(32.9)	(7.6)	23.1%
Legal and professional expenses	(155.6)	(136.2)	(19.4)	14.2%	(67.3)	(37.0)	(30.3)	81.9%
Indirect personnel costs	(10.5)	(10.2)	(0.3)	2.9%	(2.7)	(2.3)	(0.4)	17.4%
Insurance	(49.3)	(42.0)	(7.3)	17.4%	(11.8)	(15.8)	4.0	-25.3%
Advertising, sponsorship and promotions	(5.1)	(5.9)	0.8	-13.6%	(1.6)	(1.4)	(0.2)	14.3%
Other	(10.8)	6.1	(16.8)	n.s.	3.4	(6.1)	9.5	n.s.
Expenses recovery	268.5	286.8	(18.3)	-6.4%	62.9	74.9	(12.0)	-16.0%
Other administrative expenses	(601.4)	(637.7)	36.3	-5.7%	(172.1)	(137.4)	(34.8)	25.3%
Tangible assets	(166.6)	(150.7)	(15.9)	10.6%	(46.0)	(36.8)	(9.2)	24.9%
Intangible assets	(88.6)	(99.4)	10.8	-10.9%	(23.4)	(20.6)	(2.8)	13.6%
Amortization and impairment losses	(255.2)	(250.1)	(5.1)	2.0%	(69.4)	(57.4)	(12.0)	20.9%
Operating costs	(2,289.6)	(2,350.7)	61.1	-2.6%	(594.0)	(549.2)	(44.7)	8.1%

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

As a result of these trends, the Group's **Gross Operating Income** totalled **EUR 934 mln** (EUR 937 mln as at 31 December 2018), with a positive contribution from 4Q19 of EUR 269 mln, up EUR 7 mln compared to the previous quarter.

Net impairment (losses)/reversals on financial assets measured at amortised cost and financial assets measured at fair value through other comprehensive income

As at 31 December 2019, the Group recorded **Net impairment (losses)/reversals on financial assets measured at amortised cost and at fair value through other comprehensive income** amounting to **EUR 611 mln**, down EUR 14 mln from the figure recorded in the previous year (EUR 625 mln). The cost recorded in 4Q19, equal to EUR 246 mln, is up compared to EUR 113 mln in 3Q19.

The cost of credit was influenced by the following events that occurred during the year:

- the exercise of the right of withdrawal from the servicing agreement entered into with Juliet, which resulted in the elimination of the expected costs of the agreement which were reflected in value adjustments on the loan portfolio (positive effect of EUR 457 mln recognised in 2Q19, equal to EUR 463 mln net of EUR 6 mln considering that the in-sourcing of the recovery process will take place gradually);
- the simultaneous review of the NPE reduction strategy, which called for an acceleration of the 2019 disposal plan in order to further drive down the NPE Ratio (negative effect of EUR 248 mln).

When compared with 31 December 2018, the aggregate reflects, in addition, the following elements:



- negative impact from the annual update of the risk parameters used for the collective/statistical valuation of performing loans and below-threshold non-performing loans (EUR 106 mln recognised in 2Q19);
- negative impact from increases in coverage on positions that are already non-performing and the effects deriving from the downward revision of GDP growth estimates for 2019 incorporated into the forward-looking scenarios required under IFRS 9 (EUR 52 mln);
- positive impact from effects of lower default flows, a reduction in transfers to bad loan status and changes in the loan estimation criteria referring to the analytical valuation threshold, as well as the valuation of specialised lending transactions (for EUR 53 mln recognised in 2Q19);
- positive impact from write-backs on loans (subject to restructuring) to the Sorgenia and Tirreno Power Group for a total of EUR 54 mln in light of the developments in the positions.

The ratio of Net impairment losses on loans to total Loans to Customers as at 31 December 2019 shows a **Provisioning Rate of 68 bps**.

	31 12 2019	31 12 2018	Chg. Y/Y		4°Q 2019	3°Q 2019	Chg. Q/Q	
			Abs.	%			Abs.	%
Loans to banks measured at amortised cost	0.1	1.1	(1.0)	-90.9%	(0.3)	(0.1)	(0.2)	n.s.
- Loans	0.1	0.6	(0.5)	-83.3%	(0.3)	(0.1)	(0.2)	n.s.
- Debt securities	-	0.5	(0.5)	-100.0%	-	-	-	-
Loans to customers measured at amortised cost	(600.6)	(616.5)	15.9	-2.6%	(240.8)	(111.7)	(129.1)	n.s.
- Loans	(599.2)	(612.7)	13.5	-2.2%	(240.5)	(111.0)	(129.5)	n.s.
- Debt securities	(1.4)	(3.8)	2.4	-63.2%	(0.3)	(0.7)	0.4	-57.1%
Gains (losses) due to modifications in contractual cash flows without derecognition	(4.3)	(12.7)	8.4	-66.1%	(0.7)	(0.3)	(0.4)	n.s.
Impairment loss on loans measured at amortised cost	(604.8)	(628.1)	23.3	-3.7%	(241.8)	(112.1)	(129.7)	n.s.
Financial assets measured at fair value through comprehensive income	(6.3)	3.5	(9.8)	n.s.	(4.2)	(1.2)	(3.0)	n.s.
Total adjustments due to credit risk	(611.1)	(624.6)	13.5	-2.2%	(246.0)	(113.3)	(132.7)	n.s.

The Group's **Net Operating Income** was **positive for approximately EUR 323 mln**, compared to a positive value of EUR 312 mln in the previous year.

Non-operating income, tax and net profit for the year

The **Result for the year** included the following items:

- **Net provisions for risks and charges** of **EUR -72 mln**, mainly attributable to provisions for commitments assumed by the Parent Company against the compensation relating to transactions in diamonds. These are in addition to the provisions for indemnity requests associated with the loan disposal transactions and for the estimate of the reimbursements related to operations with customers, even if there were no specific requests. These effects were only partially offset by the write-backs on guarantees given, also attributable to the release of guarantees on certain large positions. Instead, there were no significant changes in provisions for disputes related to financial information distributed in the 2008-2015 period. As at 31 December 2018, there was a negative balance of EUR 69 mln, linked to provisions for legal risks in part offset by the revaluation of the commitment assumed to cover hedging costs of the vehicle Siena NPL 2018 S.r.l. as part of the bad loan securitisation.
- **Losses on investments** of approx. **EUR 6 mln**, primarily due to the change in value of several equity investments, against a gain of EUR 1 mln in the previous year.
- **Restructuring costs/One-off charges**, equal to **EUR -0.3 mln**, include in particular costs linked to project expenses, the price adjustment for the disposal of BMP Belgio S.A., the effects linked to early retirement, and recoveries recognised by INPS on previous early retirement/solidarity fund procedures. As at 31 December 2018, the aggregate showed EUR 202 mln in costs and included mainly the expenses for



initiatives connected to the fulfilment of commitments assumed with DG Comp, including the expected loss from the disposal of the subsidiary BMP Belgio, and the expenses associated with early retirements, offset by recoveries recognised by INPS on previous early retirement/solidarity fund procedures.

- **Risks and charges associated with SRF, DGS and similar schemes**, with a balance of **EUR -123 mln** consisting of the Group's contribution due to the Single Resolution Fund (SRF) equivalent to EUR 54 mln, the additional amount due to the National Resolution Fund (NRF) of EUR 20 mln, the total amount recognised to IDPF (DGS) of EUR 41 mln, and the net loss on the exposure with the IDPF Voluntary Scheme (for the Carige intervention) amounting to EUR 8 mln at the end of 2019.
- **DTA fee**, amounting to **EUR -71 mln**. This amount, determined according to the criteria set forth in Law Decree 59/2016, converted into Law no. 119 of 30 June 2016, represents the fee as at 31 December 2019 on DTAs (Deferred Tax Assets) that can be converted into a tax credit.
- **Gains (losses) on disposal of investments** of **EUR 3 mln** related to the sale of property. As at 31 December 2018, the aggregate was a positive EUR 50 mln and linked primarily to income deriving from the disposal of Juliet.

Due to the changes discussed above, the Group's **Profit before tax from continuing operations** stood at **EUR +53 mln**, up with respect to the levels as at 31 December 2018, which recorded a loss of EUR -109 mln.

Tax expense (recovery) on income from continuing operations recorded a negative contribution of **EUR 1.1 bn**, due to the modification of the value of deferred tax assets (DTAs) recorded in the financial statements, to take into account the effects on future taxable income resulting from the reintroduction of the "ACE - Support for Economic Growth" tax benefit and changes in the macroeconomic scenario.

Considering the net effects of the PPA (EUR -12 mln), the **Group's consolidated loss amounted to EUR 1 bn**, compared to a net profit of EUR 279 mln in 2018.



In compliance with Consob instructions, following is a statement of the reconciliation of the Shareholders' equity and Net profit and loss for the year of the Parent Company with the consolidated items:

Reconciliation between Parent Company and Consolidated Net Equity and Profit (Loss) for the period		
	Shareholders' equity	Net profit (loss)
Parent Company's net equity	7,577.7	(1,174.5)
<i>of which Parent Company's valuation reserves</i>	<i>(28.4)</i>	<i>-</i>
Impact of line-by-line consolidation of subsidiaries	(2,051.0)	(10.2)
Impact of associates	301.4	93.9
Reversal of dividends from subsidiaries	-	(59.9)
Effect of write off of depreciation/revaluation of equity investments	2,946.6	30.5
Other adjustments	(590.4)	87.2
Subsidiaries' valuation reserves	94.8	-
Consolidated balance	8,279.1	(1,033.0)
<i>of which valuation reserves</i>	<i>66.4</i>	



Reclassified balance sheet

Reclassified Balance Sheet				
ASSETS	31 12 2019	31 12 2018*	Chg	
			abs.	%
Cash and cash equivalents	835.1	950.6	(115.5)	-12.2%
Financial assets measured at amortised cost:				
a) Loans to customers	88,985.1	86,855.5	2,129.6	2.5%
b) Loans to banks	15,722.4	12,504.2	3,218.2	25.7%
Financial assets measured at fair value	17,393.2	20,296.2	(2,903.0)	-14.3%
Equity investments	931.0	922.8	8.2	0.9%
Property, plant and equipment / Intangible assets	2,885.2	2,727.3	157.9	5.8%
<i>of which:</i>				
a) goodwill	7.9	7.9	-	0.0%
Other assets	5,444.0	6,224.4	(780.4)	-12.5%
Total assets	132,196.0	130,481.0	1,715.0	1.3%
LIABILITIES	31 12 2019	31 12 2018*	Chg	
			abs.	%
Payables				
a) Deposits from customers and securities issued	94,217.3	90,471.7	3,745.6	4.1%
b) Deposits from banks	20,178.1	21,986.3	(1,808.2)	-8.2%
Financial liabilities held for trading	3,882.6	3,175.7	706.9	22.3%
Provisions for specific use				
a) Provisions for staff severance indemnities	178.7	192.1	(13.4)	-7.0%
b) Provisions related to guarantees and other commitments given	158.8	242.4	(83.6)	-34.5%
c) Pensions and other post retirement benefit obligations	36.1	37.9	(1.8)	-4.7%
d) Other provisions	1,014.9	1,199.9	(185.0)	-15.4%
Other liabilities	4,248.6	4,180.8	67.8	1.6%
Group net equity	8,279.1	8,992.0	(712.9)	-7.9%
a) Valuation reserves	66.4	(176.7)	243.1	n.m.
c) Equity instruments carried at equity	-	-	-	0.0%
d) Reserves	(769.2)	(1,124.8)	355.6	-31.6%
e) Share premium	-	-	-	0.0%
f) Share capital	10,328.6	10,328.6	-	0.0%
g) Treasury shares (-)	(313.7)	(313.7)	-	0.0%
h) Net profit (loss) for the year	(1,033.0)	278.6	(1,311.6)	n.m.
Non-controlling interests	1.8	2.2	(0.4)	-18.2%
Total Liabilities and Shareholders' Equity	132,196.0	130,481.0	1,715.0	1.3%

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



Reclassified Balance Sheet - Quarterly Trend								
ASSETS	31 12 19	30 09 19	30 06 19	31 03 19	31 12 18*	30 09 18*	30 06 18*	31 03 18*
Cash and cash equivalents	835.1	675.8	650.1	609.1	950.6	714.1	721.2	896.9
Financial assets measured at amortised cost:								
a) Loans to customers	88,985.1	90,470.7	87,483.7	89,375.7	86,855.5	87,464.9	87,010.1	89,320.4
b) Loans to banks	15,722.4	13,651.9	12,474.4	11,097.1	12,504.2	8,724.2	8,636.3	6,374.5
Financial assets measured at fair value	17,393.2	18,195.0	19,892.4	20,568.7	20,296.2	25,430.0	29,257.2	25,652.3
Equity investments	931.0	1,053.4	958.2	901.7	922.8	905.1	896.8	1,075.8
Property, plant and equipment / Intangible assets	2,885.2	2,890.8	2,921.1	2,977.7	2,727.3	2,746.9	2,789.9	2,831.2
of which:								
a) goodwill	7.9	7.9	7.9	7.9	7.9	7.9	7.9	7.9
Other assets	5,444.0	6,937.6	7,159.0	6,592.3	6,224.4	6,199.8	6,411.4	10,620.6
Total assets	132,196.0	133,875.2	131,538.9	132,122.3	130,481.0	132,185.0	135,722.8	136,771.8
LIABILITIES	31 12 19	30 09 19	30 06 19	31 03 19	31 12 18*	30 09 18*	30 06 18*	31 03 18*
Payables								
a) Deposits from customers and securities issued	94,217.3	92,246.3	92,215.9	92,686.1	90,471.7	93,906.0	96,833.9	97,856.8
b) Deposits from banks	20,178.1	21,046.6	21,137.3	22,170.2	21,986.3	20,838.9	20,794.8	20,483.1
Financial liabilities held for trading	3,882.6	3,466.9	2,972.1	2,502.1	3,175.7	3,000.6	3,173.6	3,625.4
Provisions for specific use								
a) Provisions for staff severance indemnities	178.7	184.7	182.8	182.1	192.1	194.6	196.3	197.3
b) Provisions related to guarantees and other commitments given	158.8	205.0	208.1	220.6	242.4	219.2	209.7	223.4
c) Pensions and other post retirement benefit obligations	36.1	35.9	36.6	37.2	37.9	40.5	43.8	49.4
d) Other provisions	1,014.9	991.6	1,035.0	1,073.7	1,199.9	1,067.4	1,112.5	1,086.6
Other liabilities	4,248.6	6,109.3	4,412.7	4,159.3	4,180.8	3,946.7	4,361.5	3,949.2
Group net equity	8,279.1	9,587.0	9,336.4	9,088.6	8,992.0	8,968.9	8,994.5	9,298.3
a) Valuation reserves	66.4	153.0	(15.0)	(123.7)	(176.7)	(305.0)	(194.0)	196.7
d) Reserves	(769.2)	(767.8)	(756.6)	(830.5)	(1,124.8)	(1,120.3)	(1,114.9)	(1,100.8)
e) Share premium	-	-	-	-	-	-	-	-
f) Share capital	10,328.6	10,328.6	10,328.6	10,328.6	10,328.6	10,328.6	10,328.6	10,328.6
g) Treasury shares (-)	(313.7)	(313.7)	(313.7)	(313.7)	(313.7)	(313.7)	(313.7)	(313.7)
h) Net profit (loss) for the year	(1,033.0)	186.9	93.1	27.9	278.6	379.3	288.5	187.5
Non-controlling interests	1.8	1.9	2.0	2.4	2.2	2.2	2.2	2.3
Total Liabilities and Shareholders' Equity	132,196.0	133,875.2	131,538.9	132,122.3	130,481.0	132,185.0	135,722.8	136,771.8

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



Customer funding

The Group's **total funding** as at 31 December 2019 amounted to **EUR 196.0 bn**, up EUR 2.7 bn with respect to 30 September 2019 and EUR 9.0 bn compared to 31 December 2018, due to the increase in both Indirect Funding and Direct Funding.

Background

The uncertainty that characterises the economic scenario and the consequent aversion to risk, also highlighted by the increase in the propensity to save, continues to favour the increase in bank deposits of resident consumer customers (net of central counterparties and securitisation transactions). In fact, during the year the aggregate demonstrated an acceleration in the trend, with an increase in the annual trend from around 3% in the second half of 2018 to over 5%. The preference for holding liquidity remains high, with current accounts growing by almost 6% per year; in addition, time deposits ceased their downward trend, including as a result of the inclusion in this technical form, starting in January 2019, of financial liabilities connected with the entry into force of IFRS 16. After roughly seven years of declines, bond funding is showing a reversal of the trend, although with the annual performance returning to a positive value from October; indeed, net bond issues from Italian banks have resumed (EUR 2.2 bn in the first ten months of the year), including with instruments designed to cover the MREL requirement. Overall, direct bank deposits grew by almost 2% on average for the year, exceeding the financial needs of the credit cycle; this led to a reduction in the Loans/Deposits ratio as well as an increase in the reserves with the ECB and, in general, with other financial assets in banks' portfolios.

With respect to interest rates, those on deposits of non-financial companies and households fluctuated at around 0.36% during the year (-3 bps compared to the 2018 average); the rate on bonds continued its downward trend, reaching under 2.2%, more than 20 bps lower than the end of 2018. The weighted average cost of direct funding (calculated on the ABI sample) thus fell below 0.50%, a sizeable drop from the previous year in which the annual average was 0.58%.

Regarding managed assets, despite the low interest rates, net deposits in mutual funds continues to be essentially stagnant, with widespread aversion to risk and a reduction of the transfer of assets under administration in household portfolios to managed assets. Net flows were positive, up to November, for around EUR 500 mln, which was the same result obtained in the previous year. New savings, mainly supported by the financial advisor networks (EUR +3 bn), primarily flowed to bond and balanced products, while equity and flexible funds showed predominantly redemptions. Asset management returned to more than EUR 1,000 bn (around +9% on an annual basis), highlighting the achievement of significant returns, which reflect the positive performance of equity markets during the year (MSCI World Index +26%). Net funding on retail individual asset management was positive for just under EUR 1 bn, while the stock rose by roughly EUR 8 bn as at November (+6% annual rate). In the savings policy market, new production (in the first ten months) was essentially stable compared to the same period of the previous year, with a recomposition of the "business mix" in favour of multi-segment products and at the expense of unsecured units. Net inflows, up to September, were positive for around EUR 20 bn, the most modest result of the last six years, mainly due to the increase in expired policies and accrued income. Lastly, in the first nine months of the year assets under custody (securities under custody and administration) referring to households, non-financial companies and the public administration inverted the downward trend of the previous five years, marking an increase of around EUR 30 bn (at current values) compared to December 2018.

Customer Funding							
	31/12/19	30/09/19	31/12/18	Chg Q/Q		Chg Y/Y	
				Abs.	%	Abs.	%
Direct funding	94,217.3	92,246.3	90,471.7	1,971.0	2.1%	3,745.6	4.1%
Indirect funding	101,791.5	101,023.0	96,488.6	768.5	0.8%	5,303.0	5.5%
Total funding	196,008.8	193,269.3	186,960.3	2,739.5	1.4%	9,048.6	4.8%

Volumes of **Direct Funding**, standing at **EUR 94.2 bn**, were up EUR 2.0 bn compared to the end of September 2019, mainly in the bond segment (EUR +1.2 bn), Current Accounts (EUR +0.8 bn), and repurchase agreements (EUR +0.5 bn), while other forms of funding decreased (EUR -0.4 bn). The aggregate was up by EUR 3.7 bn compared to the end of December 2018 (EUR 4.7 bn excluding the effects of the sale of BMP Belgio S.A.), despite the EUR 4.0 bn decrease in repurchase agreements, which was more than offset by growth in Current Accounts and Time Deposits (EUR +3.6 bn), Bonds (EUR +3.1 bn) and other forms of funding (EUR +1.0 bn).



The Group's market share¹⁷ on Direct Funding was 3.78% (figure updated in November 2019), an improvement compared to December 2018 (3.70%).

Direct funding							
Type of transaction	31/12/19	30/09/19	31/12/18	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Current accounts	56,045.6	55,267.1	53,156.0	778.5	1.4%	2,889.6	5.4%
Time deposits	9,594.2	9,621.8	8,871.4	(27.6)	-0.3%	722.8	8.1%
Reverse repurchase agreements	6,173.7	5,700.9	10,137.0	472.8	8.3%	(3,963.3)	-39.1%
Bonds	14,154.0	12,983.0	11,052.4	1,171.0	9.0%	3,101.6	28.1%
Other types of direct funding	8,249.8	8,673.5	7,254.9	(423.7)	-4.9%	994.9	13.7%
Total	94,217.3	92,246.3	90,471.7	1,971.0	2.1%	3,745.6	4.1%

Indirect Funding amounted to **EUR 101.8 bn**, up compared to 30 September 2019 (EUR +0.8 bn) and 31 December 2018 (EUR +5.3 bn), despite the elimination of the contribution of BMP Belgio S.A., thanks to a consistent positive market effect, which benefitted both the Assets under Management and the Assets under Custody components.

In detail, **Assets under Management**, amounting to **EUR 59.3 bn**, grew compared to September 2019 by EUR 0.7 bn and compared to December 2018 by EUR 3.4 bn, primarily in the bancassurance and funds segments.

Indirect Funding							
	31/12/19	30/09/19	31/12/18	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Assets under management	59,302.0	58,603.0	55,887.7	699.0	1.2%	3,414.2	6.1%
<i>Mutual Funds/ Sicav</i>	27,181.4	27,080.0	26,308.4	101.4	0.4%	873.1	3.3%
<i>Individual Portfolio under Management</i>	5,103.1	5,142.0	5,015.9	(38.9)	-0.8%	87.1	1.7%
<i>Insurance Products</i>	27,017.4	26,381.0	24,563.4	636.4	2.4%	2,454.0	10.0%
Assets under custody	42,489.6	42,420.0	40,600.8	69.6	0.2%	1,888.8	4.7%
Total funding	101,791.5	101,023.0	96,488.6	768.5	0.8%	5,303.0	5.5%

¹⁷ Deposits and repurchase agreements (excluding repurchase agreements with central counterparties) from resident consumer clients and bonds net of repurchases placed with ordinary resident customers as first-instance borrowers.



Loans to customers

As at 31 December 2019, the Group's **Loans to Customers** amounted to **EUR 89.0 bn**, a drop of EUR 1.5 bn from the end of September 2019 due to the reduction in Non-performing loans (EUR -0.7 bn), Current accounts (EUR -0.3 bn), and Other loans (EUR -0.5 bn). Compared to 31 December 2018, the aggregate was up by EUR 2.1 bn (+2.8 bn excluding the effects of the disposal of BMP Belgio S.A) primarily on Securities lending (EUR +1.9 bn), repurchase agreements (EUR +1.0 bn), and Mortgage loans (EUR +0.8 bn). By contrast, there was a drop in Current accounts (EUR -0.3 bn) and Non-performing loans (EUR -1.5 bn), impacted by disposals of UTP and bad loans.

Background

The trend in bank lending continues to be weak, influenced by modest performance in the real economy and greater recourse to alternative sources of financing by businesses; annual growth in loans to the private sectors, adjusted for disposals, is lower than 1% for the full year. The slowdown (from an average of +2.5% in 2018) can also be attributed to a "reference basis" effect, due to the increase in loans to companies in January of 2018, corresponding to the end of the reference period for the calculation of rates to be applied to TLTRO-II loans. Supply policies have less restrictive criteria, as reported, at a qualitative level, by the results of the Bank of Italy's Bank Lending Survey and, at a quantitative level, by the trend in bank interest rates on loans. Loans to businesses are struggling to recover, including due to the greater use of self-financing; in 2019, the trend in loans to non-financial companies was, in fact, always negative (almost -1% monthly average); the reduction is concentrated among companies with low creditworthiness, while growth continues for more solid and larger companies. Loans to households continued to grow, although at slightly decreasing rates (from +2.7% on average in 2018 to +2.5%). Mortgage loans for the purchase of home - net of bad loans - recorded a moderate acceleration (from +2.3% to +2.6% annual average), despite some signs of a slowdown in the residential real estate market; the percentage of purchases financed by a mortgage fell, but the ratio of loan to property value increased; consumer credit confirms a growth trend of around +8%.

As regards interest rates, after the rebound in the first four months, the rate on the stock of loans to non-financial companies started dropping once again, reaching 2% in November (-6 bps compared to December 2018), while the rate to households was 3% (-8 bps, with the rate for home purchases decreasing to 1.89%). On new transactions, loans to non-financial companies declined to under 1.3% (from 1.47% at the end of 2018) and those for home mortgage loans to around 1.45% (from 1.9%). The rate spread between loans and deposits has declined, in average annual terms, from 2.28% to 2.22%.

The reduction in bad loans continued (November data) compared to both the end of last year (EUR -19.4 bn) and on a trend basis (-31.7%), mainly as a result of disposal transactions. The effect of the weakness in the economic cycle on the emergence of new non-performing loans was limited by low interest rates, which support the capacity to repay debt; the impairment rate decreased further, falling below 2% for businesses and just above 1.1% for the overall economy in the third quarter of 2019. The impact of bad loans, net of loss provisions, on bank loans fell below 1.8% (from an average of 2.5% in 2018).

The Group's market share¹⁸ stood at 5.08% (last available figure from November 2019), an improvement compared to the end of 2018.

¹⁸ Loans to ordinary resident customers, including bad loans and net of repo transactions with central counterparties.



Loans to customers							
Type of transaction	31/12/19	30/09/19	31/12/18	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Current accounts	4,626.0	4,945.8	4,941.0	(319.8)	-6.5%	(315.0)	-6.4%
Mortgages	49,046.0	49,089.2	48,217.0	(43.2)	-0.1%	829.0	1.7%
Other forms of lending	15,771.6	16,250.5	15,614.7	(478.9)	-2.9%	156.9	1.0%
Repurchase agreements	4,434.0	4,417.9	3,394.9	16.1	0.4%	1,039.1	30.6%
Securities lending	9,309.5	9,304.3	7,386.0	5.2	0.1%	1,923.5	26.0%
Non performing loans	5,798.0	6,463.0	7,301.9	(665.0)	-10.3%	(1,503.9)	-20.6%
Total	88,985.1	90,470.7	86,855.5	(1,485.6)	-1.6%	2,129.6	2.5%
<i>Stage 1</i>	<i>71,711.8</i>	<i>72,330.4</i>	<i>66,899.8</i>	<i>(618.6)</i>	<i>-0.9%</i>	<i>4,812.0</i>	<i>7.2%</i>
<i>Stage 2</i>	<i>11,475.3</i>	<i>11,677.2</i>	<i>12,653.8</i>	<i>(201.9)</i>	<i>-1.7%</i>	<i>(1,178.5)</i>	<i>-9.3%</i>
<i>Stage 3</i>	<i>5,798.0</i>	<i>6,463.1</i>	<i>7,301.9</i>	<i>(665.1)</i>	<i>-10.3%</i>	<i>(1,503.9)</i>	<i>-20.6%</i>

In 4Q19, the medium/long-term component (excluding the Widiba contribution) recorded new disbursements of EUR 2.8 bn, up compared to 3Q19 (EUR +0.4 bn) and down Y/Y (EUR -0.8 bn).

Laons to customers measured at amortised cost		Stage 1	Stage 2	Stage 3	Total
31 12 2019	Gross exposure	71,781.9	11,885.5	10,921.5	94,588.9
	Provisions	70.1	410.2	5,123.5	5,603.8
	Net exposure	71,711.8	11,475.3	5,798.0	88,985.1
	Coverage ratio	0.10%	3.45%	46.91%	5.92%
	% on Loans to customers	80.59%	12.90%	6.52%	100.00%
31 12 2018	Gross exposure	66,977.2	13,235.2	14,935.2	95,147.6
	Provisions	77.4	581.4	7,633.3	8,292.1
	Net exposure	66,899.8	12,653.8	7,301.9	86,855.5
	Coverage ratio	0.12%	4.39%	51.11%	8.71%
	% on Loans to customers	77.02%	14.57%	8.41%	100.00%

During 2019, the process of constant improvement in the quality of the loan portfolio continued by developing customers with good credit standing and deleveraging those with low credit standing. On one hand, this resulted in the increase in loans classified in the first stage (for which the gross exposure, equal to EUR 71.8 bn as at 31 December 2019, was up by EUR 4.9 bn compared to 31 December 2018) and, on the other, the decrease in those classified in the second stage (for which the gross exposure, equal to EUR 11.9 bn as at 31 December 2019, decreased by EUR 1.3 bn compared to 31 December 2018). The improvement in the portfolio quality is also demonstrated by the constant reduction in the flow of defaults, which originates mainly from loans classified in the second stage.

Non-performing loans

In the tables below, non-performing financial assets include all cash exposures regardless of the accounting portfolio they belong to, with the exception of equity instruments, UCITS, assets held for trading and hedging derivatives. Moreover, the gross value and the loss provisions of non-performing financial assets are shown net



of interest on arrears and of the relative adjustments. Performing customer loan exposures are represented by loans at amortised cost and loans measured at fair value as per mandatory requirements.

As at 31 December 2019, the Group's **exposure to gross non-performing loans** totalled **EUR 12.0 bn**, down compared to the end of September 2019 (EUR -2.6 bn) due to the disposals made over the year and the deconsolidation of positions already classified under Assets held for sale as at 30 September 2019, as well as other reductions linked to write-offs, conversions and payments. The aggregate was also down compared to 31 December 2018 (EUR -4.9 bn). The gross exposure to Bad Loans was down compared to 30 September 2019 by EUR 1.7 bn primarily due to the above-mentioned disposals and debt collection, in part offset by new positions transferred to that category during the period and by EUR 2.1 bn compared to 31 December 2018. The exposure of Unlikely to Pay also fell by EUR 0.8 bn over September 2019 and EUR 2.7 bn over December 2018, mainly following transfers/reductions, management, and deterioration to Bad Loans recorded during the period. Gross non-performing past due exposures were down compared to September 2019 and December 2018.

As at 31 December 2019, the Group's **net exposure in terms of non-performing loans** totalled **EUR 6.1 bn**, down compared to 30 September 2019 (EUR -0.8 bn), as well as 31 December 2018 (EUR -1.8 bn). The net exposure to Bad Loans declined compared to 30 September 2019 (EUR -0.1 bn) as well as 31 December 2018 (EUR -0.2 bn). The net exposure of Unlikely to Pay also fell by EUR 0.6 bn over September 2019 and EUR 1.5 bn over 31 December 2018. Net non-performing past due exposures were down compared to 30 September 2019 as well as compared to 31 December 2018.

The ratio between net non-performing loans and net loans to customers as at 31 December 2019 was 6.8%, down compared to September 2019 (equal to 7.6%) and compared to December 2018 (9%). Within the aggregate, the incidence of Unlikely to Pay decreased in the quarter (from 4.0% in September 2019 to 3.4% in December 2019). The incidence of Past Due Exposures and Bad Loans also showed a slight decline.

	Loans to customers	Bad loans	Unlikely to pay	Non-performing Past due	Non-performing exposures	Performing exposures	Total	- of which forborne impaired	- of which forborne not impaired
31 12 2019	Gross exposure	6,442.7	5,409.9	98.3	11,950.9	84,098.5	96,049.4	4,599.2	2,327.9
	Provisions	3,460.7	2,348.5	23.1	5,832.3	480.3	6,312.6	1,913.6	138.4
	Net exposure	2,982.0	3,061.4	75.2	6,118.6	83,618.2	89,736.8	2,685.6	2,189.5
	Coverage ratio	53.7%	43.4%	23.5%	48.8%	0.6%	6.6%	41.6%	5.9%
	% on Loans to customers	3.3%	3.4%	0.1%	6.8%	93.2%	100.0%		
30 09 2019	Gross exposure	8,120.9	6,201.3	202.5	14,524.7	84,713.1	99,237.8	5,415.0	1,966.5
	Provisions	5,007.7	2,584.8	47.4	7,639.9	489.5	8,129.4	2,249.2	139.3
	Net exposure	3,113.2	3,616.5	155.1	6,884.8	84,223.6	91,108.4	3,165.8	1,827.2
	Coverage ratio	61.7%	41.7%	23.4%	52.6%	0.6%	8.2%	41.5%	7.1%
	% on Loans to customers	3.4%	4.0%	0.2%	7.6%	92.4%	100.0%		
31 12 2018	Gross exposure	8,584.1	8,065.7	177.5	16,827.3	80,423.2	97,250.5	6,522.1	2,195.3
	Provisions	5,360.0	3,550.5	32.5	8,943.0	658.8	9,601.8	2,887.7	174.0
	Net exposure	3,224.1	4,515.2	145.0	7,884.3	79,764.4	87,648.7	3,634.4	2,021.3
	Coverage ratio	62.4%	44.0%	18.3%	53.1%	0.8%	9.9%	44.3%	7.9%
	% on Loans to customers	3.7%	5.2%	0.2%	9.0%	91.0%	100.0%		

As at 31 December 2019, **coverage** of non-performing loans stood at 48.8%, down from 30 September 2019 (52.6%) and 31 December 2018 (53.1%). In particular, coverage declined on Bad Loans to 53.7% (61.7% as at 30 September 2019 and 62.4% as at 31 December 2018). This trend is influenced by the deconsolidation of



positions subject to disposal transactions carried out over time that, in reference to Bad Loans, mainly involved unsecured loans characterised by higher coverage percentages.

Changes in gross exposure

	abs/%	Bad loans	Unlikely to pay	Non performing past due	Non performing exposures	Performing exposures	Total	- of which forbore impaired	- of which forbore not impaired
Q/Q	abs.	(1,678.2)	(791.4)	(104.2)	(2,573.8)	(614.6)	(3,188.4)	(815.8)	361.4
	%	-20.7%	-12.8%	-51.5%	-17.7%	-0.7%	-3.2%	-15.1%	18.4%
Y/Y	abs.	(2,141.4)	(2,655.8)	(79.2)	(4,876.4)	3,675.3	(1,201.1)	(1,922.9)	132.6
	%	-24.9%	-32.9%	-44.6%	-29.0%	4.6%	-1.2%	-29.5%	6.0%

Changes in coverage ratio

	Bad loans	Unlikely to pay	Non performing past due	Non performing exposures	Performing exposures	Total
Q/Q	-7.95%	1.73%	0.09%	-3.80%	-0.01%	-1.62%
Y/Y	-8.73%	-0.61%	5.19%	-4.34%	-0.25%	-3.30%

Financial assets/liabilities

As at 31 December 2019, the Group's **Financial assets measured at fair value** totalled **EUR 17.4 bn**, down by EUR 0.8 bn compared to 30 September 2019, as a result of the reduction in Financial assets held for trading (EUR -0.6 bn) attributable to MPS Capital Services, for lower transactions in Italian government securities, and Financial assets measured at fair value through other comprehensive income (EUR -0.3 bn) in relation to sales, predominantly of government securities, carried out in 4Q19. The aggregate was also down compared to 31 December 2018 (EUR -2.9 bn) due to the reduction in Financial assets measured at fair value through other comprehensive income, in relation to net purchase/sale transactions carried out in 3Q19, only partially offset by the increase in the trading component referring to the subsidiary MPS Capital Services. **Financial liabilities held for trading** rose compared to the end of September 2019 by EUR 0.4 bn and by EUR 0.7 bn compared to 31 December 2018.

Items	31 12 2019	30 09 2019	31 12 2018	Chg. Q/Q		Chg. Y/Y	
				Abs.	%	Abs.	%
Tradable financial assets	17,393.2	18,195.0	20,296.2	(801.8)	-4.4%	(2,903.0)	-14.3%
Financial assets held for trading	9,902.5	10,534.0	8,560.0	(631.5)	-6.0%	1,342.5	15.7%
Financial assets measured at fair value mandatory	763.9	624.8	705.8	139.1	22.3%	58.1	8.2%
Financial assets measured at fair value through other comprehensive income	6,726.8	7,036.2	11,030.4	(309.4)	-4.4%	(4,303.6)	-39.0%
Financial liabilities held for trading	3,882.6	3,466.9	3,175.7	415.7	12.0%	706.9	22.3%



Items	31 12 2019		30 09 2019		31 12 2018	
	Tradable financial assets	Financial liabilities held for tradig	Tradable financial assets	Financial liabilities held for tradig	Tradable financial assets	Financial liabilities held for tradig
Debt securities	13,579.1	-	14,099.4	-	16,299.6	-
Equity instruments and Units of UCITS	522.1	-	443.7	-	454.7	-
Loans	323.7	-	350.1	-	413.5	-
Debts	-	2,435.5	-	1,777.2	-	1,873.9
Derivatives	2,968.3	1,447.1	3,301.8	1,689.7	3,128.4	1,301.8
Total	17,393.2	3,882.6	18,195.0	3,466.9	20,296.2	3,175.7

Interbank position

At the end of 2019, the Group's **net interbank position** stood at **EUR 4.5 bn** in funding, EUR 5.0 bn lower than the balance as at 31 December 2018 due to lower bank funding and the increase in ECB deposits. The aggregate was down by EUR 2.9 bn compared to September 2019, mainly as a result of the increase in ECB deposits and the reduction in TLTRO.

Interbank balances							
	31/12/19	30/09/19	31/12/18	Change Q/Q		Change Y/Y	
				Abs.	%	Abs.	%
Loans to banks measured at amortised cost	15,722.4	13,651.9	12,504.2	2,070.5	15.2%	3,218.2	25.7%
Deposits from banks measured at amortised cost	20,178.1	21,046.6	21,986.3	(868.5)	-4.1%	(1,808.2)	-8.2%
Net position	(4,455.7)	(7,394.7)	(9,482.1)	2,939.0	-39.7%	5,026.4	-53.0%

As at 31 December 2019 the operational liquidity position showed an **unencumbered Counterbalancing Capacity of approx. EUR 24.7 bn**, an increase of EUR 1.3 bn compared to 30 September 2019 and EUR 3.5 bn compared to 31 December 2018, thanks to the improvement in the commercial imbalance, issues made in the course of the year and the new securitisation of SME mortgage loans, offset only in part by institutional bond and autocovered maturities.



Shareholders' equity

As at 31 December 2019, the **Shareholders' equity of the Group and non-controlling interests** was roughly **EUR 8.3 bn**, down EUR 1.3 bn compared to 30 September 2019 mainly due to the loss for the year. The decrease compared to the levels at the end of December 2018 (-7.9%), due to the loss for the year, was partially offset by the improvement in valuation reserves (due to the drop in the BTP-Bund spread) and other reserves (mainly attributable to reaching the ten-year limit on the indemnity issued to Bank of NY for FRESH 2008, equal to EUR 76 mln).

Reclassified Consolidated Balance Sheet							
Equity	31/12/19	30/09/19	31/12/18	Chg Q/Q		Chg Y/Y	
				Abs.	%	Abs.	%
Group net equity	8,279.1	9,587.0	8,992.0	(1,307.9)	-13.6%	(712.9)	-7.9%
a) Valuation reserves	66.4	153.0	(176.7)	(86.6)	-56.6%	243.1	n.s.
d) Reserves	(769.2)	(767.8)	(1,124.8)	(1.4)	0.2%	355.6	-31.6%
f) Share capital	10,328.6	10,328.6	10,328.6	-	n.s.	-	n.s.
g) Treasury shares (-)	(313.7)	(313.7)	(313.7)	-	n.s.	-	n.s.
h) Net profit (loss) for the year	(1,033.0)	186.9	278.6	(1,219.9)	n.s.	(1,311.6)	n.s.
Non-controlling interests	1.8	1.9	2.2	(0.1)	-5.3%	(0.4)	-18.2%
Total Group Shareholder's Equity and Non-controlling interests	8,280.9	9,588.9	8,994.2	(1,308.0)	-13.6%	(713.3)	-7.9%



Capital adequacy

Regulatory capital and statutory requirements

As a result of the conclusion of the 2018 SREP conducted with reference to the figures as at 31 December 2017 and taking into account the information received after that date, with the submission of the 2018 SREP Decision, the ECB asked to Parent Company to maintain, effective 1 March 2019, a consolidated TSCR level of 11%, which includes 8% as a minimum requirement for Capital pursuant to art. 92 of the CRR and 3% as Pillar II capital requirement, fully comprised of CET1.

The Pillar II capital requirement therefore remained unchanged with respect to 2018 and was confirmed again in the SREP Decision received on 10 December 2019 for the year 2020.

With regard to Pillar II Capital Guidance, the ECB expects that the Parent Company adapt, on a consolidated basis, to a requirement of 1.3% (1.5% in 2018), to be fully met with Common Equity Tier 1 capital in addition to the minimum regulatory requirement of CET1, the additional Pillar II requirement and the Combined Capital Reserve Requirement. Failing to comply with this capital guidance is not the same as failure to comply with capital requirements.

Lastly, it should be noted that from 1 January 2019 the Capital Conservation Buffer is 2.5% (1.875% until 31 December 2018) due to the planned phase-in, and that the Group was no longer required to comply with the O-SII Buffer for 2019 (0.06% until the end of 2018) since, for 2019, it was not identified by the Bank of Italy as a systemically important institution authorised in Italy.

Accordingly, the Group must meet the following requirements at the consolidated level as at 31 December 2019:

- CET1 Ratio of 10.00%;
- Total Capital Ratio of 13.50% including, in addition to P2R, 2.5% for the *Capital Conservation Buffer*.

As at **31 December 2019**, the Group's level of capital on a transitional basis consisted of the following:

Categories / Values	31 12 2019	31 12 2018	Chg. 31 12 2019	
			Abs.	%
OWN FUNDS				
Common Equity Tier 1 (CET1)	8,620.3	8,020.5	599.8	7.48%
Tier 1 (T1)	8,620.3	8,020.5	599.8	7.48%
Tier 2 (T2)	1,154.3	857.5	296.8	34.62%
Total capital (TC)	9,774.6	8,878.0	896.6	10.10%
RISK ASSETS				
Credit and Counterparty Risk	45,236.1	45,925.4	(689.3)	-1.50%
Credit valuation adjustment risk	356.4	457.7	(101.3)	-22.13%
Market risks	2,646.3	2,426.0	220.3	9.08%
Operational risk	10,320.3	9,562.5	757.8	7.92%
Risk-weighted assets	58,559.1	58,371.6	187.5	0.32%
CAPITAL RATIOS				
CET1 capital ratio	14.72%	13.74%	0.98%	
Tier1 capital ratio	14.72%	13.74%	0.98%	
Total capital ratio	16.69%	15.21%	1.48%	



Compared to 31 December 2018, CET1 rose by a total of EUR 600 mln, essentially due to the following phenomena:

- improvement in the balance of the Other Comprehensive Income Reserve, for EUR 243 mln, and other reserves for EUR 90 mln (primarily due to the elimination of the indemnity issued to Bank of NY in relation to FRESH 2008, amounting to EUR 76 mln, after the ten-year time limit was reached);
- the loss for the year of EUR 1,033 mln;
- cancellation of the filter on multiple tax deduction of the same goodwill, set forth in the 29th update of Circ. 285 of the Bank of Italy, for EUR 192 mln;
- decrease in deductions associated with intangible assets (EUR 44 mln) and DTAs (EUR 837 mln), in addition to the decrease in non-exempt deductions relating to qualified financial investments and DTAs (for a total of EUR 495 mln);
- decline in the neutralisation of the impact of IFRS 9 connected to the first-time adoption of the accounting standard as set forth in Regulation (EU) 2017/2935 (inclusive of the positive effect of the relative DTAs), equal to a total of EUR -256 mln and the negative effects of the end of the transition period for EUR -12 mln.

Tier 2 marked an increase of EUR 297 mln compared to the end of December 2018, substantially due to the issue in July 2019 of subordinated T2 bonds for EUR 300 mln.

The Total Capital Ratio therefore reflects an overall increase in own funds of EUR 897 mln.

The RWAs recorded an overall increase of EUR 188 mln, due to lowers RWAs relating to credit and counterparty risk (EUR -689 mln) and CVA risk (EUR -101 mln), and higher RWAs for market risk (EUR +220 mln) and operational risk (EUR +758 mln).

For the 2019 SREP, the Parent Company received the 2019 SREP Decision on 10 December 2019, which does not contain significant changes to the quantitative prudential requirements of the 2018 SREP Decision. Specifically, MPS Group must meet a total SREP capital requirement of 11% at consolidated level in 2020, (including a minimum Pillar 1 requirement “P1R” of 8%, of which 4.50% in CET1 capital and an additional Pillar 2 requirement “P2R” of 3% to be held entirely in CET1), unchanged from 2019, to be held entirely in CET1 capital. Moreover, with regard to Pillar II Capital Guidance, the ECB expects BMPS to maintain, on a consolidated basis, a requirement of 1.3%, to be fully met with Common Equity Tier 1 capital, in addition to the total minimum requirement for the Overall Capital Requirement (OCR).

Note in addition that, on 30 November 2019, Bank of Italy identified MPS Group as a systematically important institution in Italy for 2020 and therefore, starting from 1 January 2020, MPS Group is required to maintain a capital reserve of 0.13% (0.19% from 1 January 2021 and 0.25% from 1 January 2022), in addition to the Countercyclical Capital Buffer.

Thus, effective 1 January 2020, the overall minimum requirement for the Total Capital ratio is 13.64%, obtained by adding a Combined Buffer Requirement (CBR) of 2.64% (2.50% Capital Conservation Buffer + 0.13% O-SII Buffer + 0.01% Countercyclical Capital Buffer) to the TSCR¹⁹). As a result, the overall minimum requirement for the CET1 ratio is 10.14%, including the P1R (4.50%), P2R (3%) and CBR (2.64%).

The final decision on the Targeted Review of Internal Models (TRIM) conducted by the Regulator in 2019 on the Low Default Portfolio is expected in 2020. Similarly, the final decision on the model change carried out by the Parent Company and subject to an ECB audit at the end of 2019 is expected in 2020.

¹⁹ Calculated considering the exposure as at 31 December 2019 in the various countries in which MPS Group operates and the requirements established by the competent national authorities.



Tax position of MPS Group

Deferred tax assets (DTAs)

As at 31 December 2019, the Group's situation was as follows:

31 12 2019

DTA	Recognised on balance sheet	%	Not-Recognised on balance sheet	%	Total DTA	%
Convertible DTA Law 214/2011	975.9	53.9%	0.0	0.0%	975.9	20.3%
Non convertible tax losses	253.7	14.0%	2,530.4	84.6%	2,784.2	58.0%
Excess ACE	110.1	6.1%	2.0	0.1%	112.1	2.3%
Other non-convertible	469.7	26.0%	458.5	15.3%	928.2	19.3%
	1,809.4	100.0%	2,990.9	100.0%	4,800.3	100.0%

The Value of DTA is showed offsetted by deferrad tax liabilities.

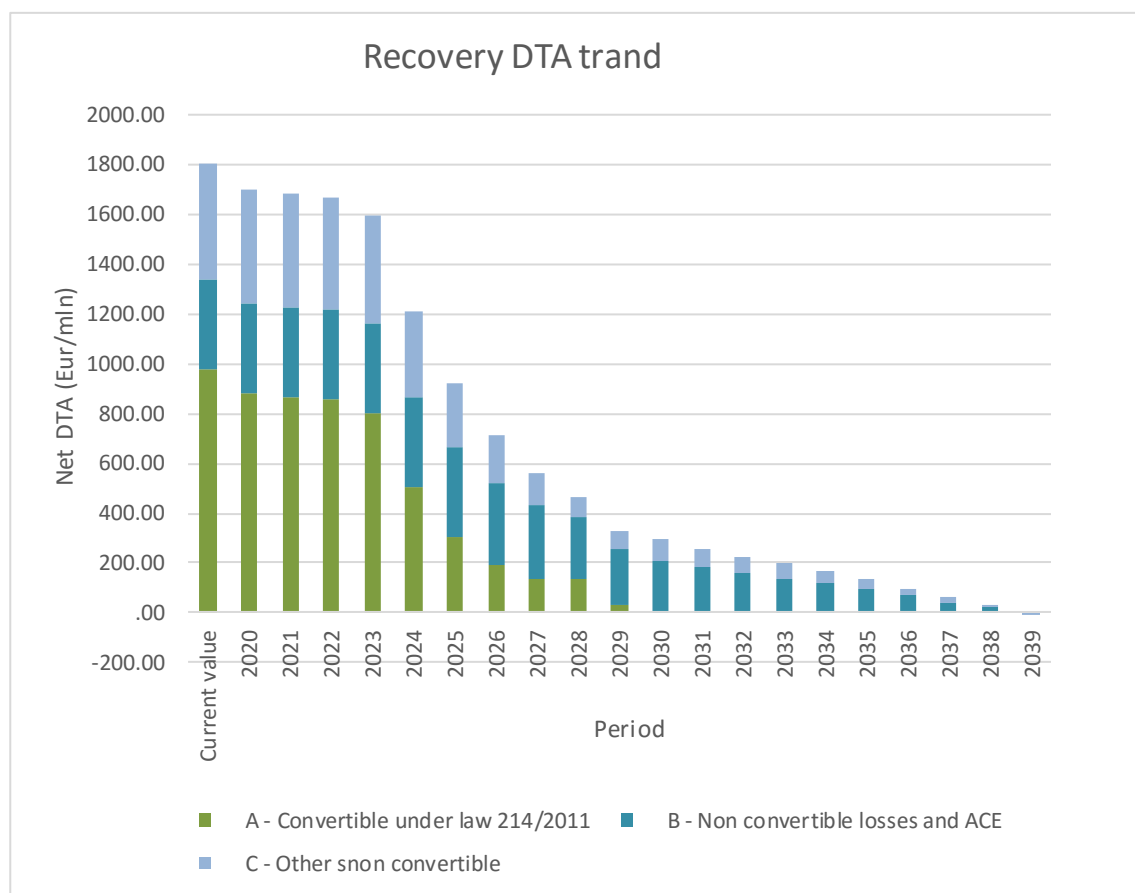
A brief description is provided below of the main characteristics of each of the DTA macro-categories shown in the table.

- **Convertible DTAs Law 214/2011:** refers to DTAs attributable to write-downs of loans to customers (recognised through 2015 and not yet deducted), amortisation of goodwill and other intangible assets that emerged as a result of extraordinary corporate reorganisation transactions, as well as tax losses originating from the reversal of the DTA types mentioned above; these DTAs can be converted into tax credits in the event of a loss for the year and/or tax loss or liquidation of the company. For this reason, the recovery of these convertible DTAs is certain, regardless of the company's income capacity, and therefore are fully recognised in financial statements (the probability test is automatically satisfied). For purposes of calculating own funds, these DTAs are not subject to deduction from CET 1 and are included in the RWA with 100% weighting.
- **Non-convertible DTAs from tax losses:** DTAs on ordinary tax losses (not convertible into tax credits) that can be recognised in financial statements up to the estimated recoverable limit based on the estimated future income capacity (probability test). According to governing tax legislation, tax losses can be carried forward as an offset for positive income from subsequent years without limit (there is no end date). For this reason, the DTAs that do not currently meet the conditions for recognition in financial statements may be recorded in subsequent financial statements should the Group's income capacity increase with respect to the current situation. For purposes of calculating own funds, the amount relating to these DTAs recognised in financial statements, net of the relative share of DTL, is deducted from CET 1.
- **Excess ACE DTAs:** DTAs on ACE deductions not used in previous years due to the lack of taxable income. As regards the recognition in financial statements and the possibility of unlimited carry-over, as well as the treatment for purposes of calculating own funds, the same considerations set out for non-convertible DTAs from tax losses apply.
- **Other non-convertible DTAs:** DTAs attributable to cases other than those previously described, for example, from negative valuation reserves (valuation reserves on FVTOCI securities, reserves on hedging instruments in Cash Flow Hedge, etc.) from provisions for risks and charges, from loan adjustments and losses other than those pursuant to Law 214/2011 (resulting from the FTA of IFRS 9, adjustments to loans to banks, guarantees and commitments, etc.), from write-downs of property, plant and equipment, and from non-deductible personnel expenses (employee severance pay and pension funds), etc. DTAs in this category are also recorded in financial statements up to the estimated recoverable limit based on the estimated future income capacity (probability test), but, as they can be offset with positive future income as a priority with respect to tax and ACE losses, they are subject to lower risk of not being recognised in financial statements. For purposes of calculating own funds, the amount relating to these DTAs recognised in financial statements, net of the relative share of DTL, is deducted from CET 1 for the portion that exceeds 10% of the CET 1 that is obtained after applying the prudential filters and all deductions other than those for other non-convertible DTAs, any deductions in excess of the AT1 capital instruments and deductions in qualified equity investments in financial businesses; Amounts not deducted as a result of the 10% exemption of significant investments in CET



1 capital instruments of financial institutions and other net non-convertible DTAs are deducted only for the portion that exceeds 17.65% of the CET 1 that is obtained after applying the prudential filters and all deductions. Amounts not deducted as part of the exemptions are included in the RWA with 250% weighting.

The following timing is estimated for the recovery of the aforementioned DTAs recognised in financial statements:



The amount of DTAs recognised in financial statements in general may be subject to fluctuations, even substantial, between one year and the next, since the related measurement process is based on variables often outside the company's control, each of which capable of significantly influencing future taxable income, which is the extent to which the DTAs can be recorded.

This applies in particular to MPS Group, which has significant tax losses that were accrued in previous years and at the same time has made equally significant increases in its capital endowment (share capital increases) which entitles companies to the tax credit as an incentive for capitalisation (former ACE).

The combination of these two conditions, in particular, is an important factor behind the volatility in the amount of DTAs recognised in financial statements by MPS Group in recent years. Given that, for technical regulatory reasons, the ACE deduction, in the presence of consolidated IRES taxation, must be used to offset the positive income as a priority with respect to the previous consolidated tax losses, the repeal of this benefit frees future taxable base in favour of the use of previous tax losses with relative DTA revaluation (as occurred in 2018) and its reintroduction, which took place as a result of the 2020 Budget Law, conversely, absorbed the taxable base in the future and led to a derecognition of DTAs from previously recorded tax losses. From an accounting perspective, the effect on DTAs from losses must be accounted for with immediate effect, since these DTAs have already accrued, while the effect of the ACE must be accounted for in each year in which the benefit accrues.



Another factor that determines the volatility of the amount of DTAs recorded in financial statements is the revision of the income forecasts, which obviously must take into account the general economic scenario, in addition to the Group's internal situation.

For further information, please refer to paragraph 11.8 Other information of the Notes to the consolidated financial statements - Part B - Information on the balance sheet in this financial report.

Previous tax losses and ACE benefit

Previous tax losses amount to EUR 10.1 bn.

The ACE benefit for MPS Group is calculated on share capital increases made from 2011 through the current year of EUR 18.5 bn but within the limits of the accounting net equity at the end of the year of each company that benefited from the aforementioned share capital increases and net of sterilisations required by law.

Based on this situation, applying the incentive's notional return coefficient currently established at 1.3%, it is estimated that MPS Group will be able to benefit, for each of the coming years and until the repeal of the regulation in question, of a deduction from taxable income for IRES purposes of approximately EUR 125 mln.

DTA fee

With specific reference to convertible DTAs pursuant to Law 214/2011, the companies participating in the tax consolidation of MPS Group have chosen, through the Parent Company, the system envisaged by article 11 of Legislative Decree 59/2016. Recall that this regulation established that to continue applying the existing rules on converting deferred tax assets into tax credits (pursuant to Law 214/2011), companies must have exercised a specific irrevocable option and pay an annual fee with respect to each of the years from 2016 and subsequently, if the conditions exist, until 2030. The fee for a given year, in this period, is determined by applying the 1.5% rate to a calculated tax base, with reference to the data resulting from the financial statements of the previous year, as the sum of the difference between the convertible DTAs recorded under assets and the corresponding DTAs recognised in the 2007 financial statements and the total amount of conversions into tax credits carried out, net of taxes paid in the manner provided for by the relevant published decree. This fee is deductible for income tax purposes when making the payment. The fee amount is currently around EUR 71 mln per year. A slow decrease in the amount of the fee due is estimated for subsequent years, given that MPS Group will be in a position of paying relatively low taxes, given the large amount of past tax losses and future accrued ACE deductions.

Note that, against the commitment to pay the aforementioned fee, the participation of MPS Group in the option pursuant to article 11 of Legislative Decree 59/2016 guarantees the right to convert DTAs into tax credit referred to in Law 214/2011 when the conditions envisaged by the law are met.

During 2020, the Parent Company will accrue a DTA conversion credit of approximately EUR 113 mln, following the loss for the year from its 2019 separate financial statements.

Current Tax Assets

As at 31 December 2019, the Group's current tax assets amounted to EUR 954 mln. A portion of this asset, equal to EUR 375 mln, is represented by credits with tax authorities subject to specific reimbursement requests submitted, which therefore generate interest to the extent envisaged by the specific applicable tax law provisions (equal to 2% annually). Other current tax assets, equal to EUR 579 mln, are represented by credits with tax authorities (non-interest bearing) available for use in offsetting future tax payables and include tax credits originating from DTA conversion (pursuant to Law 214/2011), equal to EUR 339 mln, IRAP credits generated by the conversion of excess ACE for EUR 116 mln, as well as tax credits relating to loans to parties affected by natural disasters (e.g., Abruzzo, Emilia Romagna, Central Italy and others) of EUR 47 mln.

Participation in establishment of Group VAT

From 1 January 2019, following the resolution of the BoD of 27 September 2018 and due to the option exercised by 15 November 2018, the "MPS Group VAT" has been implemented, which, to date, includes the following 12 companies:

- Banca Monte dei Paschi di Siena Spa
- Aiace Reoco Srl
- Cirene Finance Srl
- Consorzio Operativo Gruppo Montepaschi Scpa
- Enea Reoco Srl



- G. Imm. Astor Srl
- Monte dei Paschi di Siena Leasing & Factoring Spa
- Monte Paschi Fiduciaria Spa
- MPS Capital Services Banca per le Imprese Spa
- MPS Covered Bond Srl
- MPS Covered Bond 2 Srl
- Wise Dialog Bank Spa (Widiba)

These companies constitute a single indistinct party for VAT purposes, attributable to the “representative” (the Parent Company), with the attribution of a single, new VAT number. As a result:

- all transactions between these companies are, as a rule, not relevant for VAT purposes, although transactions between separate activities continues to be relevant;
- all legal obligations (settlement, payment, annual declaration, and periodic communications) as well as the administrative (and criminal) liability are centralised within the Parent Company.

The other parties belonging to the VAT Group, on the other hand, are jointly and severally liable for the payment of tax, interest and penalties, regardless of the party to whom the alleged violation is specifically attributable.

For further information on tax disputes, please refer to paragraph “Main types of legal risk” of the Notes to the consolidated financial statements “Part E - Information on risk and hedging policies - Operational risk”



Research, Development and Innovation

Given the Group's identity as a bank, Research, Development and Innovation activities are mainly aimed at analysing and implementing applications designed for customers, with the aim of improving, simplifying and/or expanding the range of products/services offered and optimising them.

The Group company responsible for the centralised management of the IT system for all of MPS Group is Consorzio Operativo Gruppo Montepaschi, while Widiba handles the 'core' applications of online customers.

The main actions implemented during 2019 were customer oriented, pursuing two strategies: improvement of operational efficiency for internal processes and compliance with regulatory and safety requirements. The main areas of activity are summarised below:

- Business development interventions:
 - Digital branch for all innovation activities related to branch operations;
 - Digital banking for implementations on all digital channels and upgrading the digital customer experience and documentation;
 - Credit: improving internal processes for granting mortgages and loans, non-performing loans and full compliance with the guidelines on non-performing exposures (ECB's NPE guidance of 17 March);
 - eMoney: proof of concept (POC) launch for new Mastercard debit card with NEXI and Google Pay release for Family & Friends pilot for Mastercard credit cards;
 - Domestic foreign platform: a new platform for the management of 'domestic foreign' transactions, with the aim of responding to the changing needs for products, technical standard services and specific reporting.
- Mandatory interventions (regulatory compliance):
 - PSD2,
 - MIFID II,
 - Anti-money laundering,
 - GDPR,
 - Securities and cash settlement (T2 - T2 security),
 - Eurosystem initiatives.

In addition to these interventions, the Group's cyber security projects involve implementations designed to strengthen security measures for the IT system to handle any cyber attacks, prevent fraud, anti-malware, mobile device management and accelerate incident analysis and responses to cyber threats. Moreover, innovations to improve the efficiency of the Group's back-office activities and internal structures responsible for carrying out repetitive activities that could potentially be automated and controlled are also becoming important. Therefore, projects on artificial intelligence, chatbot, open banking, blockchain and infrastructural and architectural upgrades were also launched to support the business development plan with a view to greater efficiency in non-commercial activities.

With regard to digital branch, innovation activities continued with the adoption of new elements and technologies to simplify and rationalise branch activities and guarantee a user experience with high quality and performance standards.

For the digital channel, all initiatives for customer advocacy, simplification and digitalisation have been implemented in pursuit of excellence for the experience and the development of a customer-bank relationship model in which the bank is present and available, always and everywhere, by the customer, multiplying the points of contact and the opportunities for interaction.

In addition, note that the wealth management platform is being developed, which aims to offer a differential service, based on a relationship model with customers, meeting the different investment and management needs for financial and non-financial assets.

In the credit area, the internal decision-making processes (credit facilities and guarantees) and management of loan applications were improved, seeking to minimise disbursement times while maintaining robust controls on creditworthiness.

At the same time, all measures for compliance with current regulations were implemented, both in the areas of payments (PSD2) and investments (MIFID II) as well as transversal areas such as anti-money laundering, protection of personal data, oversight and financial statements, usury, securities and cash settlement, and cyber security to ensure high security standards for the IT system.



In the area of “artificial intelligence”, the adoption of chatbots to provide direct assistance to the network for support on anomalies and requests for processes, such as successions, card activation and jobs, is nearing completion. In addition, a standardised system for regulatory documents has also been implemented for the process of semi-automatic interpretation and creation. As regards blockchain, activities continue to develop interfaces and functionalities in synergy with other banking institutions. Hence, the Group confirmed its participation in interbank initiatives, aimed at creating the first blockchain system between Italian banks for the documentation check between the correspondent banks.

In addition to interventions on all front-end applications to customers (external and internal), the infrastructure and architectural platforms of the IT system were also implemented and strengthened to support the strategic business development plan and innovative solutions were adopted with the objective of improving performance and processing capacities.

As for the subsidiary Widiba, the key drivers of 2019 have been digital innovation, focus on a customer experience that is unique, distinctive and recognisable in the market, business evolution and constant and necessary updates in cyber security.

During 2019 Widiba directed technology innovations for products and processes to create a financial ecosystem that envelops the customer with the following actions:

- **My Instant Credit.** A new feature linked to instant credit, in partnership with Findomestic, which offers the possibility of paying small expenses in instalments, through a credit line of EUR 1,500. The service has a simple customer experience, inspired by children's games: very visible keys and a few steps to get to the finish, all guided by wave design. During the acquisition process, the customer is never left alone: in the site he/she has a page which presents the status of the instalments with a clear forecast of future expenses. The service is available on all platforms.
- **BANCOMAT Pay®.** The project to integrate with the new BANCOMAT Pay® circuit aims to provide an immediate payment system, via smartphone, both between private individuals and to participating merchants. The project was carried out in collaboration with Bancomat and with the other banks participating in the circuit. Also in this case the experience represents the differentiating element of Widiba's service.
- **PSD2 – Open Banking.** Widiba has understood the new European digital payments directive (PSD2) as an opportunity to develop a series of additional services for the customer, in collaboration with third parties. With this in mind, a project dedicated to Open Banking was launched. As part of this project, a series of feasibility studies were identified that will lead to a gradual release of new features in 2020, with the aim of making Widiba an even more important banking hub.
- **New apps.** In 2019, research on the “Widiba App” began, to be implemented with a new “Flutter” language (new and inspired by Google) that will radically change the use of the app, both from a technology and customer experience perspective.
- **Processes and services for financial advisors.**
 - **Widiba PRIME.** In 2019 Widiba launched “Widiba PRIME”, a Wealth Management and Private Banking solution that accompanies customers with complex financial needs along an asset planning path. A dedicated platform has been created for these customers, with an access window and a premium offer.
 - **Guaranteed credit facilities.** In 2019, Widiba created a tool similar to an estimating tool for the network of financial advisors that allows customers to sign guaranteed credit facility proposals, in 100% paperless mode. The result is a simple and functional interface, which is well suited to the experience that advisors use on other available platforms.
 - **Global PRO Consulting.** A new consultancy model was introduced in 2019, “Global PRO Consulting”. From a functional point of view, it is a new advisory platform with components capable of making the advisor's work faster.
 - **AXA digitalisation.** The digitalisation process of AXA policies began in December 2019. The InvestiMix policy was the starting point, a completely digital process that enhances Web Collaboration processes.
 - **Legal Entities.** In 2019, work continued to enrich the offer addressed to legal entities. After having streamlined the identification process and enabling legal representatives to conduct operations online,



Widiba expanded the offer with restricted credit lines, Mastercard debit card, Telepass and a dedicated digital platform.

Widiba also updated all the software components that comprise the IT infrastructure during 2019, in order to adapt the platform to the current and/or forthcoming regulations and worked to consolidate the monitoring infrastructure, which requires constant tuning. Specific interventions were carried out on event correlation rules to ensure a more effective and timely identification of attempts to breach the systems.

The Group's ICT expenditure in 2019 amounts to approximately EUR 211 mln as detailed:

- EUR 107 mln relating to projects: external charges for an amount Eur 74 mln (of which Eur 53 capex) and personnel cost for an amount of eur 33 mln (of which Eur 17 mln capex)
- EUR 104 mln referring to operating costs of which Eur 78 mln for maintenance services and licenses, and Eur 26 mln for personnel expenses.



Outsourced services

The most important contracts for services performed in outsourcing by companies outside the Group are reported below.

Fruendo and Accenture (back office services)

The outsourcing activity is governed by two master service agreements signed on 29 December 2013 and which became effective on 1 January 2014 - amended over time - between the Parent Company and Fruendo and Accenture respectively, concerning the provision of back-office services by Fruendo and Accenture to Parent Company and its subsidiaries.

The services covered by the contract with Fruendo involve: a) branch assistance; b) check management; c) bank transfer management; d) payment card management; e) commercial bill and collection management; f) flow management; g) bank inquiries; h) logistics; i) relations with correspondents; l) securities administration; and m) other services that are part of the "Operations of the Financial Advisors Network".

The contract with Accenture covers services in the following areas: a) network operations (bank transfer management, invoice advance management, bank draft management, tax delegation management, bill and document portfolio management); b) banks and network central credit (guarantee management); and c) administration and accounting (account payable cycle, utilities and taxes).

The duration of both contracts is 18 years, expiring on 31 December 2031. The Parent Company has the right to withdraw with eighteen months' notice, to be communicated the first two months of the fifth, eighth and eleventh years, incurring a penalty.

The fees for the services provided by Fruendo and Accenture are fixed over the 18-year contract duration and decrease over time to take into account efficiency, technology developments and the related decrease in staff.

During 2019, the Parent Company negotiated an update of the collaboration agreements with the two suppliers in order to strengthen the business partnership as well as to simplify and mitigate risks. In this context, Accenture, a leading global company in the Business Process Outsourcing sector, acquired control of Fruendo, becoming the sole contact for the Group for outsourced services, effective February 2020. The quality and effectiveness of the services offered, including in terms of innovation, are now ensured by the full involvement of a company characterised by numerous years of experience in banking operations, by the solidity of its business design and by the performance guarantees offered to the Parent Company.

Juliet (credit management, collection and recovery services)

On 11 May 2018, the Parent Company and its subsidiaries signed a ten-year servicing contract with Juliet S.p.A. concerning performance by the latter for the Group, and following secondment of a certain number of Parent Company employees, of services related to management, collection and recovery of part of its bad loans. On 28 June 2019, the Parent Company also notified Juliet, also in the name and on behalf of the subsidiaries, that it was exercising the right of withdrawal from the servicing contract with effect from 1 July 2019. Following contract termination, the Group intends to return to direct management of the activities falling within the outsourced perimeter. On the same date, the Group and Juliet S.p.A. also signed an interim servicing contract having substantially the same terms and conditions as the terminated servicing contract, in order to govern the transition phase for the re-internalisation of the management, collection and recovery of bad loans, to be completed by 1 April 2020.

The services rendered by Juliet based on the interim servicing contract involve bad loans that were already managed by the servicer as at 9 December 2019, as well as any additional loans for which the Group granted Juliet a mandate between 9 and 31 December 2019.

The interim servicing contract ends on 1 April 2020 with the consequent return of all seconded employees to the Parent Company²⁰.

²⁰ "Seconded employees" means all employees seconded by the Parent Company to the servicer pursuant to the secondment agreement signed between the Parent Company and the servicer on 11 May 2018.



Nexi (Payment management services)

ATM management for MPS Group. The outsourcing agreement from 2009 and amended over time concerns the services relating to managing ATM equipment: in particular, rental and maintenance services for ATM terminals, warehouse management, ATM activation and commissioning services, and support for maintenance and monitoring.

Provision of payment card management services. The contract for payment card management and payment card acceptance services of MPS Group originated on 25 September 2012 and has been integrated and amended over time. The services provided by Nexi to MPS Group entail the full outsourcing of payment cards.

Interbank Corporate Banking. The agreement for the Interbank Corporate Banking Service - CBI Global Banking Web was signed on 30 June 2011 and subsequently amended. The service consists of all IT, technical and operational structures designed to provide the functionalities envisaged in the ABI provisions through the CBI Consortium, in particular:

- payment/collection management (SEPA compliant);
- document, reporting and reconciliation management.

The service establishes a direct channel between the Group's banks and their customers and allows the user to:

- receive information relating to the relationships with its institutions;
- forward the electronic instructions to the recipient banks.

Prepaid cards. The contract was signed on 31 July 2019 and relates to the outsourcing of the management of Business and Consumer "international" prepaid cards, including IT and back-office services.



Disclosure on legal, employment law risk, tax risks and claims

The Group carefully reviews and monitors the risks associated with legal disputes, i.e. disputes brought before judicial authorities and arbitrators, and out of court claims making specific allocations to risk provisions for disputes considered to have a “probable” risk, using statistical or analytical criteria.

As at 31 December 2019, the pending legal disputes, are the following:

- legal disputes amounted to a total of approximately EUR 4.8 bn. In particular:
 - approx. EUR 2.2 bn in claims regarding disputes for which there is a “probable” risk of losing the case, for which provisions of EUR 0.5 bn have been allocated;
 - approx. EUR 1.7 bn in claims attributable to disputes for which there is a “possible” risk of losing the case;
 - approx. EUR 0.9 bn in claims attributable to the remaining disputes, for which there is a “remote” risk of losing the case.
- Out of court claims amounted to a total of approximately Eur 0.9 bn. In particular:
 - approx Eur 0.6 bn in claims attributable to disputes for which there is a “probable” risk of losing the case;
 - approx Eur 0.3 bn in claims regarding disputes for which there is a “possible” risk of losing the case.

The most significant events in 2019 refer to:

- Dispute connected to financial information disclosed during the period 2008-2015 (amounted to a total of Eur 2.0 bn, of which Eur 1.0 bn attributable to disputes where there is a “probable” risk of losing the case):
 - a) criminal procedure no. 29634/14: increase of the provision, considered as a “probable” risk, due to written findings submitted in the hearings of 23 and 30 May 2019, in which the civil parties specified their compensation claims, in part positively offset by the revocations of claims in the hearing of 19 September 2019 by two civil parties that formally waived their right to continue with the civil claim against the Parent Bank as a civilly liable party;
 - b) criminal proceeding no. 955/15: increase of the provision, considered as a “possible” risk, due to the filing, at the hearing on 16 September 2019, of a technical appraisal in the interest of a few hundred civil parties, to quantify the alleged damages suffered;
 - c) civil dispute: increase in provision for disputes with a “possible” risk (due primarily to the summons in court for York Funds, for investments made from 2014), partially offset by settlement agreements reached with some counterparties;
 - d) out of court claims: increase of the provision considered as a “possible” risk in relation to 2014-2015 share capital increases
- Dispute regarding bankruptcy claims, interest compounding, and interests (amounted to a total of Eur 0.5 bn, of which Eur 0.4 bn considered as a “probable” risk): decrease of the provision for a total of Eur 0.1 bn;
- Closure of several “remote” risk positions (decrease in the provision of EUR 0.4 bn compared to 2018), including the “Snia Spa in AS” dispute.

Tax risk (amounted to a total of Eur 0.1 bn, of which Eur 0.04 bn considered as a “probable” risk) and employment law risks (amounted to a total of Eur 0.06 bn, of which Eur 0.03 bn considered as a “probable” risk) are also subject to monitoring and evaluation by the competent Group functions, and in the event of disputes with “probable” risk, appropriate allocations are made to the provision for risks and charges.

With regard to the tax dispute, (the Parent Company and the subsidiary MPS Leasing & Factoring have finalised their participation in the “Pace Fiscale”, which has made it possible to reduce the exposure to the risk of potential tax liabilities for a total of EUR 30 mln.

With regard to the other legal risks not attributable to disputes, the action taken by the Parent Company to compensate customers involved in the purchase of diamonds in previous years should be noted. In 2019, more than six thousand requests were received (mainly in the first half of the year) for a total value of approximately



EUR 140 mln, while the transactions carried out amounted to EUR 172 mln. As at 31 December 2019, the Parent Company has allocated provisions suitable for covering over 90% of the total fees paid by customers to purchase diamonds, net of the market value of the stones.

For further information, please refer to Section E of the Notes to the consolidated financial statements – paragraph “Main types of legal risks, employment law risk, tax risk – 1.5 Operational risk”.

Disclosure on claims

Claims management represents:

- an essential activity in managing the relationship with customers;
- a tool for identifying any critical issues and improving the quality of products/services provided;
- a useful safeguard in protecting the customer, both to encourage amicable resolution of disputes, and to define, in cases where this does not occur, the parties’ positions, conducting an initial investigation before pursuing the dispute in other judicial settings.

The Group makes available to customers, both on its websites (<http://www.gruppompis.it>) and on the website of its subsidiaries, and at all branches, information on how to handle complaints - in order to publicise the methods for submitting complaints and the time required for their management - as well as on the main systems for out-of-court resolution of disputes currently available in Italy (known as ADR), in which the Parent Company participates. These systems are the Arbitro Bancario Finanziario (ABF), Arbitro per le Controversie Finanziarie (ACF) and the various mediation entities registered with the Ministry of Justice.

In 2019, the Group received and registered more than 7,300 claims (of which more than 6,300 received by the Parent Company); the main areas of dispute related to:

- delays in carrying out transactions or in closing current account relationships;
- repayment issues and conditions applied in relation to consumer credit loans and mortgage loans;
- issues in relation to a migrations of the relationships from the Parent Company to Widiba;
- alleged inadequacies in the preventive disclosure provided to customers who performed transactions on equities and bonds, however, dating back many years.
- Issues relating to distribution of financial products.

In the same period, more than 7,100 claims were processed with an acceptance rate of approximately 29%. Current accounts, credit cards, home mortgages and consumer credit were the areas in which the greatest number of favourable outcomes were recorded for customers.

The Parent Company received and registered more than 600 ABF claims, while there were more than 800 decisions; about 41% of the latter were in favour of the Parent Company, rejecting the petitions made by customers, while about 20% recorded favourable results, in whole or in part, to the claimants; the remaining 39% is represented by disputes which ended with the parties reaching an agreement.

During the same period, the Parent Company received and registered about 160 ACF claims, while there were 77 decisions; about 36% of the latter were in favour of the Parent Company while 52% recorded favourable results for customers; the remaining 12% consists of claims declared settled.

After approval of the financial statements, the Parent Company and its subsidiaries, publishes a report on its websites regarding complaint management, in line with the provisions of the Supervisory Authorities.



Audits

As the Group carries out banking activities and provides investment services, it is subject to comprehensive regulation and supervision, in particular by the ECB, Bank of Italy and CONSOB, each for the respective areas of responsibility. Below are the main activities recently conducted by the Supervisory Bodies:

TRIM (Targeted Review of Internal Models) audit on internal models

TRIM is a multi-year project, launched by the ECB in 2016 and completed in 2019, aimed at assessing the compliance of internal models currently used by banks with regulatory requirements, as well as their reliability and comparability.

From November 2017 to April 2018, the ECB conducted an on-site audit of the credit risk models (**TRIM 2939**), concerning the controls on the PD and LGD parameters of the retail portfolio. On 21 November 2019, the Parent Company received the ECB Final Decision, containing 21 findings, which was followed by a remediation plan sent by the Parent Company to the ECB on 19 December 2019.

In its letter dated 15 January 2018, the ECB sent feedback to the Parent Company relating to the **TRIM General Topics** self-assessment phase, in which 7 gaps were identified with respect to the requirements. On 22 October 2018, the Parent Company sent the ECB a response letter indicating the remediation actions, which were then subsequently implemented in 2019.

In the period 21 January 2019 - 29 March 2019, the ECB conducted an on-site audit (**TRIM 3917**) concerning the internal credit risk models for the Parent Company and the Group, with reference to the PD, LGD, and Credit Conversion Factor on corporate and other exposures. On 18 September 2019, the Parent Company received the final audit report with the results of the review, which contained 17 findings. The Parent Company is waiting to receive the ECB's Decision.

Bank of Italy audit on transparency at Banca Widiba

Bank of Italy carried out an audit between November 2017 and January 2018. A “partially compliant” assessment was made, identifying 10 findings based on operating practices relative to weaknesses in the control structure.

With regard to these gaps, in June 2018, Widiba provided the Supervisory Authority with the remediation plan for a total of 41 interventions, with details of the measures already taken (17 completed at that date) and those to be taken (24 interventions), including scheduled deadlines.

In September 2018, Widiba reported to Bank of Italy the status of the measures taken in relation to the Supervisory Authority's findings, highlighting that, at the date of the communication, 21 interventions were completed, 5 were nearing completion, 14 were in progress and 1 intervention had yet to be started. Furthermore, in accordance with the information communicated to the Supervisory Authority, Widiba reimbursed amounts that were improperly received from customers.

In March 2019, Widiba sent the Supervisory Authority the report, indicating that the required interventions were almost completed.

Simultaneously with the audit at the Parent Company, starting on 7 October 2019, the Bank of Italy also began audits at Widiba regarding transparency of transactions and fairness of customer relations. In particular, for Widiba the audit had the purpose of following up on the remediation plan described above and the “Rondine” project (migration of certain contractual relationships from Parent Company to Widiba). The audit ended on 21 January 2020 and the results from the Supervisory Authority are currently pending. In the meantime, based on areas for improvement that were identified during the audit, Widiba has already started an intervention plan, about which the Bank of Italy has been informed.

IT risk audit (OSI-2019-3832)

From 26 March 2018 to 26 June 2018, the ECB conducted an on-site audit concerning the Group's IT risk. On 20 November 2018, the audit report was issued which identified 15 findings having varying degrees of impact, mainly related to IT security, the execution of duties by control functions, the process of managing Business Continuity, the definition of IT strategies, and the organisation in carrying out projects. However, the audit found that the current IT structure of MPS Group can adequately support the requirements within the horizon of the Restructuring Plan.



In August 2019, the Follow-Up Letter was sent, indicating the recommendations associated with the findings discussed in the audit report. The recommendations included two deadlines (30 December 2019 and 30 March 2020); in January 2020, the Parent Company sent the ECB proof that the remedial actions associated with the first deadline had been completed.

Bank of Italy and FIU audit on anti-money laundering

The audit undertaken by the FIU (Financial Information Unit), which began on 8 May 2018 and ended on 28 August 2018, concerned the assessment of procedures implemented to verify potential anomalies relating to the transactions of customers and employees of the Issuer on a limited number of branches and an analysis of customers identified as potentially linked to money laundering phenomena. The Supervisory Authority has sent each of eight branch managers an assessment and findings report for alleged failure to report suspicious transactions (total amount of the disputed transactions EUR 2.2 mln), for which the Issuer is jointly and severally liable and against which the Issuer has already presented defence memos to the Ministry of Economy and Finance.

Moreover, on 6 June 2018, the Bank of Italy conducted a formal audit on the Parent Company and the subsidiary Widiba with the aim of verifying compliance with anti-money laundering regulations. This audit ended on 28 September 2018.

Following the conclusion of the audit, on 28 February 2019 the Bank of Italy informed the Parent Company's Board of Directors of the audit's results, highlighting certain areas of improvement, which mainly concern due diligence and internal controls. The Parent Company's response letter - the contents of which were approved by the Bank's Board of Directors - was sent on 29 March 2019 reporting the activities already in place, those in progress and those planned.

Bank of Italy audit on usury

Starting on 6 June 2018, the Bank of Italy launched an audit aimed at verifying the suitability of organisational structures to produce correct reporting on average overall effective interest rates and preventing the risks associated with violations of usury regulations. The audit ended in September 2018 and the Supervisory Authority informed the Parent Company on 28 February 2019 of the audit results, which identified 2 findings.

The Parent Company promptly responded to the Supervisory Authority's findings, specifying the remedial actions implemented, undertaken and planned.. The planned interventions were completed in 2019.

Legal risk audit (OSI-2019-4125)

From 28 January 2019 to 26 April 2019, the ECB conducted an on-site audit concerning the Group's legal risk. In August 2019, the Parent Company received a draft of the audit report which formulated 11 findings concerning, inter alia, process governance, aspects of dispute management, monitoring of legal risk, procedures for calculating provisions and activities performed by the internal control function.

The Parent Company responded with its counterarguments to the individual findings and on 5 November 2019 received the final report, which substantially confirms the contents of the draft version. The Parent Company is waiting to receive the Follow-Up Letter from the ECB indicating the recommendations and deadlines associated with the findings.

Audit on the use of the IRB system for ECAF (Eurosystem Credit Assessment Framework)

The audit, carried out by the Bank of Italy between 21 May 2019 and 23 May 2019, had the objective of assessing the adequacy of the IT systems and the organisational/administrative processes to correctly detect the required information relating to all borrowers potentially eligible for purposes of monetary policy refinancing (static pool).

The result, communicated on 13 November 2019, had a grading of "Predominantly Satisfactory".

Interest rate risk audit (OSI-2019-3834)



In the period from 26 June 2019 to 27 September 2019, the ECB conducted an on-site audit at Group level regarding interest rate risk; subsequently, in November, it sent the draft version of the audit report, which shows a marginality of the risk analysed within the Parent Company's overall position. The report details 6 findings relating to management processes and interest rate risk quantification models. The Parent Company did not deem it opportune to send comments to the arguments contained in the draft report. The final version of the report was sent on 12 February 2020, reflecting the original content.

The Parent Company is waiting to receive the Follow-Up Letter from the ECB indicating the recommendations and deadlines associated with the findings.

Bank of Italy audit on banking transparency

An audit was conducted by Bank of Italy, which started on 7 October 2019. The audit, which concerned compliance with regulations on transparency of transactions and fairness of relations with customers, ended on 21 January 2020. The Parent Company is currently waiting to receive the results from the Supervisory Authority. In the meantime, based on the areas of improvement that emerged during the audit, the Parent Company launched an action programme, of which the Bank of Italy was informed, which involves: i) management of customer reimbursements; ii) review of governance and strengthening of compliance processes; iii) strengthening of controls in the product management chain and in customer relationship management processes; iv) review of organisational structures and updating of complaint support tools; and v) strengthening of personnel training plans.

Audit on internal models - Internal Model Investigation (IMI 4357)

Between October 2019 and December 2019, the ECB conducted an audit on the credit risk models adopted by the Parent Company with a focus on the PD, LGD, and ELBE parameters in the area of corporate and retail exposures. The Parent Company is waiting to receive the audit results.

Bank of Italy and FIU audit on anti-money laundering

In December 2019, the Parent Company received a notification of a sanction measure from Bank of Italy, for an amount of Eur 1.32 mln, against the shortcomings highlighted in the customer identification requirements, and reporting of suspicious transactions. In the quantification of the administrative sanction, the Supervisory Authority has taken into account the remedial action implemented by the Parent Company.

Audit on the liquidity allocation process and the internal transfer rate (OSI-2019-4356)

In the period 18 October 2019 - 23 January 2020, an on-site audit was carried out on the topic of liquidity allocation and internal transfer rate.

The Parent Company is waiting to receive the audit report.

Internal governance audit (OSI-2020-4834)

In February 2020, the ECB launched an audit on internal governance processes.

Bank of Italy's findings regarding the Bank's customer reporting activity for investment in diamonds

In the context of the same audit launched on 6 June 2018, described in the previous paragraph, note that the Bank of Italy also formulated certain observations regarding the reporting of investments in diamonds undertaken by the Parent Company for its customers. Also with reference to these findings, the Parent company provided timely feedback to the Supervisory Authority with the response of 29 March 2019.



Regulatory Developments

Prudential supervision

With reference to the regulatory framework of prudential supervision, a series of regulatory changes occurred during 2019 that could introduce new challenges for the capital adequacy in the European banking system. The most significant changes concern those introduced by the new prudential regulations on NPE (“Non-Performing Exposures”) and by the new banking package which further strengthens the resilience of European Union banks.

- Starting from 2018, the ECB issued new provisions relating to the minimum coverage level of NPE (so-called “calendar provisioning”).

On 15 March 2018, the European Central Bank published the “Addendum to the Guidance to Banks on Non-Performing Loans (NPL)”, clarifying the regulators’ expectations with reference to provisioning levels considered prudent for NPLs classified as such effective 1 April 2018. On 25 April 2019, Regulation (EU) 2019/630 was published in the Official Journal of the European Union, which amended Regulation (EU) 575/2013 (“CRR”), introducing new prudential rules for the “minimum loss coverage for non-performing exposures” that banks must apply to new NPE flows originating from 26 April 2019. In particular, banks must maintain an adequate provisioning level, deducting any positive difference between prudential provisions and loss provisions and other assets from their CET 1. There are different minimum levels of prudential provisions according to whether the non-performing loans are secured or unsecured and according to the type of guarantee. Unsecured loans must be fully covered by provisions three years after being classified as non-performing, while for loans guaranteed by real estate collateral or other eligible guarantees, a gradual increase in the minimum annual loss coverage is applied over a period of nine or seven years, respectively, starting from the third year following the classification as non-performing. Furthermore, note that the European Central Bank, following the adoption of Regulation (EU) 2019/630, decided to reconsider its supervisory expectations regarding prudential provisions for new non-performing exposures, bringing them essentially into alignment with the rules set out in Regulation (EU) 2019/630.

On 11 July 2018, the European Central Bank also announced that it would provide specific recommendations to each bank on the NPE stock outstanding as at 31 March 2018.

The non-performing loans outstanding as at 31 December 2019 are therefore composed of:

- 1) Loans classified as NPE prior to 1 April 2018 - subject to specific recommendations communicated by the ECB as part of the SREP exercise
- 2) Loans classified as NPE starting from 1 April 2018 and originated before 26 April 2019 - falling within the scope of application of the Addendum to the Guidance to Banks on Non-Performing Loans (NPL), updated following the ECB’s communication of 22 August 2019
- 3) Loans classified as NPE starting from 1 April 2018 and originated from 26 April 2019 onwards - subject to the minimum coverage levels provided for by Regulation (EU) 2019/630.

While the minimum coverage level envisaged by Regulation (EU) 2019/630 represents a binding prudential treatment (Pillar 1), the coverage levels envisaged for loans granted before 26 April 2019 are not legally binding supervisory expectations (Pillar 2), in relation to which the ECB will consider specific circumstances which could render the expectations inadequate for certain portfolios or exposures.

Starting from the end of 2020, the JSTs will therefore discuss with the banks, in the context of supervisory dialogue, the expectations for NPL coverage and the result of the dialogue will be taken into consideration in the context of the 2021 SREP.

As at 31 December 2019, there were no effects resulting from the application of the minimum coverage levels provided for by Regulation (EU) 2019/630 and no effects are expected with reference to 31 December 2020.

Regarding supervisory expectations relating to non-performing loans disbursed prior to 26 April 2019, any effects that would be taken into account as part of the 2021 SREP will depend on developments in the aforementioned loans during 2020 and the results of the supervisory dialogue. In this regard, note that



the average coverage levels as at 31 December 2019 are higher than those expected according to the ECB's expectations for the end of 2020.

- On 7 June 2019, the Banking Reform Package was published in the Official Journal of the European Union, which includes the following regulatory acts:
 - Regulation (EU) 2019/876 (**CRR II**), which amends Regulation (EU) 575/2013 (CRR);
 - Directive (EU) 2019/878 (**CRD V**), which amends Directive 2013/36/EU (CRD IV);
 - Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 (**BRRD II**), which amends Directive 2014/59/EU (BRRD); and
 - Regulation (EU) 2019/877 (**SRMR II**), which amends Regulation (EU) 806/2014 (SRMR).

The new banking package introduces a comprehensive set of risk reduction measures for the banking sector and regulates a series of regulatory changes, including:

- i. the introduction of the minimum leverage ratio requirement equal to 3% of Tier 1 Capital; this ratio represents a supplementary Pillar 1 requirement with respect to risk-based indicators and pursues the objective of limiting the accumulation of leverage in the banking sector;
- ii. the introduction of a structural liquidity indicator with a 1-year time horizon ("Net Stable Funding Ratio", or "NSFR") equal to 100%; the indicator was introduced to ensure that assets and liabilities have a sustainable maturity structure;
- iii. the exemption of software investments as a deduction from CET 1, based on criteria that will be defined by the EBA ("European Banking Authority");
- iv. the introduction of rules aimed at supporting exposures to small and medium-sized businesses, expanding and revising the SME supporting factor and project financing;
- v. the possibility, under certain specific conditions, of providing for a "sterilisation" of the impacts of massive NPE sales from the calibration of the internal Loss Given Default parameters;
- vi. the review of the prudential treatment of exposures to UCITS, envisaging the application of a weighting coefficient of 1250% (fall-back approach) in the event that the bank is unable to apply the look-through method, the method based on the management regulation, or the method based on the calculation carried out by third parties;
- vii. the introduction of the new standardised method for counterparty risk (SA-CCR) for banks that hold derivatives totalling more than EUR 100 mln in notional value;
- viii. the revision of the Pillar 2 regulatory framework for capital buffers, which officially introduces the distinction between Pillar 2 Requirement (mandatory requirements supplementary to those of Pillar 1) and Pillar 2 Guidance (additional capital buffers), also specifying the nature the equity instruments with which banks must satisfy the Pillar 2 Requirement;
- ix. the revision of the Bank Recovery and Resolution Directive regulatory framework, with particular reference to the new MREL (Minimum Requirement of Eligible Liabilities) requirement that banks must satisfy to ensure that, in the event of application of the bail-in, they have sufficient liabilities to absorb losses and to ensure compliance with the Tier 1 Capital requirement envisaged for authorisation to carry out banking activities, as well as to generate sufficient trust in the market. The principal changes to the reform essentially concern the calibration of the MREL requirement and its level of application. The changes also identified the eligibility requirements of liabilities for MREL purposes, the minimum subordination requirements for the top-tier banks (those with total assets over EUR 100 bn), requirements for the sale of subordinated liabilities to retail customers as well as new reporting and disclosure obligations by banks.

The new banking package, in effect from 27 June 2019, envisages a gradual application of the new reforms, in a horizon from 27 June 2019 (MREL for G-SIIs and certain own funds requirements) to



longer deadlines between December 2020 and June 2021. The requirements introduced by CRR II must be applied starting from June 2021 while the Member States are required to implement CRD V and BRRD II directives and publish the provisions necessary to comply with them by 28 December 2020. This programme of regulatory changes will then be completed by the technical regulation defined by the EBA, which is responsible for defining the new regulatory provisions.

New Definition of Default

On 4 March 2015, the European Banking Authority (EBA) issued a discussion paper ("Future of the IRB Approach") in which it clarified future regulatory developments designed to standardise methods used to estimate internal risk and calculate capital requirements for European institutions.

In this context, the EBA found too much differentiation in the application of supervisory approaches, with reference to the definition of default, the calibration of PD and LGD, the management of assets in default and the application of the IRB model.

For this reason, as part of the work plan defined within the "Future of the IRB Approach" discussion paper, the EBA issued the following two directives:

- "Final Report on Draft Regulatory Technical Standards" (RTS) relating to the materiality threshold for past due loans pursuant to article 178 of Regulation (EU) 575/2013, in which it specifies the conditions under which a competent authority calculates the materiality threshold for past due loans to ensure consistency in determining the threshold at European level;
- "Guidelines on the application of the definition of default under article 178 of Regulation (EU) 575/2013".

In order to assess the "Guidelines on the application of the definition of default under article 178 of Regulation (EU) 575/2013", Monte dei Paschi di Siena Group performed a gap analysis, thereby identifying the relative needs/interventions on systems, processes and internal regulations.

The Parent Company adopted the "*One-step*" approach and planned the implementation, through progressive releases, of all measures required from 31 December 2020.

The New Definition of Default, which will officially become effective starting 31 December 2020, will standardise the criteria for identifying past due loans, the procedures for managing the indicators to be considered for identifying unlikely to pay, the specific aspects of retail exposures and the definition of the criteria for returning a position to a non-default status.

The primary changes introduced with respect to current regulations pertain to the following areas:

- i. New definition of past due:
 - lowering the "relative" materiality threshold from 5% to 1%;
 - introduction of an "absolute" materiality threshold differentiated by type of exposure;
 - classification of a borrower in a default state (NPE) upon exceeding both materiality thresholds for 90 consecutive days;
- ii. Introduction of a probation period of at least 3 months prior to the reclassification to Performing status for borrowers previously classified as in default (NPE) who normalise their position;
- iii. Classification of a borrower in a default status (NPE) at banking group level;
- iv. Classification of the borrower in a default status in the event that the distressed restructuring likely implies a Diminished Financial Obligation (i.e., $\Delta NPV > 1\%$);
- v. Introduction of new contagion rules / assessment of the contagion of the default status of a position based on the existing link with other positions transferred to a non-performing status.

In this context, the Parent Company launched a specific initiative to adapt the management, accounting and regulatory processes to the new definition of default. As part of this initiative, the Parent Company conducted a gap analysis to identify the main areas for strengthening and drafted an intervention plan for adaptation to the Regulator's new directives.



With the objective of ensuring compliance with the new regulation within the deadlines set by the Regulator, the Parent Company has made the following adaptations:

- release in December 2019 of the past due engine to identify any counterparty default (the position will not be automatically classified to default status until the law comes into force);
- expected release by the first quarter of 2020 of:
 - a tool to verify if the Diminished Financial Obligation threshold has been exceeded through the calculation of the NPV (the position will not be automatically classified to default status until the law comes into force);
 - new triggers for identifying unlikely to pay (the position will not be automatically classified to default status until the law comes into force);
 - default contagion rules (the position will not be automatically classified to default status until the law comes into force);
- expected release by February 2020 of the rules to ensure standardisation of classification (the position will not be automatically classified to default status until the law comes into force);
- expected release by December 2020 of the counter for monitoring days for exit from default status;
- numerous training sessions were conducted during 2019 designed to enhance the knowledge of all resources regarding the changes introduced by the regulations and the new processes adopted by the Group to ensure proper credit management. Continuous monitoring of the level of awareness of these aspects by the Group's resources is expected.

During the first half of 2020, activities to re-evaluate all PD, LGD and EAD models will be finalised based on the new definition of default (historically reconstructed from 2008 to today), as a result of which the application package will be sent to the Regulator in the third quarter of 2020. No significant impacts on capital requirements are expected from adopting the new definition. The new models will most likely be audited by the Regulator during the fourth quarter of 2020, with expected release into production in the first half of 2021.

For purposes of 2020 year-end accounting measurements, which entail the use of the new definition of default, all models used for statistical loan measurements (IFRS 9) must be subjected to an extraordinary review. In particular, the review will adapt the models to developments in the AIRB rating models subject to revaluation and to a more stringent definition of default to be carefully assessed, including within the SICR (significant increase credit risk) envisaged by the IFRS 9 accounting standard in relation to impairment.

There is not expected to be a significant impact on the provisioning levels of the performing portfolio, however, an increase in non-performing past due portfolio is expected due to the introduction of the new relative thresholds and finally the non-performing portfolio is expected to increase by two-three percentage points at the end of the year.

New tax regulations

Law-Decree no. 34 of 30 April 2019 (Growth Decree)

Article 1 (Increase in depreciation for new operating assets)

The regulation in question reintroduces the “super-depreciation” measure effective 1 April 2019, or the subsidy which allows the acquisition cost to be increased by 30% for tax purposes on investments in new operating assets. With respect to previous rules, the article introduces a ceiling of EUR 2.5 mln for subsidised investments. Therefore, the measure extended to 2019 the same amount of 30% that was envisaged for 2018 and with the same operating perimeter.

Ministry of Economy and Finance Decree of 5 August 2019 (IFRS 16 Decree)

Coordination provisions between the international accounting standard adopted with the Commission's Regulation (EU) 2017/1986 of 31 October 2017 amending Regulation (EC) 1126/2008, which adopts certain



international accounting standards in accordance with Regulation (EC) 1606/2002 of the European Parliament and of the Council pertaining to International Financial Reporting Standard 16, and the rules for determining the tax base for IRES and IRAP, pursuant to article 4, paragraph 7–*quater*, of Legislative Decree 38 of 28 February 2005.

The decree introduces tax coordination provisions for IAS/IFRS adopters for applying TUIR rules that govern the determination of taxable income in light of the importance that the qualification, classification and timing criteria adopted in financial statements also assume for tax purposes in accordance with the principle of reinforced derivation pursuant to article 83 of the TUIR. The decree seeks to clarify the tax implications of the new method of recognising leases in financial statements as a result of the implementation of the new IFRS 16 international accounting standard.

Law 160 of 27 December 2019 (2020 Stability Law)

Article 1, paragraphs 184-197 (Tax credit for investments in operating assets): this regulation replaced the previous governing legislation concerning “super-depreciation” and “hyper-depreciation” for companies by introducing a new tax credit for investing in new operating assets.

The credit is recognised at a differentiated rate according to the type of asset concerned and covers investments in new operating assets, including intangible assets used for technological transformation according to the Industry 4.0 model.

Article 1, paragraph 287 (General incentive for business capitalisation):

The measure essentially constitutes the reintroduction of a benefit (known as the ACE deduction, which was repealed with the 2019 Stability Law, article 1, paragraph 1080) for businesses that have increased their capital endowment, through share capital increases or allocation of profits to reserves, effective from 1 January 2011, though with a reduced coefficient of return (1.3%) compared to that applicable for 2018 (1.5%).

Article 1, paragraphs 712-715 (Deferrals in the deduction of negative IRES components):

The regulation provides for the deferral of the deductible portion in 2019 with reference to three types of costs, specifically:

- loan write-downs and losses pursuant to article 106 of the TUIR (article 1, paragraph 712): this regulation provides for the deferral of the portion due in 2019 (12% of loan adjustments pursuant to Legislative Decree 83/2015) to the years 2022 to 2025 (3% in each of these 4 years);
- loan losses resulting from FTA of IFRS 9 (article 1, paragraph 713): the 2019 Stability Law envisaged the pro-rata deduction (10 constant amounts from 2018 to 2027) of these negative components recognised in the 2018 financial statements. Article 1, paragraph 713 provides for the deferral of the pro-rata portion maturing in 2019 to 2028;
- amortisation of goodwill and other intangible assets (article 1, paragraph 714): the plan for deducting these negative components was redefined with the 2019 Stability Law envisaging the pro-rata deduction (non-linear amounts) from 2019 to 2029 of the total residual amount as at 1 January 2018. Article 1, paragraph 714 provides for the deferral of the pro-rata portion maturing in 2019 (5% of the aforementioned cumulative amount as at 1 January 2018) to the years from 2025 to 2029 (1% in each of the 5 years).

Article 1, paragraphs 4, 5, 772, 773 (IMU TASI standardisation):

With reference to operating properties, paragraph 772 envisages the deductibility of IMU from business income and from the income deriving from the exercise of arts and professions, which is different from IRAP, for which the local tax is, instead, not deductible.

During a transition period, paragraph 773 establishes that the deduction is applied at 60% for the years 2020 and 2021 (i.e. for the tax periods subsequent to the current one, respectively, as at 31 December 2019 and 31 December 2020), while the full deductibility of IMU, IMI and IMIS takes effect from 2022, i.e. from the tax period following that in progress on 31 December 2021. The deductibility for the year 2019 is instead set at 50% by paragraphs 4 and 5 of this law. Note that the 2019 Budget Law had increased the aforementioned deductibility limit from 20% to 40%.

Article 1, paragraph 2 (Deferral of VAT rate increase):

This regulation has further postponed the increase in the ordinary VAT rate (which, therefore, remains at 22% for 2020) and that of the reduced rate of 10%.



Legislative Decree 124 of 26 October 2019 converted from Law 157 of 19 December 2019

Article 13-bis (changes regarding PIR): this regulation amends the investment restrictions on long-term savings plans established effective 1 January 2020. In particular, it will be necessary to invest at least 17.5% of the amounts invested in financial instruments issued by companies other than those included in the FTSE MIB index of the Italian stock exchange or in equivalent indices and at least 3.5% in instruments of companies other than those included in the FTSE MIB, FTSE Mid or equivalent indices.

New employment law regulations

Remuneration policies

Regulatory developments in 2019 will have an impact on 2020 remuneration policies, in particular:

1. National legislative and regulatory framework:
 - on 19 March 2019, Bank of Italy issued the amending measure of provisions concerning “Transparency of banking and financial transactions and services”;
 - on 31 October 2019, Consob published a consultation document containing the amendments to the “Regulation on transactions with related parties, the Market Regulation and the Issuers’ Regulation on compensation transparency” for asset managers and proxy advisors, in implementation of EU Directive 2017/828 (“Shareholder Rights Directive 2”, hereinafter “SHRD 2”). The consultation period ended on 1 December 2019 and Consob will publish the results and the Issuers’ Regulation.
2. European legislative and regulatory framework:
 - “CRD V”, EU Directive 2019/878 of 20 May 2019 to update EU Directive 36/2013 (“CRD IV”), on access to the activity of credit institutions and on prudential supervision of credit institutions and investment firms, which must be implemented by 28 December 2020;
 - “CRR II”, Regulation (EU) 2019/876 of 20 May 2019 to update Regulation (EU) 575/2013, relating to the prudential requirements for credit institutions and investment firms and relative disclosure obligations, which will apply, except as expressly envisaged, starting from 28 June 2021.

These elements are reported in the “regulatory developments” chapter of the 2020 Remuneration Report, approved by the BoD on 25 February 2020 and submitted for the approval of the Shareholders’ Meeting. The previous documents are available on the Parent Company’s institutional website (see <https://www.gruppompis.it/corporate-governance/remunerazione.html>).

Personnel administration

On 19 December 2019, the agreement to renew the National Collective Bargaining Agreement (NCBA) of 31 March 2015 was signed for the middle managers and staff of the Professional Areas of the banking sector.

The contract comes into effect at the signing date and will expire, both for the economic and for the regulatory portions, on 31 December 2022.

The principal changes are shown below (those that are not strictly financial are detailed in the Non-Financial Statement, available on the Parent Company’s institutional website <https://www.gruppompis.it/sostenibilita/report.html>):

- a project has been set up between the parties to define a new personnel classification system;
- article 46 has been repealed (salary level of professional hire) of the 2015 NCBA envisaged for new hires with permanent contracts, with consequent application of the higher salary table;
- a full series of measures have been agreed to recognise particular personal and family situations of workers with the granting of paid and unpaid leaves;
- the value of diversity was recognised and the commitment to develop support policies for people with different abilities and the right to “disconnect” outside working hours and during holidays was confirmed;
- the provision according to which the employee severance pay is calculated exclusively on the salary table items, seniority and the amount of the former table structure has been extended to the period 1 January 2019 - 31 December 2022.



Social security

Legislative Decree 4/2019 coordinated with Conversion Law 26 of 28 March 2019, in relation specifically to social security, envisaged, on an experimental basis for the three-year period 2019-2021, access to early retirement at 100% of benefits to individuals who reach at least 62 years of age and 38 years of contributions. This led to the consensual termination of the employment relationships with those workers meeting the aforementioned requirements in 2019 (approximately 75 people amongst Professional Areas, Middle Managers and Executives).

Other relevant regulations

MREL (Minimum Requirement for own funds and Eligible Liabilities)

The regulations regarding the MREL requirement were modified as part of the reform of the European framework for the recovery and resolution of institutions, implemented by Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 (BRRD II), which amends Directive 2014/59/EU (BRRD). The main changes to the reform essentially concern the structure of the MREL coefficient and its level of application, the powers of Resolution Authorities if the MREL is breached, and banks' obligation to communicate to the Resolution Authorities and the public.

The Member States are required to adopt and publish the provisions necessary to comply with BRRD II by 28 December 2020.

With reference to the MREL target set for MPS Group by the Single Resolution Board, based on the issues of eligible instruments expected for 2020 and for the first half of 2021, there are currently no critical issues regarding the Group's capacity to meet the aforementioned target by the deadline of 30 June 2021 set by the Resolution Authority.

Financial Benchmark Regulation

On 1 January 2018, the new European Regulation 2016/1011 on reference indices entered into force (including commonly used rates such as the Euribor, Libor and Eonia), which are used as benchmarks for financial instruments and contracts or to measure the performance of investment funds. The Regulation was subsequently implemented in Italy through Legislative Decree 19 of 13 February 2019.

The regulation's primary objective is to ensure the integrity of indices classified as benchmarks (i.e., widely disseminated and used), improving their governance and strengthening the related controls. Thus, the aim of protecting consumers and investors is pursued through greater transparency and accuracy of the benchmarks.

Moreover, the regulation classifies the different types of players involved in the process of defining and/or managing the benchmarks, providing for different obligations according to the role performed (index administrators, index contributors, index users). In particular, index users, which includes MPS Group, are required to draft and maintain robust written plans that specify the actions to be taken in the event of substantial changes in a benchmark or, if the benchmark is no longer provided, describing, if possible, one or more alternative indices that may be used. MPS Group therefore adopted a regulation during 2019 that describes the internal procedures to be applied in the event that a benchmark is no longer available or if it changes substantially.

The Financial Benchmark Regulation with the related requirements imposed on index administrators, together with the recommendations published by the Financial Stability Board on the main benchmarks used, have resulted in a massive process of reform for indices, for which the institution, in the various jurisdictions, has participated in working groups to identify possible alternative rates with respect to the current benchmarks used, if these become unavailable or can no longer be used.

The specific Working Group in Europe, which involves several financial institutions with the European Central Bank and European Commission acting as observers, established that the alternative risk-free rate to be used for the Eurozone as the €STR rate, published daily by the European Central Bank from 2 October 2019.

This decision, together with similar interventions undertaken by the Central Banks of other areas (e.g. the Federal Reserve Bank of New York for the new SOFR rate, the Bank of England for the Sonia rate), began the transition towards alternative rates, in which financial institutions will be heavily involved in the coming years. Thus, MPS Group has created a specific project regarding the reform of financial benchmarks and the transition to the new



risk-free rates, which in this phase seeks to analyse regulatory developments currently under way and monitor the impacts on MPS Group.

Main risks and uncertainties

Risk identification

As part of the work to define the Risk Appetite Statement, as carried out every year, the Parent Company identified *ex-ante* the different types of risk to which the Group is or could be exposed in performing its current and future activities. Various factors have been taken into account in the risk identification process, such as analysis of the external context (EU regulations, ECB/Bankit/EBA provisions), assessments of the main macroeconomic scenarios, analysis of the strategic and business model, and assessment of relevant risks, with a focus also on possible emerging risks.

After identification, risks are mapped into significance classes. Credit risk, market risk and operational risk, business and strategic risk, as well as liquidity risk for the funding risk and short-term liquidity risk components, were included in the high significance class (more information in the following paragraph).

The medium significance class includes counterparty risk (risk that the counterparty in a transaction concerning certain financial instruments, e.g. derivatives and repurchase agreements, defaults before the transaction is settled), interest rate risk on the banking book, equity investment risk and reputational risk, as well as, on the liquidity side, asset concentration risk, funding concentration risk and intra-day liquidity risk.

The remaining risks are classified as low or insignificant.

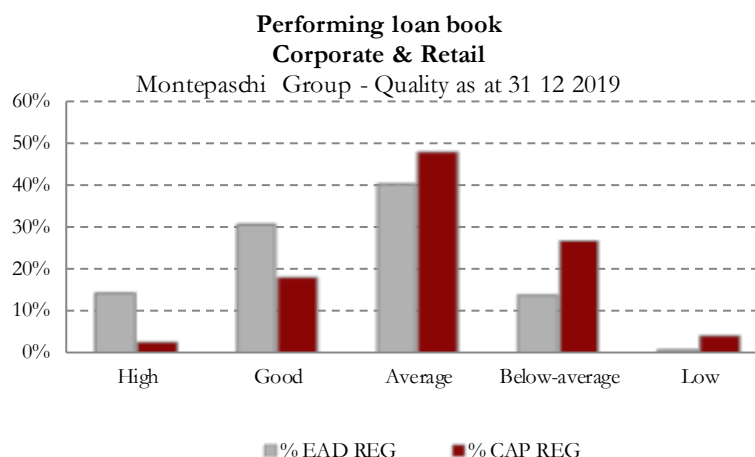
Credit risk

Lending activity represents the Group's core business and the main risk component, representing approximately 50% of the Group's total RWA (around 60% on Pillar 1 RWA). The classification as high risk has therefore remained unchanged compared to the previous year, also based on the expected entry into force of new regulations for the definition of default and the addendum on the provisioning of non-performing loans.

In general, a continuation of the crisis in the global economy could have a negative impact on the ability of the Group's customers to meet their obligations and hence cause a significant deterioration in the credit quality of the Parent Company and/or the Group, with possible negative effects on activities and the financial situation of the Parent Company and/or the Group.

In this context, activities aimed at increasing credit quality continued, with particular reference to both the implementation of the NPL disposal programme in line with the Restructuring Plan, and the particular focus on the credit quality of new disbursements.

Nevertheless, the non-performing portfolio disposal/reduction programme continued in 2019, achieving the Gross NPE ratio envisaged in the Restructuring Plan two years ahead of schedule. The chart provides a credit quality breakdown of the Group portfolio as at 31 December 2019 by Exposure to Risk and Regulatory Capital. The following graph shows that about 53% (49% as at 31 December 2018) of risk exposure relates to high and good quality customers (positions in financial assets are excluded). It should be noted that the ranking below also includes exposure to banks, government agencies and non-regulated financial and banking institutions, which are not included in the AIRB approaches. As borrowers, these entities are nevertheless subject to a credit standing assessment using official ratings, if any, or appropriate benchmark values that have been determined internally.



Market risk

Despite the reduction in sovereign exposures, market risk remains a significant risk to which the Group is exposed, in particular given the potential volatility of the underlying market variables. Forecasts regarding capital requirements for the trading portfolio (Fundamental Review of the Trading Book) were also taken into consideration.

In fact, the ECB has indicated, among the weaknesses/focal points, the high degree of sensitivity of the Italian government bond portfolio to unfavourable changes in market conditions, including the credit spread, the BTP-Bund spread and the portfolio exposure amount, still considered significant.

Operational risk

The exposure to operational risk is confirmed to be of high significance and is mainly linked to legal disputes over extraordinary events in the past, relating to share capital increases carried out between 2008 and 2015, burden sharing realised in 2017 as part of the precautionary recapitalisation and to the implementation of projects envisaged in the Restructuring Plan. In fact, the latter, providing for the upgrading of the operating model, in order to increase efficiency levels, including through an extensive process of automation/digitalisation of the business and a redesign of the branch network, entails an increase in exposure to operational risk.

Other important components for purposes of operational risk exposure are cyber security risk and IT risk - based on the attention dedicated to it by Supervisory Authorities - monitored through specific indicators. Note that in the last three years there have been no significant malfunctions in the IT systems or external IT attacks that have caused an interruption of activities or significant losses.

Business and strategic risk

The level of results expected in the Restructuring Plan, in terms of developments in the economic components (net interest income and net commissions, cost reductions) implies a high execution risk - current and prospective - for the Group. Moreover, the business results are one of the elements of particular interest to the Supervisory Authority, also at a systemic level.

Funding risk and short-term liquidity risk

With regard to funding risk, the sustainability of the funding profile, understood as the ability to finance banking activities with stable resources, the current Restructuring Plan pursues the strengthening of a balanced medium/long-term liquidity structure, including through the replacement of GGB and funding secured with TLTRO II. There has been an improvement in the capacity to access the senior and subordinate market, however this channel remains highly dependent on the changes in market conditions.

With reference to the short-term liquidity risk, a specific business plan has been developed to protect stable sources of financing, taking into account the fact that, in the past, the Group has experienced liquidity stress periods. However, it continues to be classified as “high” risk given the particular regulatory focus on internal models for determining cash outflows.



Other risks

Risks associated with capital adequacy

The Group is exposed to the risk that Supervisory Authorities impose additional requirements and/or parameters for purposes of calculating capital adequacy requirements, or adopt unfavourable interpretations for the Parent Company, resulting in an inability to comply with the requirements, which could decrease profitability or other measures provided by supervisory legislation and which may make it necessary to adopt further capital strengthening measures

Risks associated with audits by Supervisory Authorities

The Group is exposed to the risk that the measures taken over time to eliminate the critical issues identified by Supervisory Authorities following the audits conducted/to be conducted are not effective. Furthermore, if the Group is unable to promptly comply with the Supervisory Authorities' requests, it could be subject to penalties, or various measures restricting its operations or other measures provided by supervisory regulations

Reputational risk

As emerged in the 2019 SREP Decision, the Group's reputational profile continues to highlight certain weaknesses, mainly related to media exposure for past events, for certain proceedings still pending, for the debate regarding the Parent Company's mission following the Precautionary Recapitalisation and the entry of the Italian government into the Parent Company's shareholder structure. It cannot be excluded that in the future, including due to the possible negative media climate and in consideration of the characteristics of this type of risk, the dependency on external factors beyond the control of the Parent Company and despite the safeguards implemented, the Group may incur pressure on its liquidity situation.

Risks associated with representations and guarantees issued in transactions for the sale of non-performing loans

In general, the transactions for the sale of non-performing loans which the Group has taken part in over the last three years require the assignor bank to provide the assignee with a series of guarantees on the reliability of the information and documentation relating to the loans transferred, such as the ownership and assignability of the loan, the validity of the guarantees securing the loans (particularly mortgage loans), the conformity of the real estate covered by the guarantee and the integrity of the data, etc. If the assignees believe that there are "discrepancies" with some of the receivables and that, therefore, there are breaches of representations and guarantees, the assignor banks are required to indemnify the assignees.

The most significant contract presenting this type of indemnity relates to the sale of the portfolio of bad loans, as part of a loan securitisation transaction carried out by the Group in favour of Siena NPL S.r.l. in December 2017. The contract establishes that in no case shall the indemnities (including the price of the faulty receivable in the event of repurchase by the assignor bank) due by each assignor bank for breach of representations and/or guarantees exceed 28% of the purchase price of the relevant portfolio. Breach of representations and guarantees on the above portfolio may be claimed by the assignee by 31 July 2021.

For the other bad loan disposal transactions for which representations and guarantees are still outstanding, namely ISMEA, Merlino and Race, the expiry dates are fixed between the end of the first quarter 2020 and 30 April 2021.

Finally, with regard to transactions concerning the sale of Unlikely-to-pay receivables, the final date of expiry is May 2023."

Risks associated with securitisations

The Group maintained a series of exposures towards the securitisation transactions carried out and, therefore, with respect to the trend of collections and recoveries of the securitised portfolio. In this case, the exposure to the relative risks would remain, in terms of effective return and possibility of recovery of the investment made, when the flows deriving from securitised assets are lower than those expected over the life of the transaction.

Risks associated with the exposure and performance of the real estate sector

As part of its operations, the Group is exposed to risk in the real estate sector, both as a result of investments directly held in owned properties and, in the context of lending activities, as a result of loans granted to companies operating in the real estate sector, whose cash flows are mainly generated by the rental or sale of properties (known as commercial real estate), as well as from the activity of granting loans to private individuals backed by real estate collateral.



Risks related to outsourcing certain services

The Group is exposed to the risks associated with outsourcing certain services and, in particular, to risks deriving from (i) operations and continuity of outsourced services or (ii) any indemnity obligations borne by the Parent Company provided for in the contracts governing the aforementioned delegation of services.

Risks related to the economic-political context

The Group is exposed to the risk linked to the evolution of Italian economic conditions and to a general trend of the European and global economy, which continue to have significant downside risks (see “Reference context” chapter).

The Group’s results are heavily influenced by the general economic context and by dynamics in financial markets and, in particular, by the performance of Italian economy (based on, among other things, factors such as the solidity perceived by investors, prospects of expected growth of the economy, creditworthiness, stability of the political context), as it is the country in which the Group operates almost exclusively.

The prospects of a global slowdown and, in particular, of a prolonged stagnation in the Italian economy, together with any crises of the current administration, which could compromise its credibility in the European Union and influence the ability to implement growth support policies; on the other, an increased perception of country risk by financial markets and expansion of the BTP-Bund spread could have negative consequences on the Group’s financial situation.

Risks related to the regulatory context

In general, the Group is subject to a particularly complex regulatory framework (as described below) and any changes in regulations and/or changes in methods of interpretation and/or application by the competent Supervisory Authorities.

More specifically in reference to the Basel IV implementation process within the European regulatory framework, the Group has given particular attention to the Fundamental Review of Trading Book (market risk) and the possible introduction of the Standardised Measurement Approach (operational risk) as among the components with even greater uncertainty in terms of the implementation programme.

Risks associated with future asset quality reviews

Furthermore, the EBA, in cooperation with the competent Supervisory Authorities, could decide in the future to recommend a new asset quality review of the major European banks, obviously including the Group, whose results would not currently be predictable.

Additional elements - including quantitative - on the risk factors typical of the Group’s activities are contained in Part E of the Notes to the consolidated financial statements.



Results by Operating Segment

Identification of Operating Segments

For the purpose of identifying the Operating Segments provided for by IFRS 8, the Group has adopted the business approach. Consolidated income statement and balance sheet data are broken down and re-aggregated based on criteria including: business area concerned, operating structure of reference, relevance and strategic importance of activities carried out, and customer clusters served.

The Parent Company structure envisages the implementation of a specialised commercial organisational model with three Departments (Network, Markets and Products and Wealth Management).

Based on the Group's organisational structures and reporting criteria, the following Operating Segments were identified:

- **Retail Banking**, which includes the sales activities of Retail customers (Value, Premium and Small Business segments);
- **Corporate Banking**, which includes the sales activities of Corporate customers (SME, Institutions and Key Clients segments), Large Groups Area, Foreign Branches and the subsidiaries MPS Capital Services, MPS Leasing & Factoring and the foreign banks BMP Belgio and MP Banque;
- **Wealth Management**, which includes the sales activities of Private Banking customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;
- **Banca Widiba SpA**, which includes the financial advisor network and the self-service channel;
- **Corporate Center**, which in addition to cancellations of intragroup entries, incorporates the results of the following business centres:
 - service operations supporting the Group's business, dedicated in particular to the management and development of IT systems (Consorzio Operativo Gruppo MPS);
 - companies consolidated at equity and held for sale;
 - operating units, such as proprietary finance, ALM, Treasury and Capital Management which, individually, fall below the disclosure requirements for primary reporting.

The income statement results for each identified operating segment are shown in the following paragraphs. Note that:

- to allow for continuity in the description and interpretation of the performance results, even though the subsidiary BMP Belgio S.A. was sold on 14 June 2019, its economic data are included in the individual income statement items of the Corporate Banking operating segment, rather than in the item "Profit (loss) after tax from assets held for sale and discontinued operations", while the balance sheet data as at 31 December 2019 (and as at 30 September 2019) does not include BMP Belgio S.A. since the entire equity investment was sold in June. The subsidiary's data as at 31 March 2019, 31 December 2018 and 30 September 2018 were included in the individual balance sheet items of the Corporate Banking operating segment, even though it was being disposed of during that time;
- as from 2019, the cost allocation model for the identified operating segments was updated, thus, in order to make the comparison meaningful, the 2018 values were drafted on a pro-forma basis.



Results in brief

The following table reports the main income statement and balance sheet items that characterised the Group's Operating Segments as at 31 December 2019:

SEGMENT REPORTING		Business Segments								Corporate Center		Total MPS Group	
Primary segment		Retail banking		Wealth Management		Corporate banking		Widiba					
(EUR mln)		31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y	31/12/19	Chg % Y/Y
PROFIT AND LOSS AGGREGATES													
Total Income		2,217.8	-1.4%	139.8	13.4%	878.3	4.5%	69.6	2.3%	(82.3)	n.s.	3,223.3	-2.0%
Operating expenses		(1,637.3)	-4.2%	-99.6	-3.5%	-445.5	-10.1%	-61.2	-1.0%	(46.0)	n.s.	(2,289.6)	-2.6%
Pre Provision Profit		580.4	7.6%	40.3	99.7%	432.8	25.6%	8.4	35.9%	(128.3)	n.s.	933.6	-0.3%
Net impairment losses (reversals) on loans and financial assets		(268.1)	8.0%	0.1	n.s.	-325.7	-15.4%	-0.3	-54.7%	(17.1)	n.s.	(611.1)	-2.2%
Net Operating Income		312.3	7.3%	40.4	n.s.	107.1	n.s.	8.1	46.0%	(145.4)	n.s.	322.5	3.3%
BALANCE SHEET AGGREGATES													
Interest-bearing loans to customers		40,370.0	1.1%	498.8	-6.8%	30,758.1	-6.7%	640.7	35.8%	13,895.9	38.5%	86,163.4	2.7%
Deposits from customers and debt securities issued(*)		41,915.9	5.6%	3,496.5	10.0%	17,230.0	-6.4%	3,099.9	12.8%	28,475.0	7.7%	94,217.3	4.1%
Indirect funding		47,628.9	3.9%	15,328.0	2.3%	16,823.7	9.6%	5,126.5	4.9%	16,884.4	9.5%	101,791.5	5.5%
<i>Assets under management</i>		39,207.8	6.8%	11,482.3	6.1%	1,323.6	-10.1%	4,602.5	6.4%	2,685.7	4.5%	59,302.0	6.1%
<i>Assets under custody</i>		8,421.1	-8.1%	3,845.7	-7.3%	15,500.1	11.7%	524.0	-6.8%	14,198.7	10.5%	42,489.6	4.7%

(*) The values stated in the Sales & Distribution segments are gross interest-bearing loans and therefore do not include the allowance for impairment.



Retail Banking

Business areas	Customers							
• Funding and provision of insurance products. • Lending. • Financial advisory services. • Electronic payment services.	Retail customers number approximately 4.3 mln.							
	Breakdown by type <table><tr><td>Value</td><td>82.4%</td></tr><tr><td>Premium</td><td>10.4%</td></tr><tr><td>Small Business</td><td>7.2%</td></tr></table>	Value	82.4%	Premium	10.4%	Small Business	7.2%	
	Value	82.4%						
Premium	10.4%							
Small Business	7.2%							
Breakdown by geography <table><tr><td>North East</td><td>16.7%</td></tr><tr><td>North West</td><td>13.6%</td></tr><tr><td>Centre</td><td>35.3%</td></tr><tr><td>South</td><td>34.4%</td></tr></table>	North East	16.7%	North West	13.6%	Centre	35.3%	South	34.4%
North East	16.7%							
North West	13.6%							
Centre	35.3%							
South	34.4%							

Income statement and balance sheet results

As at 31 December 2019, **Total Funding** for Retail Banking amounted to approximately **EUR 89.5 bn**, up by roughly EUR 4.0 bn from the end of 2018 and about EUR 0.5 bn compared to September 2019. More specifically:

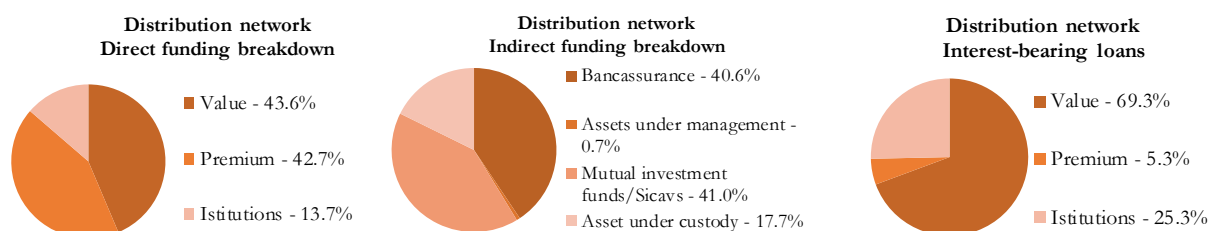
- **Direct Funding** was **EUR 41.9 bn**, up by approx. EUR 2.2 bn compared to 31 December 2018, due to the demand components (EUR +1.9 bn) and medium/long-term components (EUR +0.9 bn), while short-term deposits posted a decline (EUR -0.6 bn). The aggregate increased by EUR 0.5 bn compared to 30 September 2019, in particular for demand (EUR +0.4 bn) and medium/long-term (EUR +0.2 bn) forms, while short-term deposits were down EUR 0.1 bn.
- **Indirect Funding**, amounting to approx. **EUR 47.6 bn**, increased compared to 31 December 2018 by EUR 1.8 bn, primarily due to the upward trend in assets under management (EUR +2.5 bn), while assets under custody posted a slight reduction (EUR -0.7 bn). Compared to the September 2019 levels, the aggregate essentially unchanged, with an increase in assets under management (EUR +0.5 bn) and a decrease in assets under custody (EUR -0.5 bn).
- **interest-bearing loans to Retail Banking customers** were **EUR 40.4 bn** as at 31 December 2019, up compared to both December 2018 (EUR +0.5 bn) and September 2019 (EUR +0.3 bn).



RETAIL BANKING - BALANCE SHEET AGGREGATES

(Eur mln)	31/12/19	30/09/19	31/12/18	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	41,916	41,418	39,703	498	1.2%	2,213	5.6%
Assets under management	39,208	38,707	36,696	501	1.3%	2,512	6.8%
Assets under custody	8,421	8,915	9,161	-494	-5.5%	-740	-8.1%
Indirect Funding	47,629	47,623	45,857	6	0.0%	1,772	3.9%
Total Funding	89,545	89,041	85,560	504	0.6%	3,984	4.7%
Interest-Bearing Loans to Customers	40,370	40,058	39,915	312	0.8%	455	1.1%

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



With regard to profit and loss, as at 31 December 2019, Retail Banking achieved total **Revenues** of approx. **EUR 2,218 mln**, down 1.4% from the same period of last year. A breakdown of the aggregate shows:

- Net Interest Income was approximately EUR 945 mln, down 4.5% annually due to the higher returns on commercial assets (volumes and rates) compared to the higher contribution from deposits;
- Net Fee and Commission Income totalled approximately EUR 1,184 mln, down from the previous year's level by 4.5%, due to the reduction in income from product placement and loan usage fees.

Considering the impact of Operating Expenses, which decreased by 4.2% Y/Y, Retail Banking generated **Gross Operating Income** of about **EUR 580 mln** in 2019 (+7.6% Y/Y). Net impairment (losses)/reversals on loans and financial assets totalled **EUR -268 mln** (EUR -248 mln as at 31 December 2018).

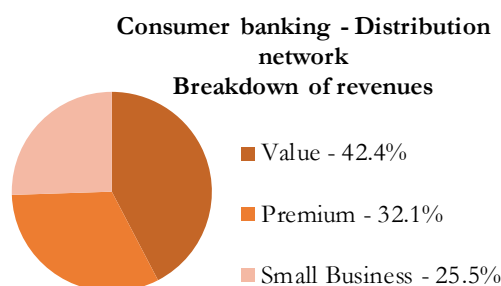
The **Net Operating Income** recorded since the beginning of the year is **positive, amounting to around EUR 312 mln**.

The **cost-income** of the Operating Segment is **73.8%** (76.0% at the end of December 2018).



RETAIL BANKING - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/19	31/12/18	Chg. Y/Y	
			Abs.	%
Net interest income	944.9	989.2	-44.4	-4.5%
Net fee and commission income	1,184.5	1,240.1	-55.6	-4.5%
Other income	70.2	5.9	64.4	n.s.
Other operating expenses/ income	18.2	13.3	4.9	n.s.
Total Income	2,217.8	2,248.5	-30.7	-1.4%
Operating expenses	(1,637.3)	(1,709.2)	71.8	-4.2%
Pre Provision Profit	580.4	539.3	41.1	7.6%
Net impairment losses (reversals) on loans and financial assets	(268.1)	(248.2)	-19.9	8.0%
Net Operating Income	312.3	291.1	21.2	7.3%

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



The main product/service sales and innovation initiatives

The 2019 sales activities were developed in a reference context characterised by the considerable impacts associated with the implementation of regulations that entered into force in 2018 (changes in MiFID II, IDD, IFRS 9) which envisage the adoption of advanced advisory approaches with a view to protection and maximum transparency with customers.

The initiatives enacted during the year were developed in accordance with the following main policies:

- **Focus on loan development**, in particular with private customers, by repositioning the range of active mortgage loans and transfers to the Bank through targeted periodic promotions. High degree of attention on credit quality improvement;
- **Investment advisory management** through dedicated IT platforms, consistent with the reference regulations and capable of enhancing the constant expansion and innovation in the solutions offered (multi-brand approach);
- **Growth in commissions from services** through continuous updates in the offer, in particular in the Protection and e-Money sectors.



Market	Main sales initiatives developed in the market
Value	Specific initiatives dedicated to Acquisition activity have been launched, in particular for young customers, such as the “18-30 Youth” offer, designed to increase the opening of new MPS Mio accounts and new Quickard prepaid card. The “Win For Green” initiative also focused on acquiring new customers aged 18-30, combining it with awareness on the issue of environmental sustainability. This initiative was supported, in parallel, by acquisition activities through referrals (“member-get-member” approach) dedicated to current account holders who present at least one new “young” prospective customer. The “Un Monte di valore” (“A Mountain of Value”) initiative was launched, designed to acquire new customers and volumes, involving the reimbursement of fees and commissions for those adding new liquidity to current accounts or transferring financial instruments to their MPS Securities Portfolios. Flash initiatives were activated with specific sales offers in a limited period of time, such as “Black Friday”, to develop new customers and increase cross-selling on existing customers through the offer of specific solutions at promotional conditions, valid only for a limited participation period (prepaid, credit and debit cards, Compass loans). The growth of Compass SpA loans was supported by short-term offers such as the Compass “Sales” initiative, to make purchases during the sales season, or Compass “Holidays” as well as “Back to School”, which were supported by initiatives on specific target customers, such as the Compass offers for young people. Various initiatives at a promotional rate were carried out on the mortgage loan sector for the purchase of a first home, both in the MPS MIO range and on products supported by CONSAP guarantees, which support the purchase of homes by customers requiring financing equal to 100% of the purchase value. Initiatives aimed at increasing the use of cards held by the customer have been carried out in support of the e-Money sector, such as the “Win with Mastercard” and “Mastercard Winning Summer” promotions. The increase in the Protection sector was supported by strong innovation of the range on offer with the launch of new guarantees on products already in the catalogue (e.g., Vivo Casal, InGiro for the Mia Protezione product) and new products, such as the innovative “Per noi” policy, unique on the Italian market in that it provides two insured parties and three guarantees in the Life segment. The Loans segment was supported by competitive repositioning of the range through window promotions of the MPS Mio product for mortgage loans and transfers of mortgage loans. In 2019, in collaboration with external partners and with the Knowledge Management and Training Service, continuous remote informational-training initiatives were carried out, designed to ensure constant professional development of the front-end on financial markets, on innovations in the product range, and on communications sent to customers in compliance with regulatory obligations (e.g., webinars on <i>ex-post</i> disclosure sent to customers in compliance with MiFID II regulations).
Premium	Specific initiatives have been launched dedicated to Retention, with promotions on protection and e-Money products, as well as caring activities with special dedicated offers, in terms of discounts, to customers with a ten-year relationship with the Bank and with higher account values. The investment sector was marked by continuous innovation carried out with partners, both in terms of the types of solutions on offer (insurance, UCITS, etc.) as well as positioning on specific financial and currency markets (EUR/USD). Particular advisory attention was given to Premium customers upon sending the <i>ex-post</i> disclosure notices required by MiFIDII regulations.



Market	Main sales initiatives developed in the market
	The “Un Monte di valore” (“A Mountain of Value”) initiative was also launched for the Premium segment, designed to acquire new customers and volumes, involving the reimbursement of fees and commissions for those adding new liquidity to current accounts or transferring financial instruments to their MPS Securities Portfolios. Targeted activities were also activated in the Protection segment, in order to meet the increasingly evolved needs of customers in protecting the home, family, and their professional activities, through the new guarantees in the catalogue (e.g., Vivo Casa, In Giro di Mia Protection or the broader guarantees of 360° Assistance of Formula Benessere). Particular attention was also given to the Supplementary Pension segment in order to safeguard the future for the customer and to optimise, over the course of his/her professional life, the tax benefits dedicated to the participants. In order to provide 360° support for the needs of Premium customers, the “Generational handover and succession” project was maintained, which envisages the possibility of integrated advisory services from Fiduciaria MPS and AXA for families and/or complex wealth cases, with a view to protecting assets and developing new customers, heirs of our current customers. Also in the Premium market, in collaboration with external partners and with the Knowledge Management and Training Service, continuous remote informational-training initiatives were carried out, designed to ensure constant professional development of the front-end on financial markets, on innovations in the product range, and on communications sent to customers in compliance with regulatory obligations (e.g., webinars on <i>ex-post</i> disclosure sent to customers in compliance with MiFID II regulations).
Small Business	A central role was played by initiatives intended to develop lending volumes on existing and prospective customers, combined with the utmost attention placed on limiting credit risk. In this regard, branch activities were supported by specific sales campaigns, using specific targets to identify customers with high development potential, as well as innovative ways to increase disbursements of small-value loans (known as “Smart credit”), in collaboration with the lending network. In terms of protection, there was a significant drive towards increasing the level of offerings to corporate customers, with industry-based initiatives as well as initiatives aimed at boosting awareness amongst customers of new insurance solutions introduced during the year (e.g., the innovative “Per Noi” insurance policy). Sales activity was also supported by dedicated training on protection issues. With regard to acquiring services, note the important activity carried out in partnership with Nexi, strongly focused on promoting the entire SMARTPOS range. For this purpose, the sales activity was undertaken in parallel with regulatory developments in terms of payment management (e.g. the electronic payment transmission), using discounts (Smart Pos offer), dedicated offers with special rates on both POS and on the MIO Business account (Account & POS Double Advantage) and targets aimed at identifying opportunities for customers without POS or with old terminals.

Funding, Assets under Management and Bancassurance

- The “Conto Italiano di Deposito” continues to represent the main product in the **short/medium-term funding segment**. In 2019, the coupon interest lines and the lines dedicated to premium collection took on particular importance, representing more than 2/3 of the total funding of the year. The process of rationalising the offer continued with the de-listing of some lines, due to overlap with products already in the catalogue, accompanied by the temporary suspension of some durations not financially attractive for customers with the current interest rate scenario. Starting from the last quarter of the year, the expenses for opening the CID catalogue were redistributed in proportion to the duration of the investment. The contribution of the gross funding in time deposits is also interesting, especially in the first months of the year.



- In terms of **Indirect medium/long-term funding**, the 2019 offer focused on USD bonds indexed on interest rate or on the equity segment, carried out with the primary international issuers. These include three bonds (two public offers with multiple authorised placement agents and one exclusively for the BMPS network) linked to the topic of sustainability and positive impact financing.
- In the **Assets under Management** area, for the Premium and Value segments the traditional offer was consolidated, both for open funds and “window” products through the Funds managed by the partners Anima, JP Morgan and BlackRock, while with a view to optimisation at the end of the first half of the year collaboration relationships were brought to a close with Arca SGR, whose range of proposals did not significantly expand the coverage of customer investment needs compared to the existing catalogue.
- The offer of Savings and Pension insurance products during 2019 was enhanced in the unit-linked segment with a new policy called **Personal Style**, while at the same time carrying out a rationalisation of the range including the de-listing of Mosaico Revolution and Valore Selezione Plus. The policy, which can be subscribed both in a single premium and in recurring premium formats, allows to invest simultaneously in internal funds, managed by AXA MPS Financial, and external funds, managed by a selection of the best global investment firms. The offer of unit-linked policies in tranches continued with 2019 with 5 issues of the “Progetto Protetto” for households and the “Progetto Valore”.
- In the area of life and non-life insurance **Protection**, the following new products have been launched: the “InFuturo” life policy which, in the event of death, pays an amount equal to the value of the financial instruments held with BMPS, the “Nessun Pensiero” non-life policy, which protects against events that could prevent the holder from paying the instalments of a mortgage or loan, and the “Per Noi” life policy, which allows you to insure two policyholders at the same time from events related to accidents or illness. Furthermore, the offer of non-life protection guarantees was streamlined through the restyling of the “Protezione Business” multi-guarantee policy, with the simultaneous release of the new “Cyber Risk” guarantee for companies, the restyling of the “Mia Protezione” multi-guarantee policy, implemented by rationalising the range and introducing the new “In Giro” and “Vivo Casa!” guarantees and restyling the “Assistenza 360” guarantee of the “Formula Benessere” policy, enhancing support services. Finally, all activities envisaged for 2019 by the reference regulations (IVASS Regulations 40 and 41 of 2 August 2018 and IVASS Provision 84 of 13 February 2019) were carried out, such as the appointment of the BMPS Manager of Insurance Distribution and disclosures to IVASS on shareholdings and close family ties for RUI participants.

Loans

- The sales partnership with Compass for the placement of personal loans was strengthened, as well as that relating to salary/pension-backed products with the Futuro partnership.
- Participation in ABI/CDP agreements and system initiatives to support customers struck by disasters (fund for subsidised loans, suspension of mortgage instalments, etc.) or by business crises (former IVLA, Mercatone Uno, etc.).
- In the Small Business Loans segment, the new “MPS Valore” product was launched for sports, aimed at sporting clubs and associations, and the “Sostitutuo Impresa” was redesigned, aimed at businesses and micro-enterprises that want a subrogation/replacement product for outstanding loans with other credit institutions.
- The product catalogue for Retail mortgage loans was optimised, with the development of new unsecured products and enhancement of the offer of mortgages for the purchase of non-residential properties; new pricing and offers were defined (Mutuo MIO promotion) in order to increase competitiveness.
- Obligatory requirements were met to come into line with regulations (Consumer Real Estate Credit, POG, etc.) as well as of an associative nature (ABI agreements, disasters, etc.).

Current Accounts, Payments and Collections

- SEPA Instant Transfer functionality developed and pilot launched for release set for January 2020.
- PSD2 compliance activities carried out, for opening up to Third Parties and new SCA (Strong Customer Authentication) procedures.



- Adaptation activities for POG (Product Oversight Governance) were carried out to strengthen the sales proposition to specific target markets and related monitoring.
- Modular platform consolidation for Package Accounts offer (MPS Mio and MPS Mio Business).
- Strengthened PagoPA offer on Cbill with the release of other payment services (e.g. automobile tax).

E-Money

- Release of new consumer (Quickard and Quickard Plus) and business (Quickard Business) prepaid cards.
- Launched integration activities for Google Pay services, with pilot on credit cards, as part of the innovative upgrading for Mobile Payment/Digital Wallet, replacing the previous MPSWallie offer. Launched integration activities with Apple Pay.
- Release of Bancomat Pay payment functionality for P2P and P2B payments on mobile on domestic debit cards.
- Enhanced security features for e-commerce payments (3DS and SCA) as part of adaptations for PSD2.
- Increased functionality on Digital Banking for card management and related spending.
- Released new POS offers (Smart POS, Smart POS mini) and new pricing approaches in partnership with Nexi.

Digital Banking

Effective 1 September 2019, the “Digital Banking” platform, which includes Internet and Mobile Banking services, Apps, Telephone Banking and Cardless ATM, is the only platform available for Retail customers to remotely manage their accounts and services. The “migration” from previous services was thus completed, achieving full compliance with the regulatory and security provisions indicated by the PSD2 Directive, in addition to rationalising the platform for purposes of cost containment. In this context, the use of the electronic token during the authentication phase was replaced with the sending of the One-Time Password (OTP) via SMS, which in turn preceded the gradual enabling, still in progress, of use of biometric data (Face ID, Touch ID) with “Authorisation with Notifications”.

The omni-channel approach has strongly characterised the past year, represented in Digital Banking with the availability and development of multiple services and functionalities.

For commercial areas:

- the sale of the MPS Mio Easy current account
- the sale of the Carta Montepaschi Debit Mastercard
- the sale of funds in PAC mode (Accumulation Plan)
- the simulation of certain types of mortgage loan, with the possibility of scheduling an appointment at the branch
- the Motor Policy quote
- activation of the new Bancomat® Pay payment channel
- management of revolving payment cards, formerly Consum.it, and of the new Quickard payment cards

For operational areas:

- the “Authorisation with Notifications” service, which allows access and authorisation using biometric factors (Face ID, Touch ID)
- management of the “3D Secure” service, for the secure use of online payment cards
- renewal of the Remote Digital Signature (FDR) which allows contractual documents with the Bank to be signed
- renewal of expired identity document, with consequent sending to the Bank of a copy for archiving purposes
- the “Digital Drawer”, to allow customers to send certain types of documents to the Bank in a digitised format



- “Web collaboration”, active for Private and Family Office customers, to allow advisory proposals and investments order to be sent by the Bank and signed by the customer

In collaboration with UICI (Italian Association for the Visually Impaired), the Bank has developed a specific range of services for its members that includes, as a benefit, a dedicated email address to which customers can send information/support requests (with regard to Digital Banking and other issues) to receive a telephone call or to set an appointment in a branch.

Internet Corporate Banking

In 2019, the main areas of intervention were regulatory (PSD2) and commercial.

With regard to the former, given the mandatory nature of the dynamic linking regulations, the activities focused on meeting the deadlines (September 2019) and ensuring compliance. Therefore, electronic payment transactions were characterised - in addition to strong authentication - also by a dynamic link between the amount and the beneficiary of the order and its confirmation code. In other words, the signature password is directly associated with the amount/beneficiary binary, so that a change in this binary invalidates the possibility of using the password created with the original data. Obviously, this method was also a feature of the “Digital Banking” service for Retail customers.

Around this main release, other IT activities were carried out to make the transition to the new regulations easier for customers. In particular:

- the electronic token has been maintained, limiting the use solely for information and administration transactions;
- sensitivity to mouse movement for 5 minutes, for purposes of session suspension due to inactivity;
- release of the App for access and orders with QR code.

These interventions all take into account the distinctiveness of the customer who uses corporate banking and have the common objective of finding the best combination between the level of security and usability. In particular, the App with QR code enables operations even without a telephone signal, thanks to the code’s visible placement on the corporate banking login page. This implementation was necessary to ensure service continuity to customer clusters located, for example, at sea or in particularly remote areas. However, it can also be used in other contexts, according to the preferences of the individual user.

Among the commercial initiatives, note that impetus to digitalise businesses, based on Electronic Invoicing and Online Advance on Invoices products. Both services, which were already present from 2017 and 2018 respectively, were further enhanced in 2019 with the invoice schedule and with the automatic creation of the payment slip.

The rationalisation of internet banking services for corporate customers involved the closure of Paskey Internet Banking. Therefore, the offer focused mainly on the PasKey aziendaonline service, for which 19,000 contracts were activated in the May-September period alone. To ensure an adequate level of service, customer service has been enhanced and ad hoc features have been created for business continuity (e.g. electronic document recovery, display of bank account transactions, and recovery of personal data/addresses).

In December 2019, with the objective of reducing the Bank’s operating costs for PasKey aziendaonline, approximately 15,000 non-active and non-profitable contracts were eliminated, with prior notice to the customers concerned and providing adequate assistance.

ATMS

The ATM channel, with its characteristics of physicality, simplicity and widespread presence, was a local focal point throughout 2019, contributing to the Bank/Customer relationship in four main areas:

- limitation of inconveniences arising from the Network restructuring plan in communities with fewer branches, thanks to the maintenance of ATMs in the short or long term;
- creation of new commercial opportunities (e.g., acquisition of new customers from the employees of the various shops, etc.) with the installation of new remote ATMs in areas with a high user flow (e.g., shopping centers);
- increasing the transactions that can be carried out by customers autonomously, particularly with regard to customers interested in making deposits;



- supporting the migration of transactions towards direct channels, bringing the number of deposits for branches equipped with Cash-In ATMs to around 54%.

In addition, the upgrading of the ATM network, with the replacement of obsolete machines, and the strengthening of Cash-In machines, currently present in 75% of the Bank's branches, made it possible to optimise the "time" of branch personnel, enabling them to dedicate more attention to customer relationships rather than managing ordinary transactions. In order to encourage the maximum usability of ATMs, measures have also been taken to facilitate accessibility for people with functional limitations.

Open Banking

Directive (EU) 2015/2366 (PSD2) entered into force in 2019, which replaces the previous PSD (Directive 2007/64/EC), with the aim of creating from Payment Initiation Services (PIS) an "innovative and competitive market capable of guaranteeing customers' trust and security, the effective exchange of information necessary to carry out transactions, and a clear set of rules regarding responsibilities, avoiding fragmentation at European level". Among the various requirements, the most important is that of the obligation for banks to open access to their payment accounts to third parties (e.g. fintech) and to manage payment orders and information operations through these parties.

In order to comply with the requirements of the new regulation, the Parent Company, as "payment service provider and online account information services", has, on one hand, consolidated the mechanisms for accessing Digital Banking and Corporate Banking and, on the other hand, made services available to third parties by joining the "CBI GLOBE – Global Open Banking Ecosystem" of CBI S.C.p.A.

The integration with the CBI GLOBE platform ended in March 2019 and, in June, the services were released into production. The early release with respect to the deadline for the regulation's entry into force set for 14 September by the European Banking Authority (EBA), has allowed the Parent Company to obtain from Bank of Italy, as National Competent Authority (NCA), the exemption from the obligation to implement the "emergency solution" (or fall-back), ensuring additional cost containment necessary to implement PSD2.

From September 2019, therefore, the Parent Company, perfectly synchronised with the deadlines set by the regulator (EBA), provides the services that by law constitute the prerequisites for the "Open Banking".

Lastly, the Parent Company has launched two development areas to realise value from the new Open Banking paradigm: the first, in which solutions are being studied to make new services available on traditional internet channels, relates to Digital and Corporate Banking; the second concerns the scouting of solutions dedicated to third parties that enhance the Bank's commercial assets.



Wealth Management

Business areas	Customers
- Funding, lending, provision of insurance products, financial and non-financial services to private banking customers. - Services and products for high-standing customers in the areas of wealth management, financial planning, consultancy on not strictly financial services (tax planning, real estate, art & legal advisory). - Fiduciary and trust services (through the subsidiary MPS Fiduciaria).	There are around 35 thousand private customers.
	Breakdown by type ■ Private - 94.2% ■ Family Office - 5.8%
	Breakdown by geography ■ North East - 22.0% ■ North West - 20.6% ■ Centre - 37.4% ■ South - 20.0%

Income statement and balance sheet results

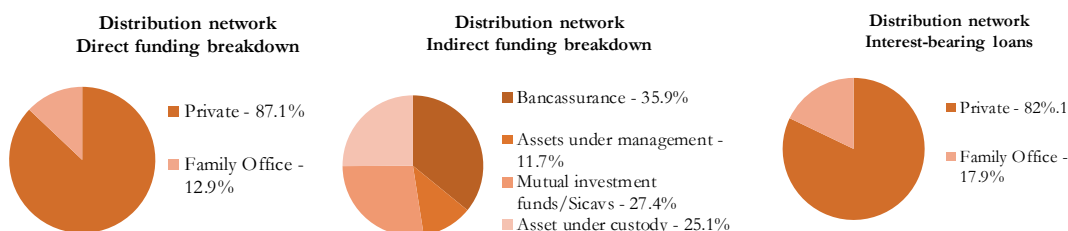
As at 31 December 2019, **Total Funding** for Wealth Management amounted to approximately **EUR 18.8 bn**, an increase from the end of December 2018 (EUR +0.7 bn) and a decrease from September 2019 (EUR -0.1 bn). More specifically:

- Direct Funding** amounted to **EUR 3.5 bn** as at 31 December 2019, up by EUR 0.3 bn compared to 31 December 2018 and down by EUR 0.1 bn compared to September 2019;
- Indirect Funding**, amounting to about **EUR 15.3 bn**, was up by roughly EUR 0.4 bn compared to December 2018 (EUR +0.7 bn in assets under management and EUR -0.3 bn in assets under custody) and essentially stable with respect to 30 September 2019;
- Interest-bearing loans** to Wealth Management customers were essentially in line with both December 2018 and 30 September 2019, amounting to roughly **EUR 0.5 bn**.

WEALTH MANAGEMENT - BALANCE SHEET AGGREGATES

(EUR mln)	31/12/19	30/09/19	31/12/18	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	3,496	3,598	3,178	-102	-2.8%	318	10.0%
Assets under management	11,482	11,308	10,826	175	1.5%	657	6.1%
Assets under custody	3,846	4,018	4,151	-173	-4.3%	-305	-7.3%
Indirect Funding	15,328	15,326	14,976	2	0.0%	352	2.3%
Total Funding	18,824	18,924	18,154	-100	-0.5%	670	3.7%
Interest-Bearing Loans to Customers	499	492	535	7	1.4%	-36	-6.8%

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



With regard to profit and loss, Wealth Management achieved total **Revenues** of approx. **EUR 140 mln** as at 31 December 2019, up 13.4% compared to last year. A breakdown of the aggregate shows:

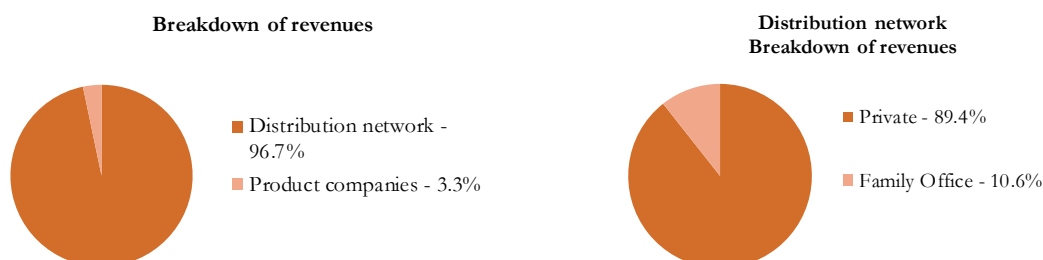
- as at 31 December 2019, Net Interest Income was approximately EUR 12 mln, up 57.8% annually, influenced by the recovery in the contribution of direct funding;
- Net Fee and Commission income in 2019 totalled approximately EUR 109 mln, down compared to the levels of the previous year (-5.4%) as a result of the decline in the product segment, for continuing operations and placement components.

Considering the impact of Operating Expenses, which decreased by 3.5% Y/Y, Wealth Management generated **Gross Operating Income** of about **EUR 40 mln** (+20% Y/Y). Including net impairments (losses)/reversals on loans and financial assets equal to about EUR 0.1 mln, the **Net Operating Income** since the start of the year totalled roughly **EUR 40 mln**.

The **cost-income** of the Operating Segment is **71.2%** (83.6% at the end of December 2018).

WEALTH MANAGEMENT - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/19	31/12/18	Chg. Y/Y	
			Abs.	%
Net interest income	11.8	7.5	4.3	57.8%
Net fee and commission income	108.9	115.1	-6.2	-5.4%
Other income	18.8	0.4	18.5	n.s.
Other operating expenses/ income	0.4	0.4	-0.1	n.s.
Total Income	139.8	123.3	16.5	13.4%
Operating expenses	(99.6)	(103.2)	3.6	-3.5%
Pre Provision Profit	40.3	20.2	20.1	99.7%
Net impairment losses (reversals) on loans and financial assets	0.1	(4.5)	4.7	n.s.
Net Operating Income	40.4	15.6	24.8	n.s.

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.





The main product/service sales and innovation initiatives

Market	Main sales initiatives developed in the market
Private Banking/Family Office	In 2019, numerous highly specialised informational-training initiatives were developed, in order to strengthen and increase the skills of bankers and managers, through targeted courses in collaboration with certified entities and structures with high standing.

Promotional and marketing initiatives

In 2019, various initiatives were undertaken to encourage the increase in funding, acquisition of new customers and development of a “Global Wealth Management” approach, including through the use of levers and promotional offers for specific customer targets and clusters, in particular:

- **Generational handover:** with a view to updating the customer base and retaining existing volumes, specific initiatives were activated with the objective of increasing the Network’s competitiveness in generational handover activities, using targeted levers to identify younger customers and retain the heirs of existing Private-FO customers.
- **Corporate-WM Cross-Selling:** activities for growth through extension continued, heavily focused on developing synergies with the Corporate segment, in order to acquire personal accounts of entrepreneurs who already have company accounts at the Bank, with a view to comprehensively enhancing and developing existing relationships.
- **Non-financial services:** in order to fully implement a global coverage approach to customer needs, initiatives aimed at enhancing protection services and trust services have been launched, including by developing a series of marketing tools to support the Network and to spread the use of best practices.

Product/service innovation

In 2019, the offer of products and services for Private customers was characterised by the research and development of new investment solutions that would continue the path already started in 2018, relating to an increasing rationalisation and simplification of the offer.

Specifically, following the launch of the first Insurance Wrapper Unit in 2018 (Private Suite), developments in the insurance investment products segment continued with the launch of the new **Multi-Branch Private Choice**, which involved the simultaneous de-listing of stand-alone products, both from internal funds (Double Engine Plus) and external funds (Selezione Libera). The product is characterised by high flexibility in the choice and composition of the financial instruments underlying the policy, through the possibility of selecting from a vast array of external and internal funds in addition to the separate management component.

For **indirect funding, with reference to the Certificates**, in line with the placement trends seen in the reference market, the offer continued to be developed through the placement of 8 certificates, all with third-party issuers. An especially structured issue process involving the participation of product’s specialised functions and the Advisory functions and which enabled specific investment issues and structures to be identified at any given time that could better meet customer needs in accordance with the market context.

In the area of Assets under Management, the **offer of Funds/Sicavs** continued with a view to the ongoing evolution of the offer, aimed at maintaining the high quality of the placement range.

The following products were released during the year: Anima “window” funds; update of UCITS offer range for all investment firms in direct placement with the release of new segments; Hedge Invest Distressed Opportunities closed-end fund.

Furthermore, again in the context of the UCITS offer, with reference to the multi-segment vehicle, multi-brand **MPS Private Solution**, the catalogue of segments offered was **enhanced with the new MPS Private Solution Responsible segment**, bringing the total number of segments available in the offer to six.

As regards the **Wealth Management** sector, attention was focused during 2019 on the search for new investment solutions that would respond both to new market trends and to customer dynamics and needs. Therefore, new investment themes were developed, with the launch of **4 new GP lines in the offer catalogue of the GP Private Investment multi-line system: (i) Global Megatrend line, (ii) Mid & Small Cap Italia line, (iii) Global Macro line, and (iv) Global Equity Bias ESG line.**



Lastly, note that, oversight of Product Governance continued in line with what was started in 2018, enacted following the application of the MiFID II regulation, resulting in a global review of target markets for the products offered (in particular, on the more than 8,000 segments of SICAVs and Funds within the offer), as did contact with counterparties for the renegotiation of all distribution agreements.

Results for the subsidiary

- **MPS Fiduciaria:** the subsidiary achieved a profit for 2019 of approximately EUR 0.5 mln.

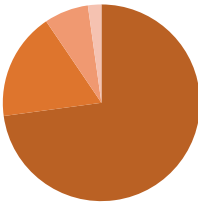
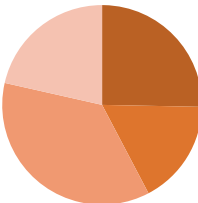
In 2019, the subsidiary renewed the commercial agreement with Widiba using the structure of the existing agreement with the Parent Company.

The company also continued with its collaboration with the Parent Company's three reference markets through intense promotional and informational/training activities - on trust services in general and on their potential uses, including in the private sector - for bank personnel and for major shared customers.

The guidelines for upcoming subsidiary developments call for a significant re-launch of commercial activities to be carried out primarily through synergy with all Parent Company markets, aimed at a significant recovery in funding values, including cash, financial instruments and unlisted corporate shareholdings.



Corporate Banking

Business areas	Customers
• Lending and offering financial products and services to businesses, including through strategic partnerships with trade associations and Confidi (credit guarantee consortia), with Guarantee Institutions (including public) and Institutional Entities, through which funding is acquired at favourable terms. • Offer of integrated leasing and factoring packages for businesses, artisans and professionals (through the subsidiary MPS Leasing & Factoring). • Corporate finance - medium/long-term credit facilities, corporate finance, capital markets and structured finance also through the subsidiary MPS Capital Services. • Custody and deposit services for dairy products on behalf of third parties (through the subsidiary Magazzini Generali Fiduciari di Mantova S.p.A., which is also authorised to issue documents of title to the merchandise, providing for easier access to bank lending).	About 46,800 Corporate and large group customers of the Parent Company, directly followed by Corporate Banking.
	Breakdown by type  ■ SMEs and other companies - 72.9% ■ Institutions - 17.7% ■ Key Clients - 7.3% ■ Large Corporate - 2.2% Breakdown by geography  ■ North East - 25.3% ■ North West - 17% ■ Centre - 36.2% ■ South - 21.5%

Income statement and balance sheet results

As regards the results of the subsidiary BMP Belgio S.A., which were kept in the original items in the Corporate Banking operating segment, please refer to the sections on income statement and balance sheet reclassification principles.

Corporate Banking **Total Funding** recorded growth of approx. EUR 0.3 bn, from EUR 33.7 bn at the end of December 2018 to **EUR 34.1 bn** as at 31 December 2019. The trend in this aggregate was principally due to the increase in indirect funding (EUR +1.5 bn) recorded in assets under custody, connected to a significant Large Groups position. Compared to 30 September 2019, the aggregate increased by EUR 0.3 bn, mainly due to indirect funding (EUR +0.4 bn).

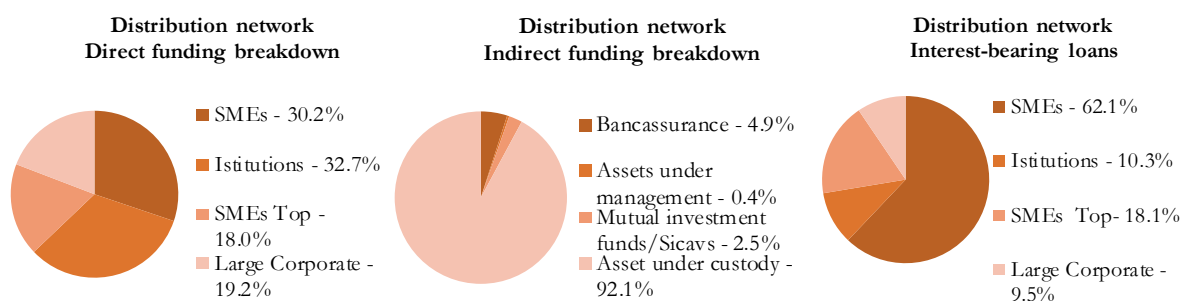
With regard to lending, as at 31 December 2019, Corporate Banking **interest-bearing loans to customers** stood at approximately **EUR 30.8 bn** (EUR -2.2 bn on 31 December 2018 and EUR -1.3 bn compared to 30 September 2019).



CORPORATE BANKING - BALANCE SHEET AGGREGATES

(EUR mln)	31/12/19	30/09/19	31/12/18	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	17,230	17,339	18,399	-109	-0.6%	-1,169	-6.4%
Assets under management	1,324	1,402	1,472	-79	-5.6%	-149	-10.1%
Assets under custody	15,500	15,044	13,872	456	3.0%	1,628	11.7%
Indirect Funding	16,824	16,446	15,345	378	2.3%	1,479	9.6%
Total Funding	34,054	33,785	33,743	269	0.8%	310	0.9%
Interest-Bearing Loans to Customers	30,758	32,076	32,963	-1,318	-4.1%	-2,205	-6.7%

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



For profit and loss aggregates, Corporate Banking **Revenues** came to **EUR 878 mln** in 2019 (+4.5% Y/Y). A breakdown of the aggregate shows:

- Net Interest Income was approximately EUR 459 mln, down 18.7% annually due to the decrease in returns on commercial assets;
- Net Fee and Commission Income decreased by 3.2% Y/Y, amounting to approximately EUR 301 mln, mainly penalised by the downward trend in proceeds from the use of loans;
- Other Revenue from Banking and Insurance Business amounted to approx. EUR 135 mln (EUR +153 mln in 2018), Y/Y growth attributable to trading activities as a result, in particular, of the revaluation of securities recognised under assets originating from the Sorgenia Group debt restructuring transaction.

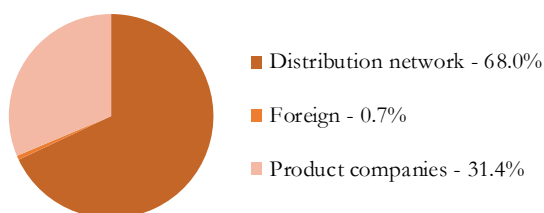
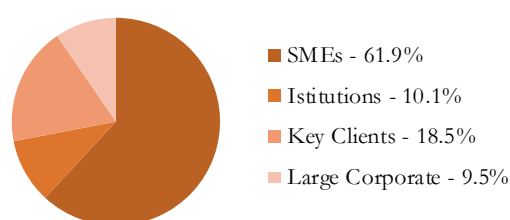
Considering the impact of Operating Expenses, down by 10.1% compared to 31 December 2018, the **Gross Operating Income** came to about **EUR 433 mln** (+25.6% Y/Y). The **Net Operating Income** for this segment was equal to approx. **EUR 107 mln** (the result as at 31 December 2018 was EUR -40 mln), as a result of the improvement in impairment (losses)/reversals on loans and financial assets (EUR -326 mln).

The Corporate Banking **cost-income** ratio stands at **50.7%** (59.0% as at 31 December 2018).


CORPORATE BANKING - PROFIT AND LOSS AGGREGATES

(EUR mln)	31/12/19	31/12/18	Chg. Y/Y	
			Abs.	%
Net interest income	459.3	565.2	-106.0	-18.7%
Net fee and commission income	300.7	310.5	-9.8	-3.2%
Other income	134.8	(18.5)	153.3	n.s.
Other operating expenses/ income	(16.5)	(17.1)	0.6	n.s.
Total Income	878.3	840.2	38.1	4.5%
Operating expenses	(445.5)	(495.6)	50.0	-10.1%
Pre Provision Profit	432.8	344.7	88.1	25.6%
Net impairment losses (reversals) on loans and financial assets	(325.7)	(385.0)	59.3	-15.4%
Net Operating Income	107.1	(40.3)	147.4	n.s.

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

Breakdown of revenues

**Distribution network
Breakdown of revenues**

Results of the main subsidiaries

- **MPS Capital Services:** profit before taxes of EUR 104 mln and profit for the period of EUR 37 mln, down EUR 44 mln compared to 31 December 2018, mainly due to the decline in Other components.
- **MPS Leasing & Factoring:** profit before tax of EUR 10 mln and net profit for the period of EUR 19 mln (EUR -69 mln as at 31 December 2018).
- **Foreign banks²¹:** in 2019, **MP Banque S.A.** recorded a loss for the year of EUR 1.6 mln compared to a profit of EUR 3 mln recorded last year; with regard to **BMP Belgio S.A.**, following the conclusion of the disposal that occurred in June, the loss for the year amounted to EUR 5 mln, compared to a loss of EUR 4 mln recorded as at 31 December 2018.

²¹ The profit reported for foreign subsidiaries is that determined on an operational basis. Please recall that in 2018 the Parent Company approved the run-off of MP Banque while the sale of BMP Belgio S.A. was completed in June 2019.



Main Corporate and Investment Banking initiatives

Corporate Market

Hedging Products

- **Sales of OTC derivatives:** the range of products intended for Retail customers classified as Small Business, who require hedges for basic transactions and/or small amounts, has been expanded through the release of a new product called Bloccarate (IRS). Service efficiency and quality continued to improve through the use of digitalisation: new features were introduced that allow professional customers to conclude derivative transactions through the use of certified email (PEC) and digital signature. Additional upgrades have been developed to automate the early repayment process of derivatives by customers, thus speeding up the relative response times. Lastly, the direct support for customers domiciled at the MPSCS Customer Desk benefited from new IT support, aimed at improving their efficiency.

Loans

To offer a broad range of funding instruments supporting the national economy, the collaboration continues with Cassa Depositi e Prestiti S.p.A. (CDP).

In particular, with reference to certain special-purpose funding lines, note:

- **SACE Loan - medium/long-term credit enhancement with CDP funds:** medium/long-term loan that may be subscribed in unsecured form, granted with funds made available by Cassa Depositi e Prestiti S.p.A. against expenses related to projects to expand in foreign markets, backed by SACE's first-demand guarantee.
- **CDP "Ponderazione Zero" Loan:** medium/long-term loan that may be subscribed in unsecured form, 80% backed on a compulsory basis by the direct guarantee of the Guarantee Fund for SMEs (managed by MCC) or 80% backed by a first-demand guarantee of a Guarantee Consortium pursuant to art. 107 of the Consolidated Law on Banking in turn 80% counter-guaranteed by the Guarantee Fund for SMEs (managed by MCC).

With the commitment to support investment activities by small and medium-sized enterprises, Banca Monte dei Paschi di Siena SpA signed, in June 2019, a **framework agreement with the EIB - European Investment Bank** - called "**Banca MPS Loan for SMEs & MidCaps**", which concerns the use of a funding limit to be allocated to companies eligible for the financing of their investment and development programs.

In particular, the following dedicated products were made available:

- **EIB SME loan**
- **EIB MID loan**

both of these medium- and long-term can be subscribed in unsecured or mortgage form, designed to support investment projects promoted in the agriculture, services and industry sectors.

With reference to the agri-food sector, the focus on the sector continued during 2019, aimed at revitalising commercial activities. In fact, collaborations continued and new commercial agreements were activated with the main trade confederations and associations, such as Confagricoltura, Cia and Agrocepi. Moreover, new agreements have been signed with some consortia and organisations for regional and provincial agri-food producers.

A process to review and develop certain products dedicated to specific needs of entrepreneurs in the sector has been launched, adapting them based on the production cycles of the crops, such as the "Planting and replanting of trees" loan and the "New Pac Package".

Commercial initiatives in the sector also include subsidies for credit access for micro and small agricultural enterprises in some integrated regional sector projects (known as "PIF") and agreements with guarantee consortia active in supporting agri-food companies.

In order to support the communities affected by earthquakes and other disasters, in agreement with ABI and Cassa Depositi e Prestiti ("CDP"), activities relating to the following initiatives have continued:

- **"Plafond Sisma Centro Italia"** to support customers who suffered damages from the earthquakes in Central Italy in 2016.



- “**Plafond Eventi Calamitosi**” to support customers that suffered damages from the disasters that occurred in Italy in 2013.

Subsidised financing

As part of the scouting of the national or regional subsidised finance measures to support business investments, several initiatives of particular relevance have been identified in which the Bank has participated. These include the “Smart & Start”, “Cultura Crea”, “Macchinari Innovativi”, “Fondo EuReCa” and “Nuove Imprese a Tasso Zero” measures.

Support activities continued for the creation of new entrepreneurial activities in the “disadvantaged regions of the South” through the “Resto al Sud” subsidy. BMPS is one of the most committed participants in this measure, actively taking part in events, conferences and informational-training meetings in the target area to promote the achievement of the subsidy’s institutional objectives as well as to promote employment.

During the year, the new MPS Agevola+ service was released, an online subsidised finance platform designed to support business customers, as well as prospective customers, in identifying public subsidies that companies can access, a platform initially active in the Emilia Romagna region, but for which the gradual extension to the entire country is expected during 2020.

Market	Main sales initiatives developed in the market
Large Groups	Funding: increase and constant monitoring of volumes and types, taking into due consideration the cost and structure of maturities; taking advantage of durations for funding stability in line with the Group Treasury. Loans: partial repositioning on market shares achieved by the Group with activities carried out with counterparties in development areas. Synergies intensified with product/service specialists, particularly with reference to structured lending activities, as well as to enhance and complement the overall offer, including with hedging instruments. Direct and indirect factoring transactions also consolidated. Revision of the entire portfolio with a view to optimising capital absorption. Recovery of Fees and Commissions: utmost attention dedicated to overseeing traditional lending/non-lending components and various sources of revenue developed through the involvement of product company activities and services. Price lever used selectively and tactically especially to revitalise dormant accounts.
SMEs and Key Clients	Direct Funding: sales initiatives targeted at the consolidation of brokered volumes, with careful pricing management. Direct short-term loans: growth in utilisation on short-term credit facilities through careful oversight of maturities on Italian and Foreign loans; development of lending in both depth and breadth. Direct medium/long-term loans: activation of specific initiatives to monitor maturities and development initiatives for “new loans” based on growth of the Share of Wallet of MPS Group customers and on more attractive sectors. Particular focus was placed on loans supported by forms of credit risk mitigation and use of dedicated funding (CDP and EIB). Development of synergies with the Wealth Management Market through reciprocity agreements. Introduction of the Coverage Team model for Key Clients, which represents an evolution in support of Corporate customers with more sophisticated needs, by strengthening the existing synergies between the manager and the specialised functions.



Market	Main sales initiatives developed in the market
Institutions	Working alongside institutions in the activation of the SIOPE+ platform in observance of regulatory requirements. Placement of optional services connected to SIOPE+. Formalisation of participation in the PagoPA Platform created by the Agency for Digital Italy (AgID) for payments to the Public Administration. Placement of the “Electronic Archiving” service for electronic documents with digital signature for the Public Administration and Servizio Inc@ssipiù. Revision of treasury and cash agreements due to measures connected to the introduction of PSD2. Renewal of ISO 9001 certification for Treasury and Cash Services.

Abroad

Commercial initiatives in the domestic Network, SME customers, Key Clients and Small Business:

- **Retention on foreign funding and commercial flows** for customers with higher standing.
- **Increase in the placement of products hedging exchange rate risk** (for exporters and importers exposed to exchange rate risk) and commodity risk (for businesses working with raw materials).
- **In-depth development of customers with greater foreign revenue:** increase in foreign business references from companies with medium/high standing and presumed margins for growth.
- **Broad development of customers making foreign transactions:** identifying foreign transactions channelled through other banks, so as to expand the profitability of the target customers.
- **Development of without recourse discount on import/export L/Cs:** identifying without recourse discount transactions so as to expand the profitability of the target customers. Intended primarily for companies operating in the machinery manufacturing, operating asset and large works sectors abroad.

MPS Capital Services (MPSCS)

Corporate Finance

Project & Real Estate Finance – In 2019, MPS Capital Services confirmed its positioning amongst the leading banks in Italy for loans to the renewable energies sector and for infrastructure using project financing, as well as in the real estate sector with significant initiatives intended primarily for qualified institutional customers (e.g., real estate funds).

Considering their complexity, loan structuring requires medium/long finalisation times, so the transaction closings regard both mandates obtained in the course of the year as well as mandates obtained previously.

Please note the following most significant transactions for the year 2019:

- refinancing of five photovoltaic plants already connected to the national electrical grid held by three project companies, controlled by an important German player in the renewable energy sector, Encavis AG, for 12.4 MWp of power located in the provinces of Turin and Arezzo. This financing transaction, for a total of EUR 24.4 mln was provided in full by MPSCS;
- refinancing of the cash exposure granted at the time to Società di Progetto Brebemi, concessionaire of the contract to build and manage the Brescia-Milan highway, with a mixed form consisting of new project financing credit lines and the issue of a project bond, until the expiry of the concession (2040). The refinancing transaction involved CDP and other leading national banks for a total of EUR 1,440 mln (MPSCS portion EUR 61 mln) in credit lines. The bond provides for a subscription value totalling EUR 558 mln (MPSCS share EUR 38.2 mln) and a redemption value at maturity of EUR 1,205 mln (MPSCS share EUR 82.6 mln);



- refinancing of two wood biomass-fuelled plants located in Calabria for 78 MW of power in the name of two subsidiaries of the EP Power Europe energy group based in the Czech Republic. The loan amounting to EUR 159 mln was financed by 5 national banks and MPSCS participated as the MLA (Mandated Lead Arranger) for a share of EUR 20 mln;
- financing for the acquisition by F2i, a leading Italian institutional investor active in both the infrastructure and renewable energy sector, of a 35 MW solid biomass-fuelled plant located in the province of Cosenza. The loan amounting to EUR 112.4 mln was financed by six national banks and MPSCS participated as the MLA for a share of EUR 23.3 mln;
- loan to support the needs connected with the purchase from Terna Group by the project company Monita Interconnector of a portion of an electricity interconnection infrastructure between Italy and Montenegro (project included as part of strategic national infrastructure) in direct current for nominal power of 200 MW; the acquisition cost of the power line amounts to EUR 338 mln including transaction costs and was financed by a pool of national and international banks, with the intervention of CDP, for a total of EUR 231 mln (MPSCS share EUR 25.7 mln);
- refinancing of the expansion and renovation of two hospitals in Verona with relative completion of investments undertaken by Arena Sanità. The transaction, in which MPSCS participated for a share of EUR 22.9 mln, totals EUR 45.8 mln and was financed with another bank; refinancing of three wind plants for a total of 52.5 MWe located in the cities of Butera (CL), Siculiana (AG) and Cerignola (FG), undertaken by the Tozzi Green Group through its subsidiary Cerignola Wind. The loan amounting to EUR 67.4 mln was financed together with two other banks and MPSCS participated as the MLA for a share of EUR 22.5 mln.

Corporate Finance - Lending activities were carried out to support important sectors such as integrated water service, corporate services (payment systems, telecommunications, project work), industrial (food production), tourism/hotel, real estate and construction and entertainment media businesses. In particular, MPSCS consolidated its portfolio in the integrated water service sector by signing, *inter alia*, three important financing transactions (with the role of MLA in a pool with other banks), in support of concessionaire companies in said sector operating in Tuscany, Campania and Friuli Venezia Giulia. Among the financing transactions completed during the year in support of other sectors, note the pool loan to Fileni Alimentare SpA (poultry/food sector), in which MPSCS carried out the role of MLA jointly with another bank, a large loan transaction (in the role of MLA in a pool with other banks) for a leading Italian company in the telecommunications sector, as well as two financing transactions (single lender) for two leading hotel businesses. In addition, note the completion of ten financing transactions for the same number of research and development projects, based on the FRI ("Sustainable Industry" and "Digital Agenda" tenders), promoted by leading industrial groups operating in Italy.

Acquisition Financing - Again in 2019, MPSCS confirmed its competitive positioning in acquisitions & leveraged finance for the Mid Corporate segment for transactions of a highly industrial nature and with significant sales benefits for MPS Group.

Indeed, MPSCS continued origination activities and the structuring of acquisition transactions to support counterparties of top standing, focusing on industrial integrations carried out by corporate operators and also maintaining a strong presence in the leverage market promoted by the main private equity operators in Italy.

Some of the main transactions organised and financed with the role of MLA were:

- acquisition of CBG Acciai - a top Italian company, market leader in the manufacturing and marketing of high-precision steel tools (blades) for cutting various materials - by the private equity firm Xenon (LBO);
- acquisition of Dolciaria Acquaviva - leading Italian company for the production and marketing of high quality frozen bakery products - by the private equity firm Ergon Capital (LBO);
- acquisition of De Wave - leading Italian company and global market leader in naval interiors (design, production and installation of bathrooms, cabins and public areas mainly on new or already operating cruise ships) - by the private equity firm Platinum (LBO);
- acquisition of L&S Group - leading Italian operator, market leader in the design, development and distribution of LED lighting systems for the residential, commercial and industrial sector - by the private equity firm Clessidra (LBO);
- acquisition of Calzaturificio Claudia by River Group (formerly in the Consilium portfolio), aimed at creating one of the main Italian industrial hubs active for producing sneakers for large luxury brands (Corporate Acquisition);



- acquisition of Kickoff - production and marketing of clothing and articles/accessories for the beach (beachwear) and for leisure (sportswear) under the Sundek brand - by the entrepreneur Tiziano Sgarbi, active in the fashion/clothing sector (Corporate Acquisition).

Investment Banking

With regard to the bond market, MPSCS acted as Joint Lead Manager, Bookrunner for the following large bond issues in 2019: 5-year senior preferred bond, 2 covered bonds with maturities of 5 and 7 years and a 10-year subordinated Tier 2 Bond issued by the Parent Company, nominal 20-year BTP, Cassa Depositi e Prestiti SpA 7-year social bond, Nexi 5-year bond, ACEA SpA bond with 9-year maturity and Anima Holding SpA bond with 7-year maturity.

In addition, note the participation as Joint Bookrunner in the bond issue by Fileni Alimentare SpA for EUR 20 mln with 7-year maturity and the issue of Class A3 of the zero-coupon bond of Società di Progetto Brebemi SpA.

In addition to these transactions, MPSCS participated as Co-Lead Manager in numerous bond issues by Italian and foreign financial institutions, including the 3-year senior preferred bond issued by the Parent Company, in addition to the following government issues: Nominal 15- and 30-year BTP, BPT€i maturing in 2030, multi-tranche global bond issue in US dollars maturing in 5, 10 and 30 years, in addition to the reopening of the nominal 50-year BTP.

In the same period, in the stock market MPSCS participated as Joint Bookrunner in the IPO of Nexi S.p.A.

The subsidiary continues its activities as Nominated Advisor on behalf of Poligrafici Printing S.p.A., listed on the AIM market of Borsa Italiana.

Global Markets

During 2019, activities with customers and those on markets for the Global Markets and Sales and Financial Solutions Departments achieved excellent results, in terms of risk management and commercial flows, both captive and extra captive.

In the government segment, during the year the stock of proprietary portfolios was managed with the objective of optimising the nominal amount of government bonds held with the accrued carry within the granted risk limits. With reference to Italian Treasury Specialist activities, again in 2019 activities which in recent years placed MPSCS in an absolutely pre-eminent position continued, which made it possible, *inter alia*, to play significant roles again in 2018 in syndicated primary transactions.

The credit segment recorded a satisfactory increase in volumes compared to last year, both on markets and with customers and good performance in the management of inventory positions. With reference to structuring activities, satisfactory results were achieved from the placement of funds with a structured investment strategy in commercial collaboration with Anima SGR, a partnership that has involved a change in the relative family of funds compared to 2018. Furthermore, along with Axa MPS Financial, the production of protected unit linked products continues.

The increase in structured product placements had a positive impact on the equity and fixed income segments, which benefitted from a considerable increase in retail coverage volumes as well as excellent results from trading activities. The Sales and Financial Solutions Department continued to channel flows of institutional and corporate customers towards the entire range of the business lines of MPSCS. With regard to institutional customers, there was a positive trend in auctions and securities trading, both in the government segment and in the credit and primary syndicate segment, with significant increases over the previous year. With regard to corporate customers, on the other hand, there was a general contraction in the volumes of hedges with MPS customers, in particular with regard to the interest rate segment, following the reduction of MLT loans by the Parent Company to corporate customers, while the volumes of interest rate hedges with direct customers posted a significant increase compared to last year.

During 2019, also due to contributions emerging from the coverage tables of the “Pegaso” project, the commercial structures of MPSCS focused on the topic of liquidity management for corporate customers. Beginning in the second half of the year, numerous visits to target customers have been organised in coordination with the Network Department, which were highly appreciated by BMPs customers and colleagues. The operating areas concerned were essentially those of investment in bonds, both government and corporate, as well as the management of shareholdings and equity investments through the use of derivative instruments.



Subsidised financing

During 2019, administrative activities in service of the Public Administration continued, in managing the most significant public aid to companies based on agreements with the Ministry of Economic Development (MiSE): Sustainable Growth Fund, Technological Innovation Fund, Law 488/92, Regional Pacts and SME Guarantee Fund.

In particular, note the preliminary assessment activities related to 36 research and development projects, as well as the important promotion and assistance activities of the SME Guarantee Fund carried out with respect to banks and guarantee consortia, trade associations and businesses.

During the year, preliminary assessment activities were also launched with regard to two supply chain contracts in the agricultural and agri-food sector as a bank authorised by the Ministry of Agricultural, Food, Forestry and Tourism Policies.

Business Development

There was significant development during 2019 of the commercial relationship with corporate customers and with active and prospective institutional counterparties. The positive reaction to these initiatives is demonstrated by the approximately 500 total people participating in meetings and events organised in the area. The key was not only the greater number and type of meetings, but the increased organisational synergy with the Banca MPS Network.

In this renewed context of expansion of the collaboration, three autumn events have been organised by MPSCS in Florence, Rome and Milan, which for many years have gathered a large, growing and interested audience of professionals to discuss the macroeconomic scenarios envisaged by market research experts and industry specialists.

The uniqueness of MPS Group also made it possible to organise, also in 2019, a meeting for senior customers on the occasion of the Palio in July.

However, a new element in 2019 is the organisation of financial aperitifs in prestigious locations and with senior corporate customers, where, in a more informal and casual context, the MPSCS Sales personnel were able to meet their contacts to enhance and personalise the business relationship.

The Business Development Department, in its role as corporate communication contact, also oversaw the preparation of various press releases (Encavis and Fileni transactions) in agreement with the Parent Company Communication Department. The media reports were very satisfactory in the local and national press.

MPS Leasing & Factoring (MPSL&F)

In January 2019, the organisational structure was revised through the creation of three new Departments (Leasing, Factoring, Loans), in a “divisional” logic. The objective of the organizational restructuring was to increase the responsibility of the individual divisions with regard to the business objectives to ensure wider oversight of operational risks and better use of resources and agents. Moreover, the new structure was designed to improve the relationship with customers and offer a single contact based on different needs.

Leasing

- “Maxileasing” initiative: commercial offer for operating asset and vehicle lease products, with dedicated conditions for trade associations that have entered into an agreement with MPSL&F.
- “Sudleasing” initiative: promotional campaign dedicated to companies with a registered office or production plant in Southern Italian regions, which acquire an operating asset. This offer provides dedicated conditions and a one-year “all risks” insurance policy on the leased assets free of charge.
- “MPS Top Car” initiative: campaign for vehicle leasing aimed at prestigious automobiles.
- “MPS Leasing Repeat” initiative, aimed at retaining customers who use leasing repeatedly and/or with expiring contracts.



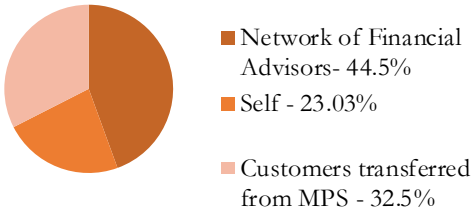
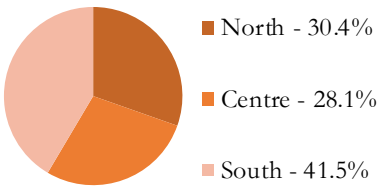
- “MPS Leasing Care” initiative: promotional initiative dedicated to businesses and freelancers designed to increase the development of vehicle leasing and increase the placement of all-risk policies in the agreement.
- Nuova Sabatini Operating Assets: agreement with the Ministry of Economic Development for access to the subsidy and full operations.
- Leases from Cassa Depositi e Prestiti (CDP) funding: loans aimed at promoting, including through lease brokerage, a greater inflow of medium/long-term resources to companies.
- Coverage: coverage initiatives with BMPS and Group companies to develop actions aimed at increasing cross selling.

Factoring

- Further development of non-recourse factoring and receivables purchasing to reclassify high-risk relationships and, thus, contain credit costs, making use, in this case, of the risk weighting of the transferred debtors.
- Integration of “Acquisto Crediti” product with different methods of interest payment.
- New commercial push on reverse factoring by identifying specific targets, also to expand the transferor base on prospective customers for MPS Group.
- Identification, through specific targets, of companies with unbalanced debt sustainability and which therefore may be open to receivables purchasing factoring solutions.
- Consolidation of international factoring operations (export factoring) through:
 - ✓ the FCI (Factor Chain International) channel
 - ✓ greater synergies with the Foreign Department of MPS Network
- As part of the “Pegaso” project, the “Coverage Team” model was launched, which provides, through joint and codified oversight mechanisms between the MPS network and factoring specialists in the regions, specialised support to corporate customers with high standing.
- Development of customised technical solutions to manage specific needs of customers with high standing (e.g. customised IT platforms).
- Greater diffusion of Digital Factoring through a gradual technological upgrade of the platform.



Banca Widiba

Business areas	Customers
- Banking products and services, deposit account, cards and advanced payment systems; customer self-service through the bank's digital channels or in assisted mode with the support of a Financial Advisor. - Fully customisable online platform that relies on a network of 536 Financial Advisors present throughout the country. - Funding and global advisory services and financial planning through the advanced WISE platform and the skills of the Financial Advisor Network. - Mortgage loans, credit facilities and personal loans. - Innovative interaction through computers, smartphones, tablets, watches and TV.	There were roughly 328,000 customers as at 31 December 2019, of which around 145,700 in the Financial Advisor Network channel, around 75,500 in the self-service channel, and around 107,000 customers migrated from the MPS branch network. There were approx. 286,500 customers managed exclusively by Banca Widiba SpA.
	Breakdown by type  Breakdown by geography 

Income statement and balance sheet results

As at 31 December 2019, Total Funding for Widiba amounted to **EUR 8.2 bn**, up by EUR 591 mln from the start of the year and EUR 159 mln compared to 4Q19. Commercial volumes brokered grew as at 31 December, particularly with reference to Direct Funding and Loans (mortgage loans). More specifically:

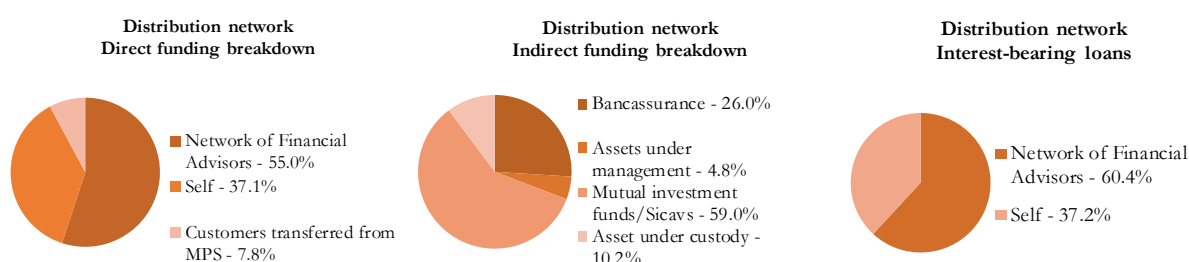
- Direct Funding**, totalling **EUR 3.1 bn**, increased from the values at the start of the year (EUR +351 mln) as well as 3Q19, highlighting an increase in demand deposits (current accounts) as well as restricted credit lines. Overall, growth in 2019 (equal to +12.8%) was sustained by positive net funding flows from both the self-customer channel and the Financial Advisor Network. Also during the fourth quarter, the development of volumes was accompanied by careful monitoring of the cost of funding, which was down slightly (-2 bps). Campaigns also continued for the direct deposit of wages, credit card applications, the Telepass product, and enriching the commercial offer (Business account), with the aim, in particular, of more fully and effectively meeting the needs of customers of the Financial Advisor Network. The consolidation of assistance processes supporting the business and customers through the Widiba Media Centre structure made it possible to act on conversion rates and the effectiveness of outbound campaigns, as well as improve inbound customer service levels, continuing with the trend of achieving significant economies of scale as well as with ever increasing cross-selling rates;
- Indirect Funding**, amounting to approx. **EUR 5.1 bn**, is up from the beginning of the year by EUR 240 mln (+4.9%), including due to the favourable performance of financial markets, with a recovery of EUR +119 mln in 4Q19. 15 new Financial Advisors were hired since the start of the year.

Interest-bearing loans to Widiba customers rose from EUR 472 mln as at 31 December 2018 to **EUR 641 mln** as at 31 December 2019. The segment's net overall growth mainly refers to the consolidation of the range of mortgage loans offered by Widiba, with new disbursements of EUR 216 mln from the start of the year.



WIDIBA BANK - BALANCE SHEET AGGREGATES							
(EUR mln)	31/12/19	30/09/19	31/12/18	Chg Abs Q/Q	Chg % Q/Q	Chg Abs Y/Y	Chg % Y/Y
Deposits from customers and debt securities issued	3,100	3,060	2,749	40	1.3%	351	12.8%
Assets under management	4,603	4,491	4,325	111	2.5%	278	6.4%
Assets under custody	524	517	562	7	1.4%	-38	-6.8%
Indirect Funding	5,126	5,008	4,887	119	2.4%	240	4.9%
Total Funding	8,226	8,068	7,635	159	2.0%	591	7.7%
Interest-Bearing Loans to Customers	641	626	472	15	2.4%	169	35.8%

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



With regard to **profit and loss**, as at 31 December 2019 Widiba achieved total Revenues of approx. EUR 69.6 mln, up EUR +1.6 mln; (+2.3%) compared to the previous year. It should be noted that the Revenues from 2018 were influenced by a positive non-recurring extraordinary component of EUR 0.6 mln referring to a financial transaction with the Parent Company and, therefore, the increase in pro-forma Revenues compared to the previous year would be EUR +2.2 mln (equal to +3%). The trend in 4Q19 shows an overall growth in Net Revenues both compared to the previous quarter (EUR +0.6 mln) and to the average of the first three quarters (EUR +0.5 mln), due to an increase in Net Fees and Commission Income (supported by the recovery of Assets under Management) which offsets the slowdown in the Net Interest Income for 4Q19. In particular, a breakdown of the aggregate shows:

- **Net Interest Income** amounted to **EUR 57.6 mln**, with a 12.0% increase from the previous year. With regard to the components of net interest income, a positive contribution was made by both financial assets (due to higher average volumes of +19% Y/Y) and by commercial assets (due to higher average volumes corresponding to around EUR 233 mln), together with a lower cost of funding (-7 bps on average). The trend in 4Q19 (equal to EUR 13.7 mln), although lower than the previous quarter due to the reduction in interest rates on financial assets linked to the market scenario, was higher than the quarterly average in 2018 (corresponding to EUR 12.9 mln);
- **Net Fee and Commission Income**, amounting to **EUR 12.3 mln**, was down compared to 2018 (EUR -4.7 mln; -27.7%) mainly due to the delay accumulated in the Indirect Funding segment and by higher expenses relating to the loyalty programme for the Financial Advisor Network, which expired at the end of 2019. In detail, in terms of Gross Revenues, there was an increase compared to 2018 of EUR +0.7 mln (+1.0%), noting in particular, on one hand, a delay (though lower in the 4Q19) in revenues of Assets under Management (EUR -2.8 mln), also resulting from the negative market effect of the last quarter of 2018 and on the other, a marked increase in commissions from services relating to the banking and e-money segment (EUR +2.8 mln, +120%). Lastly, Net Fee and Commission Income for the year was affected by lower ordinary commission charges for approx. EUR 2.6 mln, confirming the flexibility of the model of the Financial Advisor Network with respect to lower commission income generated and higher charges relating to the loyalty programme for the Network of approx. EUR 8.0 mln.

Operating Expenses, at EUR 14.7 mln in 4Q19, remained at essentially the same levels as the previous quarter and were down more than EUR 1 mln with respect to both 1Q19 and 2Q19. During the year, they were lower in total (EUR -0.6 mln, equivalent to -1.0%) due to, on one hand, higher personnel expenses (EUR +1.0 mln due to



the increased workforce), and on the other, lower other administrative expenses (EUR -1 mln) and amortisation/depreciation (EUR -0.7 mln) as a result of the growing operating apparatus in terms of customer acquisitions, operations, products and continuous evolutions in the technological platform.

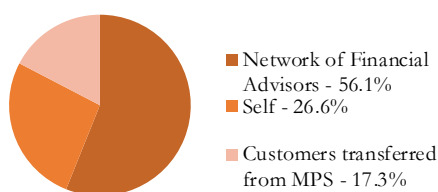
The **Gross Operating Income** therefore amounted to **EUR 8.4 mln**, up by EUR 2.2 mln compared to the same period of the previous year.

The **Net Operating Income** (EUR 3.1 mln in 4Q19, notably higher than the previous quarter), including the effect of impairment on loans of EUR 0.3 mln, also marked a positive trend (EUR 8.1 mln year to date), up EUR +2.6 mln compared to 2018. Lastly, in consideration of the above-mentioned non-recurring component of Revenues in 2018, the Net Operating Income would have increased compared to the previous year by EUR +3.2 mln.

WIDIBA BANK - PROFIT AND LOSS AGGREGATES				
(EUR mln)	31/12/19	31/12/18	Chg. Y/Y	
			Abs.	%
Net interest income	57.6	51.5	6.2	12.0%
Net fee and commission income	12.3	17.1	-4.7	-27.7%
Other income	(0.0)	(0.1)	0.0	-29.8%
Other operating expenses/ income	(0.3)	(0.4)	0.1	n.s.
Total Income	69.6	68.0	1.6	2.3%
Operating expenses	(61.2)	(61.9)	0.6	-1.0%
Pre Provision Profit	8.4	6.2	2.2	35.9%
Net impairment losses (reversals) on loans and financial assets	(0.3)	(0.6)	0.3	-54.7%
Net Operating Income	8.1	5.5	2.6	46.0%

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

**Distribution network
Breakdown of revenues**



Main initiatives

In 2019, Widiba continued and further strengthened its financial advisory positioning and consolidation strategy, while maintaining its focus on product and service innovation, with a view to expanding all components of commercial offerings and guaranteeing high customer experience levels in line with best market practices.

In this regard, the Widiba commercial offer was considerably enhanced in 2019 due to the introduction of the Business account, with the aim of more fully and effectively meeting the needs of customers of the Financial Advisor Network. The Widiba Business Basic package account is intended to digitalise the offer of Small Business and SME customers, leveraging on simplicity and innovation, distinctive characteristics of the Bank itself.

The strengthening of the proposition for the Business segment is part of the broader strategic plan to develop customers in the Financial Advisor Network, with the dual objective of diversifying customer profitability and channelling increasingly larger asset volumes on forms of direct funding and assets under management or custody.



An additional positioning element was the introduction of Private Banking launched on the market in November 2019 under the name “PRIME”. The strategic objective is to serve PRIME customers, which currently hold 30% of the total assets, with a set of completely customised products, dedicated and specialised services designed to develop and acquire a very sophisticated and demanding customer target.

In the Italian market, Widiba is recognised as a well-established bank of excellence due to its focus on innovation and its distinctive value proposition, the qualities of which are founded on simplicity, transparency, dynamism and listening to customers. Furthermore, in 2019 there was a strong drive for the financial advisory service, in terms of sales as well as communications, with a number of positioning and brand awareness initiatives.

Within MPS Group, Widiba’s role is that of a “driver for change and innovation”; it has been the first to introduce in the market a service model that combines technology innovation with certified financial advisory services, thus contributing to strengthening the image of MPS Group and always acting as a laboratory for innovation.

There were profound changes in the banking industry in 2019, with the introduction of the European Payment Services Directive, also known as PSD2 and Open Banking, a collaborative model between multiple market players (banking and non-banking) that creates innovative products and services, using open technology platforms and knowledge sharing. Widiba immediately embraced this collaborative approach guided by innovation, participating in the CBI GLOBE solution, the primary national platform that facilitates the interconnection between banks and third parties and allows the development of new value-added services for customers. Given Widiba’s dedication to clarity and simplicity, it was decided to “relate” the story of Open Banking to customers through 5 laboratories in which Widiba met with numerous start-ups on topics of various types, to create new ideas and innovative concepts.

Widiba’s commercial offering for the investment sector was enriched in 2019 with the strengthening of WISE, the advisory platform certified according to UNI TS 11348:2010. The platform and all components developed in 2019 anticipate a massive change in the sector with the introduction of a new advisory model organised by life-time objectives and a form of “packet” remuneration known as Consulenza Globale PRO with the purpose of meeting customers’ needs.

The financial advisors were themselves involved in all projects and the enhancement of the advisory platform (Wise), through specific committees. The centrality of customers and strong portfolio advisory engagement were the drivers for the development of the entire offer.

The range of Widiba loan products was consolidated in 2019, which had been gradually introduced over the previous two years, with the aim of fully satisfying the credit needs of customers and ensuring satisfactory profitability.

In the consumer credit sector, with a view to revitalising Widiba’s innovative positioning on the credit market, the new product “My instant Credit” was launched, an innovative service dedicated to the entire Widiba customer base, which allows the instantaneous instalment payment of any type of debt on the current account.

In terms of credit facilities, the digital facilities management process was made available to the Financial Advisor Network, improving the experience. Finally, synergies of credit products with MPS Group were enhanced.

In relation to mortgage loans, Widiba confirms its positioning by maintaining a competitive offer and a totally digital and distinctive experience.

Widiba has continued to integrate and optimise the intelligence system with a view to creating a data-driven ecosystem increasingly abundant in internal and external information. Its use in real-time marketing campaigns in addition to supporting the advanced CRM and customer contact platform allows, on one hand, for multi-channel customer management (email, phone, social, virtual assistant, website, etc.) and, on the other, integration with all of the business structures involved in customer management, to speed up and streamline requests with the support of financial advisors.

The feedback from customers is tangible and significant: with more than 776 thousand reviews, users’ rating of Widiba has reached a score of 4.84 out of 5.

In 2019, Banca Widiba also continued the communication strategy with the market that had been outlined in previous years, focusing marketing activities and communication investments on:

1. Brand consideration and financial advisory on the market, consolidating the Bank’s recognition and innovation, continuing with the positioning through values, services and products and reflecting the personal financial ecosystem positioning of the customer. This positioning became a reality with the



press conference held on 25 June 2019 and through the “*non siamo solo una banca (we're not just a bank)*” press campaign, which addressed different topics and was published in the major national newspapers.

2. Launch of PRIME, Widiba's private banking initiative, to position the Private Network. The launch included an integrated communication plan as well as: a luxury event dedicated to higher level customers; a dedicated web platform with ad hoc look and feel and tone of voice; a press campaign on eco-fin publications, sector publications and a digital campaign. For the awareness in the regions, 143 informational-training events were organised for prospective and in-house customers.
3. Support to increase the customer base, with the implementation of digital communication campaigns designed for customer acquisition.
4. Social expression and relevance: Widiba maintains its leadership as the social bank in the market based on the size of its community, totalling 308,000, as well as the sentiment of conversations. The bank continues to be strongly oriented towards listening to and engaging people, through dedicated events and influencer marketing. In 2019, various physical and digital touch points were the expression of this engagement: firstly, the start of Open Stories, the off-line communication project that takes places on Widiba channel and is expressed through the eyes and voices of special guests; the Brand Ambassador project instead involved a group of financial advisors in specific communication activities across different social media channels.
5. Engagement of the Financial Advisor Network on all aspects of the Bank's activities; retention and development of the customer base through the creation of communication campaigns and pushes.

At the end of 2019, Widiba had approx. 328 thousand customers and Total Funding amounting to EUR 8.2 bn (+7.7% over 2018).

Corporate Centre

The Corporate Centre includes:

- head office units, particularly with regard to governance and support functions, proprietary finance, the ‘asset centre’ of divisionalised entities, which comprises in particular: asset and liability management, treasury and capital management;
- business service and support units, particularly with regard to the development and management of information systems of the Consorzio Operativo di Gruppo and the management of bad debt collection.

In addition to cancellation of intragroup entries, the Corporate Centre also collects the results of companies consolidated by the equity method and those in the process of being disposed, as well as the results of operational branches that are individually below the minimum parameters for external disclosure requirements.

Equity investment management

In 2019, the Group continued to rationalise its equity investment portfolio.

The following is a list of the most significant transactions carried out during 2019.

Acquisitions and share capital increases

- After receiving the ECB authorisation, the share capital increase of the subsidiary MPS Leasing & Factoring S.p.A. was completed.
- Following the transformation of Consorzio Customer to Business Interaction – CBI into CBI S.c.p.A., the Group acquired 5.01% (the Parent Company holds 4.853%, the other shares are held by Widiba for 0.084% and by MPS Leasing & Factoring Banca per i Servizi alle Imprese S.p.A. for 0.074%).

*Mergers/Absorptions*

- On 22 May 2019, the merger of Perimetro Gestione Proprietà Immobiliari S.p.A. into Banca Monte dei Paschi di Siena S.p.A. became effective, with accounting and tax effects beginning from 1 January 2019.

Disposals

- Disposal of equity investments in: Banca Monte Paschi Belgio SA. (100.00% of share capital, 99.90% held by the Parent Company and 0.10% by MPS Capital Services S.p.A.); Banco di Desio and Brianza S.p.A. (1.32% of share capital, deriving from the previous merger of Banca Popolare di Spoleto S.p.A.); Cattolica Popolare Scarl (2.27% of share capital); CO.EM Costruzioni Ecologiche Moderne S.p.A. (40.20% of share capital); Consorzio Agrario del Nordest Soc. Coop. (11.77% of share capital); Fondo Italiano d'Investimento SGR S.p.A. (12.50% of share capital); and Toscana Energia S.p.A. (0.59% of share capital).
- On conclusion of the respective liquidation procedures, the following equity investments are no longer in the portfolio: Antonveneta Capital LLC I (100% of share capital); Antonveneta Capital LLC II (100% of share capital); Antonveneta Capital Trust I (100% of share capital); Antonveneta Capital Trust II (100% of share capital); MPS Preferred Capital I LLC (100% of share capital); MPS Preferred Capital II LLC (100% of share capital); Siena Consumer S.r.l. in liquidazione (100% of share capital, 90% acquired during the year); Siena Consumer 2015 S.r.l. in liquidazione (100% of share capital, 90% acquired during the year); Siena PMI 2015 S.r.l. in liquidazione (100% of share capital, 90% acquired during the year); Consum.it Securitisation S.r.l. in liquidazione (100% of share capital); GAL Colline Moreniche del Garda S.c.ar.l. in liquidazione (3.53% of share capital); Res Tipica Incomune Scar.l. in liquidazione (14.04% of share capital).
- The subsidiary MPS Capital Services S.p.A. sold its entire equity investment in Immobiliare Centro Milano S.p.A. in liquidazione, equal to 33.33% of the share capital.

Other transactions

- Following authorisation from the ECB, the reverse stock split was carried out, which allowed the Parent Company to hold all shares representing the share capital of the subsidiary MPS Capital Services S.p.A.



Prospects and outlook on operations

The signs of stabilisation in the global economy in evidence towards the end of 2019 do not seem sufficient to avoid the continuation of the slowdown currently under way. Economic policies for fiscal and monetary stimulus that have thus far supported global growth have now reached their limits, with the risk that additional interventions may prove ineffective, even counter-productive. Even the signing of the phase 1 trade agreement between China and the US, while opening the possibility of a resolution for the trade war, confirms tariffs in many segments, signalling tensions still present and not easy to be resolved; international trade will therefore recover at a modest pace. Moreover, the escalation of tensions relating to the Middle East (Iran, Libya) poses an additional risk on the global economy.

In this context, the Italian economy is expected to grow at moderate rates (GDP growth of +0.2% in 2019 and +0.5% in 2020, according to Prometeia²²) also due to an economic policy that could prove less effective than hoped, in relation to an uncertain political climate that led to a slight rise in the BTP-Bund spread towards the end of 2019 (to 160 basis points). In addition it should be considered the uncertainties deriving from economic impact due to the expansion of epidemic of new coronavirus (COVID-19)

As regards the Italian banking system, the gradual recovery of growth in 2020²³, together with the persistence of low rates, will support the demand for loans by households, mainly in the medium and long term. The annual flow of loans to businesses should show improvement, also supported by the extension of the super-depreciation regulation.

On the supply side, the banks will continue their de-risking process, which will lead to a gradual improvement in asset quality and careful attention to the loan supply; monetary policy measures will help to keep liquidity in the banking system high and contain the cost of funding while maintaining a stable debt burden for households and businesses.

Funding will continue to grow and, with interest rates remaining at current levels, will likely be channelled toward more liquid deposits. The annual net flow of bond issues is also expected to be positive and concentrated on the wholesale segment, mostly subordinated, in order to align with the MREL requirement.

The ECB's accommodating monetary policy will not change approach during 2020 and the reference money market rates will remain stable around the current values for the full year; the same flat trend on current levels of borrowing rates will continue, while interest income, in the initial months of 2020, could decline slightly before stabilising.

Based on the information available to date, regarding the outlook for operations, during the next few months, the following is expected:

- the continuation of cost containment actions, including by reducing staff;
- the maturity of EUR 8 bn of senior securities with Government Guarantees (GGB) and the maturity of TLTRO II to which the Parent Company had access, for roughly EUR 16.5 bn (EUR 10 bn maturing in June 2020, EUR 6.5 bn in September 2020). The reimbursement of the GGB involves the extinction of the Government Guarantees with a saving of Fee and commissions equal to about Eur 95 mln;
- along with "ordinary" sales activities on individual properties performed by the Group, on last 12 July a competitive "extraordinary" process began concerning the disposal of a real estate portfolio consisting of 28 assets. With regard to the latter aspect, at the end of a competitive procedure launched in July 2019 and followed by a period of exclusivity granted to Ardian on 10 February 2020, the Parent Company and Ardian entered into an agreement for the sale of a real estate portfolio owned by the MPS Group. The parties will subsequently sign a preliminary sale and purchase agreement, which will precede the completion of the sale planned for the majority of the real estate properties by the second half of 2020²⁴.

²² Prometeia Brief – January 2020

²³ Prometeia, Forecast Report - December 2019



Annexes



Reconciliation between the reclassified income statement and balance sheet and the related statutory accounts

Reconciliation between the reclassified income statement as at 31 December 2019 and related statutory accounts

[illegible]



Reconciliation between the reclassified income statement as at 31 December 2018 and related statutory accounts

Accounts in Reclassified Profit and Loss Statement Montepaschi Group		Accounts in the Profit and Loss Statement Montepaschi Group		Operating Reclassifications		31.12.2018*	
31.12.2018*		31.12.2018*		31.12.2018*		31.12.2018*	
Net interest income	17,428	Interest income and similar revenues	Item 10	(+)	Economic effects from allocation of BAV acquisition costs to BAMPs (PPA) + Economics effects related to classification of MP Belgio under IFRS 5	294	
Net fee and commission income	0.0	Interest expense and similar charges	Item 20		Economics effects related to classification of MP Belgio under IFRS 5	-5.2	
	15,233	Fee and commission income	Item 40		Economics effects related to classification of MP Belgio under IFRS 5	2.9	
	0.0	Fee and commission expense	Item 50		Economics effects related to classification of MP Belgio under IFRS 5	-1.1	
Income from banking activities	326.1					26.0	
Dividends, similar income and gains (losses) on equity investments	74.5	Dividends and similar income	Item 70	(-)	Reclassification of dividends on treasury stock transactions	-1.3	
	0.0			(+)	Portion of profit from equity investments (Gruppo AXN)	64.6	
Net profit (loss) from trading and financial assets/liabilities measured at amortised cost and measured at fair value through profit and loss	-13.0	Net profit (loss) from trading	Item 80	(+)	Reclassification of dividends on treasury stock transactions + Economics effects related to classification of MP Belgio under IFRS 5	3.8	
	0.0	Gains/losses on disposal/repurchase of:	Item 100				
	0.0	a) financial assets measured at amortised cost					
	0.0	b) financial assets measured at fair value through comprehensive income			Economics effects related to classification of MP Belgio under IFRS 5	2.3	
	0.0	c) financial liabilities					
Net profit (loss) from financial assets and liabilities designated at fair value	0.0	Net profit (loss) from financial assets and liabilities designated at fair value	Item 110				
	0.0	a) financial asset and liabilities measured at fair value					
	0.0	b) other financial assets measured at fair value					
Net profit (loss) from hedging	-0.2	Net profit (loss) from hedging	Item 90				
Other operating income (expense)	-399	Other income/expense (net) from insurance activities	Item 230	(-)	Recovery of stamp duty and customers' expenses + Economics effects related to classification of MP Belgio under IFRS 5	-286.3	
Total Revenues	326.5					-190.9	
Administrative expenses	-21,006	Administrative expenses	Item 190	(+)	Recurring costs/Economics effects related to classification of MP Belgio under IFRS 5	1090	
a) personnel expenses	-14,629	a) Personnel expenses	Item 190a		Reclassification provision to BRRD and DGSF funds + Economics effects related to classification of MP Belgio under IFRS 5	1210	
b) other administrative expenses	-6,377	b) Other administrative expenses	Item 190b		Recovery of stamp duty and customers' expenses	286.8	
	0.0			(+)	Securitization, Recaptitalization and Commitments costs	236	
	0.0			(+)	Economics effects related to classification of MP Belgio under IFRS 5	-40.3	
Net adjustments to (recoveries on) property, plant and equipment / Net adjustments to (recoveries on) intangible assets	-238.1	Net losses/reversal on impairment on property, plant and equipment	Item 210		Economic effects from allocation of BAV acquisition costs to BAMPs (PPA) + Economics effects related to classification of MP Belgio under IFRS 5	234	
	0.0	Net adjustments to (recoveries on) intangible assets	Item 220	(+)			
Operating expenses	-23,007						
Pre-Provision Profit	996.8					634.4	
Net impairment losses (gains) on:	-624.6	Net impairment losses (reversal) on	Item 130			443.5	
a) financial assets measured at amortised cost	-628.1	a) financial assets measured at amortised cost	Item 130a		Modification gains/losses/Economics effects related to classification of MP Belgio under IFRS 5	-2.1	
b) financial assets measured at fair value through other comprehensive income	3.5	b) financial assets measured at fair value through other comprehensive income	Item 130b		Economics effects related to classification of MP Belgio under IFRS 5	0.3	
Net operating income	372.2					434.1	
Net provisions for risks and charges	-40.9	Net provisions for risks and charges	Item 200		Securitization, Recaptitalization and Commitments costs	6.9	
a) financial assets and other commitments	14.9	a) financial assets and other commitments	Item 200a		Economics effects related to classification of MP Belgio under IFRS 5	1.0	
b) other provisions	-83.9	b) other provisions	Item 200b		Portion of profit from equity investments (Gruppo AXN)	-4.6	
Gains (losses) on investments	1.5	Gains (losses) on investments	Item 250		Recurring costs	-201.7	
Recurring costs / One-off costs	-201.7				Provision to BRRD and DGSF funds + Economics effects related to classification of MP Belgio under IFRS 5	-131.1	
Risks and charges related to the SME, DGS and similar chances	-131.1				DTA Fee	-70.9	
DTA Fee	-70.9						
Gains (losses) on disposal of investments	50.0	Gains (losses) on disposal of investments	Item 280				
Profit (loss) before tax from continuing operations	-109.2	Tax expense (recovery) on income from continuing operations	Item 300	(-)	Economic effects from allocation of BAV acquisition costs to BAMPs (PPA)	32.5	
Tax expense (recovery) on income from continuing operations	410.1					-110	
Profit (loss) after tax from continuing operations	300.9					-44.4	
Profit (loss) after tax from groups of assets held for sale and discontinued operations	0.0	Profit (loss) after tax from groups of assets held for sale and discontinued operations	Item 320		Economics effects related to classification of MP Belgio under IFRS 5	6.57	
Net profit (loss) for the period including non-controlling interests	300.9					22.2	
Net profit (loss) attributable to non-controlling interests	0.1	Net profit (loss) attributable to non-controlling interests	Item 340				
Profit (loss) for the period before PPA	300.8						
PPA (Purchase Price Allocation)	-22.2						
Impairment on goodwill and intangibles	0.0						
Net profit (loss) for the year	278.6	Net profit (loss) for the year			Total	0.0	

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



Reconciliation between the reclassified balance sheet and related statutory accounts

Balance-sheet Items - Assets	31 12 2019	31 12 2018*	Reclassified balance-sheet items - Assets
	835.1	950.6	Cash and cash equivalents
Item 10 – Cash and cash equivalents	835.1	950.6	
Financial assets measured at amortised cost:			Receivables
	88,985.1	86,855.5	a) Loans to customers
Item 40 – Loans to customers	88,985.1	86,855.5	
	15,722.4	12,504.2	b) Loans to banks
Item 40 – Loans to banks	15,722.4	12,504.2	
	17,393.2	20,296.2	Financial assets measured at fair value
Item 20 – Financial assets measured at fair value through profit and loss	10,666.4	9,265.8	
Item 30 – Financial assets measured at fair value through other comprehensive income	6,726.8	11,030.4	
	931.0	922.8	Equity investments
Item 70 – Equity investments	931.0	922.8	
	2,885.2	2,727.3	Property, plant and equipment / Intangible assets
Item 90 – Property, plant and equipment	2,709.1	2,506.9	
Item 100 – Intangible assets	176.1	220.4	
	5,444.0	6,224.4	Other assets
Item 50 – Hedging Derivatives	73.0	99.1	
Item 60 – Change in value of macro-hedged financial assets (+/-)	636.0	169.9	
Item 110 – Tax assets	2,763.0	3,968.5	
Item 120 – Non-current assets held for sale and discontinued operations	159.8	244.2	
Item 130 – Other assets	1,812.2	1,742.7	
Total Assets	132,196.0	130,481.0	Total Assets

Balance-sheet Items - Liabilities	31 12 2019	31 12 2018*	Reclassified balance-sheet items - Liabilities
			Payables
	94,217.3	90,471.7	a) Deposits from customers and securities issued
Item 10 – Deposits from customers	76,526.9	77,077.7	
Item 10 – Debt securities issued	17,443.3	13,135.8	
Item 30 – Financial liabilities designated at fair value	247.1	258.2	
	20,178.1	21,986.3	b) Deposits from banks
Item 10 – Deposits from banks	20,178.1	21,986.3	
	3,882.6	3,175.7	Financial liabilities held for trading
Item 40 – Financial liabilities held for trading	3,882.6	3,175.7	
			Provisions for specific use
Item 90 – Provision for employee severance pay	178.7	192.1	a) Provision for employee severance pay
Item 100 – Provisions for risks and charges - a) financial guarantees and other commitments	158.8	242.4	b) Provision for pension
Item 100 – Provisions for risks and charges - a) pension and similar obligations	36.1		
Item 100 – Provisions for risks and charges - b) other provisions	1,014.9	1,199.9	c) Other provisions
	4,248.5	4,180.8	Other liabilities
Item 40 – Hedging Derivatives	1,315.9	748.5	
Item 50 – Change in value of macro-hedged financial liabilities (+/-)	31.4	18.1	
Item 60 – Tax liabilities	3.4	21.6	
Item 70 – Liabilities associated to disposal groups held for sale	-	56.7	
Item 80 – Other liabilities	2,897.8	3,335.9	
	8,279.1	8,992.0	Group net equity
Item 120 – Valuation reserves	66.4	(176.7)	a) Valuation reserves
Item 150 – Reserves	(769.2)	(1,124.8)	d) Reserves
Item 160 – Share premium reserve	-	-	e) Share premium reserve
Item 170 – Share Capital	10,328.6	10,328.6	f) Share Capital
Item 180 – Share premium reserve	(313.7)	(313.7)	e) Share premium reserves
Item 200 – Profit (loss) for the period (+/-)	(1,033.0)	278.6	h) Profit (loss) for the period
	1.8	2.2	Non-controlling interests
Item 190 – Non-controlling interests (+/-)	1.8	2.2	
Total liabilities and shareholders' equity	132,196.0	130,481.0	Total liabilities and shareholders' equity

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



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Consolidated balance sheet

Assets	31 12 2019	31 12 2018*
10. Cash and cash equivalents	835,104	945,638
20. Financial assets measured at fair value through profit and loss	10,666,399	9,263,644
a) financial assets held for trading	9,902,460	8,559,967
c) other financial assets measured at fair value mandatory	763,939	703,677
30. Financial assets measured at fair value through other comprehensive income	6,726,821	10,681,501
40. Financial assets measured at amortised cost	104,707,537	98,496,860
a) Loans to banks	15,722,404	12,330,621
b) Loans to customers	88,985,132	86,166,239
50. Hedging derivatives	73,003	99,091
60. Change in value of macro-hedged financial assets (+/-)	635,979	169,881
70. Equity investments	930,976	922,793
90. Property, plant and equipment	2,709,106	2,506,598
100. Intangible assets	176,097	213,924
- of which goodwill	7,900	7,900
110. Tax assets	2,762,954	3,968,531
a) current	953,534	946,013
b) deferred	1,809,419	3,022,518
120. Non-current assets and groups of assets held for sale and discontinued operations	159,820	1,478,310
130. Other assets	1,812,211	1,734,235
Total assets	132,196,007	130,481,006

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.


continued: Consolidated balance sheet

Total Liabilities and Shareholders' Equity		31 12 2019	31 12 2018*
10.	Financial liabilities measured at amortised cost	114,148,310	111,087,471
	a) loans to banks	20,178,137	21,838,410
	b) loans to customers	76,526,919	76,113,224
	c) debts securities issued	17,443,253	13,135,837
20.	Financial liabilities held for trading	3,882,623	3,173,553
30.	Financial liabilities designated at fair value	247,116	258,235
40.	Hedging derivatives	1,315,905	748,501
50.	Fair value change of financial liabilities in hedged portfolio (+/-)	31,390	18,145
60.	Tax liabilities	3,361	21,642
	a) current	422	48
	b) deferred	2,939	21,595
70.	Liabilities associated with non-current assets held for sale and discontinued operations	-	1,180,149
80.	Other liabilities	2,897,887	3,327,952
90.	Provision for employees severance pay	178,653	192,116
100.	Provision for risks and charges:	1,209,874	1,479,041
	a) financial guarantees and other commitments	158,793	242,420
	b) post-employment benefits	36,133	37,500
	c) other provisions	1,014,948	1,199,121
120.	Valuation reserves	66,394	(176,723)
	of which: discontinued operations	-	(2,629)
150.	Reserves	(769,173)	(1,124,804)
170.	Share capital	10,328,618	10,328,618
180.	Treasury shares (-)	(313,710)	(313,710)
190.	Non-controlling interests (+/-)	1,770	2,242
200.	Profit (loss) (+/-)	(1,033,011)	278,578
Total Liabilities and Shareholders' Equity		132,196,007	130,481,006

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.



Consolidated income statement

Items	31 12 2019	31 12 2018*
10. Interest income and similar revenues	2,105,830	2,327,413
<i>of which interest income calculated applying the effective interest rate method</i>	<i>1,996,387</i>	<i>2,237,938</i>
20. Interest expense and similar charges	(615,476)	(608,683)
30. Net interest income	1,490,354	1,718,730
40. Fee and commission income	1,714,284	1,778,819
50. Fee and commission expense	(265,465)	(257,331)
60. Net fee and commission income	1,448,819	1,521,488
70. Dividends and similar income	11,212	11,173
80. Net profit (loss) from trading	86,970	30,374
90. Net profit (loss) from hedging	(4,612)	(225)
100. Gains/(losses) on disposal/repurchase of:	112,599	35,884
<i>a) financial assets measured at amortised cost</i>	<i>61,047</i>	<i>334</i>
<i>b) Financial assets measured at fair value through other comprehensive income</i>	<i>52,450</i>	<i>25,079</i>
<i>c) financial liabilities</i>	<i>(898)</i>	<i>10,471</i>
110. Net profit (loss) form financial assets and liabilities measured at fair value through other comprehensive income	54,926	(85,480)
<i>a) financial assets and liabilities measured at fair value</i>	<i>(11,201)</i>	<i>3,959</i>
<i>b) other financial assets mandatorily at fair value through profit or loss</i>	<i>66,127</i>	<i>(89,438)</i>
120. Net interest and other banking income	3,200,268	3,231,944
130. Net impairment (losses)/reversals on	(609,716)	(603,823)
<i>a) financial assets measured at amortised cost</i>	<i>(603,335)</i>	<i>(607,017)</i>
<i>b) financial assets measured at fair value through other comprehensive income</i>	<i>(6,381)</i>	<i>3,194</i>
140. Modification gains/(losses)	(4,272)	(12,699)
150. Net income from banking activities	2,586,280	2,615,422
180. Net income from banking and insurance activities	2,586,280	2,615,420
190. Administrative expenses:	(2,467,381)	(2,711,913)
<i>a) personnel expenses</i>	<i>(1,408,078)</i>	<i>(1,571,945)</i>
<i>b) other administrative expenses</i>	<i>(1,059,303)</i>	<i>(1,139,968)</i>
200. Net provision for risks and charges:	(72,010)	(69,434)
<i>a) commitments and guarantees issued</i>	<i>83,627</i>	<i>13,946</i>
<i>b) other net provisions</i>	<i>(155,636)</i>	<i>(83,380)</i>
210. Net adjustments to/recoveries on property, plant and equipment	(182,279)	(150,432)
220. Net adjustments to/recoveries on intangible assets	(98,938)	(122,753)
230. Other operating expenses/income	204,335	246,360
240. Operating expenses	(2,616,273)	(2,808,172)
250. Gains (losses) on investments	80,622	65,915
280. Gains (losses) on disposal of investments	2,962	50,041
290. Profit (loss) before tax from continuing operations	53,591	(76,796)
300. Tax (expense)/recovery on income from continuing operations	(1,068,673)	421,121
310. Profit (loss) after tax from continuing operations	(1,015,082)	344,325
320. Profit (loss) after tax from groups of assets held for sale and discontinued operations	(18,060)	(65,658)
330. Profit (loss)	(1,033,142)	278,667
340. Profit (loss) attributable to non-controlling interests	(131)	89
350. Parent company's net profit (loss)	(1,033,011)	278,578
	31 12 2019	31 12 2018*
Basic Earnings per Share (Basic EPS)	(0.936)	0.252
<i>of continuing operations</i>	<i>(0.919)</i>	<i>0.312</i>
<i>of discontinued operations</i>	<i>(0.016)</i>	<i>(0.059)</i>
Diluted Earnings per Share (Diluted EPS)	(0.936)	0.252
<i>of continuing operations</i>	<i>(0.919)</i>	<i>0.312</i>
<i>of discontinued operations</i>	<i>(0.016)</i>	<i>(0.059)</i>

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

**Consolidated statement of comprehensive income**

Items	31 12 2019	31 12 2018
10. Profit (loss)	(1,033,142)	278,667
Other comprehensive income after tax not recycled to profit and loss	15,424	(491)
20. Equity instruments measured at fair value through other comprehensive income	21,413	(4,970)
30. Financial liabilities measured at fair value through other comprehensive income	(2,940)	4,843
70. Actuarial gains (losses) on defined benefit plans	(6,238)	5,757
80. Non current assets held for sale	438	876
90. Share of valuation reserves of equity-accounted investments	2,751	(6,997)
Other comprehensive income after tax recycled to profit and loss	227,702	(295,760)
110. Exchange differences	(2,178)	2,888
120. Cash flow hedges	1,845	556
140. Fair value changes of debt instruments measured at fair value through other comprehensive income	147,818	(219,501)
150. Non-current assets and disposal groups classified as held for sale	2,191	(7,836)
160. Share of valuation reserves of equity-accounted investments	78,026	(71,867)
170. Total other comprehensive income after tax	243,126	(296,251)
180. Total comprehensive income (Item 10+170)	(790,016)	(17,584)
190. Consolidated comprehensive income attributable to non-controlling interests	(122)	87
200. Consolidated comprehensive income attributable to Parent Company	(789,894)	(17,671)



Consolidated Statement of changes in equity – 2019

	Balance as at 31 12 2018	Change in opening balances	Balance as at 01 01 2019	Allocation of profit from prior year		Changes during the year									Total equity as at 31 12 2019	Group equity as at 31 12 2019	Non-controlling interest as at 31 12 2019	
				Reserves	Dividends and other payout	Changes in reserves	Shareholders' equity transactions											Total comprehensive income for 31 12 2019
							Issue of new share	Purchase of treasury shares	Extraordinary distribution of dividends	Change in equity instruments	Treasury shares derivatives	Stock options	Changes in equity investments					
Share capital:	10,329,570	-	10,329,570	-	-	(128)	-	-	-	-	-	(117)	-	10,329,325	10,328,618	707		
a) ordinary shares	10,329,570	-	10,329,570	-	-	(128)	-	-	-	-	-	(117)	-	10,329,325	10,328,618	707		
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Share premium	5	-	5	-	-	(2)	-	-	-	-	-	-	-	2	-	2		
Reserves:	(1,124,839)	-	(1,124,839)	278,560	-	76,981	-	-	-	-	78	-	-	(769,220)	(769,173)	(47)		
a) from profits	(999,492)	-	(999,492)	278,560	-	(13,378)	-	-	-	-	78	-	-	(734,232)	(734,185)	(47)		
b) other	(125,347)	-	(125,347)	-	-	90,359	-	-	-	-	-	-	-	(34,988)	(34,988)	-		
Valuation reserves	(175,492)	-	(175,492)	-	-	-	-	-	-	-	-	243,126	67,634	66,394	1,239			
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
Treasury shares	(313,710)	-	(313,710)	-	-	-	-	-	-	-	-	-	-	(313,710)	(313,710)	-		
Net profit (loss)	278,667	-	278,667	(278,560)	(107)	-	-	-	-	-	-	(1,033,142)	(1,033,142)	(1,033,011)	(131)			
Total equity	8,994,201	-	8,994,201	-	(107)	76,851	-	-	-	-	(39)	(790,016)	8,280,889	8,279,119	1,770			
Group equity	8,991,959	-	8,991,959	-	-	76,986	-	-	-	-	68	(789,894)	8,279,119	8,279,119	X			
Non-controlling interests	2,242	-	2,242	-	(107)	(135)	-	-	-	-	(107)	(122)	1,770	X	1,770			



As at 31 December 2019 the Group's net equity, including non-controlling interests and profit for the year, amounted to EUR 8,280.9 mln, as compared to EUR 8,994.2 mln as at 31 December 2018, with a total net decrease of EUR 713.3 mln.

The most significant phenomena impacting net equity, in addition to the loss for the year of EUR 1,033.1 mln, were:

1. the "Changes in reserve" column includes:
 - a. "Reserves a) from profits", amounting to EUR -13.4 mln, the reversal of the OCI reserve due to the sale of certain securities;
 - b. "Reserves - b) other", equal to EUR 90.4 mln, the reclassification from financial liabilities at amortised cost of EUR 76 mln referring to the indemnity issued to the Bank of New York on 10 March 2009, as the ten-year term had been completed;
2. valuation reserves posted a total increase of EUR 243.1 mln (the detailed components of which are shown in the statement of comprehensive income), almost fully attributable to debt securities measured at fair value through other comprehensive income, including those relating to associates measured according to the equity method, essentially due to the trends in the spread on Italian government securities.



Consolidated Statement of changes in equity – 2018

	Balance as at 31 12 2017	Change in opening balances*	Balance as at 01 01 2018	Allocation of profit from prior year	Changes during the year							Total comprehensive income for 31 12 2018	Total equity as at 31 12 2018	Group equity as at 31 12 2018	Non-controlling interest as at 31 12 2018			
					Reserves	Dividends and other payout	Changes in reserves	Shareholders' equity transactions										
								Issue of new share	Purchase of treasury shares	Extraordinary distribution of dividends	Change in equity instruments					Treasury shares derivatives	Stock options	Changes in equity investments
Share capital:	10,329,590	-	10,329,590	-	-	(20)	-	-	-	-	-	-	10,329,570	10,328,618	952			
a) ordinary shares	10,329,590	-	10,329,590	-	-	(20)	-	-	-	-	-	-	10,329,570	10,328,618	952			
b) other shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
Share premium	18	-	18	-	-	(14)	-	-	-	-	-	-	5	(0)	5			
Reserves:	3,864,777	(1,458,288)	2,406,489	(3,502,355)	-	(28,973)	-	-	-	-	-	-	(1,124,839)	(1,124,804)	(35)			
a) from profits	1,480,908	(1,458,288)	22,620	(996,324)	-	(25,788)	-	-	-	-	-	-	(999,492)	(999,457)	(35)			
b) other	2,383,869	-	2,383,869	-2,506,031	-	(3,184)	-	-	-	-	-	-	(125,347)	(125,347)	-			
Valuation reserves	52,945	67,814	120,759	-	-	-	-	-	-	-	-	-296,251	(175,492)	(176,724)	1,231			
Equity instruments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-			
Treasury shares	-313,710	-	(313,710)	-	-	-	-	-	-	-	-	-	(313,710)	-313,710	-			
Net profit (loss)	(3,502,245)	-	(3,502,245)	3,502,355	(110)	-	-	-	-	-	-	278,667	278,667	278,578	89			
Total equity	10,431,375	(1,390,474)	9,040,902	-	(110)	(29,006)	-	-	-	-	-	(17,584)	8,994,201	8,991,959	2,242			
Group equity	10,429,096	(1,390,456)	9,038,640	-	-	(29,009)	-	-	-	-	-	(17,671)	8,991,959	8,991,959	X			
Non-controlling interests	2,279	(17)	2,262	-	(110)	3	-	-	-	-	-	87	2,242	X	2,242			

*The column "Changes in opening balances" includes the effects of First-Time Adoption (I-T-A) in applying the IFRS 9 and IFRS 15 accounting standards, as described in further detail in the section "Disclosure on first-time adoption of IFRS 9 Financial Instruments" and IFRS 15 Revenue from Contracts with Customers" in the 2018 financial statements.



As at 31 December 2018 the Group's net equity, including non-controlling interests and profit for the year, amounted to EUR 8,994.2 mln, as compared to EUR 10,431.4 mln as at 31 December 2017, with a total decrease of EUR 1,437.2 mln.

Note that the column "Changes in opening balances" represents the effects of First-Time Adoption (FTA) in applying the IFRS 9 and IFRS 15 accounting standards (as described in further detail in section 2 "General accounting standards" of the Notes to the 2018 consolidated financial statements, under the chapters "Disclosure on first-time adoption of IFRS 15 'Revenue from Contracts with Customers'" and "Disclosure on first-time adoption of IFRS 9 'Financial Instruments'").

The most significant phenomena impacting net equity, in addition to the profit for the year of EUR 278.7 mln were:

1. the column "Changes in reserve" includes in the item "Reserves a) from profits", a total of EUR 25.8 mln attributable to the Parent Company, specifically EUR 13.3 mln as the reversal to the OCI reserve due to the sale of certain securities;
2. "Valuation reserves" show an overall negative change amounting to EUR 296.3 mln, the details of which are available in the statement of comprehensive income.



Consolidated cash flow statement - indirect method

A. OPERATING ACTIVITIES	31 12 2019	31 12 2018*
1. Cash flow from operations	915,410	1,170,771
profit (loss) (+/-)	(1,033,142)	278,667
capital gains/losses on financial assets held for trading and on assets/liabilities designated at fair value (+/-)	(140,453)	(62,628)
net profit (loss) from hedging	4,612	225
net impairment losses/reversals	788,173	964,824
net losses/reversal on impairment on property, plant and equipment and on intangible assets (+/-)	281,216	273,185
net provisions for risks and charges and other costs/revenues (+/-)	81,348	84,821
tax expense (recovery) on income from continuing operations	1,068,673	(421,121)
net losses/reversal on impairment on groups of assets held for sale and discontinued operations, after tax (+/-)	(1,778)	10,107
other adjustments	(133,239)	42,691
2. Cash flow from (used in) financial assets	(2,929,649)	2,990,446
financial assets held for trading	(1,256,973)	258,052
other financial assets measured at fair value mandatory	7,859	415,294
Financial assets measured at fair value through other comprehensive income	4,662,270	3,057,738
Financial assets measured at amortised cost	(6,206,284)	(1,047,872)
other assets	(136,521)	307,234
3. Cash flow from (used in) financial liabilities	1,957,834	(7,343,552)
Financial liabilities measured at amortised cost	1,605,023	(6,354,146)
financial liabilities held for trading	707,795	(1,273,588)
financial liabilities designated at fair value	(27,278)	(71,712)
other liabilities	(327,706)	355,894
Net cash flow from (used in) operating activities	(56,405)	(3,182,335)
B. INVESTMENT ACTIVITIES	31 12 2019	31 12 2018*
1. Cash flow from	79,988	156,920
sales of equity investments	1,550	5,813
dividends collected on equity investments	22,825	89,121
sales of property, plant and equipment	13,438	11,957
sales of intangible assets	217	29
sales of subsidiaries and undertakings	41,958	50,000
2. Cash flow used in	(134,009)	(121,142)
purchase of property, plant and equipment	(89,768)	(58,788)
purchase of intangible assets	(44,241)	(62,354)
Net cash flow from (used in) investment activities	(54,021)	35,778
C. FUNDING ACTIVITIES		
dividend distribution and other	(108)	(110)
Net cash flow from (used in) funding activities	(108)	(110)
NET CASH FLOW FROM (USED IN) OPERATING, INVESTMENT AND FINANCING ACTIVITIES	(110,534)	(3,146,667)

**Reconciliation**

Accounts	31 12 2019	31 12 2018*
Cash and cash equivalents at beginning of the year	945,638	4,092,307
Net increase (decrease) in cash and cash equivalents	(110,534)	(3,146,667)
Cash and cash equivalents at end of the year	835,104	945,638

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

For further information on the net cash flow generated/absorbed during the year, please refer to the section "Liquidity Risk" in Part E "Information on risks and hedging policies".



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A.1 – General

Section 1 - Statement of compliance with international accounting principles

Pursuant to Legislative Decree no. 38 of 28 February 2005, these consolidated financial statements were prepared in accordance with the international accounting principles issued by the International Accounting Standards Board (IASB) including interpretations by the IFRS Interpretations Committee, as endorsed by the European Commission, pursuant to EC Regulation no. 1606 of 19 July 2002 which was effective as at 31 December 2019.

The international accounting principles were applied following the indications set forth in the “Framework for the preparation and presentation of financial statements” (the Framework).

For an overview of the standards endorsed during 2019 or those endorsed in previous years, whose application is scheduled for 2019 (or future years), please refer to “Section 5 - Other Aspects” below, which also describes the main impacts for the Group.

All information required by the international accounting standards and Supervisory Authorities (Bank of Italy, Consob and ESMA) have been provided in the report on operations and the notes to the consolidated financial statements, in addition to other non-mandatory information deemed necessary to provide a true and fair, relevant, reliable, comparable and meaningful view of the Group’s performance.



Section 2 - General accounting standards

The Consolidated Financial Statements consist of the balance sheet, income statement, statement of comprehensive income, statement of changes in equity, and the Notes to the consolidated financial statements, and is accompanied by the directors' report on operations, financial results achieved, and the Group's financial situation.

The Consolidated Financial Statements as at 31 December 2019 have been prepared based on the provisions contained in Circular no. 262 of 22 December 2005 issued by the Bank of Italy "Bank financial statements: layout and rules for compilation", as amended by the sixth update of 30 November 2018.

The Financial Statements have been prepared based on a going concern assumption, according to the generally accepted principles of accrual accounting, relevance and materiality of information, priority of substance over form and with a view to encouraging consistency with future statements.

The Consolidated Financial Statements are prepared with transparency and provide a true and fair view of the balance sheet, financial position and income statement for the year, the changes in shareholders' equity and cash flows.

If the information required by international accounting standards and provisions contained in aforementioned circular were deemed insufficient for providing a true and fair representation, the Notes to the consolidated financial statements contain supplemental information necessary for that purpose.

If – in exceptional cases – the application of a provision set forth in the international accounting standards proved to be incompatible with a true and fair view of the Group's financial situation, then such provision would not be applied. The reasons for deviation and its impact on the representation of the financial situation would, in such a case, be explained in the Notes to the consolidated financial statements.

Each item in the balance sheet, income statement and statement of comprehensive income also indicates the amount for the prior year, unless an accounting standard or interpretation allows or provides otherwise. The latter circumstance occurred upon first-time adoption of the IFRS 16 accounting standard; in particular, the Group chose the option of applying the standard according to the modified retrospective option, on the basis of which the comparative information does not have to be restated for the 2018 financial statements. Therefore, with specific reference to lease contracts, the balance sheet and income statement balances of the line items for the previous year, drafted in compliance with the previously applicable IAS 17 standard (that is, the accounting standard in effect as at 31 December 2018 and used to prepare the related financial statements, to which reference should be made), are not entirely comparable with those line items as at 31 December 2019. Note that, upon first-time adoption of IFRS 16, an increase in balance sheet assets and liabilities of EUR 301.7 mln was recognised, while there was no impact on the opening balances of consolidated shareholders' equity at 1 January 2019.

The chapter "Transition to the new IFRS 16" contains the reconciliation of the balance sheet balances as at 31 December 2018 (pursuant to IAS 17) and the balances as at 1 January 2019 (pursuant to IFRS 16) as well as the reconciliation of the scope of future commitments for leases pursuant to IAS 17 with the lease liabilities recognised in the financial statements pursuant to IFRS 16 as at 1 January 2019.

Assets and liabilities, expenses and income cannot be mutually offset, unless this is permitted or required by the international accounting standards or the provisions set forth in Circular no. 262 of the Bank of Italy.

The balance sheet, income statement, and statement of comprehensive income do not include items which did not have balances for the reference year or prior year. If an item of the assets or liabilities is part of several items of the balance sheet, the Notes to the consolidated financial statements indicate – whenever this is necessary for the purpose of intelligibility – that this component may also be referred to items other than the one it is posted to.

Revenue is posted with no sign in the income statement, statement of comprehensive income, and the respective section of the Notes to the consolidated financial statements, whereas expenses are indicated in brackets.

The statement of comprehensive income, beginning with profit (loss) for the year, shows the income items recognised as contra-entries of valuation reserves, net of the related tax effect, in compliance with international accounting standards. Consolidated comprehensive income is shown by separating income items that will not be transferred to the income statement in the future and those that may be subsequently classified to profit and loss when specific conditions are met. The statement also distinguishes between income of the Parent Company and that of non-controlling interests.



The statement of changes in equity shows the breakdown and changes in net equity accounts during the year and the previous year, broken down between share capital (ordinary shares), capital reserves, profit reserves and reserves from the valuation of assets or liabilities, equity instruments and profit and loss. Treasury shares in the portfolio are deducted from equity.

The cash flow statement has been prepared according to the indirect method, based on which cash flows from operations are represented by the income for the year adjusted to take into account the effects of non-monetary transactions. Cash flows are broken down amongst those deriving from operations, those deriving from investment activities and those generated by funding activities. In the statement, cash flows generated during the year have no sign, while those absorbed are shown between brackets.

In compliance with the provisions of art. 5 of Legislative Decree no. 38 of 28 February 2005, the financial statements have been prepared using the Euro as the accounting currency: the tables in the consolidated financial statements and in the Notes to the consolidated financial statements are denominated in thousands of Euro.

Items of a different nature or with different allocation were recognised separately, unless they were considered irrelevant. All amounts shown in the financial statements were adjusted so as to reflect any events subsequent to the date of closing for which an adjustment is mandatory, according to IAS 10 (adjusting events). Non-adjusting events reflecting circumstances that occurred after the reporting date are disclosed as part of the notes to the financial statements, Part A, Section 4, if they are material and may affect the ability of users to make proper evaluations and decisions.



Transition to the new IFRS 16

Foreword

The international accounting standard IFRS 16 “Leases” was published by the IASB on 13 January 2016, and was approved at EU level, through the publication in the Official Journal of the European Union of Regulation (EU) no. 2017/1986 of 9 November 2017. Starting from 1 January 2019, the standard shall replace the pre-existing suite of accounting standards and interpretations regarding lease contracts:

- IAS 17 “Leases”;
- IFRIC 4 “Determining Whether an Arrangement Contains a Lease”;
- SIC 15 “Operating Leases – Incentives”;
- SIC 27 “Evaluating the Substance of Transactions in the Legal Form of a Lease”.

That section has been drawn up to illustrate the process of transition from the international accounting standard IAS 17 “Leases” and its interpretations, whose provisions were applied up to 31 December 2018, to the international accounting standard IFRS 16.

Regulatory provisions

IFRS 16 provides a new definition of lease based on control (right of use) of an identified asset (underlying) for a fixed period of time in exchange for consideration, establishing the following discriminating factors: identification of the asset, lack of entitlement of the lessor to replace the asset, the right to substantially obtain all economic benefits originating from the use of the asset and the right to direct the use of the asset underlying the agreement.

In addition to lease contracts termed as such, this category includes, for example, rental, lease and gratuitous lease contracts for valuable consideration.

Exclusions from the standard’s scope of application include:

- intellectual property licenses granted by the lessor pursuant to IFRS 15 “Revenue from Contracts with Customers”;
- rights held by the lessee as a result of licensing agreements pursuant to IAS 38 “Intangible Assets”.

For a contract that contains a leasing component and additional non-leasing components (such as, in the case of leasing an asset and providing maintenance service), the standard provides for separate accounting for each leasing component in relation to the non-leasing components. Therefore, the compensation due must be allocated to the various components based on the relative stand-alone prices, following the IFRS 15 approach for service contracts. Nonetheless, in the cases where it is not easy to separate the non-lease components from the lease components, as a practical expedient, a lessee can still choose, for each class of underlying asset, not to separate them and to account for all components as a lease.

The standard introduces for the lessee a single model for recording lease contracts in financial statements, regardless of whether they are operating or finance leases, generally requiring the recognition of the following in the balance sheet liabilities and assets, respectively:

- a right of use (for the asset, hereinafter “RoU”), equivalent to the lease liability plus initial direct costs and estimated dismantling costs, net of incentives,
- a lease liability, equivalent to the present value of future payments, calculated using the discount rate defined at the commencement date of the lease contract.

The lessee must assess the assets comprising the RoU by applying the cost model. The income statement is essentially impacted by the amortisation charge for the right of use, recognised under operating expenses, and for interest accrued on the lease liability, recognised in net interest income.

The exceptions to those rules are represented by short-term leases, with a contractual duration equal to or less than 12 months, and leases where the underlying asset is a low value asset, for which it is possible to essentially maintain the accounting treatment envisaged by IAS 17 for operating leases, with the lease payments charged to the income statement in compliance with the accrual principle.



For the lessor, the new provisions substantially confirm the accounting treatment of the lease envisaged by IAS 17, maintaining the distinction between finance leases and operating leases.

The plan for transition to IFRS 16

During 2018, MPS Group carried out a specific project to analyse the scope of the contracts to be subjected to the regulations of IFRS 16, to define their accounting treatment - on first-time adoption and full implementation - as well as to identify the necessary IT and organisational measures to be implemented. The project, headed by the Reporting function, was participated in by the company structures involved, for various reasons, in managing the contracts, defining the company processes and selecting IT solutions.

Specifically, regarding the aspect of the project concerning the management of contracts, actions focused on defining and recognising the scope of the contracts containing a lease component and defining and locating the set of information necessary to calculate the right of use and the related liability.

With regard to company processes, the introduction of IFRS 16 required the revision of expenditure management (accounts payable), to ensure i) correct identification of lease contracts at the time they are entered into, ii) correct input of the necessary information by the IT procedure assigned to calculate the right of use and the related liability and, lastly, iii) correct management of accounting for the invoices received based on the new accounting rules.

Application decisions made by MPS Group

For the first-time adoption of IFRS 16, MPS Group made the following planning decisions:

- not to exercise the right to apply grandfathering, resulting in the redetermination of the scope of the lease transactions to be subjected to the new standard;
- to recognise the effects of the initial application of the standard in accordance with the modified retrospective option permitted by the temporary provisions contained in paragraphs C5(b) and C8(b)(ii) of said standard, therefore, not recognising the effects of applying the standard retrospectively in application of IAS 8. Based on that approach:
 - the right of use is set as equal to the lease liability, i.e., equal to the present value of remaining lease payments for the expected duration of the lease and attributable to the lease component, net of VAT, discounted at the incremental borrowing rate at the date of first-time adoption;
 - the comparative data from the 2018 financial statements do not have to be recalculated;
- lease contracts on intangible assets are not subject to the standard, pursuant to IFRS 16.4;
- the scope of application of IFRS 16 does not apply to software programs based on the requirements of the standard and the IFRIC clarifications ("Cloud Computing Arrangements" document of September 2018).

Moreover, the rules and practical expedients used by the Group during the transition for contracts classified as operating leases in accordance with IAS 17 are summarised:

- for lessees, applying the modified retrospective option that does not entail the restatement of 2018 comparative data, the right of use value is calculated as the value of the lease liability adjusted for the amount of any accrued or deferred income relative to the lease;
- the low-value contract exemption (the value identified is consistent with the limit of EUR 5 thousand set out in IFRS 16) was applied on a lease-by-lease basis. In particular, this includes mobile telephones that are not owned;
- the short-term contract exemption was applied to contracts that expire within 12 months of the date of initial application. Specifically, these contracts include property with natural expiry (including the first renewal) by 31 December 2019 or with an expected release date within said term;
- the practical expedient not to separate service components from lease components was not applied, and thus, the entire contract was not accounted for as a lease;
- for the recognition and measurement of the lease liability as at 1 January 2019:



- the discount rate used was defined, by applying the standard's practical expedient, as the range of values of the incremental borrowing rate based on the contract's duration as at 1 January 2019. The incremental borrowing rate was calculated as the weighted average of the funding curves plus a base rate linked to funding for corresponding durations;
- the duration of the lease was determined by applying the principle of reasonable certainty. Specifically, the Group decided to consider, at the date of first-time adoption (and on full implementation for new contracts) only the initial renewal period as reasonably certain, unless there are specific contractual clauses, facts or circumstances that suggest the termination of the lease or additional renewals.

Impacts of first-time adoption of IFRS 16

The provisions introduced by IFRS 16 entailed, upon first-time adoption, the recognition of the rights of use and the corresponding financial liabilities for property leases and car rental contracts. For those categories of contracts, the non-lease component is separated out and its accounting recognition is subject to the provisions of IFRS 15.

With regard to the discounting rate, as shown above, the lease liabilities were discounted at the rate as at 1 January 2019, referring to the maturity of the individual contracts. Specifically, the weighted average of the weighted marginal borrowing rate of the lessee applied to the lease liabilities recognised in the statement of financial position at the date of first-time adoption amounts to 2.80%.

The quantitative effects recorded upon first-time adoption of the standard as at 1 January 2019 are almost fully attributable to the property lease contracts, resulting in an increase in balance sheet assets and liabilities of EUR 301.7 mln at Group level, on the whole not significant with respect to either total assets/liabilities or CET1.

Therefore, on the basis of what is described above, at the transition date, there was no impact on the book value of shareholders' equity. Specifically, starting from 1 January 2019, the new accounting standard resulted in an increase in assets recognised in the financial statement (the leased assets), an increase in liabilities (the lease liabilities), a reduction in administrative expenses (the lease payments), and a simultaneous increase in financial costs (remuneration of the recognised liability) and amortisation (relating to the right of use).

With reference to the income statement, considering the entire duration of the contracts, the impact does not change over the time horizon of the lease, either applying the IAS 17 previously in force or applying the new IFRS 16, but arises at different times. It will reasonably be greater at the start of the contract due to the higher interest expense accrued on the lease liability, decreasing over the duration thereof as the lease payments are made.



A statement of reconciliation between the balance sheet balances as at 31 December 2018 (former IAS 17) and the balance sheet balances as at 1 January 2019 (current IFRS 16) is shown below:

Balance Sheet: Assets

Assets		31 12 2018 Total (mln of Eur)	Transfer from Prepaid expenses to Right of Use	Transfer from Lease Liability to Right of Use	Reclassifications and adjustments	01 01 2019 Total (mln of Eur)
90	Property, plant and equipment	2,506,598	2,451	301,693	304,144	2,810,742
	Property, plant and equipment used in the business	2,115,090	2,451	301,693	304,144	2,419,234
	a) Land	754,299	-	-	-	754,299
	b) Building	1,037,230	2,448	299,608	302,056	1,339,286
	c) Furniture and furnishings	150,484	-	-	-	150,484
	d) Electronic systems	103,070	-	-	-	103,070
	d) Others	70,007	3	2,085	2,088	72,095
130	Other assets	1,734,235	(2,451)	-	(2,451)	1,731,784
			-	301,693	301,693	

Balance sheet: Liabilities and Shareholder's Equity

Liabilities and Shareholder's Equity		31 12 2018 Total (mln of Eur)	Lease liability	Reclassifications and adjustments	01 01 2019 Total (mln of Eur)
10	Financial liabilities measured at amortised cost	111,087,471	301,693	301,693	1,118,542
	a) loans to banks	21,838,410	573	573	-
	b) loans to customers	76,113,224	301,120	301,120	1,118,542
	c) debts securities issued	13,135,837	-	-	-
			301,693	301,693	

The increase in property, plant and equipment by a total of EUR 304.1 mln is almost fully attributable to the recognition of the rights of use for properties.

The reconciliation of the scope of future commitments for leases pursuant to IAS 17 with the lease liabilities recognised in the financial statements pursuant to IFRS 16 as at 1 January 2019 is shown below:

Reconciliations of lease liabilities		01 01 2019
Future minimum lease payment as at 31.12.2018 -Not discounted operating lease Commitments under IAS 17		323.8
Exemption:		(3.0)
- short term lease (leases of 12 months or less)		(3.0)
- leases of low-value assets		-
Other changes		12.8
Not discounted lease liabilities as at 01.01.2019		333.7
Discounting adjustments		(32.0)
Lease liabilities as at 01.01.2019 under IFRS 16		301.7
Lease liabilities for Financial lease under IAS 17 as at 01.01.2019		-
Total lease liabilities as at 01.01.2019		301.7



Section 3 – Scope and methods of consolidation

1. Investments in wholly-owned subsidiaries

The investments in wholly-owned subsidiaries are listed in the table below. For information on equity investments in companies jointly controlled or subject to significant influence by the Group, please refer to the contents of Part B - Information on the consolidated balance sheet - Section 7 - Equity investments, in these Notes to the consolidated financial statements.

	Name	Headquarters	Registered Office	Type of relationship (*)	Ownership		Available votes % (**)
					Held by	Shareholding %	
A	Companies						
A.0	BANCA MONTE DEI PASCHI DI SIENA S.p.a.	Siena	Siena				
	Companies consolidated on a line-by-line basis						
A.1	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Florence	Florence	1	A.0	100.000	
A.2	MPS LEASING E FACTORING BANCA PER I SERVIZI FINANZIARI ALLE IMPRESE S.p.a.	Siena	Siena	1	A.0	100.000	
A.3	MONTE PASCHI FIDUCIARIA S.p.a.	Siena	Siena	1	A.0	100.000	
A.4	WISE DIALOG BANK S.p.a. - WIDIBA	Milan	Milan	1	A.0	100.000	
A.5	MPS TENIMENTI POGGIO BONELLI E CHIGI SARACINI SOCIETA' AGRICOLA S.p.a.	Castelnuovo Berardenga (SI)	Castelnuovo Berardenga (SI)	1	A.0	100.000	
A.6	GIMM ASTOR S.r.l.	Lecce	Lecce	1	A.0	52.000	
A.7	AIACE REOCO S.r.l.	Siena	Siena	1	A.0	100.000	
A.8	ENEA REOCO S.r.l.	Siena	Siena	1	A.0	100.000	
A.9	CONSORZIO OPERATIVO GRUPPO MONTEPASCHI S.c.p.a.	Siena	Siena	1	A.0	99.760	
					A.1	0.060	
					A.2	0.030	
					A.3	0.030	
					A.4	0.030	
						99.910	
A.10	MAGAZZINI GENERALI FIDUCIARI DI MANTOVA S.p.a.	Mantua	Mantua	1	A.0	100.000	
A.11	MONTE PASCHI BANQUE S.A.	Paris	Paris	1	A.0	100.000	
11.1	MONTE PASCHI CONSEIL FRANCE SOCIETE PAR ACTIONS SEMPLIFIEE	Paris	Paris		A.11	100.000	
11.2	IMMOBILIERE VICTOR HUGO S.C.I.	Paris	Paris		A.11	100.000	
A.12	MONTEPASCHI LUXEMBOURG S.A. in liquidazione	Luxembourg	Luxembourg	1	A.0	99.200	
					A.11	0.800	
						100.000	
	MPS COVERED BOND S.r.l.	Conegliano	Conegliano	1	A.0	90.000	
	MPS COVERED BOND 2 S.r.l.	Conegliano	Conegliano	1	A.0	90.000	
	CIRENE FINANCE S.r.l.	Conegliano	Conegliano	1	A.0	60.000	
	SIENA MORTGAGES 07-5 S.p.a.	Conegliano	Conegliano	4	A.0	7.000	
	SIENA MORTGAGES 09-6 S.r.l.	Conegliano	Conegliano	4	A.0	7.000	
	SIENA MORTGAGES 10-7 S.r.l.	Conegliano	Conegliano	4	A.0	7.000	
	SIENA LEASE 2016 2 S.r.l.	Conegliano	Conegliano	4	A.0	10.000	
	SIENA PMI 2016 S.r.l.	Conegliano	Conegliano	4	A.0	10.000	

(*) Type of relationship:

1 = majority of voting rights at ordinary shareholders' meetings

4 = other forms of control

(**) Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential



2. Significant assessments and assumptions for determining the scope of consolidation

Scope of consolidation

The consolidated financial statements include the balance sheet and income statement results of the Parent Company and its direct and indirect subsidiaries. In particular, the scope of consolidation, as specifically set out in the IAS/IFRS, includes all subsidiaries, irrespective of their legal status, of business activity pursued in sectors other than the Parent Company's core business, of their being going concerns or wound-up companies, or of whether the equity investment consists of a merchant banking transaction.

The scope of consolidation includes all types of entities, regardless of nature, for which the principle of control laid out in IFRS 10 applies.

The concept of control is based on the simultaneous presence of three elements:

- power to direct the relevant activities, i.e., the activities that affect the investee's returns: the power arises from substantive rights that give the investor the power to direct the relevant activities; to be substantive, the rights must be exercisable when decisions about the direction of the relevant activities need to be made;
- exposure to variability of returns deriving from the investee's activities, which may increase or decrease;
- exercise of power to influence returns.

Thus, IFRS 10 establishes that, to exercise control, the investor must have the ability to direct the entity's relevant activities, as the result of a legal right or a mere de facto situation, and also be exposed to the variability of results deriving from this power.

Structured entities are also consolidated when the requirement of actual control recurs, even if there is no stake in the entity.

More specifically, IFRS 12 defines structured entities as "entities that have been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity", such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual arrangements. Examples of structured entities include securitisation vehicles, asset-backed financings and some investment funds.

The scope of consolidation may also include parts of a structured entity with no independent legal status, or so-called "deemed separate entities". In essence this is a group of well identified assets and liabilities within a company, characterised by both the fact that: the assets represent the only source of payment for those specific liabilities and that; third parties cannot claim rights to those specific assets or on the cash flows they generate.

Investments and equity securities

Equity investments and equity securities are considered subject to control if the Group directly or indirectly holds the absolute majority of voting rights in the ordinary shareholders' meeting and such rights are substantive, and the relative majority of voting rights if the other voting rights are held by widely-dispersed shareholders. Control may also exist in situations in which the Group does not hold the majority of voting rights, but holds sufficient rights to have the practical ability to unilaterally direct relevant activities of the investee or in the presence of:

- substantive potential voting rights through underlying call options or convertible instruments;
- rights deriving from other contractual arrangements which, combined with voting rights, give the Group the de facto ability to direct production processes, other operating or financial activities able to significantly influence the investee's returns;
- power to influence, through rules of the by-laws or other contractual arrangements, governance and decision-making procedures regarding relevant activities;
- majority of voting rights through contractual arrangements formalised with other holders of voting rights (i.e., shareholders' agreements).

Structured entities - investment funds

The Group takes the following positions with respect to funds:

- subscriber of units, held for long-term investment purposes or for trading,
- counterparty in derivatives.

A relationship of control exists when the following situations are present:



- the Group, as a subscriber of units, is able to remove the investment fund manager without just cause or for reasons associated with fund performance, and such rights are substantive;
- existence of provisions in the fund regulation envisaging the establishment within the fund of committees, in which the Group participates, that influence the governance of relevant activities and have the legal and/or de facto right to control the activities of the fund manager;
- existence of other relations with the fund, such as the presence within the fund of personnel with strategic responsibilities associated with the Group and the presence of contractual relations that subject the fund to the Group for the subscription or placement of units.

Structured entities – securitization vehicles

In checking for the fulfilment of requirements of control over securitisation vehicles, both the possibility of exercising power over relevant activities for its own benefit and the end purpose of the transaction are taken into consideration, as well as the investor/sponsor's involvement in the structuring of the transaction.

For autopilot entities, the subscription of the substantial entirety of the notes by Group companies is considered an indicator of the presence, particularly during the structuring phase, of the power to manage relevant activities to influence the economic returns of the transaction.

Methods of consolidation

With reference to the consolidation methods, subsidiaries are consolidated on a line-by-line basis, interests in jointly controlled companies and investments in companies subject to the Group's "significant influence" are consolidated with the condensed equity method.

Line-by-line consolidation consists in the line-by-line acquisition of the balance-sheet and income statement aggregates of the subsidiaries. After the assignment to third parties, under a separate account, of their shares of equity and profit/loss, the value of the investment is eliminated against the recognition of the residual value of the subsidiary's equity.

Intragroup assets, liabilities, income and expenses are eliminated.

Acquisitions of companies are accounted for based on the "acquisition method" set forth in IFRS 3, as amended by Regulation 495/2009, based on which identifiable assets acquired and identifiable liabilities assumed (including contingent), must be recognised at their respective fair values at the acquisition date. In addition, for each business combination, any non-controlling interests in the acquired company may be recognised at fair value or in proportion with the share of non-controlling interests in identifiable net assets of the company acquired. Any excess of the consideration transferred (represented by the fair value of the assets transferred, liabilities assumed and equity instruments issued) and any recognition at fair value of the non-controlling interests with respect to the fair value of assets and liabilities acquired is recognised as goodwill; if the price is lower, the difference is allocated to the income statement.

The "acquisition method" is applied starting from the acquisition date, as described in the paragraph "Business combinations" under section "A.2 – The main items of the accounts" below, to which reference should be made, or beginning when control over the acquired company is effectively obtained. Therefore, the income and expenses of a subsidiary purchased during the reference year are included in the consolidated financial statements as of the date of purchase.

On the other hand, the income and expenses of a subsidiary sold are included in the consolidated financial statements up to the date of disposal, i.e. when the Parent ceases to control the subsidiary. At the date when control is lost, the controlling entity:

- derecognises the assets (including any goodwill) and liabilities of (and non-controlling interests in) the former subsidiary at their book values;
- recognises the fair value of the consideration received and of any investment retained in the former subsidiary;
- reclassifies to consolidated income statement any amounts previously recognised in the subsidiary's statement of other comprehensive income as if the assets or liabilities had been transferred;
- recognises in income statement item "270. Gains (losses) on disposals of investments" the difference between the consideration for the sale and the book value of the subsidiary's net assets.



If there is a partial sale of the subsidiary that does not entail loss of control, the difference between the consideration for the sale and the relative book value is recognised as an offsetting entry in equity.

In order to prepare the Consolidated Financial Statements as at 31 December 2018, all wholly-owned subsidiaries prepared a balance sheet and income statement that was compliant with the Group's accounting standards.

Equity investments held for sale were recognised in accordance with the reference IFRS 5 standard, which governs the treatment of non-current assets held for sale. In this case, assets and liabilities held for sale are reclassified under balance sheet item "120. Non-current assets held for sale and discontinued operation" and "70. Liabilities associated with non-current assets held for sale and discontinued operations". With regard to the income statement, charges and income associated with the assets and liabilities held for sale, net of tax effect, are presented in income statement item "320. Profit (loss) after tax from assets held for sale and discontinued operations". If the fair value of the assets and liabilities held for sale, net of sales costs, are less than the carrying amount, an impairment is recognised in the income statement.

Entities are considered to be jointly controlled companies when, based on contractual agreements, control is shared between the Parent Company, directly or indirectly, and one or more other parties external to the Group, or when decisions regarding the relevant activities require the unanimous consent of all parties that share control.

Companies are considered associates, that is, subject to significant influence, when the Parent Company, directly or indirectly, holds at least 20% of voting rights (including "potential" voting rights) or in which - though the voting rights held may be lower - the Parent Company has the power to participate in determining financial and operating policies as a result of specific legal ties, such as adhering to shareholder agreements.

Interests in jointly controlled companies and investments in companies subject to the Group's "significant influence" (associates) are consolidated with the condensed equity method.

This method contemplates the initial posting of the investment at cost. This value is subsequently adjusted to reflect:

- the Group's share of gains/losses on the investment for the period is recognised under item 250 "Gains (losses) on investments" of the consolidated income statement;
- the Group's share of changes recognised in the statement of consolidated comprehensive income. In determining the ownership percentages, any potential voting rights are not considered.

If an investor's share of losses in an associate equals or exceeds the interest's carrying amount, the investor discontinues recognising its share of further losses unless the investor has incurred specific legal obligations or made payments in favour of the associate.

Profits resulting from transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associate. Losses resulting from transactions between the Group and its associates are eliminated as well, unless the transaction provides evidence of an impairment of the asset transferred.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the investment is estimated, taking into consideration the present value of future cash flows that the investment may generate, including the final disposal value of the investment. Should the recoverable value be less than its book value, the difference is recognised immediately in the income statement, in the item indicated above.

The Group stops using the equity method on the date on which it stops exercising significant influence or joint control over the investee; in that case, as of that date the investment is reclassified to "Financial assets measured at fair value through other comprehensive income" or "Financial assets measured at fair value through profit and loss", on the condition that the associate or jointly controlled company does not become a subsidiary.

For the consolidation of jointly controlled companies and associates, the financial statements (annual or interim) that have been most recently approved by said companies are used. In rare cases, the companies do not apply IAS/IFRS standards, thus, for these companies, it has been ascertained that applying these standards would not result in significant impacts on the Group's consolidated financial statements.

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Changes in the scope of consolidation with respect to 31 December 2018 are wholly attributable to the removal of some subsidiaries from said scope. Details are provided below:

*Companies removed due to merger transactions*

Merged company: Perimetro Gestione Proprietà Immobiliari S.p.A.

Merging company: Banca Monte dei Paschi di Siena S.p.A.

Companies removed due to business liquidation

- Mps Preferred Capital I LLC
- Mps Capital Trust I
- Mps Capital Trust II
- Mps Preferred Capital II LLC
- Antonveneta Capital LLC I
- Antonveneta Capital LLC II
- Antonveneta Capital Trust I
- Antonveneta Capital Trust II
- Siena PMI 2015 S.r.l.
- Siena Consumer 2015 S.r.l.
- Siena Consumer S.r.l.
- Consum.it Securitisation S.r.l.

Companies removed due to disposal

Banca Monte Paschi Belgio S.A.

Companies removed due to repayment of securitisation notes

Casaforte S.r.l.

3. Investments in associates and joint ventures with significant non-controlling interests

This section was not completed, as there are no significant non-controlling interests in associates and joint ventures for the Group as at 31 December 2019, individually or as a whole, as shown in the table in “Section 16 - Non-controlling interests” under Part B of these Notes to the consolidated financial statements; this was also true for the financial statements as at 31 December 2018.

4. Significant restrictions

Listed below are the significant restrictions on the Group’s ability to access or use assets and to extinguish liabilities:

Regulatory restrictions

The Parent Company and the subsidiaries MPSL&F, MPSCS, MPS Banque and Widiba, with assets and liabilities prior to intercompany eliminations amounting to EUR 163,595.4 mln as at 31 December 2019 (EUR 161,322.7 mln as at 31 December 2018) are subject to prudential regulations envisaged in Directive 2013/36/EU (CRD IV) and Regulation (EU) no. 575/2013 (CRR), designed to maintain adequate capitalisation in relation to risks assumed. Thus, as a general rule, the capacity of banks to distribute capital or dividends is restricted in compliance with these regulations in terms of capital requirements.

More specifically, as a result of the Supervisory Review and Evaluation Process (SREP) conducted by the ECB, the Parent Company was required to:

- maintain, effective 1 March 2019, a consolidated Total SREP Capital Requirement (TSCR) level of 11%, which includes 8% as a minimum requirement for Capital pursuant to art. 92 of the CRR and 3% as Pillar II capital requirement, fully comprised of CET1;
- not distribute dividends.

This last restriction forms part of the commitments made by the Italian government to the European Commission, which also coincide with various aspects of the Group’s Restructuring Plan, including:

- cost reduction measures: annual restrictions in terms of the number of branches, employees, cost/income ratio and total operating expenses, reduction of additional costs up to a maximum of EUR 100 mln in the case of a deviation from the net operating margin targets (gross of provisions on loans);



- restrictions on advertising and sales policy: the Parent Company cannot use State aid or advantages deriving from it for advertising purposes aimed at promoting its products or its market position. Furthermore, it cannot adopt a particularly aggressive sales policy which it would not have adopted if it had not had access to State aid;
- sale of assets: sale of foreign banks, that is Banca Monte dei Paschi Belgio S.A. and Monte Paschi Banque S.A., as well as disposal of a list of equity investments in the course of the plan, without prejudice to the capital position of the Parent Company, and part of the real estate assets;
- risk containment: commitment to bring to a conclusion the disposal of the portfolio of non-performing loans, strengthening of risk control oversight (particularly in reference to credit risk, the consistency of loan approval policies and the commercial policies adopted by the Group), restrictions on proprietary finance activities in terms of VaR and the nature of instruments traded;
- prohibition from making acquisitions: in particular, the Parent Company cannot acquire any equity investment or asset, except for those authorised or in limited special cases;
- restrictions on payments of coupons on existing instruments and on the exercise of liability management transactions: the Parent Company cannot make payments for existing instruments, unless it constitutes default of a legal obligation, and, similarly, cannot carry out repurchase transactions of instruments issued by the Parent Company without satisfying with predefined conditions and with the prior approval of the Commission;
- employee remuneration: establishment of a remuneration ceiling corresponding to 10 times the average salary of Parent Company employees.

Legal restrictions

The Parent Company is required, in compliance with statutory provisions, to deduct 10% of annual net profit to form the legal reserve, until it has reached 20% of the share capital. The reserve must be replenished if it is reduced for whatever reason. The Parent Company is also required to form and increase a statutory reserve in an amount not less than 15% and at least 25% from the moment the legal reserve reaches 20% of the share capital.

The Italian subsidiaries other than securitisation vehicles are required, in compliance with statutory provisions, to deduct 5% of annual net profit to form the legal reserve, until it has reached 20% of the share capital, and an additional 5% to be allocated to a statutory reserve.

Contractual restrictions

Pledged assets

The Group holds assets not available to it in that they are used to guarantee financing transactions (e.g., repurchase or securitisation transactions).

The disclosure on assets pledged as collateral for liabilities and commitments is provided in the “Other information” section of Part B of these Notes to the consolidated financial statements, to which reference should be made.

Group assets related to securitisations

At the reporting date, asset items “20 c) Other financial assets measured at fair value as per mandatory requirements” and “40 b) Financial assets measured at amortised cost: Loans to customers” include EUR 3,294.8 mln (EUR 2,577.2 mln as at 31 December 2018) relating to loans that have not been derecognised, which were sold with the securitisations Siena Mortgages 10-7, Siena PMI 2016 2, and Norma SPV S.r.l. As an offsetting entry for the cash flows arising from these disposals, the Parent Company and subsidiaries MPS Capital Services and MPS Leasing & Factoring have recognised a liability in their financial statements with the vehicles that issued the senior notes (subject to final sale to a leading bank as part of the same securitisations) equal to EUR 630.0 mln (EUR 345.6 mln as at 31 December 2018). Against this liability, the creditors’ entitlement to repayment is limited to cash flows arising from the assets underlying senior notes sold (please refer to table D.3 of the Notes to the consolidated financial statements Part E - Information on risks and hedging policies).



Other restrictions

The Group's banks are required to hold a compulsory reserve at national Central Banks. The compulsory reserve, included in asset item "40. Financial assets measured at amortised cost" sub-item "a) Loans to banks", held at Bank of Italy, amounts to EUR 9,385.4 mln as at 31 December 2019 (EUR 6,639.4 mln as at 31 December 2018).

5. Other information

The financial statements processed for line-by-line consolidation of the subsidiaries include the financial statements as at 31 December 2019, as approved by the Boards of Directors of the respective companies.



Section 4 – Events after the Reporting Period

On 10 January 2020, the Moody's rating agency revised the Parent Company's ratings, increasing the standalone rating to "b3" (from "Caa1"). The long-term ratings of senior unsecured debt and deposits were confirmed at "Caa1" and "B1", respectively, and the outlook has been improved from "negative" to "positive". The subordinated debt rating was increased to "Caa1" (from "Caa2").

On 15 January 2020, the Parent Company successfully concluded the placement of a subordinated Tier 2 fixed-rate bond issue with maturity in 10 years (Issuer has the option of early repayment after 5 years from issue date, upon approval by the Regulator), intended for institutional investors, in the amount of EUR 400 mln, with an annual yield of 8%.

On 21 January 2020, the Parent Company successfully concluded the placement of an unsecured Senior Preferred fixed-rate bond issue with maturity in 5 years and 3 months (April 2025) for institutional investors, in the amount of EUR 750 mln with a yield of 2.7%.

On 11 February 2020, as part of the competitive procedure that was launched in July 2019 concerning the sale of a real estate portfolio owned by the Group, the Parent Company announced that it had granted Ardian a period of exclusivity in an effort to finalise the contractual documentation necessary for the sale by the end of February.

At the end of a competitive procedure launched in July 2019 and followed by a period of exclusivity granted to Ardian on 10 February 2020, on **28 February 2020**, the Parent Company and Ardian entered into an agreement for the sale of a real estate portfolio owned by the MPS Group. The parties will subsequently sign a preliminary sale and purchase agreement, which will precede the completion of the sale planned for the majority of the real estate properties by the second half of 2020.

The accounting estimates at 31 December 2019 were made on the basis of a series of macroeconomic and financial indicators at that date. In early January 2020, the new coronavirus epidemic (Covid-19) spread across mainland China and, subsequently, also in other countries including Italy, locally causing the slowdown or interruption of certain economic and commercial activities. The Group considers this epidemic an event that occurred after the reporting date which does not entail adjustment. Since the situation is developing and quickly evolving, it is not possible to provide a quantitative estimate of the potential impact of this event on the Group's financial situation. Therefore, the impact will be considered in the Group's accounting estimates during 2020, including those relating to loan impairments.

Section 5 – Other Matters

Going concern

This Annual Report was prepared based on a going concern assumption.

With regard to the indications contained in Document no. 4 of 3 March 2010, issued jointly by the Bank of Italy, Consob and IVASS, and subsequent amendments, the Group reasonably expects to continue operating in the foreseeable future and has therefore prepared the financial statements under the going concern assumption.

In this regard, note that, with reference to the 2017-2021 Restructuring Plan approved by the competent authorities in July 2017, the Parent Company continues the process of relaunching the commercial business and implementing the various operating guidelines. Moreover, according to the Restructuring Plan's provisions, continuity has been provided to the initiatives aimed at improving the risk profile of the loan portfolio, performing and non-performing, strengthening regulatory capital requirements through the placement of further Tier 2 tranches of subordinated bonds, as well as the managerial actions envisaged in the Plan. For more details on these initiatives, please refer to the "Strategy" section of the Consolidated Report on Operations.

Additionally, the Parent Company has updated the long-term projections (2020-2024) for the balance sheet and income statement, in order to take into account both the change in the macroeconomic scenario that occurred in the second half of the year (in particular, expected developments in interest rates, industrial output and household consumption indicators, and consensus on GDP growth estimates), as well as the effects associated with the approval of the 2020 Budget Law (Law 160/2019), in particular, the effects from the introduction of "ACE - Support for Economic Growth" tax benefit on future taxable income. Although these forecasts are lower than those envisaged in the Restructuring Plan, the values of capital ratios remain above the 2019 SREP Decision regulatory requirements, received on 11 December 2019 and essentially aligned with the quantitative prudential requirements and guidelines envisaged in the 2018 SREP Decision.



In conclusion, in light of the above, as it is deemed reasonable that the Group will continue operating in the foreseeable future, the financial statements have been prepared, considering that the going concern basis is appropriate.

List of key IAS/IFRS international accounting principles and related SIC/IFRIC interpretations for mandatory application as of the 2019 financial statements

The **IFRS 16 “Leases”** accounting standard, issued by IASB in January 2016 and approved by the European Commission with Regulation (EU) 2017/1986 of 31 October 2017, replaced the previous standard, IAS 17 - Leases effective 1 January 2019, as well as the interpretations **IFRIC 4 “Determining whether an Arrangement contains a Lease”**, **SIC-15 “Operating Leases - Incentives”** and **SIC-27 “Evaluating the Substance of Transactions Involving the Legal Form of a Lease”**.

IFRS 16 provides a new definition of lease based on control (right of use), that is, the ability to decide the methods of using an identified asset (underlying) for a fixed period of time in exchange for consideration, establishing the following discriminating factors: identification of the asset, lack of entitlement of the lessor to replace the asset, the right to substantially obtain all economic benefits originating from the use of the asset and the right to direct the use of the asset underlying the agreement.

Based on this definition, all contracts that include a right to use an asset, regardless of the contract’s legal classification, fall within the scope of IFRS 16, therefore including rental, lease or loan contracts previously not included under leasing. Taking into consideration the requirements established by IFRS 16 and the clarifications provided by the IFRIC in September 2018, intangible assets represented by software, acquired through user licenses or based on “cloud computing” agreements, are excluded from the IFRS 16 scope of application, as they are subject to the provisions of IAS 38, where the conditions are met.

The main change concerns the representation of lease contracts in the lessee’s financial statements, introducing a single model for the recognition of lease contracts in the financial statements without distinguishing between operating and financial leases. More specifically, the accounting model envisages the recognition in balance sheet assets and liabilities of:

- a right of use (“RoU”), equivalent to the lease liability plus initial direct costs, estimated dismantling costs or refurbishment of the underlying, net of incentives,
- a lease liability, equivalent to the present value of future payments, calculated using the discount rate defined at the commencement date of the lease contract.

After initial recognition, the lessee must assess the assets comprising the RoU by applying the cost model. The income statement is essentially impacted by the amortisation charge for the right of use, recognised under operating expenses, and for interest accrued on the lease liability, recognised in net interest income.

The exceptions to those rules are represented by short-term leases, with a contractual duration equal to or less than 12 months, and leases where the underlying asset is a low value asset, for which it is possible to essentially maintain the accounting treatment envisaged by IAS 17 for operating leases, with the lease payments charged to the income statement in compliance with the accrual principle.

The distinction between operating and finance leases continues for the lessor, for which the IFRS 16 approach does not introduce substantial changes with respect to IAS 17, other than greater disclosure.

Please refer to the paragraph “Transition to the new IFRS 16” above for a discussion on the process and impacts associated with the first-time adoption.

The interpretation “**IFRIC 23 - Uncertainty over Income Tax Treatments**”, published with Regulation (EU) no. 2018/1595 of 24 October 2018, clarifies how to apply the measurement and recognition requirements of IAS 12 when there is uncertainty with respect to the treatment to be applied to income taxes.

In these circumstances, an entity must recognise and measure its current or deferred tax assets/liabilities by applying the IAS 12 requirements, based on taxable income (tax loss), values for tax purposes, unused tax losses, unused tax credits and tax rates, determined based on the interpretation provided in IFRIC 23.

The entity is required to use judgement in determining whether an uncertain tax treatment should be considered independently or jointly with other tax treatments impacted by the uncertainty. The decision must be based on the approach that provides the greatest guarantee of resolving the uncertainty.



The entity must also consider in its assessments if the relevant tax authority, in examining the data submitted to it, may or may not accept application of the tax treatment or set of tax treatments proposed by the entity.

If it is deemed probable that a specific tax treatment will be accepted by the relevant tax authority, the entity must determine the taxable income (tax loss), values for tax purposes, unused tax losses, unused tax credits and tax rates consistently with the tax treatment included in the tax return.

Conversely, if it is assumed that the tax authority is unlikely to accept the uncertain tax treatment, the entity must report the effect of this uncertainty in calculating taxable income (tax loss), values for tax purposes, unused tax losses, unused tax credits or tax rates associated with this treatment. For this purpose, an entity may use one of the following methods:

- the most likely amount, which identifies the amount that has the greatest likelihood of being used within a range of possible results;
- the expected value, which is based on the sum of different amounts of a range of possible results, weighted by the probability of their occurrence.

The decision between the two methods must be based on the method that provides greater guarantee of resolving the uncertainty. Moreover, the entity must review the judgements and estimates if the facts and circumstances change.

IFRIC 23 was endorsed by the European Commission on 24 October 2018 with Regulation no. 2018/1595 and shall apply as of 1 January 2019. Early application is permitted.

The document “**Amendments to IFRS 9 - Prepayment features with negative compensation**”, published with Regulation (EU) no. 2018/498 on 26 March 2018, clarifies the classification of specific prepayable financial assets when IFRS 9 applies. In particular:

- for financial assets, they consider the possibility of measurement at amortised cost, including for those loans that, in the event of early repayment, assume a payment by the lender;
- for financial liabilities, in the event of a change in contractual terms which does not result in derecognition, the amendments provide that the effect of the change on amortised cost must be recognised in the income statement on the date of the change.

The document “**Annual Improvements to International Financial Reporting Standards 2015-2017 Cycle**”, published with Regulation (EU) no. 2019/412 of 14 March 2019, introduces some marginal amendments to IAS 12 “Income taxes”, IAS 23 “Borrowing costs”, IFRS 3 “Business combinations” and IFRS 11 “Joint arrangements”. In particular:

- the entity is required to recognise the tax effects of dividends for income tax purposes in profit (loss) for the year, in other comprehensive income or in shareholders' equity, depending on the recognition of the transactions or the past events that originated the distributable profits (IAS 12);
- if a specific loan remains outstanding after the corresponding asset is ready for use or sale, the loan becomes part of the funds considered for the purpose of calculating the capitalisation rate in relation to general loans (IAS 23);
- when the entity obtains control of a business, already a joint operation, it recalculates the stake held in that business (IFRS 3);
- when an entity obtains joint control of a business, already a joint operation, it does not recalculate the stake held in that business (IFRS 11).

On 13 March 2019, the document “**Amendments to IAS 19 - Plan Amendment, Curtailment or Settlement**” was published with Regulation (EU) no. 2019/402. This document clarifies that, after the amendment, the curtailment or settlement of the defined benefit plan, the entity must apply the updated assumptions for the determination of its net liability (asset) for defined benefits for the rest of the reference period.

The document “**Amendments to IAS 28 - Long-term interests in Associates and Joint Ventures**”, published with Regulation (EU) no. 2019/237 of 8 February 2019, clarifies that the provisions on reduction of value of IFRS 9 apply to long-term receivables from an associate or joint venture which, in essence, are part of the net investment in the associate or joint venture (for which the entity does not use the equity method).



Notwithstanding the first application of IFRS 16, for which reference should be made to the specific section “Transition to the new IFRS 16”, the other changes or interpretations had no material impact on the Group’s financial situation.

List of IAS/IFRS international accounting standards and related SIC/IFRIC interpretations whose application is mandatory as at 31 December 2019

On 29 March 2018, IASB issued the document “**Changes to the Conceptual Framework**”, published with Regulation (EU) 2019/2075 of 29 November 2019, which has the objective of updating the existing references to the previous Conceptual Framework in various accounting standards and interpretations, replacing them with references to the revised Conceptual Framework. The amendments shall apply as of 1 January 2020. However, their early application is permitted.

On 31 October 2018, IASB issued the document “**Amendments to IAS 1 and IAS 8 - Definition of Material**”, published with Regulation (EU) 2019/2104 on 10 December 2019 to clarify the definition of “material” in order to assist companies in deciding whether to include information in the financial statements. The amendments shall apply as of 1 January 2020. In any event, early application is permitted.

On 26 September 2019, the document “**IBOR Reform**” was issued, published with Regulation (EU) 2020/34 of 16 January 2020, which amends IFRS 9, IAS 39 and IFRS 7. The document regulates the period preceding the replacement of the benchmark as a result of the interest rate reform and introduces a series of simplifications applicable to all the hedging relationships affected by the reform. The key points of the document are provided below:

- highly probable requirement for cash flow hedges (IFRS 9 and IAS 39): if the hedged item is a scheduled transaction, the entity must determine if the scheduled transaction is highly probable, assuming that the benchmark interest rate, on which the hedged cash flows are based, is not changed following the reform;
- measurement of the relationship between the hedged item and the hedging instrument (IFRS 9): an entity must assume that the benchmark interest rate, on which the hedged cash flows and/or hedged risk are based, or the benchmark interest rate on which the cash flows of the hedging instrument are based, are not changed following the reform of the interest rate benchmark;
- prospective and retrospective measurement (IAS 39): an entity must assume that the benchmark interest rate, on which the hedged cash flows and/or hedged risk are based, or the benchmark interest rate on which the cash flows of the hedging instrument are based, are not changed following the reform; An entity is not required to suspend a hedging relationship during the period of uncertainty resulting from the reform solely because the actual results of the hedge are not highly effective, i.e. if they are positioned outside the 80-125% range upon retrospective measurement. In this situation, to assess whether or not the hedging relationship should be suspended, the entity must apply the other conditions (paragraph 88 of IAS 39) pertaining to hedging relationships, including the prospective evaluation;
- designation of a risk component as a hedged item (IFRS 9 and IAS 39): to hedge a risk component, which is affected by the reform, an entity must apply the specific provisions of IFRS 9 or IAS 39 to determine if this risk component is separately identifiable only at the beginning of the hedging relationship. If the hedge is dynamic, i.e. if the entity frequently resets the hedge relationship, the risk component must be separately identifiable only upon initial designation of the hedged item. Therefore, it is not necessary to re-measure or re-designate for this hedging relationship.

The simplifications are not intended to mitigate other impacts deriving from the benchmark reform; therefore, if a hedging relationship no longer meets the requirements for hedge accounting for reasons other than those specified by the changes, it must be suspended. Moreover, adequate disclosure must be provided on the extent to which hedging relationships are affected by the changes.

The amendments apply as of 1 January 2020 with retroactive application. MPS Group will opt for early application.



IAS/IFRS international accounting standards and related SIC/IFRIC interpretations issued by the IASB and still awaiting approval from the European Commission

The document “**Amendments to IFRS 3 - Definition of a Business**” issued by IASB on 22 October 2018 in order to assist in determining whether a transaction is an acquisition of a business or a group of assets that do not meet the definition of a business of IFRS 3. The amendments shall apply to acquisitions after 1 January 2020. Early application is permitted.

In September 2019, IASB initiated the discussion relating to the second phase of the project on the “Interest rate reform”.

Lastly, on 18 May 2017 the IASB issued the new accounting standard IFRS 17, which governs policies issued by insurance companies, which shall be applied from 1 January 2021. On 14 November 2018 the IASB decided to defer it for one year, i.e. to 2022. It also decided to propose extending to 2022 the temporary exception from the application of IFRS 9 granted to insurance companies, so that IFRS 9 and IFRS 17 may be applied at the same time. These proposals are still in the consulting stage. Only indirect impacts are expected for Group’s operations, resulting from the valuation of insurance associates using the equity method, as neither the Parent Company nor subsidiaries perform insurance activities.



A.2 – The main items of the accounts

Accounting standards

This chapter contains the accounting standards in relation to the main assets and liabilities in the balance sheet, which were adopted for the preparation of the consolidated financial statements as at 31 December 2019.

1 Financial assets measured at fair value through profit and loss (FVTPL)

a) classification criteria

These assets include financial assets other than those classified under “Financial assets measured at fair value through other comprehensive income” and “Financial assets measured at amortised cost”. The category comprises:

- debt securities or loans that are included in an “Other” Business Model, i.e., a procedure for managing financial assets that does not have the objective of collecting contractual cash flows (“Held to Collect” business model) or collecting contractual cash flows and selling financial assets (“Held to Collect and Sell” business model);
- debt securities, loans and units of UCITS whose contractual terms do not provide exclusively for repayments of principal and interest payments on the principal to be repaid (i.e., that do not pass the “SPPI test”);
- equity instruments that cannot be classified as representing control, affiliation, or joint control, held for trading purposes or for which, upon initial recognition, the fair value through other comprehensive income option was not chosen;
- derivative contracts, recognised in financial assets held for trading, that are recognised as assets if the fair value is positive, or liabilities if the fair value is negative.

With reference to the latter, it is possible to offset current positive and negative values deriving from outstanding transactions with the same counterparty only if the legal right to offset the amounts recognised is currently in place and the entity intends to proceed with the net settlement of offsetting positions.

More detailed information is provided below on the three sub-items that comprise this category, represented by: “Financial assets held for trading”, “Financial assets measured at fair value”; and “Other financial assets measured at fair value as per mandatory requirements”.

Financial assets held for trading

Financial assets (debt securities, equity securities, loans, units of UCITS) are classified as held for trading purposes if they are managed with the objective of generating cash flows through their sale, as they are:

- acquired or incurred primarily for the purpose of selling or repurchasing them in the short-term;
- part of a portfolio of financial instruments that are managed on an individual basis and for which there is proven existence of a strategy targeted at earning a profit in the short term;

It also includes derivatives with a positive fair value not designated as having an accounting hedge relationship. Derivative contracts include those embedded in combined financial instruments, in which the primary contract is a financial liability, which were subject to separate accounting for the following reasons:

- their economic characteristics and risks are not strictly related to the characteristics of the underlying contract;
- the embedded instruments, even if separate, satisfy the definition of derivative;
- hybrid instruments to which they belong are not recognised at fair value with the relative changes posted in profit and loss.



Financial assets measured at fair value

Assets (debt securities and loans) can be irrevocably designated at fair value at the time of initial recognition only when this designation eliminates or significantly reduces a measurement inconsistency (known as an accounting mismatch); This category is not used by the Group at present.

Other financial assets measured at fair value as per mandatory requirements

Other financial assets measured at fair value as per mandatory requirements represent a residual category and include:

- debt securities and loans, when: i) the relative contractual cash flows do not represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI test failed), or ii) are not held as part of a business model whose objective is the ownership of assets for purposes of collecting contractual cash flows ("Held to Collect" business model) or those whose objective is achieved either by collecting contractual cash flows or by selling financial assets ("Held to Collect and Sell" business model);
- units of UCITS;
- equity securities held for purposes other than trading for which the option of classification at fair value through other comprehensive income is not exercised.

b) recognition criteria

Initial recognition of financial assets occurs at settlement date for debt securities, equities and units of UCITS, at disbursement date for loans, and at trade date for derivative contracts. Upon initial recognition, financial assets measured at fair value through profit and loss are recognised at fair value, which usually corresponds to the amount paid, without considering transaction costs or revenues directly attributable to the instrument, which are directly recognised in the income statement.

c) measurement criteria

After initial recognition, financial assets measured at fair value through profit and loss are recorded at fair value, with changes recognised as an offsetting entry in the income statement.

Market prices are used to determine the fair value of financial instruments listed in active markets. In the absence of an active market, commonly adopted estimation methods and measurement models are used, which take into account all the risk factors associated with the instruments and which are based on market data, such as: value of listed instruments that have similar characteristics, calculations of discounted cash flows, models for determining the option prices, values recorded in recent comparable transactions, etc. For equity securities and derivatives on equity securities that are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the above measurement models can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For more information on the criteria for determining fair value, please refer to Section "A.4 Information on Fair Value" of Part A of the Notes to the consolidated financial statements.

d) revenue recognition criteria

The interest of the three sub-items that comprise this category is recorded under item "10 - Interest income and similar revenues".

Realised gains and losses, the gains and losses from measurements for "Financial assets held for trading", including derivatives associated with financial assets/liabilities measured at fair value, are recognised in profit and loss under item "80 - Net trading income (expenses)".

These income effects pertaining to "Financial liabilities measured at fair value" as well as "Other financial assets measured at fair value as per mandatory requirements" are booked to the income statement under item "110 - Net profit/loss from financial assets and liabilities measured at fair value through profit and loss", in the sub-items "a) financial assets and liabilities measured at fair value" and "b) other financial assets measured at fair value as per mandatory requirements", respectively.



e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets or ii) when the financial assets are sold and all related risks/benefits are transferred. However, if a relevant portion of the risks and rewards associated with disposed financial receivables have been maintained, they continue to be posted in the balance sheet, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. If such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.

Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.

f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category 'measured at fair value through profit and loss' to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through other comprehensive income). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. In this case, the effective interest rate of the reclassified financial asset is calculated based on its fair value at the reclassification date and this date is considered as the initial recognition date in assigning it to the various credit risk stages (stage assignment) for purposes of impairment.

For more information on classification criteria for financial instruments, please refer to the section "Classification criteria for financial assets" below.

2 Financial assets measured at fair value through other comprehensive income (FVTOCI)

a) classification criteria

This category includes:

- financial assets represented by debt instruments, managed under a "Held to Collect and Sell²⁴" business model, whose contractual flows represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI - test passed);
- financial assets represented by equity instruments, held under a non-trading business model, for which, on first-time recognition, the option for the recognition in the statement of comprehensive income of changes in fair value after first-time recognition in the financial statements (OCI election) has been irrevocably exercised.

In particular, the following are included in this item:

- debt securities that are attributable to a "Held to Collect and Sell" business model and that passed the SPPI test;
- equity stakes, which cannot be classified as representing control, an affiliation, or joint control and are not held for trading purposes, for which the fair value through other comprehensive income option was chosen;

²⁴ Financial instruments held within the framework of a business model whose objective is ownership of said instruments for the purpose of collecting cash flows and through sales transactions can be associated with the "Held to Collect and Sell" business model.



- loans that are attributable to a “Held to Collect and Sell” business model and that passed the SPPI test; The Group does not have assets of this type.

b) recognition criteria

Financial assets are initially recognised on the date of settlement, with reference to debt or equity instruments, and on the date of disbursement, with reference to loans.

On initial recognition, the assets are measured at their fair value, which normally corresponds to the price paid, inclusive of transaction costs or income directly attributable to the instrument.

c) measurement criteria

Financial instruments represented by debt securities and loans, following initial recognition, continue to be measured at fair value, with recognition in the income statement of interest (based on the effective interest rate method), expected credit losses (for more details please refer to the paragraph “Impairment” in this section), and any exchange rate changes. Fair value changes, net of expected credit losses, are booked to the appropriate equity reserve net of the associated tax effect (item “120 - Valuation reserves”). Upon full or partial disposal, the cumulative gain or loss in the valuation reserve is reversed, all or in part, to the income statement.

Financial assets represented by equity instruments, following initial recognition, continue to be measured at fair value, with changes booked to the appropriate equity reserve net of the associated tax effect (item “120 - Valuation reserves”). The amount recognised as an offsetting entry in shareholders’ equity (Statement of Comprehensive Income) cannot subsequently be transferred to the income statement, even following a sale; in this case, the amount is reclassified in another equity item (item “150 - Reserves”). Furthermore, no write-down to the income statement is envisaged for these assets as they are not subject to any impairment process. The only component of these equity securities that is recognised in the income statement is represented by the related dividends.

For equity securities included in this category, which are not listed on an active market, the cost criterion is used as an estimate of the fair value only on a residual basis and limited to rare circumstances, i.e., if none of the measurement models previously mentioned can be applied, or if there is a wide range of possible fair value measurements, in which case the cost represents the most meaningful estimate.

For more information on the criteria for determining fair value, please refer to Section “A.4 Information on Fair Value” of Part A of the Notes to the consolidated financial statements.

Financial assets measured at fair value through other comprehensive income - both in the form of debt securities and loans - are subject to verification of the significant increase in credit risk (impairment) as required by IFRS 9, similar to assets measured at amortised cost, with the consequent recognition in the income statement of a value adjustment to cover expected losses. In summary, an estimated loss at one year is recognised, at the initial recognition date and at every subsequent reporting date, on instruments classified in stage 1 (i.e., on financial assets at the origination date, if not impaired, and on instruments for which there has not been a significant increase in credit risk compared to the initial recognition date). Instead, for instruments classified in stage 2 (performing, for which there has been a significant increase in credit risk compared to the initial recognition date) and stage 3 (non-performing exposures) an expected loss is recorded for the entire residual life of the financial instrument. Conversely, equity securities are not subject to the impairment test.

For more detailed information, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

d) revenue recognition criteria

As regards financial instruments represented by debt instruments:

- interest is recorded under item “10 - Interest income and similar revenues”;
- expected credit losses recognised for the year are accounted for in item “130 - “Net impairment (losses)/reversals for credit risk of: b) financial assets measured at fair value through other comprehensive income”; the same applies for partial or full reversals of write-downs recorded in previous years;
- at the moment of derecognition, valuations accumulated in the specific equity reserve are reversed to the income statement under item “100 - Gains/losses from sale/repurchase of: b) financial assets measured at fair value through other comprehensive income”.



As regards financial instruments represented by equity instruments, for which the “OCI election” was exercised, only dividends are booked to the income statement (item “70. Dividends and similar income”). Changes in fair value subsequent to initial recognition are recorded in a specific valuation reserve under shareholders’ equity (item “120 - Valuation reserves”); in the event of derecognition of the asset, the cumulative balance of this reserve is not reversed to the income statement but is reclassified under earnings reserves of equity (item “150 - Reserves”).

e) derecognition criteria

Financial assets are derecognised from financial statements: i) upon expiration of the contractual rights on the cash flows resulting from the assets or ii) when the financial assets are sold and all related risks/benefits are transferred. However, if a relevant portion of the risks and rewards associated with disposed financial receivables have been maintained, they continue to be posted in the balance sheet, even if legal ownership of the asset has been effectively transferred.

If it is not possible to ascertain a substantial transfer of risks and rewards, the financial assets are derecognised when control of the assets has been surrendered. If such control has been maintained, even partly, the assets should continue to be recognised to the extent of residual involvement, as measured by the exposure to the changes in value of the assets disposed and to the changes in their cash flows.

Finally, disposed financial assets are derecognised if the contractual rights to receive the cash flows are maintained and a contractual obligation is simultaneously undertaken to pay only said flows, without a significant delay, to third parties.

f) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets (with the exception of equity securities, for which reclassification is not permitted), reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at fair value through other comprehensive income’ to one of the other two categories envisaged by IFRS 9 (financial assets measured at amortised cost or financial assets measured at fair value through profit and loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. If assets are reclassified from this category to the amortised cost category, the cumulative gain (loss) recorded in the valuation reserve is adjusted to the fair value of the financial asset at the reclassification date. If, instead, assets are reclassified to the fair value through profit and loss category, the cumulative gain (loss) recorded previously in the valuation reserve is reclassified from shareholders’ equity to profit (loss) for the year.

For more information on classification criteria for financial instruments, please refer to the section “Classification criteria for financial assets” below.

3 Financial assets measured at amortised cost

a) classification criteria

Financial assets represented by loans and debt securities, managed under a “Held to Collect²⁵” business model, whose contractual flows represent solely payments of principal and interest on the residual capital (Solely Payment of Principal and Interest - SPPI test passed) are included in this category.

The portfolio of financial assets measured at amortised cost includes:

- the entire portfolio of loans in the various technical forms that satisfy the above requirements (including repurchase agreements), stipulated with both banks and customers;
- debt securities, mainly government bonds, which satisfy the above requirements;

²⁵ Financial instruments held within the framework of a business model whose objective is ownership of said instruments for the purpose of collecting cash flows can be associated with the “Held to Collect” business model.



- operating receivables connected with providing financial assets and services as defined in the Consolidated Law on Banking and the Consolidated Law on Finance (e.g., for distribution of financial products and servicing activities);
- receivables originating from financial lease transactions which, in accordance with IFRS 16, are recognised according to the “financial method”, including the values referring to assets pending financial leasing, such as properties under construction.

b) recognition criteria

Financial assets are initially recognised on the settlement date for debt instruments and on the disbursement date for loans; the following are included in said item:

- loans to banks;
- loans to customers.

The initial recognition is based on the fair value of the financial instrument (which is normally equal to the amount disbursed or price of underwriting), inclusive of the expenses/income directly related to the individual instruments and determinable as of the transaction date, even if such expenses/income are settled at a later date. This does not include costs which have these characteristics but are subject to repayment by the debtor or which can be encompassed in ordinary internal administrative expenses.

Repurchase agreement transactions with the obligation to repurchase are posted as lending transactions for the spot amounts collected.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial assets booked to this category are measured at amortised cost using the effective interest rate criterion. This interest is recorded under item “10 - Interest income and similar revenues”.

The gross book value is equal to the first-time recognition value, decreased/increased by:

- principal repayments;
- amortisation – calculated using the effective interest rate method – of the difference between the amount disbursed and the amount repayable upon maturity, typically attributable to the costs/income directly charged to each receivable;

The amortised cost method is not used for short-term receivables, for which the effect of applying a discounting approach is negligible, for loans without a defined maturity, and for revocation loans.

For more detailed information on amortised cost, please refer to the following section “Other significant accounting practices - amortised cost”.

The book value of financial assets measured at amortised cost is adjusted to take into account any provision to cover expected losses (expected credit losses). For each reporting period, the aforementioned assets are subject to impairment testing with the aim of estimating expected losses in value for credit risk (ECL - Expected Credit Losses). These losses are recorded in the income statement under item “130 - Net impairment (losses)/reversals for credit risk”. More specifically and as better explained in the paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”, the impairment model classifies the assets into three separate stages (stage 1, stage 2, stage 3), according to trends in the borrower’s creditworthiness, each of which has different criteria for measuring expected losses:

- stage 1: includes performing financial assets for which there has been no significant increase in credit risk with respect to the initial recognition date, or for which credit risk is considered low. Impairment is based on an estimate of expected loss over a one-year time horizon (expected loss that would result from default events on financial assets that are deemed possible within one year of the reference date);

- stage 2: includes performing financial assets that have incurred a significant increase in credit risk with respect to the initial recognition date; Impairment is assessed according to an estimate of expected loss over the entire residual life of the financial asset;

- stage 3: represents non-performing financial assets (probability of default equal to 100%), to be assessed based on an estimate of expected loss over instrument’s life.

For performing assets, expected losses are calculated according to a collective process based on certain risk parameters represented by the probability of default (PD), loss rate in the event of default (LGD), and the



exposure value (EAD), deriving from the internal models for calculating regulatory credit risk, appropriately adjusted to take into account the specific requirements envisaged by accounting regulations.

For non-performing assets, i.e., assets for which, in addition to a significant increase in credit risk, objective evidence of impairment has been found, impairment losses are quantified based on an analytical or lump-sum measurement process by homogeneous risk categories - aimed at determining the present value of expected future recoverable cash flows, discounted using the original effective interest rate or a reasonable approximation thereof, if the original interest rate cannot be directly determined.

The non-performing asset category includes exposures assigned the status of bad loan, unlikely to pay, or past-due/overdrawn for more than ninety days, in accordance with the definitions established by supervisory regulations in effect (Bank of Italy Circular no. 272 "Accounts Matrix") and referred to in Bank of Italy Circular no. 262, as these definitions are deemed consistent with accounting regulations envisaged in IFRS 9 for objective evidence of impairment.

In the event of sale scenarios, the cash flows are calculated based not only on the forecast of the recoverable amounts through internal management activity, but also on the basis of the flows that can be obtained from any sale on the market, according to the approach described in the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

In addition, the expected cash flows include forecasts for collection timing and the presumed net realisable value of any guarantees as well as the costs connected with obtaining and selling the guarantee. In this regard, in the event that the Group uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

For fixed-rate positions, the original effective rate used to discount the expected cash flows from collection, calculated as described above, remains unchanged over time even if there is a change in the contractual rate due to the borrower's financial difficulties. For floating-rate positions, the rate used to discount cash flows is updated for the indexing parameter (e.g., Euribor), while keeping the fixed spread at the original level.

The financial asset's original value is restored in subsequent years when there is an improvement in the exposure's creditworthiness compared to that which had led to the previous write-down. The reversal is posted to the same item in the income statement ("130 - Net impairment (losses)/reversals for credit risk") and may not, in any case, exceed the amortised cost that the asset would have had without prior adjustments.

For more detailed information on the impairment model, please refer to the subsequent paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments".

For non-performing exposures, accrued interest is calculated based on amortised cost, i.e., using the value of the exposure - calculated with the effective interest rate - adjusted for expected losses. In case of management of non-performing exposures, or of transfer from stage 3 to stage 2, interest will once again be calculated based on the gross exposure value; the positive difference is recognised, as the recovery of previous impairment losses, as an offsetting entry to item "130. Net impairment (losses)/reversals for credit risk". The same accounting entry is made in the event that the interest collected is greater than the expected cash flows.

Finally, for non-performing exposures that do not accrue contractual interest, such as bad loans, this interest corresponds to the progressive release of the discounting of collection forecasts, as the effect of the simple passage of time.

d) derecognition criteria

The financial assets are derecognised in the event one of the following cases is verified:

- the contractual rights on the cash flows deriving from the same expire;
- the financial asset is sold with the substantial transfer of all risks and benefits resulting from ownership;
- if it is not possible to ascertain a substantial transfer of risks and benefits, the financial assets are derecognised when control of the assets has been surrendered;
- the entity retains the contractual right to receive cash flows from the financial assets, but simultaneously assumes the contractual obligation to pay said flows to a third party (pass-through arrangements) without delay and only to the extent of the amount received;



- the asset is subject to “substantial” changes, as more extensively described in the section “Renegotiations”.

With regard to non-performing financial assets, the asset may be derecognised following the acknowledgement of the non-recoverability of the exposure and the resulting closure of the collection process (definitive derecognition), and entails the reduction of the nominal value and of the gross book value of the loan. This case occurs when settlement agreements have been reached with the borrower that entail a reduction in the loan (resolution agreement) or in the presence of specific situations such as, for example:

- a judgement has been handed down by the court that declares the loan all or partially settled;
- the conclusion of bankruptcy or enforcement proceedings against both the principal borrowers and guarantors;
- the conclusion of all possible judicial and extra-judicial actions for credit collection;
- the completion of a mortgage lien on an asset under guarantee, with the resulting derecognition of the loan guaranteed by the property under lien, in the absence of further specific guarantees or other actions that can be taken to recover the exposure.

These specific situations may result in a full or partial derecognition of the exposure but do not necessarily imply a waiver of the legal right to collect the loan.

In addition, non-performing financial assets may be derecognised following their “write-off”, upon acknowledgement that there are no reasonable expectations of collection, while continuing with actions aimed at their recovery. This write-off is carried out in the year in which the loan, or part of it, is considered non-recoverable - despite not closing the legal procedure - and can take place before the legal actions taken against the borrower and guarantors for credit collection. It does not imply the waiver of the legal right to collect the loan and is made if the loan documentation contains reasonable financial information indicating that the borrower will be unable to repay the loan amount. In this case, the gross nominal value of the loan remains unchanged, but the gross book value is reduced by an amount equal to the amount to be written off, which may represent the full exposure or a portion of it. The write-off amount cannot be subjected to subsequent write-backs following an improvement in collection forecasts, rather only as the result of amounts effectively collected.

In the event of derecognition, the difference between the book value of the asset at the derecognition date and consideration received, inclusive of any assets received net of any liabilities assumed, must be recognised in the income statement, under item “100. a) Profits/(Losses) from disposal or repurchase of: financial assets measured at amortised cost” in the event of sale and, in all other cases, under item “130 - Net impairment (losses)/reversals for credit risk”.

e) reclassification criteria

According to the general rules established by IFRS 9 on reclassifying financial assets, reclassifications to other categories of financial assets are not permitted unless the entity changes its business model for managing financial assets. In these cases, which are expected to be highly infrequent, financial assets may be reclassified from the category ‘measured at amortised cost’ to one of the other two categories envisaged by IFRS 9 (financial assets measured at fair value through other comprehensive income or financial assets measured at fair value through profit and loss). The transfer value is represented by the fair value at the time of the reclassification and the effects of the reclassification apply prospectively from the reclassification date. Gains or losses resulting from the difference between the amortised cost of the financial asset and the associated fair value are booked to the income statement in the case of reclassification under “Financial assets measured at fair value through profit and loss” and, under equity, in the appropriate valuation reserve, in the case of the reclassification under “Financial assets measured at fair value through other comprehensive income”.

For more information on classification criteria for financial instruments, please refer to the section “Classification criteria for financial assets” below.



4 Hedging transactions

The Group availed itself of the possibility, envisaged on first-time application of IFRS 9, to continue to use all of the provisions of IAS 39 (carved out version endorsed by the European Commission) as regards hedge accounting for all types of hedge (both micro and macro hedges).

a) classification criteria – types of hedging

Risk-hedging transactions are aimed at offsetting any potential losses on a certain financial instrument or group of financial instruments that may arise from a specific risk should it occur.

The following types of hedging are included:

- fair value hedges, which are intended to hedge the exposure to changes in fair value of a recognised asset or liability that are attributable to a particular risk; These include generic fair value hedges (macro-hedges) having the objective of reducing fluctuations in fair value due to interest rate risk, of a monetary amount, arising from a portfolio of financial assets and liabilities (including core deposits). Generic hedges cannot be used to cover net amounts resulting from the offsetting of assets and liabilities;
- cash flow hedges, which are intended to hedge the exposure from variability in future cash flows attributable to particular risks associated with a recognised asset or liability or a transaction that is deemed highly likely;
- hedges of a net investment in a foreign operation, which refers to hedging the risks of an investment in a foreign operation denominated in a foreign currency.

At the consolidated financial statement level, the designation of the derivative as a hedging instrument is possible only if it is stipulated in relation to a counterparty external to the Group. The results attributable to internal transactions carried out among different Group entities are eliminated.

In order for a derivative to be designated as a hedging instrument, there must be formal documentation of the relationship between the hedged item and the hedging instrument, showing that the hedging relationship is - and is expected to be - effective both at inception and, prospectively, throughout its life. Furthermore, a hedging transaction should be reflective of a pre-determined risk management strategy and consistent with risk management policies in use.

b) recognition criteria

Financial hedging derivatives, just as for all derivatives, are initially recognised at fair value on the date the contract is stipulated and are classified, as a function of their positive or negative value, in the asset item “50. Hedging derivatives” or in the liability item “40. Hedging derivatives”.

c) measurement criteria and revenue recognition criteria

Hedging derivatives are measured at fair value. In particular:

Fair value hedging

In the case of specific fair value hedging, the change in the fair value of the hedged element (for changes generated by the underlying risk factor) adjusts the book value of the hedged element and is immediately recognised, regardless of the category to which the hedged asset or liability belongs, along with the change in the fair value of the hedging instrument, in income statement item “90 - Net profit (loss) from hedging”. Any difference, i.e. partial ineffectiveness of the hedging derivatives, reflects their net P&L impact.

If the hedging relationship is suspended, the hedged instrument, if not derecognised from financial statements, is returned to the original valuation criterion of the class to which it belongs. Specifically, for instruments measured at amortised cost, the cumulative revaluations/write-downs recorded as a result of changes in the fair value of the hedged risk are recognised in the income statement in interest income and expense over the residual life of the hedged item, based on the effective interest rate. Instead, if the suspension of the hedge is accompanied by the derecognition from financial statements of the hedged item (e.g., sale or early repayment), the fair value portion not yet amortised is immediately recognised in the income statement under the item “90 - Net profit (loss) from hedging”.

With regard to generic fair value hedging transactions (macro-hedges), changes in fair value of the hedged risk of assets and liabilities subject to hedging are recorded in the balance sheet, respectively, under item “60 - Change in value of macro-hedged financial assets” or “50 - Change in value of macro-hedged financial liabilities”. The offsetting item for changes in value in both the hedged element and the hedging instrument, similar to specific fair value hedges, is item “90 - Net profit (loss) from hedging” in the income statement. If a generic fair value hedging relationship is suspended, the cumulative revaluations/write-downs recorded in the



aforementioned balance sheet items are charged to the income statement in interest income or expense over the residual life of the original hedging relationship, provided that the base assumptions are satisfied and verified.

Cash flow hedging

The changes in fair value of the hedging instrument are posted to a specific shareholders' equity reserve (item "120 - Valuation reserves") with reference to the effective portion of the hedge, while fair value changes of the hedging instrument that are not offset by changes in the hedged item's cash flows are posted to the income statement under item "90 "Net profit (loss) from hedging". If the hedging of cash flows is no longer considered effective, or the hedging relationship is terminated, any amounts accumulated in cash flow hedge reserves are charged to the income statement when the hedged item, which is still in place, affects profit or loss. Conversely, if the hedged item is derecognised, cancelled or expires the reserve is charged to the income statement at the same time as the hedged item is derecognised.

Hedges of foreign currency investments

Hedges of foreign currency investments are accounted for similarly to cash flow hedges.

Hedge effectiveness depends on the extent to which changes in the fair value or expected cash flows of the hedged item are offset by corresponding changes in the hedging instrument. Therefore, effectiveness is measured by comparing said changes, while taking into account the company's intent at hedge inception. With reference to the hedged risk, the hedging is effective (within the 80% to 125% window) when the changes in fair value (or in the cash flows) of the hedging instrument offset the changes in the hedged item almost entirely.

Effectiveness is assessed at year-end or at interim reporting dates by using:

- prospective tests, which justify continuing hedge accounting since they show its expected effectiveness;
- retrospective tests, which show how effective the hedging relationship has been in the period under review.

d) derecognition criteria

If tests do not confirm hedge effectiveness, both retrospectively and prospectively, hedge accounting is discontinued as described above.

In addition, the hedging relationship ceases when:

- the derivative expires, is extinguished or exercised;
- the hedged item is sold, expires, or is repaid;
- it is no longer highly likely that the hedged future transaction will occur.

The hedging derivative contract, if it has not expired or been extinguished, is reclassified under financial assets held for trading, whereas the hedged item, if it has not been sold or repaid, reverts to the accounting treatment based on its original classification.

5 Equity investments

a) classification criteria

This item includes equity interests held in associates or joint ventures, which are recognised in accordance with the equity method.

Companies subject to significant influence are considered associates. It is assumed that the company exercises significant influence in all cases in which it holds at least 20% of the voting rights (including "potential" voting rights) and, regardless of the interest held, if the company has the power to participate in management and financial decisions of the investee, by virtue of specific legal connections, such as shareholder agreements, with the purpose for the agreement's participants to ensure representation in management bodies and to ensure management unity, without having control.

Entities are considered to be jointly controlled companies when control is shared between the Group and one or more other parties based on contractual agreements, according to which decisions are made through the unanimous consent of all parties that share control.

For further information, please refer to section 7.6 "Key considerations and assumptions to determine the existence of joint control or significant influence" in Part B – "Assets" of these Notes to the financial statements.

**b) recognition criteria**

Initial recognition of financial assets classified in this category occurs on the settlement date, for a total value equal to the cost, including any goodwill paid at the time of acquisition, which is therefore not subject to independent and separate recognition.

c) measurement criteria and revenue recognition criteria

Equity investments recognised in this category are valued using the equity method. This method envisages that the initial book value is subsequently increased or decreased to reflect the Group's share of the total profits and losses of the investee realised after the acquisition date as an offsetting entry to the income statement item "250 - Gains (losses) on investments". If it becomes necessary to recognise impairment deriving from changes in the investee's net equity that the investee has not recognised in the income statement (e.g., changes from the fair value measurement of financial assets measured at fair value through other comprehensive income and from the measurement of actuarial gains/losses on defined benefit plans), the portion of these changes attributable to the Group is recognised directly in the equity item "120 - Valuation reserves".

In applying the equity method, the most recent available financial statements of the associate/jointly controlled company are used, appropriately adjusted to reflect any significant events or transactions that took place between the date of these financial statements and the reporting date of the consolidated financial statements. If the investee uses accounting standards that differ from those applied by the Group, the investee's financial statements are modified.

After applying the equity method, the equity investment is subject to an impairment test if there is objective evidence of a loss in value that could affect the investee's cash flows and therefore the recoverability of the investment's carrying amount.

If evidence of impairment indicates that there may have been a loss in value of an equity investment, then the recoverable value of the investment (which is the higher of the fair value, less costs to sell, and the value in use) should be estimated. The value in use is the present value of the future cash flows expected to be derived from the investment, including those arising from its final disposal. Should the recoverable value be less than its book value, including any goodwill, the difference is recognised immediately in the income statement under item "250 - Gains (losses) on investments". Should the reasons for impairment no longer apply as a result of an event occurring after the impairment was recognised, reversals of impairment losses are charged to the same item in the income statement, up to the amount of the previously recognised impairment.

For more detailed information, please refer to the paragraph "Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on investments".

The dividends from these equity investments are recognised in the Parent Company's income statement, regardless of whether it was generated by the investee before or after the acquisition date. In the consolidated financial statements, these dividends are shown as a reduction in the book value of the investee. If, after dividend recognition, the investee's book value in the separate financial statements exceeds the book value in the consolidated financial statements of the investee's net assets, including goodwill, or if the dividend payout exceeds the investee's total profit, then the Group will determine the investment's recoverable value to assess whether it has suffered impairment.

The result of the disposal of investments measured according to the equity method is recognised in the income statement under item "250 - Gains (losses) on investments", while the result of the disposal of investments other than those measured at equity is recognised in the income statement under item "280 - Gains (losses) on disposals of investments".

d) derecognition criteria

Equity investments are derecognised upon maturity of the contractual rights on the cash flows resulting from the assets or when all related risks/rewards associated to them are transferred. If there is a situation that results in loss of significant influence or joint control, any residual equity investment is reclassified in the IFRS 9 financial asset portfolios.



6 Property, plant and equipment

a) classification criteria

Fixed assets include land, operating properties, investment properties, systems, furnishings and fixtures, equipment of any type and artworks.

Operating properties are properties owned by the Group and used in the production or supply of services or for administrative purposes (classified as “Property, plant and equipment used in the business” and recognised in accordance with IAS 16), whereas investment properties are those owned by the Group for the purpose of collecting rents and/or held for appreciation of capital invested (classified as “Property, plant and equipment held for investment” and follow the rules set forth in IAS 40).

The item also includes property, plant and equipment classified according to IAS 2 “Inventories”, mainly relating to assets acquired for the purposes of enhancing the value of the investment, including through restructuring or redevelopment works, with the explicit intention of selling them in the immediate future, as part of the normal course of business, including assets deriving from the enforcement of guarantees received or from auction purchases.

Property, plant and equipment includes those assets associated with finance lease contracts that were returned to the company, as lessor, following contract termination and the simultaneous closure of the original credit position.

This category also includes property, plant and equipment obtained through the enforcement of guarantees received and rights of use acquired through leases, both financial and operational, relating to property, plant and equipment that the Group uses as a lessee for business purposes or for investment purposes. Improvements and incremental expenses incurred in relation to third-party assets when they refer to identifiable and separable property (e.g. ATMs) fall under the scope of third-party assets.

b) recognition criteria

Property, plant and equipment are originally recognised at cost, which includes the purchase price and any additional charges directly attributable to the purchase and installation of the assets.

Non-recurring expenditures for maintenance which involve an increase in future economic rewards are booked as an increase in the value of the assets, while expenses for ordinary maintenance are booked to the income statement.

For assets returned following the closure of the original credit position (known as “acceptance in return”), the value recognised is the lower of the gross credit value recorded at the time the asset is returned and:

- the “market value” resulting from a specific appraisal, if it is not expected that they will be classified as “non-current assets held for sale and discontinued operations” over a short-term horizon;
- the “rapid realisation value” inferred from a specific appraisal, which adjusted the “market value” for a sale in an exceedingly short period of time, if at the resolution date it is known that it will later be categorised under “non-current assets held for sale and discontinued operations”;
- the price being negotiated, if at the time of initial recognition there are tangible sale negotiations, demonstrated by commitments made by the parties involved in the negotiation.

As regards real estate, components relating to land and buildings are separate assets for accounting purposes and are measured separately upon acquisition by applying the components approach. The breakdown of the value of the land and the value of the building is based on the appraisals of independent experts.

Right of use (RoU) assets acquired through leasing are recognised in financial statements on the contract’s start date, that is, on the date on which the asset is made available to the lessee, and is initially valued at cost. This cost includes:

- the initial measurement of the lease liability, net of VAT;
- any lease payments made by the start date, net of any lease incentives;
- any initial direct costs incurred, understood as incremental costs incurred to obtain the lease that would not have otherwise been incurred (e.g., brokerage commissions and success fees);
- estimated costs of refurbishment and dismantling, in cases where the contract provides for them.



In connection with the right of use asset, the lessee recognises a liability for the lease under item “10 - Financial assets measured at amortised cost” corresponding to the present value of payments due for the lease. The discount rate used is the implicit interest rate, if it can be determined; otherwise, the lessee’s marginal borrowing rate is used.

When there is no implicit interest rate in the contract, MPS Group uses, as the discount rate, the maturity curve aligned to the individual lease agreements, consisting of the 6M Euribor base rate and the blended funding spread, the latter equal to the weighted average of the funding curves for unsecured senior bonds and for protected and privileged deposits.

If a lease contract contains “non-leasing components” (e.g., services rendered, such as ordinary maintenance, to be recognised according to the provisions of IFRS 15), the lessee must account separately for “leasing components” and “non-leasing components” and divide the contract’s payments between the various components based on their relative stand-alone prices.

The lessee may opt to recognise the payments due for the lease directly as a charge in the income statement, on a straight-line basis over the life of the lease contract or according to another systematic method that represents the manner in which the economic benefits are used in the case of:

- short-term leases (equal to or less than 12 months) that do not include an option for the lessee to purchase the leased asset;
- leases in which the underlying asset is of modest value.

MPS Group has chosen to recognise the cost in the income statement on a straight-line basis over the life of the lease contract.

c) measurement criteria and revenue recognition criteria

Property, plant and equipment, including non-operating real estate and with the exception of those to which IAS 2 applies, are valued at cost less any accumulated depreciation and impairment.

Property, plant and equipment, both owned and acquired through rights of use, are systematically depreciated over their useful life on a straight-line basis, except for land and artworks which have an indefinite useful life and cannot be depreciated. The useful life of property, plant and equipment subject to depreciation is periodically reviewed and, in the event of any adjustments to the initial estimate, a change is also made in the related depreciation rate. For the assets underlying the lease, the useful life must be determined taking into account the possible transfer of ownership of the asset to the lessee at the end of the lease. If it is considered likely that the lessee will exercise the option to purchase the asset, which is then reflected in the RoU value, the relevant useful life is that of the underlying asset at the contract’s start date. Otherwise, the useful life is determined as the lower of the asset’s useful life and the lease term. The depreciation rates and subsequent useful life expected for the main categories of assets are reported in the specific sections of the notes to the financial statements.

The presence of any signs of impairment, or indications that assets might have lost value, shall be tested at the end of each reporting period. Should there be indications of impairment of value, both for properties that are owned and those that are leased, a comparison is made between the book value of the asset and the asset’s recoverable value, i.e. the higher of the fair value, less any costs to sell, and the relevant value in use, which is the present value of the future cash flows generated by the asset. Any adjustments are posted to the income statement under item 210 “Net value adjustments to (recoveries on) property, plant and equipment”. Periodic depreciation is also reported in this item.

Where the reasons for impairment cease to exist, a reversal is made, which shall not exceed the value that would have been determined (net of depreciation or amortisation) had no impairment loss been recognised for the asset in prior periods.

Furthermore, during the lease contract term, the book value of the right of use must be adjusted in cases where the lease liability is re-calculated, such as, for example, change in the lease term or the valuation of an option to purchase the underlying asset, in light of new circumstances.

Property, plant and equipment falling under IAS 2 are valued in the same way as inventories and, therefore, at the lower of the cost at initial recognition and the net realisable value, represented by the estimated sale price less the presumed costs for completion and the other costs necessary to make the sale. Any losses in value are posted to the income statement under item “210 - Net value adjustments to (recoveries on) property, plant and equipment”. Periodic depreciation is not applied in this case.



d) derecognition criteria

Property, plant and equipment are derecognised from the balance sheet upon their disposal or when the assets are permanently withdrawn from use and no future economic rewards are expected as a result of their disposal. Any gains and losses deriving from the disposal or sale of property, plant and equipment are calculated as the difference between the net sale price and the book value of the asset and are recognised in the income statement under item “280 - Gains (losses) on disposals of investments”.

The right of use assets, accounted for according to IFRS 16, are derecognised at the end of the lease term.

7 Intangible assets

a) classification criteria

Intangible assets are identifiable, non-monetary assets without physical substance that are held for use over several years or indefinitely. Intangible assets also include goodwill, which represents the positive difference between the purchase cost and the fair value of the assets and liabilities pertaining to an acquired company.

b) recognition criteria

They are recognised at cost, adjusted by any additional charges only if it is probable that the future economic rewards that are attributable to the asset will flow to the entity and if the cost of the asset can be measured reliably. The cost of intangible assets is otherwise posted to the income statement in the reporting period it was incurred.

Relevant intangible assets for the Group include:

- technology-related intangible assets including software licenses, internal capitalised costs, projects and licenses under development; in particular, internally incurred costs for software project development are intangibles recognised as assets if, and only if: a) the cost for development can be measured reliably, b) the entity intends and is financially and technically able to complete the intangible asset and either use it or sell it, c) the entity is able to demonstrate that the asset will generate future economic rewards. Capitalised costs for software development only include the expenses that are directly attributable to the development process;
- customer relationship intangible assets, represented by the value of assets under management/custody and core deposits in the event of business combinations.

Goodwill is posted among assets when it results from a business combination transaction in accordance with the principles of determination indicated by IFRS 3, as a residual surplus between the overall cost incurred for the business combination and the net fair value of the assets and liabilities purchased (i.e. companies or business units).

Should the cost incurred be less than the fair value of the assets and liabilities acquired, the difference (badwill) is directly recognised in the income statement.

c) measurement criteria and revenue recognition criteria

The cost of an intangible asset with definite useful life is amortised on a straight-line basis over the useful life. Instead, intangible assets with indefinite useful life are not amortised but the book value is periodically assessed for impairment. Intangible assets arising from internally developed software and software purchased from third parties are amortised on a straight-line basis starting from completion and roll-out of the applications based on their useful life. Intangible assets reflective of customer relationships, which are taken over during business combinations, are amortised on a straight-line basis.

At each annual and interim reporting date, the recoverable amount of the assets is estimated where there is evidence of impairment. The amount of the loss recognised in the income statement is equal to the difference between the book value and the recoverable amount of the assets.

The goodwill recognised is not subject to amortisation, but its book value is tested annually (or more frequently) when there are signs of impairment. To this end, the cash flow generating units to which goodwill is attributable are identified. These units represent the lowest level at which goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8.

The amount of the impairment loss is determined by the difference between the book value of goodwill and its recoverable amount, if lower. Said recoverable amount is the higher of the cash generating unit's fair value, less



costs to sell, and its value in use. Value in use is the present value of future cash flows expected to arise from the years of operation of the cash generating unit and its disposal at the end of its useful life. The resulting value adjustments are posted to the income statement under item “220 - Net value adjustments to (recoveries on) intangible assets”. Periodic amortisation is reported in the same item. An impairment loss recognised for goodwill shall not be reversed in a subsequent period.

d) derecognition criteria

Intangible assets are derecognised from the balance sheet upon disposal and when no future economic rewards are expected.

8 Non-current assets held for sale and discontinued operations

a) classification criteria

Non-current assets/liabilities and groups of assets/liabilities for which the book value will presumably be recovered through sale rather than continuous use are classified in assets under item “120 - Liabilities associated with non-current assets held for sale and discontinued operations” and in liabilities under item “70 - Liabilities associated with individual assets held for sale”.

To be classified in these items, the assets or liabilities (or discontinued operation) must be immediately available for sale and there must be active and tangible programs such as to suggest that their disposal is highly probable within one year of the date of classification in this category.

b) measurement criteria and revenue recognition criteria

Following initial recognition, non-current assets held for sale and discontinued operations, with the relative liabilities, are valued at the lower of the book value and the fair value net of costs to sell, with the exception of certain types of assets, such as, for example, all financial instruments falling under the scope of IFRS 9 - for which IFRS 5 specifically envisages that the measurement criterion of the reference accounting standard must be applied.

Amortisation/depreciation is discontinued at the date the non-current asset is classified as a non-current asset held for sale.

The valuation reserves relating to non-current assets held for sale, recorded as an offsetting entry to changes in value relevant for that purpose, are recognised in the statement of comprehensive income.

Income and costs relating to groups of assets and liabilities held for sale, net of the tax effect, if attributable to operating assets sold, are recognised in income statement item “320 - Profit (loss) after tax from assets held for sale and discontinued operations”. Profit and loss associated with individual assets held for sale are recognised in the most appropriate income statement item.

In the case of discontinued operations, it is also necessary to disclose the same economic information in a separate item also for the previous years shown in the financial statements, thereby reclassifying the income statement accounts.

c) derecognition criteria

Non-current assets held for sale and discontinued operations are derecognised from the balance sheet upon disposal.

9 Current and deferred tax

a) recognition criteria

The effects of current and deferred taxation calculated in compliance with Italian tax laws are recognised on an accrual basis, in accordance with the measurement methods of the income and expenses which generated them, by administering the applicable tax rates.

Income taxes are posted to the income statement, excluding those relating to items directly credited or charged to equity.

Income tax provisions are determined on the basis of a prudential forecast of current tax expense, deferred tax assets and liabilities.



Current tax includes the net balance of current tax liabilities for the year and current tax assets with the Financial Administration, comprising tax advances, tax credit arising from prior tax returns and other withholding tax receivables. In addition, current tax includes tax credit for which reimbursement has been requested from the relevant tax authorities. Tax receivables transferred as a guarantee of own debts shall also be recorded within this scope.

Deferred tax assets and liabilities are determined on the basis of the temporary differences – with no time limits – between the value assigned to the assets or liabilities in accordance with statutory principles and the corresponding values for tax purposes, applying the balance sheet liability method.

Deferred tax assets determined on the basis of deductible temporary differences are shown in the balance sheet for the extent to which they are likely to be recovered on the basis of the capacity of the company involved or all of the participating companies – as a result of exercising the option concerning “fiscal consolidation” – to generate a positive taxable profit on an ongoing basis, in light of a probability test.

Recovery of deferred tax assets relating to goodwill, other intangible assets, and write-downs on loans (known as “transformable DTAs”) is to be automatically considered probable because of existing regulations that provide for conversion into tax credits, if a statutory and/or tax loss is incurred.

In particular, art. 2 - paragraphs 55 et seq. - of Law Decree no. 225 of 29 December 2010 (and subsequent amendments) provides that:

- if the financial statements filed by the company show a statutory loss for the year, deferred tax assets (IRES and IRAP) relating to goodwill, other intangible assets, and loan write-downs will be converted into tax credits for a portion equivalent to the ratio between the statutory loss and the book value of shareholders' equity prior to said loss. The conversion into tax credits becomes effective from the date when the ‘loss-incurring’ separate financial statements are approved by the Shareholders' Meeting;
- if there is a tax loss for the year (that is, for IRAP purposes, a negative production value), the deferred tax asset relating to the deductions for goodwill, other intangible assets, and loan write-downs, which contributed to the formation of the tax loss (i.e., the negative production value) is transformed into a tax credit. Conversion will be effective as of the date of submission of the tax return for the year in which the loss is incurred.

As a result of the provisions contained in Law Decree no. 83 of 27 June 2015, the DTAs that can be converted ceased to increase starting from 2016. In particular:

1. for deferred tax assets relating to goodwill, other intangible assets newly recognised in financial statements from 2016 onwards are excluded from the regulations pursuant to art. 2 - paragraphs 55 et seq. - of Law Decree 225/2010;
2. for deferred tax assets relating to loan write-downs, from 2016 onwards, the accounting assumption for recognition in financial statements has ceased and these write-downs are entirely deductible in the accounting period. Note that the 2019 financial manoeuvre (Law no. 145 of 30 December 2018) repealed the full deductibility of loan write-downs upon first-time application of IFRS 9, exclusively following the adoption of the model for recognising the provision to cover expected losses (ECL), providing for the deductibility (IRES and IRAP) of these write-downs on a straight-line basis over 10 years. It was, however, explicitly stated that the relative DTAs recorded in financial statements as a result, although referring to write-downs on loans to customers, cannot be converted into tax credits pursuant to Law Decree 225/2010. It should also be noted that the portion referring to 31 December 2019 was deferred to 31 December 2028, as a result of the 2020 Budget Law (Law 160 of 27 December 2019).

Furthermore, note that MPS Group exercised the irrevocable option provided in Law Decree no. 59 of 3 May 2016 (and subsequent amendments) to maintain the right to convert DTAs relative to goodwill, other intangible assets, and loan losses into tax credits; thus, it is necessary to pay an annual fee for each year from 2016 onwards, if the conditions apply, until 2030.

Deferred tax assets on unused tax losses are recognised based on the same criteria as those used to recognise deferred tax assets on deductible temporary differences: therefore, they are shown in the balance sheet to the extent to which they are likely to be recovered on the basis of the capacity of the company to generate a positive taxable profit in the future. Since the existence of unused tax losses may be symptomatic of difficulties to generate positive taxable profit in the future, IAS 12 establishes that if losses have been posted in recent periods, suitable evidence must be provided to support the existence of such profit in the future. Furthermore, current Italian tax law allows for IRES losses to be carried forward indefinitely (art. 84, paragraph 1, of the Income Tax



Act – TUIR); as a result, verifying the existence of future taxable profit against which to use such losses is not subject to any time limits.

As mentioned above, the Group verifies the probability that there will be future taxable income (probability test) using the risk-adjusted approach, which provides for the application of a discount factor to future income. This factor, applied with the compound interest criterion, discounts future income at an increasing rate to reflect its uncertainty. For more details on the assessments made by the Group to verify the possibility of recognising deferred tax assets, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for recognising deferred tax assets (probability test)”.

Deferred tax assets and liabilities are calculated using the tax rates expected at the date on which the temporary differences are reversed, on the basis of the provisions in force at the reporting date. In particular, for purposes of recognising deferred tax assets, it was taken into account that the 2020 Budget Law (Law 160 of 27 December 2019) reintroduced the ACE (Support for Economic Growth) subsidy, effective from 2019, which had previously been repealed by the 2019 Budget Law (Law 145 of 30 December 2018). Any changes in tax rates or tax standards having a significant effect on deferred tax assets and liabilities that are issued or announced after the reporting date and before the publication authorisation date are treated as events after the balance sheet date that do not entail an adjustment pursuant to IAS 10, with the resulting disclosure in the notes.

Deferred tax assets and liabilities are posted to the balance sheet by offsetting each tax against the defined asset or liability to which it relates.

b) classification and measurement criteria

Deferred tax assets and liabilities are systematically measured to take account of any changes in regulations or tax rates and of any different subjective situations of Group companies.

With reference to fiscal consolidation of the Parent Company and participating subsidiaries, contracts have been stipulated to regulate offsetting flows in relation to the transfers of tax profits and losses. Such flows are determined by administering the applicable IRES tax rate to the taxable income of participating companies. The offsetting flow for companies that transfer tax losses – calculated as above – is posted by the consolidating to the consolidated company when and to the extent to which the consolidated company will transfer positive taxable income in tax periods subsequent to that in which the loss was recorded. Offsetting flows so determined are posted as receivables and payables with companies participating in fiscal consolidation, classified under other assets and other liabilities, offsetting item “290 - Tax expense (recovery) on income from continuing operations”.

c) revenue recognition criteria

Where deferred tax assets and liabilities refer to components which affected the income statement, they are offset by income tax. When deferred tax assets and liabilities refer to transactions which directly affected equity without impacting the income statement (e.g. measurement of financial instruments at fair value through other comprehensive income or cash flow hedging derivatives), they are posted as an offsetting entry to shareholders' equity, involving the special reserves if required.

10 Provisions for risks and charges

Provisions for risks and charges: commitments and guarantees given

The sub-item in question includes provisions for credit risk on commitments to disburse funds and guarantees given that fall under the scope of application of the impairment rules pursuant to IFRS 9, consistent with the provisions for “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income”. For more detailed information on the impairment model, please refer to the subsequent paragraph “Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments”.

In addition, the sub-item also includes provisions for risks and charges established for other types of commitments and guarantees given which, by virtue of their distinct characteristics, do not fall under the scope of application of the impairment rules pursuant to IFRS 9.

Provisions for risks and charges: post-employment benefits

The sub-item “Provision for risks and charges: b) post-employment benefits” includes appropriations, recognised based on IAS 19 “Employee Benefits”, for the purpose of closing the technical deficit of defined benefit supplementary pension funds. Pension plans are either defined benefit or defined contribution schemes. The charges borne by the employer for defined contribution schemes are pre-determined; charges for defined benefit



plans are estimated and shall take account of any shortfall in contributions or poor investment performance of defined benefit plan assets. For defined benefit plans, the actuarial values required by the application of the above standard are determined by an external actuary in accordance with the Projected Unit Credit Method. Actuarial gains and losses, defined as the difference between the book value of the liability and the present value of commitments at the end of the year, are recognised for the full amount in the statement of comprehensive income, under the item “Valuation reserves”.

For further details, please refer to the following paragraph “16 - Other information - Severance pay and other employee benefits”.

Provisions for risks and charges: other provisions

The sub-item “Provisions for risks and charges: c) other provisions” includes allocations made for estimated expenditures for legal or implicit obligations deriving from past events. These expenditures may be contractual in nature, such as the allocations for the incentive system for employees and leaving incentives, indemnities envisaged in contractual clauses upon occurrence of certain events, or for compensation and/or restitution, such as those against presumed losses for actions filed against the Bank, including claw-back actions, estimated expenses in relation to customer claims for securities brokerage, and tax disputes.

Sub-item c) also includes provisions established for lease contracts, stipulated as lessee, which require the dismantling/refurbishment of the underlying assets at the end of the contract.

Provisions for risks and charges consist of liabilities with uncertain amounts or payment dates and are recognised in the financial statements if:

- there is a current (legal or implicit) obligation resulting from a past event;
- an outflow of resources producing economic rewards is likely to be necessary in order to settle the obligation; and
- a reliable estimate can be made of the likely future disbursement.

The amount recognised as a provision represents the best estimate of the financial disbursement necessary to fulfil the obligation existing at the reporting date and reflects the risks and uncertainties inherent in the events and situations reviewed. Whenever the time element is meaningful, the provisions are discounted using the current market rates. With the exception of provisions associated with lease contracts, the allocation and discounting effect are recorded in the income statement under item “200 - Net provisions for risks and charges”, as is the increase in the provision due to the passage of time. Provisions are reviewed at each reporting date and adjusted to reflect the best current estimate. When an outflow of resources, intended to produce economic benefits in fulfilment of an obligation, becomes unlikely or when the obligation has lapsed, the provision is reversed.

The provisions for lease contracts stipulated as lessee are established considering the best estimate of the costs to dismantle and refurbish the premises made on the contract start date, i.e. as at the date on which the underlying asset is made available to the Group. The offsetting entry for the provision is the asset recognised for the right of use of the property in item “90 - Property, plant and equipment”.

In addition, each provision is used solely for the expenditures for which it was originally established.

No provision is shown for contingent and unlikely liabilities, but information is provided in the notes to the financial statements, except in cases where the probability of an outflow of resources to settle the amount is remote or the amount is not significant.

11 Financial liabilities measured at amortised cost

a) classification criteria

Item 10 “Financial liabilities measured at amortised cost” includes the sub-items “a) deposits from banks”, “b) deposits from customers”, and “c) debt securities issued” and comprises the various types of funding (both interbank and from customers) and funds raised through certificates of deposit and outstanding bonds, net of any repurchase. Debt securities issued include all securities that are not subject to “natural” hedging through derivatives and that are classified as liabilities measured at fair value.

This item also incorporates payables booked by the lessee in relation to any stipulated finance and operating lease transactions, as well as repurchase agreements for funding and securities lent against cash guarantees that are fully



available to the lender. Finally, operating payables related to the provision of financial services, as defined in the Consolidated Law on Banking and Consolidated Law on Finance, are included in this item.

b) recognition criteria

These financial liabilities are initially recognised upon receipt of the amounts collected or at the time of issuance of debt securities based on their fair value, which is generally equal to the amount received or the issue price, increased by any additional income/expense directly attributable to the individual funding or issuing transaction and not reimbursed by the creditors. Internal administrative expenses are excluded.

Repurchase agreement transactions with the obligation to repurchase are posted as funding transactions for the spot amounts collected.

Should the requirements provided for by IFRS 9 for the separate recognition of embedded derivatives be met in the case of structured instruments, they are separated from the host contract and reported at fair value as a trading asset or liability. Instead, the host contract is recognised at amortised cost.

Lease liabilities recognised in relation to the lessor are measured at the present value of future lease payments for the duration of the lease. The lease term is determined taking into consideration:

- periods covered by an option to extend the lease, if it is reasonably certain that the option will be exercised;
- periods covered by an option to terminate the lease, if it is reasonably certain that the option will be exercised.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities issued, net of any reimbursements and/or repurchases, are measured at amortised cost using the effective interest rate method. Short-term liabilities for which time effect is immaterial are an exception, and are recognised at the amount collected. Interest is charged to the income statement under item 20 "Interest expense and similar charges".

Following the commencement date, the book value of lease liabilities:

- increases for accrued interest expense, charged to the income statement under item "20 - Interest expense and similar charges";
- decreases for lease instalment payments;
- is recalculated to take into account any new valuations (e.g., extension or reduction of the contract term) or changes in the lease (e.g., renegotiation of the lease payment) that occurred after the commencement date.

Moreover, funding instruments that have an effective hedging relationship are assessed based on the rules for hedging transactions.

d) derecognition criteria

Financial liabilities are derecognised upon maturity or extinction. Derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of the liabilities and the amount paid to repurchase them is recorded in the income statement in item "100 - Gains (losses) on disposals or repurchases". A new placement in the market of own securities after their repurchase is considered as a new issue and posted at the new price of placement, with no impact on the income statement.

12 Financial liabilities held for trading

a) classification criteria

This item includes:

- financial liabilities issued with the intention to repurchase them in the short term;
- liabilities that are part of a jointly managed portfolio of financial instruments for which there is a proven strategy to obtain profits in the short term;
- derivative contracts with a negative fair value not designated as hedging instruments, including both those embedded in complex financial instruments that have been unbundled from liabilities measured at amortised cost, as well as those related to assets/liabilities measured at fair value through profit and loss.

Moreover, liabilities that arise from technical overdrafts generated by securities trading activities are included.



b) recognition criteria

Financial liabilities held for trading are initially recognised on the settlement date for cash liabilities and on the subscription date for derivative contracts.

Upon initial recognition, they are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

c) measurement criteria

Following initial recognition, financial liabilities held for trading are measured at fair value, every change in fair value is recognised in the income statement.

For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the financial statements.

d) revenue recognition criteria

Profits and losses arising from any changes in the fair value of financial liabilities and/or their sale are recognised in the income statement under item “80 - Net profit/loss from trading”, including those for derivatives payable associated with the fair value option.

e) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all related risks and benefits.

13 Financial liabilities measured at fair value

a) classification criteria

This category includes financial liabilities for which, upon initial recognition, the option of measurement at fair value through profit and loss was chosen; this option is allowed when:

1. the fair value designation makes it possible to eliminate or significantly reduce a lack of standardisation in the measurement or recognition that would otherwise result from the valuation of assets or liabilities or the recognition of the related profits and losses on different bases (known as “accounting mismatch”); or
2. the management and/or measurement of a group of financial instruments at fair value through profit and loss is consistent with an investment or risk management strategy documented as such by senior management; or
3. a host instrument embeds a derivative which significantly modifies the cash flows of the host and should otherwise be unbundled.

The option to designate a liability at fair value is irrevocable, is carried out on an individual financial instrument, and does not require the same application to all instruments having similar characteristics. It is not permitted to use the fair value designation for only one portion of a financial instrument, attributable to a single risk component to which the instrument is subject.

The Parent Company has exercised this option in relation to case 1, classifying under this item financial liabilities that are subject to “natural hedging” through derivative instruments.

In Section 16 “Other information”, a specific paragraph is included to provide insight into the hedging management methods through the adoption of the fair value option.

b) recognition criteria

Upon initial recognition, these financial liabilities are measured at fair value, which usually corresponds to the amount collected net of any transaction costs or income directly attributable to the instrument itself, which are directly posted to the income statement.

The fair value of any financial liabilities issued at conditions other than market conditions is calculated by using a specific valuation technique, and the difference with respect to the consideration received is booked directly to the income statement only when the conditions provided for by IFRS 9 have been met, i.e. when the fair value of the instrument issued can be established by using either quoted market prices for similar instruments or by a valuation technique based solely on market data. Should these conditions not apply, the fair value used for



valuations after the issuance of instruments is cleared of the initial difference between the fair value upon issuance and the consideration received. This difference is recognised in the income statement only if it ensues from changes in the factors (including time), which market traders would consider for price determination.

c) measurement criteria and revenue recognition criteria

Following initial recognition, financial liabilities are measured at fair value. Gains and losses arising from any changes in the fair value of these liabilities are recognised:

- in item “120 - Valuation reserves”, for the portion related to the change in fair value that is attributable to changes in the issuer’s creditworthiness, unless this creates or increases an accounting mismatch in the profit (loss) for the year, in which case the entire change in fair value of the liability must be charged to the income statement; Effects associated with the change in own creditworthiness are recorded in the statement of comprehensive income, net of the related tax effect, along with the other income components that will not be reversed to the income statement. The amount charged to the specific equity reserve will never be reversed to the income statement, even if the liability expires or lapses; in this case, the cumulative gain (loss) in the specific valuation reserve must be reclassified to another shareholders’ equity item (“150 - Reserves”);
- in the income statement under item “110 - Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss”, for the portion of the fair value change not attributable to changes in own creditworthiness.

For a description of criteria used to determine the fair value of financial instruments, please see Section “A.4.5 Fair Value Hierarchy” in Part A of these Notes to the financial statements.

e) derecognition criteria

Financial liabilities are derecognised when the contractual rights on the related cash flows expire or when the financial liabilities are sold with the substantial transfer of all risks and benefits resulting from the ownership.

For financial liabilities represented by securities issued, derecognition also occurs if previously issued securities have been repurchased. The difference between the book value of liabilities and the amount paid to purchase them is recorded in the income statement under item “110 - Net profit/loss from financial assets and liabilities measured at fair value through profit and loss”, with the exception of profits/losses associated with the change in own creditworthiness, which continues to be recognised in an equity reserve, as described above. A new placement in the market of own securities after their repurchase is considered for accounting purposes as a new issue and posted at the new price of placement, with no impact on the income statement.

14 Foreign-currency transactions

a) recognition criteria

Upon initial recognition, foreign-currency transactions are recognised in the currency of account using the foreign-exchange rates on the date of the transaction.

b) revenue classification, measurement, recognition and derecognition criteria

Financial statement entries denominated in foreign currencies are valued at the end of each reporting period as follows:

- monetary entries are converted using the exchange rate on the closing date;
- non-monetary entries valued at historical cost are converted using the exchange rate on the date of the transaction;
- non-monetary entries that are measured at fair value in a foreign currency are translated at the closing date rate.

Any exchange-rate differences resulting from the settlement of monetary elements, or from the conversion of monetary elements at rates other than those used for initial conversion or conversion in the previous financial statements, are posted to the income statement for the period in which they arise.

When a profit or a loss on a non-monetary element is recognised in equity, the exchange-rate difference in relation to said element is also posted to equity. However, when a profit or a loss is posted to the income statement, the relative exchange-rate difference is also posted there.

The accounting position of foreign branches with different operating currencies is converted into Euros by using the exchange rates at the end of the reporting period. Any exchange rate differences attributable to investments



in such foreign branches, and those resulting from the conversion into Euros of their accounting position, are recognised in equity reserves and transferred to the income statement only in the year when the investment is disposed of or reduced.

15 Insurance assets and liabilities

The scope of consolidation does not include any insurance companies.

16 Other information

Other financial statement items

Cash and cash equivalents

This item includes currencies that are legal tender, including foreign banknotes and coins and demand deposits with the central bank of the country or countries in which the Group operates through its own companies or branches, with the exception of the mandatory reserve.

The item is posted at face value. For foreign currencies, the face value is converted into Euros at year-end exchange rate.

Change in value of macro-hedged financial assets and liabilities

These items show, respectively, the net amount, whether positive or negative, of changes in value of assets and liabilities macro-hedged against interest rate risk, pursuant to IAS 39, paragraph 89. For more detailed information, please refer to the discussion in paragraph 4 “Hedging transactions”.

Other assets

This item shows assets not attributable to the other items on the asset side of the balance sheet. It may include, for example:

- gold, silver, metals and precious stones;
- items in processing;
- accrued income and prepaid expenses not attributable to its own separate item;
- receivables associated with the provision of non-financial goods or services and accrued income other than that which is capitalised on the related financial assets, including those resulting from contracts with customers pursuant to IFRS 15;
- any inventories according to the definition of IAS 2, excluding those classified as inventories of property, plant and equipment;
- tax credits other than those recognised under item “110 - Tax assets”;
- improvements and incremental expenses incurred on third-party real estate other than those attributable to item “90 - Property, plant and equipment” and therefore not independently identifiable and separable.

The costs in the latter bullet point are posted to item “130 - Other assets”, since the user company exercises control of the assets for the purpose of the tenancy agreement and can obtain future economic benefits from them. Said costs are posted to item “230 - Other operating expenses (income)” in the income statement according to the shorter of the period in which the improvements and incremental expenses can be used and the remaining term of the contract, including the renewal period, where applicable.

Other liabilities

This item shows liabilities not attributable to other items on the liability side of the balance sheet.

It includes, for example:

- items in processing;
- payment agreements that must be classified as debit entries according to IFRS 2;
- debit entries connected with payment for provision of non-financial goods and services;



- accrued liabilities other than those to be capitalised for the respective financial liabilities, including those deriving from contracts with customers pursuant to IFRS 15;
- sundry tax liabilities other than those recognised under item “60 - Tax liabilities”, associated, for example, with substitute tax assets.

Severance pay and other employee benefits

Employee severance pay is defined as a “benefit subsequent to the employment relationship”, in accordance with IAS 19. Following the supplementary pension reform, pursuant to Italian Legislative Decree no. 252 of 5 December 2005, new rules were introduced for severance pay accrued effective 1 January 2007, which is recognised for purposes of the relative accounting treatment. In particular, for companies with an average of at least 50 employees during 2006, the portions of severance pay accrued starting from 1 January 2007 are considered a “defined contribution plan”, both for the case in which the employee opts for supplementary social security, as well as the case in which the employee opts for the allocation to the INPS treasury fund; the charge, recognised under personnel costs, is limited to the contribution established by regulations envisaged by the Italian Civil Code, without applying any actuarial methodology.

Conversely, the severance pay accrued as at 31 December 2006 continues to be considered a “defined benefit plan”. In general, “post-employment plans” - which include severance pay as well as pension funds - are divided into the two categories “defined benefit” or “defined contribution”, based on their characteristics.

In particular, for defined contribution plans, the cost is represented by contributions accrued during the year, given that the company has only the obligation to pay the contractually established contributions to a fund and, consequently, has no legal or implicit obligation to pay, in addition to the contribution, additional amounts if the fund does not have sufficient assets to pay all the benefits to employees.

For defined benefit plans, the actuarial and investment risk, that is, the risk of a shortfall in contributions or poor investment performance of the assets in which the contributions are invested, is borne by the company. The liability is calculated by an external actuary based on the Projected Unit Credit method. Based on this method, future disbursements must be estimated based on demographic and financial assumptions, to be discounted to consider the time that will pass before the actual payment and to be adjusted for the ratio between the years of service accrued and the theoretical seniority estimate at the time the benefit is paid. For discounting purposes, the rate used is determined with reference to the market yield of primary corporate bonds taking into account the average residual duration of the liability, weighted according to the percentage of the amount paid and advanced, for each maturity, compared to the total to be paid and advanced up to the final settlement of the full bond.

The actuarial value of the liability thus calculated must then be adjusted for the fair value of any assets servicing the plan (net liabilities/assets). Actuarial gains and losses that arise as a result of adjustments to the previous actuarial assumptions formulated, following actual historical data or due to changes in the actuarial assumptions, entail a re-measurement of net liabilities and are offset against an equity reserve (item “120 - Valuation reserves”) and are thus presented in the “Statement of comprehensive income”. The change in the liability resulting from a change or reduction in the plan is recorded in the income statement as a profit or loss. More precisely, the specific case of a change applies if a new plan is introduced or an existing plan is withdrawn or modified. Instead, there is the case of a reduction due to a significant negative variation in the number of employees included in the plan, such as, for example, redundancy plans for redundant workers (access to the Solidarity Fund).

The Projected Unit Credit method, described above, is also used to measure long-term benefits, such as seniority bonuses for employees. Contrary to that which was described for defined benefit plans, actuarial gains and losses associated with the measurement of long-term benefits are immediately recognised in the income statement.

Valuation reserves

This item includes valuation reserves relating to the equity securities measured at fair value through other comprehensive income, financial assets (other than equity securities) measured at fair value through other comprehensive income, hedges on foreign investments, cash flow hedges, exchange rate differences for conversion, “individual assets” and groups of assets held for sale, the portion of valuation reserves for investments measured according to the equity method, actuarial gains (losses) on defined benefit plans, and profits/losses for changes in own creditworthiness in relation to liabilities under the fair value option.

Share capital and Treasury shares

This equity item includes the amount of issued shares net of any capital subscribed but not yet paid at the reporting date. The item is shown including any treasury shares held by the Group. Treasury shares are recognised in financial statements as a negative component of shareholders’ equity.



The original cost of repurchased treasury shares and the profits or losses from their subsequent sale are recognised as changes in shareholders' equity. Transaction costs for a capital transaction, such as an increase in share capital, are recorded as a reduction in shareholders' equity, net of any related tax benefits. Dividends on ordinary shares are recorded as a reduction of shareholders' equity in the year in which the Shareholders' Meeting approved their distribution.

Non-controlling interests

This item represents the portion of consolidated net equity attributable to minority shareholders, calculated based on the "equity ratios". The amount is calculated net of any treasury shares repurchased by the consolidated companies.

Other significant accounting practices

Revenues from contracts with customers (IFRS 15)

Revenues are gross inflows of economic benefits during the year in the form of consideration for the obligation to transfer to the customer a wide range of goods and services considered part of ordinary business activities.

The IFRS 15 standard, "Revenue from Contracts with Customers", introduces a new model for recognising revenues deriving from contractual obligations with customers, which is based on the concept of a transfer of control and, thus, not only on the concept of the transfer of risks and benefits.

First of all, revenues deriving from contracts with customers are recorded in financial statements only if the relative contract is identifiable, that is:

- the parties have approved the contract and are committed to its execution;
- the rights and obligations of the parties can be clearly identified in the contract;
- the payment terms for the transferred goods and services can be identified;
- the contract has commercial substance, in the sense that it impacts the entity's cash flows;
- it is considered likely that the consideration will be collected upon transfer of the assets and provision of the services. For this assessment, only the customer's ability and intention to pay the amount due should be considered.

After the contract's consideration has been allocated to individual obligations resulting from the contract, revenue is recognised in the income statement when the customer obtains control of the goods or services promised (or when the performance obligation may be deemed satisfied) and can be:

- at a specific point in time (e.g., when the entity fulfils the obligation to transfer the promised good or service to the customer);
- over a period of time (e.g., as the entity fulfils the obligation to transfer the promised good or service to the customer);

For purposes of determining the revenue, the consideration is defined as the amount the entity is entitled to in exchange for the transfer of goods and services and may include fixed amounts, variable amounts, or both. Specifically, the contract's consideration may vary based on reductions, discounts, reimbursements, incentives, performance bonuses, or other similar elements. The consideration may also vary depending on whether a future event occurs (as in the case of a fee linked to performance objectives).

The methods suggested by IFRS 15 for estimating the variable portion of remuneration are:

- the expected value method, i.e., the weighted sum of the amounts in a range of possible considerations (for example, the company has many contracts with similar characteristics);
- the most likely amount method, or the most likely in a range of possible considerations (for example, the company receives a performance bonus or does not receive it).

If there is an element of variable consideration, revenue is recognised in the income statement only if it is possible to reasonably estimate the revenue and if it is highly probable that this consideration will not be subsequently reversed from the income statement, whether in full or for a significant part. In the event of a high prevalence of factors of uncertainty linked to the nature of the consideration, it will only be recognised at the moment this uncertainty is resolved. In any case, the estimated part of the transaction price must be updated at the end of each reporting period. The presence of financial components is also considered in determining the price, if considered relevant.



In the case of commercial agreements that envisage the recognition of variable non-cash consideration to the entity, linked to the achievement of specific targets and that can be used for services rendered by the commercial partner, the Group recognises these revenues in the income statement in the year in which they accrue, at a value that is not more than the fair value of services effectively rendered by the partner.

If the entity receives from the customer a consideration that provides for the reimbursement to the customer, in whole or in part, of the revenue received, a provision for risks and charges is recognised against the expected future repayments. The case may occur, for example, when the customer has a right of withdrawal for the asset or if the contract includes a claw-back clause. This standard also applies to loyalty programmes, against which a refund liability is recognised. The liability for future redemptions is equal to the amount of the consideration received (or receivable) for which it is expected that the entity is not entitled to (i.e., amounts not included in the transaction price). The liability for future redemptions (as well as the corresponding change in the transaction price and, consequently, the liability arising from the contract) must be updated on the closing date of each reporting period to take account of changes in circumstances.

For contracts for the placement of third-party products, which provide for the reimbursement of part of the commissions received in the event of early termination by the customer and in the presence of claw-back clauses linked to the failure to achieve target commission volumes, the Group quantified this provision for risk and charges based on historical trends for early repayments and reimbursements to customers. The monitoring and forecasting of volumes of the collected and reversed fees enable the provision to be adjusted at each reporting date. The model that is used is based on the most likely amount method.

In addition, the Group has a credit card loyalty programme in place, according to which reward points are granted to customers based on the volumes transacted; reward points are redeemed through prizes purchased mainly from external suppliers. Reward points granted to customers who subscribe to a product/service of the Group entails that recognition of the portion of revenue attributable to the recognised reward points in the income statement is suspended, as an offsetting entry to other liabilities. For this purpose, the transaction price of the performance obligation associated with the reward points granted is estimated, using a model based on the fair value of the reward points, calculated using several factors including: redemption forecasts for the reward points accrued by customers and the cost related to reward purchases. The amount of consideration that can be allocated to the reward points is recognised as a refund liability; it is released to the income statement only when the obligations related to the reward points have been fulfilled, i.e., when they are effectively redeemed by the customer.

Lastly, the incremental costs for obtaining the contract that are expected to be recovered and the costs for fulfilling the contract are capitalised when these costs can be directly attributed to the contract, can generate resources that can be used to fulfil future contractual performance obligations, and be considered recoverable. This recognised asset is systematically amortised in accordance with the transfer to the customer of the good or service to which the asset refers and, therefore, in accordance with the accounting of the corresponding revenues. The Group does not have assets of this type.

Revenues and costs relating to financial instruments

With reference to the income and charges relating to financial assets/liabilities, note that:

- a) interest is booked *pro-rata temporis* on the basis of contractual interest rate or the effective interest rate in the event of application of the amortised cost; negative income components accrued on financial assets are booked to item “20. Interest expenses and similar charges”; the positive income components accrued on financial liabilities are booked to item “10. Interest income and similar revenues”. Interest income (or interest expense) also includes the spreads or margins, positive (or negative), accrued up to the reporting date, in relation to financial derivative contracts:
 - hedging assets and liabilities that generate interest;
 - classified in the balance sheet in the trading book, but operationally linked to financial assets and/or liabilities measured at fair value (fair value option);
 - connected operationally with assets and liabilities classified in the trading book and which entail the settlement of differentials or margins over several maturities;
- b) interest on arrears is posted to the income statement only upon actual collection;
- c) dividends are shown in the income statement upon resolution of their payout, i.e. when their payment is due;



- d) commissions for service income are posted in the period when said services were rendered, on the basis of existing contractual agreements. The commissions considered in the amortised cost for purposes of calculating the effective interest rate are recorded in interest;
- e) gains and losses following initial recognition at fair value, as determined by the difference between the transaction price and the fair value of the instrument, are booked to the income statement when the transaction is recorded if the fair value can be determined with reference to parameters or recent transactions observable on the same market in which the instrument is traded; otherwise, they are distributed over time, taking into account the duration and the nature of the instrument.
- f) gains and losses from the sale of financial instruments are recognised in the income statement when the sale is finalised, with the relative transfer of risks and benefits, based on the difference between the consideration received and the book value of the instruments themselves. Portfolio management fees are recognised based on the duration of service.

Costs for constant services and decreasing payments

The IFRS accounting standards do not provide specific guidelines on the accounting treatment to be applied for recognising costs related to service contracts that are rendered by the supplier through an indeterminate number of actions, over a given period of time. If there are cases of services rendered by suppliers through a single performance obligation relating to the provision of a specific number of units, such as a certain volume of services, which remain constant throughout the contract term and this single performance obligation is satisfied over time with a decreasing payment amount due by the customer, the Group applies the accounting treatment envisaged by IFRS 15 accounting standard (see Basis for Conclusions 313-314).

In cases of the provision of a constant volume over time of equal services and decreasing payments, the Group assigns an average unit cost to the services received and, consequently, recognises their costs on a straight-line basis. This straight-line mechanism for recognising costs entails the need to recognise a prepaid asset which, at each reporting date pursuant to IAS 36, is assessed to determine if there are impairment indicators which also takes into account the analyses carried out for purposes of onerous contracts, according to criteria of IAS 37. In the event that impairment indicators are identified, the recoverable value of the asset must be calculated and a write-down must be recognised in the financial statements when the recoverable value is lower than the book value.

Share-based payments

These are payments to employees, as consideration for work performed, settled with equity instruments, which consist, for example, in assigning:

- rights to subscribe paid share capital increases (stock options);
- rights to receive shares upon achieving certain objectives or at the end of the employment relationship.

Pursuant to IFRS 2, payments based on treasury shares are classified as “equity-settled” plans, to be recognised based on the fair value of the employment services received.

Given the difficulties of directly estimating the fair value of employment services received as an offsetting entry to the assignment of shares, the value of the services received can be measured indirectly, using as a reference the fair value of equity instruments at the date they are assigned. The fair value of payments settled by issuing shares is recognised according to the criterion of the service provided, in the income statement item “190 - a) Personnel expenses” as an offsetting entry to an increase in the item “150 - Reserves”.

In particular, when the assigned shares cannot immediately be used by the employee, but rather are available only after the employee has completed a specific period of service, the company recognises the cost as consideration for the service rendered throughout the accrual period for these conditions (“vesting period”).

Business combinations

A business combination is defined as the transfer of control of a company (or of a group of assets and integrated goods, conducted and managed as a unit). For the definition of control, please refer to Section 3 “Scope of consolidation” of this part A of the notes.

A business combination may give rise to an investment link between the acquiring Parent Company and the acquired subsidiary. In these cases, the acquiring entity applies IFRS 3 to the consolidated financial statements while posting the acquired interest to its separate financial statements as an equity interest in a subsidiary, consequently applying the “Separate financial statements” accounting standard.



A business combination may also provide for the acquisition of the net assets of another entity, including any goodwill, or the acquisition of the share capital of another entity (e.g., mergers, splits, acquisitions of business units). Such a business combination is not an investment link like the one between a parent company and a subsidiary, and therefore in these cases IFRS 3 is also applied to the acquiring entity's separate financial statements.

Business combinations are accounted for using the purchase method, which requires: (i) the identification of the acquirer; (ii) the determination of the cost of the business combination; and (iii) the allocation of the acquisition price ("Purchase Price Allocation").

Identification of the acquirer

IFRS 3 requires that an acquirer is identified for all business combinations, identified as the party that obtains control over another entity, understood as the power to set financial and management policies of the entity in order to receive benefits from its activities. In the case of business combination transactions that result in the exchange of equity interests, identification of the acquirer must consider factors such as: (i) the number of new ordinary voting shares issued with respect to the total number of ordinary voting shares that will constitute the share capital of the existing company after the combination; (ii) the fair value of the entities participating in the business combination; (iii) the composition of the new corporate bodies; and (iv) the entity that issues the new shares.

Determination of the cost of the business combination

The consideration paid in a business combination is equal to the fair value, on the purchase date, of assets sold, liabilities incurred, and equity instruments issued by the acquirer in exchange for obtaining control of the acquired entity. The consideration that the acquirer transfers in exchange to the acquired entity includes any assets and liabilities resulting from an agreement on "contingent consideration", to be recognised at the fair value on the acquisition date. Changes to the consideration transferred are possible if they result from additional information on events and circumstances that existed at the acquisition date and may be recognised within the measurement period for the business combination (i.e., within twelve months from the acquisition date, as specified below). Any other changes deriving from events or circumstances subsequent to the acquisition, such as consideration recognised to the seller linked to the achievement of a certain profit performance, must be recorded in the income statement.

Costs related to the acquisition, which include brokerage fees, consulting, legal, accounting, and professional fees, as well as general administrative costs, are recorded in the income statement as they are incurred, with the exception of the costs of issuing shares and debt securities, which are recognised on the basis of the provisions of IAS 32 and IFRS 9.

Purchase Price Allocation

According to the purchase method, at the acquisition date, the acquirer must allocate the cost of the business combination ("Purchase Price Allocation") to the identifiable assets acquired and to the liabilities assumed measured at their fair value on that date, as well as recognising the value of non-controlling interests of the acquired entity. Therefore, it is necessary to draw up a balance sheet for the acquired entity, at the acquisition date, measuring at fair value the identifiable assets acquired (including any intangible assets not previously recognised by the acquired entity) and identifiable liabilities assumed (including contingent liabilities).

For each business combination, any non-controlling interests may be recognised at fair value or in proportion to the share of identifiable net assets of the acquired company.

In addition, if control obtained through subsequent acquisitions (business combinations carried out in several phases), the previously held equity interest is measured at fair value at the acquisition date and the difference compared to the previous book value must be charged to the income statement.

Hence, at the acquisition date, the acquirer must determine the difference between:

- the sum of:
 - o the cost of the business combination;
 - o the amount of any non-controlling interests as described above;
 - o the fair value of any equity interests previously held by the acquirer;
- and
- the fair value of identifiable net assets acquired, including contingent liabilities.

Any positive difference must be recognised as goodwill; conversely, any negative difference must be charged to the income statement of the entity resulting from the business combination as profit deriving from the purchase



at favourable prices (negative goodwill or badwill), after having performed a new measurement aimed at ascertaining the correct process of identifying all assets acquired and liabilities assumed.

The fair value of assets and liabilities must be definitively identified within the maximum term of twelve months from the acquisition date (measurement period).

Once control has been obtained and the purchase method described above has been applied, any further increase or decrease in the equity interest in a subsidiary in which control is maintained is recognised as a transaction between shareholders. Therefore, the book values of the shareholders' equity of the Group and third parties must be adjusted to reflect changes in equity interests in the subsidiary. Any difference between the value for which non-controlling interests are adjusted and the fair value of the consideration paid or received must be recognised directly in the Group's shareholders' equity.

If there is an event which results in the loss of control, an entry is made to the income statement equivalent to the difference between (i) the sum of the fair value of the consideration received and the fair value of the residual equity interest held and (ii) the previous book value of the assets (including goodwill) and liabilities of the subsidiary and any third-party shareholders' equity. The amounts previously recognised in the statement of comprehensive income (such as valuation reserves for financial assets sold that are measured at fair value through other comprehensive income) must be accounted for in the same way as required if the parent company had directly sold the assets or related liabilities (by reclassification in the income statement or shareholders' equity).

The fair value of any equity interest held in the former subsidiary must be considered equal to the fair value upon initial recognition of a financial asset according to IFRS 9, or, where appropriate, equal to the cost at the time of initial recognition in an associate company or a jointly controlled entity.

Business combinations under common control

Business combinations between entities under common control do not fall under IFRS 3. In the absence of a standard of reference, as indicated in Section 1 "Declaration of conformity with international accounting standards", these transactions are posted to the accounts by making reference to preliminary guidance from the Italian Association of Auditors (Orientamenti Preliminari, OPI 1 "Accounting treatment of business combinations of entities under common control in separate and consolidated financial statements" and OPI 2 "Accounting treatment of mergers in financial statements"). These guidelines consider the economic significance of business combinations on the basis of cash flow impact on the Group. Transactions, which had no significant influence on future cash flows, were recognised using the pooling of interest method. Therefore, in the financial statements of the seller, the difference between the sale price and the book value is posted as an increase/decrease in equity. Exclusively in the event of acquisition or transfer of a controlling interest, the equity investment is posted at acquisition cost in the acquirer/transferee's financial statements for the year.

Amortised cost

The amortised cost of financial assets or liabilities is the value at which they were measured upon initial recognition, net of principal repayments, plus or minus overall amortisation calculated using the effective interest method, on the differences between the initial value and that at maturity and net of any permanent impairment.

The effective interest rate is the rate which equates the present value of a financial asset or liability with the future contractual payments or collection cash flows until maturity or a subsequent price recalculation date. To calculate the current value, the effective interest rate is applied to estimated future collection or payment flows over the entire useful life of the financial assets or liabilities – or for a shorter period if certain conditions are met (for example, a change to market rates).

Following initial recognition, the amortised cost makes it possible to allocate income and costs reducing or increasing the instrument over its entire expected life by means of the amortisation process. The determination of the amortised cost is different depending on whether the financial assets/liabilities are subject to valuation at a fixed or variable rate.

For fixed-rate instruments, future cash flows are quantified based on the known interest rate during the term of the financing. For floating-rate financial assets/liabilities, whose variability is not known beforehand (because, for example, it is tied to an index), cash flows are determined on the basis of the last known rate. At every rate review date, the amortisation schedule and the actual rate of return over the entire useful life of the instrument, i.e. until maturity, are recalculated. The adjustment is recognised as cost or income in the income statement.

Amortised cost is assessed for financial assets measured at amortised cost and for those as fair value through other comprehensive income as well as financial liabilities measured at amortised cost.



Financial assets and liabilities traded at market conditions are initially recognised at their fair value, which normally corresponds to the amount disbursed or paid inclusive - in the case of instruments valued at amortised cost - of transaction costs and commissions directly attributable to the assets and liabilities.

Transaction costs include marginal internal and external costs and income attributable to the issue, acquisition or sale of a financial instrument that cannot be charged to the customer. These fees, which must be directly attributable to the individual financial assets or liabilities, impact the original effective return and make the effective interest rate associated with the transaction different from the contractual interest rate. Indistinguishable costs related to several transactions and components related to events that may occur during the life of the financial instrument, but which are not certain at the time of the initial definition, are excluded, such as: fees for retrocession, for failure to use, and for early repayment.

Calculation of the amortised cost does not include costs that the Group must incur regardless of the transaction (e.g., administrative, stationery and advertising costs), which, even though they are specifically attributable to the transaction, occur in the normal practice of managing loans (e.g., disbursement activities), as well fees for services collected following the completion of structured finance activities that would have been collected in any case, regardless of the subsequent financing of the transaction (e.g., facility and arrangement fees).

With particular reference to loans, fees paid to distribution channels (agents, advisors, brokers) and the fees paid for consultancy/advisory in organising and/or participating in syndicated loans are considered costs attributable to the financial instrument, while revenues considered in the calculation of the amortised cost are those for participation in syndicated transactions and brokerage commissions linked to fees recognised from brokerage firms.

With regard to securities not measured at fair value through profit and loss, transaction costs include both commissions for contracts with brokers operating on Italian stock markets and commissions paid to intermediaries operating on foreign stock and bond markets defined on the basis of commission tables.

For securities issued, commissions for bond placement paid to third parties, amounts paid to stock exchanges, and fees paid to the auditors for activities performed for each individual issue are considered in the calculation of amortised cost, while commissions paid to rating agencies, legal expenses and consultancy/audit fees for the annual update of the prospectuses, as well as costs for the use of indices and commissions that originate during the life of the bond are not considered in the amortised cost calculation.

Compared to the general approach, the effective interest rate must be calculated differently for those financial instruments measured at amortised cost or at fair value through other comprehensive income, purchased or originated, which at the time of their initial recognition are already credit impaired (known as PCI or OCI).

The criterion for measurement at amortised cost does not apply for hedged financial assets/liabilities for which changes in fair value for the hedged risk are charged to the income statement. However, the financial instrument is re-measured at amortised cost if the hedge is suspended, the moment from which the previously recognised changes in fair value are amortised, by calculating a new effective interest rate that considers the loan value adjusted for the fair value of the hedged element, until the expiry of the hedge that was originally envisaged. Moreover, as mentioned above in the paragraphs relating to financial assets and liabilities measured at amortised cost, the amortised cost measurement does not apply to financial assets/liabilities whose short duration makes the economic effect of discounting negligible or for loans without a defined maturity or revocation.

Purchased or originated impaired financial assets (POCI)

These are instruments whose credit risk is already very high and that, at the time of acquisition, are purchased at highly discounted price with respect to their initial disbursement; for this reason, they are considered already impaired (credit impaired) at the time of first recognition in the financial statements. These assets are classified, according to the business model with which the asset is managed, in item “30 - Financial assets measured at fair value through other comprehensive income” or item “40 - Financial assets measured at amortised cost”.

In relation to POCIs, there are two different types:

- instruments or portfolios of non-performing loans acquired on the market (Purchased Credit Impaired – “PCI”);
- credits disbursed by the Group to customers characterised by a very high credit risk (Originated Credit Impaired – “OCI”).

Impaired financial assets acquired through a business combination pursuant to IFRS 3 fall within the scope of application of IFRS 9 PCI.



Note that these financial assets are initially recorded in Stage 3, without prejudice to the possibility of reclassifying them to performing loans (Stage 2), for which an expected loss will continue to be recorded according to an impairment model based on lifetime ECL, as described below.

With reference to the initial recognition, measurement and derecognition criteria, please refer to the discussion corresponding to the asset items into which they can be classified, with the exception of what is specified below in relation to procedures for calculating amortised cost and impairment.

In detail, the amortised cost and consequently the interest income are calculated using an effective interest rate adjusted for the credit (known as “credit-adjusted effective interest rate” or CEIR). For calculating the effective interest rate, the aforementioned credit adjustment entails including the expected credit losses over the entire residual duration of the asset in the estimate of future cash flows. For the purposes of calculating the CEIR, the Group uses contractual cash flows net of expected losses.

In addition, the assets in question envisage a particular treatment also for the impairment process, as they are always subject to the calculation of an expected loss over the life of the financial instrument (lifetime ECL). After initial recognition, the profit or loss deriving from any change in expected losses over the life of the loan compared to the initial estimate must be recorded in the income statement. Thus, for these assets, expected losses cannot be calculated using the one-year time horizon as a reference.

Loan renegotiations

In some cases, over the life of financial assets and, in particular, of loans, the original contractual conditions are subsequently modified as agreed by the parties to the contract. When, during an instrument's life, the contractual clauses are changed (both in the case the change is formalised by signing a new contract and when there is an amendment to the existing contract), it is necessary to check whether the original asset must continue to be recognised in financial statements or if, conversely, the original instrument must be derecognised from financial statements and a new financial instrument must be recognised.

In general, changes to a financial asset result in its derecognition and to the recording of a new asset when these changes are “substantial”. The determination of the “substantiality” of the change is made by considering only qualitative elements. In particular, renegotiations are considered substantial when they introduce specific objective elements that affect the characteristics and/or cash flows of the financial instrument (e.g., change in the denomination currency, introduction of indexing on equities or commodities) in consideration of the significant expected impact on the original cash flows, or that are made in relation to customers that are not experiencing financial difficulties, with the aim of adjusting the contract's cost to the current market conditions. In the latter case, note that, if the Bank does not allow a renegotiation of contractual conditions, the customer would have the opportunity to obtain funding from another intermediary, with resulting loss in the revenue streams envisaged in the renegotiated contract. In other words, for a commercial renegotiation, the Bank would not have any loss to be recorded in the income statement as a result of the realignment to the best current market conditions for its customers. Instead, for renegotiations considered to be substantial, the gross value is recalculated by determining the present value of cash flows resulting from the renegotiation, based on the original rate of the exposure prior to the renegotiation. The difference between this gross value and the gross book value prior to the change is recorded in the income statement under item “140 - Modification gains/(losses)” (known as “modification accounting”). In the case of non-substantial renegotiations, the modifications granted to counterparties experiencing financial difficulties (concessions of forbearance measures) are attributable to the Bank's attempt to maximise the recovery of the original exposure, whose risks and benefits continue to be borne by the Bank. Exceptions are made for changes that introduce substantial objective elements in the contract that can themselves lead to the derecognition of the financial asset, as previously described.

Fair value option

In its financial risk management policy, relating to financial instruments included in the banking book, the Parent Company has used the fair value option accounting technique alongside fair value hedging and cash flow hedging methods.

The fair value option was used to represent operational hedges on fixed-rate or structured bonds and certificates of deposit issued at fixed rates (accounting mismatch). In that case the Parent Company, the only issuer within the Group, stipulates operational micro-hedging derivative contracts with MPS Capital Services S.p.A., which in turn manages by assets the Group's overall exposure to the market.

The scope of application of the fair value option currently regards primarily fixed-rate securities and structured securities subject to hedges on interest rate risk and the risk deriving from embedded derivative components.



IFRS 9 allows the option of designating a financial instrument under the fair value option to be exercised irrevocably only upon initial recognition. The fair value option cannot therefore be used for hedges on funding instruments issued prior to the decision that the hedge be undertaken; hedge accounting must be used in these cases, and is also used to manage hedges on bond issues that are traded in the secondary market at market values.

Unlike hedge accounting, whose rules provide that only fair value changes attributable to the hedged risk are recognised for the hedged instrument, the fair value option involves the recognition of all fair value changes, regardless of the risk factor that is being hedged.

For the issues in question, the fair value is measured, firstly, by referencing observable prices in markets considered active, such as regulated markets, electronic trading circuits (e.g., Bloomberg) or organised or similar exchanges. If there are no observable prices on active markets, they are measured based on prices of recent transactions for the same instrument in non-active markets in addition to using valuation techniques, based on a cash flow discounting model, which must consider all factors considered relevant by market participants in determining a hypothetical transaction on an exchange. In particular, for determining creditworthiness, the implicit spreads of comparable issuers are used in active markets in addition to the Parent Company's credit default swap curve with the same level of subordination of the security being measured. The quantification of effects resulting from the change in own creditworthiness between the issue date and the measurement date is calculated as the difference between the fair value obtained considering all of the loan's risk factors, including the credit risk, and the fair value obtained considering the same factors, excluding the change in own credit risk that occurred during the period.

For further details on methods for calculating fair value, please refer to the exhaustive information provided in the relevant paragraph in "Part A.4 - Information on Fair Value".

With reference to the criteria for recognition in financial statements, note that:

- derivatives connected with financial liabilities measured at fair value are classified under "Financial assets measured at fair value through profit and loss: a) financial assets held for trading" or "Financial liabilities held for trading";
- spreads and margins accrued on derivatives up to the measurement date are included, depending on the balance, in "interest income" or "interest expense", consistent with the accruals recorded on bonds subject to operational hedges;
- gains and losses from realisation and the measurement of loans under the fair value option are recorded in the income statement item "110 - Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss", with the exception of the valuation and execution effects related to the change in own creditworthiness that are recorded as an offsetting entry to a specific equity reserve (item "120 - Valuation reserves"), unless this accounting treatment creates or amplifies an asymmetry in the economic result, as described in greater detail in the discussion to item "13 - Financial liabilities measured at fair value";
- results of the measurement of derivatives associated with loans under the fair value option are recorded in the income statement item "80 - Net profit/loss from trading".

From the perspective of prudential supervision, in compliance with prudential regulations in force, distorting effects from changes in fair value due to changes in own creditworthiness are eliminated from own funds.

Lastly, note that gains posted to the income statement under the fair value option and not yet realised are not distributable.

Contributions to deposit guarantee systems and resolution mechanisms

Legislative Decrees 180 and 181 of 2015 transposed Directive 2014/59/EU Banking Resolution and Recovery Directive ("BRRD") into Italian law, which requires the formation of resolution funds. These provisions are funded, inter alia, by:

- a) annual contributions from banks, in order to reach the target level of fund resources established by the regulation;
- b) extraordinary contributions from banks when ordinary contributions are insufficient to support approved resolution interventions.

Both types of contribution are subject to interpretation IFRIC 21 "Levies", as the contribution obligations are based on legislative provisions. Based on this interpretation, a liability should be recognised when the "obligating event" takes place which triggers the payment obligation. The balancing entry of that liability is represented by income statement item "190 - Administrative expenses - (b) other administrative expenses", as the conditions are not met for the recognition of an intangible asset pursuant to IAS 38 "Intangible assets", or for the recognition of an asset for a prepayment.



The same treatment is applied to “ex ante” contributions made to the Italian Interbank Deposit Protection Fund within the scope of Directive 2014/49/EU “Deposit Guarantee Schemes” (DGS).

Other matters

Classification criteria for financial assets

The classification of financial assets in the three categories envisaged by the standard depends on two classification criteria, or drivers: the business model with which the financial instruments are managed and the contractual characteristics of the cash flows of the financial assets (or SPPI test).

The financial asset classification derives from the combination of these two drivers, as shown below:

- Financial assets measured at amortised cost: assets that pass the SPPI test and fall under the Held to Collect business model (HTC);
- Financial assets measured at fair value through other comprehensive income (FVOCI): assets that pass the SPPI test and fall under the Held to Collect and Sell business model (HTC&S);
- Financial assets measured at fair value through profit and loss (FVTPL): a residual category, which includes financial instruments that cannot be classified in the previous categories based on the results of the business model test or the test on the characteristics of contractual cash flows (SPPI test failed).

Business model

With regard to the business model, IFRS 9 identifies three cases in relation to the methods by which cash flows are managed and financial assets are sold:

- Held to Collect (HTC): a business model whose objective is achieved by collecting contractual cash flows from the financial assets included in the relative portfolios. The inclusion of a financial asset portfolio under this business model does not necessarily mean that the instruments cannot be sold, though it is necessary to consider the frequency, value, and timing of sales in previous years, reasons for sales, and expectations regarding future sales;
- Held to Collect and Sell (HTC&S): a mixed business model, whose objective is achieved by collecting contractual cash flows from the financial assets included in the portfolios and by sales activities, which is an integral part of the strategy. Both activities (collection of contractual cash flows and sales) are essential for achieving the business model's objective. Therefore, sales are more frequent and for greater amounts than an HTC business model and are an essential component of the strategies pursued;
- Other/Trading: a residual category that includes both financial assets held for trading purposes and financial assets managed with a business model other than the previous categories (Held to Collect and Held to Collect and Sell). In general, this classification applies to a portfolio of financial assets whose management and performance are assessed based on fair value.

The business model reflects the methods by which financial assets are managed to generate cash flows for the entity's benefit and is defined by top management through the appropriate involvement of business structures. It is determined by considering the ways in which financial assets are managed and, as a consequence, the extent to which the portfolio's cash flows derive either from the collection of contractual cash flows, or from the sale of financial assets, or from both of these events.

The assessment is not made using scenarios that, based on the entity's reasonable expectations, are not likely to occur, such as the “worst case” or “stress case” scenarios. For example, if the entity plans to sell a certain portfolio of financial assets only in a “stress case” scenario, this scenario does not affect the assessment of the entity's business model for these assets, if said scenario is not likely to occur based on the entity's reasonable forecasts.

The business model does not depend on the intentions that management has for an individual financial instrument, but refers to the ways in which groups of financial assets are managed for the purpose of achieving a specific business objective.

In summary, the business model:

- reflects the methods by which financial assets are managed to generate cash flows;
- is defined by top management through the appropriate involvement of business structures;
- must be determined by considering the methods by which financial assets are managed.



When assessing a business model, all relevant factors available at the assessment date are used. These factors include the strategy, risks and their management, remuneration policies, reporting, and the amount of sales. In analysing the business model, it is crucial that the factors evaluated are consistent amongst themselves and, in particular, are consistent with the strategy pursued. Evidence of activity not in line with the strategy must be analysed and adequately justified.

For the Held to Collect portfolio, the Group has defined eligibility thresholds for sales that do not affect the classification (frequent but not significant, individually and in the aggregate, or infrequent though of a significant amount) and, at the same time, established the parameters to identify sales consistent with this business model, when they are attributable to an increase in credit risk.

More specifically, as part of an HTC business model, sales are permitted i) in the event of an increase in credit risk (i.e., sales of non-performing loans or securities, or those classified in stage 2), ii) when carried out near maturity, and finally, iii) when they are frequent but not significant in terms of value or infrequent, even if their value is significant. In order to determine these aspects, frequency and significance thresholds have been defined:

- frequency is defined as the percentage ratio between the number of positions sold (ISIN or relationships) during the observation period and the total positions in the portfolio present at the beginning of the observation period. Sales carried out based on a number lower than a value equal to 5% of the number of securities held in the portfolio at the start of the year are infrequent (this value is equal to zero if the number of securities at the start of the year is under 40).
- significance is defined as the percentage ratio between the nominal value of sales and the total nominal value of instruments in the portfolio present at the beginning of the observation period. The significance threshold of individual sales identified by the Group is 5%.

In the case of that both the frequency and significance thresholds are met for an individual sale, a further assessment is envisaged in terms of aggregate sales volume in order to confirm the consistency of the HTC business model. In this case, the significance threshold of the aggregate amount of sales identified by the Group is 10%.

SPPI test

The other criterion to be used in determining whether a financial asset should be classified among the financial instruments measured at amortised cost or FVOCI - in addition to the business model analysis described above - envisages that the relative cash flows are represented exclusively by the repayment of principal and interest. To this end, IFRS 9 regulates that the SPPI (solely payments of principal and interest) test is carried out, with the purpose of verifying that the remuneration for a specific financial instrument, whether a debt security or loan, is linked exclusively to the payment of interest and repayment of principal.

A debt instrument that does not meet the SPPI test must always be measured at FVTPL and classified under the sub-item “other financial assets measured at fair value as per mandatory requirements”.

For purposes of the analysis, IFRS 9 proposes a definition of the terms “principal” and “interest”, as follows:

- principal is understood as the fair value of the financial asset at its initial recognition;
- interest is the consideration for the time value of money, for the credit risk associated with the principal over a given period of time, for other risks and costs associated with the basic risks of a lending transaction, and for the profit margin.

In basic lending arrangements, the value of interest must depend exclusively on the time value of money and on the credit risk associated with the principal over a given period of time. Whenever contractual terms introduce other elements, it is no longer possible to consider that asset as solely generating cash flows in terms of principal and interest. This could happen, for example, when the cash flows come from non-recourse financial assets. The cash flows of these financial assets may involve not only interest payments and principal repayments, since the remuneration is linked to specific business activities. In this regard, the owner of the asset must assess, using the look-through approach, whether or not its instruments pass the SPPI test. For example, when the entity has non-recourse financial assets, whose cash flows depend on the performance of an element of the issuer's equity (e.g., net income), the possibility of amortised cost or FVOCI measurement must be excluded. Furthermore, when contractual cash flows depend on characteristics such as changes in share or commodity prices, the related financial instruments cannot pass the SPPI test, as they introduce exposure to risk or volatility that is not correlated with basic lending arrangements.

IFRS 9 points out that all financial instruments that are subject to “leverage effect” cannot be considered generators of principal and interest cash flows, since leverage has the potential to increase the volatility of cash flows. This includes swaps, options, forwards, and all derivative contracts.



IFRS 9 defines two cases in which the time value of money can be considered changed (modified time value of money) or when the relationship between the passage of time and the interest rate is considered imperfect. One case occurs when the asset's interest rate is periodically recalculated, but the frequency of this recalculation or the frequency of the payment does not correspond to the nature of the interest rate. This can happen, for example, when variable interest payments are made on a monthly basis and, at the beginning of each month, the interest rate is determined using the 6-month Euribor rate: the monthly interest rate is determined in reference to an interest rate calculated every six months, and therefore, under a different time horizon. In these cases, the accounting standard introduces the need to make a comparison between cash flows deriving from the financial asset being measured and cash flows deriving from a financial asset considered identical in terms of credit risk and duration, but for which the monthly interest is calculated based on the monthly Euribor. The other case of imperfect correlation between the passage of time and the time value of money occurs when the asset's interest rate is periodically restated based on an average of particularly short or medium/long-term rates. For example, when a financial asset provides for the payment of interest every three months, based on the average three-month Euribor interest rate in the quarter preceding the one to which the interest refers.

Therefore, in these cases the entity must analyse whether the financial asset generates only cash flows related to principal and interest, despite the change in the time value of money. The objective of this analysis is to verify how different the non-discounted contractual cash flows would be if there were no changes in the time value of money over time (known as the benchmark cash flow test).

In addition, any contractual clauses that could change the frequency or amount of contractual cash flows must be considered in order to assess whether such cash flows meet the requirements to be SPPI compliant (e.g., prepayment options, possibility to defer the contractually agreed cash flows, instruments with embedded derivatives, subordinated instruments, etc.).

However, as required by IFRS 9, a single element of contractual cash flows does not affect the classification of the financial asset if it has only a minimal effect on the contractual cash flows of the financial asset (in each year and cumulatively). Similarly, if an element of cash flows is not realistic or genuine, i.e., if it affects the instrument's contractual cash flows only at the occurrence of an extremely rare, highly unusual, and very unlikely event, it does not affect the classification of the financial asset.

In the case of instruments subordinated to another instrument (e.g., guaranteed debt securities), the related cash flows are linked to the nominal value of the principal or interest of the principal instrument. The instrument's owner has the power to exercise the right of pre-emption, even in the event of the borrower's bankruptcy. These instruments are included among those that do not pass the SPPI test.

With regard to contractually linked instruments, reference is made to instruments with which an entity assigns a certain priority to the payment of cash flows. The order of priority depends on the credit risk assigned to each category of creditor, called "tranche". The characteristics that an investment, belonging to a given tranche, must possess in order to be considered a generator of cash flows that are exclusively related to the payment of interest and repayment of principal are as follows:

- the underlying assets must contain one or more financial assets that generate cash flows consisting exclusively of interest payments and principal repayments. Furthermore, the presence of supporting financial instruments, such as derivatives, is permitted only if they serve to reduce the volatility of the relative cash flows;
- the exposure to credit risk relating to a given tranche must be equal to or less than the risk exposure attributable to the underlying financial instruments.

For purposes of conducting the SPPI test on transactions in debt securities, MPS Group uses the services of an info-provider. The test is carried out manually using a proprietary tool based on an internally developed methodology (decision trees) only if the securities are not managed by the info-provider.

A proprietary tool based on a method developed in-house (decision trees) was developed to perform the SPPI test for credit approval processes. In particular, given the significantly different characteristics, differentiated management is envisaged for products that have a standard contract (typically, the retail loan portfolio) and tailor-made loans (typically, the corporate loan portfolio). For standard products, the SPPI test is conducted when the standard contract is structured, through the "Product Approval" process, and the test result is extended to all individual relationships that refer to that product in the catalogue. Instead for tailor-made products, the SPPI test is performed for each new credit line/relationship submitted to the decision-making process through the use of the proprietary tool. Decision trees - included in the proprietary tool - have been prepared internally (both for debt securities and loans) and capture possible features that may not comply with the SPPI test.

Use of estimates and assumptions when preparing financial statements



The estimates required by accounting standards can have a significant impact on the balance sheet and income statement, as well as on disclosure of contingent assets and liabilities reported in the financial statements. Production of these estimates involves the use of available information and adoption of subjective assessments. By their nature, the estimates and assumptions utilised may vary from one period to another and, therefore, it cannot be ruled out that in subsequent periods the actual amounts stated in the accounts may differ, even to a significant extent, as a result of changes in subjective assessments made. These estimates and valuations are thus difficult and bring about inevitable elements of uncertainty, even in stable macroeconomic conditions.

The main cases in which subjective valuations are mostly opted for by Management include the:

- a) quantification of impairment losses on loans and, more generally, other financial assets;
- b) assessment of the consistency of the value of equity investments and of other non-financial assets (goodwill, intangible assets, and property, plant and equipment, including right of use assets acquired through leasing);
- c) use of valuation models to measure the fair value of financial instruments not listed in active markets;
- d) estimation and assumptions on recoverability of deferred tax assets;
- e) estimation of liabilities arising from defined benefit company pension funds;
- f) quantification of provisions for risks and charges related to legal and tax disputes.

For some of the cases listed above, the main factors that are subject to estimates by the Group, and which therefore contribute to determining the book value of assets and liabilities in the financial statements, can be identified.

In summary, note that:

- a) for the allocation in the three credit risk stages envisaged in IFRS 9 for loans and debt securities classified as “Financial assets measured at amortised cost” and “Financial assets measured at fair value through other comprehensive income”, and the calculation of the expected losses, the main estimates concern:
 - o determination of the parameters of significant increase in credit risk, based essentially on models for measuring the probability of default (PD) at the origination of financial assets and at the reporting date;
 - o inclusion of forward-looking elements, including macroeconomic, for calculating PD, EAD, and LGD;
 - o for calculating expected future cash flows from non-performing loans, certain elements are taken into account: expected repayment schedule, expected realisable value of any collateral, costs expected to be incurred for collection of the credit exposure, and finally, the probability of sale for positions that have a disposal plan;
- b) for calculating the value in use of intangible assets with indefinite life (goodwill) with reference to the cash generating units (CGUs) that make up the Group, future cash flows for the forecast period and cash flows used to determine the terminal value generated by the CGUs are estimated separately and are appropriately discounted. The cost of capital is included in the estimates;
- c) for calculating the fair value of financial instruments not listed on active markets, if it is necessary to use parameters that cannot be inferred from the market, the main estimates concern, on one hand, the development of future cash flows (or also profits for equity securities), possibly contingent upon future events and, on the other, the level of certain input parameters not listed on active markets;
- d) for quantifying post-employment benefits, the present value of the obligations is estimated, taking into account the cash flows, appropriately discounted, resulting from the historical statistical analysis and the demographic curve;
- e) for quantifying provisions for risks and charges, the amount of disbursements necessary to satisfy the obligations is estimated, where possible, taking into account the effective probability of having to make use of resources;
- f) for calculating the items related to deferred taxation, the probability that taxes will effectively be incurred in the future (temporary taxable differences) and the degree of reasonable certainty - if any - of future taxable profits at the time the taxes can be deducted is estimated (temporary deductible differences).

For points a), b) and f), please refer to the subsequent paragraphs: “Methods for calculating impairment on IFRS 9 financial instruments”, “Methods for calculating impairment on equity investments”, “Methods for calculating impairment on other non-financial assets” and “Methods for recognising deferred tax assets (probability test)”; as regards point c), please refer to the description in paragraph A.4.5 “Fair value hierarchy” in the Notes to the



financial statements. The actual technical and conceptual solutions used by the Group are analysed in more detail in the individual sections of the notes to the balance sheet and income statement, where the distinct contents of each item in the financial statements are described. With regard to the cases referred to in points d) and e), please refer to Section 12 under liabilities in the Notes to the financial statements “Defined benefit company pension funds” and Part E of the Notes to the financial statements, Section 1.5 “Operational risks”.

Methods for calculating impairment on IFRS 9 financial instruments

Pursuant to IFRS 9, at each reporting date, financial assets other than those measured at fair value through profit and loss are subject to an impairment test, aimed at estimating the expected credit loss (ECL). In particular, the following are included in the scope of impairment testing:

- “Financial assets measured at amortised cost”;
- “Financial assets measured at fair value through other comprehensive income” other than equity securities;
- commitments to disburse funds and guarantees given that are not measured at fair value through profit and loss; and
- trade receivables or assets deriving from contracts that result from transactions falling under the scope of IFRS 15.

According to the ECL calculation model, introduced in IFRS 9, losses must be recorded not only with reference to objective evidence of losses in value that are already apparent at the measurement date, but also based on expectations of future losses of value that have not yet occurred. This concept represents an innovation with respect to the incurred loss concept, on which the previous impairment model was based.

In particular, the ECL model provides the aforementioned financial assets must be classified in three distinct “stages”, according to their credit quality in absolute terms or relative to that at initial disbursement, to which different measurement criteria for expected losses are applied. More specifically:

- stage 1: includes performing exposures that have not undergone a significant change in credit risk with respect to the initial recognition. The value adjustments correspond to the expected losses related to the verification of default in the 12 months following the reporting date.
- stage 2: includes performing exposures whose creditworthiness has been affected by a significant change in credit risk, but for which the losses are not yet observable. Adjustments are calculated considering the lifetime loss of the instrument;
- stage 3: includes all non-performing loans, i.e. non-performing exposures that present objective evidence of deterioration and which must be adjusted by using the lifetime expected loss concept²⁶.

Financial assets considered as impaired since their acquisition or origin (POCI - purchased or originated credit impaired) are an exception to the above, whose accounting treatment was discussed in the preceding paragraph dedicated to this topic, as are assets measured according to the “simplified method”, which is discussed in the specific points of the subsequent paragraph.

For MPS Group, the perimeter of exposures classified under stage 3 corresponds to non-performing exposures, identified according to the definitions established by supervisory regulations (Bank of Italy Circular no. 272 “Accounts matrix”) and referred to in Bank of Italy Circular no. 262 “Bank financial statements: layout and rules for compilation”, as these definitions are deemed consistent with accounting regulations envisaged in IAS/IFRS for objective evidence of impairment. Based on these circulars, the perimeter of non-performing exposures corresponds to the aggregate “non-performing exposures”, defined in EU Regulation 2015/227, and implemented through the EBA’s “Implementing Technical Standard (ITS) on Supervisory Reporting (forbearance and non-performing exposures)” (EBA/ITS/2013/03/rev1 24/7/2014).

In detail, the aforementioned circulars identify the following categories of non-performing assets:

- Bad loans: these represent the aggregate of on- and off-balance sheet exposures to a party in a status of insolvency (even if not judicially certified) or in essentially comparable situations, regardless of any loss forecasts made by the Bank;
- Unlikely to pay: represent the on- and off-balance sheet exposures for which the borrower does not meet the conditions for classification under bad loans and for which it is considered unlikely that the borrower

²⁶ The valuation is statistical for positions with a balance of under EUR 1 mln and analytical, carried out by managers, for positions above said threshold.



will be able to fully satisfy the credit obligations (in terms of principal and/or interest) without recourse to actions such as the enforcement of collateral. This assessment is carried out regardless of the existence of any overdue and unpaid amounts (or instalments). The classification among unlikely to pay is not necessarily linked to the explicit presence of anomalies, such as a missed repayment, but rather is linked to the existence of elements that would indicate a situation of risk that the borrower may default (e.g., a crisis in the borrower's business sector);

- Past due and/or overdrawn exposures: on-balance sheet exposures, other than those classified as bad or unlikely to pay, which, at the reporting date, are past due and/or overdrawn for more than 90 days, according to the significance threshold envisaged in the aforementioned legislation. For MPS Group, non-performing past due and/or overdrawn exposures are determined in reference to the position of an individual borrower.

In addition, Bank of Italy regulations, in line with EBA standards, introduced the definition of “forborne exposures”. This concerns, in particular, exposures benefiting from tolerance measures, which consist of concessions granted to the borrower, in terms of modification and/or refinancing of a pre-existing loan, exclusively because of, or to prevent, a state of financial difficulty that could have negative effects on the borrower's ability to fulfil the contractual commitments originally assumed, and that would not have been granted to another borrower with a similar risk profile not in financial difficulty. These concessions must be identified at the level of the individual credit line and may relate to exposures of borrowers classified either in the performing or the non-performing (impaired) status. For exposures with forbearance measures classified as unlikely to pay, the recovery to a position of performing can only take place after at least one year has elapsed from the time the concession was granted (known as the “cure period”) and all the other conditions provided for in paragraph 157 of the EBA ITS are satisfied.

In any case, renegotiated exposures should not be considered forborne when the borrower is not in a situation of financial difficulty (renegotiations carried out for commercial reasons).

Impairment of performing financial assets

For performing financial assets, i.e., those assets not considered to be impaired, it must be determined, at the individual relationship level, if there is a significant deterioration of credit risk, by comparing the credit risk associated with the financial instrument at the time of measurement and that at the initial moment of disbursement or acquisition. This comparison is made using both quantitative and qualitative criteria. The results of this assessment, in terms of classification (or, more appropriately, staging) and measurement, are the following:

- where these indicators are found, the financial asset transfers to stage 2. In this case, the assessment requires that impairment is recognised equal to the expected losses over the entire residual life of the financial instrument, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a “significantly increased credit risk” no longer exist - of the change in forecast horizon for calculation of expected loss;
- where none are found, the financial asset remains in stage 1. In this case, the assessment requires that impairment is recognised equal to the expected losses of the financial instrument over the next twelve months, consistent with the provisions of international accounting standards and even if a loss in value has not yet occurred. These adjustments are reviewed at each subsequent reporting date both to periodically check that the continuously updated loss estimates are consistent, as well as to take into account - in the event that indicators of a “significantly increased credit risk” are identified - of the change forecast horizon for calculation of expected loss;

As regards the measurement of financial assets and, in particular, the identification of a “significant increase” in credit risk (a necessary and sufficient condition for classification of the asset being assessed in stage 2), the elements that constitute the main determinants to be taken into consideration, according to the standard and its operating procedure implemented by MPS Group, are the following:

- relative quantitative criteria, based on statistical observations, considered an expression of significant increase in credit risk over time;
- absolute qualitative criteria, represented by the identification of trigger events or exceeding absolute thresholds as part of the credit monitoring process. The category comprises:
 - all exposures affected by forbearance measures and for which these measures are still active, regardless of whether the probation period underway is regular,
 - exposures classified in the High Risk and Requalification management portfolio;
 - customers with negative EBITDA.



- backstop indicators, i.e., credit delinquency factors, whose manifestation suggests that there has been a significant increase in credit risk, unless there is evidence to the contrary. For purposes of assumptions, MPS Group believes that the credit risk of the exposure must be considered significantly increased if there is an exposure that is past due/overdrawn for a period longer than 30 days, without prejudice to the application of the significance thresholds required by supervisory regulations.

With particular reference to the relative quantitative criterion applicable to credit exposures with customers, MPS Group has determined as a reference the change between the lifetime forward-looking cumulative probability of default (PD), calculated at the beginning of the contractual relationship and the probability of default recorded at the measurement date. In developing the model, specific internal thresholds of variation were identified between the PD at the beginning of the contractual relationship and the PD recognised at the valuation date, broken down by counterparty, initial rating class and vintage. If these thresholds are exceeded, it signifies a significant increase in credit risk and the resulting transfer of the individual credit line from stage 1 to stage 2. The comparison is based on the homogeneous²⁷ residual durations and on homogeneous PD models, for example, if the definition of default changes over time, the original lifetime forward-looking cumulative PD is recalculated to take account of said new definition of default. Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) PD, macroeconomic scenarios, expected life/contractual life). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The threshold of significance is determined by historically measuring, through quantile regression analysis per cluster, that level of ratio, between the lifetime forward-looking cumulative PD at the reporting date and that at the origination date, which may be considered predictive of the classification as NPE²⁸. The threshold is determined so as to minimise so-called false positives and false negatives and maximise true positives and true negatives.

For debt securities that do not have investment-grade ratings, the relative quantitative criterion is based on the variation in lifetime forward-looking cumulative PD between the reporting date and the origination date above a certain threshold. For corporate issuers, the multi-year PD curve is the corporate one estimated entirely by the Group; for government issues, the multi-year PD curve is the one prepared on the basis of the Moody's matrix of 1-year defaults of government bonds. Cumulative PDs subject to comparison are based on the same model used for ECL purposes (e.g. definition of PIT (Point in Time) PD and macroeconomic scenarios). In order to obtain a unique classification result, use is made of a cumulative PD resulting from the weighted average of the cumulative PDs calculated for the individual prospective scenarios using the probabilities of the scenarios as weights. The exposures are classified into stage 2 if the ratio between the lifetime forward-looking cumulative PD at the reporting date and that of the origination date exceeds a given threshold of significance equal, both for corporate bonds and government bonds, to that used for corporate exposures in the form of loans.

Debt securities that, at the reporting date, have an investment-grade rating, mainly related to government securities, are classified in stage 1 because in this case, and only for this case, MPS Group used the "Low Credit Risk Exemption". This exemption consists of the practical expedient of not conducting the test for significant deterioration of credit risk on exposures whose credit risk is considered low. This exemption applies to securities that present, at the measurement date, a rating level equal to the investment grade, in full compliance with the provisions of accounting standard IFRS 9. In addition, given the presence of several purchase transactions on one fungible asset (ISIN), it was necessary to identify a methodology to identify the tranches sold in order to determine the residual quantities to which credit quality at initial recognition date can be associated, in order to compare it with credit quality at the measurement date. In this context, the "first-in-first-out" or "FIFO" methodology was deemed most appropriate, as it enables more transparent portfolio management, including from the operational perspective (front office), allowing, at the same time, a continuous updating of the creditworthiness assessment based on new purchases.

In general, the transfer criterion between stages is symmetrical. Specifically, an improvement in credit risk which involves the elimination of the conditions that led to the significant increase in said credit risk involves the reallocation of the financial instrument from stage 2 to stage 1. In this case, the entity recalculates the value adjustment on a twelve-month time horizon rather the previously recognised lifetime losses, by booking a write-back to the income statement.

²⁷ Therefore, the valuation at 31/12/T of the significant increase in credit risk of a thirty-year mortgage disbursed on 31/12/T-5 is carried out by comparing the lifetime forward-looking cumulative PDs over the residual life of 25 years.

²⁸ The classification as NPE is measured over multi-year time horizons.



Once the assignment of exposures into the various credit risk stages has been defined, the expected losses (ECL) are calculated, at the level of individual transaction or security tranche, starting from IRB/management modelling, based on the parameters of Probability of Default (PD), Loss Given Default (LGD), and Exposure at Default (EAD), to which appropriate adjustments are made, in order to ensure compliance with the specific requirements of IFRS 9, given the different requirements and purposes of the accounting rules compared to prudential regulations.

The PD, LGD, and EAD are defined as follows:

- PD (Probability of Default): likelihood of transferring from a performing status to that of non-performing over a one-year time horizon. In models consistent with supervisory provisions, the PD factor is typically quantified through the rating. In MPS Group, PD values derive from internal rating models where available, supplemented by external valuations or average data for segment/portfolio; In particular, with regard to specialised lending transactions, the Group revised the criteria for estimating the PD during the first half of 2019, using the rating assigned by the counterparties through slotting criteria in place of the AIRB rating.
- LGD (Loss Given Default): percentage of loss in the event of default. In models consistent with supervisory provisions, this factor is quantified using historical data on actual recoveries of loans that transferred to non-performing status;
- EAD (Exposure At Default) or credit equivalent: amount of exposure at the time of default.

As previously pointed out, in order to comply with the provisions of IFRS 9, specific adjustments must be made to the aforementioned factors, including:

- adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD used for Basel purposes;
- elimination of certain additional components from LGD, such as indirect costs (non-recurring costs) and the component linked to the adverse economic cycle (or “downturn”); as well as to reflect the most current recovery rates (PIT), expectations about future trends (forward-looking) and the inclusion of any recovery fees if collection is assigned to a third party;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using rates determined in accordance with prudential regulations.

In relation to the multi-year EAD, in line with the IFRS 9 provisions, MPS Group refers to the amortised cost plans, regardless of the measurement methods (amortised cost or fair value through other comprehensive income). For commitments to disburse funds and guarantees given (off-balance sheet exposures), EAD is instead taken at nominal value weighted by a specific credit conversion factor (CCF).

IFRS 9 establishes that, at each reporting date, an entity must measure the impairment of an asset based on the expected credit loss, based on available, reasonable and consistent information, without incurring excessive costs or making disproportionate efforts. One of the most significant changes compared to IAS 39 concerns the use not only of historical information, adjusted to incorporate the effects of current conditions, but also of forecasts entailing a degree of judgement and accuracy that depends on availability, detail and depth of the data. Therefore, the forward-looking approach envisaged by IFRS 9 for purposes of determining the expected loss represents a key aspect of the measurement model.

Given the above, the MPS Group uses the forward-looking approach to estimate the expected loss, both in the analytical and collective measurements. The forward-looking approach is applied to the following statistical parameters:

- PD: Probability of Default, used for performing positions;
- LGD/EAD: Loss Given Default (LGD), used for both performing and non-performing positions measured statistically; Credit Conversion Factor (CCF) used to estimate the Exposure At Default (EAD) of performing positions;
- Cure/Danger rate: used for unlikely to pay other than restructured positions and positions statistically valued as lower than a given threshold;
- haircut for real estate collateral, used when applicable for the analytical measurement of bad loans and unlikely to pay exposures other than restructured loans.



Since the expected loss is estimated as a weighted average of a range of possible results, the aforementioned parameters are first determined based on historical data and then corrected to take into account at least 3 economic scenarios that cover a horizon of at least 3 years in the future: Baseline, Worst and Best.

The forecasts of the macroeconomic indicators (forward-looking), provided by a leading external consultant and internally re-formulated by the Research Function, are quantified based on three possible future scenarios, which consider the economic variables deemed relevant (Italian GDP, interest rates, unemployment rate, commercial and residential property prices, inflation, equity indices), with a future time horizon of three years to which the respective probabilities of occurrence are assigned, determined internally by the Group. In greater detail, alongside the “baseline” scenario deemed most probable, i.e., the macroeconomic forecast scenario which the MPS Group uses as a basis to develop its projections for financial statement and risk data across a short- and medium-term time horizon, an alternative “better” scenario (decidedly favourable) and “worse” scenario (unfavourable) was developed.

The sensitivity of the statistical parameters to macroeconomic variables is estimated. In particular, the associations between the statistical parameter and macroeconomic variables are shown below:

- PD: Italian GDP, unemployment rate, interest rates, inflation, commercial and residential property prices and stock indices;
- LGD/EAD: Italian GDP and commercial and residential property prices;
- cure/danger rates: Italian GDP;
- haircut: commercial and residential property prices.

For those statistical parameters (e.g., PD) for which there is no linear relationship with the macroeconomic variable, the parameter measurement is not calculated based on the weighted average of the macroeconomic variables and using the respective probabilities as weights, but based on certain distinct measures of the parameter. In these cases, the weighted average occurs at the expected loss level.

Finally, for the estimate of expected losses over the life of the instrument, the reference period is represented by the contractual expiry date; for instruments that do not expire, the estimate of expected losses uses a time horizon estimated through a behavioural model for on-demand products and set to one year from the reporting date, in other cases.

Impairment of non-performing financial assets

As described earlier in the document, for non-performing financial assets, which are assigned a probability of default of 100%, the impairment amount for each loan is equal to the difference between the loan book value at the time of measurement (amortised cost) and the present value of estimated future cash flows, calculated by applying the original effective interest rate (or a proxy if not available). Cash flows are estimated based on expected recovery expectations over the lifetime of the loan, taking into account the presumed realisable value net of any collateral and any costs connected with obtaining the guarantee through sale. In this regard, in the event that the Group uses a third party to collect non-performing loans, the fees paid to the outsourcer for activities strictly related to collection are considered for the purpose of estimating impairment losses. These costs are considered for both non-performing and performing exposures, if for the latter it is probable that in the event of a transfer to bad loans, the collection activities will be assigned to third parties.

Commissions paid to outsourcers are considered in LGD estimates used for statistical measurements of all administrative stages, in collection plans for bad loans, and in analytical measurements of unlikely to pay positions.

For purposes of estimating future cash flows and the relative collection times, the loans in question that have a significant unit amount are subject to an analytical assessment process. For some similar categories of non-performing loans whose unit amount is insignificant, the measurement processes allow that loss forecasts are based on lump-sum/statistical calculation methods, to be analytically assigned to each individual position. The perimeter of exposures subject to a lump-sum/statistical measurement process, that is, based on statistical analyses of operational LGD, differentiated according to the segment and length of time in the risk state (“vintage”), is represented by:

- bad and unlikely to pay loans with exposures less than or equal to an established significance threshold of EUR 1 mln;
- total non-performing past due exposures regardless of the exposure’s significance threshold. In particular, these are loans that show continuous overdrawn situations or delayed payments,



automatically identified by BMPS Group's IT procedures, according to the aforementioned rules of the supervisory authority.

Note that the EUR 1 mln threshold indicated above for bad loans and unlikely to pay was defined by the Group in the first half of 2019 (the previous threshold was EUR 0.5 mln). The threshold was raised in order to decrease the margins of discretion inherent in the measurement process and, therefore, to guarantee greater timeliness and homogeneity in measurement for positions of lower amounts and a resulting greater focus of managers on more significant exposures.

The impairment loss is calculated including the measurement of future cash flows that it is assumed the borrower is able to produce and which will also be used to service the financial debt. This estimate should be made based on two alternative approaches:

- going concern approach: the borrower's operating cash flows (or that of effective guarantor) continue to be produced, and are used to repay the financial debts contracted, based on the scheduled repayment plans. The going concern assumption does not exclude the possible realisation of collateral, but only to the extent that this can occur without jeopardising the borrower's ability to generate future cash flows. The going concern approach also applies to cases in which the recoverability of the exposure is based on the possible sale of assets by the borrower or extraordinary transactions;
- gone concern approach: applicable in cases in which it is believed that the borrower's cash flows will be significantly reduced. This is a scenario whose application may possibly entail positions that are expected to be classified in bad loans. In this context, assuming that interventions by shareholders and/or extraordinary restructuring operations of the debt in a turnaround situation are not reasonable, loan collection is essentially based on the value of the collateral that supports the loan and, in the alternative, on the realisation value of the assets, taking into account liabilities and any rights of pre-emption.

With reference to exposures classified as bad loans and unlikely to pay, the quantification of expected losses includes forward-looking elements related to specific sale scenarios, where the Group's NPL Strategy envisages that the aforementioned exposures may also be recovered through their sale on the market.

Consequently, the estimate of expected losses of exposures that can be sold varies depending on the forecast of the recoverable flows through internal management (work-out), as well as the forecast of recoverable flows through their possible sale on the market ("multi-scenario" approach). This approach is consistent with the provisions of the ITG paper of 11 December 2015 "Inclusion of cash flows expected from the sale on default of a loan in the measurement of expected credit losses". In particular, the exposures in question are associated with two different estimates of cash flows that MPS Group expects to collect:

- the first determined by using as reference the scenario of recovery from the borrower based on internal activity, according to the ordinary measurement guidelines followed by the Group and previously described (hold scenario);
- the second calculated by using as reference the recovery through sale of the loan to third parties (sale scenario).

Each of the two scenarios is assigned a probability of occurrence that is higher for clusters that are more likely to undergo a sale procedure, based on historical data and/or forecasts (e.g., formalised NPL reduction plans). The expected loss of the exposures in question is therefore equal to the weighted average for the probabilities assigned to the two scenarios of the estimates of recoverable cash flows in each (hold and sale).

Hence, the sale values and sale probability are the two key elements for defining the expected loss. For this purpose, MPS Group has performed an analysis of the historical data on sales (past events) on these portfolios and certain considerations on future sale strategies.

The Restructuring Plan approved in 2017 by the European Commission envisages that in the four-year period 2018-2021, MPS Group will undertake a major reduction in exposures classified as default, to be realised through sale transactions. This programme represents a qualifying constraint of the Restructuring Plan, for which the Group, in order to accelerate the process of reducing non-performing loans as specifically requested by the supervisory authority, has declared that it is willing to incur higher costs compared to the ordinary collection scenario, which will continue in parallel for portfolios of non-performing loans that are not subject to the sale programme, as well as those of performing loans (stages 1 and 2), with the primary objective of optimising the economic/financial profiles of work-out activities.



Based on these considerations, the accounting model for impairment for the Group's non-performing loans only envisages a different application for:

- loans subject to ordinary collection process: application of existing accounting policies, reviews to take into account changes introduced by IFRS 9, including, in particular, the forward-looking element;
- loans included in the sale programme: measured with the ordinary policy plus any add-ons to adjust the portfolios to the presumable realisable value.

To determine the add-on, the Group considers the following elements:

- selection of the portfolios that are presumed to be sold: the perimeter includes positions with a certain attractiveness on the market, indicated by the fact that other banks have already carried out sales and expressions of interest that have already been received, as well as additional positions resulting from assessments of economic benefit performed by the Parent Company's competent bodies (e.g., presence of extended bad loans or high danger rate);
- probability of sale: the probability is guided by the target sales level included in the NPL Strategy;
- sale prices: derived from mass transactions on similar portfolios and single names made by the Group or from transactions carried out on the market in recent years.

Impairment losses calculated with the simplified method

Expected losses are quantified according to the provisions of the simplified method established under IFRS 9 based on the Lifetime ECL and therefore do not require verification of the significant increase in credit risk compared to the credit risk at the date of the asset's initial recognition. The Group adopts this method for trade receivables and assets deriving from contracts that do not have significant financial components, i.e. only cases for which the adoption of the simplified approach is mandatory pursuant to IFRS 9. In this regard, the Group has chosen not to use this method for those cases in which the application is optional.

Methods for calculating impairment on equity investments

At the end of every reporting period, the equity investments in associates or jointly controlled entities are evaluated to check whether there is objective evidence of impairment that might render the book value of these assets not entirely recoverable.

The process of recognising impairment involves verifying the presence of indicators of possible reductions in value and calculating any write-down. There are numerous impairment indicators, differentiated by type, listed or unlisted, of equity investments.

For listed equity investments:

- a fair value, at the reporting date, that is at least 30% lower than the book value, or
- a prolonged period, of more than 36 months, in which the fair value is lower than the book value, or
- a book value for the equity investment in consolidated financial statements that exceeds the corresponding portion of equity (existence of implicit goodwill), or
- a stock market capitalisation that is lower than the book value of the equity investment or the company's net equity.

For listed and unlisted equity investments:

- negative trends in dividends distributed by the investee;
- significant downward revision of profit forecasts;
- significant gap between actual results and the budget objectives or that envisaged in a long-term plan and communicated to the market;
- contracting or negative economic performance;
- negative performance for the investee's business sector;
- changes in the technological, economic, and regulatory environment that could result in difficulties for the business in identifying alternative business growth strategies;
- downward revision in the rating, expressed by a specialised rating agency assigned to the financial instrument, with respect to that on the instrument's acquisition date;
- negative cash flows;



- announcement/launch of debt restructuring plans;
- launching/requesting bankruptcy proceedings;
- any reporting exceptions or references regarding the applicability of the going concern assumption formulated by the independent auditors.

The presence of impairment indicators entails the recognition of a write-down in the amount for which the recoverable value is lower than the book value. The recoverable value is the greater of the fair value less costs to sell and the value in use.

For the methods used to determine the fair value, refer to the information in chapter A.4 - Information on fair value in the Notes to the financial statements.

The value in use is the present value of cash flows arising from the asset; it reflects the estimate of the cash flows expected from the asset, the estimate of possible changes in the amount and/or timing of cash flows, the time value of money, the price for remunerating the asset's risk and other factors that can influence the pricing, by market dealers, of the cash flows expected from the asset.

The value in use is determined by discounting future cash flows.

Methods for calculating impairment on other non-financial assets

Goodwill posted following acquisitions is subjected to an impairment test at least once a year and whenever there are signs of impairment. For testing purposes, once goodwill has been allocated to cash-generating units (CGUs), the book value is compared with the recoverable value of said units. The discounted cash flow (DCF) method is normally used to determine the recoverable value of the CGUs. To this end, senior management has estimated CGU cash flows; these are dependent on several factors, including cost and revenue growth rates, which in turn depend on changes in the real economy, customer behaviour, competition and other factors.

The property, plant and equipment and intangible assets with definite useful life are tested for impairment in the presence of any indication that the book value of the asset may not be recovered. The recoverable value is computed with reference to (i) the fair value of the property, plant and equipment or intangible asset, net of the charges for disposal or (ii) the value in use if determinable and if it is above fair value.

In particular, the recoverable value of properties is determined on the basis of an appraisal or index-based valuations. The loss in value is reported only if the fair value less costs to sell, or the value-in-use, is less than the book value.

Similar to owned properties, the values of right of use assets acquired through leasing are subject to impairment testing, if the conditions are met. The test is performed when the following events or situations arise: full/partial abandonment, under-use or non-use of the leased asset. In addition, it is necessary to refer to indicators from internal sources such as signs of obsolescence and/or physical deterioration of the asset, restructuring plans and closures of branches and external sources such as, for example, the increase in interest rates or other rates of return on the market for investments that may cause a significant decrease in the recoverable value of the asset.

Methods for recognising deferred tax assets (probability test)

The Group verifies the possibility of recognising tax assets based on a probability test, as described below.

Forecast plans approved by the Board of Directors are used; obviously, the plans of the subsidiaries are consistent with the Group's forecasts. Since the forecast plans cover a limited time horizon, the results subsequent to the plan horizon are assumed to be equivalent to those of the last year of the plan and increased by a compound growth factor "g", commonly used for determining the value of companies.

In any case, the framework of the probability test is consistent with that of the impairment test used for the measurement of goodwill, except for the specifics related to regulatory requirements (IAS 12 and IAS 36, respectively) such as, for example, the possibility in the probability test to take into account business restructuring and reorganisation actions included in the forecast plans, which is not considered in the goodwill impairment test.

In order to reflect the uncertainty associated with realising future taxable income suitable to allow the recovery of deferred tax assets, a discount factor is used based on data observable on the market and consistent with the risk

The application of this discount factor represents a method for reflecting the uncertainty connected with realising future income; in any case, it is believed that the horizon considered for purposes of the taxable income test, whose realisation is considered probable, cannot exceed 20 years.



In developing the probability test, where applicable, the national tax consolidation agreements in which the Group participates are taken into account.

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Transparency obligations within the framework of public disbursements

Note that, at the reporting date of these financial statements, the contributions received by the Parent Company for 2019 in relation to training activities totalling EUR 3.1 mln are present in the National Register for State Aid and publicly available in the “Individual Aid” Transparency section. For more details, please refer to the following link:

https://www.rna.gov.it/sites/PortaleRNA/it_IT/trasparenza

To be noted is that the subsidiary MPS TENIMENTI POGGIO BONELLI AND CHIGI SARACINI SOCIETA' AGRICOLA S.p.A. has received EUR 0.3 mln in 2019 as assistance, contributions and bonuses to support agricultural production in EU countries.

A.3 Information on portfolio transfers

The tables on transfers between portfolios of financial assets were not created, as the Group did not carry out any reclassification transactions following the change in the business model.



A.4 – Information on fair value

Qualitative Information

A.4.1.a Fair value level 2: measurement techniques and inputs used

Fair value 31.12.2019									
Items	Financial assets held for trading	Financial assets measured at fair value mandatory	Financial assets measured at fair value through other comprehensive income	Hedging derivatives	Financial liabilities held for trading	Financial liabilities designated at fair value	Hedging derivatives	Type	Valuation technique(s)
Debt securities	703,027	45,074	535,480	X	-	247,116	X	Bonds	Discounted Cash Flow
Equity instruments	22	1	13,802	X	X	X	X	Structured bonds	Interest rate curve, CDS curve, Basis(yield), Inflation Curves
Units of UCITS	-	65,548	X	X	X	X	X	Bonds	Interest rate curve, CDS curve, Basis(yield), Inflation Curves + inputs necessary to measure optional component
Debits	X	X	X	X	103	7	X	Share/Equity Instruments	Market price
								Equity Instruments	Market price
								Equity Instruments	Discount cash flow
								Funds/PE	Net asset adjusted
								Uncovered short positions	Nav investor report
								Loans to customers	Market price, Comparable approach
								IR/Asset/Currency Swaps	Interest rate curve, CDS Curve, Basis(yield), Inflation Curve, Foreign exchange rates and correlation
								Equity swaps	Share price, Interest rate curve, Forcing exchange rates
								Forex Singlename Plain	Interest rate curve, Forcing exchange rates, Forex volatility
								Forex Singlename Exotic	Interest rate curve, Forcing exchange rates, Forex volatility (Surface)
								Equity Singlename Plain	Interest rate curve, share price, foreign exchange rates, Equity volatility
								Equity Singlename Exotic	Interest rate curve, share price, foreign exchange rates, Equity volatility, model parameters
								Equity Multiname Plain	Interest rate curve, share price, foreign exchange rates, Equity volatility, Quanto correlations, Equity/Equity correlations
								Equity Multiname Exotic	Interest rate curve, share price, foreign exchange rates, Equity volatility (surface), Model inputs, Quanto correlation, Equity/Equity correlation
								Plain Rate	Interest rate curve, inflation curves, bond prices, foreign exchange rates, Rate volatility, rate correlations
								Spot-Forward	Market price, Swap Point
								Default swaps	CDS curves, Interest rate curve
Credit Derivatives	2,676	X	X	-	124,714	X	X	Discounted Cash Flow	
Total assets	3,630,523	110,023	549,282	73,003	X	X	X		
Total liabilities	X	X	X	X	1,446,095	247,116	1,315,905		

* prices for identical financial instruments listed in non-active markets (IFRS 13, para. 82, lett. b)



A.4.1.b Fair value level 3: measurement techniques and inputs used

Items	Fair value 31.12.2019			Type	Valuation technique(s)	Unobservable inputs	Range (weighted average)
	Financial assets measured at fair value mandatory	Financial assets measured at fair value through other comprehensive income					
Debt securities	245,172			Junior Tranche NPL Securitization - Convertible Bonds Strumento Finanziario Partecipativo	SPV Assets/Liabilities Credit Model Credit Model	Yield Credit Data (LGD/PD) Credit Data (LGD/PD)	12.0% 42%/100% 42%/100%
Equity instruments	9,514	229,480.0		Investments Equity instruments Equity instruments	DCF Model External Pricing Discounted Cash Flow Cost/Net equity	Liquidity base/Equity Risk Premium/Beta Fair value asset	9% 13.3%/10%/2% 20%/8%/0.4
Units of UCITS	74,892	X		Real estate closed-end Alternative investment fund Closed-end Fund	Nav Investor report Discounted cash flow External Price	Relazione stima immobili Fair value asset Fair value asset	7.7 mln€ 10.4% 10 mln€
Loans	323,738			Loans Loans Loans Loans	Discounted Cash Flow Discounted Cash Flow Discounted Cash Flow Discounted Cash Flow	NPE spread LGD PD PE spread	1.92% / 4.52% 0% / 82.7% 0.03% / 45% 0.01% / 2.43%
Total Assets	653,316	229,480					
Total liabilities	X	X					



A.4.2 Measurement processes and sensitivity

A description of Level 3 instruments that show significant sensitivity to changes in unobservable inputs is provided below.

The column “Other financial assets measured at fair value as per mandatory requirements”, in the “Debt securities” category valued according to the Credit Model method, essentially include two convertible bonds and participative financial instruments issued by Sorgenia S.p.A. and Nuova Sorgenia Holding S.p.A., respectively, as part of the restructuring of the original debt position for a total amount of EUR 199.4 mln. The securities are measured according to the credit models and the value obtained is in line with the assumptions for asset recovery underlying the binding purchase offer for Sorgenia S.p.A. proposed by F2i funds and Asterion Capital Partners in December 2019. The sensitivity of these positions, defined as the loss deriving from the impact on non-observable parameters such as the probability of default (PD) and loss given default (LGD) following a (negative) change in the administrative status of the counterparties, is quantified at approximately EUR 8.4 mln.

The NPL securitisation position in the junior tranche, with nominal value of EUR 28 mln, was measured with the Discounted Cash Flow method, discounting future cash flows based on expected collections. It is estimated that a fluctuation in these values may have an impact on the value of the note of EUR -0.6 mln.

The column “Other financial assets measured at fair value as per mandatory requirements” also includes loans (totalling EUR 323.7 mln) that are required to be measured at fair value, as the contractual cash flows do not exclusively provide for the repayment of principal and payment of interest on the principal to be repaid (i.e., do not pass the “SPPI test”), either by virtue of clauses originally envisaged in the contract or following subsequent amendments. The fair value is calculated using the Discounted Cash Flow (DCF) approach, applied in a different manner depending on whether they are performing or non-performing loans: in the former case, the contractual cash flows are discounted with a risk-adjusted curve that incorporates risks that affect the cost of credit, cost of funding, and capital; in the latter case, the recoverable value is discounted by applying a spread to include risks inherent in a possible sale on the market. The unobservable parameters are Probability of Default (PD), Loss Given Default (LGD) and the different spreads for performing and non-performing assets. It is estimated that changes in these parameters of 10% / 5% / 1% / 1% would have an impact on the fair value equivalent to EUR -13 mln at Group level.

Equity securities include the investment in the Voluntary Scheme of EUR 6 mln represented by the shares resulting from the conversion of the subordinated security issued by Banca Carige following the bank's capital strengthening transaction.

Finally, the majority of the units of UCITS refers to units of funds assumed following the sale of non-performing loans (Back2bonis, IDEA CCR I and II), equal to a total of EUR 56.2 mln. The Group has estimated the value of these units as the sum of the present values of the expected fund distributions (DCF). The inputs used are as follows:

- cash flows related to net distributions to investors envisaged in the business plans/management reports;
- discount rate of 10.4%, estimated as the implicit rate in the collections realised in the disposal transactions for unlikely to pay positions that the Group has implemented over the past two years.

A change in the discount rate (+/- 1%) and forecasted distributions (+/- 10%) would result in the following range of values: EUR 48.7 - 64.3 mln.

The same category of UCITS also includes:

- a position of EUR 7.7 mln held in the Athens Real Estate closed-end real estate investment fund that the Group assumed by way of “acceptance in return” as part of a loan restructuring transaction;
- the total of contributions, made from June 2016, to the Italia Recovery Fund (formerly Atlante due) for a book value of EUR 10 mln. This position takes into account the fund's residual assets after the write-off of the two main equity investments in the fund's assets (BPVI and Veneto Banca).

The “Financial assets measured at fair value through other comprehensive income” accounting portfolio includes the shareholding in Bank of Italy (EUR 187.5 mln), measured using the Discounted Cash Flow method. Specifically, the shareholding was measured using the methodology identified by the Committee of Experts in the document “An update on the value of Bank of Italy equity securities”. This document not only details the valuation techniques adopted to reach the end result, but identified the following entity-specific parameters: the market beta, equity risk premium, and the cash flow base. The valuation of that equity investment is also confirmed in market transactions carried out in recent years by certain banks. The range of possible values that can be assigned to these parameters cause the following changes in value: roughly EUR -34 mln for every 100



bps increase in the equity risk premium, roughly EUR -54 mln for every 10 pp increase in the market beta, and roughly EUR -32 mln for every 10 pp increase in the cash flow base.

This category also includes equity securities valued at cost/equity representing all investments measured at fair value which could not be measured according to a market-based model. These positions amount to EUR 42 mln.

A.4.3 Fair value hierarchy

IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date under current market conditions.

The fair value of financial instruments listed in active markets is determined by using quoted market prices; quoted market prices for similar instruments or internal valuation models are used for other financial instruments.

Financial instruments are classified in three different levels according to the reliability of the inputs used during measurement.

The methods for classifying financial instruments in the three-level fair value hierarchy are shown below.

Level 1

This level shall include financial instruments measured using unadjusted quoted prices in active markets for identical instruments.

IFRS 13 defines an active market as a market in which transactions take place with sufficient frequency and volume to provide information on an ongoing basis. A financial instrument is quoted in a financial market when:

- the quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, authorised body or regulatory agency;
- the quoted prices represent actual and regularly occurring market transactions on an arm's length basis.

If the quoted prices meet these criteria, they represent the best estimation of fair value and must be used to measure the financial instrument.

From the definition of active market set out in IFRS 13, it is inferred that the active market concept is particular to the individual financial instrument being measured and not to the market on which it is listed; the fact that a financial instrument is quoted in a regulated market is therefore not in itself sufficient for the aforementioned instrument to be defined as listed in an active market. Conversely, a financial instrument that is not traded in a regulated market may present sufficient frequency and volumes for it to be classified in level 1 of the fair value hierarchy.

Levels 2 and 3

Financial instruments not listed in an active market must be classified in level 2 or 3.

Classification in level 2 rather than level 3 is determined on the basis of market observability of the significant inputs used to determine fair value. A financial instrument must be fully classified in a single level; if inputs belonging to different levels are used for the purpose of measuring an instrument, the aforementioned instrument is classified based on the lowest level of input that is significant to the fair value measurement.

An instrument is classified in level 2 if all significant inputs are directly or indirectly observable on the market. An input is observable if it reflects the same assumptions used by market participants, based on independent market data.

Level 2 inputs are as follows:

- a) quoted prices on active markets for similar assets or liabilities;
- b) quoted prices for the instrument in question or for similar instruments on non-active markets, i.e. markets where:
 - there are few transactions;
 - the prices are not current or they vary substantially over time and between the different market makers or
 - little information is made public;



- c) observable market inputs other than quoted prices (e.g. interest rates or yield curves observable in different buckets, volatility, credit curves, etc.);
- d) inputs that derive primarily from observable market data, the reporting of which is confirmed by parameters such as correlation.

A financial instrument is classified in level 3 if the measurement techniques adopted use non-observable market inputs and their contribution to estimating fair value is deemed significant.

All financial instruments not listed in active markets are classified in level 3 where:

- despite having observable data available, significant adjustments based on non-observable data are required;
- the estimate is based on internal assumptions on future cash flows and risk adjustment of the discount curve.

It should also be noted that regardless of whether measurement techniques adopted use non-observable market inputs, the Group deemed it appropriate and conservative to include in Level 3 of the fair value hierarchy any instruments not listed in active markets which are complex by their financial structure or for which there is no clear measurement method recognised as standard in the market and adjustable based on observable prices of comparable structures.

This applies, for example, to assets in the structured credit category not listed in an active market. Although, in some cases, this category could avail itself of appropriate measurement models that make use of observable market inputs (e.g. credit default swap curves) or quotations by primary counterparties, the lack of a liquid market on correlations in the wake of the financial crisis made it necessary to use subjective estimates. Given the complexity of these structures, the Group decided to classify these instruments in level 3, in the absence of an active market, regardless of the observability of input parameters significant for their mark-to-model measurement.

The processes used to measure level 3 instruments are based on a shared analysis of the types of instruments and underlying risk parameters by the Group's Business functions and Risk Management. The analysis is completed with the formulation of a pricing model and/or a model for determining non-observable market inputs, which is subject to final validation by Risk Management. At different time intervals depending on the type of instruments (though commonly on a monthly basis) on the back of directly observable market inputs, the Group's Business functions proceed with determining the non-observable market inputs and measuring instruments of level 3. The Risk Management function, based on a shared methodological approach, proceeds with the final validation of fair value. In support of this activity and with a view to ensuring an adequate level of auditability, assessment data sheets have been introduced and are updated on a six-monthly basis for individual instruments classified in level 3, which contain a brief description of the instrument, pricing methods adopted and details about inputs used for fair value measurement.

As for fair value transfers between different levels, it is noted that the Group has set some rules to determine whether a financial instrument is level 1 or 3; level 2 is determined, from the logical point of view, on a residual basis. When an instrument no longer meets the conditions for classification in level 1 or 3, a new level is determined.

A.4.4 Other information

With reference to par. 93 lett. (i) of IFRS 13, the Group does not hold any non-financial assets designated at fair value on a recurring and non-recurring basis.

With reference to par. 96 of IFRS 13, the Group does not apply the portfolio exception provided for in par. 48 of IFRS 13.



Qualitative Information

A.4.5 Fair value hierarchy

A.4.5.1 Assets and liabilities measured at fair value on a recurring basis: breakdown by fair value level.

Asset and liabilities measured at fair value	31 12 2019				31 12 2018			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Financial assets measured at fair value through profit and loss of which:	6,271,937	3,741,146	653,316	10,666,399	4,888,947	3,828,188	546,509	9,263,644
a) Financial asset held for trading	6,271,937	3,630,523	-	9,902,460	4,888,947	3,668,497	2,523	8,559,967
b) Financial assets designated at fair value	-	-	-	-	-	-	-	-
c) other financial assets measured at fair value mandatory	-	110,623	653,316	763,939	-	159,691	543,986	703,677
2. Financial assets measured at fair value through other comprehensive income	5,948,059	549,282	229,480	6,726,821	9,930,304	516,647	234,549	10,681,500
3. Hedging derivative	-	73,003	-	73,003	-	99,091	-	99,091
Total assets	12,219,996	4,363,431	882,796	17,466,223	14,819,251	4,443,926	781,058	20,044,235
1. Financial liabilities held for trading	2,435,928	1,446,695	-	3,882,623	1,873,363	1,300,190	-	3,173,553
2. Financial liabilities designated at fair value	-	247,116	-	247,116	-	258,235	-	258,235
3. Hedging derivative	-	1,315,905	-	1,315,905	-	748,501	-	748,501
Total liabilities	2,435,928	3,009,716	-	5,445,644	1,873,363	2,306,926	-	4,180,289

The financial instruments measured at fair value and classified in level 3 of the hierarchy consist of instruments not listed in active markets, valued using the mark-to-model approach, for which input data include, inter alia, non-observable market data significant for measurement purposes or observable market data that requires significant adjustment based on non-observable data, or that requires internal Parent Company assumptions and estimations of future cash flows.

Additional information on level 3 financial instruments can be found in the comments under the tables for the individual balance sheet items concerned.

The fair value of some financial assets, particularly the bonds for approx. EUR 7 mln, worsened during the year from level 1 to level 2. This was essentially due to worsening of the liquidity conditions of the securities (measured in terms of bid-ask spread of the listed price), leading to the level transfer, in accordance with the Group's policy on the valuation of financial instruments.

The financial instruments that improved from fair value level 2 to level 1 refers to bonds for a total of EUR 55 mln. The change in the fair value level during the year is essentially linked to the improvement in the securities' liquidity conditions (measured in terms of bid-ask spread of the listed price), which allowed the level transfer in accordance with the Group's policy on the valuation of financial instruments.

As for OTC derivatives, in compliance with IFRS 13 the Group calculates adjustments to values, obtained through valuation models using risk-free interest rates, to take account of the creditworthiness of the individual counterparty. This risk measure, known as Credit Value Adjustment (CVA), is estimated for all OTC derivative positions with non-collateralised institutional and commercial counterparties having a Credit Support Annex (CSA) not in line with market standards.

The methodology is based on the calculation of expected operational loss linked to counterparty rating and estimated on a position's duration. The exposure includes future credit variations represented by add-ons.

Market-consistent probability measurements are employed in the calculation of CVAs in order to gauge market expectations resulting from CDS prices without, however, losing the historical information available within the Group.

The impact of the CVA as at 31 December 2019 amounted to EUR -23.3 mln.

The Group calculates the value adjustment of OTC derivatives in a mirror image fashion and on the same perimeter to take into account its creditworthiness, known as Debit Value Adjustment (DVA). As at 31 December 2019, the DVA is positive and amounts to a total of EUR 6.1 mln.



A.4.5.2 Annual changes of financial assets measured at fair value on a recurring basis (level 3)

31 12 2019

	Financial assets measured at fair value through profit and loss				Financial assets measured at fair value through other comprehensive income
	Total	of which: a) financial assets held for trading	of which: b) financial asset measured at fair value	of which: c) financial assets measured at fair value mandatory	
1. Opening balance	546,509	2,523	-	543,986	234,549
2. Increases	330,299	-	-	330,299	1,659
2.1 Purchase	2,021	-	-	2,021	-
2.2 Profit posted to:	185,298	-	-	185,298	296
2.2.1 Profit and Loss	185,298	-	-	185,298	-
- of which capital gains	178,776	-	-	178,776	-
2.2.2 Equity	-	X	X	-	296
2.3 Transfers from other levels	52,444	-	-	52,444	-
2.4 Other increases	90,536	-	-	90,536	1,363
3. Decreases	223,492	2,523	-	220,969	6,728
3.1 Sales	48,439	-	-	48,439	5,248
3.2 Redemptions	44,484	-	-	44,484	-
3.3 Losses posted to:	125,511	-	-	125,511	1,480
3.3.1 Profit and Loss	125,511	-	-	125,511	-
- of which capital losses	119,206	-	-	119,206	-
3.3.2 Equity	-	X	X	-	1,480
3.4 Transfers to other levels	2,523	2,523	-	-	-
3.5 Other decreases	2,535	-	-	2,535	-
4. Closing balance	653,316	-	-	653,316	229,480

The amount reported in the column “Other financial assets measured at fair value as per mandatory requirements” corresponding to the line item:

- “2.2.1 Profits charged to the income statement - of which gains” of EUR 178.8 mln, referring to the total of EUR 155 mln for the revaluation of both convertible bonds issued by Sorghenia Group and equity instruments issued by Nuova Sorghenia Holding S.p.A.²⁹ and Tirreno Power S.p.A. as well as the total of EUR 23 mln for the revaluation of loans sold during the year;
- “2.3 Transfers from other levels” amounting to EUR 52.1 mln mainly refers to units of UCITS with underlying NPE loans or deriving from restructuring transactions of the original credit positions which have been downgraded from level 2 to level 3 in the fair value hierarchy as required by IFRS 13;
- “2.4 Other increases” equal to EUR 90.5 mln includes approximately EUR 40.3 mln in positions that during the year were reclassified from the loan portfolio at amortised cost to the portfolio of other assets measured at fair value as per mandatory requirements due to substantial credit changes not consistent with the SPPI test, as well as

²⁹ The securities are measured according to the credit models and the value obtained is in line with the assumptions for asset recovery underlying the binding purchase offer for Sorghenia S.p.A. proposed by F2i funds and Asterion Capital Partners in December 2019.



new disbursements. The line also includes, for an amount of EUR 32.3 mln, the purchase of units of the Back2bonis fund obtained in exchange for the sale of non-performing loans as part of the Cuveè transaction.

- “3.1 Sales” of EUR 48.4 mln refers to the sale during 2019 of loans classified as unlikely to pay;
- “3.2 Repayments”, equal to EUR 44.5 mln, refers to collections on loans for EUR 37 mln;
- “3.3.1 Losses charged to the income statement - of which losses” of EUR 119.4 mln refers to write-downs during the year on non-performing loans (EUR 76.4 mln) and write-downs on debt securities (EUR 42.8 mln, of which EUR 11 mln attributable to the junior notes for the Siena NPL securitisation and EUR 8 mln for the investment in the Voluntary Scheme in relation to Banca Carige), as well as units of UCITS (EUR 19.3 mln).

A.4.5.3 Annual changes of financial liabilities measured at fair value on a recurring basis (level 3)

This table was not created as the Group did not have any liabilities measured at fair value on a recurring basis in level 3 of the fair value hierarchy in the current year or previous year.

A.4.5.4 Assets and liabilities not measured at fair value or measured at fair value on a non-recurring basis: breakdown by fair value level

Financial asset/liabilities not measured at fair value or measured at fair value on a non-recurring basis	31 12 2019					31 12 2018				
	Book value	Level 1	Level 2	Level 3	Total Fair value	Book value	Level 1	Level 2	Level 3	Total Fair value
1. Financial assets measured at amortised cost	104,707,537	6,888,721	22,755,369	81,655,867	111,299,957	98,496,860	160,623	15,834,968	83,775,480	99,771,071
2. Property, plant and equipment held for investment	328,759	-	-	357,293	357,293	338,281	-	-	368,924	368,924
3. Non-current assets and groups of assets held for sale	159,820	-	-	917	917	4,595,135	-	-	4,596,173	4,596,173
Total assets	105,196,116	6,888,721	22,755,369	82,014,077	111,658,167	103,430,276	160,623	15,834,968	88,740,577	104,736,168
1. Financial liabilities measured at amortised cost	114,148,310	11,918,532	102,437,979	-	114,356,511	111,087,471	6,770,907	104,016,610	-	110,787,517
4. Liabilities associated to disposal groups held for sale	-	-	-	-	-	1,180,149	-	2,195	-	2,195
Total liabilities	114,148,310	11,918,532	102,437,979	-	114,356,511	112,267,620	6,770,907	104,018,805	-	110,789,712

With reference to assets and liabilities not measured at fair value, note that, in the context of financial assets and liabilities measured at amortised cost, all loans to customers, other than debt securities and the repurchase agreements of the subsidiary MPS Capital Services S.p.A., are considered level 3, since the fair value was determined based on unobservable parameters, mainly attributable to estimates of expected losses calculated using indicators not observable on the market.

Loans to banks, other than debt securities and non-performing loans, and deposits from banks/customers are considered level 2. In particular, for liabilities at amortised cost other than securities issued, the book value was used as an expression of fair value, as permitted by IFRS 7.

For all the aforementioned portfolios, the rules followed for classification in hierarchy levels, as well as the techniques and parameters used in estimating fair value, shown in financial statements for disclosure purposes only, require significant discretionary elements; therefore, it is possible that a different estimate of these parameters or the use of alternative measurement techniques could lead to significantly different fair values, also depending on the different purposes for calculating them.

Assets that are not measured at fair value include property, plant and equipment held for investment purposes. The fair value used for disclosure purposes is classified as level 3 in the hierarchy, as it is determined based on appraisals or index valuations.

As at 31 December 2019, the items measured in the financial statements at fair value on a non-recurring basis refer to assets held for sale, in accordance with IFRS 5, and are mainly attributable to loans that are in the process of being sold. In this regard, note that the fair value levels indicate only the assets measured at fair value less disposal costs. For more information on the item “Non-current assets held for sale and discontinued operations”, please refer to the specific information provided in Section 12 “Non-current assets held for sale/discontinued operations and associated liabilities” in Part B of these Notes to the financial statements.

A.5 Information on "day one profit/loss"

The Group did not generate day one profit/loss from financial instruments pursuant to paragraph 28 of IFRS 7 and other related IAS/IFRS paragraphs.



Part B – Information on the balance sheet

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ASSETS

Section 1 - Cash and cash equivalents - Item 10

1.1 Cash and cash equivalents: breakdown

	Total 31 12 2019	Total 31 12 2018
a) Cash	834,133	908,634
b) Demand deposits with central banks	971	37,004
Total	835,104	945,638

The line “Demand deposits with central banks” does not include the compulsory reserve, which is shown in asset item 40 “Financial assets measured at amortised cost”, under loans to banks.

Section 2 - Financial assets measured at fair value through profit and loss - Item 20

2.1 Financial assets held for trading: breakdown

Voci/Valori	Total 31 12 2019				Total 31 12 2018			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
A. Balance-sheet assets								
1. Debt securities	6,102,818	703,627	-	6,806,445	4,762,530	599,466	2,523	5,364,519
1.1 Structured securities	14,164	102,311	-	116,475	3,571	73,558	-	77,129
1.2 Other debt securities	6,088,654	601,316	-	6,689,970	4,758,959	525,908	2,523	5,287,390
2. Equity instruments	34,983	22	-	35,005	20,826	23	-	20,849
3. Units of UCITS	92,803	-	-	92,803	46,259	-	-	46,259
4. Loans	-	-	-	-	-	-	-	-
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	-	-	-	-	-	-
Total (A)	6,230,604	703,649	-	6,934,253	4,829,615	599,489	2,523	5,431,627
B. Derivatives								
1. Financial derivatives:	41,333	2,924,198	-	2,965,531	59,332	3,054,938	-	3,114,270
1.1 held for trading	41,333	2,882,350	-	2,923,683	59,332	3,017,257	-	3,076,589
1.2 fair value option	-	41,848	-	41,848	-	37,681	-	37,681
1.3 Others	-	-	-	-	-	-	-	-
2. Credit derivatives:	-	2,676	-	2,676	-	14,070	-	14,070
2.1 held for trading	-	2,676	-	2,676	-	14,070	-	14,070
2.2 fair value option	-	-	-	-	-	-	-	-
2.3 Others	-	-	-	-	-	-	-	-
Total (B)	41,333	2,926,874	-	2,968,207	59,332	3,069,008	-	3,128,340
Total (A+B)	6,271,937	3,630,523	-	9,902,460	4,888,947	3,668,497	2,523	8,559,967

Criteria adopted for classification of financial instruments in the three levels of the “fair value hierarchy” are reported in Section A.4, “Fair value disclosure” of Part A, “Accounting policies” of the notes to the financial statements, to which reference should be made.

As a result of the provisions set out in IFRS 9 with regard to the derecognition of financial assets, lines 1.1 Structured securities and 1.2 Other debt securities of the item “Cash assets” also include debt securities pledged in repos and securities lending transactions carried out in respect of own securities posted to the trading book.



The amount of EUR 601.3 mln (EUR 525.9 mln as at 31 December 2018), reported on line “1.2 Other debt securities”, in the level 2 column, includes senior, mezzanine and junior exposures assumed by the Group with reference to third-party securitisation transactions, equal to EUR 224.2 mln (EUR 215.0 mln as at 31 December 2018), EUR 125.8 mln (EUR 86.6 mln as at 31 December 2018) and lastly EUR 46.7 mln (EUR 72.1 mln as at 31 December 2018), respectively.

Derivatives connected with fair value option instruments are also classified as derivative instruments: these cover the risks of funding measured at fair value arising from possible interest rate fluctuations and from any embedded options in fixed-rate and structured bonds issued by the Parent Company (natural hedging). The positive fair value of these derivatives is shown in the table in line “B.1-1.2 – Fair value option”.

By convention, such derivatives are classified in the trading book. In terms of their representation in the income statement, they comply with rules similar to the rules applicable to hedging derivatives: positive and negative spreads or margins settled or accrued until the reporting date are recognised as interest income and expense, while valuation profits and losses are posted under item 80 of the income statement, “Net profit (loss) from trading”, contrary to funding instruments included in the fair value option, for which profit, loss, capital losses and capital gains fall under item “110 a) Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss a) financial assets and liabilities measured at fair value” of the income statement.

2.1 a Breakdown of debt securities: structured securities

Structured debt securities	Total 31 12 2019	Total 31 12 2018
Index Linked	45,377	27,346
Reverse convertible	-	2,443
Convertible	216	628
Credit linked notes	2,485	-
Equity Linked	-	12,266
Cap Floater	40,161	24,348
Reverse Floater	8,446	-
Fund Linked	19,790	9,998
Other	-	100
Total	116,475	77,129

The table adds details to line “A.1.1 Structured securities” of table 2.1 above. As at 31 December 2019, structured debt securities amounted to EUR 116.5 mln, compared to EUR 77.1 mln in the previous year. The main changes were recorded in the “Index Linked”, “Cap Floater” and “Fund Linked” categories.



2.2 Financial assets held for trading: breakdown by borrower/issuer/counterparty

Items / Amounts	Total 31 12 2019	Total 31 12 2018
A. Balance sheet assets		
1. Debt securities	6,806,445	5,364,519
a) Central banks	-	-
b) Public entities	5,742,086	4,588,778
c) Banks	472,165	287,648
d) Other financial companies	521,611	434,430
of which: insurance companies	4,888	6,707
e) Non-financial companies	70,583	53,663
2. Equity instruments	35,005	20,849
a) Banks	504	140
b) Other financial companies	10,126	1,046
of which: insurance companies	8,965	336
c) Non-financial companies	24,375	19,663
d) Other issuers:	-	-
3. Units of UCITS	92,803	46,259
4. Loans	-	-
Total (A)	6,934,253	5,431,627
B. Derivatives	-	-
a) Central counterparties	-	-
b) Others	2,968,206	3,128,339
Total (B)	2,968,206	3,128,339
Total (A+B)	9,902,459	8,559,966

The breakdown by borrower/issuer was carried out in accordance with criteria of classification by economic activity group and sector laid down by the Bank of Italy.

As for derivatives, it should be noted that the positive fair value of derivatives with customers includes approx. EUR 203.0 mln from balanced trading aimed at providing financial protection to customers of the Group's network. The remaining amount was generated from transactions with financial market participants classified as customers pursuant to the above classification criteria set by the Bank of Italy.



Provided below is the breakdown by main categories of UCITS.

Categories / Amounts	Total 31 12 2019	Total 31 12 2018
Equity	1	1
Bonds	154	435
Exchange Traded Funds (ETF)	87,526	45,823
Others	5,122	-
Total	92,803	46,259

The table adds details to line "A.3. Units of UCITS" of table 2.2 above.

2.3 Financial assets measured at fair value: breakdown

2.4 Financial assets measured at fair value: breakdown by borrower/issuer

Tables 2.3 and 2.4 were not completed since the Bank has no financial assets measured at fair value to report for either the current or previous year.

2.5 Other financial assets measured at fair value as per mandatory requirements: breakdown

Items	Total 31 12 2019				Total 31 12 2018			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	-	45,074	245,172	290,246	-	42,500	111,556	154,056
1.1 Structured securities	-	-	125,458	125,458	-	42,208	103,199	145,407
1.2 Other debt securities	-	45,074	119,714	164,788	-	292	8,357	8,649
2. Equity instruments	-	1	9,514	9,515	-	305	5,306	5,611
3. Units of UCITS	-	65,548	74,892	140,440	-	116,885	15,711	132,596
4. Loans	-	-	323,738	323,738	-	-	411,414	411,414
4.1 Repurchase agreements	-	-	-	-	-	-	-	-
4.2 Others	-	-	323,738	323,738	-	-	411,414	411,414
Total	-	110,623	653,316	763,939	-	159,690	543,987	703,677

Line "1.1 Structured securities" as at 31 December 2019 refers almost entirely to convertible bonds resulting from the restructuring of Sorgenia Group.

Line "1.2 Other debt securities" includes EUR 68.0 mln of securities referring to the mezzanine (EUR 45.1 mln) and junior (EUR 22.9 mln) tranches of the securitisation of MPS Group's bad loan portfolio.

Line "2. Equity securities" includes contributions to the IDPF Voluntary Scheme as at 31 December 2019, of which EUR 6.0 mln relating to the capitalisation intervention for Banca Carige and EUR 0.8 mln to the intervention for CR Cesena.

Line "3. Units of UCITS" contains in level 3 the units of UCITS assumed in exchange for the sale of NPE loans for EUR 56.5 mln, the units in the Atlante Fund for EUR 9.9 mln, and the real estate fund units assumed following loan restructuring operations for EUR 8.4 mln.

Line "4. Loans" consists of financial assets that must be valued at fair value as a result of their failure to pass the SPPI test.

At the reporting date, there are no equity securities arising from the recovery of impaired financial assets.



2.6 Other financial assets measured at fair value as per mandatory requirements: breakdown by borrower/issuer

Items/Amount	Total 31 12 2019	Total 31 12 2018
1. Equity instruments	9,514	5,612
<i>of which: banks</i>	6,096	-
<i>of which: other financial companies</i>	1,916	1,609
<i>of which: non-financial companies</i>	1,502	4,003
2. Debt securities	290,247	154,056
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	346	14,540
d) Other financial companies	142,097	72,279
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	147,804	67,237
3. Units of UCITS	140,440	132,596
4. Loans	323,738	411,413
a) Central Banks	-	-
b) Public Entities	-	-
c) Banks	-	-
d) Other financial companies	15,976	25,016
<i>of which: insurance companies</i>	-	-
e) Non-financial companies	272,366	345,223
f) Families	35,396	41,174
Total	763,939	703,677

The main cumulative losses relating to equity securities of clearly poor credit quality carried out prior to 2019 are:

- CISFI S.p.A. (EUR 10.9 mln);
- RCR S.p.A. (EUR 9.5 mln);
- Marina di Stabia S.p.A. (EUR 6.9 mln);
- Targetti Poulsen S.p.A. (EUR 6.6 mln);
- Marinella S.p.A. (EUR 5.5 mln);
- Compagnia Investimento e Sviluppo (EUR 3.8 mln).

During the course of the year, the Group did not write down any equity securities of clearly poor credit quality.

Provided below is the breakdown by main categories of UCITS.

Categories/Amounts	Total 31 12 2019	Total 31 12 2018
Hedge Funds	398	1,030
Private equity	75,133	74,944
Real estate	8,667	14,917
Non Performing Exposures	56,242	41,705
Totale	140,440	132,596

**Section 3 - Financial assets measured at fair value through other comprehensive income - Item 30****3.1 Financial assets measured at fair value through other comprehensive income: breakdown**

Items/Amounts	Total 31 12 2019				Total 31 12 2018			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
1. Debt securities	5,947,064	535,480	-	6,482,544	9,930,107	502,154	-	10,432,261
1.1 Structured securities	-	-	-	-	-	-	-	-
1.2 Other debt securities	5,947,064	535,480	-	6,482,544	9,930,107	502,154	-	10,432,261
2. Equity instruments	995	13,802	229,480	244,277	197	14,494	234,549	249,240
3. Loans	-	-	-	-	-	-	-	-
Total	5,948,059	549,282	229,480	6,726,821	9,930,304	516,648	234,549	10,681,501

As a result of the provisions set out in IFRS 9 for the derecognition of financial assets, line 1.2 also includes debt securities committed in repos (liabilities) and securities lending transactions carried out for own securities posted to financial assets measured at fair value through other comprehensive income.

Line “1.2 Other debt securities”, amounting to about EUR 6.5 bn, was down by EUR 3.9 bn mainly due to the disposal of certain Italian government bond positions.

It should be noted that EUR 2.7 bn are subject to fair value macro-hedging of the interest rate risk.

Line “2. Equity securities” (Level 3 column) includes EUR 187.5 mln for the investment in the capital of Bank of Italy.

At the reporting date, the aggregate does not include the Group’s senior, mezzanine and junior exposures with reference to own and third-party securitisation transactions and equity securities resulting from the collection of impaired financial assets.



3.2 Financial assets measured at fair value through other comprehensive income: breakdown by borrower/issuer

Items / Amounts	Total 31 12 2019	Total 31 12 2018
1. Debt securities	6,482,544	10,432,261
a) Central banks	-	-
b) Public entities	5,942,980	9,959,718
c) Banks	379,038	287,833
d) Other financial companies	106,540	67,933
<i>of which insurance companies</i>	-	-
e) Non-financial companies	53,986	116,777
2. Equity instruments	244,277	249,240
a) Banks	201,218	204,056
b) Other issuers:	43,059	45,184
- Other financial companies	28,883	27,824
<i>of which insurance companies</i>	-	-
- Non-financial companies	14,176	17,359
- Others	-	-
4. Loans	-	-
Total	6,726,821	10,681,501

The main cumulative losses relating to equity securities of clearly poor credit quality, almost entirely recognised in years prior to 2019, are:

- Fenice Holding S.p.A. (EUR 42.1 mln);
- Gabetti Group (EUR 2.7 mln);
- Arezzo Fiere (EUR 1.4 mln, of which EUR 1.3 mln during the year);
- Restart S.r.l. (EUR 1 mln).



3.3 Financial assets measured at fair value through other comprehensive income: gross value and overall value adjustments

	Gross exposure				Value adjustments			Partial write-off (*)
	1 stage		2 stage	3 stage	1 stage	2 stage	3 stage	
		<i>of which: low credit risk instruments</i>						
Debt securities	6,462,908	6,165,488	23,538	13,555	5,577	743	11,137	-
Loans	-	-	-	-	-	-	-	-
Totale 31 12 2019	6,462,908	6,165,488	23,538	13,555	5,577	743	11,137	-
Totale 31 12 2018	10,430,851	10,303,260	7,508	10,701	10,107	132	6,560	-
<i>of which: purchased or originated credit impaired financial assets</i>	X	X	-	-	X	-	-	-

* Value to be presented for disclosure purposes

The line “Debt securities” for the level three column includes a single position demoted to default during 2018: the gross value is indicated as the sum of the fair value as at the reporting date and the value adjustment as at the same date; in particular, the latter is equal to the expected credit loss recognised as an offsetting entry to item 130 b) of the income statement “Net impairment (losses)/reversals for credit risk of: b) financial assets measured at fair value through other comprehensive income”.



Section 4 - Financial assets measured at amortised cost - Item 40

4.1 Financial assets measured at amortised cost: breakdown of loans to banks

Type of transaction/ Amount	Total 31 12 2019							
	Book value			Total	Fair value			
	Stage 1 and Stage 2	Stage 3	<i>of which: impaired or originated impaired financial assets</i>		L1	L2	L3	Total
A. Loans to central banks	9,405,412	-	-	9,405,412	-	9,405,412	-	9,405,412
1. Time deposits	20,001	-	-	20,001	X	X	X	X
2. Compulsory reserve	9,385,411	-	-	9,385,411	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	6,316,756	236	-	6,316,992	21,994	6,251,650	237	6,273,880
1. Loans	5,542,439	236	-	5,542,675	-	5,541,760	237	5,541,997
1.1 Current accounts and demand deposits	2,573,158	157	-	2,573,315	X	X	X	X
1.2 Time deposits	47,376	-	-	47,376	X	X	X	X
1.3 Other loans	2,921,905	79	-	2,921,984	X	X	X	X
- Reverse repurchase agreements	537,816	-	-	537,816	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	2,384,089	79	-	2,384,168	X	X	X	X
2. Debt securities	774,317	-	-	774,317	21,994	709,889	-	731,883
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	774,317	-	-	774,317	21,994	709,889	-	731,883
Total	15,722,168	236	-	15,722,404	21,994	15,657,062	237	15,679,292

At the reporting date, the item includes non-performing loans for an amount of EUR 0.2 mln (EUR 1.8 mln as at 31 December 2018).

'Banks' also includes international entities of a banking nature subjected to zero weighting in accordance with prudential supervisory regulations on the standardised approach to counterparty and credit risk.

It should be noted that EUR 0.7bn are subject to specific fair value -hedging of the interest rate risk.

The portfolio of "Loans to banks" includes loans and deposits, in addition to the unrestricted part of the compulsory legal reserve with the Bank of Italy which, at year end, amounted to EUR 9,385.4 mln (EUR 6,639.4 mln as at 31 December 2018). In accordance with regulations on average maintenance levels, the end-of-period balance of the compulsory reserve may be subject to substantial changes in relation to the Group's contingent cash flow requirements.

Sub-item "B.1.3 Other loans – Other", totalling EUR 2,384.1 mln, includes security deposits of approximately EUR 1,986.6 mln.

At the reporting date, the aggregate does not include the Group's senior, mezzanine and junior exposures with reference to own and third-party securitisation transactions.



Type of transaction/ Amount	Total 31 12 2018							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	<i>of which: impaired or originated impaired financial assets</i>	Total	L1	L2	L3	Total
A. Loans to central banks	6,659,406	-	-	6,659,406	-	6,659,406	-	6,659,406
1. Time deposits	20,001	-	-	20,001	X	X	X	X
2. Compulsory reserve	6,639,405	-	-	6,639,405	X	X	X	X
3. Reverse repurchase agreements	-	-	-	-	X	X	X	X
4. Others	-	-	-	-	X	X	X	X
B. Loans to bank	5,669,382	1,833	-	5,671,215	22,696	5,534,526	1,833	5,559,056
1. Loans	4,921,264	1,833	-	4,923,097	-	4,917,378	1,833	4,919,211
1.1 Current accounts and demand deposits	2,346,141	120	-	2,346,261	X	X	X	X
1.2 Time deposits	43,389	-	-	43,389	X	X	X	X
1.3 Other loans	2,531,734	1,713	-	2,533,447	X	X	X	X
- Reverse repurchase agreements	833,589	-	-	833,589	X	X	X	X
- Finance leases	-	-	-	-	X	X	X	X
- Others	1,698,145	1,713	-	1,699,858	X	X	X	X
2. Debt securities	748,118	-	-	748,118	22,696	617,149	-	639,845
2.1 Structured securities	-	-	-	-	-	-	-	-
2.2 Other debt securities	748,118	-	-	748,118	22,696	617,149	-	639,845
Total	12,328,788	1,833	-	12,330,621	22,696	12,193,932	1,833	12,218,462



4.2 Financial assets measured at amortised cost: breakdown of loans to customers

Type of transaction/Amount	31 12 2019							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	<i>of which: impaired or originated impaired financial assets</i>	Total	L1	L2	L3	Total
Loans	73,877,560	5,798,046	41,779	79,675,606	-	4,438,359	81,655,630	86,093,989
1.1. Current accounts	4,626,040	633,763	2,115	5,259,803	X	X	X	X
1.2. Reverse repurchase agreements	4,434,020	-	-	4,434,020	X	X	X	X
1.3. Mortgage	49,045,953	4,102,229	13,365	53,148,182	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	666,500	23,579	-	690,079	X	X	X	X
1.5. Finance lease	2,769,519	333,120	-	3,102,639	X	X	X	X
1.6. Factoring	1,075,000	18,676	-	1,093,676	X	X	X	X
1.7. Other transactiones	11,260,528	686,679	26,299	11,947,207	X	X	X	X
<i>of which: operating receivable</i>	22,447	80	-	22,527	X	X	X	X
<i>of which: leased assets under construction</i>	164,826	7,461	-	172,287	X	X	X	X
Debt securities	9,309,526	-	-	9,309,526	6,866,727	2,659,949	-	9,526,676
1.1. Structured securities	-	-	-	-	-	-	-	-
1.2. Other debt securities	9,309,526	-	-	9,309,526	6,866,727	2,659,949	-	9,526,676
Total	83,187,086	5,798,046	41,779	88,985,132	6,866,727	7,098,308	81,655,630	95,620,665

“Loans to customers” also includes operating receivables for EUR 22.5 mln, other than those connected with the payment for the supply of non-financial goods and services, posted to “Other assets” in item 150 of the Assets, subject to the provisions pursuant to IFRS 9, paragraph 5.5.15 a) i).

The column impaired acquired or originated almost entirely comprises the granting of new loans to already non-performing counterparties. Furthermore, note that, as there were no business combinations carried out during the year, impaired loans were not acquired for these transactions.

Line “2.2 Other debt securities”, amounting to EUR 9.3 bn, was up by EUR 1.9 bn as compared to 31 December 2018. The increase was mainly due to the purchase of Italian government securities with the objective of operational matching of interest rate risk for the Bank’s bond liabilities. The aggregate also includes securities amounting to EUR 1.8 bn for senior notes related the securitisation transaction on the MPS Group’s bad loan portfolio, concluded in the first half 2018.

The line also includes bonds not listed in active markets issued mainly by regional public bodies, e.g. municipal bonds (it.: buoni ordinari comunali, BOC).

It should be noted that EUR 1.9 bn are subject to specific fair value -hedging of the interest rate risk.

“Loans to customers” include loans disbursed with funds made available by the Government or by other public entities, with the Group adopting partial or total risk. These funds are managed under the agreements signed by the MPS Group with Cassa Depositi e Prestiti (hereinafter CDP), in direct cooperation with ABI, and with regional financial institutions. In particular, the Group participated in the agreements set up by ABI and CDP:

- to support the business sector. These activities aim to encourage the disbursement of loans, depending on the case, to small and medium-sized companies, essentially to ensure financial coverage of costs for investments and/or linked to requirements to increase working capital and purchase or lease operating assets. Loans to SMEs by the Parent Company and by MPS CS, which must have a term of over 12 months, and the relative contractual conditions, which are not subject to CDP funding, are the subject of independent negotiation between the interested parties. Loans to the final beneficiaries must be assigned as collateral to CDP.
- to support consumers. In this case, CDP provides funding aimed at encouraging access to secured mortgage loans by natural persons, on residential properties designated as the principal residence on a priority basis and to refurbishment and energy efficiency works. The terms and conditions of loans disbursed to private parties by the Parent Company, which must have a term of between 10 and 30 years, are not subject to CDP funding and are the subject of independent negotiation between the parties, provided that use of the funding leads to an improvement in the financial conditions offered to beneficiaries with respect to those normally applied by the Parent Company.



Loans to the final beneficiaries must be assigned as collateral to CDP. Specifically, for 2019 the Parent Company did not use the funding provided by the ABI-CDP Plafond Casa Agreement, which is still operational.

- in favour of the territory for natural disasters. With said initiatives, the funds made available by the CDP are allocated to encourage subsidised loans to those impacted by the earthquakes of 2012 and 2016, and following the series of natural disasters (floods, snowfalls, sea storms, etc.) of 2013. The operational scheme envisages matching transactions between CDP/Bank and Bank/Beneficiaries, with expected terms of 15/20/25 years. As exclusive means of reimbursement of the loans disbursed, the tax credit specifically assigned to the beneficiary by the legislation is accepted as payment, with discharging effect for the beneficiary, for the principal and interest of each instalment of the loan up to the final expiry date. The Group uses said tax credits with the methods established by the Italian Revenue Agency, through a netting mechanism. The Bank/Final Beneficiary loans are backed by unconditional and irrevocable first-demand guarantee by the Italian government, fully reimbursing principal and interest. For the loans disbursed, no discretion by the Group with respect to the beneficiary is envisaged, for reasons linked to creditworthiness or determination of the rate to apply.

Conversely, with regard to management of resources made available by specific Regional Laws, the Group's operations refer to specific agreements stipulated by the Parent Company with the regional financial institutions or to alternative instruments, such as the so-called "Rotation Funds", also established through regional laws. These loans are generally disbursed with part of the funding made available with public funds and part with the Parent Company's own resources (co-financing).

The procedure to manage the aforementioned resources is described in more detail below.

- An agreement is in place with Veneto Sviluppo, which defines the characteristics for the granting of loans using the funds (prerequisites of companies, objectives, amounts, etc.), including the methods and amount of subsidies, and the maximum percentage that can be financed, in addition to the portion of funding borne by the entity. The Parent Company integrates the remainder with its own funds. The agreement requires the loan to be structured with two distinct amortisation plans and that the risk of insolvency be fully borne by the Parent Company, even for the part disbursed with public funds.
- The Parent Company participates in initiatives of the Friuli Venezia Giulia Region aimed at facilitating access to loans by local companies, establishing the so-called "Rotation funds", including the FRIE (Fondo di Rotazione per le Iniziative Economiche - Rotation Funds for Economic Initiatives), based on Regional Law 2/2012, and regional funds pursuant to Regional Law 80/82. Availability of these funds is designated for the granting of loans at special conditions, established by the Region and differentiated based on sector. Use of the available funds varies according to the initiative and sector financed: it is generally equal to 50% of the total investment amount. It is possible to supplement the portion not covered by public funds with own funds, up to the total cost sustained by the company. In the case of co-financing, for transactions under Regional Law 80/82, the insolvency risk is fully borne by the Parent Company, while for transactions under Regional Law 2/2012, the Parent Company's credit risk is limited to 20%. Moreover, as total compensation for management of the loans and of the credit risk, the Parent Company receives remuneration commensurate with a pre-established percentage, which differs based on the amount of the loan for both subsidised loan types (FRIE and Law 80/82). The disbursement of loans with funds under Regional Law 80/82 must be formalised with a single agreement but two distinct amortisation plans, while for the FRIE, formalisation takes place with only one single amortisation plan.
- Other agreements stipulated with Finlombarda envisage the disbursement of Bank-Entity co-financing loans in percentages that depend on the various initiatives, for which the credit risk continues to be borne by the individual lenders:
 - "Al Via", aimed at sustaining new investments by Lombardy's SMEs; it envisages the disbursement of a loan with the parties providing equivalent amounts, at a rate defined in the agreement for the Parent Company's portion and at a fixed rate for Finlombarda's portion.
 - "Linea Innovazione", aimed at sustaining investments for product or process innovation, through the granting, to companies operating in Lombardy, of Bank-Finlombarda co-financing, in conjunction with a contribution to interest; the disbursement of a loan with a part by the Bank and an equal part by the Entity, at a rate defined in the agreement for the Bank's portion and at a fixed rate for Finlombarda's portion is envisaged in this case as well.
 - "Credito Adesso", aimed at sustaining financial aid in favour of micro/small and medium-sized enterprises in the manufacturing, services and commerce sectors, to finance working capital requirements connected to the commercial expansion of companies operating in Lombardy. The initiative envisages the disbursement of medium-term loans, in the form of co-financing by BMPS and Finlombarda, to cover working capital requirements connected to commercial expansion: the portion of public funds made available by BEI through Finlombarda, is 40%, with the remaining 60% disbursed with the Bank's funds.
- The Parent Company has taken on the Framework Agreement function defined between ABI and Finpiemonte to manage the measures to facilitate the local economy. The facilitation measures also include co-financing between the Bank and Finpiemonte for specific initiatives. In general, initiatives may envisage subsidised loans with Finpiemonte funding, which in some cases reaches 80% (even at zero rate) and for the remainder with Bank



funding at the interest rate defined by the agreement with the Entity. Credit risk for co-financing continues to be borne by the individual financing party for its portion.

Type of transaction/Amount	31 12 2018							
	Book value				Fair value			
	Stage 1 and Stage 2	Stage 3	<i>of which: impaired or originated impaired financial assets</i>	Total	L1	L2	L3	Total
Loans	71,514,538	7,265,664	46,520	78,780,202	-	3,405,671	78,827,895	82,233,566
1.1. Current accounts	4,927,124	994,052	3,251	5,921,176	X	X	X	X
1.2. Reverse repurchase agreements	3,394,929	-	-	3,394,929	X	X	X	X
1.3. Mortgage	48,017,882	4,870,580	18,582	52,888,462	X	X	X	X
1.4. Credit cards, personal loans and fifth-of-salary backed loans	763,870	35,985	-	799,855	X	X	X	X
1.5. Finance lease	2,787,109	369,362	-	3,156,471	X	X	X	X
1.6. Factoring	912,549	40,894	-	953,443	X	X	X	X
1.7. Other transactiones	10,711,075	954,791	24,687	11,665,866	X	X	X	X
<i>of which: operating receivable</i>	20,659	188	-	20,847	X	X	X	X
<i>of which: leased assets under construction</i>	149,753	7,837	-	157,590	X	X	X	X
Debt securities	7,386,037	-	-	7,386,037	4,128,553	3,078,442	41,614	7,248,609
1.1. Structured securities	-	-	-	-	-	-	-	-
1.2. Other debt securities	7,386,037	-	-	7,386,037	4,128,553	3,078,442	41,614	7,248,609
Total	78,900,575	7,265,664	46,520	86,166,239	4,128,553	6,484,113	78,869,509	89,482,175

4.3 Financial assets measured at amortised cost: breakdown by borrower/issuer of loans to customers

Type of transaction/Amount	Total 31 12 2019			Total 31 12 2018		
	Stage 1 and Stage 2	Stage 3	<i>of which: impaired or originated impaired financial assets</i>	Stage 1 and Stage 2	Stage 3	<i>of which: impaired or originated impaired financial assets</i>
1. Debt securities	9,309,526	-	-	7,386,038	-	-
a) Public entities	6,700,965	-	-	4,318,563	-	-
b) Other financial companies	2,494,595	-	-	2,997,420	-	-
<i>of which: insurance companies</i>	62,437	-	-	75,824	-	-
c) Non-financial companies	113,966	-	-	70,055	-	-
2. Loans to	73,877,559	5,798,047	41,779	71,514,537	7,265,664	46,520
a) Public Entities	1,999,420	124,856	-	2,186,024	120,673	-
b) Other financial companies	6,736,877	60,295	2,405	5,043,784	137,880	2,859
<i>of which: insurance companies</i>	135	1	-	55	3	-
c) Non-financial companies	31,328,817	3,645,717	31,456	31,484,308	4,884,561	36,021
d) Families	33,812,445	1,967,179	7,918	32,800,421	2,122,550	7,640
Total	83,187,085	5,798,047	41,779	78,900,575	7,265,664	46,520



4.4 Financial assets measured at amortised cost: gross value and overall value adjustments

	Gross exposure				Value adjustments			Partial write-off (*)
	Stage 1		Stage 2	Stage 3	Stage 1	Stage 2	Stage 3	
		<i>of which: low credit risk instruments</i>						
Debt securities	10,090,829	9,897,873	-	-	6,986	-	-	-
Loans	77,244,231	-	12,056,862	10,933,983	65,065	410,619	5,135,699	227,812
Totale 31 12 2019	87,335,060	9,897,873	12,056,862	10,933,983	72,051	410,619	5,135,699	227,812
Totale 31 12 2018	78,496,064	7,924,926	13,394,837	14,869,751	79,967	581,571	7,602,254	254,477
<i>of which: purchased or originated credit impaired financial assets</i>	X	X	12,325	54,106	X	422	24,229	-

* Value to be presented for disclosure purposes

For financial assets included in the “Stage 3” column, the gross value corresponds to the book value gross of the relative overall value adjustments, which are equal to the difference between the expected recovery value and the gross book value.

Section 5 - Hedging derivatives - Item 50

5.1 Hedging derivatives: breakdown by type of contract and underlying asset

	Fair value 31 12 2019				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	73,003	-	73,003	4,213,159
1) Fair value	-	73,003	-	73,003	4,213,159
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	73,003	-	73,003	4,213,159

Legend

NV = Notional or Nominal Value

The table shows the positive book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

Information on the underlying strategies and objectives of hedge transactions can be found in the Section “Market risks” of Part E “Information on Risks and hedging policies”.



	Fair value 31 12 2018				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	99,091	-	99,091	7,898,963
1) Fair value	-	99,091	-	99,091	7,898,963
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	99,091	-	99,091	7,898,963

Legend

NV = Notional or Nominal Value

5.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value							Cash Flows		Foreign Investments	Total 31 12 2019
	Micro-hedge						Macro-hedge	Micro-hedge	Macro-hedge		
	debt securities and interest rate	equity instruments and stock indices	currencies and gold	Credit	Commo dities	Other					
1. Financial assets measured at fair value through other comprehensive income	1,362	-	-	-	X	X	X	-	X	X	1,362
2. Financial assets measured at amortised cost	-	X	-	-	X	X	X	-	X	X	-
3. Portfolio	X	X	X	X	X	X	5,904	X	-	X	5,904
4. Other transactions	-	-	-	-	-	-	X	-	X	-	-
Total assets	1,362	-	-	-	-	-	5,904	-	-	-	7,266
1. Financial liabilities	63,608	X	2,129	-	-	-	X	-	X	X	65,737
2. Portfolio	X	X	X	X	-	X	-	X	-	X	-
Total liabilities	63,608	-	2,129	-	-	-	-	-	-	-	65,737
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-
Total	64,970	-	2,129	-	-	-	5,904	-	-	-	73,003

The table shows the positive fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, for financial assets, fair value micro-hedging was used to hedge against interest rate risk on bonds classified in the portfolio "Financial assets measured at fair value through other comprehensive income", in order to protect the portfolio from unfavourable interest rate changes.

With reference to financial liabilities, fair value micro-hedging of the interest rate risk refers primarily to hedges of liabilities represented by fixed rate securities; fair value macro-hedging of the interest rate risk refers to hedges of implicit component in variable rate mortgages.

More information on hedged assets and liabilities can be found in the tables contained in Part B of the Notes for each section of the balance sheet items to which the hedged items are posted.

**Section 6 - Change in value of macro-hedged financial assets - Item 60****6.1 Change in value of hedged assets: breakdown by hedged portfolios**

Changes in value of hedged assets / Group components	Total 31 12 2019	Total 31 12 2018
1. Positive changes	637,701	169,881
1.1 of specific portfolios:	637,701	169,881
a) loans and receivables	637,701	169,881
b) financial assets measured at fair value through other comprehensive income	-	-
1.2 overall	-	-
2. Negative changes	1,722	-
2.1 of specific portfolios:	1,722	-
a) loans and receivables	1,722	-
b) financial assets measured at fair value through other comprehensive income	-	-
2.2 overall	-	-
Total	635,979	169,881

The value adjustment concerns fixed and capped floating rate mortgage loan portfolios that were fair value macro-hedged with derivatives to counter possible interest rate risk-induced fluctuations in value. As this is a macro-hedge, any gain or loss on the hedged item attributable to the risk hedged may not directly adjust the value of said item (unlike in micro-hedging), but must be presented in this separate line item of the assets. The amounts in this item must be removed from the balance sheet when the relevant assets or liabilities are derecognised.

Compared to 2018, in 2019 there was an increase in the value adjustment to macro hedging due to the reduction in market rates which led a significant increase in the fair value of the portfolio of hedged items, against a decrease in hedging derivatives.

The fair value of the corresponding hedging derivatives is shown respectively in Table 5.2 (assets) or Table 4.2 (liabilities), both entitled "Hedging derivatives: breakdown by hedged portfolio and type of hedging", in the "Macro-hedging" column.

The assets subject to macro hedging of interest risk refer to fixed and capped floating rate mortgage loan portfolios included in item 40 "Financial assets measured at amortised cost - Loans to customers", amounted to EUR 13,149.2 mln as at 31 December 2019 (EUR 12,073.2 mln as at 31 December 2018). The sum of this amount and the one shown in this table expresses the book value of these receivables, adjusted for profit or loss attributable to the risk hedged.



Section 7 – Equity investments – Item 70

7.1 Equity investments: information on shareholding

Company Name	Headquarters	Registered Office	Type of relationship	Ownership Relationship		Avail. % votes
				Held by	Share holding %	
A. Companies under joint control						
Immobiliare Novoli S.p.a.	Florence	Florence	7	Banca Monte dei Paschi di Siena	50.000	-
Integra S.p.a.	Calenzano (FI)	Calenzano (FI)	7	Banca Monte dei Paschi di Siena	50.000	-
B. Companies under significant influence						
Axa Mps Assicurazioni Danni S.p.a.	Roma	Roma	8	Banca Monte dei Paschi di Siena	50.000	-
Axa Mps Assicurazioni Vita S.p.a.	Roma	Roma	8	Banca Monte dei Paschi di Siena	50.000	-
Fidi Toscana S.p.a.	Firenze	Firenze	8	Banca Monte dei Paschi di Siena	27.460	-
Fondo Etrusco Distribuzione	Rome	Rome	8	Banca Monte dei Paschi di Siena	48.000	-
Fondo Minibond PMI Italia	Conegliano (TV)	Conegliano (TV)	8	Banca Monte dei Paschi di Siena	61.940	-
Fondo Socrate	Rome	Rome	8	Banca Monte dei Paschi di Siena	23.140	-
Interporto Toscano A.Vespucci S.p.a.	Collesalveti (LI)	Collesalveti (LI)	8	Banca Monte dei Paschi di Siena	21.819	-
				MPS Capital Services S.p.a.	19.002	-
Microcredito di Solidarietà S.p.a.	Siena	Siena	8	Banca Monte dei Paschi di Siena	40.000	-
Nuova Sorgenia Holding S.p.a.*	Milan	Milan	8	Banca Monte dei Paschi di Siena	16.670	-
Sansedoni Siena S.p.a.	Siena	Siena	8	Banca Monte dei Paschi di Siena	21.754	33.674
S.I.T. Sviluppo Imprese e Territorio S.p.a.	Rome	Rome	8	Banca Monte dei Paschi di Siena	19.969	-
Terme di Chianciano S.p.a.	Chianciano T. (SI)	Chianciano T. (SI)	8	Banca Monte dei Paschi di Siena	18.816	-
				MPS Capital Services S.p.a.	26.807	

(1) Type of relationship:

7 = joint control;

8 = companies subject to significant influence.

(2) Votes available in the ordinary shareholders' meeting, distinguishing between actual and potential

For further details on changes, see comments to table "7.5 - Equity investments: annual changes".

* The portion pertaining to the Group in application of the equity method amounts to 22.24%, given the set of risks and benefits connected with the exposure to Sorgenia S.p.A.

**7.2 Significant equity investments: book value, fair value and dividends earned**

31 12 2019

Company name	Book value		Fair value	Dividends earned
	31 12 2019	31 12 2018		
A. Companies under joint control				
Immobiliare Novoli S.p.a.	4,479	3,998	-	-
B. Companies under significant influence				
Axa Mps Assicurazioni Vita S.p.a.	718,279	702,852	-	-
Axa Mps Assicurazioni Danni S.p.a.	80,320	70,818	-	19,559
Fondo Etrusco Distribuzione	69,801	70,500	-	2,319
Fidi Toscana S.p.a.	22,159	22,159	-	-
Fondo Minibond PMI Italia	24,317	30,702	-	948
Fondo Socrate	10,022	10,993	12,732	-
Totale	929,377	912,022	12,732	22,826

At the reporting date or for the year of comparison, there are no equity investments arising from the recovery of impaired financial assets.



7.3 Significant equity investments: accounting information

[illegible]



7.3a - Reconciliation of accounting information with the book value

	FONDO SOCRATE	FONDO MINIBOND PMI ITALIA	FONDO ETRUSCO DISTRIBUZIONE	FIDI TOSCANA S.p.a.	AXA MPS ASSICURAZIONI VITA S.p.a.	AXA MPS ASSICURAZIONI DANNI S.p.A	IMMOBILIARE NOVOLI S.p.a.
Shareholding	23.14%	61.94%	48.00%	27.46%	50.00%	50.00%	50.00%
Cash and cash equivalents	X	X	X	X	X	X	-
Financial assets	15,702	45,759	3,774	198,944	20,909,989	645,275	430
Non-financial assets	101,025	933	223,716	97,247	366,156	33,109	155,081
Financial liabilities	-	-	70,667	-	19,372,025	506,362	131,723
Non-financial liabilities	1,750	811	443	192,679	257,569	16,014	14,830
Shareholders'equity (100%)	114,976	45,881	156,380	103,512	1,646,551	156,009	8,958
Group shareholding	26,606	28,419	75,063	28,424	823,276	78,004	4,479
Cancellation of unrealised intragroup profit/loss	-	-	-	-	(69,491)	-	-
Goodwill	-	-	-	-	46,796	2,316	-
Value adjustments	-	-	-	(18,291)	-	-	-
Other increases/decreases	(16,584)	(4,102)	(5,262)	12,026	(82,302)	-	-
Book value of Associate company as at 31 12 2016	10,022	24,317	69,801	22,159	718,279	80,320	4,479
Book value as at 31 12 2015	10,993	30,702	70,500	22,159	702,852	70,818	3,998
Profit (loss) for the year	(1,210)	1,100	1,153	(9,487)	137,141	44,103	932
Other comprehensive income after tax	-	-	-	(4,899)	148,717	14,019	-
Comprehensive income attributable to the Group	(280)	681	553	(3,950)	142,929	29,061	466
Dividends	-	(948)	(2,319)	-	-	(19,559)	-
Other changes	(691)	(6,118)	1,067	3,950	(127,502)	-	15
Book value of Associate company as at 31 12 2016	10,022	24,317	69,801	22,159	718,279	80,320	4,479



7.3b – Significant equity investments: information on business

Company name	Type of business
Companies under significant influence	
Axa Mps Assicurazioni Danni S.p.a.	Company specialising in P&C insurance, offering a comprehensive range of insurance solutions tailored to the needs of customers and businesses.
Axa Mps Assicurazioni Vita S.p.a.	Leading company in the domestic insurance market, offering innovative and advantageous solutions for all pension, insurance, savings and investment needs.
Fidi Toscana S.p.a.	A Tuscan financial company which aims to facilitate access to credit for small and medium businesses
Fondo Etrusco Distribuzione	Real estate fund for institutional investors. Its portfolio has been built up through a series of sale and leaseback transactions on commercial properties fully leased by a leading player in the Mass Distribution Industry
Fondo Minibond PMI Italia	Independent investment fund for investments in bonds issued by small and medium Italian businesses
Fondo Socrate	Closed-end mutual real estate investment fund. Listed on the Market for Investment Vehicles of the Italian Stock Exchange as of 30 January 2014
Immobiliare Novoli S.p.a.	Real estate company

The associates Axa MPS Assicurazioni Danni S.p.A. and Axa Mps Assicurazioni Vita S.p.A. are strategic for the Group.

7.3c – Application of IFRS 9 by the AXA Group

Given the wide predominance of insurance business (as defined by IFRS 4 and amended by EU Regulation 2017/1988), the AXA Group has decided, for purposes of preparing its consolidated financial statements, to exercise the option to defer the application of IFRS 9 until the date of entry into force of IFRS 17 (not yet known, since the European Union endorsement process is still underway).

The two insurance investee companies AXA MPS Assicurazioni Danni S.p.A. and AXA MPS Assicurazioni Vita S.p.A. are consolidated in the financial statements of MPS Group using the equity method. The Parent Company has decided to take advantage of the temporary exemption from certain provisions of IAS 28, indicated in paragraphs 20O and 20P of IFRS 4, and consequently maintained the accounting standards (IAS 39) in applying the equity method, applied by the associated insurance companies.

Pursuant to the provisions of paragraph 39J of IFRS 4, the additional information on temporary exemption from IFRS 9 adopted by the AXA Group is provided below.

AXA MPS Assicurazioni Danni S.p.A. and AXA MPS Assicurazioni Vita S.p.A. apply the temporary exemption from IFRS 9 given that the business of AXA Group is predominantly insurance, as evidenced by the controls performed on the financial statement data as at 31 December 2015, namely:

- the book value of their liabilities arising from contracts that fall within the scope of IFRS 4 are significant compared to the total book value of all liabilities; and
- the total percent value of their liabilities connected to the insurance business is widely superior to 90% of the total book value of all liabilities.

Liabilities related to the insurance business include:

- IFRS 4 technical reserves;
- liabilities related to investments to which IAS 39 applies;
- other liabilities related to those specified above.

The item “Other liabilities related to those specified above” includes reinsurance payables, commissions for premiums in the process of being collected and provisions for agent volume premiums.

Also note that after 31 December 2015, there were no changes in the activities of the two entities.



The table below shows, for both insurance associates, the fair value as at 31 December 2019 of financial assets held for trading and financial assets measured at fair value through other comprehensive income as well as the amount of the respective changes in fair value that took place during 2019 (IFRS 4 39E).

The following tables show the fair value as at 31 December 2019 as well as the variation for the year for financial assets whose contractual terms consist exclusively in the payment of principal and interest accrued on the principal amount to be repaid (group 1) and for financial assets whose contractual terms do not exist exclusively in the payment of principal and interest on the principal amount to be repaid or which meet the definition of held for trading or, lastly, which are managed or whose return is measured on a fair value basis (group 2).

Items/Investment value type 1	IAS 39			Change in Fair value	
	Financial assets held for trading	Financial assets available for sale (AFS)	Financial assets measured at amortised cost	Financial assets held for trading	Financial assets available for sale (AFS)
Debt securities	98.3	14,540.1	-	1.5	775.9
Equity instruments	-	-	-	-	-
Units of UCITS	-	-	-	-	-
Total Equity	98.3	14,540.1	-	1.5	775.9

Items/Investment value type 2	IAS 39			Change in Fair value	
	Financial assets held for trading	Financial assets available for sale (AFS)	Financial assets measured at amortised cost	Financial assets held for trading	Financial assets available for sale (AFS)
Debt securities	54.2	10.0	-	(5.1)	(0.3)
Equity instruments	373	390.5	-	(1)	72
Units of UCITS	13,778	361.2	-	822	14
Total Equity	14,204.7	761.7	-	816.5	85.6

The tables below show information on the credit risk exposure of the financial assets where the cash flow represent only the repayments of principal and interest (IFRS 4 39G).

Exposures	Rating classes						AAA	Total
	class 1	class 2	class 3	class 4	class 5	class 6		
Debt securities	2,635	2,584	8,804	616	-	-	-	14,639

class 1=AAA/AA-, class 2=A+/A-, class 3=BBB+/BBB-, class 4=BB+/BB-, class 5=B+/B-, class 6=lower than B-

7.4 Non-significant equity investments: accounting information

Denominazione	Book value of equity investment	Total assets	Total liabilities	Total revenues	Gain (Loss) from continuing operations after tax	Gain (Loss) from groups of assets held for sale after tax	Gain (Loss) for the year (1)	Other comprehensive income after tax (2)	Comprehensive income (3) = (1) + (2)
A. Companies under joint control	1,002	25,692	23,688	1,386	74	-	74	-	74
B. Companies under significant influence	597	1,975,637	1,575,835	1,558,690	(43,430)	-	(43,430)	(2,705)	(46,135)



7.5 Equity investments: annual changes

	Total 31 12 2019	Total 31 12 2018
A. Opening balance	922,793	1,034,644
B. Increases	174,603	79,127
B.1 Purchases	-	-
B.2 Write-backs	-	-
B.3 Revaluations	91,649	-
B.4 Other increases	82,954	79,127
C. Decreases	166,420	190,978
C.1 Sales	1,550	5,813
C.2 value adjustments	8,723	5,753
C.3 Write-downs	975	-
C.4 Other decreases	155,172	179,412
D. Closing balance	930,976	922,793
E. Total revaluation	-	-
F. Total write-downs	63,568	71,013

Below are the main changes in the course of the year.

The increases include:

- in line B.3 “Revaluations”, profits for associates that is almost entirely attributable to insurance companies, EUR 2.2 mln refers to Nuova Sorgeria Holding S.p.A.;
- in line B.4 “Other increases”, EUR 81.4 mln for positive changes in valuation reserves relating to associates.

while the decreases relate to:

- in line C.1 “Sales”, the disposal of the equity investment in COEM for EUR 1.5 mln;
- in line C.2 “Value adjustments”, the adjustments referring to the associate Nuova Sorgeria Holding S.p.A.;
- in line C.3 “Write-downs”, the overall losses recognised by some associates;
- in line C.4 “Other decreases”, dividends from associates of EUR 22.8 mln, redemptions of units of Fondo Minibond for EUR 6.5 mln, and, lastly, additional negative changes in equity.

\$\$\$

In accordance with the accounting standards, the indicators of impairment of equity investments in associates have been measured, the recoverable value has been determined where applicable, and any write-downs or reversals have been accounted for.

As regards the equity investments in the associates Axa MPS Danni and Axa MPS Vita, an analysis on key impairment indicators has not identified elements indicating that impairment tests should be performed.

Reported below is the main embedded goodwill:

Embedded goodwill	31 12 2019	31 12 2018
Axa Mps Assicurazioni Vita S.p.a.	46,796	46,796
Axa Mps Assicurazioni Danni S.p.a.	2,316	2,316
Total	49,112	49,112



7.6 Key considerations and assumptions to determine the existence of joint control or significant influence

The Group considers as associates, that is subject to significant influence, the companies of which it holds at least 20 per cent of the voting rights (including potential voting rights) and in which it has the power to participate in determining the financial and operating policies.

Similarly, companies are considered associates also when the Group – despite a lower percentage of voting rights – has the power of participating in the determination of the financial and operating policies of the investee on account of specific legal agreements such as, for example, the participation in important committees of the investee as well as the presence of vetoing rights on significant decisions.

The Group considers jointly controlled those companies with respect to which the following circumstances occur simultaneously:

- if an agreement has been entered into that assigns co-participation in the management of the investee's activities via a presence on the Board of Directors;
- none of the parties participating in the agreement holds exclusive control;
- decisions relating to relevant activities are made unanimously by the parties identified (each has an implicit or explicit veto right with regard to relevant decisions).

7.7 Covenants on investments in jointly controlled companies

No covenants on investments in jointly controlled companies are reported.

7.8 Covenants on investments in companies under significant influence

No covenants on investments in companies under significant influence are reported.

7.9 Significant restrictions

At the financial statement date there are no significant restrictions to the jointly controlled companies' or associates' ability to transfer funds to the Group in the form of dividends, aside from those set forth in Civil Code provisions, requiring the deduction of 5% of the net profit for the year and its allocation to the legal reserve, until the latter amounts to 20% of the share capital. The reserve must be replenished if it is reduced for any reason.

7.10 Other information

The equity method, a synthetic method for the valuation of the equity of companies on which the Group has significant influence or joint control, is performed on the basis of the financial statements for the year ended 31 December 2019; if these are not available, the valuation is carried out on the basis of the interim report as at 30 September 2019.

Impairment test on equity investments

As required by IAS/IFRS, equity investments were subjected to impairment testing in order to check whether there is objective evidence that the book value of the assets is not fully recoverable. In the case of investments in associates and joint ventures, the process of identifying any impairment involves checking for the presence of impairment indicators and determining any write-down. For further details on the indicators used by the Group, please refer to part A of these Notes, paragraph "Use of estimates and assumptions -Methods for calculating impairment on investments". In the presence of impairment indicators, the recoverable value is determined as the higher between the fair value net of selling costs and the value in use, and if the latter is lower than the book value, the impairment is recorded. The results of impairment test determined the need to recognise an impairment losses on Nuova Sorgenia Holding SpA (Eur 8.7 mln) and S.i.t. Finanziaria di Sviluppo per l'innovazione Tecnologia SpA. (Eur 46 thousand) equity investments.



Section 8 – Reinsurance technical reserves – Item 80

No values are shown in this section as the insurance companies in which the Group holds equity investments are associates, and therefore these investments are consolidated using the equity method.

Section 9 - Property, plant and equipment - Item 90

9.1 Property, plant and equipment used in the business: breakdown of assets valued at cost

Asset/Amount	Total	
	31 12 2019	31 12 2018*
1. Assets owned	2,078,748	2,115,090
a) land	748,292	754,299
b) buildings	1,018,769	1,037,230
c) furniture and furnishings	149,700	150,484
d) electronic systems	83,828	103,070
e) other	78,159	70,007
2. Right of use	267,415	-
a) land	-	-
b) buildings	251,297	-
c) furniture and furnishings	-	-
d) electronic systems	15,403	-
e) other	715	-
Total	2,346,163	2,115,090
<i>of which: obtained through the enforcement of the guarantees received</i>	-	-

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

All of the Group's property, plant and equipment is measured at cost; the line "land" expresses the value of land separately from the value of buildings. In compliance with guidance provided by IAS 36 "Impairment of Assets" and recommendations contained in document no. 4 of 3 March 2010 issued jointly by the Bank of Italy, Consob and Isvap, an overall property appraisal was made with a view to determining any impairment losses to be posted to the income statement for the year; disclosure of these impairment losses is provided in the notes to the table "9.6 Property, plant and equipment used in the business: annual changes".

Item 1 "Assets owned –c) furnishings" includes artworks whose value amounts to EUR 121.1 mln.

The rights of use acquired under leasing are nearly entirely attributable to lease contracts used as branches and as spaces intended to accommodate ATMs or internal offices. The rights of use on electronic systems refer to contracts to rent electronic equipment such as mobile phones and hardware.

As at 31 December 2019, the Group has granted operating leases of owned assets for business use totalling EUR 67.9 mln, entirely in the category a) Land and b) buildings.

For more information on the Group's lease assets, see Part M of these Notes to the consolidated financial statements.

As at 31 December 2019, there were no items of property, plant and equipment deriving from the enforcement of guarantees.

At the reporting date or for the year of comparison, there are no cases to which para. 78 of IAS 40 apply.



9.2 Property, plant and equipment held for investment: breakdown of assets valued at cost

Asset/Amount	Total 31 12 2019				
	Book value	Fair Value			
		Level 1	Level 2	Level 3	Total
1. Assets owned	328,760	-	-	357,293	357,293
a) land	157,020	-	-	154,654	154,654
b) buildings	171,740	-	-	202,639	202,639
2. Assets leased	-	-	-	-	-
a) land	-	-	-	-	-
b) buildings	-	-	-	-	-
Total	328,760	-	-	357,293	357,293
<i>of which: obtained through the enforcement of the guarantees received</i>	<i>25,061</i>	-	-	<i>29,166</i>	<i>29,166</i>

All of the Group's property, plant and equipment is measured at cost; the line "land" expresses the value of land separately from the value of buildings. In compliance with guidance provided by IAS 36 "Impairment of Assets" and recommendations contained in document no. 4 of 3 March 2010 issued jointly by the Bank of Italy, Consob and Isvap, an overall property appraisal was made with a view to determining any impairment losses to be posted to the income statement for the year; disclosure of these impairment losses is provided in the notes to the table "9.7 Property, plant and equipment held for investment: annual changes".

As at 31 December 2019, there were items of property, plant and equipment deriving from the enforcement of guarantees from the termination of non-performing finance lease contracts for EUR 25.1 mln (EUR 21.0 mln as at 31 December 2018).

The criteria for classification of a tangible asset as a real estate investment pursuant to IAS 40 are described in the accounting policies, to which reference is made. The disclosure required by IAS 40 paragraph 75 letter c) is not provided, as the classification is not difficult.

There were no cases, at the reporting date or for the comparison year, to which para. 75, letters. c), g), and h) of IAS 40 apply.

As at 31 December 2019, the Group has granted operating leases of owned assets for investment purposes totalling EUR 129.5 mln, entirely related to building leases.

Attività/Valori	Total 31 12 2018*				
	Book value	Fair Value			
		Level 1	Level 2	Level 3	Total
1. Assets owned	364,606	-	-	395,217	395,217
a) land	175,745	-	-	174,362	174,362
b) buildings	188,861	-	-	220,855	220,855
2. Assets leased	-	-	-	-	-
a) land	-	-	-	-	-
b) buildings	-	-	-	-	-
Total	364,606	-	-	395,217	395,217
<i>of which: obtained through the enforcement of the guarantees received</i>	<i>21,028</i>	-	-	<i>21,173</i>	<i>21,173</i>

9.3 Property, plant and equipment used in the business: breakdown of revalued assets

The Group does not own any revalued property, plant and equipment.



9.4 Property, plant and equipment held for investment: breakdown of assets measured at fair value

The Group holds no property, plant and equipment measured at fair value pursuant to IAS 40.

9.5 Inventories of property, plant and equipment governed by IAS 2: breakdown

Assets / Amounts	Total	
	31 12 2019	31 12 2018
1. Gross closing balance of tangible assets obtained through enforcement of the guarantees received	1,314	1,362
a) Land	534	534
b) Buildings	780	828
c) Furniture and furnishings	-	-
d) Electronic systems	-	-
e) Others	-	-
2. Others gross closing balance of tangible assets	32,869	25,540
Total	34,183	26,902

“Other inventories of property, plant and equipment” refer to properties of the Parent Company acquired following the merger by incorporation of former subsidiary MPS Immobiliare S.p.A. in 2014 (EUR 25.5 mln) and the subsidiary BMP Banque S.A. (EUR 7.3 mln).



9.6 Property, plant and equipment used in the business - owned assets: annual changes

	Land	Buildings	Furniture and furnishings	Electronic systems	Others	Total 31 12 2019
Gross opening balance as at 31 12 2018	780,207	1,388,531	524,256	789,041	504,097	3,986,132
Total net decrease	25,908	351,301	373,772	685,971	434,090	1,871,042
Net opening balance as at 31 12 2018	754,299	1,037,230	150,484	103,070	70,007	2,115,090
Change in Accounting principles	-	302,056	-	-	2,088	304,144
A.2 Net opening balance	754,299	1,339,286	150,484	103,070	72,095	2,419,234
B. Increases	2,572	38,528	6,900	39,016	25,547	112,563
B.1 Purchases	2	3,892	6,603	38,609	25,501	74,607
B.2 Capitalized expenditure on improvements	-	25,865	-	-	-	25,865
B.3 Write-backs	-	-	-	-	-	-
B.4 Increases in fair value booked to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	-	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	1	1	2
B.6 Transfers from properties held for investment	2,570	4,176	X	X	X	6,746
B.7 Other increases	-	4,595	297	406	45	5,343
C. Decreases	8,579	107,748	7,684	42,855	18,768	185,634
C.1 Sales	2,272	3,615	735	-	498	7,120
C.2 Depreciation	-	92,986	6,949	42,841	17,602	160,378
C.3 Impairment losses booked to:	4,904	4,010	-	-	374	9,288
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	4,904	4,010	-	-	374	9,288
C.4 Decreases in fair value booked to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	-	-	-	-	-	-
C.5 Negative exchange differences	-	-	-	-	-	-
C.6 Transfer to:	1,403	1,604	-	-	-	3,007
a) tangible asset held for investment	-	-	X	X	X	-
b) assets held for sale	1,403	1,604	-	-	-	3,007
C.7 Other decreases	-	5,533	-	14	294	5,841
D. Net closing balance	748,292	1,270,066	149,700	99,231	78,874	2,346,163
D.1 Total net decreases	30,280	450,911	378,471	727,990	451,622	2,039,274
D.2 Gross closing balance	778,572	1,720,977	528,171	827,221	530,496	4,385,437
E. Carried at cost	-	-	-	-	-	-

An analysis of external and internal impairment indicators resulted in impairment losses for an amount of EUR 9.3 mln being recognised in the balance sheet as at 31 December 2019 (line C.3). Note that the overall capital gains of properties used in the business of EUR 14 mln (EUR 8.8 mln in 2018) were not recognised in the financial statements. With regard to property, plant and equipment of the Group used in the business other than buildings, no extraordinary negative market factors were thought to exist under a going concern assumption, that might call for the need to recognise impairment losses.

Owned assets granted under operating leases at the end of 2019 amounted to EUR 67.9 mln, entirely related to land and building leases.

Line E – "Carried at cost" was left blank, as per the Bank of Italy's instructions, since it only needs to be completed for assets accounted for at fair value.



9.6a Property, plant and equipment used in the business - rights of use acquired through leasing: annual changes

	Land	Buildings	Furniture and furnishings	Electronic systems	Others	Total 31 12 2019
A.1 Net opening balance*	-	302,056	-	-	2,088	304,144
B. Increases	-	4,278	-	17,153	23	21,454
B.1 Purchases	-	3,463	-	17,059	17	20,539
B.2 Capitalized expenditure on improvements	-	-	-	-	-	-
B.3 Write-backs	-	-	-	-	-	-
B.4 Increases in fair value booked to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	-	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	-	-	-
B.6 Transfers from properties held for investment	-	-	-	-	-	-
B.7 Other increases	-	815	-	94	6	915
C. Decreases	-	55,037	-	1,750	1,396	58,183
C.1 Sales	-	-	-	-	-	-
C.2 Depreciation	-	51,021	-	1,750	1,115	53,886
C.3 Impairment losses booked to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	-	-	-	-	-	-
C.4 Decreases in fair value booked to:	-	-	-	-	-	-
a) shareholders' equity	-	-	-	-	-	-
b) profit and loss	-	-	-	-	-	-
C.5 Negative exchange differences	-	-	-	-	-	-
C.6 Transfer to:	-	-	-	-	-	-
a) tangible asset held for investment	-	-	-	-	-	-
b) assets held for sale	-	-	-	-	-	-
C.7 Other decreases	-	4,016	-	-	281	4,297
D. Net closing balance	-	251,297	-	15,403	715	267,415
D.1 Total net decreases	-	51,021	-	1,750	1,115	53,886
D.2 Gross closing balance	-	302,318	-	17,153	1,830	321,301
E. Carried at cost	-	-	-	-	-	-

* Initial balances are measured as at 1 January 2019.

**9.7 Property, plant and equipment held for investment: annual changes**

	31 12 2019		
	Lands	Building	Total
A. Gross Opening balance	210,136	307,399	517,535
Total net decrease	34,391	118,538	152,929
A. Net Opening balance	175,745	188,861	364,606
B Increases	2,508	8,657	11,165
B.1 Purchases	1,492	6,207	7,699
B.2 Capitalized expenditure on improvements	-	1,289	1,289
B.3 Increases in fair value	-	-	-
B.4 Write-backs	-	-	-
B.5 Positive exchange differences	-	-	-
B.6 Transfers from property used in the business	-	-	-
B.7 Other increases	1,016	1,161	2,177
C. Decreases	21,233	25,778	47,011
C.1 Sales	3,158	3,112	6,270
C.2 Depreciation	-	8,085	8,085
C.3 Decreases in fair value	-	-	-
C.4 Impairment losses	2,364	2,687	5,051
C.5 Negative exchange differences	-	-	-
C.6 Transfers to other asset portfolios	15,711	11,894	27,605
a) properties used in the business	2,571	4,176	6,747
b) non-current assets held for sale	13,140	7,718	20,858
C.7 Other decreases	-	-	-
D. Closing balance	157,020	171,740	328,760
D.1 Total net decrease	35,559	115,884	151,443
D.2 Gross closing balance	192,579	287,624	480,203
E. Designated at fair value	154,654	202,639	357,293

An analysis of external and internal impairment indicators resulted in impairment losses for an amount of EUR 5 mln being recognised in the balance sheet as at the reporting date (line C.4). Note that the overall capital gains of investment properties of EUR 28.5 mln (EUR 30.6 mln in 2018) were not recognised in the financial statements.

As at 31 December 2019, there were no property, plant and equipment acquired through finance leases, while owned assets granted under operating leases at the end of 2019 amounted to EUR 129.5 mln, entirely related to building leases.



9.8 Inventories of property, plant and equipment governed by IAS 2: annual changes

	Gross closing balance of tangible assets obtained through enforcement of the guarantees received					Other Closing balance of tangible assets	Total
	Land	Buildings	Furniture and furnishings	Electronic systems	Others		
A. Opening balance	534	828	-	-	-	25,540	26,902
B. Increase	4	-	-	-	-	8,190	8,194
B.1 Purchases	-	-	-	-	-	847	847
B.2 Write-backs	4	-	-	-	-	-	4
B.3 Positive exchange differences	-	-	-	-	-	-	-
B.4 Other increases	-	-	-	-	-	7,343	7,343
C. Decreases	3	48	-	-	-	862	913
C.1 Sales	-	48	-	-	-	-	48
C.2 Impairment	3	-	-	-	-	-	3
C.3 Negative exchange differences	-	-	-	-	-	-	-
C.3 Other decreases	-	-	-	-	-	862	862
D. Closing balance	535	780	-	-	-	32,868	34,183

9.9 Commitments to purchase property, plant and equipment

No commitments to purchase property, plant and equipment were registered in 2019.

9.10 Property, plant and equipment: depreciation rates

Main categories of tangible assets	%
Buildings	3.0% - 3.7%
Furniture and furnishings	10.0% - 20.0%
Alarm and video systems	20.0% - 30.0%
Electronic and ordinary office equipment	12.0% - 20.0%
Electronic data processing equipment	20.0% - 50.0%
Vehicles	20.0% - 25.0%
Telephones	20.0% - 25.0%

The percentages used for carrying out the depreciations with reference to the main categories of property, plant and equipment are presented in the table. Owing to their indefinite useful life, land and artworks are not depreciated.

Note that the rights of use acquired through leasing are depreciated based on the lease contract duration.



Section 10 – Intangible assets – Item 100

10.1 Intangible assets: breakdown by type

Asset / Amount	31 12 2019			31 12 2018		
	Finite Life	Indefinite Life	Total	Finite Life	Indefinite Life	Total
A.1 Goodwill	X	7,900	7,900	X	7,900	7,900
A.1.1 group	X	7,900	7,900	X	7,900	7,900
A.1.2 minorities	X	-	-	X	-	-
A.2 Other intangible assets	168,197	-	168,197	206,024	-	206,024
A.2.1 Assets carried ad cost	168,197	-	168,197	206,024	-	206,024
a) internally generated intangible assets	40,102	-	40,102	42,834	-	42,834
b) other assets	128,095	-	128,095	163,190	-	163,190
A.2.2 Assets valued at fair value:	-	-	-	-	-	-
a) internally generated intangible assets	-	-	-	-	-	-
b) other assets	-	-	-	-	-	-
Total	168,197	7,900	176,097	206,024	7,900	213,924

All of the Group's intangible assets are valued at cost. All intangible assets recognised in the financial statements have a finite useful life, except for goodwill.

During preparation of the 2019 accounts, goodwill recognised was tested for recoverability or impairment. In accordance with Document 4 jointly published by Bank of Italy/Consob/IVASS on 3 March 2010 and provisions set out in IAS 36, "Impairment of Assets", the activities carried out to perform the goodwill recoverability test are described below.

Goodwill is not systematically amortised but tested for impairment (Impairment Test). The test performed did not result in any impairment losses.

Line "A.2.1 Assets carried at cost – b) Other assets" includes:

- intangible assets arising from customer relations recognised following the acquisition of the former Banca Antonveneta S.p.a, deriving from the measurement of on-demand funding (current accounts and savings deposits, or core deposits) for EUR 3.0 mln;
- purchase of externally-developed software for an amount of EUR 125.1 mln.

Considering that line "A.2.1 assets carried at cost – a) internally generated intangible assets" includes intangible assets linked to internally generated technology in the amount of EUR 40.1 mln, the software totally recognised in the consolidated financial statement amounts to EUR 165.2 mln.

For intangible assets associated with customer relationships, an analysis was carried out on the impairment indicators, which resulted in no need for impairment testing.

With regard to the software, an analysis was carried out of the future service life of the main capitalised assets to check for impairment, leading to an adjustment of about EUR 3.3 mln.



Impairment test on Group goodwill

IAS 36 sets out the principles for recognition and reporting of impairment for certain types of assets, including goodwill, illustrating the principles that an entity must follow to make sure that the value of its assets is not higher than their recoverable amount.

IAS 36 defines recoverable amount as the higher of:

- Fair value net of costs to sell - the amount obtainable from the sale of an asset in a regular transaction between market participants, less the costs of disposal;
- Value in use - the present value of estimated future cash flows expected to arise from the continuing use of an asset or from a cash-generating unit (CGU).

IAS 36 requires the book value of goodwill to be compared with the recoverable amount whenever there is an indication that the asset may have been impaired and in any case at least once a year at the balance sheet date (Impairment Test).

The recoverable amount of goodwill is estimated with reference to the CGUs, since goodwill is not able to generate cash flows independently from an asset.

A CGU is the smallest identifiable group of assets that generates cash inflows from continuing use which are largely independent of the cash inflows from other assets or groups of assets, which the Group is able to recognise separately in its management reporting system.

In accordance with IAS 36 and in light of the aforementioned considerations, the impairment test carried out on goodwill as shown in the Group's consolidated financial statements comprised the following activities:

- Identification of goodwill;
- Identification of cash-generating units and allocation of goodwill to the cash-generating units identified;
- Determination of the recoverable value of the CGUs;
- Impairment test results.

a. Identification of goodwill

The impairment test was carried out on goodwill; no other indefinite-life intangible assets are recognised in the financial statements.

b. Identification of cash-generating units and allocation of goodwill to the cash-generating units identified

According to IAS 36, each CGU or group of CGUs to which goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes and should not be larger than an operating segment as defined by IFRS 8 ("Operating Segments").

As for the impairment test as at 31 December 2018, the Group's goodwill was tested by identifying those CGUs into which the Group's operations can be separated and analysing the cash flows that these will be able to generate in future years, based on an approach consistent with Segment Reporting presented in the financial statements and therefore with Management Reporting.

For the purpose of primary reporting of income statement and balance sheet data, the Parent Company has adopted a business approach opting for results to be broken down by the business segments in which the Group operates. In particular, the 4 CGUs have the following scope of business:

- "Retail CGU", which includes the retail customers of the BMPS branches;
- "Corporate CGU" composed of typically corporate clients of BMPS branches and foreign branches and subsidiaries, Large Corporates, MPS Leasing & Factoring and MPS Capital Services;
- "Wealth Management CGU", which includes the typically private customers of BMPS and the subsidiary MPS Fiduciaria;
- "Widiba CGU" consisting of the customers of the subsidiary Widiba, a Group company established to relaunch the presence of MPS in direct channels, which has also been assigned the Financial Advisor Network.

Goodwill is allocated only to the Widiba CGU and is therefore the only CGU subjected to an impairment test.

c. Determination of the recoverable value of the CGU

The Group's goodwill as at 31 December 2019 was tested for impairment by identifying the recoverable amount of the Widiba CGU as the value in use.

The recoverable amount of the CGU was estimated by discounting future distributable cash flows.



This test was conducted based on the updated estimates for 2020-2024 for the company, calculated as part of the long-term planning. The recoverable amount was estimated on the basis of the following methodological steps:

- Determination of the CGU's value in use by discounting future distributable cash flows, based on the following formula:

$$W = \sum_{t=1}^n \frac{F_t}{(1+i)^t} + VT_a$$

where:

F_t = cash flows distributable to shareholders over the selected time horizon based on the economic and financial projections made, maintaining a satisfactory level of capitalisation.

i = discounting rate represented by the cost of equity (k_e).

VT_a = present Terminal Value calculated as the value of a perpetual yield that is estimated according to an economically sustainable normalised cash flow consistent with the long-term growth rate (" g ").

To discount cash flows distributable to shareholders, the cost of equity was used, i.e. the return on equity required by investors/shareholders for investments with comparable risk characteristics. This rate, equal to 8.50%, is the cost of capital of the MPS Group, defined by the Finance Committee and calculated using the Capital Asset Pricing Model ("CAPM"), based on the following formula:

$$k_e = R_f + \text{Beta} * (R_m - R_f)$$

where:

R_f = risk-free rate, equal to the rate on risk-free assets, namely the three-month average of the yield on the 10-year BUND, equal to -0.54% (source: Bloomberg).

Beta = correlation factor between actual share performance and overall performance of the reference market (measurement of the volatility of a stock relative to the market), equivalent to 1.26% (Bloomberg estimate on historical weekly observations - from 25 October 2017 to 24 October 2019 - of the BMPs stock compared to the STOXX Europe 600 index).

$R_m - R_f$ = market risk premium, equal to the average European market yield (7.20%) determined based on the spread between equities and the risk-free rate (source: Bank of Italy, "Financial Stability Report", May 2019).

The Terminal Value was calculated based on the following formula:

$$VT = \text{normalised distributable cash flow} / (k_e - g)$$

considering a normalised cash flow and an assumed long-term growth rate (g) of 1.5%.

- Determination of the CGU's value in use by discounting future distributable cash flows.

Cash flows of the Widiba CGU have been determined on the basis of the CGU's net profit projections inferred from the analysis of the development policies mentioned previously and the following main valuation parameters - reflective of the most recent market conditions - used to determine the recoverable amount of the CGU as at 31 December 2019:

- a target supervisory ratio (capital ratio) of 8.5% at 2024, taking into account the characteristics of Widiba's business;
- the CGU's cost of capital (k_e) equal to 8.50%, determined using the method described above;
- a long-term growth rate (g) of 1.5%.

d. Impairment test results

The results (in million euros) of the impairment test performed on the Widiba CGU on the basis of the analysis are presented below.

	Shareholders' equity	Recoverable Value	Delta
Widiba	126	140	14

In conclusion, the impairment test on goodwill did not bring to light impairment losses for the Widiba CGU, as the recoverable value is higher than the book value by EUR 14 mln.



10.2 Intangible assets: annual changes

	Goodwill	Other intangible assets: generated internally		Other intangible assets: other		Total
		finite life	indefinite life	finite life	indefinite life	31 12 2019
A. Opening balance	6,605,132	472,866	-	1,852,175	-	8,930,173
A.1 Total net decreases	6,597,232	430,032	-	1,688,985	-	8,716,249
A.2 Net opening balance	7,900	42,834	-	163,190	-	213,924
B. Increases	-	18,575	-	44,252	-	62,827
B.1 Purchases	-	-	-	44,240	-	44,240
B.2 Increases in internally generated intangible assets	X	17,076	-	-	-	17,076
B.3 Write-backs	X	-	-	-	-	-
B.4 Increases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
B.5 Positive exchange differences	-	-	-	4	-	4
B.6 Other increases	-	1,499	-	8	-	1,507
C. Decreases	-	21,307	-	79,347	-	100,654
C.1 Sales	-	-	-	217	-	217
C.2 Write-downs	-	21,307	-	77,990	-	99,297
- Depreciation	-	20,449	-	75,576	-	96,025
- Write-downs	-	858	-	2,414	-	3,272
+ net equity	-	-	-	-	-	-
+ profit and loss	-	858	-	2,414	-	3,272
C.3 Decreases in fair value	-	-	-	-	-	-
- to net equity	X	-	-	-	-	-
- to profit and loss	X	-	-	-	-	-
C.4 Transfers to non-current assets held for sale	-	-	-	(6,440)	-	(6,440)
C.5 Negative exchange differences	-	-	-	-	-	-
C.6 Other decreases	-	-	-	7,580	-	7,580
D. Net closing balance	7,900	40,102	-	128,095	-	176,097
D.1 Total net value adjustments	6,597,232	451,339	-	1,766,619	-	8,815,190
E. Gross closing balance	6,605,132	491,441	-	1,894,714	-	8,991,287
F. Carried at cost	-	-	-	-	-	-



Line A.1, "Total net decreases", and line D.1, "Total net value adjustments", show the opening and closing balances for total value adjustments and amortisation recorded for intangible assets with a finite life.

Line F - "Carried at cost" was left blank in accordance with Bank of Italy's instructions, as it only needs to be completed for assets measured at fair value.

10.3 Other information: amortisation rates

Main categories of intangible assets	%	residual depreciation period
Software	20% - 33%	
Concessions and other licenses	20.00%	
Core deposits - deposit	6.70%	4 years

Intangible assets recognised during the purchase price allocation of Banca Antonveneta S.p.A. are all finite-life and therefore amortised based on their expected useful life.

As at 31 December 2019 there were no:

- revalued intangible fixed assets;
- intangible fixed assets acquired through government concessions (IAS 38, par. 4);
- intangible fixed assets pledged as loan collaterals;
- commitments to purchase intangible assets.



Section 11 - Tax Assets and Liabilities - Item 110 (Assets) and Item 60 (Liabilities)

11.1 Deferred tax assets: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	31 12 2019	31 12 2018
Receivables (including securitisations)	266,638	-	44,217	-	310,855	410,576
Receivables (L. 214/2011)	417,391	-	60,574	-	477,965	498,529
Other financial instruments	7,177	-	2,726	-	9,903	11,660
Goodwill deduction pursuant to previous law provisions (L. 214/2011)	377,136	1,435	87,899	317	466,787	468,526
Tangible assets	68,345	-	8,121	-	76,466	89,574
Intangible assets	54	-	-	-	54	529
Intangible assets (Law 214/2011)	25,663	-	5,363	-	31,026	31,132
Personnel expenses	5,770	16,794	3,301	1,701	27,566	32,328
ACE surplus	110,120	-	-	-	110,120	127,047
Tax losses	217,717	36,011	-	-	253,728	1,149,203
Tax losses (Law 214/2011)	78	-	-	-	78	78
Financial instruments - valuation reserves	-	29,670	-	6,843	36,513	170,410
Others	69,005	-	2,629	-	71,634	213,726
Deferred tax assets (gross)	1,565,094	83,910	214,830	8,861	1,872,695	3,203,318
Offsetting with deferred tax liabilities	(15,627)	(38,832)	(1,011)	(7,808)	(63,278)	(180,800)
Deferred tax assets (net)	1,549,467	45,078	213,819	1,053	1,809,417	3,022,518

Deferred tax assets were recognised after verifying the existence of foreseeable future income (probability test). Write-downs (or write-backs of previous write-downs) based on the probability test are recognised overall as an offsetting entry to the tax item of the income statement; in the tables under this section, however, the portion of DTA not recognisable is allocated based on the proportional criterion, also for DTA originally recognised as offsetting entries to shareholders' equity. For additional information, please refer to paragraph 11.8 "Other information" below.

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also includes those relating to the additional IRES tax (3.5% rate) introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.

The decrease in the balance of the item that occurred during the year is largely due to the change made by the Group to the DTA value in order to take into account the effects on future taxable income from both the reintroduction of the "ACE - Support for Economic Growth" subsidy as part of the 2020 Budget Law (article 1, paragraph 287, of the Law no. 160 of 27 December 2019) as well as the change in internal long-term projections (2020-2024) of income statement and balance sheet values to reflect changes in the current macroeconomic scenario. For additional information, please refer to paragraph 11.8 "Other information" below.

The line "Loans" includes deferred tax assets that can be recognised for nine-tenths of the impairment on loans to customers recorded upon first-time adoption of IFRS 9, whose deduction is envisaged in ten annual instalments (from 2018 to 2027) by article 1, paragraphs 1067-1069 of Law no. 145 of 30 December 2018 (2019 Budget Law); note that the deductible portion for 2019 was postponed to 2028 by article 1, paragraph 713 of Law no. 160 of 27 December 2019 (2020 Budget Law).

The line "Financial instruments – valuation reserves" includes tax assets relating to the valuation of financial instruments classified in the portfolio "Financial assets measured at fair value through other comprehensive income" (OCI).

The line "Other" includes tax assets relating to other cases; the predominant amount refers to provisions for risks and charges in respect of deductible costs expected for future periods.



11.2 Deferred tax liabilities: breakdown

Items/Amounts	IRES with offsetting entry to P&L	IRES with offsetting entry to Balance Sheet	IRAP with offsetting entry to P&L	IRAP with offsetting entry to Balance Sheet	Total 31 12 2019	Total 31 12 2018
Tangible and intangible assets	4,457	-	424	-	4,881	5,686
Financial instruments	11,610	283	587	-	12,480	67,886
Personnel expenses	869	425	-	130	1,424	1,788
Financial instruments - valuation reserves	-	37,012	-	7,461	44,473	58,374
Others	1,569	1,113	14	263	2,959	68,661
Deferred tax liabilities (gross)	18,505	38,833	1,025	7,854	66,217	202,395
Offsetting with deferred tax assets	(15,627)	(38,832)	(1,011)	(7,808)	(63,278)	(180,800)
Deferred tax liabilities (net)	2,878	1	14	46	2,939	21,595

In addition to deferred taxes referring to the main tax (at the rate of 24%) the amounts shown in the IRES column also include those relating to the additional IRES tax (3.5% rate) introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.

The line "Financial instruments – valuation reserves" includes tax liabilities relating to the valuation of cash flow hedge derivatives, as well as financial instruments classified in the portfolio "Financial assets measured at fair value through other comprehensive income" (OCI).



11.3 Deferred tax assets: annual changes (with offsetting entry to profit and loss)

	Total 31 12 2019	Total 31 12 2018
1. Opening balance	2,971,679	2,910,409
2. Increases	284,818	887,141
2.1 Deferred tax assets arising during the year	246,840	872,732
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) write-backs	26,947	260,957
d) other	219,893	611,775
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	37,978	14,409
3. Decreases	1,476,572	825,871
3.1 Deferred tax assets derecognised during the year	1,313,992	448,454
a) reversals	301,377	142,806
b) write-downs of non-recoverable items	1,012,615	305,648
c) changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	162,580	377,417
a) conversion into tax credits pursuant to Law no. 214/2011 □	22,401	314,467
b) others	140,179	62,950
4. Total	1,779,925	2,971,679

The major components of "Deferred tax assets arising during the year" as reported in line 2.1 letter d) include those concerning:

- taxed provisions to the provision for risks and charges made during the year;
- ACE deduction accrued during the year and unused.

The amount shown in line 3.1 letter a) "Reversals" includes the use of provisions for risks and charges taxed in previous years.

The table shows the effects of the measurement of deferred tax assets based on the results of the probability test conducted as at 31 December 2019. Specifically, the amount indicated on line 3.1 letter b) "Write-downs of non-recoverable items", net of the amount in line 2.1 letter c) "Write-backs", refers to the partial derecognition of deferred tax assets for IRES tax losses (Domestic Consolidated declaration) accrued and recognised in prior years for EUR 815.6 mln, tax losses for additional IRES and excess ACE for EUR 57.1 mln, and other temporary deductible differences other than losses and excess ACE (specifically, DTAs that cannot be converted into tax credits pursuant to Law 214/2011, such as those related to provisions for risks and charges, adjustments on IFRS 9 FTA credits, etc.) for EUR 111.5 mln. For additional information, please refer to paragraph 11.8 "Other information" below.

With regard to the decrease pursuant to line 3.3 letter a), please refer to the comments to the subsequent table "11.3.1 Deferred tax assets: changes under Law 214/2011 (with offsetting entry to profit and loss)".

Line 3.3 letter b) includes transformation of the excess ACE accrued for 2018, converted into IRAP credit.

**11.4 Deferred tax assets: changes under Law 214/2011 (with offsetting entry to profit and loss)**

Items / Amounts	Total	
	31 12 2019	31 12 2018
1. Opening balance	996,504	1,311,015
2. Increases	-	78
3. Decreases	22,400	314,588
3.1 Reversals	-	-
3.2 Conversion into tax credits	22,400	314,467
a) arising from loss for the period	22,400	311,176
b) arising from tax losses	-	3,291
3.3 Other decreases	-	121
4. Closing balance	974,104	996,505

As a result of the loss recorded in the separate financial statements for 2018, the Parent Company and MPS Leasing & Factoring transformed into tax credits in 2019 a portion of the DTAs relating to loan write-downs, goodwill and other intangible assets, pursuant to article 2, paragraph 55 of Law Decree no. 225 of 29 December 2010.

These conversions have been in effect as of the date of approval of the 2018 financial statements by the respective Shareholders' Meetings, which took place in April 2019.

11.5 Deferred tax liabilities: annual changes (with offsetting entry to profit and loss)

	Total	Total
	31 12 2019	31 12 2018
Opening balance	85,147	114,888
2. Increases	13,204	8,461
2.1 Deferred tax liabilities arising during the year	11,603	7,720
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) other	11,603	7,720
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	1,601	741
3. Decreases	78,821	38,202
3.1 Deferred taxes derecognised during the year	8,992	36,606
a) reversals	8,992	36,606
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	69,829	1,596
4. Closing balance	19,530	85,147

The increase for the year mainly refers to write-backs on loans to banks.

The decrease was mainly due to write-downs of equity instruments classified in the portfolio "Financial assets measured at fair value through profit and loss".



11.6 Deferred tax assets: annual changes (with offsetting entry to equity)

	Total 31 12 2019	Total 31 12 2018
1. Opening balance	231,639	167,419
2. Increases	6,784	98,745
2.1 Deferred tax assets arising during the year	6,296	98,295
a) relating to previous years	2,331	-
b) due to changes in accounting principles	-	-
c) other	3,965	98,295
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	488	450
3. Decreases	145,652	34,525
3.1 Deferred tax assets derecognised during the year	97,240	33,433
a) reversal	96,321	24,184
b) write-downs of non-recoverable items	919	9,249
c) due to changes in accounting principles	-	-
d) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	48,412	1,092
4. Closing balance	92,771	231,639

The deferred tax assets that arose during the year, shown in line 2.1 c) "Other", refer to actuarial components of liabilities to employees and write-downs of financial instruments classified in the portfolio "Financial assets measured at fair value through other comprehensive income" (OCI).

The deferred tax assets cancelled during the year, shown in line 3.1 a) "Reversals", refers mainly to write-backs on financial instruments classified in the portfolio "Financial assets measured at fair value through other comprehensive income" (OCI) and revaluations of cash flow hedging derivatives.

Lines 2.1 letter a) "Deferred tax assets arising during the year - related to previous years" and 3.1 letter b) "Write-downs for non-recoverable items" represent the effect on the DTAs recognised as an offsetting entry in shareholders' equity of the change made by the Group in the related book value to take into account, as previously described, the effects on future taxable income from both the reintroduction of the ACE subsidy and the negative developments in the macroeconomic scenario. For additional information, please refer to paragraph 11.8 "Other information" below.

**11.6.1 Deferred tax assets: changes under Law 214/2011 (with offsetting entry to equity)**

Items/Amounts	IRES	IRAP	Total 31 12 2016	Total 31 12 2015
1. Opening balance	1,435	325	1,760	2,043
2. Increases	-	-	-	-
3. Decreases	-	8	8	283
3.1 Reversals	-	-	-	-
3.2 Conversion into tax credit	-	8	8	283
a) arising from loss for the period	-	8	8	283
b) arising from tax losses	-	-	-	-
3.3 Other decreases	-	-	-	-
4. Closing balance	1,435	317	1,752	1,760

The table shows deferred tax assets that may be converted into tax credits pursuant to Law 214/2011, recognised with an offsetting entry to equity. These refer to goodwill posted by the Parent Company to equity on business combinations “under common control”.

The amount stated on line 3.2 letter a) refers to Parent Company’s conversion of the tax credit described at the bottom of table 11.3.1 above.

11.7 Deferred tax liabilities: annual changes (with offsetting entry to equity)

	Total 31 12 2019	Total 31 12 2018
1. Opening balance	117,248	118,310
2. Increases	17,456	47,439
2.1 Deferred tax liabilities arising during the year	17,038	43,856
a) relating to previous years	-	-
b) due to changes in accounting principles	-	-
c) other	17,038	43,856
2.2 New taxes or increases in tax rates	-	-
2.3 Other increases	418	3,583
3. Decreases	88,017	48,501
3.1 Deferred tax liabilities derecognised during the year	35,185	48,079
a) reversal	35,185	48,079
b) due to changes in accounting principles	-	-
c) other	-	-
3.2 Reduction in tax rates	-	-
3.3 Other decreases	52,832	422
4. Closing balance	46,687	117,248

The increases shown in line 2.1 letter c) refer mainly to revaluations of financial instruments classified in the portfolio “Financial assets measured at fair value through other comprehensive income” (OCI).

The reversals in line 3.1 letter a) refer mostly to the re-absorption of deferred tax liabilities from cash flow hedging derivatives.



11.8 Other information

Probability test

Deferred tax assets were recognised after verifying the existence of foreseeable future income sufficient to absorb them (probability test).

In this test, the different rules set forth in the Italian tax laws which impact the assessment in question were taken into account, in particular:

- art. 2, paragraphs 55-59, of Law Decree no. 225 of 29/12/2010 (converted, with amendments, by Law no. 10 of 26/02/2011) which establishes the obligation for financial intermediaries to convert into tax credits DTAs (IRES and IRAP) relating to goodwill, other intangible assets and impairment losses on receivables, in the case of a loss in the statutory financial statements and/or a tax loss;
- art. 84, paragraph 1 of the TUIR, which allows for the possibility of carrying forward IRES tax losses with no time limits;
- art. 1, paragraph 4 of Law Decree no. 201 of 06/12/2011 (converted, with amendments, by law no. 214 of 22/12/2011), which allows for unused excess ACE to be carried forward with no time limits, as well as, alternatively, conversion into a tax credit to be used to offset IRAP due in 5 annual instalments;
- in paragraphs 61 to 66, art. 1, of the 2016 Stability Law (Law no. 208 of 28 December 2015) reduced the IRES rate from 27.5% to 24% and simultaneously introduced an additional IRES tax of 3.5% for credit and financial institutions; both measures are effective as of 2017.

In terms of methodology, the probability test was carried out according to the steps listed below and taking into consideration the changes in the internal long-term estimates (2020-2024) of financial statement values described below.

DTAs relating to goodwill, other intangible assets and impairment losses on receivables (“qualified” DTAs), were excluded from the total amount of DTAs for which the existence of sufficient future taxable income needs to be identified. This is because the above-mentioned art. 2, paragraphs 55-59 of Law Decree 225/2010 made the recovery of that type of DTA certain, with respect to both IRES and IRAP, regardless of the presence of future taxable income.

Indeed, the rule sets forth that, if taxable income for the year in which the recovery of qualified DTAs is expected is not sufficient to absorb them, the resulting tax loss would be convertible into a tax credit that may be, alternatively (i) used to offset, with no amount limits, the various taxes ordinarily due from the Bank, or (ii) requested in the form of a refund, or (iii) transferred to third parties. In addition, qualified DTAs may be converted into tax credit in advance of their natural maturity, in the event of a loss for the year in the statutory financial statements or voluntary liquidation, as well as subjection to bankruptcy proceedings.

In other words, for qualified DTAs the probability test must be deemed automatically satisfied; this is also confirmed by the joint Bank of Italy, Consob and ISVAP document no. 5 of 15 May 2012.

For DTAs other than qualified DTAs, the year in which the relative recovery is expected has been identified (or estimated when uncertain).

Taxable income in future years has therefore been estimated based on the Group’s forecast income statements most recently approved by the Board of Directors. The forecast for taxable income in the years subsequent to the last plan year assumes 1.5% growth per year with respect to the forecasted economic result for the immediately preceding year. Taxable income was estimated for the probability test by applying a discount factor to the forecast profit and loss (the “risk-adjusted profits approach”); this factor, used in a combined manner, discounts future income over a maximum 20-year time horizon, to an increasing extent to reflect its uncertainty. The discount factor is calculated by taking into account observable market parameters. Taxable income was estimated:

- at domestic tax consolidation level, for the IRES probability test, since the Group’s most significant companies pay this tax in accordance with articles 117 *et seq.* of the Income Tax Act (TUIR);
- at individual level for additional IRES;
- at individual level for IRAP.



These data have the following effects on the Group's accounts:

- with reference to DTAs for consolidated tax losses, a write-down of EUR 815.6 mln;
- with reference to DTAs for tax losses for purposes of additional IRES, a write-down of EUR 57.4 mln;
- with reference to DTAs for excess ACE, a revaluation of EUR 0.3 mln;
- with reference to DTAs other than "qualified" and those relative to the ACE and tax losses, a total write-down of EUR 111.5 mln.

Note that the probability test measurements made in the 2019 financial statements posted significant negative impacts from two non-recurring factors:

1. the introduction of the "Business incentive for capitalisation" in the 2020 Budget Law (article 1, paragraph 287, of the Law no. 160 of 27 December 2019);
2. the change in internal long-term projections (2020-2024) of income statement and balance sheet values.

The introduction of the "Business incentive for capitalisation" substantially equates to the reinstatement of the previous "ACE - Support for Economic Growth" subsidy, with slightly lower return rates, which had been abolished in the 2019 Budget Law (article 1, paragraph 1080, of the Law no. 145 of 30 December 2018);

This incentive entails an important future tax benefit for MPS Group which, through the reduction of taxable income, will have a positive impact on taxes recognised in the income statements for each of the future years in which it will accrue. However, the aforementioned reduction in taxable income also resulted in a lower capacity for future re-absorption of DTAs recognised in financial statements prior to the introduction of the incentive (in particular, those deriving from tax losses), which were consequently partially written down with effect in the current year. This essentially involved the reversal of the write-back of DTAs from consolidated tax losses recognised in 2018 following the repeal of ACE (see 2018 Financial Statements, Notes to the financial statements - Part B - Information on the balance sheet - 10.7 Other Information). The ACE benefit for MPS Group is calculated on share capital increases carried out from 2011 through the current year of approx. EUR 18.5 bn but within the limits of the accounting net equity at the end of the year of each company that benefited from the aforementioned capital increases.

For completeness of information, the 2020 Budget Law introduced further measures that impacted the Group, however with marginal effects with regard to the probability test measurements. This refers to:

- the deferral to 4 equal instalments from 2022 to 2025 of the amount due in 2019 for loan adjustments pursuant to Law Decree 83/2015 (article 1, paragraph 712);
- the deferral to 2028 of the amount due in 2019 for loan adjustments form IFRS 9 FTA (article 1, paragraph 713);
- the deferral to 5 equal instalments from 2025 to 2029 of the amount due in 2019 for goodwill and other intangible assets (article 1, paragraph 714).

With regard to the change in internal long-term projections (2020-2024) of income statement and balance sheet values, note that this change was necessary to take into account the negative developments in the macroeconomic scenario that occurred in the second half of the year, in particular, expected trends in interest rates, industrial output and household consumption indicators, and consensus on GDP growth estimates. Therefore, based on this context compared to the assumption in the previous scenario, the forecasted taxable income was reduced, resulting in a lower capacity for future re-absorption of DTAs recognised in the financial statements; this led to a further partial write-down of the aforementioned DTAs.

Note that the write-downs resulting from the two non-recurring factors described above were recorded in the fourth quarter of 2019. The following table shows the change in the economic effect of the DTA valuation for the year, showing the result of the (ordinary) cumulative valuation through 30 September 2019 and the negative component recognised in the fourth quarter:



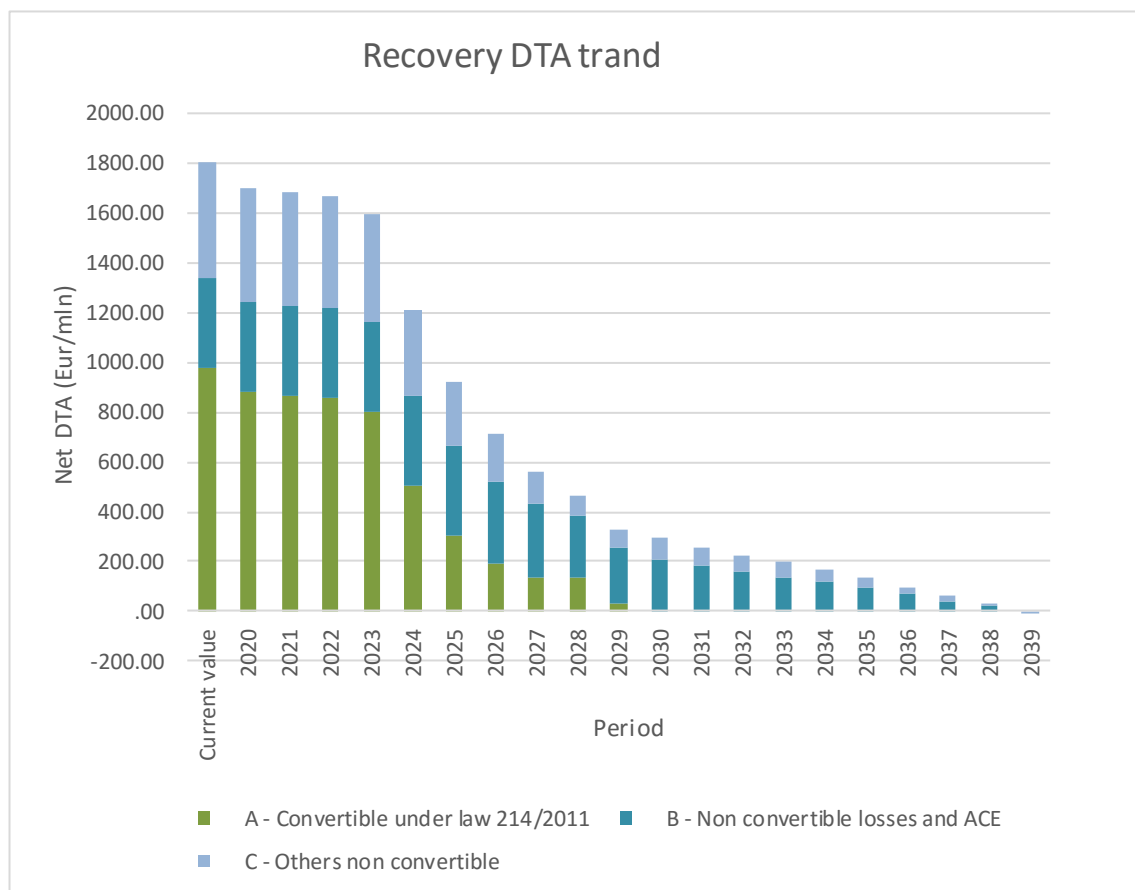
	Fiscal losses and ACE	Others non- convertible	Total DTA adjustments
Total DTA effects as at 30/09/2019	116	133	249
Quartely DTA effect			
Introducing of the "Business incentive for capitalization"	(537)	(7)	(544)
Change in internal long-term projections of income statements and balance sheet aggregates	(451)	(238)	(689)
Total DTA effects 4° Quarter	(988)	(245)	(1,233)
Total DTA effect in 2019	(873)	(112)	(984)

As a result of the above-mentioned valuation, the Group had a total of EUR 2,990.9 mln in DTAs not recognised in balance sheet assets as at 31 December 2019 (EUR 1,919.2 mln as at 31 December 2018).

For the Group, this amount is a potential asset not subject to any time limits according to current tax legislation, whose recognition in balance sheet assets will be evaluated at the future financial statement dates based on the Parent Company's profit outlook.

The sizeable amount of MPS Group's tax losses, equal to EUR 10,101 mln, was accrued mainly in 2016 and 2017, corresponding to the start of the Group's restructuring process, and derives essentially from significant loan adjustments made by the Parent Company and its subsidiaries. Therefore, pursuant to the provisions of IAS 12, paragraph 36, letter c), it is believed that these unused tax losses derive from "identifiable causes that are unlikely to recur" and in this sense have been included in the valuation process for DTAs that can be partially recognised in financial statements.

The following chart shows the expected trend related to the recovery of DTAs recognised in the financial statements as at 31 December 2019, both quantitatively and over time, broken down between convertible DTAs pursuant to Law 214/2011, DTAs from non-convertible losses and other non-convertible DTAs.





The probability test model in use in MPS Group includes some input data whose fluctuations in value can significantly influence the final result of the DTA valuation recognised in financial statements. Specifically, these are:

- 1) forecasted taxable income in the plan's last year (2024);
- 2) notional rate of return of the business incentive for capitalisation;
- 3) discount rate of future results (coefficient used in the risk-adjusted profits approach);
- 4) tax rates for IRES, additional IRES and IRAP.

Certain relevant indications on the sensitivity of the results of the valuation model are provided below, assuming both an increase and decrease in each of the input data listed above. The effects shown in the table refer to the difference that would have occurred for the tax item of the 2019 income statement, compared to what was actually recognised, changing the individual variable as indicated.

Inputs	Decrease	Economic decreases' effect in DTA (€/mln)	Increase	Economic increases' effect in DTA (€/mln)
Taxable income starting from 2024	-100 mln	-73.4	+100 mln	110.5
Tax rate Ace (%)	-0.50%	181.3	+0.50%	-84.9
Discount rate of future results	-1%	132.1	+1%	-98.1
Tax rate Ires	-1%	-54.8	+1%	54.8



Current tax assets

Items/Amounts	Total	Total
	31 12 2019	31 12 2018
Prepayments of corporate income tax (IRES and IRAP)	11,646	13,203
Other tax credits and withholdings	949,822	934,813
Gross current tax assets	961,468	948,016
Offsetting with current tax liabilities	(7,934)	(2,003)
Net current tax assets	953,534	946,013

“Other tax credits and withholdings” consist of IRES/IRAP tax credits resulting from prior tax declarations which can be used as an offset, tax credits claimed for refund, tax credits for loans to parties affected by natural disasters, tax credits arising from DTA conversion (Law 214/2011) for the residual amount still to be used and for withholdings incurred.

Current tax liabilities

Items/Amounts	31 12 2019			31 12 2018		
	Booked to net equity	Booked to P&L	Total	Booked to net equity	Booked to P&L	Total
Corporate income tax (IRES IRAP) payables	-	1,048	1,048	-	7	7
Other current income tax payables	-	7,308	7,308	-	2,044	2,044
Gross current tax payables	-	8,356	8,356	-	2,051	2,051
Offsetting with current tax asset	-	7,934	7,934	-	2,003	2,003
Net current tax payables	-	422	422	-	48	48



Section 12 - Non-current assets held for sale and discontinued operations and associated liabilities - Item 120 (assets) and 70 (liabilities)

12.1 Non-current assets held for sale and discontinued operations: breakdown by type of assets

	Total	
	31 12 2019	31 12 2018
A. Individual assets		
A.1 Financial assets	135,778	235,897
A.2 Equity investments	-	-
A.3 Tangible assets	24,042	8,283
<i>of which: obtained through the enforcement of the guarantees received</i>	1,077	-
A.4 Intangible assets	-	-
A.5 Other non-current assets	-	-
Total A	159,820	244,180
<i>of which valued at cost</i>	158,902	243,951
<i>of which designated at fair value (level 1)</i>	-	-
<i>of which designated at fair value (level 2)</i>	-	-
<i>of which designated at fair value (level 3)</i>	917	228
B. Asset groups (discontinued operations)	-	-
B.1 Financial assets held for trading	-	2,096
B.2 Financial assets designated at fair value	-	4
B.3 Financial assets available for sale	-	-
B.4 Financial assets held to maturity	-	2,092
B.5 Loans to banks	-	348,894
B.6 Loans to customers	-	862,795
B.7 Equity investments	-	-
B.8 Property, plant and equipment	-	302
	-	-
B.9 Intangible assets	-	6,440
B.10 Other assets	-	13,603
Total B	-	1,234,130
<i>of which valued at cost</i>	-	883,141
<i>of which designated at fair value (level 1)</i>	-	328,854
<i>of which designated at fair value (level 2)</i>	-	20,044
<i>of which designated at fair value (level 3)</i>	-	2,092
C. Liabilities associated with individual assets held for sale and discontinued operations	-	-
C.1 Payables	-	-
C.2 Securities	-	-
C.3 Other liabilities	-	25
Total C	-	25
<i>of which valued at cost</i>	-	25
<i>of which designated at fair value (level 1)</i>	-	-
<i>of which designated at fair value (level 2)</i>	-	-
<i>of which designated at fair value (level 3)</i>	-	-
D. Liabilities included in groups of assets held for sale and discontinued operations	-	-
D.1 Deposits from banks	-	1,112,303
D.2 Deposits from customers	-	2,195
D.3 Debt securities issued	-	-
D.4 Financial liabilities held for trading	-	1,204
D.5 Financial liabilities designated at fair value	-	64,423
Total D	-	1,180,125
<i>of which valued at cost</i>	-	1,177,929
<i>of which designated at fair value (level 1)</i>	-	-
<i>of which designated at fair value (level 2)</i>	-	2,195
<i>of which designated at fair value (level 3)</i>	-	-



Line “A.1 Financial assets”, equal to EUR 135.8 mln, includes to:

- EUR 52.3 mln of disposals of loans classified as bad loans, of which EUR 40.7 mln of subsidiary MPS Leasing & Factoring S.p.A. (“Morgana” transaction); EUR 7.2 mln attributable to Parent Company and EUR 4.4 of subsidiaries MPS Capital Service SpA;
- EUR 83.3 mln of disposals of loans classified as unlikely to pay, respectively of Parent Company (EUR 55.3 mln) and its subsidiaries MPS Capital Service SpA (EUR 12.3 mln) and MPS Leasing e Factoring SpA (15.7 mln).

Line “A.3 Property, plant and equipment”, equal to EUR 24.0 mln, is related to the Parent Company for EUR 12.5 mln and to the subsidiaries MPS Capital Services S.p.A. and MPS Leasing & Factoring S.p.A. for EUR 11.4 mln, and, in particular, includes property, plant and equipment held for investment purposes for EUR 21.7 mln, as well as for use in business activities for EUR 2.3 mln.

At the reporting date or for the year of comparison, there are no equity securities of clearly poor credit quality.

12.2 Other information

At the reporting date, there is no information to report pursuant to IFRS 5.42. There are also no “Discontinued operations”.

Section 13 - Other assets - Item 130

13.1 Other assets: breakdown

	Total 31 12 2019	Total 31 12 2018*
Tax credits from the Revenue and other tax levying authorities	210,936	213,717
Third party cheques held at the cashier's for collection	9,875	10,968
Cheques drawn on the Company held at the cashier's for collection	1,768	2,126
Gold, silver and precious metals	57,406	23,984
Property inventory	-	-
Items in transit between branches	2,682	4,139
Items in processing	730,940	728,558
Receivables associated with the provision of goods and services	19,173	12,563
Improvements and incremental costs on third party assets other than those included under tangible assets	42,046	42,454
Prepaid expenses and accrued income not attributable to other line items	506,459	403,406
Biological assets	2,460	3,282
Other	228,466	289,038
Total	1,812,211	1,734,235

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

The lines “Items in processing” and “Other” include transactions which were cleared in early 2020.

The line “Accrued income and prepaid expenses not attributable to its own separate item” includes a total of EUR 195 mln as prepaid expenses for outsourced services, provided continuously over the contract term and financially settled by the Group with decreasing amounts over time. For further details on the methods for identifying these types of services, please refer to Part A, paragraph “Other Information - Costs for constant services and decreasing payments” of these Notes to the consolidated financial statements.

The table above does not include cases attributable to the definitions of “contract assets” and “contract liabilities” at either the reporting date or for the comparison year, which would require disclosure pursuant to IFRS 15.116 and 118.



LIABILITIES

Section 1 - Financial liabilities measured at amortised cost - Item 10

1.1 Financial liabilities measured at amortised cost: breakdown of deposits from banks

Items/accounts	Total 31 12 2019				Total 31 12 2018*			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Deposits from central banks	16,041,495	X	X	X	16,542,345	X	X	X
2. Deposits from banks	4,136,642	X	X	X	5,296,065	X	X	X
2.1 Current accounts and demand deposits	661,734	X	X	X	1,076,310	X	X	X
2.2 Time deposits	37,079	X	X	X	22,602	X	X	X
2.3 Loans	2,843,209	X	X	X	3,592,335	X	X	X
2.3.1 Repurchase agreements	2,704,382	X	X	X	3,183,124	X	X	X
2.3.2 Other	138,827	X	X	X	409,211	X	X	X
2.4 Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
2.5 Lease liabilities	546	X	X	X	-	X	X	X
2.6 Other liabilities	594,074	X	X	X	604,818	X	X	X
Total	20,178,137	-	20,178,137	-	21,838,410	-	21,838,410	-

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

The line "Deposits from central banks", equal to EUR 16,041.5 mln, includes refinancing operations, guaranteed by securities pledged by the Parent Company using the pooling mechanism.

Line 2.3.1 "Repurchase agreements" contains the financial liabilities arising from repo transactions with banks on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.

1.2 Financial liabilities measured at amortised cost: breakdown of deposits from customers

Type of transactions/Amounts	Total 31 12 2019				Total 31 12 2018*			
	Book value	Fair value			Book value	Fair value		
		Level 1	Level 2	Level 3		Level 1	Level 2	Level 3
1. Current accounts and demand deposits	56,045,625	X	X	X	52,701,349	X	X	X
2. Time deposits	9,594,193	X	X	X	8,366,371	X	X	X
3. Loans	9,841,434	X	X	X	14,190,207	X	X	X
3.1 Reverse repurchase agreements	6,173,681	X	X	X	10,136,984	X	X	X
3.2 Others	3,667,752	X	X	X	4,053,224	X	X	X
4. Liabilities for commitments to repurchase own equity instruments	-	X	X	X	-	X	X	X
5. Lease liabilities	266,511	X	X	X	-	X	X	X
6. Other liabilities	779,156	X	X	X	855,297	X	X	X
Total	76,526,919	-	76,526,919	-	76,113,224	-	76,113,224	-

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

Line "3.3.1 Repurchase agreements" contains the financial liabilities arising from repo transactions with customers on both treasury securities and securities made available through reverse repurchase agreements or securities lending transactions.



1.3 Financial liabilities measured at amortised cost: breakdown of debt securities issued

Type of Securities/ Amounts	Total 31 12 2019					Total 31 12 2018				
	Book value	Fair value				Book value	Fair value			
		Level 1	Level 2	Level 3	Total		Level 1	Level 2	Level 3	Total
A. Listed securities										
1. Bonds	13,906,905	11,918,532	2,196,574	-	14,115,106	10,794,211	6,770,907	3,723,350	-	10,494,257
1.1 Structured	-	-	-	-	-	-	-	-	-	-
1.2 Other	13,906,905	11,918,532	2,196,574	-	14,115,106	10,794,211	6,770,907	3,723,350	-	10,494,257
2. Other securities	3,536,348	-	3,536,348	-	3,536,348	2,341,626	-	2,341,626	-	2,341,626
2.1 Structured	-	-	-	-	-	-	-	-	-	-
2.2 Other	3,536,348	-	3,536,348	-	3,536,348	2,341,626	-	2,341,626	-	2,341,626
Total	17,443,253	11,918,532	5,732,922	-	17,651,454	13,135,837	6,770,907	6,064,976	-	12,835,883

The table shows funding represented by securities, including bonds and certificates of deposit (outstanding and maturities).

Liabilities are net of bonds and repurchased CDs. In this regard, on 31 December 2019, there were State-guaranteed bonds in place, issued and concurrently repurchased, for a nominal amount of EUR 4,799 mln, part of which, for a nominal EUR 3,076 mln, were then pledged as collateral for financing transactions.

Note that EUR 8.3 bn were assets that were micro-hedged for fair value (EUR 6.5 bn as at 31 December 2018).

The Parent Company also proceeded with operational hedging of interest rate risk for EUR 4.3 bn in securities issued by the Bank (EUR 3.0 bn at the end of 2018) through the purchase of Italian government securities with residual life not lower/higher than six months in relation to the maturities of the matching liabilities.

1.4 Details of subordinated liabilities/securities

Type/Item	Date of issue	Date of maturity	Early repayment starting from	Grand- fathering	Currency	Rate	Step up	Nominal value		Book value	
								31 12 2019	31 12 2018	31 12 2019	31 12 2018
Subordinated loans to bank								-		-	
Subordinated loans to customers											
Subordinated debts securities issued											
Subordinated bond loan	18/01/18	18/01/28	18/01/23	NO	Eur	5,375% fixed*	NO	750,000	750,000	787,801	787,784
Subordinated bond loan	23/07/19	23/07/29	NO	NO	Eur	10,5% fixed	NO	300,000		310,568	
Total								#####	750,000	#####	787,784

* 5.375% until 18 January 2023, subsequently 5Y EUR mid-swap rate + 5.005%

Subordinated liabilities refer to the issue by the Parent Company of two Tier 2 subordinated bonds in January 2018 (EUR 750 mln) and July 2019 (EUR 300 mln).



1.5 Details of structured liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

1.6 Lease payables

Type of transaction/Amount	Total 31 12 2019
Lease liabilities	299,714
Future minimum lease payment included in lease liabilities not discounted up to 5 years	225,095
Up to 1 month	9,103
from 1 to 3 months	5,423
from 3 months to 1 year	40,845
From 1 to 5 years	169,724
Non discounted outgoing cash flow for lease liabilities over to 5 years	74,619

The table shows the non-discounted outgoing cash flows for lease liabilities broken down by time bracket.



Section 2 - Financial liabilities held for trading - Item 20

2.1 Financial liabilities held for trading: breakdown

Type of transaction/ Group item	NV	Total 31 12 2019				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Deposits from banks	1,547,156	1,884,151	103	-	1,884,254	1,884,255
2. Deposits from customers	509,396	551,777	7	-	551,784	551,784
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	2,056,552	2,435,928	110	-	2,436,038	2,436,039
B. Derivatives						
1. Financial derivatives		-	1,321,871	-	1,321,871	
1.1 Trading	X	-	1,321,500	-	1,321,500	X
1.2 Fair value option (FVO)	X	-	371	-	371	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	124,714	-	124,714	
2.1 Trading	X	-	124,714	-	124,714	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	1,446,585	-	1,446,585	X
Total (A+B)	X	2,435,928	1,446,695	-	3,882,623	X

Legend

NV = Nominal or Notional Value

FV = Fair Value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

Criteria adopted for classification of financial instruments in the three levels of the “fair value hierarchy” are reported in Section A.3, “Fair value disclosure” of Part A, “Accounting policies” of the notes to the financial statements.

The amounts classified in lines “1. Deposits from banks” and “2. Deposits from customers” are related primarily to those in lines “1. Debt securities” and “4. Loans” in table 2.1 of the assets “Financial assets held for trading”. Please also note that the sub-items “Deposits from banks” and “Deposits from customers”, mentioned above, also incorporate uncovered short positions. They are designated at fair value in line with the method applied for “long” positions.

Derivatives connected with fair value option instruments are also included in the trading book: these cover the risks of funding designated at fair value arising from possible interest rate fluctuations and from any embedded options in structured bonds issued (natural and systematic hedging). The fair value of these derivatives is shown in the table in line B1.1 as they are FVO hedges originally carried out with the subsidiary MPS Capital Services S.p.A., for which risk externalisation was required.

Note that for FVO derivatives with the subsidiary MPS Capital Services S.p.A. the relevant internal units responsible for risk management perform suitable tests at consolidated level in order to periodically test the effectiveness of the hedge established from the perspective of a ‘natural hedge’.



The fair value calculated on financial derivatives includes value adjustments owing to changes in the Group's creditworthiness, Debit Value Adjustment (i.e. DVA), totalling EUR 6.1 mln (EUR 9 mln as at 31 December 2018).

Type of transaction/ Group item	NV	Total 31 12 2018				FV*
		FV				
		Level 1	Level 2	Level 3	Total	
A. Balance-sheet liabilities						
1. Deposits from banks	1,446,932	1,573,188	134	-	1,573,322	1,573,322
2. Deposits from customers	304,883	300,175	464	-	300,639	300,639
3. Debt securities issued	-	-	-	-	-	-
3.1 Bonds	-	-	-	-	-	-
3.1.1 Structured	-	-	-	-	-	X
3.1.2 Other	-	-	-	-	-	X
3.2 Other securities	-	-	-	-	-	-
3.2.1 Structured	-	-	-	-	-	X
3.2.2 Other	-	-	-	-	-	X
Total A	1,751,815	1,873,363	598	-	1,873,961	1,873,961
B. Derivatives						
1. Financial derivatives		-	1,243,690	-	1,243,690	
1.1 Trading	X	-	1,243,690	-	1,243,690	X
1.2 Fair value option (FVO)	X	-	-	-	-	X
1.3 Other	X	-	-	-	-	X
2. Credit derivatives		-	55,902	-	55,902	
2.1 Trading	X	-	55,902	-	55,902	X
2.2 Fair value option (FVO)	X	-	-	-	-	X
2.3 Other	X	-	-	-	-	X
Total B	X	-	1,299,592	-	1,299,592	X
Total (A+B)	X	1,873,363	1,300,190	-	3,173,553	X

Legend

NV = Nominal or Notional Value

FV = Fair Value

FV* = Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

2.2 Details of item 20 "Financial liabilities held for trading": subordinated liabilities

The Group has issued no subordinated liabilities classified in the trading book.

2.3 Details of item 20 "Financial liabilities held for trading": structured liabilities

The Group has issued no structured liabilities classified in the trading book.



Section 3 - Financial liabilities measured at fair value - Item 30

3.1 Financial liabilities measured at fair value: breakdown

Type of transaction / Amount	Total 31 12 2019					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Deposits from banks	-	-	-	-	-	-
2. Deposits from customers	-	-	-	-	-	-
3. Debt securities issued	219,108	-	247,116	-	247,116	290,819
3.1 Structured	59,598	-	57,412	-	57,412	X
3.2 Other	159,510	-	189,704	-	189,704	X
Total	219,108	-	247,116	-	247,116	290,819

Legend

NV = Nominal or Notional Value

FV = Fair Value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue

The table shows the financial liabilities represented by fixed-rate and structured bonds which have been classified at fair value and are subject to hedging. Hedging occurs through derivative contracts and is used to cover the risk of interest rate fluctuations and the risk resulting from embedded options.

In the income statement, positive and negative spreads or margins relative to derivative contracts until the balance sheet date are recognised as interest income and expense, while valuation profits and losses are posted under income statement item "80 - Net profit (loss) from trading". Profit/loss from financial liabilities measured at fair value is recognised:

- among other revenue items without reversal to the income statement for the amount referring to changes in own creditworthiness;
- in item 110 "Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss" of the income statement for the residual portion of the fair value change.

The above recognition method does not create nor expand accounting asymmetry in the profit (loss) for the year, as the effects

of changes in the credit risk of the Group's liabilities are not offset in the income statement by a change in the fair value of another financial instrument measured at fair value through profit and loss for the year.

Type of transaction / Amount	Total 31 12 2018					
	NV	FV				FV*
		Level 1	Level 2	Level 3	Total	
1. Deposits from banks	-	-	-	-	-	-
2. Deposits from customers	-	-	-	-	-	-
3. Debt securities issued	247,911	-	258,235	-	258,235	306,871
3.1 Structured	82,600	-	75,093	-	75,093	X
3.2 Other	165,311	-	183,142	-	183,142	X
Total	247,911	-	258,235	-	258,235	306,871

Legend

NV = Nominal or Notional Value

FV = Fair Value

FV*= Fair value calculated excluding value adjustments due to variations in the credit rating of the issuer since the date of issue



3.1.a Financial liabilities measured at fair value: fair value option approach

Liabilities for which the fair value option was adopted include natural hedges through debt security derivatives for a book value of EUR 247.1 mln, as compared to EUR 258.2 mln in the previous year.

3.1.b Financial liabilities measured at fair value: structured debt securities

Items/Amount	31 12 2019			Total	
	Structured loan to banks	Structured loan to customers	Structured securities	Total	31 12 2018
Index Linked	-	-	57,412	57,412	75,093
Total	-	-	57,412	57,412	75,093

The table reports the main types of structured bonds issued by the Group and measured at fair value. Since bonds are measured at fair value through profit and loss, embedded derivatives are not reported separately.

3.2 Details of “Financial liabilities measured at fair value”: subordinated liabilities

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

Section 4 - Hedging derivatives - Item 40

4.1 Hedging derivatives: breakdown by type of contract and underlying asset

	Fair value 31 12 2019				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	1,315,905	-	1,315,905	35,229,225
1) Fair value	-	1,315,905	-	1,315,905	39,733,932
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	1,315,905	-	1,315,905	35,229,225

Legend

NV = Nominal or Notional Value

The table displays the negative book value (fair value) of hedging derivatives for hedges carried out through hedge accounting.

Hedges of financial liabilities represented by securities are also managed through the fair value option.

Information on the underlying strategies and objectives of hedge transactions can be found in Section 1.2 “Market risks” of Part E “Information on risks and hedging policies”.



	Fair value 31 12 2018				NV
	Level 1	Level 2	Level 3	Total	
A. Financial derivatives	-	748,501	-	748,501	31,092,504
1) Fair value	-	748,501	-	748,501	748,501
2) Cash flows	-	-	-	-	-
3) Foreign investments	-	-	-	-	-
B. Credit derivatives	-	-	-	-	-
1) Fair value	-	-	-	-	-
2) Cash flows	-	-	-	-	-
Total	-	748,501	-	748,501	31,092,504

Legend

NV = Nominal or Notional Value

4.2 Hedging derivatives: breakdown by hedged portfolios and type of hedging

Transaction/Type of hedge	Fair Value							Cash flow Hedge		Foreign investments	Total 31 12 2019	
	Micro Hedge							Macro-hedge	Micro-hedge			Macro-hedge
	Debt securities and interest rate	Equity instruments and stock indices	currencies and gold	Credit	Commodities	Others						
1.Financial assets measured at fair value through other	68,055	-	-	-	X	X	X	-	X	X	68,055	
2. Financial assets measure at amortised cost	365,813	X	37,647	-	X	X	X	-	X	X	403,460	
3. Portfolio	X	X	X	X	X	X	790,401	X	-	X	790,401	
4. Other transaction	-	-	-	-	-	-	X	-	X	-	-	
Total assets	433,868	-	37,647	-	-	-	790,401	-	-	-	1,261,916	
1. Financial liabilities	47,435	X	-	-	-	-	X	-	X	X	47,435	
2. Portfolio	X	X	X	X	X	X	6,554	X	-	X	6,554	
Total liabilities	47,435	-	-	-	-	-	6,554	-	-	-	53,989	
1. Expected transactions	X	X	X	X	X	X	X	-	X	X	-	
2. Financial assets and liabilities portfolio	X	X	X	X	X	X	-	X	-	-	-	
Total	481,303	-	37,647	-	-	-	796,955	-	-	-	1,315,905	

The tables show the negative fair values of hedging derivatives, classified by hedged assets or liabilities and type of hedging implemented.

In particular, on the assets side, fair value micro-hedging was used to hedge against interest rate risk on securities classified in the portfolio of “financial assets measured at fair value through other comprehensive income” or among loans and receivables classified in the portfolio of “financial assets measured at amortised cost”, in order to protect them from unfavourable interest rate changes. Fair value macro-hedging was carried out on fixed-rate and capped floating rate mortgage loan portfolios.

With reference to financial liabilities, fair value micro-hedging of the interest rate risk refers primarily to hedges of liabilities represented by securities, while macro-hedging of interest rate risk refers to the hedges liabilities represented by deposits.



More information on hedged assets and liabilities can be found in the tables contained in Part B of the notes for each section of the balance sheet items to which the hedged items are posted.

Section 5 - Changes in value of macro-hedged financial liabilities - Item 50

5.1 Change in value of hedged liabilities: breakdown by hedged portfolios

Fair value change of financial liabilities in hedged portfolios / Values	Total 31 12 2019	Total 31 12 2018
1. Positive fair value change of financial liabilities	31,390	18,145
2. Negative fair value change of financial liabilities	-	-
Total	31,390	18,145

The balance of changes in value of the liabilities subject to macro-hedging of interest rate risk is recognised in this item.

Section 6 – Tax liabilities – Item 60

Please refer to section 11 of the assets.

Section 7 – Liabilities associated with non-current assets held for sale and discontinued operations – Item 70

Please refer to section 12 of the assets.

Section 8 – Other liabilities – Item 80

8.1 Other liabilities: breakdown

	Total 31 12 2019	Total 31 12 2018
Due to the Revenue and other tax levying authorities	153,398	159,033
Due to social security authorities	310,066	328,549
Amounts available to customers	44,151	44,058
Other amounts due to employees	25,314	31,132
Items in transit between branches	13,297	23,468
Items in processing	719,352	868,814
Payables in relation to the payment of supplies of goods and services	320,326	308,764
Accrued expenses and unearned revenues not attributable to other line items	90,940	88,438
Other	1,221,043	1,475,696
Total	2,897,887	3,327,952

Sub-items “Items in processing” and “Other” include transactions which were cleared during the first days of 2020.

For the disclosures pursuant to IFRS 15.116 and IFRS 15.118, please refer to section 13 of the assets.



Section 9 – Provision for employee severance pay – Item 90

9.1 Provision for employee severance pay: annual changes

	Total 31 12 2019	Total 31 12 2018
A. Opening balance	192,116	199,498
B. Increases	7,268	2,356
B.1 Provision for the year	2,301	2,350
B.2 Other increases	4,967	6
C. Decreases	20,731	9,738
C.1 Severance payments	19,865	4,277
C.2 Other decreases	866	5,461
D. Closing balance	178,653	192,116

9.2 Other information

Provision for employee severance pay is considered as a defined benefit fund for the purpose of international accounting standards.

The provision for the year, as clarified by the Bank of Italy, does not include amounts which, as a result of the reform introduced by Legislative Decree no. 252 of 5 December 2005, are paid directly by the Group, depending on its employee's various options, to supplementary pension schemes or to the treasury fund managed directly by the Italian National Social Security Institute, INPS. These items are recognised in personnel expenses, as "contributions to external pension funds: defined contribution".

9.2.a Changes in net defined benefit liabilities during the year: severance pay

Item/Amount	Present value of DBO	
	31 12 2019	31 12 2018
Opening balance	192,116	199,498
Current service cost	31	34
Interest income/expense	2,268	2,314
Remeasurement of net defined benefit liability (asset):	4,948	(4,708)
Actuarial gains (losses) arising from changes in demographic assumptions	-	145
Actuarial gains (losses) arising from experience adjustments	(2,308)	(1,529)
Actuarial gains (losses) arising from changes in financial assumptions	7,256	(3,324)
Payments from plan	(19,778)	(4,147)
Effect of any plan settlements	95	130
Other changes	(837)	(745)
Closing balance	178,653	192,116

The table above reports the information required by paragraphs 140 and 141 of IAS 19.



9.2.b Key actuarial assumptions used

Key actuarial assumptions/percentage	31 12 2019	31 12 2018
Discount rates	0.26% - 2.63%	0.98% - 2.63%
Expected rates of salary increases	X	X

9.2.c Sensitivity of defined benefit obligation of severance pay to changes in key actuarial assumptions

Actuarial assumptions	31 12 2019		31 12 2018	
	Change in DBO	Change (%) in DBO	Change in DBO	Change (%) in DBO
Discount rates				
Increase of 0.25%	(3,553)	-1.99%	(3,817)	-1.99%
Decrease of 0.25%	3,335	1.87%	3,583	1.86%

Section 10 – Provisions for risks and charges – Item 100

10.1 Provisions for risks and charges: breakdown

Item/Amount	Total 31 12 2019	Total 31 12 2018
1. Provision for credit risk on commitments and financial guarantees issued	158,793	241,420
2. Provision for other commitments and guarantee issued	-	1,000
3. Pensions and other post retirement benefit obligations	36,133	37,500
4. Other provisions for risks and charges	1,014,948	1,199,121
4.1 legal disputes	542,815	608,498
4.2 personnel charges	58,070	213,095
4.3 other	414,063	377,528
Total	1,209,874	1,479,041

For further details of the sub-item 4.3 “others”, please refer to table 10.6 below “Provisions for risks and charges - Other provisions”.



10.2 Provisions for risks and charges: annual changes

Item/Amount	Total 31 12 2019			
	Provisions for commitments and other guarantees issued	Pensions and other post employment benefit obligations	Other provisions	Total
A. Opening balance	1,000	37,500	1,199,121	1,237,621
B. Increases	-	22,380	476,546	498,926
B.1 Provision for the year	-	59	454,236	454,295
B.2 Changes due to the time value of money	-	20	8	28
B.3 Changes due to discount rate changes	-	21,883	5	21,888
B.4 Other increases	-	418	22,297	22,715
C. Decreases	1,000	23,747	660,719	685,466
C.1 Use during the year	1,000	3,283	425,623	429,906
C.2 Changes due to discount rate changes	-	-	-	-
C.3 Other decreases	-	20,464	235,096	255,560
D. Closing balance	-	36,133	1,014,948	1,051,081

10.2-bis Other provisions for risks and charges: annual changes

Items/Amount	Totale 31 12 2019			
	Provision for Tax and legal disputes	Provision for personnel changes	Other provisions	Total
A. Opening balance	608,498	213,095	377,528	1,199,121
B. Increases	196,531	32,466	247,549	476,546
B.1 Provision for the year	196,371	32,460	225,405	454,236
B.2 Change due to the time value of money	8	-	-	8
B.3 Change due to discount rate changes	-	5	-	5
B.4 Other increases	152	-	22,145	22,297
C. Decreases	262,214	187,491	211,014	660,719
C.1 Use during the year	67,001	178,141	180,481	425,623
C.2 Change due to discount rate changes	-	-	-	-
C.3 Other decreases	195,213	9,350	30,533	235,096
IFRS 5 "Discontinuing operations"	-	-	-	-
D. Closing balance	542,815	58,070	414,063	1,014,948

The provisions in item B.1 of the column "Other provisions" are mainly attributable to allocations for commitments assumed by the Parent Company for compensation connected with diamond transactions, to the allocations for the estimated indemnities linked to loan disposal transactions, and for the estimated reimbursements on transactions with customers in addition to the allocations envisaged by IFRS 15 related to contracts with customers which provide for the repayment of all or part of the consideration should certain events occur.

For further details, please refer to Table 10.6 below as well as Section 5 "Operational risks" of Part E of the Notes to the financial statements.



10.3 Provisions for credit risk relative to commitments and financial guarantees given

	Provisions for loans commitments and other financial guarantees issued			
	1 Stage	2 Stage	3 Stage	Total 31 12 2019
Commitments to disburse funds	2,548	2,848	1	5,397
Financial guarantees issued	4,636	5,877	142,883	153,396
Total	7,184	8,725	142,884	158,793

	Provisions for loans commitments and other financial guarantees issued			
	1 Stage	2 Stage	3 Stage	Total 31 12 2018
Commitments to disburse funds	2,893	3,358	-	6,251
Financial guarantees issued	6,133	5,765	223,271	235,169
Total	9,026	9,123	223,271	241,420

10.4 Provisions on other commitments and guarantees given

As at 31 December 2019, the Group held no provisions of this type. In 2018, this provision amounted to EUR 1.0 mln.



10.5 Defined benefit company pension funds

10.5.1. Description of funds and related risks

The information provided below concerns defined benefit pension funds in favour of employees and terminated employees of the Parent Company and the Group companies, i.e. funds in which the obligation of future payment of retirement benefits is undertaken by the funds and indirectly by the companies, which may be required to increase the value of the obligation in the event of inadequate capital assessed in accordance with actuarial criteria.

For each definite benefit plan the Group relies on analyses carried out by an independent certified actuary.

In accounting for the plans, the surplus or deficit was determined using the credit unitary projection method; therefore, the fair value of the assets servicing the plan, if any, was deducted from the current value of the obligation, as shown in the statement of financial position (*see Part A of the Notes - Accounting Policies*).

The valuations concerned those participating, which form a closed group of retired or active employees, and were carried out on the basis of these groups of employees as measured in December 2019 (with the exclusion of the Section of the Cassa di Previdenza Aziendale - Company's Pension Scheme) for employees of Monte dei Paschi di Siena, valued as at 30 November 2019).

In accordance with IAS 19, revised by amendments issued by IASB on 16 June 2011 and approved by EU Regulation no. 475/2012 dated 5 June 2012, in determining the total cost of each defined benefit plan, which - as is well-known - may be influenced by many variables, objective and prudential technical bases were adopted in formulating both demographic and financial assumptions.

In view of the evolutionary nature of the main relevant aggregates, actuarial valuations were performed under dynamic conditions, so as to subsume in the medium-long term both the average annual changes in the benefits defined in each plan, and the interest rate trends expected in the financial market.

Some of the main actuarial assumptions that were formulated and used as valuation bases are mentioned below:

- technical mortality basis: using death probability data as provided in ISTAT's 2018 tables, broken down by gender and age, with mortality reduced by 20%;
- economic-financial basis: using as annual relative interest rate the interpolated EUR Composite AA rate curve (BFV) as at 31 December 2019.

For each defined benefit plan, the balance sheet equity resulting from valuations carried after reconciliation of actuarial assets and liabilities as at 31 December 2019 underwent a sensitivity analysis to examine the effects of changes in the key technical assumptions included in the calculation model (average annual discount rate and inflation rate), and the results were presented in specific tables.

The theoretical future increase in INPS pensionable earnings, which in any case is considered in the calculation model in an average annual percentage of 0.75%, was not included in the sensitivity analysis because it is essentially irrelevant for the preparation of the technical financial statements as, given that all defined benefit pensions funds are closed to new participants and taking into account the progressive decrease in the active population due to retirements during the year, the ratio between active and retired participants has now reduced to a percentage of less than 0.1%.

The defined benefit plans, in which the Group companies are co-obliged within the limits set out in the respective by-laws or regulations, are either internal plans, divided in the description below between unfunded and funded, or independent external funds.



Unfunded internal funds

Supplementary pension provision for staff in the former tax collection division of Banca Monte dei Paschi di Siena S.p.A.

(Bank Register no. 9185)

This is a defined benefit plan designed to provide retired staff of the former Direct Management division of the Parent Company with supplementary pension in the form of annuity.

The entitled population, consisting solely of retirees whose number is 307, is made up of staff of the former business unit, divested in 2006, who retired after the year 1982.

For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Law no. 335/95 as amended and the Plan Regulations.

The valuations concerning participants were carried out on the basis of the positions of retirees, taking into account details on currently paid pensions, types of pension, personal data of the beneficiary and amount of the annuity paid by the Fund and that paid by INPS.

In the event that the agreed benefits are more costly than expected, the Parent Company remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 1.0 mln at the date of 31 December 2019.

National insurance (INPS) for former Banca Operaia di Bologna staff

(Bank Register no. 9142)

The fund is intended to supplement benefits paid out under INPS pension schemes for retired employees of former Banca Operaia di Bologna.

The Plan's Regulations, signed on 23 September 1980, provide for supplementary benefit up to a certain percentage of the last salary earned. For the purposes of pension calculation, annual salary means a set of items paid on a continuous basis and on which benefits are paid out to surviving dependents. For the purposes of the preparation of the technical financial statements, the liabilities were valued taking into account INPS pension payment regulations issued by Law no. 335/95 as amended.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

In the event of deficit, the Parent Company remains responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.4 mln at the date of 31 December 2019.

The plan applies to a population made up exclusively of non-active participants, of which 65 are retired and 3 are active employees.



Pension provision for employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia

(Bank Register no. 9178)

The sole aim of the fund is to supplement compulsory schemes in order to guarantee higher levels of insurance coverage for ex-employees of former Banca di Credito Popolare e Cooperativo di Reggio Emilia, as the direct beneficiaries of a life annuity or as the surviving spouse of a former employee.

The pension provision for employees participating in the Fund is governed by the Regulations issued in 1977 and later amended to reflect subsequent laws. It provides for payment of supplementary benefits so as to reach a certain percentage of the last salary earned.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

The obligation to pay the benefits lies with the Parent Company, which must provide the wherewithal to cover the liability over time.

The valuations show an actuarial loss of EUR 0.05 mln at the date of 31 December 2019.

The Plan applies to a population of only 11 retirees.

Pension provision for employees of former Banca Popolare Veneta

(Bank Register no. 9066)

The pension plan, which applies to a residual population of 18 retirees, is aimed at supplementing the benefits paid out by INPS for employees already retired at 7 December 1989 and their assignees, under labour agreements signed on 4 February 1956 and on 1 January 1982 for executive staff, as amended.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

In the event of deficit, the Parent Company is responsible for providing additional funds to meet the financial requirements of the retirement plans.

The valuations show an actuarial loss of EUR 0.1 mln at the date of 31 December 2019.

Pension fund MPS Capital Services Banca per le Imprese S.p.A.

(Bank Register no. 9134)

This defined benefit supplementary pension fund is reserved to 36 retirees, including 24 direct and 12 indirect beneficiaries.

The valuations show an actuarial loss of EUR 0.4 mln at the date of 31 December 2019.



Funded internal funds

Pension provision for employees of former Banca Nazionale Agricoltura

(Bank Register no. 9047)

The purpose of this Provision is to pay additional retirement benefits over and above those paid by INPS to employees of the former Banca Nazionale dell'Agricoltura, who retired before 1 October 2000 or whose employment was terminated after this date without their having exercised the right, provided under the agreement of 12 September 2000, to transfer their contributions to another individual capitalisation, defined contribution fund.

The Plan applies to a population of 218 retirees and 3 employees on deferred retirement.

The Plan's Regulations, first approved in 1966, provide for supplementary benefit up to a certain percentage of the last salary earned, to be paid to the direct beneficiaries and their surviving dependants.

The valuations concerning participants were carried out taking into account details on currently paid pensions, personal data of the beneficiary and the ratio between the annuity paid by the Fund and that paid by INPS.

Although the Fund has its own separate and independent allocation capital, the guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time.

At the valuation date of 31 December 2019, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.

Supplementary pension provision for employees of former Banca Toscana

(Bank Register no. 9110)

This defined benefit supplementary pension fund is reserved for employees of the former Banca Toscana who were already retired at 1 January 1999 and to active employees hired before 27 April 1993 who did not opt at the time to transfer their contributions to an individual capitalisation and defined contribution fund.

The population of employees eligible for the present and future benefits is composed of 778 retirees and 5 active employees.

The current Fund Regulations set out the rules concerning the retirement benefits to be paid to eligible employees, distinguishing between old age, seniority and disability pensions. Calculation of the supplementary benefits is based on the average of the last three years of employment, taking into account only the items specified in the Regulations.

The guarantee of performance of the benefit payment obligation lies with the Parent Company, which must ensure the wherewithal to cover the liability over time, although the Fund has its own separate accounting and capital, with the effects set out in art. 2117 of the Italian Civil Code.

At the valuation date of 31 December 2019, the actuarial calculations show that the capital adequacy of the Fund satisfies the obligation to pay benefits with respect to the participants.



External funds

Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees

(Bank Register no. 1127)

The Fund has legal personality and full independence in terms of capital and operation.

It is reserved to employees and retirees of the Parent Company hired until 31 December 1990 who, following the agreement of 30 June 1989, opted to remain in the specific supplementary benefit Section under a defined benefit regime.

The Fund's governance consists of a Board of Directors and a Board of Statutory Auditors with joint membership (some of the members are appointed by the Parent Company and others are appointed by the participants) supported by the General Manager.

The Parent Company provides, free of charge, the employees, premises and other resources required for the autonomous management of the Cassa and incurs all the related costs and expenses, including those for the functioning of the governing and control bodies.

In terms of guarantees given, in accordance with art. 26 of the By-laws, any deficits in Section coverage which should be identified during actuarial checks will be made up by the Parent Company only to the extent necessary to maintain tier 1 services, in accordance with the guarantee to the participants undertaken in compliance with Law no. 218/90 and referred to in the agreement of 24 June 1991.

The supplementary benefits, which are determined by subtracting the benefits paid out by INPS from the annual amount of the supplementary benefits, are made up of two components. The first component increases the benefits to be paid by the Cassa up to 70% of the fixed items of the salary of an employee of the same level, and the second component increases the supplementary benefits by a further 9%.

The assets that comprise the reference capital consist primarily of investments in securities, managed almost entirely under a financial management agreement, and properties.

The population is composed of 2,536 retirees, 162 active employees and 41 employees on deferred retirement.

The technical report prepared in accordance with IAS 19 criteria by the designated actuary shows the capital adequacy of the Supplementary Section which, against an asset fair value calculated at 30 November 2019 (*) of EUR 330.3 mln, takes into consideration a defined benefit obligation (DBO) as at 31 December 2019 of EUR 140.3 mln.

(*) *most recent figure available*

Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.

(Bank Register no. 1341)

The Fund, which operates on a defined benefit basis, has legal personality and full independence in terms of capital and operation, as its legal form is that of an unincorporated association under art. 36 of the Italian Civil Code.

The sole purpose of the Fund is to pay to eligible participants supplementary benefits over and above those paid out by INPS; the participants include 31 retirees and 3 employees on deferred retirement.

At the valuation date of 31 December 2019, the actuarial calculations highlight a DBO (Defined Benefit Obligation) of EUR 0.9 mln against capital meant to satisfy the pension obligation (Asset Fair Value) of EUR 0.8 mln.

Pension Fund for personnel of former Banca Antonveneta S.p.a.

(Bank Register no. 1033)

The Fund, whose legal form is that of an unincorporated association in accordance with article 36 of the Italian Civil Code, has the sole purpose of providing benefits in addition to AGO (General Compulsory Insurance) cheques, was established in 1966 and has continued to operate to date.



□ The currently limited group of pensioners entitled to benefits refers to those who at the time did not accept the proposal for the settlement in capital of the value of the position recognised.

The population eligible to receive the benefits is composed of only 29 retirees.

At the valuation date of 31 December 2019, the value of the DBO (Defined Benefit Obligation) indicated by the actuarial calculations was EUR 2.0 mln against capital meant to satisfy the pension obligation of EUR 1.7 mln.

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The defined benefit pension fund for personnel of the former London branch (BMPS UK Pension Fund) is designed to pay for the employees' benefits upon reaching normal retirement age as well as benefits to other surviving beneficiaries. The pension plan is administered by a Trustee, whose members also include active employees; the financial resources are managed by a specialised company. The technical report prepared in accordance with IAS 19 criteria by the designated actuary at the valuation date of 31 December 2019 shows the capital adequacy of the plan, with a DBO (Defined Benefit Obligation) of EUR 51.1 mln against an asset fair value of EUR 60.8 mln.

As a result of the finalisation of the sale of the entire investment in Monte Paschi Belgio to an investee of funds managed by Warburg Pincus, which took place on 14 June 2019, the pension plan for employees in service and their beneficiaries is no longer relevant for these financial statements.

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IAS 19 was also applied to calculate the actuarial values that could be used to determine the liability relating to the supplementary benefits associated with the former Credito Lombardo Spa. Considering the contractual nature of the obligation, the economic costs are incurred directly by the Parent Company. The currently limited group of people eligible for benefits regards a total of 92 immediate pensions, of which 58 direct and 34 indirect. The actuarial calculations show a DBO (Defined Benefit Obligation) of EUR 2.6 mln at the valuation date of 31 December 2019.

Finally, there is one position referring to a former General Manager of the Parent Company to whom specific economic benefits other than pension benefits are disbursed. In any event, they are assessed on the basis of actuarial parameters in order to determine the value of the Parent Company's obligation. This type of remuneration, known as "ex contractu", consists of payment of monthly benefits revalued on the basis of automatic pension equalisation indexes.

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As required by the Bank of Italy, the internal fund statements can be found in the annexes to the financial statements.



10.5.2 Changes in net defined liability (asset) and reimbursement rights during the year

The following tables show movements for the year in internal and external funds which, according to international accounting standards, come under the heading of defined benefit funds.

10.5.2a Changes in net defined liability (asset) and reimbursement rights during the year – Internal Funds

Item/Amount	31 12 2019			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(113,844)	131,284	19,007	36,447
Current service cost	X	4	X	4
Interest income/expense	(774)	896	131	253
Remeasurement of net defined benefit liability (asset):	(178)	7,881	(5,600)	2,103
Return on plan assets excluding interest	(178)	X	X	(178)
Actuarial gains (losses) arising from changes in demographic assumptions	X	1,760	X	1,760
Actuarial gains (losses) arising from experience adjustments	X	103	X	103
Actuarial gains (losses) arising from changes in financial assumptions	X	6,018	X	6,018
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	(5,600)	(5,600)
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	8,589	(11,871)	X	(3,282)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	(106,207)	128,194	13,538	35,525



Item/Amount	31 12 2018			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(122,059)	148,741	14,487	41,169
Current service cost	X	21	X	21
Interest income/expense	(763)	945	77	259
Remeasurement of net defined benefit liability (asset):	(116)	(5,938)	4,443	(1,611)
Return on plan assets excluding interest	(116)	X	X	(116)
Actuarial gains (losses) arising from changes in demographic assumptions	X	(2,109)	X	(2,109)
Actuarial gains (losses) arising from experience adjustments	X	(1,622)	X	(1,622)
Actuarial gains (losses) arising from changes in financial assumptions	X	(2,207)	X	(2,207)
Changes in effect of limiting net defined benefit asset to asset ceiling	X	X	4,443	4,443
Past service cost and gains (losses) arising from settlements	X	-	X	-
Changes in foreign exchange rates	-	-	-	-
Contributions to plan:	-	-	-	-
by employer	-	-	X	-
by employee	-	-	X	-
Payments from plan	9,094	(12,485)	X	(3,391)
Effect of business combinations and disposals	-	-	-	-
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	-	-	-	-
Closing balance	(113,844)	131,284	19,007	36,447



10.5.2b Changes in net defined liability (asset) and reimbursement rights during the year: External Funds

Item/Amount	31 12 2019			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(393,369)	191,157	203,266	1,054
Current service cost	X	55	X	55
Interest income/expense	(5,419)	3,763	1,657	1
Remeasurement of net defined benefit liability (asset):	(3,778)	10,692	(5,206)	1,708
Return on plan assets excluding interest	(3,778)	X	X	(3,778)
Actuarial gains (losses) arising from changes in demographic assumptions	X	863	X	863
Actuarial gains (losses) arising from experience adjustments	X	(5,896)	X	(5,896)
Actuarial gains (losses) arising from changes in financial assumptions	X	15,725	X	15,725
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	(5,206)	(5,206)
Past service cost and gains (losses) arising from settlements	X	(152)	X	(152)
Changes in foreign exchange rates	(2,834)	2,554	280	-
Contributions to plan:	(2,427)	-	-	(2,427)
by employer	(2,427)	-	X	(2,427)
by employee	-	-	X	-
Payments from plan	13,842	(13,842)	X	-
Effect of business combinations and disposals	(4,212)	4,361	-	149
Effect of any plan curtailments	-	-	X	-
Effect of any plan settlements	-	-	X	-
Other changes	4,582	(4,361)	-	221
Closing balance	(393,615)	194,227	199,997	609



Item/Amount	31 12 2018			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Opening balance	(441,468)	245,894	204,534	8,960
Current service cost	X	724	X	724
Interest income/expense	(5,874)	4,793	1,595	514
Remeasurement of net defined benefit liability (asset):	32,042	(30,822)	(2,863)	(1,643)
Return on plan assets excluding interest	32,042	X	X	32,042
Actuarial gains (losses) arising from changes in demographic assumptions	X	(2,510)	X	(2,510)
Actuarial gains (losses) arising from experience adjustments	X	(20,196)	X	(20,196)
Actuarial gains (losses) arising from changes in financial assumptions	X	(8,116)	X	(8,116)
Change in effect of limiting net defined benefit asset to asset ceiling	X	X	(2,863)	(2,863)
Past service cost and gains (losses) arising from settlements	X	220	X	220
Changes in foreign exchange rates	(100)	356	-	256
Contributions to plan:	(7,426)	-	-	(7,426)
by employer	(7,426)	-	X	(7,426)
by employee	-	-	X	-
Payments from plan	25,238	(25,238)	X	-
Effect of business combinations and disposals	4,212	(4,361)	-	(149)
Effect of any plan curtailments	-	(415)	X	(415)
Effect of any plan settlements	-	878	X	878
Other changes	7	(872)	-	(865)
Closing balance	(393,369)	191,157	203,266	1,054



10.5.2c Changes in net defined liability (asset) and reimbursement rights during the year – Total

Item/Amount	31 12 2019			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(106,207)	128,194	13,538	35,525
External funds	(393,615)	194,227	199,997	609
Total defined benefit funds	(499,822)	322,421	213,535	36,134

Item/Amount	31 12 2018			
	A (-)	B (+)	C (+)	D=A+B+C
	Plan assets	Present value of DBO	Effect of asset ceiling	Net defined benefit liability (asset)
Internal funds	(113,844)	131,284	19,007	36,447
External funds	(393,369)	191,157	203,266	1,054
Total defined benefit funds	(507,213)	322,441	222,273	37,501



10.5.3 Information on the fair value of plan assets

Item	31 12 2019			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	80,039	-	8,523	-
of which: used by the Group	80,039	-	2,542	-
Equity instruments	-	-	37,282	-
of which: issued by Group	-	-	-	-
Debt instruments	26,168	-	124,339	-
of which: issued by the Group	-	-	-	-
Real estate	-	-	-	56,394
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	167,077	-
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	106,207	-	337,221	56,394
<i>of which:</i> <i>own instruments/ assets used by the Group</i>	<i>80,039</i>	<i>-</i>	<i>2,542</i>	<i>-</i>

The table shows, for funded defined benefit plans, the total amount of plan assets. In particular, the assets refer to the following funds:

- Pension Fund for personnel of former Banca Nazionale dell'Agricoltura S.p.A.,
- Pension Fund for personnel of former Banca Toscana S.p.A.,
- Pension Fund for personnel of former Banca Agricola Mantovana S.p.A.,
- Pension Fund for personnel of former Banca Antonveneta; and
- Cassa di Previdenza Aziendale for Monte dei Paschi di Siena employees, defined benefit section,

of which the last three, in total, exceed the obligations existing at year end.

The table also includes the defined benefit pension funds for the personnel of the Parent Company's former branches in London (BMPS UK Pension Fund).



Item	31 12 2018			
	Internal pension plans		External pension plans	
	Listed in active markets	Not listed in active markets	Listed in active markets	Not listed in active markets
Cash and cash equivalents	87,550	-	6,065	-
of which: used by the Group	87,550	-	2,796	-
Equity instruments	-	-	33,818	-
of which: issued by Group	-	-	-	-
Debt instruments	26,294	-	149,273	-
of which: issued by the Group	-	-	5,974	-
Real estate	-	-	-	59,682
of which: used by the Group	-	-	-	-
Derivatives	-	-	-	-
UCITS	-	-	144,531	-
Asset-backed securities	-	-	-	-
Structured debt	-	-	-	-
Total	113,844	-	333,687	59,682
<i>of which:</i> <i>own instruments/ assets used by the Group</i>	<i>87,550</i>	<i>-</i>	<i>8,771</i>	<i>-</i>

10.5.4 Key actuarial assumptions used

Key actuarial assumptions/percentages	31 12 2019		31 12 2018	
	Defined benefit funds		Defined benefit funds	
	Internal pension plans	External pension plans	Internal pension plans	External pension plans
Discount rates	0.15%	0.95%	0.68%	2.90%
Expected rates of salary increases	0.75%	1.43%	0.75%	1.98%

A discount rate of 0.15% was used for internal plans and of 0.95% for external ones (1% for Provision for severance pay, see table 9.2b), calculated as a weighted average of interest rates in EUR Composite AA yield curve as at 31 December 2019, using, as weights, the ratio between the amount paid/paid in advance for each maturity and the total amount to be paid/paid in advance for the entire duration of the population considered.

**10.5.5 Information on amount, timing and uncertainty of cash flows**

31 12 2019		
Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(7,479)	-2.34%
Decrease of 0.25%	7,907	2.47%
Expected rates of salary increases		
Increase of 0.25%	5,920	1.85%
Decrease of 0.25%	(5,642)	-1.76%

31 12 2018		
Actuarial assumption	Change in DBO	Change (%) in DBO
Discount rate		
Increase of 0.25%	(3,990)	-1.24%
Decrease of 0.25%	3,514	1.09%
Expected rates of salary increases		
Increase of 0.25%	2,168	0.67%
Decrease of 0.25%	(1,918)	-0.59%

With respect to pay increases, it is not possible to conduct any sensitivity analysis given the static nature of the benefits linked to the choice of participants to stay in the fund.

10.5.6 Plans covering multiple employers**10.5.7 Defined benefit plans sharing risks among entities under common control**

Plans having these characteristics are not present for the Group.



10.6 Provisions for risks and charges: other provisions

Items / Amounts	Total	Total
	31 12 2019	31 12 2018
2.1 Legal disputes	542,815	608,498
- Revocatory	31,122	58,383
- Other legal disputes	495,530	515,150
- Tax disputes	16,163	34,965
2.2 Personnel charges	58,070	213,095
- Job disputes	35,279	31,242
- Leaving incentives	3,465	162,396
- Other	19,326	19,457
2.3 Other	414,063	377,528
- Risks related to the sale of business units	23,700	22,985
- Charges due to corporate restructuring	9,116	15,055
- Payments to financial advisors	51,250	43,461
- Charges due to credit transfer transactions	22,257	-
- Charges for embezzlement	5,835	7,615
- Claims and Court agreements	4,118	2,628
- Refunds related to sales of diamonds	97,914	127,026
- Clow back clause (ifrs 5)	34,431	29,763
- Refunds to customers	45,756	4,801
- Charge for legal services	42,465	29,894
- Other	77,221	94,300
Total	1,014,948	1,199,121

The amount of EUR 22.2 mln in line “2.3 Other – Compensations due to credit sale operations” represent the provision of the bank to cover the risks for the claims received in relation whit “credit sale operations”.



10.7 Contingent liabilities

Tipologie	31 12 2019	31 12 2018
Tax and legal disputes	1,729,167	1,172,665
Revocatory	8,802	13,676
Other legal disputes	1,689,138	1,128,940
Tax disputes	31,227	30,050
Personnel charges	9,984	749
Job disputes	9,984	749
Others	25,109	139,477
Total	1,764,260	1,312,891

A contingent liability is defined as i) a possible obligation arising from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more future events not totally under control, or ii) a current obligation that arises from past events but is not recognised because use of resources aimed at producing economic benefits will likely not be required to settle the obligation or because the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not subject to recording but, if deemed “possible”, are solely subject to disclosure. Conversely, contingent liabilities that are deemed to be of “remote” likelihood do not require any disclosure, pursuant to the provisions of IAS 37. Hence, the table above shows only “possible” liabilities.

Similar to “possible” liabilities, contingent liabilities are also monitored because they may, over time, become “remote” or “probable”, with the need, in the latter case, to make the necessary provisions.

In this context, it should be noted that the classification of contingent liabilities and the relative amount is based on non-objective judgements that require recourse to sometimes extremely complex estimation procedures; therefore, they may be subject to redetermination over time.

Specifically, in reference to the dispute, the table shows the claim, where quantified; this value cannot be considered a measurement of the expected disbursement in accordance with IAS 37. In fact, the Bank does not deem it practical to provide an estimate of the expected disbursement, as the calculation would be complex and onerous.

For further details, please refer to paragraph “Legal, employment law and tax risks” of Part E in the Notes to the consolidated financial statements.

Section 11 – Insurance reserves – Item 110

The tables in this section have not been completed as no data is present for either current or previous year.

Section 12 - Redeemable shares - Item 120

The tables in this section have not been completed as no data is present for the current year or for the previous year.



Section 13 – Group equity – Items 120, 130, 140, 150, 160, 170 and 180

13.1 “Share capital” and “Treasury shares”: breakdown

13.1.a “Share capital” breakdown

(in units of Eur)

Items/Amounts	31 12 2019		31 12 2018	
	Implied par value share	Par value of fully paid shares	Par value per share	Par value of fully paid shares
Ordinary shares	9.06	10,328,618,260.00	9.06	10,328,618,260.00
Total		10,328,618,260		10,328,618,260

On 6 June 2011 the Bank's Extraordinary Shareholders' Meeting resolved that indication of the par value of the classes of shares be eliminated; accordingly, as at 31 December 2011, the so-called “Implied par value” is indicated, which is obtained by dividing the total share capital amount by the number of shares in the same category, outstanding at the reference date.

Ordinary shares are registered and indivisible. Each share entitles to one vote. Information on the number of fully paid-up shares can be found in the notes to Table “13.2 Share capital – number of shares: annual changes”.

At the reporting date, the Parent Company's share capital amounted to EUR 10,328,618,260.14, represented by 1,140,290,072 ordinary shares without a nominal value, of which 1,104,009,324 outstanding.

13.1.b “Treasury shares”: breakdown

At the date of these financial statements, the Group holds 36,280,748 treasury shares for a total value of EUR 313.7 mln.



13.2 Share capital - Parent company's number of shares: annual changes

Item/Type	31 12 2019	31 12 2018
	Ordinary	Ordinary
A. Shares outstanding as at the beginning of the year	1,140,290,072	1,140,290,072
- fully paid	1,140,290,072	1,140,290,072
- not fully paid	-	-
A.1 Treasury shares (-)	36,280,748	36,280,748
A.2 Shares outstanding: opening balance	1,104,009,324	1,104,009,324
B. Increases	-	-
B.1 New issuances	-	-
- Against payment:	-	-
- Business combinations	-	-
- Bond converted	-	-
- warrants exercised	-	-
- other	-	-
- without payment:	-	-
- to employees	-	-
- to directors	-	-
- other	-	-
B.2 Sale of treasury shares	-	-
B.3 Other increases	-	-
C. Decreases	-	-
C.1 Cancellation	-	-
C.2 Purchase of treasury shares	-	-
C.3 Business transferred	-	-
C.4 Other decreases	-	-
D. Shares outstanding: closing balance	1,104,009,324	1,104,009,324
D.1 Treasury shares (+)	36,280,748	36,280,748
D.2 Shares outstanding as at the end of the year	1,140,290,072	1,140,290,072
- fully paid	1,140,290,072	1,140,290,072
- not fully paid	-	-

The number of shares outstanding and the number of treasury shares did not change during 2019.

At the date of these financial statements, the share capital is fully paid in.



13.3 Share capital: other information

13.3a Equity instruments: breakdown and annual changes

As at 31 December 2019, the Group held no equity instruments.

13.4 Retained earnings: other information

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the financial statements.

13.5 Other information

See “Part F – Information on consolidated shareholders’ equity” of these Notes to the financial statements.

Section 14 - Non-controlling interests - Item 190

14.1 Details of item 190 “Non-controlling interests”

Company name	31 12 2019	31 12 2018
Equity investments in consolidated companies with significant non-controlling interests	-	-
Other equity investments	1,770	2,242
Total	1,770	2,242

14.2 Equity instruments: breakdown and annual changes

No such instruments are present within the Group.



Other information

1 Commitments and financial guarantees given

Nominal Amount	31 12 2019			
	Stage 1	Stage 2	Stage 3	Total
Irrevocable commitments to disburse funds	30,366,851	596,529	852,663	31,816,043
a) Central banks	10	-	-	10
b) Public entities	1,178,557	11	120,179	1,298,747
c) Banks	1,267,793	-	3,120	1,270,913
d) Other financial companies	5,211,148	1,245	5,367	5,217,760
e) Non-financial companies	20,212,025	468,433	696,551	21,377,009
f) Families	2,497,318	126,840	27,446	2,651,604
Financial guarantees given to	4,291,853	590,001	473,464	5,355,318
a) Banks	60	-	-	60
b) Public entities	40,281	1,658	-	41,939
c) Banks	458,933	41,582	3,172	503,687
d) Other financial companies	134,854	13,792	1,043	149,689
e) Non-financial companies	3,557,108	521,116	461,659	4,539,883
f) Families	100,617	11,853	7,590	120,060
Total	34,658,704	1,186,530	1,326,127	37,171,361

2 Other commitments and guarantees given

	Nominal value	
	31 12 2019	31 12 2018
Other guarantees given to	1,831,204	1,854,041
<i>of which: non-performing exposures</i>	-	-
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	34,701	34,701
d) Other financial companies	1,796,503	1,819,340
e) Non-financial companies	-	-
f) Families	-	-
Other commitments	-	1,000
<i>of which: non-performing exposures</i>	-	-
a) Central Banks	-	-
b) Public entities	-	-
c) Banks	-	-
d) Other financial companies	-	1,000
e) Non-financial companies	-	-
f) Families	-	-
Total	1,831,204	1,855,041

The table shows the maximum risk of any indemnities to be paid to counterparties in relation to any claims resulting from the violation of declarations and guarantees issued by the Group, in Credit impaired sales transactions.



3 Assets pledged as collateral for liabilities and commitments

Portfolios	31 12 2019	31 12 2018
1. Financial assets measured at fair value through profit and loss	5,702,026	4,888,587
2. Financial assets measured at fair value through other comprehensive income	1,273,319	6,429,532
3. Financial assets measured at amortised cost	36,133,105	32,723,075
4. Tangible assets	8,391	1,342,482

The table summarises the assets pledged by the Group as collateral for its liabilities, mainly represented by repurchase agreements. The amount in line “3. Financial assets measured at amortised cost” includes approx. EUR 20.4 bn related to mortgage loans transferred to the vehicles MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l. as part of two programmes for the issue of covered bonds.

4 Investments in unit-linked and index-linked policies: breakdown

The Group does not hold any such investments since no company of the Group issues insurance policies.

5 Asset management and trading on behalf of third parties

	Amount 31 12 2019
1. Trading of financial instruments on behalf of third parties	
a) Purchases	7,919,533
1. Settled	7,895,615
2. Unsettled	23,918
b) Sales	9,279,774
1. Settled	9,262,704
2. Unsettled	17,070
2. Asset management accounts	-
a) individual	3,009,276
b) collective	-
3. Custody and administration of securities	-
a) third party securities on deposit associated with custodian bank transactions (excluding asset management)	-
1. Securities issued by companies included in consolidation	-
2. Other securities	-
b) Other third party securities on deposit (excluding asset management)	48,212,421
1. Securities issued by companies included in consolidation	495,472
2. Other securities	47,716,949
c) third party securities deposited with third parties	42,445,777
d) own securities deposited with third parties	35,411,248
4. Other transactions	24,626,165



6 Financial assets subject to offsetting, enforceable master netting arrangements and similar agreements.

Type	Gross amount of financial assets (a)	Amount of financial liabilities offset in balance sheet (b)	Net amount of financial assets recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2019	Net amount 31 12 2018
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	5,481,300	2,683,268	2,798,032	1,164,117	1,511,376	122,539	224,889
2. Repurchase agreements	4,971,836	-	4,971,836	4,968,944	2,770	122	16,361
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2019	10,453,136	2,683,268	7,769,868	6,133,061	1,514,146	122,661	X
Total 31 12 2018	8,670,996	1,452,517	7,218,479	5,397,887	1,579,343	X	241,249

7 Financial liabilities subject to offsetting, enforceable master netting arrangements and similar agreements.

Type	Gross amount of financial liabilities (a)	Amount of financial assets offset in balance sheet (b)	Net amount of financial liabilities recognised in the balance sheet (c=a-b)	Related amounts not subject to balance sheet offsetting		Net amount (f=c-d-e) 31 12 2019	Net amount 31 12 2018
				Financial instruments (d)	Deposits of cash collateral received (e)		
1. Derivatives	5,352,016	2,683,268	2,668,748	1,164,117	1,480,297	24,334	40,114
2. Repurchase agreements	8,878,063	-	8,878,063	8,877,335	50	678	1,859
3. Securities lending	-	-	-	-	-	-	-
4. Other	-	-	-	-	-	-	-
Total 31 12 2019	14,230,079	2,683,268	11,546,811	10,041,452	1,480,347	25,012	X
Total 31 12 2018	16,720,176	1,452,517	15,267,659	14,505,920	719,765	X	41,974

IFRS 7 requires disclosure of information for all financial instruments that:

- were offset in the balance sheet pursuant to IAS 32;
- could potentially be offset, given certain conditions, but presented in the balance sheet as open balances as they are governed by “framework offsetting agreements or similar agreements” which do not meet the criteria established in IAS 32 for offsetting.

The amount offset in the financial statements refers to trading in OTC derivatives managed through central counterparties of the subsidiary MPS Capital Services S.p.A. and the Parent Company.

For the purposes of reconciliation of the amounts shown in the column (c) “net amount of financial assets/liabilities recognised in the balance sheet” with the opening balances shown in “Part B – Information on the balance sheet”, it should be noted that:

- the amount related to both trading and hedging derivative financial instruments, aided by netting agreements or similar, is represented in asset items 20 a) “Financial assets held for trading” and 50 “Hedging derivatives” and in liability items 20 “Financial liabilities held for trading” and 40 “Hedging derivatives”;



- the amount related to repurchase agreements subject to netting agreements or similar is shown in line “Repurchase agreements/Reverse repurchase agreements” in the tables containing a breakdown of asset item 40 “Financial assets measured at amortised cost” and liability item 10 “Financial liabilities measured at amortised cost”.

It should also be noted that:

- with regard to securities lending transactions, in these tables transactions involving the payment of cash collateral fully owned by the lender are included in the item "Repurchase agreements";
- the repurchase agreements are recognised in the tables at amortised cost, while the financial collateral and derivative transactions are reported at their fair value.

8 Securities lending transactions

In its capacity as borrower, the Parent Company has entered into a number of securities lending agreements with leading market counterparties. These agreements are backed by other securities and total approximately EUR 1.3 bn.

In its capacity as borrower, the Parent Company has also entered into securities lending agreements (mainly Italian government bonds) with customers, for a total of approximately EUR 1.9 bn.

These transactions, which in compliance with current accounting standards have no impact on the balance sheet, are primarily carried out with the aim of increasing the Group's counterbalancing capacity.

9 Information on joint control activities

This paragraph was not completed as no such activities are present within the Group.



Part C – Information on the consolidated income statement

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Section 1 - Interest income/expense and similar revenues/charges - Items 10 and 20

1.1 Interest income and similar revenues: breakdown

Item/Type	Debt securities	Loans	Other transactions	Total 31 12 2019	Total 31 12 2018
1. Financial asset measured at fair value through profit and loss	52,238	11,103	5,131	68,472	86,505
1.1 Financial asset held for trading	41,870	-	5,131	47,001	40,460
1.2 Financial assets designated at fair value	-	-	-	-	-
1.3 Financial assets measured at fair value mandatory	10,368	11,103	-	21,471	46,045
2. Financial asset measured at fair value through other comprehensive income	83,146	-	X	83,146	133,075
3. Financial assets measured at amortised cost	167,192	1,746,049	X	1,913,241	2,029,452
3.1. Loans to banks	15,536	7,306	X	22,842	28,068
3.2 Loans to customers	151,656	1,738,743	X	1,890,399	2,001,384
4. Hedging derivatives	X	X	(36,219)	(36,219)	-
5. Other assets	X	X	2,912	2,912	2,970
6. Financial liabilities	X	X	X	74,278	75,411
Total	302,576	1,757,152	(28,176)	2,105,830	2,327,413
<i>of which interest income on credit impaired assets</i>	-	216,144	-	216,144	267,464
<i>of which interest income on financial leasing</i>	-	76,339	-	76,339	87,668

The amount in line “1. Financial assets held for trading”, in the “Other transactions” column, represents the positive net balance of spreads relating to derivatives connected with financial liabilities measured at fair value (fair value option).

Line “4. Hedging derivatives”, in the “Other transactions” column, includes the spread related to hedging derivatives rectifying the interest income recognised on the hedged financial instruments.

The amount in line “5. Other assets”, in the “Other transactions” column, shows mainly interest accrued on tax credits.

The amount in line 6 “Financial liabilities” shows interest accrued on financial liabilities for EUR 74.2 mln.

Interest income, calculated for financial assets measured at amortised cost under the effective interest rate method, is entered in different columns based on the original 'technical form'. The amount accrued during the year for positions that are classified as “non-performing” as at the reporting date totalled EUR 216.1 mln (EUR 267.5 mln as at 31 December 2018).

Interest on arrears is posted to interest income only for the portion actually collected.

For a trend analysis of the concerned items, reference should be made to the consolidated Report on Operations.



1.2 Interest income and similar revenues: other information

1.2.1 Interest income from financial assets denominated in foreign currency

Interest income from financial assets denominated in foreign currency for 2019 amounted to EUR 35.7 mln as compared to EUR 51.2 mln in 2018.

1.3 Interest expense and similar charges: breakdown

Items	Deposits	Securities	Other transactions	Total 31 12 2019	Total 31 12 2018*
1. Financial liabilities measured at amortised cost	(280,630)	(258,444)	-	(539,074)	(534,112)
1.1 Deposits from central banks	-	X	X	-	-
1.2 Deposits from banks	(44,170)	X	X	(44,170)	(24,678)
1.3 Deposits from customers	(236,460)	X	X	(236,460)	(236,689)
1.4 Debt securities issued	X	(258,444)	X	(258,444)	(272,745)
2. Financial liabilities held for trading	-	-	(4,076)	(4,076)	(79)
3. Financial liabilities designated at fair value	-	(9,244)	-	(9,244)	-
4. Other liabilities	X	X	(98)	(98)	(3,904)
5. Hedging derivatives	X	X	27,136	27,136	(13,239)
6. Financial assets	X	X	X	(90,120)	(57,349)
Total	(280,630)	(267,688)	22,962	(615,476)	(608,683)

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

Lines “1.2 Deposits from banks” and “1.3 Deposits from customers”, in the “Deposits” column, include interest on payables under repurchase agreements on: treasury securities recognised in the balance sheet or securities not recognised in the balance sheet obtained through repo transactions or from self-securitisations without derecognition.

Line 1.4, “Debt securities issued”, indicates the interest expense accrued during the year on bonds and certificates of deposit valued at amortised cost.

Line 5 “Hedging derivatives”, in the “Other transactions” column, includes the spread related to hedging derivatives rectifying the interest income recognised on the hedged financial instruments.

Line “6. Financial assets”, which amounts to EUR 90.1 mln, highlights the negative interest accrued on financial assets.

For a trend analysis of the concerned items, reference should be made to the consolidated Report on Operations.



1.4 Interest expense and similar charges: other information

1.4.1 Interest expense on liabilities denominated in foreign currency

Interest expense on financial liabilities denominated in foreign currency for 2019 amounted to EUR 5.5 mln as compared to EUR 33.5 mln in 2018.

1.5 Spreads on hedging transactions

Items	Total	Total
	31 12 2019	31 12 2018
A. Positive spreads on hedging transactions	198,868	254,451
B. Negative spreads on hedging transactions	(207,951)	(267,690)
C. Balance (A+B)	(9,083)	(13,239)

In line with its hedging objectives and consequent minimisation of risks in the banking book, the Group carries out both fair value and cash flow hedging transactions.



Section 2 - Fee and commission income/expense - Items 40 and 50

2.1 Fee and commission income: breakdown

Type of service / Amount	Total 31 12 2019	Total 31 12 2018
a) guarantees issued	50,014	54,544
b) credit derivatives	-	-
c) management, brokerage and advisory services:	839,333	869,007
1. trading of financial instruments	18,582	19,758
2. currency trading	4,637	4,661
3. asset management	37,886	45,068
3.1 individual accounts	37,886	45,068
3.2. collective investment schemes	-	-
4. custody and administration of securities	7,300	8,101
5. custodian bank	-	-
6. placement of securities	15,908	16,785
7. client instructions	25,491	26,132
8. advisory on	12,892	16,819
8.1 investments	9,037	8,063
8.2 financial structure	3,855	8,756
9. distribution of third-party services	716,637	731,682
9.1. asset management	-	-
9.2 insurance products	230,589	211,342
9.3 other products	486,048	520,340
d) collection and payment services	232,462	233,277
e) servicing of securitisations	417	1,248
f) factoring transaction services	9,765	9,716
g) tax collection services	-	-
h) management of multilateral trade systems	-	-
i) current account keeping	411,616	443,265
j) other services	170,677	167,762
Total	1,714,284	1,778,819

For an analysis of the fee and commission income and for the disclosure on disaggregation of revenues, as required by IFRS 15.114-115, the table below shows the trend in fees and commissions for each of the operating segments identified, for the services rendered and according to geographic area served.



SEGMENT REPORTING Primary segment	Business segment				Corporate Center	Total Montepaschi Group
	Retail banking	Wealth Management	Corporate banking	Widiba		
	31/12/19	31/12/19	31/12/19	31/12/19	31/12/19	31/12/19
Assets under management fee	476.0	99.2	5.2	59.2	-	639.5
Product placement	190.3	10.5	0.2	9.0	-	209.9
Continuing fees	214.3	82.2	3.6	48.0	-	348.1
Placement of securities	29.7	6.3	1.3	2.2	-	39.5
Sales of Protection	41.7	0.2	0.1	-	-	42.0
Fee and commissions from traditional activities	721.7	6.2	305.8	10.2	-	1,043.9
Credit fees	275.6	1.7	219.6	1.8	-	498.7
Fees from foreign service	13.6	0.2	39.4	0.1	-	53.3
Other services	432.5	4.3	46.9	8.3	-	492.0
Other fee and commission income	6.4	4.8	35.5	0.7	(15.6)	31.8
Net fees and commission income	1,204.1	110.2	346.5	70.1	(15.6)	1,715.2

The table shows the fees and commissions reclassified from a management perspective, taking into account the economic data of the first months of the former subsidiary BMP Belgio S.A. (data in mlns of euros). For more information, see the reconciliation with the accounting data in the consolidated report on operations.

36.9% of the Group's income from fees and commissions by Business Segment derives from products (management, placement and custody), 28.8% from loans (granting and utilisation) and 34.2% from services (account maintenance, payments, etc.).

More specifically, 39.5% of Retail banking fee and commission income is attributable to product fees and commissions, 22.9% to income from loans and 37.6% to fees and commissions on services. Wealth Management fee and commission income is essentially ascribable to the product component (90.0%), as is Widiba's (84.4%). On the other hand, Corporate banking income from fees and commissions comes mainly from loans (63.4%) and services (35.1%).

Fee and commission income is broken down based on the following geographical segmentation:

	North	Centre	South	Foreign countries	Total Montepaschi Group
	31 12 2019	31 12 2019	31 12 2019	31 12 2019	31 12 2019
Assets under management fee	289.9	237.2	110.5	1.9	639.5
Product placement	85.6	83.3	40.9	-	209.9
Continuing fees	169.2	124.6	52.8	1.5	348.1
Placement of securities	16.9	14.8	7.3	0.4	39.5
Sales of Protection	18.1	14.5	9.4	-	42.0
Fee and commissions from traditional activities	370.5	446.2	219.0	8.2	1,043.9
Credit fees	180.2	220.3	92.0	6.2	498.7
Fees from foreign service	23.9	23.0	6.3	0.1	53.3
Other services	166.4	203.0	120.7	1.9	492.0
Other fee and commission income	9.5	9.2	6.3	6.7	31.8
Net fees and commission income	669.9	692.7	335.7	16.9	1,715.2

The table shows the fees and commissions reclassified from a management perspective, taking into account the economic data of the first months of the former subsidiary BMP Belgio S.A. (data in mln of euros). For more information, see the reconciliation with the accounting data in the consolidated report on operations.



The disclosure for performance obligations is provided for the main services offered by Group companies, in accordance with IFRS 15.113 and 15.119:

- provision of collection and payment services, which includes the offer to customers of credit and debit cards issued by the Parent Company, against which the customer pays, depending on the different products and services associated with the card, both an annual fee in advance for the administrative management of the card, recognised over time, as well as fees calculated on the individual transactions linked to the card's configuration, which, if not included in the annual fee, are recognised at a point in time as they are linked to the individual performance obligation carried out at a specific time; collection and payment services also include all foreign currency trading services, as well as other generic collection services that entail the collection of fees against the performance obligation made at consumption and recognised at a point in time;
- administration of current accounts: this category includes fees received for various products offered to customers, which may include a periodic fee for the current account management service that may or may not include a package of services, as well as fees received on individual transactions performed by customers that are not included in the annual fee. The first type of fee is structured as a performance obligation over time, while the second, as it relates to services performed at a specific time and compensated separately from the quarterly fee, are structured as a performance obligation performed at a point in time;
- distribution of third-party products and services based on partnership agreements with external counterparties, for which placement commissions are collected, recorded at a point in time as they are compensation for the intermediation performance obligation provided by the Bank, and continuing commissions connected to the Bank's administrative management of the customer in the network, recorded over time, as it represents compensation for the performance obligation rendered over the course of the investment's duration. Some distribution agreements also include variable commissions (Rappel), recognised by external counterparties upon achieving certain annual placement volumes envisaged in the distribution agreements. Based on the various contractual provisions and in accordance with provisions contained in IFRS 15, if conditions apply in the interim periods, analyses are carried out in order to determine if there are conditions that allow the advance accounting of the revenue or a portion thereof. The advance recognition is carried out exclusively if it is highly likely that, once the uncertainty has been resolved, there is no downward adjustment of the recorded amount. Lastly, some contracts contain claw-back clauses, which entail, in the event certain conditions apply, the full or partial reimbursement of placement commissions previously recognised upon execution of the initial performance obligation (i.e. point in time): in this case, the claw-back clause represents a variable component of the transaction price, since the amount recognised upon product placement is not definitive, but will depend on future events that are beyond the control of the Parent Company. In such situations the amount of the commissions that could potentially be subject to restitution is estimated, charging the amount that is expected to be returned to the third party to a specific risk provision; the income that is posted to the income statement is equal to the amount recognised against the performance obligation for the placement activity carried out during the year, net of the amount set aside in the provision;
- individual portfolio management, which mainly include management fees, calculated with a percentage proportional to the assets under management, recognised over time as they compensate a service rendered over time.
- complex financial services via the subsidiary MPS Capital Services, including consultancy, advisory/asseveration/underwriting and order collection. The contracts may provide for various types of fees and commissions associated with the various services offered by the Company. Some of these are linked to activities performed throughout the contract's duration (over time) and paid by the customer regardless of the outcome of the activities, while others are services for which the customer pays only if certain identified events occur, therefore, they are connected to services provided by the Company at a specific point in time. The first type of fee, associated with a performance obligation over time, is recognised throughout the contract's duration, while the second is recorded when the event occurs, as it represents compensation for a performance obligation carried out at a point in time;
- fiduciary services to customers via subsidiary MP Fiduciaria, including the confidential administration of money, financial instruments and unlisted equity investments, fiduciary mandates for guarantee purposes, family portfolio settlements and the intergenerational transfer of wealth. Since they are linked to performance obligations that are protracted and repeated over time, the fees for fiduciary services are measured over time for continuing commissions. Instead, commissions for opening the relationship are recognised at a point in time.

With regard to the breakdown in revenues (IFRS 15.116-118), it should be noted that EUR 1.4 mln was recorded as the adjustment price component accrued during the year on commissions collected for placement of third-party services carried out by the Parent Company in the previous year.

This line includes the reversal of revenues for EUR 19.7 mln made against the set up of a risk provision pursuant to IFRS 15, in consideration of the claw-back clauses present in a third-party product placement contract.



2.1.a Fee and commission income: distribution channels of products and services

Channel/Sectors	31 12 2019	31 12 2018
a) Group branches	683,924	731,973
1. portfolio management	32,894	39,403
2. placement of securities	38	83
3. third party services and products	650,992	677,713
b) "Door-to-door" sales	59,067	57,553
1. portfolio management	4,992	5,665
2. placement of securities	12	1,651
3. third party services and products	54,063	50,237
c) Other distribution channels	27,440	4,009
1. portfolio management	-	-
2. placement of securities	15,858	15,051
3. third party services and products	11,582	3,732

2.2 Fee and commission expense: breakdown

Type of service / Amount	Total 31 12 2019	Total 31 12 2018
a) guarantees received	(97,293)	(98,319)
b) credit derivatives	-	-
c) management, brokerage and advisory services:	(74,784)	(70,282)
1. trading of financial instruments	(12,547)	(10,835)
2. currency trading	(3)	(4)
3. asset management:	(673)	(9)
3.1 own portfolio	-	-
3.2 third-party portfolios	(673)	(9)
4. custody and administration of securities	(6,713)	(7,688)
5. placement of financial instruments	-	(2,136)
6. off-site marketing of financial instruments, products and services	(54,848)	(49,610)
d) collection and payment services	(40,737)	(37,955)
e) other services	(52,651)	(50,775)
Total	(265,465)	(257,331)

Line "a) guarantees received" includes EUR 94.4 mln (EUR 95.9 mln as at 31 December 2018) of fees and commissions paid to the MEF for the guarantee pledged by the Italian Government on securities issued by the Parent Company in first quarter 2017, for a residual nominal amount of EUR 8,000 mln as at 31 December 2019.

Line "c) 6 "off-site marketing of financial instruments, products and services" includes fees and commissions paid to financial advisors.

Line "e) other services" includes fee and commission expense for an amount of EUR 7.8 mln (EUR 4.3 mln as at 31 December 2018) on securities lending.

For a trend analysis of the concerned items, reference should be made to the consolidated Report on Operations.



Section 3 - Dividends and similar income - Item 70

3.1 Dividends and similar income: breakdown

Item/Income	31 12 2019			31 12 2018		
	Dividends	Other Income	Total	Dividends	Other Income	Total
A. Financial assets held for trading	608	1,108	1,716	730	407	1,137
B. Other financial assets measured at fair value mandatory	179	-	179	39	-	39
C. Financial assets measured at fair value through other comprehensive income	9,317	-	9,317	9,997	-	9,997
D. Investments	-	-	-	-	-	-
Total	10,104	1,108	11,212	10,766	407	11,173

The table shows the amount of dividends received on shares traded within the trading book and non-controlling interest classified in the portfolio of “Financial assets measured at fair value through other comprehensive income”. Conversely, dividends relating to the Group’s subsidiaries and associates, consolidated line-by-line or under the equity method, are excluded.

Line “C. Financial assets measured at fair value through other comprehensive income” includes the dividend of EUR 8.5 mln collected by investee Bank of Italy.



Section 4 - Net profit (loss) from trading - Item 80

4.1 Net profit (loss) from trading: breakdown

Transactions / P&L items	Unrealized Profits	Trading Profits	Unrealized Losses	Trading Losses	Net Profit (loss)	
					31 12 2019	31 12 2018
1. Financial assets held for trading	36,417	106,718	(24,879)	(49,902)	68,354	(83,196)
1.1 Debt securities	25,865	84,188	(24,288)	(32,211)	53,554	(79,840)
1.2 Equity instruments	3,043	2,190	(589)	(1,743)	2,901	(121)
1.3 Units of UCITS	7,509	2,718	(2)	(240)	9,985	(4,792)
1.4 Loans	-	-	-	-	-	-
1.5 Other	-	17,622	-	(15,708)	1,914	1,557
2. Financial liabilities held for trading	74,575	20,255	(73,655)	(97,412)	(76,237)	103,688
2.1 Debt securities	74,525	19,572	(73,557)	(97,412)	(76,872)	101,514
2.2 Deposits	-	-	-	-	-	-
2.3 Other	50	683	(98)	-	635	2,174
3. Other financial assets and liabilities: exchange differences	X	X	X	X	23,830	22,353
4. Derivatives	2,223,385	4,088,589	(2,146,914)	(4,088,391)	71,023	(12,471)
4.1 Financial derivatives:	2,208,436	3,971,212	(2,040,391)	(3,985,540)	148,071	14,605
- on debt securities and interest rates	2,165,420	3,212,440	(1,940,681)	(3,311,315)	125,864	(40,189)
- on equity instruments and stock indices	19,836	622,887	(81,189)	(555,477)	6,057	24,952
- on currency and gold	X	X	X	X	(5,646)	23,492
- other	23,180	135,885	(18,521)	(118,748)	21,796	6,350
4.2 Credit derivatives	14,949	117,377	(106,523)	(102,851)	(77,048)	(27,076)
<i>of which: FVO natural hedge</i>	-	-	-	-	-	-
Total	2,334,377	4,215,562	(2,245,448)	(4,235,705)	86,970	30,374

“Gains” and “Losses” also include the results of the measurement of derivatives connected operationally with financial liabilities measured at fair value through profit and loss (FVO).

The impact on this item deriving from the application of the Credit Value Adjustment (CVA) on OTC derivatives is a positive EUR 7.6 mln, with a variation in stock; likewise, the application of the Debt Value Adjustment (DVA) on OTC derivatives entailed a negative impact of EUR 3.0 mln.

The breakdown of write-downs and trading losses due to assets with poor credit quality of the debtor (issuer or counterparty) is provided below.

	31 12 2019		31 12 2018	
	Unrealized Losses	Trading Losses	Unrealized Losses	Trading Losses
Debt securities	199	-	661	148
Equity instruments	-	-	-	-
Derivatives	1,064	7,049	2,609	295
Other	-	-	-	-



Section 5 - Net profit (loss) from hedging - Item 90

5.1 Net profit (loss) from hedging: breakdown

P&L items/Values	Total 31 12 2019	Total 31 12 2018
A. Gains on:		
A.1 Fair value hedging instruments	57,313	113,573
A.2 Hedged financial assets (fair value)	713,079	201,389
A.3 Hedged financial liabilities (fair value)	45,591	25,657
A.4 Cash-flow hedging derivatives	89,293	-
A.5 Assets and liabilities denominated in foreign currency	-	-
Total gains on hedging activities (A)	905,276	340,619
B. Losses on:		
B.1 Fair value hedging instruments	768,075	223,887
B.2 Hedged financial assets (fair value)	31,982	72,464
B.3 Hedged financial liabilities (fair value)	17,898	44,325
B.4 Cash-flow hedging derivatives	91,933	168
B.5 Assets and liabilities denominated in foreign currency	-	-
Total losses on hedging activities (B)	909,888	340,844
C. Net profit (loss) from hedging activities (A - B)	(4,612)	(225)

For information on hedging derivatives, the gains and losses on which are indicated in lines A.1 and A.4, B.1 and B.4 of this table, see Section 5, "Hedging derivatives – Item 50" of the Assets and Section 4, "Hedging derivatives – item 40" of the Liabilities in Part B of these Notes to the financial statements.

More information on hedged assets and liabilities can be found in the tables in Part B of the notes for each section of the accounts to which hedges are posted.



Section 6 - Gains/(losses) on disposal/repurchase - Item 100

6.1 Gains (losses) on disposal/repurchase: breakdown

Items / P&L items	Total 31 12 2019			Total 31 12 2018		
	Gains	Losses	Net Profit (Loss)	Gains	Losses	Net Profit (Loss)
Financial assets						
1. Financial assets measured at amortised cost	90,673	(29,626)	61,047	41,399	(41,065)	334
1.1 Loans to banks	11	-	11	-	-	-
1.2 Loans to customers	90,662	(29,626)	61,036	41,399	(41,065)	334
2. Financial assets measured at fair value through other comprehensive income	52,581	(131)	52,450	41,973	(16,894)	25,079
2.1 Debt securities issued	52,581	(131)	52,450	41,973	(16,894)	25,079
2.2 Loans	-	-	-	-	-	-
Total assets	143,254	(29,757)	113,497	83,372	(57,959)	25,413
Financial liabilities measured at amortised cost						
1. Deposits from banks	-	-	-	-	-	-
2. Deposits from customers	-	-	-	-	-	-
3. Debt securities issued	7	(905)	(898)	10,605	(134)	10,471
Total liabilities	7	(905)	(898)	10,605	(134)	10,471

The gains in the item "Financial assets measured at amortised cost", Line "1.2 Loans to customers" refer, for EUR 24.6 mln to loans and for EUR 66.1 mln to debt securities, while the losses in that line refer almost entirely to loans.



Section 7 - “Net profit (loss) from other financial assets and liabilities measured at fair value through profit and loss” - Item 110

7.1 Net changes in other financial assets and liabilities measured at fair value through profit and loss: breakdown of financial assets and liabilities measured at fair value

Transaction/P&L items	Unrealized profits (A)	Realized profits (B)	Unrealized Losses (C)	Realized losses (D)	Net Profit (loss)	
					31 12 2019	31 12 2018
1. Financial assets	-	-	-	-	-	-
1.1 Debt securities issued	-	-	-	-	-	-
1.2 Equity instruments	-	-	-	-	-	-
2. Financial liabilities	1,569	583	(13,353)	-	(11,201)	3,959
2.1 Debt securities issued	1,569	583	(13,353)	-	(11,201)	3,959
2.2. Deposits from banks	-	-	-	-	-	-
2.3. Deposits from customers	-	-	-	-	-	-
3. Other financial assets and liabilities: exchange differences	X	X	X	X	-	-
Total	1,569	583	(13,353)	-	(11,201)	3,959

The item includes solely the profit, loss, capital gains and capital losses from structured fixed-rate bonds included in the fair value option. The balances of the economic valuations of derivatives through which said securities are subject to natural hedging are instead recognised under item 80 “Net profit (loss) from trading”.

Note that the changes in fair value due to changes in own creditworthiness are recognised under other revenue items without reversal to the income statement.

7.2 Net changes in other financial assets and liabilities measured at fair value through profit and loss: breakdown of other financial assets measured at fair value as per mandatory requirements

Transaction/P&L items	Unrealized profits	Realized profits	Unrealized losses	Realized losses	Net profit (loss)
					31 12 2019
1. Financial assets					
1.1 Debt securities issued	158,119	-	(20,122)	-	137,997
1.2 Equity instruments	207	67	(2,478)	-	(2,204)
1.3 Units of UCITS	5,760	11	(19,818)	(1)	(14,048)
1.4 Loans	22,894	6,633	(78,759)	(6,386)	(55,618)
2. Other financial assets: exchange differences	X	X	X	X	-
Totale	186,980	6,711	(121,177)	(6,387)	66,127

Line “1.1 Financial assets - debt securities”, in the column “Capital gains”, includes the revaluation of convertible bonds issued by Sorgeria Group as well as the equity instruments of Nuova Sorgeria Holding S.p.A. and Tirreno Power S.p.A. for a total of EUR 155 mln.



Section 8 - Net impairment (losses)/reversals for credit risk - Item 130

8.1 Net impairment (losses)/reversal for credit risk on financial assets measured at amortised cost: breakdown

Transaction/P&L items	Value Adjustments			Write - backs		Total 31 12 2019	Total 31 12 2018
	Stage 1 and Stage 2	Stage 3		Stage 1 and Stage 2	Stage 3		
		Write-off	Others				
A. Loans to banks	(447)	-	(220)	1,112	1,788	2,233	1,040
- Loans	(444)	-	(220)	1,086	1,788	2,210	602
- Debt securities	(3)	-	-	26	-	23	438
Of which: purchased or originated credit impaired financial assets	-	-	-	-	-	-	-
B. Loans to customers	(150,400)	(137,289)	(1,862,123)	296,553	1,247,691	(605,568)	(608,057)
- Loans	(148,580)	(137,289)	(1,862,123)	296,127	1,247,691	(604,174)	(604,288)
- Debt securities	(1,820)	-	-	426	-	(1,394)	(3,769)
Of which: purchased or originated credit impaired financial assets	-	(829)	(9,631)	241	3,425	(6,794)	12,311
C. Total	(150,847)	(137,289)	(1,862,343)	297,665	1,249,479	(603,335)	(607,017)

For stage 3 impairment losses, the column “Write-off” shows losses recorded in relation to the derecognition of financial instruments exceeding the amount of the corresponding total adjustments, whereas the “Others” column includes specific write-downs on non-performing loans subject to analytical as well as lump-sum/statistical measurement.

Expected losses relating to operating receivables within the scope of application of IFRS 15 are of an insignificant amount.

For further information on loans to banks and customers, see Section 1, “Credit risk”, in Part E of the Notes to the financial statements.

8.2 Net impairment (losses)/reversals for credit risk on financial assets measured at fair value through other comprehensive income: breakdown

Transactions/ P&L items	Value Adjustments			Write - backs		Total 31 12 2019	Total 31 12 2018
	Stage 1 and Stage 2	Stage 3		Stage 1 and Stage 2	Stage 3		
		Write-off	Others				
A. Debt securities issued	(2,695)	-	(4,050)	363	1	(6,381)	3,194
B. Loans	-	-	-	-	-	-	-
- to banks	-	-	-	-	-	-	-
- to customers	-	-	-	-	-	-	-
<i>of which: purchased or originated credit impaired assets</i>	-	-	-	-	-	-	-
F. Total	(2,695)	-	(4,050)	363	1	(6,381)	3,194



Section 9 - Modification gains/(losses) without derecognition - Item 140

9.1 Modification gains/(losses): breakdown

This item, negative for EUR 4.3 mln as at 31 December 2019 (negative for EUR 12.7 mln as at 31 December 2018) includes the impacts related to contractual changes on medium/long term loans to customers which, without any substantial change, according to the provisions of IFRS 9, as well as the Group's accounting regulations, do not entail accounting derecognition of the assets but rather the recognition to profit and loss of the changes made to the contractual cash flows. For further details, see Part A.2 - paragraph 16 "Other information - Renegotiations" in these Notes to the consolidation financial statements.

Section 10 – Net premiums – Item 150

10.1 Net premiums: breakdown

The section was not completed, as net premiums do not exist in the Group either in the current or in the previous year.

Section 11 – Other net insurance income/expense – Item 170

The tables of this section were not completed because there is no other net insurance income/expense in the Group, either in the current or in the previous year.



Section 12 - Administrative expenses - Item 190

12.1 Personnel expenses: breakdown

Type of Expense / Area	Total 31 12 2019	Total 31 12 2018
1. Employees	(1,405,956)	(1,562,522)
a) wages and salaries	(1,021,226)	(1,045,523)
b) social-welfare charges	(279,363)	(287,335)
c) severance pay	(60,269)	(45,410)
d) social security expenses	-	-
e) provision for staff severance pay	(2,301)	(2,350)
f) pension fund and similar obligations:	(815)	(705)
- defined contribution	(558)	(425)
- defined benefit	(257)	(280)
g) contributions to external pension funds:	(22,693)	(19,788)
- defined contribution	(22,419)	(17,567)
- defined benefit	(274)	(2,221)
h) costs related to share-based payments	167	147
i) other employee benefits	(19,456)	(161,558)
2. Other staff	5,056	(998)
3. Directors and Statutory Auditors	(2,800)	(3,263)
4. Retired personnel	(4,378)	(5,162)
Total	(1,408,078)	(1,571,945)

Line f) "pension fund and similar obligations" includes amounts set aside for internal funds, while line g) "contributions to external pension funds" includes contributions paid and adjustments made to external pension funds.

Line "h) costs related to share-based payments" reflects the reduction in provisions for performance shares assigned to the Group's "key employees" with regard to incentive plans in effect for the previous years.

Line "i) other employee benefits", for the period 2018, includes the provision recognised for the early retirement incentives/solidarity fund envisaged for the first half of 2019, pursuant to the agreement of 31 December 2018 entered into with the trade unions, for EUR 150 mln.

Line "2. Other Staff" includes for an amount of approximately EUR 6.3 mln (EUR 3.9 mln at 31 december 2018) the recovery of the cost of employees seconded by the Bank to Juliet S.p.A., pursuant the agreement signed on 11 may 2018.



12.2 Average number of employees by category

Category / Average Number	31 12 2019	31 12 2018
Employees:	21,419	22,215
a) executives	277	283
b) middle managers	8,583	8,906
c) remaining staff	12,559	13,026
Other personnel	1	-
Total	21,420	22,215

12.3 Defined benefit company pension funds: costs and revenues

Items/Amounts	31 12 2019			31 12 2018		
	Defined benefit company pension funds		Provision for staff severance pay	Defined benefit company pension funds		Provision for staff severance pay
	Internal pension plan	External pension plan		Internal pension plan	External pension plan	
Interest income/expense	(253)	(1)	(2,268)	(259)	(514)	(2,315)
Current service cost and gains (losses) arising from settlements*	(4)	(55)	(31)	(21)	(724)	(34)
Past service cost	-	152	-	-	(220)	-
Gains (losses) arising from settlements**	-	-	-	-	(878)	-
Other operating costs	-	(370)	(2)	-	115	(1)
Total	(257)	(274)	(2,301)	(280)	(2,221)	(2,350)

* Pursuant to par. 100 of LAS 19, note that the past service cost and the amount of gains and losses arising from settlements need not be distinguished if they occur together.

** Only in the event of settlement not set out in the terms of the plan.

12.4 Other employee benefits

No information to report pursuant to sections 53, 158 and 171 of IAS 19.



12.5 Other administrative expenses: breakdown

Items / Amounts	31 12 2019	31 12 2018*
Stamp duties	(174,358)	(181,205)
Indirect taxes and duties	(36,912)	(30,515)
Municipal real estate property tax	(21,582)	(20,573)
Property rentals	(2,401)	(68,921)
Cleaning service contracts	(13,216)	(13,365)
Insurance	(49,216)	(42,047)
Rentals	(123,630)	(123,283)
Remuneration of external professionals	(154,102)	(134,144)
Third-party data processing	(39,942)	(47,140)
Lease of equipment	(23,427)	(28,917)
Utilities	(31,585)	(30,768)
Maintenance of movable and immovable properties (used in the business)	(38,299)	(41,239)
Postage	(23,637)	(26,310)
Advertising, sponsorships and promotions	(5,093)	(5,855)
Membership dues	(3,812)	(4,636)
Reimbursement of employee car and travel expenses	(6,040)	(5,800)
Security services	(7,396)	(7,673)
Software	(52,162)	(50,827)
Expenses for personnel training	(4,457)	(4,403)
Corporate entertainment expenses	(1,156)	(1,369)
Expenses for non-rented investment real estate	(120)	(662)
Printing and stationery	(5,374)	(8,220)
Telephone, telefax and telegraph	(8,886)	(6,822)
Transportation	(25,130)	(33,241)
Sundry occupancy expenses and refunds for release of immovable property used in the business	(4,396)	(3,729)
Contributions Resolution Funds (SRF) and Deposits Guarantee Schemes (DGS)	(114,525)	(130,124)
DTA fee	(70,598)	(70,863)
Others	(17,851)	(17,317)
Total	(1,059,303)	(1,139,968)

* The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

The line "Sundry lease payments and rentals" includes EUR 81.2 mln referring to costs for purchased services regarding back office and accounting and administrative activities related to the management and provision of specific services by the Group. These services entail decreasing considerations over the duration of the contract, against a constant volume of services received by the Group. In accordance with the accounting policies (see Part A, Other information - Costs for constant services and decreasing payments), the recognition of the aforementioned costs in the income statements follows a linear trend over the contract duration with the consequent necessity to recognise a prepaid expense. As at 31 December 2019, this prepaid expense amounted to EUR 195 mln and is included under item "Other assets, line "Accrued income and prepaid expenses not attributable to its own separate item" in Part B of these Notes to the financial statement.

The "Contributions Resolution Funds (SRF) and Deposits Guarantee Systems (DGS)" equal to EUR 114.5 mln, comprises EUR 73.6 mln for charges associated with the SRF and NRF (National Resolution Fund) and EUR 40.9 mln for contributions to the DGS. In addition to these amounts, a total of EUR 1.0 mln was paid by the former subsidiary BMP Belgio S.A.



The line “DTA fees” includes the expenses related to the fee paid on DTAs that can be converted into tax credit as set forth in art. 11 of Law Decree no. 59 of 3 May 2016, converted into Law no. 119 of 30 June 2016.

For a trend analysis of the remaining concerned items, reference should be made to the consolidated Report on Operations.

Section 13 - Net provisions for risks and charges – Item 200

13.1 Net provisions for credit risk relative to commitments to disburse funds and financial guarantees given: breakdown

Transaction/P&L items	Stage 1	Stage 2	Stage 3	Total 31 12 2019	Total 31 12 2018
1) financial guarantees issued	961	5,003	36,534	42,498	(50,418)
Provision for the year	(2,319)	(3,242)	(30,058)	(35,619)	(103,325)
Write-backs	3,280	8,245	66,592	78,117	52,907
2) Commitments to disburse funds	3,405	1,424	35,300	40,129	12,303
Provision for the year	(1,776)	(2,442)	(1)	(4,219)	(5,055)
Write-backs	5,181	3,866	35,301	44,348	17,358
E. Totale	4,366	6,427	71,834	82,627	(38,115)

13.2 Net provisions relative to other commitments and guarantees given: breakdown

Transaction/P&L items	Total 31 12 2019	Total 31 12 2018*
1) financial guarantees issued	-	-
Provision for the year	-	-
Write-backs	-	-
2) Commitments to disburse funds	1,000	52,061
Provision for the year	-	(1,000)
Write-backs	1,000	53,061
E. Totale	1,000	52,061



13.3 Other net provisions for risks and charges: breakdown

Items / Amount	31 12 2019			31 12 2018		
	Provisions for the year	Write-backs	Net Provisions	Provisions for the year	Write-backs	Net Provisions
Legal disputes	(195,295)	194,571	(724)	(96,884)	63,651	(33,233)
Legal disputes - cost	(195,285)	194,571	(714)	(96,744)	63,649	(33,095)
Legal disputes - discounting effect	(10)	-	(10)	(140)	2	(138)
Personnel expenses	(16,077)	9,019	(7,058)	(5,513)	10,467	4,954
Other risks and charges	(175,196)	27,342	(147,854)	(81,877)	26,776	(55,101)
Total	(386,568)	230,932	(155,636)	(184,274)	100,894	(83,380)

The line "Tax and Legal disputes - discounting effect" includes changes due to the passing of time, namely to the amount of time value accrued during the year due to the expected imminent maturity of the estimated liability.

The line "Other risks and charges" includes in particular: i) EUR 98.1 mln for commitments assumed by the Parent Company for reimbursements associated with transactions in diamonds; ii) EUR 40.4 mln for estimated repayments for transactions with customers and iii) EUR 22.3 mln for estimated indemnities linked to loan disposal transactions.

Section 14 - Net value adjustments to (recoveries on) property, plant and equipment - Item 210

14.1 Net value adjustments to property, plant and equipment: breakdown

Assets / P&L items	Amortization	Impairment losses	Write-backs	Net Profit (loss) 31 12 2019	Net Profit (loss) 31 12 2018
A. Tangible assets					
1. Used in the business	(159,856)	(9,288)	-	(169,144)	(119,712)
- asset owned	(105,971)	(9,288)	-	(115,259)	(119,712)
- Right of Use	(53,885)	-	-	(53,885)	-
2. Held for investment	(8,085)	(5,050)	-	(13,135)	(25,989)
- asset owned	(8,085)	(5,050)	-	(13,135)	(25,989)
- Right of Use	-	-	-	-	-
3. Inventories	X	(3)	4	1	(4,731)
Total	(167,941)	(14,341)	4	(182,279)	(150,432)

Tangible assets with a finite life are tested for impairment.



Section 15 - Net value adjustments to (recoveries on) intangible assets - Item 220

15.1 Net value adjustments to intangible assets: breakdown

Assets/P&L items	Amortization	Impairment losses	Write-backs	Net profit (loss) 31 12 2019	Net profit (loss) 31 12 2018
A. Intangible assets					
A.1 Owned	(95,666)	(3,272)	-	(98,938)	(122,753)
- generated internally by the company	(20,449)	(858)	-	(21,307)	(24,106)
- other	(75,217)	(2,414)	-	(77,631)	(98,647)
A.2 Right of Use	-	-	-	-	-
Total	(95,666)	(3,272)	-	(98,938)	(122,753)

Amortisation mainly relates to software held by the Consorzio Operativo di Gruppo MPS and finite life intangible assets identified during the PPA process for former subsidiary Banca Antonveneta.

Section 16 - Other operating expenses/income - Item 230

16.1 Other operating expenses: breakdown

Item/Amount	Total 31 12 2019	Total 31 12 2018
Costs of robberies	(1,527)	(2,180)
Write-downs on improvements of third-party goods recognised as Other Assets	(6,389)	(12,480)
Costs of financial lease transactions	(8,030)	(9,047)
Costs from judgements and settlement agreements	(92,209)	(48,950)
Other	(33,333)	(53,694)
Total	(141,488)	(126,351)

The line "Costs from judgements and settlement agreements" includes the comprehensive indemnity of EUR 40 mln (excluding VAT) associated with exercising the right of withdrawal envisaged in the ten-year servicing contract stipulated with Juliet S.p.A.

16.2 Other operating income: breakdown

Voci/Valori	Total 31 12 2019	Total 31 12 2018
Insurance claims	6	-
Rents from investment real estate	12,158	17,519
Other revenues from real estate (real estate inventory)	45	3,299
Recovery of taxes	187,071	193,473
Recovery of insurance premiums	38,441	32,177
Income from financial lease transaction	4,612	4,381
Recovery of other expenses	48,784	54,603
Other	54,703	67,259
Total	345,820	372,711

The amount of EUR 48.8 mln classified under "Recoveries of other expenses" includes the "fast-track facility fee" introduced by Law Decree 201/2011 ("Save Italy Decree") amounting to EUR 3.0 mln (EUR 9.0 mln as at 31 December 2018) and the



compensation of legal fees incurred for the enforced recovery of bad loans of EUR 16.0 mln (EUR 11.2 mln as at 31 December 2018).

“Other operating income” does not include any revenues under the scope of IFRS 15.

The Group does not have any variable income not related to an index or a rate deriving from leasing activities (IFRS 16.90 b).

The Group does not have any income deriving from sub-leasing of rights of use obtained (IFRS 16.53 (f)).

Section 17 - Gains (losses) on investments - Item 250

17.1 Gains (losses) on investments: breakdown

P&L items/Sectors	Total 31 12 2019	Total 31 12 2018
1) Companies under joint control		
A. Income	519	8
1. Revaluations	519	8
2. Gains on disposal	-	-
3. Write-backs	-	-
4. Other income	-	-
B. Expense	-	(1,519)
1. Write-downs	-	(1,519)
2. Impairment losses	-	-
3. Losses on disposal	-	-
4. Other expenses	-	-
Net Profit (Loss)	519	(1,511)
2) Companies subject to significant influence		
A. Income	91,130	73,365
1. Revaluations	91,130	72,148
2. Gains on disposal	-	1,217
3. Write-backs	-	-
4. Other income	-	-
B. Expense	(11,027)	(5,939)
1. Write-downs	(976)	(186)
2. Impairment losses	(8,723)	(5,753)
3. Losses on disposal	(864)	-
4. Other expenses	(464)	-
Net Profit (Loss)	80,103	67,426
Total	80,622	65,915

The amount of EUR 91.1 mln recognised in line 2) A.1 “Revaluations” is predominantly due to the results of investments in associates AXA MPS Vita and AXA MPS Danni S.p.A.

The negative amount of EUR 8.7 mln reported on line “2) B.2 Impairment losses” refers to the write-down of the associate Nuova Sorigenia Holding.

For further information on the methodology for determining impairment losses, please see section 10.5, part B, of these notes to the consolidated financial statements.



Section 18 - Net gains (losses) on property, plant and equipment and intangible assets measured at fair value - Item 260

18.1 Net gains (losses) on property, plant and equipment and intangible assets measured at fair value (or revalued) or at presumed realisable value: breakdown

The section was not completed as property, plant and equipment and intangible assets measured at fair value do not exist in the Group either in the current or in the previous period.

Section 19 - Impairment of goodwill - Item 270

19.1 Impairment of goodwill: breakdown

Owing to its indefinite or unlimited useful life, goodwill is tested at the end of each year to assess whether its book value is fairly stated or recoverable. The impairment test conducted in 2018 did not result in any impairment losses on goodwill allocated to the Widiba CGU (Cash Generating Unit), as the recoverable amount is higher than the book value by EUR 14 mln.

For additional information concerning the methods for conducting impairment tests, see the appropriate section in Part B of the Notes to the financial statements, Section 10.1 of Assets “Intangible assets: breakdown by type”.

Section 20 – Gains (losses) on disposal of investments – Item 280

20.1 Gains (losses) on disposals of investments: breakdown

P&L items/Sectors	Total 31 12 2019	Total 31 12 2018
A. Property	2,916	1,130
- Gains on disposal	3,187	2,025
- Losses on disposal	(271)	(895)
B. Other assets	46	48,911
- Gains on disposal	74	50,150
- Losses on disposal	(28)	(1,239)
Net Profit (Loss)	2,962	50,041

The amount of EUR 50.1 mln shown in line “B. Other assets - Gains on disposal” for 2018 consists of the gain from the sale of Juliet Spa in the second quarter of 2018.

The Group has not recognised any gains or losses deriving from sale and lease-back transactions (IFRS 16.53 letter i).



Section 21 – Tax (expense)/recovery on income from continuing operations – Item 300

21.1 Tax (expense)/recovery on income from continuing operations: breakdown

P&L items/Sectors	Total	
	31 12 2019	31 12 2018
1. Current tax (-)	(5,418)	(14,903)
2. Adjustments to current tax of prior years (+/-)	2,463	15,993
3. Reduction of current tax for the year (+)	-	-
3.bis Reduction in current tax for the period due to tax credits under Law 214/2011	22,401	314,467
4. Changes in prepaid taxes (+/-)	(1,076,273)	83,243
5. Changes in deferred taxes (+/-)	(11,846)	22,321
6. Tax expense for the year (-) (-1+/-2 +3+/-4+/-5)	(1,068,673)	421,121

The amount under line 4. “Changes in deferred taxes” which, net of the reduction in deferred tax assets converted into tax credit of EUR 22.4 mln, equals EUR -1,053.9 mln, includes:

- the overall impact of the DTA valuations resulting from the outcomes of the probability test, in the amount of EUR -984.2 mln;
- the recognition of deferred tax assets relative to the ACE benefit accrued for the year 2019 of EUR 29.8 mln.



21.2 Reconciliation of theoretical to actual tax charge

Items/Amounts	31 12 2019	%	31 12 2018	%
Pre-tax profit (loss) from continuing operations	53,591		(76,796)	
Profit(loss) before tax from assets and group of assets held for sale	(18,060)		(65,658)	
Profit (loss) before tax	35,531		(142,454)	
Theoretical IRES Payable	(9,771)	27.5%	39,175	27.5%
Permanent increases	3,510	9.9%	(3,496)	2.5%
Losses on sale of equity instruments designated at fair value through other comprehensive income	(329)	0.9%	(211)	0.1%
Non-deductible administrative expenses (Municipal real estate property tax, vehicles, telephone, etc.)	3,839	10.8%	(3,285)	2.3%
Permanent decreases	47,451	133.5%	43,863	30.8%
Gains on sale of equity instruments designated at fair value through other comprehensive income	19,422	54.7%	921	0.6%
Gains on disposal of subsidiaries and associates	(6,076)	17.1%	335	0.2%
Deduction IRAP	-	0.0%	-	0.0%
Deduction ACE	34,105	96.0%	42,607	29.9%
Reversal of impairment losses on subsidiaries and associates	28,734	80.9%	20,640	14.5%
DTA write-downs related to prior tax losses	(872,561)	2455.8%	208,708	146.5%
Other DTA write-downs	(93,365)	262.8%	(304,949)	214.1%
Effect due to non-registration of DTA on tax loss of current year	(95,290)	268.2%	(7,948)	5.6%
Tax on Profit (losses) from group of assets held for sale	(4,967)	14.0%	(18,056)	12.7%
Splitting effect of FTA IFRS9 provisions	-	0.0%	373,702	262.3%
Other components (IRES relative to previous years, spreads between Italian and foreign tax rate, etc.)	(40,343)	113.5%	6,015	4.2%
Effective IRES Payable	(1,036,602)	2917.5%	357,654	251.1%
Theoretical IRAP payable	(1,652)	4.6%	6,624	4.6%
Economic items not relevant for IRAP purposes	(8,221)	23.1%	(3,944)	2.8%
Non-deductible interest expense	(4,402)	12.4%	(110)	0.1%
Value adjustments and credit losses	263	0.7%	(258)	0.2%
Non-deductible costs of personnel	(233)	0.7%	(545)	0.4%
Profit (loss) on subsidiaries and associates	333	0.9%	7,231	5.1%
Other non-deductible administrative expenses (10%)	(5,639)	15.9%	(9,773)	6.9%
Amortization non-deductible (10%)	(729)	2.1%	(397)	0.3%
Other economic items not relevant	2,187	6.2%	(92)	0.1%
Increase regional rates effect	4,235	11.9%	8,648	6.1%
Charges from not recognised tax loss carryforward IRAP	(17,103)	48.1%	(3,950)	2.8%
Amortization non-deductible (10%)	(18,276)	51.4%	(24,728)	17.4%
Adjustments DTA	(840)	2.4%	(3,053)	2.1%
Tax refunds from previous years	8,814	24.8%	14,428	10.1%
Splitting effect of FTA IFRS 9 provisions	-	0.0%	63,190	44.4%
Other components (IRAP relative to previous years, spreads between Italian and foreign tax rate, etc.)	971	2.7%	6,252	4.4%
Effective IRAP payable	(32,071)	90.3%	63,467	44.6%
Total effective IRES and IRAP tax expense	(1,068,673)	3007.7%	421,121	295.6%

The reconciliation relating to IRES includes, aside from the main tax at the rate of 24%, also the additional tax of 3.5% introduced by Law no. 208 of 28 December 2015, paragraphs 65-66.



Section 22 - Profit (loss) after tax from assets held for sale and discontinued operations - Item 320

22.1 Profit (loss) after tax from assets held for sale and discontinued operations: breakdown

P&L items/Sectors	Total	Total
	31 12 2019	31 12 2018
1. Income	8,796	31,658
2. Expense	(15,093)	(31,121)
3. Profit (loss) from valuation of groups of assets and related liabilities	1,995	(66,296)
4. Profit (loss) from disposal	(13,758)	101
5. Tax and duties	-	-
Profit (loss)	(18,060)	(65,658)

The table above refers to the subsidiary BMP Belgio S.A., sold on 14 June 2019, to funds managed by Warburg Pincus (the subsidiary was classified under discontinued operations at the end 2018).

Section 23 – Profit (loss) attributable to non-controlling interests – Item 340

23.1 Details of item 340 “Profit (loss) attributable to non-controlling interests”

	Total	Total
	31 12 2019	31 12 2018
Consolidated equity investments with significant non-controlling interests	-	-
Other equity investments	(131)	89
Total	(131)	89

Section 24 – Other information

No additional disclosure to that presented in accordance with the international accounting standards and Circular no. 262 of the Bank of Italy is required.

Section 25 - Earnings per Share (EPS)

25.1 Average number of diluted ordinary shares

25.2 Other information

Items/Amounts	(n. Shares)			
	31 12 2019		31 12 2018	
Weighted average number of ordinary shares outstanding	1,104,009,324		1,104,009,324	
Ner Profit (loss)				
Related to Parent Company continuing operations	(1,014,951)		344,235	
Related to Parent Company assets and group of assets held for sale	(18,060)		(65,658)	
Attributable to Parent Company	(1,033,011)		278,578	
EPS	Base	Diluted	Base	Diluted
Related to Parent Company continuing operations	(0.919)	(0.919)	0.312	0.312
Related to Parent Company assets and group of assets held for sale	(0.016)	(0.016)	(0.059)	(0.059)
Attributable to Parent Company	(0.936)	(0.936)	0.252	0.252

Note that Base EPS and Diluted EPS are the same, as there were no outstanding financial instruments with potential dilutive effects.



Part D – Consolidated statement of comprehensive income



Consolidated Statement of Comprehensive Income

Items	31 12 2019	31 12 2018
10. Profit (loss) for the year	(1,033,142)	278,667
Other income components without reversal to profit & loss	15,424	(491)
20. Equity instruments measured at fair value through other comprehensive income	10,315	8,786
a) changes in fair value	1,453	(4,505)
b) Transfer to other equity component	8,863	13,291
30. Financial liabilities measured at fair value with impact to profit and loss	(4,375)	7,211
a) changes in fair value	(4,375)	7,211
b) Transfer to other equity component	-	-
40. Hedges of equity instruments measured at fair value through other comprehensive income	-	-
a) changes in fair value (hedged item)	-	-
b) changes in fair value (hedging item)	-	-
50. Tangible assets	-	-
60. Intangible assets	-	-
70. Defined benefit plans	(8,759)	7,962
80. Non-current assets and groups of assets held for sale	438	876
90. Share of valuation reserves of equity instruments valued at equity □	3,977	(10,114)
100. Tax income related to other income components without reversal to profit & loss	13,828	(15,212)
Other income components with reversal to profit & loss	227,702	(295,760)
110. Hedges of foreign investments:	-	-
a) changes in fair value	-	-
b) reversal to profit & loss	-	-
c) other changes	-	-
120. Exchange differences:	(3,243)	4,300
a) changes in value	-	-
b) reversal to profit & loss	-	-
c) other changes	(3,243)	4,300
130. Cash flow hedges:	3,017	827
a) changes in fair value	(7,328)	21,182
b) reversal to profit & loss	(4,180)	(17,861)
c) other changes	14,525	(2,494)
<i>of which: results of Net positions</i>	-	-
140. Hedging Instruments: (non designated items)	-	-
a) changes in value	-	-
b) reversal to profit & loss	-	-
c) other changes	-	-
150. Financial assets (other than equity instruments) measured at fair value through other comprehensive income	219,187	(326,070)
a) changes in value	142,170	(267,700)
b) reversal to profit & loss	58,622	(73,077)
-impairment provisions	5,585	(6,780)
-relied net gains/losses	53,037	(66,297)
c) other changes	18,395	14,707
160. Non current assets and group of assets held for sale	2,191	(7,836)
a) changes in fair value	-	(8,074)
b) reversal to profit & loss	-	-
c) other changes	2,191	238
170. Share of valuation reserves of equity-accounted investments	113,050	(103,726)
a) changes in fair value	113,050	(181,196)
b) reversal to profit & loss	-	75
-impairment provisions	-	77
-relied net gains/losses	-	(2)
c) other changes	-	77,395
180. Tax income related to other income components with reversal to profit & loss	(106,500)	136,745
190. Other income components	243,126	(296,251)
200. Total comprehensive income (Item 10 + 130)	(790,016)	(17,584)
210. Consolidated comprehensive income attributable to non-controlling interests	(122)	87
220. Consolidated comprehensive income attributable to Parent Company	(789,894)	(17,671)



Part E - Information on risks and hedging policies

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Note: Public Disclosure (Basel III Pillar) is published on the Group website:
<https://www.gruppomps.it/investor-relations>.



Foreword

A summary of the organisation of the MPS Group's risk governance and the related processes and key functions is described below.

An estimate of the Overall Internal Capital and a description of the relative assessment models are also provided.

For more detailed information on the Group's Risk Governance and risk culture, please refer to the Consolidated Report on Operations.

Risk governance system

The risk governance system adopted by the Group is characterised by a clear-cut distinction of roles and responsibilities of the different functions at first, second and third level of control.

Policies relating to the assumption, management, coverage, monitoring and control of risks are defined by the statutory bodies of the Parent Company. In particular:

- the Parent Company's Board of Directors defines and approves strategic guidelines and risk management policies and, at least once a year, quantitatively expresses the Group's overall risk appetite in terms of economic capital (Risk Appetite);
- the Board of Statutory Auditors and the Risk Committee evaluate the level of efficiency and adequacy of the internal control system, with particular regard to risk control;
- the CEO/General Management is responsible for ensuring compliance with risk policies and procedures;
- the Director in charge of the internal control and risk management system, appointed in compliance with the Corporate Governance Code for listed companies, is responsible for creating and maintaining an effective system of internal control and risk management.

Specific Management Committees responsible for risk issues have been established in order to promote efficiency and flexibility in the decision-making process and facilitate interactions between the various company functions involved:

- the Risk Management Committee establishes Risk Management policies, evaluates the Group's risk appetite in accordance with annual and long-term Group value creation targets and ensures and monitors overall compliance with the limits defined for the various operating levels; evaluates the risk profile reached and therefore the capital consumption at both Group level and for each individual company of the Group;
- the Finance and Liquidity Committee formulates the principles and strategic guidelines relating to proprietary finance; it resolves upon and submits proposals regarding exposures to interest rate and liquidity risk in the banking book and defines capital management actions;
- the Credit Committee formulates policies in relation to credit processes and formulates an opinion, at least once per year, on credit policies by verifying their commercial sustainability and consistency with risk appetite levels. Based on the authorities assigned to it, it is also responsible for taking decisions with respect to lending and the management of problem receivables and assets.

As part of the Internal Control System, the Chief Audit Executive Department conducts third-level controls, the Chief Risk Officer Department and the Compliance Department carry out second-level controls and the Business Control Units (BCUs) carry out first-level controls.

The Chief Audit Executive Department performs an independent and objective "assurance" and advising activity, aimed both at monitoring operations compliance and risk trends (including through on-site audits) as well as assessing the efficiency of the overall internal control system in order to improve the effectiveness and efficiency of the organisation. It also acts as Internal Secondary Supervisor with a view to focusing on the main characteristics of the prudential supervision process adopted by the European Supervisory Authority and on the orientations/priorities outlined by the latter over time so as to evaluate the Group's positioning with respect to the expectations of the Single Supervisor.



The Chief Risk Officer (CRO) Department, which reports directly to the Board of Directors and functionally reports to the CEO, performs activities related to risk control, anti-money laundering and counter-terrorist financing (AML) and internal approval functions. The Head of the Chief Risk Officer (CRO) Department, in addition to being responsible for the risk control function, starting from July 2019 has also been responsible for the AML function. Moreover, the Internal Validation function reports to the CRO, as set forth in the Supervisory regulations and as internally transposed in the Group policy regarding the internal control system.

This Department therefore has the following tasks:

- to guarantee the overall functioning of the risk management system;
- to participate in the definition and control of the Risk Appetite Framework (RAF), as well as ensure that significant transactions are consistent with the RAF;
- to verify capital adequacy based on the ICAAP and liquidity adequacy based on the ILAAP;
- to monitor the Recovery Plan indicators;
- to ensure the necessary reporting flows to the Group's Top Management and Governance bodies;
- to guarantee proper and adequate control activities for the Group Companies that have outsourced the analogous corporate function;
- to perform the anti-money laundering duties envisaged by Law and the internal validation of risk management models;
- to guarantee proper and adequate control activities for the Group Companies that have outsourced the analogous corporate function;
- to oversight in a centralised way the management of relationships and the assessments by the Supervisory Authorities, coordinating and monitoring planning of the commitments made and the main directions of evolution in the European regulatory environment.

Specifically, within the Chief Risk Officer Department, the risk control function structures are:

- the Financial Risk Officer Area, which defines the integrated methods of risk measurement/analysis and ensures they are constantly monitored, verifying their consistency with the risk appetite and compliance with the thresholds defined in terms of adequacy with respect to capital and liquidity reserves, participating in the definition of any mitigating actions required. It participates in the preparation, drafting and monitoring of the Recovery Plan. It governs the development of the proprietary financial risk measurement and control system in line with internal and regulatory principles. It guarantees management risk reporting for the Corporate Bodies and the Top Management. Prepares the Public Disclosure (Pillar 3) and the control and analysis of Business Model matters.
- the Lending Risk Officer Area, which governs the evolution of the credit risk measurement system, in line with internal and regulatory principles, in terms of statistical models as well as analytical and process assessments, overseeing the credit risk assessment from portfolio quality to the single name level. It conducts second-level controls on the Group's credit exposures.
- the Operating Risk Officer Area, which governs the evolution of the risk measurement and control system correlated with the operational application of the Group's business model (including operational, reputational and customer portfolio risks).

The Compliance Department performs the function of monitoring compliance with the regulations for the Parent Company. The function is directly responsible for managing risks relating to the violation of the most significant rules in bank-customer relations and it periodically reports to the company's top management and supervisory authorities regarding the overall state of compliance of the Parent Company's systems and operations. The Compliance function reports directly to the CEO.

The outlying BCUs operating within the subsidiaries or main business areas, carry out compliance checks on the transactions which they are responsible for and are the first level of organisational supervision of transactions within the broader internal control system.

In compliance with the requirements of autonomy and independence of each participating function, there is also a Function Coordination Committee in place with control responsibilities. The Committee promotes and shares



operational and methodological aspects to identify possible synergies in control activities carried out by second and third-level Functions, coordinate methods and timing for planning and reporting to the Corporate Bodies and project initiatives connected with the Internal Control System, and share areas for improvement identified by all Functions with control responsibilities as well as the Supervisory Authorities.

Requirements of autonomy and independence of the Risk Department

The Chief Risk Officer (CRO) is the head of the Parent Company's Risk Control Function.

The Function's autonomy and independence are ensured as it reports directly to the Corporate Body with strategic supervisory functions (the Board of Directors) and only functionally to the Management Body (CEO/GM). It has direct access to the Body with control functions (Board of Statutory Auditors) and may communicate continuously with no restriction or intermediation. The CRO is also entitled at his or her discretion to participate in Risk Committee meetings to intervene or propose discussions on specific topics.

In particular, the Board of Directors appoints and removes the Chief Risk Officer, upon proposal by the Risk Committee, with the assistance of the Appointments Committee, having consulted the Board of Statutory Auditors.

The remuneration of the Parent Company's Chief Risk Officer is determined and approved by the Board of Directors upon proposal by the Remuneration Committee, having heard the opinion of the Risk Committee.

Activities relating to the international Regulatory framework

Pillar 1: since 2008, the Group has used internal models validated by the Bank of Italy for the measurement and management of credit risk (AIRB - Advanced Internal Rating Based) and operational risk (AMA - Advanced Measurement Approach). Over time, and in collaboration with the Supervisory Authorities, these models have been further enhanced and their scope of application extended to Group entities not originally included in the initial validation scope.

Pillar 2: efforts to ensure compliance with the Supervisory Review and Evaluation Process (SREP) framework and to further improve the Group's Internal Capital Adequacy Assessment Processes (ICAAP) and Internal Liquidity Adequacy Assessment Process (ILAAP) continued during the year, with the mandatory reporting provided to Supervisors. In 2019, the Risk Appetite Framework (RAF), the overall internal reference framework for the determination of the Group's risk appetite, was further developed. In addition, the Group engaged in several improvement projects on the system for the management of the various risks.

Pillar 3: public disclosure is provided on a quarterly basis through the Group's internet site www.mps.it/investors and is continuously updated in accordance with regulatory developments.

Analysis of the Internal Capital

The Overall Internal Capital (or Overall Absorbed Capital) is the minimum amount of capital resources required to cover economic losses resulting from unforeseen events caused by the simultaneous exposure to different types of risk.

The main types of risks incurred by the Group in its day-to-day operations can be summarily described as follows:

- Credit risk;
- Market risk;
- Operational risk;
- Banking book interest rate risk;
- Counterparty risk;
- Real estate risk;
- Issuer risk;
- Concentration risk;
- Equity investment portfolio risk;
- Business/Strategic risk;



- Liquidity risk;
- Reputational risk.

All of the types of risk mentioned above are involved in quantifying the Overall Internal Capital, with the exception of liquidity and reputational risk that, instead, are mitigated through organisational policies and processes.

Risks inherent in investment products/services for the Group's customers are also monitored, to protect the customer and preventing any potential repercussions in terms of reputation.

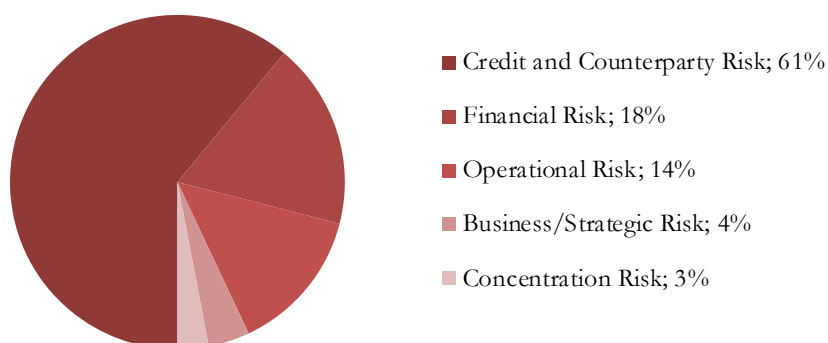
Risk assessment models

The CRO Department regularly quantifies the Group's Internal Capital for each type of risk and periodically reports these to the Risk Management Committee and to the Governing Bodies as part of the reporting flows prepared by the Chief Risk Officer Department.

The approach used to quantify and supplement the risks-to-capital with regard to which the Group is exposed is known in the literature as Pillar 1 Plus. This approach envisages that the Pillar 1 requirements for Credit and Counterparty Risk (which already include those relating to Issuer Risk on the Banking Book, Equity Investment Risk and Real Estate Risk) and Operational Risk, be increased (avoiding double counting) by the requirements from internal models relating to Market Risks, of both Trading Book and Banking Book, Banking Book Interest Rate Risk (Financial Risk), Concentration Risk and Business/Strategic Risk.

Overall Internal Capital is calculated without considering inter-risk diversification, therefore by directly adding together the internal capital contributions of the individual risks (Building Block). This approach aims to incorporate the indications in the SREP (Supervisory Review and Evaluation Process) Guidelines published by the EBA.

Internal Capital
MPS Group - 31.12.2019



The Group also manages and quantifies liquidity risk on an ongoing basis (risk-to-liquidity, as defined in the SREP Guidelines) through internal organisational methodologies and policies.



Section 1 - Risks of accounting consolidation

Quantitative Information

A. Credit quality

For the purposes of quantitative information on credit quality:

- the term “balance sheet exposure” refers to all on-balance sheet financial assets with regard to banks or customers, regardless of their portfolio of accounting recognition (measured at fair value through profit and loss, measured at fair value through other comprehensive income, measured at amortised cost, non-current assets held for sale and discontinued operations);
- the term “off-balance sheet exposure” refers to all financial transactions other than on-balance sheet ones (financial guarantees given, revocable and irrevocable commitments, derivatives, etc.) that involve the assumption of credit risk, regardless of the purpose for such transactions (trading, hedging, etc.). Off-balance sheet exposures also include the counterparty risk connected to securities lending transactions and repurchase agreements and to the granting or assumption of goods on a loan basis, as well as to transactions with margins included within the notion of Securities Financing Transactions as defined by prudential regulations.

Non-performing loans (on and off-balance sheet) do not include financial assets held for trading and hedging derivatives, which are therefore traditionally recognised among performing exposures.

Equity securities and units of UCITS are excluded.



A.1 Non-performing and performing loans: amounts, value adjustments, changes, trend and breakdown by business sector

A.1.1 Breakdown of financial assets by portfolio and credit quality (book values)

	31 12 2019					
	Bad loans	Unlikely to pay	Past-due Impaired exposures	Past-due not impaired exposures	Performing exposures	Total
1. Financial assets measured at amortised cost	2,821,889	2,901,174	75,220	1,117,998	97,791,256	104,707,537
- of which forbore	691,387	1,206,236	3,004	61,991	1,577,752	3,540,370
2. Financial assets measured through other comprehensive income	-	2,418	-	-	6,480,127	6,482,545
- of which forbore	-	-	-	-	4	4
3. Financial assets designated at fair value	-	-	-	-	-	-
- of which forbore	-	-	-	-	-	-
4. Financial assets measured at fair value mandatory	107,998	74,473	3	8,275	423,235	613,984
- of which forbore	63,780	66,561	-	-	238,866	369,207
5. Financial asset held for sale	52,322	83,345	-	-	1	135,668
- of which forbore	7,000	28,543	-	-	-	35,543
Total 31 12 2019	3,737,376	4,334,207	78,227	1,188,264	106,511,241	115,849,315
Total 31 12 2018	3,225,898	4,515,156	145,010	1,303,266	101,754,776	110,944,106

As at 31 December 2019, forbearance exposures amounted to EUR 3,945.1 mln, of which EUR 2,066.5 mln were non-performing (EUR 3,620.8 mln as at 31 December 2018) and EUR 1,878.6 mln performing (EUR 2,024.8 mln as at 31 December 2018), and are predominantly in the “Financial assets measured at amortised cost - Loans to customers” portfolio.



A.1.2 Breakdown of financial assets by portfolio and credit quality (gross and net values)

Portfolio/quality	Non performing assets				Performing assets			Total (Net exposure)
	Gross exposure	Specific write-downs	Net exposure	Partial Write-off*	Gross exposure	Portfolio adjustments	Net exposure	
1. Financial assets measured at amortised cost	10,933,983	5,135,700	5,798,283	186,164	99,391,923	482,670	98,909,253	104,707,536
2. Financial assets measured through other comprehensive income	13,555	11,137	2,418	-	6,486,448	6,321	6,480,127	6,482,545
3. Financial assets designated at fair value	-	-	-	-	X	X	-	-
4. Financial assets measured at fair value mandatory	457,028	274,553	182,475	5,319	X	X	431,510	613,985
5. Financial asset held for sale	558,256	422,589	135,667	9,469	2	1	1	135,668
Total 31 12 2019	11,962,822	5,843,979	6,118,843	200,952	105,878,373	488,992	105,820,891	111,939,734
Total 31 12 2018	16,843,982	8,957,919	7,886,063	264,083	103,506,795	671,776	103,058,043	110,944,106

At the reporting date, the Group had 249 positions relating to creditors who had filed a “blank” request for a pre-insolvency creditor arrangement procedure “Concordato in bianco” for a net exposure of EUR 118.7 mln (281 positions for a net exposure of EUR 291.2 mln in 2018) and 12 positions relating to creditors who had filed a request for a pre-insolvency creditor arrangement with going concern “Concordato in continuità” for a net exposure of approx. EUR 2.3 mln (2 positions for a net exposure of approximately EUR 1 mln in 2018).

Following transfer of the shareholding in the subsidiary BPM Belgio S.A., the Parent Company acquired some non-performing credits, one of which classified in the portfolio “Financial assets measured at amortised cost” for a nominal value of EUR 4.2 mln, at the price of EUR 1.5 mln.

	Low quality assets		Other assets
	Cumulative losses	Net exposure	Net exposure
1 Financial assets held for trading	89,063	1,366	9,773,285
2 Hedging derivatives	-	-	73,003
Total 31 12 2019	89,063	1,366	9,846,288
Total 31 12 2018	100,283	2,276	8,589,674

In particular, please note that item “1. Financial assets held for trading” includes exposures generated by derivative contracts with low credit quality for a net value of EUR 0.7 mln; value adjustments recognised on these instruments, to take into account the fair value credit adjustment, amounted to EUR 1.7 mln.

**B. Information on structured entities (other than securitisation vehicles)****B.1 Consolidated structured entities**

This paragraph was not completed as no such entities are present.

B.2 Structured entities not consolidated for accounting purposes**B.2.1. Prudentially consolidated structured entities**

This paragraph was not completed as no such entities are present.

B.2.2 Other structured entities**Qualitative Information**

For disclosures pursuant to IFRS 12 please refer to the comments provided under the table below.

Quantitative Information

31 12 2019

Balance sheet item/Type of structured entity	Accounting portfolio: Assets			Total assets (A)	Accounting portfolio: Liabilities		Net book value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Held for trading	Financial assets measured at fair value through profit and loss	Financial assets measured at fair value through other comprehensive income		held for trading	Total liabilities (B)			
1. Special Purpose	-	-	-	-	-	-	-	-	-
2. UCITS	1,125,051	140,440	-	1,265,491	326,795	326,795	938,696	1,335,173	396,477
Total	1,125,051	140,440	-	1,265,491	326,795	326,795	938,696	1,335,173	396,477

UCITS

The aggregate includes, in the column 'Financial assets held for trading':

- EUR 92.8 mln (EUR 46.2 mln as at 31 December 2018) relating to the interests held by the subsidiary MPS Capital Services S.p.A. in units of Fondi Mobiliari Aperti and Exchange Traded Funds investing in stocks, bonds and derivatives. These units are purchased for the hedging of risks associated with the issue of structured bonds and funds placed through the network by the Parent Company or for repurchase on the secondary market of the structured funds that had been originally structured;
- EUR 1,032.3 mln (EUR 1,013.7 mln as at 31 December 2018) relating to exposures in financial derivatives with positive fair value to the counterparties Rainbow for EUR 227.7 mln (EUR 360.5 mln as at 31 December 2018), Anima for EUR 619.8 mln (EUR 374.1 mln as at 31 December 2018), Quaestio for EUR 13.3 mln (EUR 15.4 mln as at 31 December 2018) and Axa Im Deis asset funds for EUR 171.5 mln (EUR 263.8 mln as at 31 December 2018). Rainbow, Anima and Axa Im Deis are funds under Irish law managed by Anima Asset Management and AXA Investment Managers, respectively. These funds are divided into subfunds purchased by MPS AXA Financial Limited, which are the funds to which are linked the services of the Unit Linked policies placed with the latter's customers with the name "AXA MPS Valore Performance". The Quaestio funds are under Luxembourg law, managed by Quaestio Capital and sold through the Banca MPS network. The subsidiary MPS Capital Services S.p.A. operates with Rainbow, Anima, Axa Im Deis and Quaestio as counterparty of the negotiated derivatives, included in the Fund assets.

The column financial assets measured at fair value through profit and loss includes:

- EUR 75.1 mln (EUR 74.9 mln as at 31 December 2018) relating to interests held by the Parent Company in private equity funds, whose purpose is to increase the value of the respective equity through mainly medium to long-term investments chiefly in the purchase and/or subscription of shares, units and securities in general representing the equity of target enterprises, exclusively in the best interest of the investors;
- EUR 56.5 mln (EUR 41.7 mln as at 31 December 2018) relating to units of a multi-segment closed-end Italian alternative real estate investment fund (Idea CCR I and II Back2Bonis) held by the Parent Company and by the subsidiary MPS Capital Services S.p.A. These funds aim to contribute to the re-launch of medium-sized Italian companies in financial difficulty;



- EUR 7.6 mln (unchanged compared to 31 December 2018) relating to units - held by the Parent Company and by the subsidiaries MPS Capital Services S.p.A. and MPS Leasing & Factoring S.p.A. - of a closed-end private contribution real estate fund for qualified investors only (Athens RE Fund B). The fund, managed by Unipol Sai Investimenti SGR, holds prestigious tourism complexes located in Tuscany and Sicily;
- EUR 0.25 mln (EUR 3.4 as at 31 December 2018) relating to units of a closed-end real estate fund for qualified investors only (Fondo Cosimo I), held by the subsidiary MPS Capital Services S.p.A.. The funds' objective is to maximise income for its investors through a growing dividend yield as well as increased value of portfolio assets.
- EUR 0.67 mln (EUR 4.9 mln as at 31 December 2018) relating to units of a closed-end alternative asset investment fund for qualified investors only (Rainbow Fund), held by the Parent Company and by the subsidiary MPS Capital Services S.p.A. The fund's objective is to maximise income for its investors through the increased value of the investments made. The fund, managed by Serenissima SGR, holds several hotel complexes located in Puglia;
- EUR 0.4 mln (EUR 1.0 mln as at 31 December 2018) include interests of the Parent Company in hedge funds, particularly side pockets and funds under liquidation.

The column 'Financial liabilities held for trading' includes:

- EUR 326.8 mln (EUR 167.0 mln as at 31 December 2018) relating to the negative fair value of financial and credit derivatives with the counterparties Rainbow for EUR 42.3 mln (EUR 49.4 mln as at 31 December 2018), Anima for EUR 257.4 mln (EUR 96.8 mln as at 31 December 2018), Questio for EUR 6.0 mln (EUR 6.8 mln as at 31 December 2018) and with the AXA IM DEIS asset funds managed by AXA Investment Managers for EUR 21.0 mln (EUR 13.9 mln as at 31 December 2018).

The entities in question raise funds through the issue of units, making recourse to the capital that investors committed to paying upon placement and forms of borrowing in line with their respective management regulations.

Maximum exposure to the risk of loss was determined to be equal to book value for exposures to units of UCITS other than the financial and credit derivatives for which reference is made to positive fair value plus the add-on (calculated also taking into account positions with a negative fair value). For UCITS, the maximum risk exposure also includes the Group's commitments not yet called up by the funds, to subscribe additional units.

During the year under review, the Group did not provide and does not intend to provide financial or other support to the non-consolidated structured entities referred to above. As at the reporting date, there are outstanding loans issued to structured entities for EUR 37.6 mln, granted in 2016, with a net exposure recognised under the maximum exposure to impairment risk.

There are no sponsored non-consolidated entities for which the Group holds no interests at the reporting date.



Section 2 - Risks of prudential consolidation

1.1 - Credit risk

Qualitative Information

1 General

Within the guidelines approved by the Parent Company's Board of Directors, and in line with the evolution of the supervisory regulatory framework, the Group pursues the primary objective of improving the quality of the managed loan book and consequently reducing the cost of credit.

The Group's credit activity is managed with a view to strong proactive behaviour in risk monitoring and enhancement of growth opportunities, through the development of credit policies and systems aimed at making the most of trend data in connection with individual borrowers, against a background of in-depth knowledge and strategic management of positions.

2 Credit risk management policies

2.1 Organisational aspects

As its distinctive mission, the Chief Lending Officer Department performs activities of credit risk taking and operational monitoring of credit quality, giving guidance and support to the network in credit activities, directly managing impaired loans, including financial restructuring transactions, and monitoring the impacts of various credit transactions on the cost of credit.

The Chief Lending Officer Department includes the Performing Loans Department, focused on the management of performing exposures, non-performing past due exposures and unlikely to pay positions - under the monitoring of the sales network, and the Non-Performing Network Department which is responsible for the management of exposures that have been or are currently being restructured, higher risk unlikely to pay loans and bad loans. The Performing Loans Department includes:

- the Loan Disbursement Area, which comprises the Local Market Disbursement Function and the Specialised Corporate Disbursement Function, is responsible for generating, by exercising its independent resolution authority, a flow of loans consistent with credit policies and proceeding with the appropriate reclassifications, while guaranteeing efficiency by reducing customer response times;
- the High Risk Area, which monitors default detection and impairment indicators in order to enact the process of applying forbearance and/or reclassification measures through the High Risk Resolutions function and coordinate measures aimed at resolving credit problems through the Credit Process Quality function (Business Control Unit);
- the Major Risk Staff, which defines and retains on an on-going basis the most relevant Groups of Connected Customers and ensures fulfilment of the requirements set forth for the control of the process for the management of Connected Borrowers;
- the Local Credit Areas which, within the scope of their levels of authority, develop credit flows, in compliance with the applicable policies, and monitor the quality of credit.

The Non-Performing Loan Department, on the other hand, is responsible for impaired loans. This Department consists of four Areas:

- the Restructured Loans and Problem Assets Area, which works on managing loans with some critical issues that can be resolved through restructuring, by directly managing the Group's restructured transactions and those undergoing Group's restructuring; the Distressed Credit Risk Area which, through the Mid Ticket service which heads up the Distressed Credit Risk and the Big Ticket Service Departmental Sectors, ensures the correct screening of positions classified as unlikely to pay with "distressed credit risk" with a view to maximising the reduction of the stock under management from the perspective of costs and timing, through actions aimed at the reduction of exposures and/or reinstatements to a performing status;
- the Debt Collection Area which pursues the mission of protecting, for judicial and out-of-court collection purposes, credit claims against counterparties in doubtful status, with the view of maximising



the impact, in economic terms, through a value increase of the guarantees during enforcement and a reduction in collection times;

- the Non-performing Loans - Small Ticket Area, which implements management policies for the protection of credit on counterparties classified as unlikely to pay and with an exposure below EUR 0.15 mln, by using primarily external collection agencies, except in particular cases that require a direct management (pledge enforcements, underwriting syndicates and customer claims).

Furthermore, the following structure reports to the Non-Performing Loans Department:

- the Specialised Support and Non-Performing Loan Quality Service, which plays an advisory and support role for more complex positions, conducts monitoring, reporting and controls on non-performing loans (Business Control Unit) and “sets up” structured credit asset derecognition transactions; Continuing on from 2018 and consistent with the strategic approach defined in the restructuring plan, the core purpose of this function is the achievement of the target objectives of deleveraging the portfolio classified as unlikely to pay, through several disposal methods, both in cash and stock for stock (disposal of credit assets upon acquisition of investor fund units).

The Chief Lending Officer (CLO) also relies on another two functions reporting directly to him:

- the Credit Portfolio Governance Area which oversees the lending information base on a unitary basis and develops machine learning approaches, defines lending operational and management strategies, both ordinary (credit policies) and of an extraordinary nature (disposal of portfolios); the Function also carries out support operations/activities such as accounts payable, document management, operational requirements on disposed loans and management of collateralisable bank assets;
- the Credit Control Unit Service, the function responsible for supporting the CLO in monitoring, supervision and management reporting activities, on key performance indicators (KPI), as well as key risk indicators (KRI), in addition to overseeing the analytical write-down calculation process, acting as an interface between the CLO Department and the various control functions inside and outside the Group. This Function coordinates and directs the control and/or monitoring activities of the Business Control Units, within the scope of the Controls Committee established in 2019, under the responsibility of the Chief Lending Officer Department.

2.2 Management, measurement and control systems

Starting in 2008, statistical models aimed at creating the Internal Rating Model and rating assignment processes were authorised by the Supervisory Authority for the calculation of capital requirements using the Advanced IRB approach (AIRB).

Those subjects who did not obtain authorisation for an Internal Rating Model, must comply with prudential regulations for the identification of the respective Risk Weight, according to the standard model.

The prudential regulation requires the Group to adopt the following credit risk measures needed to calculate regulatory capital (AIRB approach): Probability of Default (PD), Loss Given Default (LGD), and Exposure At Default (EAD). The “Probability of Default”, which is a reflection of the borrower’s rating, represents its ability to meet obligations assumed over a time horizon of one year. Thus, a rating is a probability-based approach to risk assessment, and represents a projection of portfolio quality that forms a part of daily processes of credit facility assessment, loan management and pricing, as well as of the procedures used to determine loan loss provisions and reports used by management.

The counterparty risk, which corresponds to special cases of credit risk, is substantially the risk that the counterparty of a transaction concerning certain financial instruments such as derivatives, Security Financial Transactions (SFT) and Long Settlement Transactions - LST) becomes insolvent before the transaction is settled. In determining the level of Supervisory Capital, according to prudential regulations, the Group determines the contribution of the counterparty risk, using for the determination of the EAD the method of the “market value” and “volatility adjustments”, respectively for the positions in derivatives and LST, and for SFT transactions. For the subjects of the corporate retail portfolio, the Group adopts the IRB approach for the identification of PD and LGD levels, whereas for the remaining part of the portfolio, it identifies the risk weight levels according to the standard model.



The statutory adoption of risk criteria has made it possible for the Group to obtain significant operational advantages, both in terms of a higher accuracy in budgeting forecasts of the credit risk and counterparty risk cases, in terms of a more effective monitoring of credit aggregates. Based on the risk criteria, the Group sets the process for the yearly budgeting of credit items and makes accurate and sustainable forecasts in relation to the loan book, unlikely to pay and bad loan flows and loan-loss provisions.

Forecast sustainability, as regards credit risk, is ensured by the definition of concrete loan book actions which are communicated to the outlying networks through an internal regulatory document as well as by amending the credit disbursement and management processes and criteria.

The sustainability of the estimates related to counterparty risk cases is ensured through a process for the definition and monitoring of the operational limits assigned to the reference business units.

All credit processes use the borrower rating as a decision-making driver, and they are defined as a function of the specific nature of various customer segments in order to optimise the use of resources employed in loan management/monitoring and to achieve the right balance between the push for sales and an effective loan management system. The internal rating system, which affects corporate and retail portfolios, is based on the development of several statistical models specialised by customer type with the aim of assigning a solvency rating for prospective borrowers (first-time lending models based on financial and demographic information taken from outside databases) and for existing borrowers (for which behavioural models have also been used, which incorporate internal performance data).

In order to increase efficiency levels in managing internal ratings, the Internal Rating Agencies operating in local areas have become the single point of reference for all units on rating issues. The role of the Rating Agencies allows for a closer interaction with the Network to make assistance more effective, generate more synergies and enable a more efficient transfer of knowledge.

With regard to Credit risk in particular, the Group has defined a macro-economic regression model to estimate the variations in the PD as a function of changes in the main credit drivers. Credit drivers which significantly describe PD variations are identified beforehand. On the basis of the regression model, credit driver disturbances are then estimated according to the current and prospective economic situation. The shock applied to the credit drivers determines the change in credit portfolio PD, triggering the simulation of a hypothetical counterparty downgrading, with consequent risk variations in terms of Expected Loss, Unexpected Loss and input from new Defaults.

2.3 Methods to measure expected losses

Credit risk is analysed in-house for management purposes using the Credit Portfolio Model, which was developed internally by the Parent Company and produces detailed outputs in the form of traditional risk measures such as Expected Loss, Unexpected Loss, both management (intra-risk diversified with a representative period of one year and a confidence interval calibrated to the target rating assigned to the Group) and regulatory. Several inputs are considered: probability of default (PD), obtained through validated and non-validated models, LGD rates (management and regulatory), number and types of guarantees supporting the individual credit facilities, regulatory and management CCF on the basis of which the regulatory and management EAD are estimated respectively.

The internal PD, LGD and EAD models for risk measurement are one of the main elements of assessment for all Group units involved in the credit industry, both at Head Office level (Risk Management, Credit Department, Chief Financial Officer, General Management, Risk Committee, Board of Directors) and at branch level (Rating agencies and Relationship Managers). The Group is currently authorised to use the Advanced Internal Rating Based (AIRB) models to determine capital requirements against credit risk, according to PD and LGD parameters, on business portfolios and retail exposures of the Parent Company, MPS Capital Services and MPS Leasing & Factoring, and is waiting for validation, on these counterparties, of the EAD parameter.

The development of the internal rating systems involved the adoption of strict and advanced statistical methodologies in compliance with the requirements set out in the regulations; at the same time, models were selected in such a way as to make results consistent with the historical experience of the Group in credit management. Lastly, in order to optimise the proper use of these new instruments, the rating models were shared with a top-down approach – from Risk Management down to individual client managers. Estimation of the LGD model was based on internal data relative to capital flows, recoveries and expenses actually incurred on positions



transferred to the bad loan portfolio. Results obtained from model application were then compared with data recorded by the Workout Area which is dedicated to the management and recovery of non-performing loans.

The main characteristics of the advanced rating systems are as follows:

- for all validated regulatory portfolios, the rating is calculated with a counterparty-based approach for each individual borrower, in line with the accepted management practice which provides for the assessment of credit risk, both in the disbursement and monitoring phases;
- each individual counterparty is assigned a single rating at banking Group level, based on the set of information pertaining to all lending banks within the AIRB scope; the LGD is different for each company given the diversity of products issued and the type of customers to whom they are offered;
- the rating model segmentation is defined in such a way as to make the individual model clusters consistent with commercial objectives, credit processes and regulatory portfolios set out in the regulations;
- the calculation of the final rating is differentiated by type of counterparty. The credit process envisages a level of in-depth analysis proportional to counterparty risk: the assessment of loan disbursements is based on a complex multi-level structure for medium-large corporate counterparties, whose exposure and concentration risks are higher, and a simplified structure for Small Business and Retail clients;
- in line with this process, the final rating for medium-large corporations is the result of a number of different factors: statistical rating, qualitative rating, overrides and valuation of the 'economic group' which businesses belong to; for Small Business and Retail counterparties the rating is calculated only on the basis of statistical factors;
- the rating has a 12-month internal validity period and is usually reviewed on a yearly basis, except for rating reviews following well-structured codified practices or that are brought forward on client managers' request or following serious counterparty deterioration;
- LGD reflects the economic (and not only the accounting) loss incurred; for this reason, LGD estimates must also include the costs incurred for the recovery process and a time factor;
- loss given default is differentiated by type of loans and a LGD value is assigned at the level of each individual transaction; it is differentiated by geographical area since historical and current recovery rates are different among Northern Italy, Central and Southern Italy and Islands;
- loss on defaulted positions other than bad loans is estimated with a Cure Rate approach. With regard to counterparties whose exposures are administratively classified as unlikely to pay and non-performing past due, the percentage of exposures reverting back to a performing status was calculated and used to adjust the estimated LGD, starting from doubtful loans.

The Group has adopted a single Master Scale for all types of exposures; this enables all units involved in credit management to immediately compare the risk level associated with different counterparties or portfolios; furthermore, the probabilities of default of internal rating classes were mapped against Standard&Poor's external rating scale so as to make internal risk measurements comparable to those available on the financial market.

The development and monitoring of rating systems has been functionally assigned to Risk Management and is subject to control by the Internal Validation and Internal Control functions.

The Group has used PD, LGD and EAD parameters, estimated for regulatory purposes to calculate Risk Weighted Assets, also for other operational and internal management purposes. These provide the basis of calculation for different systems of measurement and monitoring, and specifically for the:

- measurement of economic and regulatory capital for credit risk;
- calculation of risk-adjusted performance and measurement of value creation;
- risk-adjusted pricing processes;
- credit direction processes;
- across all credit processes (disbursement, review, management and follow-up) which are fully "engineered" in the Electronic Loan File application (it. Pratica Elettronica di Fido or PEF), under which the borrower's rating is the result of a process which evaluates - in a transparent, structured and consistent manner - all the economic-financial, behavioural and qualitative information regarding customers with whom the bank has credit risk exposures.

To calculate the expected losses as required by IFRS 9, specific adjustments must be made to the aforementioned parameters, including in particular:

- adoption of a Point in Time (PIT) PD against the Through the Cycle (TTC) PD used for Basel purposes;



- elimination of certain additional components from LGD, such as indirect costs (non-recurring costs) and the component linked to the adverse economic cycle (or “downturn”); as well as to reflect the most current recovery rates (PTT), expectations about future trends (forward-looking) and the inclusion of any recovery fees if collection is assigned to a third party;
- use of multi-year PDs and, where necessary, LGDs in order to determine the expected loss for the entire residual life of the financial instrument (stages 2 and 3);
- use of the effective interest rate of the individual transaction in the process of discounting expected future cash flows, as opposed to that which is set forth in regulatory models, in which individual cash flows are discounted using rates determined in accordance with prudential regulations.

For additional details on the methods to determine impairment losses under IFRS 9, definition of default and the methods used by the Group to classify financial assets among non-performing assets, see the paragraph “Methods for calculating impairment on IFRS 9 financial instruments” of Part A “Accounting Policies”, as well as the paragraph below “Non-performing loans” of these Notes to the consolidated financial statements.

No changes during the year were made to the estimation techniques or to the significant assumptions underlying the calculation procedures for regulatory expected credit losses, whereas, as regards changes to the methods for determining the expected credit losses recognised in the financial statements (see Part A “Accounting policies” of these Notes to the consolidated financial statements).

Finally, in 2020, the Group will update the AIRB models (estimates and calibration) based on the new definition of “default”. Within this context, in estimating the LGD parameter, it will apply the right to offset the impact of the disposal of defaulted exposure on a large scale, carried out starting from September 2018, up to the difference between the average LGD of non-performing exposure, not definitively settled, and average LGD calculated including the impact on sales on a large scale. To this regard, please note that the disposal on a large scale of defaulted exposures, carried out since September 2018, have exceeded the 20% threshold provided for in CRR art. 500 for the correction of the LGD calculation.

Scenarios

In compliance with the provisions of IFRS 9, based on which the ECL estimate must result from the weighting of a range of possible forward-looking scenarios (“probability weighted”), the impairment model provides for the use of baseline scenarios, i.e. the use of the scenario that is believed to be most likely, together with the best and worst scenarios, with a probability of occurrence assigned to each of them.

The scenarios are provided by an external supplier and are approved by the Board of Directors. The baseline scenario is also adopted in other processes of the Group that use forward looking elements such as the Risk Appetite Framework (RAF), Recovery Plan, budget, forecast, impairment tests of goodwill and investments, and finally tests for DTA recovery.

The scenarios contain macro-economic variables based on a three-year period and are updated at least once a year at the time of preparation of the financial statements and every time the latest baseline scenario, made available by the external supplier, shows, compared with the one already in use, a net cumulated difference of the GDP, over a 3-year period, greater than or equal to 0.5%, in absolute value. The scenarios differentiate based on different degrees of favourable/adverse conditions for economic development and growth. In order to estimate the ECL, the most likely scenario (baseline) and two alternative scenarios (worst/best) were taken into consideration to represent the tail outcomes of the scenarios. The probability of the scenarios is calculated internally, based on the percentile of occurrence assigned by the external supplier. To this end, it should be noted that the Group has assigned a 55% probability to the baseline scenario, a 23% and 22% probability to the worst and best scenarios, respectively. For more details about the inclusion of forward-looking information in the impairment model of the Group, see Part A of these Notes to the consolidated financial statements, chapter Use of estimates and assumptions when preparing financial statements - Methods for calculating impairment on IFRS 9 financial instruments.

Following is information on the average values of the main macro-economic and financial indicators used in the baseline, best and worst scenarios for the three-year period 2020-2022. The GDP is the variable that has the greatest impact on the cost of credit and is therefore the representative variable that drives all the others: the average value within the reference time frame, for the baseline scenario, is 0.74%. Within the same scenario, the real estate price index stands at 1.21% and 1.35% for residential and non-residential properties, respectively. Unemployment rate is forecast at an average 9.7% for the period. The forecast concerning the consumer price index shows an average value of 1.09%.



Macroeconomics variables	Worts Scenario	Baseline Scenario	Best Scenario
PIL (constant price 2010)	0.14%	0.74%	1.34%
Index Price of Italian Residential properties (base 2015=100)	-0.01%	1.21%	1.92%
Index Price of Italian Non-Residential properties (base 2015=100)	0.06%	1.35%	2.20%
Unemployment rate	10.77%	9.70%	8.75%
Consume price index	1.00%	1.09%	1.30%

The estimates of the forward-looking best and worst scenarios compared with the baseline scenario, show the following differences: the average variation in the three year period in the two extreme scenarios compared with the baseline, stands respectively for the GDP, the price of residential and non-residential properties, the unemployment rate and the consumer price index at: -60 bps, -122 bps, -129 bps, +107 bps and -9 bps for the worst scenario and +60 bps, +71 bps, +85 bps, -95 bps and +21 bps for the best scenario.

The following table shows the sensitivity for the main credit portfolios of the Group consisting of cash loans to customers, belonging to the corporate and retail segments of the 4 banks (Banca MPS, MPS Capital Services, MPS Leasing & Factoring and Widiba) net of the credits classified in the portfolio of non-current assets and discontinued operations. The analysis shows the impact from each level of risk on gross exposures, on the adjustments and on the coverage ratio in the cases where a weight equal to 100% of the baseline, worst and best scenarios, respectively, is used instead of the scenario defined as weighted - i.e. based on different weights that the Group has attributed to each scenario - used by the Group for estimating the level of risk and valuation adjustments as at 31 December 2019.



	Scenario (Delta in €/mln)			
	Weighting	Worst	Baseline	Best
STAGE 1 Gross Exposure	59,469.50	-192.53	5.38	165.19
of which CORPORATE	31,090.27	-185.16	5.11	156.00
of which RETAIL	28,379.24	-7.36	0.27	9.19
STAGE 1 Value adjustments	57.24	0.93	-0.77	-2.60
of which CORPORATE	46.89	0.70	-0.34	-1.56
of which RETAIL	10.35	0.23	-0.43	-1.04
STAGE 1 coverage ratio (%)	0.096%	0.002%	-0.001%	-0.005%
of which CORPORATE	0.151%	0.003%	-0.001%	-0.006%
of which RETAIL	0.036%	0.001%	-0.002%	-0.004%
STAGE 2 Gross Exposure	11,678.79	192.53	-5.38	-165.19
of which CORPORATE	10,021.32	185.16	-5.11	-156.00
of which RETAIL	1,657.47	7.36	-0.27	-9.19
STAGE 2 Value adjustments	388.22	19.65	-4.14	-26.28
of which CORPORATE	343.15	16.97	-3.25	-22.23
of which RETAIL	45.07	2.68	-0.89	-4.05
STAGE 2 coverage ratio (%)	3.324%	0.112%	-0.034%	-0.181%
of which CORPORATE	3.424%	0.104%	-0.031%	-0.171%
of which RETAIL	2.719%	0.149%	-0.053%	-0.231%
STAGE 3 Gross Exposure	10,547.63	0.00	0.00	0.00
of which CORPORATE	8,520.42	0.00	0.00	0.00
of which RETAIL	2,027.21	0.00	0.00	0.00
STAGE 3 Value adjustments	4,938.14	98.33	2.40	-96.93
of which CORPORATE	4,392.64	67.98	3.82	-68.94
of which RETAIL	545.50	30.35	-1.42	-28.00
STAGE 3 coverage ratio (%)	46.818%	0.932%	0.023%	-0.919%
of which CORPORATE	51.554%	0.798%	0.045%	-0.809%
of which RETAIL	26.909%	1.497%	-0.070%	-1.381%
TOTAL Value Adjustments	5,383.60	118.91	-2.51	-125.82
of which CORPORATE	4,782.68	85.65	0.23	-92.73
of which RETAIL	600.92	33.26	-2.74	-33.08

As regards particularly the valuation adjustments, to be noted is the substantial symmetry of the differences in the worst and best scenarios compared with the baseline scenario, in line with the previous observations concerning changes in the average GDP value over the three-year period 2020-2022.



2.4 Credit risk mitigation techniques

With reference to the retail and corporate loan portfolio, the Group does not apply any netting processes to the credit risk exposures with on- or off-balance sheet items with opposite sign. The Group adopts policies to reduce counterparty risk with institutional counterparties, by entering into netting agreements according to the international ISDA and ISMA standards and related collateral agreements for both derivatives and repos (repurchase agreements).

The main forms of real guarantees for credit protection used by the Group include pledges, mortgages and other collateral (insurance, guarantee funds).

As at today, the pledge of sums and the pledge of securities and mutual funds deposited with the Parent Company and mortgages on properties account for essentially all of the nominal amount of collateral received and all of them ensure full compliance with regulatory/legal/organisational requirements set out by the Supervisory Regulations for the enforcement of credit risk mitigation standards.

The Group has developed one single process for the acquisition of collaterals which is at the same time a working instrument and the expression of the Group's management policies. The management of collateral is activated after loan disbursement is approved and its process is organised into a number of different stages:

- acquisition (including multiple acquisition): the controls of (formal and amount) consistency with the guarantees proposed during the authorisation phase are performed in this stage;
- adjustment/change/amendment: useful to amend the characteristics of a guarantee without interrupting loan protection;
- query: gives information about the present data and the historical trend of guarantees received;
- repayment/cancellation.

If the measures for monitoring collaterals on loans show operational irregularities during the acquisition phase or any inadequacies/losses of the values received as a pledge, events falling within the scope of credit monitoring policies are put in place, which trigger operational obligations of credit risk assessment.

The Group uses different instruments to protect loans which can be summarised in the following categories:

- Guarantees (including omnibus guarantees and personal guarantees given by third parties);
- Endorsement;
- Guarantee policy;
- Credit mandate;
- Strong/binding patronage letter;
- Negotiable instruments;
- Performance bond agreement;
- Debt delegation;
- Expromission;
- Assumption of debt;
- Personal Collateral governed by foreign law;
- Credit derivatives:
 - credit default swaps;
 - total return swaps;
 - credit linked notes.

The main parties issuing the above credit-protection guarantee instruments are:

- Sovereign governments and central banks;
- Public sector and local agencies;
- Multilateral development banks;
- Regulated intermediaries;
- Guarantee institutions (Confidi);
- Companies and individuals.

Nearly all personal guarantees are traceable to companies and individuals as guarantors. Only to a limited portion of these customers can an internal rating be assigned, since these guarantors are not borrowers of Group companies.



The main concentration of collaterals is linked with retail mortgage loans. However, it cannot be referred to as risk concentration by virtue of the principle of risk fragmentation which is implicit in this type of customers.

More generally, as regards mortgage collateral, an IT platform integrated within the Parent Company's systems has been introduced which is used to automatically transfer information about the property acquired from appraisers directly to those systems. The platform automatically updates all of the Parent Company's loan management applications and digitally archives the appraiser's documentation. It is also capable of standardising the set of information provided.

Appraisers are selected based on an individual analysis of their abilities, professional skill and experience, and are placed on a dedicated list of accredited professionals; their work is monitored continuously, including by checking any divergence between surveyed values and benchmark market data. Appraisers are required to prepare their estimates using valuation methods consistent with the Italian Banking Association's Guidelines for the appraisal of properties backing credit exposures.

For the phase of monitoring the assets pledged, the Group has a policy establishing the amounts of the secured exposure and the age of the appraisal, beyond which the properties are appraised again. For exposures lower than the thresholds defined, the Group in any event conducts half-yearly monitoring of the property value based on market data.

Moreover, in order to guarantee eligibility of the guarantees in the Credit Risk Mitigation process, a specific function within the Chief Lending Officer Department activates reappraisal processes when materiality thresholds are exceeded, processes that are consistent with the policy guidelines, with particular reference to the criteria for the age of the appraisal, exposure values and deviations from geo-referenced assessments.

The disbursement of loans secured by collaterals is subject to specific control measures, differentiated by type of guarantee pledged, which are applied during the phase of disbursement and monitoring.

The general requirements for ensuring the legal certainty and enforceability of guarantees are verified by checking compliance with the following relevant conditions:

- binding nature of the legal obligation entered into by the parties and enforceability in the event of legal proceedings;
- documented evidence and enforceability of the instrument against third parties in all relevant jurisdictions for the purpose of its exercise and execution;
- timely liquidation in case of non-fulfilment;
- compliance with organisational requirements.

With reference to compliance with organisational requirements, mitigation of risk is ensured by:

- the presence of an IT system in support of the life cycle phases of the guarantees (acquisition, valuation, management, re-valuation and enforcement);
- the existence of regulated policies for the management of guarantees (principles, practices, processes), available to all users.

The presence of collateral or personal guarantees is reflected in the quantification of Expected Credit Losses (ECLs) of the financial statements. With regard to collective valuations, the main "transmission" channel is the Loss Given Default (LGD), one of the input parameters used for valuations: for this purpose, each exposure is divided into tranches, determined according to the different types of collateral that back the exposure and a specific LGD is calculated for each tranche.

With regard to analytical valuations, the presence and updating of the value of collateral is directly reflected in the case of a gone concern valuation approach, applied, beyond certain amount thresholds, to all bad loans and probable defaults in which the going concern scenario is excluded, but also indirectly in a going concern scenario where the change in the value of the company's real estate assets may also impact historic and expected income flows. In the gone concern approach, specific haircuts are applied, calculated within historic series of the Group which contain the results of contracts awarded in real estate execution.

The system of controls set up to monitor impairment processes guarantees the substantial absence of cases relating to financial instruments for which no provision has been made to cover losses due to the collateral.



3. Non-performing loans

3.1 Management strategies and policies

Non-performing financial assets include loans which, following the occurrence of events subsequent to their disbursement, show objective evidence of a possible loss in value.

Non-performing exposures (e.g. bad loans, unlikely to pay and non-performing past due; together, non-performing exposures) are classified into different risk categories in accordance with the regulations issued by the Bank of Italy, supplemented with internal provisions which set automatic criteria and rules for the transfer of receivables between different risk categories. In particular, classification is carried out by bodies within the loan decision-making chain based on a process that provides for a series of codified controls aiming to guarantee proper asset classification, except for loans more than 90 days past due, which are measured using automated procedures. To activate the controls, default detection parameters have been integrated within the Group's business procedures (Credit Monitoring) so as to subject the most critical positions to assessment, including for any reclassification if required.

In 2019, the procedure for the automatic default reclassification of the counterparties impacted by the application of binding reclassification parameters was issued and the screening triggers of the High Risk portfolio were strengthened, extending it to the customers with a D2 rating and to those with D1 and C3 ratings, within the construction sector, in addition to having strengthened the screening related to the application of financial statement classification parameters (negative EBITDA, negative net equity, etc.) in order to stabilise the high risk classification as long as the afore-mentioned financial statement triggers are not exceeded. The Group's procedures also manage the phases for transfer to non-performing categories, in particular forborne positions. A "forborne exposure" (as defined in Bank of Italy circular 272) is a debt agreement for which measures of tolerance have been applied (otherwise identifiable as "forbearance measures"). The measures of tolerance consist of concessions - in terms of the amendment and/or refinancing of the pre-existing debt agreement - to the borrower who has or is on the verge of having difficulty in meeting its financial commitments (in other words, the borrower is in financial difficulty).

Forborne exposures are broken down into:

- non performing exposures with forbearance measures, pursuant to the Implementing Technical Standards (ITS) issued by the EBA. These exposures represent a sub-category of, depending on the case, bad loans, unlikely to pay or non-performing past due; therefore, they do not make up their own category of non-performing exposures;
- forborne performing exposures, pursuant to the ITS.

If a new credit facility or a change in a credit line which amounts to a forbearance is requested, the manager is asked to evaluate the counterparty's financial difficulties. With support from the procedure, the manager establishes whether the borrower is in financial difficulty and how severe it is. If the financial difficulties are deemed to be serious, the manager should decide, in addition to the forbearance, on whether to change the counterparty's classification from performing to unlikely to pay position.

Positions are classified into the various categories of non-performing assets at the proposal of the regional network responsible for the commercial relationship as well as peripheral and central specialised functions responsible for loan control and management.

Continuing on from 2019, the High Risk function has pursued a credit strategy aimed at the proposal of forbearance measures, i.e. tailor made, that are sustainable as regards the financial requirements of the counterparty in difficulty, privileging solutions of contractual changes that commit the customers to make their payments in the short term versus debt moratorium measures.

For non-performing past due loans, classification as non-performing takes place via automatic procedures if specific objective conditions of default have been satisfied.

Non-performing exposures are returned to performing status at the initiative of the above-mentioned structures responsible for loan control and management, after it is verified that the critical conditions and state of insolvency during the cure period no longer apply. Non-performing past due loans are returned to performing automatically when the exposure is paid up.

Active management of loans begins at the first signs of impairment, with the support of the Credit Monitoring procedure, which first identifies non-performing positions (Intercept phase) and subsequently routes them to dedicated management processes (Routing phase). More specifically:



• Screening phase: identification of high insolvency risk positions

Ordinary-risk positions are scanned by a 'screening' engine which selects the highest-risk positions on a weekly basis, so as to identify the counterparties bound to become insolvent at a sufficiently early stage. Screening is based on a "performance risk indicator" (it.: "indicatore di rischio andamentale", IRA) which summarises a set of critical elements including the worsening of leading indicators, ratings, information on related counterparties and days past due.

• Routing phase: customer-type differentiated treatment of positions

This choice was based on the need for differentiating, even during the management approach phase, the processes by customer segment, in accordance with the customer service models, which envisage that a corporate client cannot be treated in the same way as a retail client and that specific client management needs should be met with 'ad hoc' processes. Ordinary-risk positions, reported as higher risk by the 'screening' engine, are routed to specific processing queues depending on the type of customer and credit facility involved:

1. 'Mass Retail' procedure, dedicated to Retail clients for which it is possible to activate mass debt collection;
2. 'Standard Retail' procedure, dedicated to the remaining Retail customers with more limited exposures and small-sized businesses with limited exposure;
3. A dedicated Corporate procedure for corporate customers.

As regards assessment, bad loans and unlikely to pay positions with a gross exposure exceeding a given threshold value (currently EUR 1 mln) are valued analytically. For all remaining non-performing exposures, the valuation is carried out statistically on the basis of parameters determined by Risk Management.

The evaluation is carried out at the time of their classification, when significant events take place, such as the shift of the counterparty towards another decision-making chain and, in any event, reviewed periodically. In particular, the loan valuation is subject to review any time knowledge is gained of significant events that could change prospects for recovery. For such events to be promptly taken into consideration, all borrower information is periodically monitored.

In 2019, the formulation of the Group NPE Strategy, in line with the Risk Appetite Framework, has allowed bringing the Gross NPL Ratio to 12.4%, bringing forward the achievement of the objectives set up in the Restructuring Plan that indicated 12.9% as a target for 2021. For the achievement of this result, the contracting of disposal transactions, without recourse, for a total EUR 4.3 bn of impaired loans (a datum inclusive of EUR 710 mln of assets already held for disposal in the previous financial statements), was instrumental. A little less than 65% of the afore-mentioned disposals have involved exposures classified as bad loans.

Annual objectives have also been achieved and exceeded regarding both ordinary destocking (collections, balances on accounts and partial payment write-offs) and performing restatements (back to bonis).

The NPE Strategy provides, also for 2020, for a strong commitment to the reduction of the non-performing loans, not only by strengthening the processes for the monitoring of the calendar of forborne exposures toward a back to bonis classification, but also by specialising the operational paths and segmenting the portfolio with the various operators in order to increase the efficacy of the out of court strategies (balances on account and write-offs, conversions, single name disposals) and in-court strategies aimed at deleveraging the exposure. The reintegration of the resources previously allocated in the Juliet platform will enable the reinforcement of said specialisation.

3.2 Write-off

Accounting for total and/or partial write-offs is done upon ascertainment that the credit is non-recoverable, namely when there are no realistic recovery prospects.

The assumptions underlying an unrealistic assessment of recoverability, in relation to which it is considered appropriate to abandon interruption of the limitation period, occur when the composition, bankruptcy, enforcement and even inheritance procedures have come to an end, together with the absence of joint owners or guarantors to be enforced, as well as in cases of documentary verification of impossible and/or infeasible recovery from debtors/guarantors and, lastly, upon conclusion of out-of-court settlements.

The control process aimed at identifying the lack of realistic recovery prospects focuses on the counterparties with a given coverage level as well as a certain vintage.

At the reporting date, the exposures subject to a total write-off relating to counterparties for which enforcement procedures (insolvency and/or executive) are still in progress, amount to approximately EUR 37 mln, based on operational data, of which approximately EUR 1.7 mln refer to credit facilities that were cancelled in 2019.



3.3 Purchased or originated impaired financial assets

The purchased or originated financial assets (POCI) include financial instruments, acquired or originated, which were already credit impaired at their initial recognition, that is, they showed some signs of impairment in credit quality.

The accounting rules relating to POCIs apply to financial instruments measured at amortised cost or at fair value through other comprehensive income; that is, SPPI-compliant financial instruments in the HTC and HTC&S business models. For further details on the accounting treatment of this type of financial asset, refer to the paragraph “Purchased or originated credit-impaired (POCI) financial assets” in Part A of the Notes to the financial statements - “Accounting policies”.

The Group includes the following cases as POCI financial assets. In particular, the first two refer to “Originated credit-impaired financial assets (OCI)” where the others to “Purchased credit-impaired financial assets (PCI)”.

1. substantial changes to the loans (other than those that result in failure of the SPPI test), agreed with non-performing customers, to which derecognition accounting is applied, in accordance with accounting policy;
2. new credit facility to a non-performing counterparty;
3. acquisition of a portfolio of non-performing loans as part of business combinations;
4. purchase of individual financial instruments.

Originated credit-impaired financial assets are identified as part of the lending procedure. Specifically, the PEF application used by the Credit function was appropriately supplemented for certain specific purposes of the credit facility: their selection and the presence of a non-performing status for the counterparty result in an “OCI flag” being raised on a single loan line. This reporting is passed on to summary systems for the necessary measurements, both for amortised cost as well as impairment.

For purchased credit-impaired financial assets, the event is processed by the respective business functions and reported through appropriate reporting systems to management.

The credit risk measurement, management, and control systems for these financial assets envisage, firstly, the definition of the estimated plan, that is, the contractual plan adjusted for expected credit losses. The latter is prepared by the Risk Management function or the Credit function, which, based on the forecasts, may also review it during the life of the credit transaction. This plan is used to calculate CEIR (credit-adjusted effective interest rate), that is, the rate that equates the present value of expected cash flows to the fair value at initial recognition in financial statements.

Based on the contractual plan, the operational services are also calculated including:

- outstandings on the estimated plan, by comparing contractual outstandings and the cash flows effectively expected by the estimated plan (these outstandings are, in fact, a component used in the impairment calculation for POCI instruments);
- adjustments to CEIR that allow contractual interest due, recorded by the various operational services, to be applied to the effective interest at the CEIR calculated in the estimated plan.

Credit risk is monitored on a monthly basis: information on contractual outstandings and outstandings on estimated cash flows are summarised in a report used by the various functions for the resulting measurements.

At the reporting date, the Group’s POCI portfolio was almost entirely comprised of new loans (OCI) made to customers who were already non-performing and identified upon first application of IFRS 9. The following were added in 2019: i) a new relationship subject to repurchase for a gross exposure of EUR 4.5 mln and ii) four new OCI transactions for a gross total exposure of EUR 2.1 mln.

With regard to the OCI transactions, compared to a Group portfolio of EUR 42 mln in net exposure, about 33% of the lines, which account for 3.3% of the total amounts, are classified as bad loans; as regards the transactions classified as unlikely to pay, which represent 68.2% of the total exposure, about 41% show overruns from the agreed upon amounts. Furthermore, some relationships were readmitted to performing status, which represent just under 28.5% of the total exposures reported. As regards impairment, except for performing relationships valued through a statistical-collective method, it is determined, in 86% of the cases, according to the gone concern method (guarantees enforcement), while the remaining 14% is valued according to a going concern approach.



The Group's OCI portfolio as at 31 December 2019 has an average life of 6.6 years.

As at 31 December 2019, a total net impairment of EUR 6.7 mln was recognised for the relationships in questions.

Finally, it should be noted that the Group did not acquire, in 2019, any new non-performing financial assets, except for the acquisition, by the Parent Company, of an exposure already existing at the former subsidiary BMP Belgio S.A. (which was sold in June 2019).

4. Financial assets subject to commercial renegotiations and exposures subject to forbearance

Financial assets subject to commercial renegotiations

This category includes renegotiations of credit exposures - by changing the original contractual conditions - granted by the Group for commercial reasons to performing customers, with the objective of maintaining the relationship with the customer. The changes in question are divided into the two categories set out below, depending on the purposes and effects of the amended contracts agreed between the parties:

1. transactions that entail a change in the original payment schedule (re-scheduling), to the benefit of the borrower;
2. transactions that do not entail a change in the original payment schedule and that seek to adjust the debt burden to market conditions. These transactions result in a change in the original contract conditions, usually at the customer's request, that reference aspects associated with the debt burden.

Requests to reschedule the loan entail, in any event, the assessment of whether the customer is experiencing financial difficulties - in line with the preliminary review process for the loan - which is carried out based on predominantly objective assumptions to avoid errors in assigning the forborne classification and is also governed from a subjective/qualitative perspective by specific Group guidelines. During 2019, assessments of this type with a favourable outcome, that is, rescheduling operations in the absence of financial difficulty, were rare. The most common case regards medium/large corporate customers in good standing (or private customers, on an exceptional basis) - including as part of syndication transactions - who request a review of the average duration of the debt as part of a renewed business financial planning with respect to production decisions made. In these cases, having carefully assessed the absence of current and future financial difficulties, rescheduling requests may be granted, taking care in any case to verify their validity in terms of sustainability and advantages/profitability for the Group with respect to the original plans.

With reference to commercial renegotiations aimed at adjusting the debt burden to market conditions, note that during 2019, given the low market rates and the strategies adopted by other players in the banking system with regard to loans to businesses and households, there has been a considerable increase in requests from customers to amend the conditions applied. In this context, the Parent Company, with a view to customer retention, did not put forward mass initiatives for renegotiations, but assessed the requests received in each case. The number of requests was particularly significant in the residential mortgages sector, due to the possibility offered by the relative "portability"; the approach adopted by the Parent Company was to appropriately evaluate the requests, using qualitative/quantitative metrics (based both on the risk-adjusted profitability and the market benchmark, or the level of pricing expressed by the banking system), associated with commercial valuations, such as the expected benefits deriving from maintaining or achieving the reference status with the individual customer.



Forborne exposures

Forbearance measures are activated, both on the retail as well as corporate segment, when a financial criticality emerges that may impact the counterparty's capacity to satisfy their financial commitments in relation to debt repayment.

To determine the sustainable forbearance measure, it is essential to verify the impacts of financial difficulty compared to debt: the forbearance measure is only implemented if the aforementioned impacts are deemed as being possible to overcome through use of said forbearance measure.

The degree of financial difficulty in which the customer finds themselves (serious or not) must be identified in order to determine the measure (suspension of payments or mere rescheduling of debt) and to allow the measure to be credibly aimed at solving the customer's difficulty.

To reach this objective in the corporate world, an analysis of historic data is not sufficient. Forecast and medium to long-term strategy information on the company must also be obtained; at the individual level, it is essential to assess the instalment/income ratio, the employment situation and the future commitments of the household.

From a management standpoint, the Group's tendency is to reschedule the customer's commitments, in order to make them compatible with the aforementioned information and proceed with suspension of payments only in case of loss of employment or other serious financial difficulty of the customer. In this last case, along with application of the measure, the counterparty is classified as unlikely to pay.

The Group is evolving in the way it generates new forbearance measures, acquiring a specific product portfolio that provides for legal acts of recognition, rescheduling and amortisation of debt, both for retail and corporate customers, differentiating the offer according to the type of secured/unsecured loans being measured, the duration of rescheduling and the Loan-to-Value of mortgage loans.

In general, these same products also envisage that the rate used in forbearance does not exceed the original contractual rate.

The forborne performing measures at the beginning of 2019, of which 70% were secured positions and 19% of the total represented a significant component of moratorium forbearances, were classified under non-performing assets during the year for approximately 12% (in terms of gross exposure). Moreover, note that this stock in 25.5% of cases passed the probation period, returning to a status of fully performing. As at 31 December 2019, the forborne performing stock amounted to EUR 2.2 bn in gross exposure: the secured component showed a decrease compared to the figure recorded at the beginning of the year, standing at around 55%, and only in 2.6% of cases, did the stock show an overrun exceeding 30 days. This stock is comprised, for 22%, of new credit facilities granted during the year, while 28% represents exposures handled in 2018; the remaining 50% of this stock represents positions that continue in the probation period from the end of 2018.

The forborne non-performing stock, which has a total gross exposure of EUR 2.8 bn, not counting bad loans, of which 10% pertains to new production, is mainly characterised, for about 35%, by positions under restructuring, subject to specialist monitoring as part of the endorsed plans.

The non-restructuring component, mainly allocated to the anomalous risk segment and small ticket segment, has high overrun rates, as in most cases it inherits the non-performing measures originated in the performing status. The management objectives of these last two portfolios is to verify the conditions for further forbearance, or propose settlement and/or write-off measures as an alternative.

The new production of forbearance measures (both on performing as well as non-performing counterparties) amounts to EUR 770 mln.

In cases of forbearance resolutions on performing customers, based on operational data, it emerges that 7.4% of customers benefiting from a measure, were assessed as being in severe financial difficulty, making it necessary to proceed with the classification as non-performing.

Exposures on the order of about 15% of the initial forborne non-performing stock recognised at the end of 2018 were monitored in 2019.

The forbearance measures granted during the year generated a net loss from contractual changes without derecognition of EUR 4.3 mln in the income statement.

With specific reference to impairment, note that all forborne exposures other than non-performing are classified in stage 2 and are valued, similarly to the exposures in stage 3, for an amount equal to the expected losses throughout the life of the loan. Any decrease in credit risk and the resulting classification in stage 1 and



measurement of impairment for an amount equal to expected credit losses in the subsequent 12 months, is linked, in the absence of further indicators of significant increases in the risk of credit, to the return to the fully performing status of the exposure or to the loss of the forborne classification.

Quantitative Information

A. Credit quality

A.1 Non-performing and performing loans: amounts, value adjustments, changes, trend and breakdown by business sector

A.1.1 Prudential consolidation - Breakdown of financial assets by past due ranges (book values)

Portfolio/staging	Stage 1			Stage 2			Stage 3		
	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days	Up to 30 days	from 30 to 90 days	Over 90 days
1. Financial assets measured at amortised cost	400,837	57	-	312,645	172,826	231,710	77,910	84,739	4,485,363
2. Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-	-	-	-
3. Financial assets held for sale and discontinued operations	-	-	-	-	-	-	1	2	107,954
Total 31 12 2019	400,837	57	-	312,645	172,826	231,710	77,911	84,741	4,593,317
Total 31 12 2018	339,479	4,393	3,870	261,728	428,172	258,545	104,347	222,781	5,296,664



A.1.2 Prudential consolidation – Financial assets, commitments to disburse funds and financial guarantees given: changes in overall value adjustments and total allocations

	Total value adjustments										Provisions for credit risk relative to commitments to disburse funds and financial guarantees given									
	Stage 1 financial assets				Stage 2 financial assets				Stage 3 financial assets				Of which: impaired or originated financial assets							
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and discontinued operations	of which: specific write-downs	of which: portfolio adjustments	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and discontinued operations	of which: specific write-downs	of which: portfolio adjustments	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income	Financial assets held for sale and discontinued operations	of which: specific write-downs	of which: portfolio adjustments	Stage 1	Stage 2	Stage 3	Total	
Opening balance of overall adjustments	79,972	10,107	-	-	90,079	581,571	132	-	-	581,703	7,602,728	6,560	811,197	6,050,909	2,369,576	30,274	9,026	9,123	223,271	9,333,687
Increases from purchased or originated financial assets	5,796	1,447	-	-	7,243	14,804	464	-	-	15,267	1,439	-	-	1,439	-	1,439	495	808	712	25,965
Modification other than write-off	(4,539)	(5,951)	-	-	(10,490)	(59,656)	(110)	-	-	(59,767)	(2,820,478)	-	(594,444)	(1,982,453)	(1,432,469)	(7,257)	(955)	(1,472)	(7,350)	(3,494,955)
Impairment	(96,006)	(14)	-	-	(96,020)	(156,718)	(16)	-	-	(156,734)	893,736	4,578	48,905	160,632	786,587	6,142	(3,217)	(6,381)	(65,256)	619,611
Modification gains/losses	-	-	-	-	-	-	-	-	-	(63)	(956)	-	36	(674)	(246)	-	-	-	-	(983)
Change in evaluation methodology	854	-	-	-	854	377	-	-	-	377	(37,886)	-	-	(27,713)	(10,173)	82	-	-	-	(36,655)
Write-off	(5)	-	-	-	(5)	-	-	-	-	-	(186,286)	-	-	(126,248)	(60,038)	(184)	-	-	-	(186,291)
Others	85,988	(11)	-	-	85,976	30,305	274	-	-	30,579	(316,579)	-	147,140	(230,900)	61,461	(5,844)	1,835	6,647	(8,493)	(52,894)
Closing balance of overall adjustments	72,060	5,578	-	-	77,637	410,620	744	-	-	411,362	5,135,718	11,138	412,834	3,844,992	1,714,698	24,652	7,184	8,725	142,884	6,207,485
Recoveries from collections of financial assets subject to write-off	130	-	-	-	130	32	-	-	-	32	766	-	-	766	-	-	-	-	-	928
Write-off recognised through income statements	-	-	-	-	-	-	-	-	-	-	(137,289)	-	-	(137,289)	-	(829)	-	-	-	(137,289)



The provision for trade receivables, valued using the simplified method in accordance with IFRS 9, amounts to EUR 0.01 mln, in line with the figure at the beginning of the year.

For details on the calculation method adopted to determine impairment on financial assets, please refer to the paragraph “Methods for calculating impairment on IFRS 9 financial instruments” in Part A of these Notes to the consolidated financial statements.

In 2019, total impairment provisions posted a total reduction, compared with 1 January 2019, of EUR 3.1 bn - of which EUR 83 mln related to commitments to disburse funds and guarantees given - due almost entirely (EUR -2.9 bn) to financial assets measured at amortised cost classified in stage 3. In particular, with reference to this accounting portfolio and to the portfolio of assets held for disposal, the following elements contributed to this trend:

- reduction of provisions for “Derecognitions other than write-offs” of EUR 3.5 bn due to transactions for the disposal of non-performing loans of which EUR 2.4 bn to be attributed to bad loans and EUR 1.1. bn to unlikely to pay;
- reduction of provisions for “Write-offs” for EUR 0.2 bn. Note that the derecognitions not covered by the provision generated an impact of EUR 137.3 mln in the income statement;
- net increase of EUR 690.0 mln in the item “Net impairment (losses)/reversals for credit risk”. Financial assets included in stages 1 and 2 recorded a downward change of EUR 252.7 mln, due in part to the exercise of right to withdraw from the servicing agreement entered into with Juliet. The assets included in stage 3 show an increase of EUR 942.6 mln referring to the annual update of the risk parameters used for the collective/statistical valuation of non-performing loans below the threshold, to the downward revision of GDP growth estimates for 2019, incorporated into the forward-looking scenarios, as well as to the adjustment to the realizable values of the loans under disposal;
- net decrease of EUR 36.7 mln attributable to “Changes in estimation methodologies”, essentially referring to the change in the threshold used for statistical valuations of non-performing loans.

A.1.3 Prudential consolidation – Financial assets, commitments to disburse funds and financial guarantees given: transfers among the different stages of credit risk (gross and nominal values)

Portfolio/Staging	Gross value / nominal value					
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3	
	From Stage 1 to Stage 2	From Stage 2 to Stage 1	From Stage 2 to Stage 3	From Stage 3 to Stage 2	From Stage 1 to Stage 3	From Stage 3 to Stage 1
1. Financial assets measured at amortised cost	2,727,993	2,396,629	904,742	630,564	194,702	18,773
2. Financial assets measured at fair value through other comprehensive income	6,559	-	-	-	-	-
3. Financial assets held for sale and discontinued operations	-	-	-	-	-	-
4. Commitments to disburse funds and financial guarantees issued	858,443	709,742	131,184	184,996	21,037	55,717
Total 31 12 2019	3,592,995	3,106,371	1,035,926	815,560	215,739	74,490
Total 31 12 2018	2,843,740	4,458,278	1,513,101	722,945	324,274	60,368



A.1.4 Prudential consolidation – Balance sheet and off-balance sheet credit exposure to banks: net and gross values

31 12 2019

Portfolio/quality	Gross exposure		Portfolio adjustment	Net Exposures	Partial Write-off*
	Non-performing Exposures	Performing Exposures			
A. Balance-sheet exposure					
a) Bad loans	12,441	X	12,204	237	-
- of which forborne	-	X	-	-	-
b) Unlikely to pay	-	X	-	-	-
- of which forborne	-	X	-	-	-
c) Past-due Impaired exposures	-	X	-	-	-
- of which forborne	-	X	-	-	-
d) Past-due not impaired exposures	X	15,932	17	15,915	-
- of which forborne	X	-	-	-	-
e) Other assets not impaired	X	16,561,512	3,711	16,557,801	-
- of which forborne	X	2,836	5	2,831	-
Total A	12,441	16,577,444	15,932	16,573,953	-
B. Off-balance-sheet exposure					
a) Impaired	6,292	X	-	6,292	-
b) Not Impaired	X	3,396,047	1,002	3,395,045	-
Total B	6,292	3,396,047	1,002	3,401,337	-
Total (A+B)	18,733	19,973,491	16,934	19,975,290	-

* Value to be presented for disclosure purposes

At the reporting date for these financial statements, the table does not include purchased or originated impaired financial assets.



A.1.5 Prudential consolidation – Balance sheet and off-balance sheet credit exposure to customers: net and gross values

31 12 2019

Portfolio/quality	Gross exposure		Portfolio adjustments	Net Exposures	Partial Write-off*
	Non-performing Exposures	Performing Exposures			
A. Balance-sheet exposure					
a) Bad loans	6,442,676	X	3,460,665	2,982,011	62,372
- of which forborne	1,796,575	X	812,143	984,432	27
b) Unlikely to pay	5,409,902	X	2,348,492	3,061,410	136,899
- of which forborne	2,796,667	X	1,100,079	1,696,588	131,020
c) Past due impaired exposures	98,297	X	23,074	75,223	43
- of which forborne	5,955	X	1,398	4,557	-
d) Past-due not impaired exposures	X	1,139,423	32,779	1,106,644	35
- of which forborne	X	84,735	5,609	79,126	-
e) Other assets not impaired	X	95,411,433	452,495	94,958,938	43,250
- of which forborne	X	2,243,203	132,772	2,110,431	42,159
Total A	11,950,875	96,550,856	6,317,505	102,184,226	242,599
B. Off-balance-sheet exposure					
a) Impaired	1,319,835	X	142,885	1,176,950	-
b) Not Impaired	X	40,777,961	51,564	40,726,396	-
Total B	1,319,835	40,777,961	194,449	41,903,346	-
Total (A+B)	13,270,710	137,328,817	6,511,954	144,087,572	242,599

* Value to be presented for disclosure purposes

Please see the Report on operations for quantification of and reporting on capital ratios for coverage of lending relationships.

For the detailed disclosure on originated impaired financial assets, please refer to Section 1 “Credit risk - Qualitative Information” in the Notes to the consolidated financial statements.



A.1.6 Prudential consolidation - Balance-sheet credit exposure to banks: changes in gross non-performing loans

31 12 2019

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	17,096	-	-
- of which: transferred but not derecognised	-	-	-
B. Increases	137	-	-
B.1 Transfers from performing loans	-	-	-
B.2 Transfers from purchased or originated credit impaired financial assets	-	-	-
B.3 Transfers from other impaired loans	-	-	-
B.4 Modification gains/losses	-	-	-
B.3 Other increases	137	-	-
C. Decreases	4,792	-	-
C.1 transfers to performing loans	-	-	-
C.2 write-offs	1,476	-	-
C.3 collections	3,301	-	-
C.4 amounts realised upon disposal of positions	15	-	-
C.5 Losses from disposal	-	-	-
C.6 transfers to other categories of impaired exposure	-	-	-
C.7 Modification gains/losses	-	-	-
C.8 other decreases	-	-	-
D. Gross exposure, closing balance	12,441	-	-
- of which: transferred but not derecognised	-	-	-

At the reporting date, there are no impaired financial assets purchased during the year through either business combination transactions.

*A.1.6bis Prudential consolidation – Balance-sheet credit exposure to banks: changes in gross forborne exposures broken down by credit quality*

31 12 2019

Source/Categories	Non performing forborne exposures	Performing forborne exposures
A. Goss exposure, opening balance	-	2,766
- of which: transferred but not derecognised	-	-
B. Increases	-	70
B.1 Transfers from performing loans	-	-
B.2 Transfers from performing forborne exposures	-	X
B.3 Transfers from Non-performing forborne exposures	X	-
B.4 Other increases	-	70
C. Decreases	-	-
C.1 Transfers to performing loans	X	-
C.2 Transfers to performing forborne exposures	-	X
C.3 Transfers to non-performing forborne exposures	X	-
C.4 Write-offs	-	-
C.5 Collections	-	-
C.6 Amounts realised upon disposal of positions	-	-
C.7 Losses from disposal	-	-
C.8 Other decreases	-	-
D. Gross exposure, closing balance	-	2,836
- of which: transferred but not derecognised	-	-



A.1.7 Prudential consolidation - Balance-sheet credit exposure to customers: changes in gross non-performing loans

31 12 2019

Source/Categories	Bad loans	Unlikely to pay	Non-performing Past due
A. Gross exposure, opening balance	8,584,135	8,065,701	177,549
- of which: transferred but not derecognised	325,724	76,307	2,272
B. Increases	1,236,137	1,471,485	120,073
B.1 Transfers from performing loans	234,501	942,178	95,701
B.2 Transfers from purchased or originated credit impaired financial assets	-	-	-
B.3 Transfers from other impaired loans	760,812	100,649	616
B.4 Modification gains/losses	-	191	-
B.5 other increases	240,824	428,467	23,756
C. Decreases	3,377,596	4,127,284	199,325
C.1 transfers to performing loans	679	691,749	17,828
C.2 write-offs	169,589	274,239	4,019
C.3 collections	276,240	843,032	48,632
C.4 amounts realised upon disposal of positions	375,327	430,431	-
C.5 Losses from disposal	18,826	14,022	-
C.6 transfers to other categories of impaired exposure	7,893	743,774	110,409
C.7 Modification gains/losses	-	3,319	33
C.8 other decreases	2,529,042	1,126,718	18,404
D. Gross exposure, closing balance	6,442,676	5,409,902	98,297
- of which: transferred but not derecognised	304,272	181,761	4,083

Line C.8 “Other decreases”, for the columns “Bad loans” and “Unlikely to pay”, is primarily composed of impaired exposures sold during 2019. Furthermore, note that EUR 430 mln was forfeited during 2019 following disposal transactions.

In reference to non-performing loans classified as bad loans, total collections consisted of 22% from judicial collections and for the remaining 78% from extra-judicial collections and/or consortium payments. Income from disposal was 44% of the total amount of single name transactions.

Following transfer of the shareholding in the subsidiary BPM Belgio S.A., the Parent Company acquired some non-performing credits, one of which classified in the portfolio “Financial assets measured at amortised cost” for a nominal value of EUR 4.17 mln, at the price of EUR 1.5 mln.



A.1.7bis Prudential consolidation – Balance-sheet credit exposure to customers: changes in gross forborne exposure broken down by credit quality

Source/Categories	Non performing forborne exposures	Performing forborne exposures
A. Gross exposure, opening balance	6,522,118	2,195,312
- of which: transferred but not derecognised	290,535	42,378
B. Increases	963,734	1,331,132
B.1 Transfers from performing loans	234,007	425,133
B.2 Transfers from performing forborne exposures	119,427	X
B.3 Transfers from Non-performing forborne exposures	X	552,772
B.4 Transfers from Non-performing exposures	177,201	36,250
B.5 Other increases	433,099	316,977
C. Decreases	2,886,655	1,198,506
C.1 Transfers to performing loans	X	488,608
C.2 Transfers to performing forborne exposures	573,995	X
C.3 Transfers to non-performing forborne exposures	X	245,563
C.4 Write-offs	93,221	3,287
C.5 Collections	561,780	396,204
C.6 Amounts realised upon disposal of positions	406,172	-
C.7 Losses from disposal	13,015	-
C.8 Other decreases	1,238,472	64,844
D. Gross exposure, closing balance	4,599,197	2,327,938
- of which: transferred but not derecognised	343,002	42,523

Line C.8 “Other decreases”, in the column Non-performing forborne exposures, includes EUR 980 mln of credit exposures sold during the year.



A.1.8 Prudential consolidation - Non-performing balance-sheet credit exposures to banks: changes in overall value adjustments

31 12 2019

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	of which: forborne	Total	of which: forborne	Total	of which: forborne
A. Opening balance of overall adjustments	15,263	-	-	-	-	-
- of which: transferred but not derecognised	-	-	-	-	-	-
B. Increases	220	-	-	-	-	-
B.1 Net impairment of purchased or originated financial assets	-	X	-	X	-	X
B.2 Other value adjustments	220	-	-	-	-	-
B.3 Loss from disposal	-	-	-	-	-	-
B.4 Transfers from other categories of impaired exposures	-	-	-	-	-	-
B.5 Modification gains/losses	-	-	-	-	-	-
B.6 Other increases	-	-	-	-	-	-
C. Decreases	3,279	-	-	-	-	-
C.1 Write-backs from valuation	39	-	-	-	-	-
C.2 Write-backs from collection	1,764	-	-	-	-	-
C.3 Profit from disposal	-	-	-	-	-	-
C.4 Write-offs	1,476	-	-	-	-	-
C.5 Transfers to other categories of impaired exposure	-	-	-	-	-	-
C.6 Modification gains/losses	-	-	-	-	-	-
C.7 Other decreases	-	-	-	-	-	-
D. Closing balance of overall adjustments	12,204	-	-	-	-	-
- of which: transferred but not derecognised	-	-	-	-	-	-

At the reporting date, there are no impaired financial assets purchased during the year through business combination transactions.



A.1.9 Prudential consolidation - Non-performing balance-sheet credit exposure to customers: changes in overall value adjustments

31 12 2019

Source/Categories	Bad loans		Unlikely to pay		Non-performing Past due	
	Total	of which forborne	Total	of which forborne	Total	of which forborne
A. Opening balance of overall adjustments	5,360,052	994,435	3,550,539	1,891,175	32,539	2,128
- of which: transferred but not derecognised	174,942	156,834	27,522	4,961	458	20
B. Increases	1,148,918	278,407	1,085,505	551,390	25,152	1,224
B.1 Net impairment of purchased or originated financial assets	-	X	-	X	-	X
B.2 Other value adjustments	835,532	188,849	1,020,750	450,057	22,534	1,187
B.3 Loss from disposal	15,469	2,468	14,022	10,547	-	-
B.4 Transfers from other categories of impaired exposures	288,171	81,274	17,763	8,123	131	4
B.5 Modification gains/losses	-	X	67	X	-	X
B.6 Other increases	9,746	5,816	32,903	82,663	2,487	33
C. Decreases	3,048,305	460,699	2,287,552	1,342,486	34,617	1,954
C.1 Write-backs from valuation	635,076	136,790	488,160	329,315	10,838	434
C.2 Write-backs from collection	68,329	28,652	104,039	54,803	52	-
C.3 Profit from disposal	12,751	3,299	12,167	8,459	-	-
C.4 Write-offs	169,589	22,113	274,239	24,726	4,019	25
C.5 Transfers to other categories of impaired exposure	1,715	368	285,152	81,731	19,198	1,399
C.6 Modification gains/losses	-	X	1,155	X	5	X
C.7 Other decreases	2,160,845	269,477	1,122,640	843,452	505	96
D. Closing balance of overall adjustments	3,460,665	812,143	2,348,492	1,100,079	23,074	1,398
- of which: transferred but not derecognised	150,558	125,841	53,243	25,435	974	-

The amount of collections in 2019 for non-performing balance-sheet credit exposures to customers classified as NPE (other than bad loans) is equal to around EUR 891 mln (see Table A.1.7), of which 11.4% related to repayments on accrued interest.



Exposure to sovereign debt risk

Below are the net sovereign credit risk exposures in government bonds, loans and credit derivatives held by the Group as at 31 December 2019, pursuant to the criteria of the European Securities and Markets Authority (ESMA).

The exposures are broken down by accounting categories. For debt securities and loans classified as “Financial assets measured at amortised cost”, the book value is only reported.

(in million of Eu)

COUNTRY	DEBT SECURITIES			LOANS		CREDIT DERIVATIVES
	Financial assets measured at fair value through profit and loss		Financial assets measured at fair value through other comprehensive income	Financial assets measured at amortised cost		Financial assets held for trading
	Nominal	Fair value=book value	Nominal	Fair value=book value	Book value	Nominal
Argentina	0.3	-	-	-	-	-
Austria	0.1	0.1	-	-	-	-
Azerbaijan	-	-	-	-	-	-
France	-	-	185.0	185.4	-	2.7
Germany	0.1	0.2	-	-	-	-
Italy	3,360.8	3,255.3	5,451.5	5,526.7	5,642.1	3,124.6
Portugal	-	-	15.0	17.8	-	-
Spain	38.7	46.7	210.0	210.3	1,058.3	(2.8)
Other Countries	0.1	0.2	0.1	0.1	-	-
Total 31 12 2019	3,400.1	3,302.5	5,861.6	5,940.3	6,701.0	3,124.5
Total 31 12 2018	2,764.9	2,753.4	10,337.7	10,305.7	4,317.7	2,200.3

Details on the Group's exposure is presented taking into consideration that, according to instructions from the European Securities and Markets Authority (ESMA), “sovereign debt” is defined as bonds issued by central and local Governments and by government Entities, as well as loans disbursed to aforementioned entities.

These financial instruments were measured according to the standards applicable to the category to which they belong.

As at 31 December 2019, the exposure to sovereign debt was of 3.99 years.

The overall exposure on debt securities and loans, amounted to EUR 17,875.7 mln, almost entirely held in Italian debt, and was broken down between financial assets measured at fair value through other comprehensive income and financial assets measured at amortised cost. Exposures to Italy are under level 1, with the exception of EUR 1.6 bn under level 2, attributable for EUR 985 mln to government bonds.



Following are the details of reserves on securities measured at fair value through other comprehensive income and of Italian credit derivatives (in EUR/mln):

AFS securities: Italy	31 12 2019	31 12 2018
Book value	5,526.7	9,627.9
O.C.I. reserve (after tax)	(0.5)	(130.1)
of which: hedging effect (after tax)	(95.0)	(122.0)

Credit derivatives - Italy	31 12 2019	31 12 2018
Purchase of protection		
Nominal	(268.9)	(268.7)
Positive fair value	2.4	14.4
Negative fair value	(0.1)	-
Sale of protection	-	-
Nominal	3,393.5	2,469.2
Positive fair value	-	-
Negative fair value	(119.7)	(56.7)



A.2 Classification of exposure by external and internal ratings

A.2.1 Prudential consolidation – Breakdown of financial assets, commitments to disburse funds and financial guarantees given by external rating class (gross values)

Exposures	External rating classes						No Rating	Total 31.12.2019
	Class 1	Class 2	Class 3	Class 4	Class 5	Class 6		
A. Financial assets measured at amortised cost	809,511	4,244,869	7,075,803	640,741	1,534,488	183,194	95,849,290	110,337,896
- Stage 1	809,511	4,113,411	6,794,507	603,604	84,988	-	74,940,934	87,346,955
- Stage 2	-	131,458	281,291	36,959	1,423,212	242	10,183,778	12,056,940
- Stage 3	-	-	5	178	26,288	182,952	10,724,578	10,934,001
B. Financial assets measured at fair value through other	239,229	210,101	5,808,847	186,948	12,743	35,446	6,690	6,500,004
- Stage 1	239,229	210,101	5,808,847	169,987	6,184	21,872	6,690	6,462,910
- Stage 2	-	-	-	16,961	6,559	19	-	23,539
- Stage 3	-	-	-	-	-	13,555	-	13,555
C. Financial assets held for sale and discontinued operations	-	-	-	-	-	-	558,735	558,735
- Stage 1	-	-	-	-	-	-	-	-
- Stage 2	-	-	-	-	-	-	2	2
- Stage 3	-	-	-	-	-	-	558,733	558,733
Total (A+B+C)	1,048,740	4,454,970	12,884,650	827,689	1,547,231	218,640	96,414,715	117,396,635
<i>of which: purchased or originated impair</i>	-	-	-	-	-	-	66,431	66,431
D. Commitments to disburse funds and financial guarantees	173,605	609,878	1,194,770	1,250,159	98,834	165,368	33,678,401	37,171,015
- Stage 1	173,605	600,192	1,192,101	1,222,945	91,663	151	31,377,700	34,658,357
- Stage 2	-	9,686	2,669	27,214	1,171	-	1,145,791	1,186,531
- Stage 3	-	-	-	-	6,000	165,217	1,154,910	1,326,127
Total (A+B+C+D)	1,222,345	5,064,848	14,079,420	2,077,848	1,646,065	384,008	130,093,116	154,567,650

* The Group has elected not to restate comparative data on a consistent basis in the newly required tables, as set forth in the 6th update of Bank of Italy Circular 262.

class 1=AAA/AA- class 2=A+/A- class 3=BBB+/BB- class 4=BB+/BB- class 5=B+/B- class 6=lower than B-

The external rating categories used to complete the table are from Standard & Poor's. The exposures shown are those reported in Tables A.1.3 (exposures to banks) and A.1.6 (exposures to customers) above, in addition to units of UCITS. If multiple external ratings are assigned, the rating is selected based on Bank of Italy's criteria (when two ratings are available, the lower of the two is used, and when three or more ratings are assigned, the second highest rating is selected). To ensure relevance of information, internal cross-reference tables were used to convert classification by various rating agencies into classification by Standard & Poor's.

As at 31 December 2019, the Group had outstanding trade receivables for around EUR 22.4 mln, for which the Group did not use external ratings.



A.2.2 Prudential consolidation – Breakdown of financial assets, commitments to disburse funds and financial guarantees given per internal rating class (gross values)

Exposures	Internal rating classes						Total 31 12 2019
	High quality	Average quality	Fair quality	Mediocre quality	Poor quality	Default	No rating
A. Financial assets measured at amortised cost							
- Stage 1	9,802,655	20,642,114	25,346,095	8,352,796	719,957	10,834,337	34,590,411
- Stage 2	9,750,684	19,881,202	22,113,257	2,117,497	3,882	6	33,480,426
- Stage 3	51,971	760,912	3,232,612	6,232,217	714,473	24,978	990,247
B. Financial assets measured at fair value through other comprehensive income							
- Stage 1	64,063	151,782	217,825	-	-	13,555	6,052,778
- Stage 2	64,063	141,119	211,527	-	-	-	6,046,201
- Stage 3	-	10,663	6,298	-	-	-	6,577
C. Financial assets held for sale and discontinued operations							
- Stage 1	-	-	1	1	-	294,662	264,071
- Stage 2	-	-	1	1	-	-	-
- Stage 3	-	-	-	-	-	13,555	-
Total (A+B+C)	9,866,718	20,793,896	25,563,921	8,352,797	719,957	11,142,554	49,531
<i>of which: purchased or originated impaired financial assets</i>	-	-	-	11,822	502	54,106	-
D. Commitments to disburse funds and financial guarantees issued							
- Stage 1	5,866,375	10,615,809	9,941,525	2,103,600	177,070	1,326,265	2,818
- Stage 2	5,828,591	10,514,616	9,484,850	1,626,498	143,405	4,234	2,517
- Stage 3	37,784	101,193	456,675	476,235	33,665	401	301
Total (A+B+C+D)	15,733,093	31,409,705	35,505,446	10,456,397	897,027	12,468,819	52,349
							48,044,812
							154,567,648

High Quality customers (Master Scale categories AAA and A1) Good Quality Customers (Master Scale categories A2, A3 and B1) Fair Quality customers (Master Scale categories B2, B3, C1 and C2) Mediocre Quality customers (Master Scale categories C3, D1, D2 and D3) Poor Quality customers (Master Scale categories E1, E2 and E3)

The table provides a breakdown of customers of the MPS Group by risk categories assigned on the basis of ratings arising from internal models. For this purpose, account is given only of exposures (borrowers) for which an internal rating is periodically recorded for models/legal entities/portfolios which have been subject to a validation process with the regulatory authorities without any cross-reference from official ratings to internal ratings especially with regard to the following customer segments: “Banks,” “Non-Banking Financial Institutions,” and “Governments and Public Administration”. Thus, based on this provision, exposures related to the latter segments, even if covered by official ratings, were reported as “unrated” in the internal rating models.

As at 31 December 2019, the Group had outstanding trade receivables of EUR 22.4 mln. With regard to these receivables, the Group valued the defined loss coverage provision with the simplified method, assigning to the counterparties a benchmark rating (C2), equivalent to the average rating of the AIRB portfolio and a loss rate of 45%.



A.3 Breakdown of secured credit exposures by type of collateral

A.3.1 Prudential consolidation – Balance sheet and off-balance sheet secured credit exposure to banks

31 12 2019

	Gross exposures	Net exposures	Real guarantees				Personnel guarantees								Total real and personnel guarantees	
							Credit derivatives				Unsecured signature loans					
			Real estate mortgages	Real estate leasing	Securities	Other collaterals	CLN	Other derivatives				Public Entities	Banks	Other financial entities		Other entities
								Central counterparties	Banks	Other financial entities	Other entities					
1. Secured balance-sheet exposures	539,124	539,089	1,124	-	537,154	-	-	-	-	-	-	-	-	-	24	538,302
1.1 totally secured	538,992	538,957	1,124	-	537,154	-	-	-	-	-	-	-	-	-	18	538,296
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
1.2 Partially secured	132	132	-	-	-	-	-	-	-	-	-	-	-	-	6	6
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2. Secured off-balance sheet exposures	533,146	533,119	-	-	-	499,549	-	-	-	-	-	-	189	-	-	499,738
2.1 totally secured	212,724	212,724	-	-	-	212,642	-	-	-	-	-	-	82	-	-	212,724
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
2.2 Partially secured	320,422	320,395	-	-	-	286,907	-	-	-	-	-	-	107	-	-	287,014
- of which non-performing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

In addition to secured balance-sheet exposures to banks, the table shows the amount of off-balance-sheet exposures, including derivative contracts with banks, which are fully or partially secured. As regards personal guarantees, the economic segments to which guarantors and sellers of protection belong (in the case of unsecured loans and credit derivatives, respectively) are identified making reference to the classification criteria provided for in the brochure “classification of customers by segments and groups of economic activity” published by the Bank of Italy.

Exposures are classified as either “fully secured” or “partially secured” by comparing the gross exposure with the amount of the guarantee established in the contract; for that purpose, any supplemental guarantees are also considered.

The fair value of collaterals estimated as at the balance sheet date is shown in the columns “Real guarantees” and “Personal guarantees”; if such information is not available, the contractual value is reported. Both values cannot be higher than the book value of secured exposures, in line with the 6th update of Bank of Italy circular 262.



The fair value of collaterals estimated as at the balance sheet date is shown in the columns “Real guarantees” and “Personal guarantees”; if such information is not available, the contractual value is reported. Both values cannot be higher than the book value of secured exposures, in line with the 6th update of Bank of Italy circular 262.



A.4 Prudential consolidation – Financial and non-financial assets obtained through enforcement of guarantees received

	Derecognised credit exposure	Gross Value	Overall value adjustments	Book value	
				of which: obtained during the year	
A. Tangible assets	43,691	41,667	15,291	26,375	8,004
A.1. Used in the business	-	-	-	-	-
A.2. Held for investments	42,081	40,221	15,160	25,061	8,004
A.3. Inventories	1,610	1,446	131	1,314	-
B. Equity instruments and Debt securities	-	-	-	-	-
C. Other assets	-	-	-	-	-
D. Non current assets and group of assets held for sale	-	-	-	-	-
D.1. Tangible assets	-	-	-	-	-
D.2. Other assets	-	-	-	-	-
Total 31 12 2019	43,691	41,667	15,291	26,375	8,004

The “Financial and non-financial assets obtained through enforcement of guarantees received” shown in the table above include assets:

- purchased in judicial auctions of real estate owned companies (REOCOs) consolidated for prudential purposes;
- resulting from non-redemption of assets in leasing and termination of non-performing finance lease contracts contributed by the subsidiary MPS Leasing & Factoring S.p.A.;
- from the subsidiary MPS Capital Services S.p.A. following “acceptance in return”.

It should be noted that at the reporting date, the Group held financial equity instruments from the recovery of impaired financial assets recognised in the financial statements in the amount of EUR 94.3 mln, entirely classified in the accounting portfolio of Financial assets measured at fair value as per mandatory requirements.



B. Breakdown and concentration of credit exposures

B.1 Prudential consolidation - Breakdown of balance sheet and off-balance sheet credit exposures to customers by business segment

Exposure/ Customers	Public entities		Financial companies		Financial companies: of which insurance companies		Non-financial companies		Families	
	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments	Net exposure	Portfolio adjustments
A. Balance-sheet exposure										
A.1 Bad loans	221	181	15,344	60,321	-	-	1,770,620	2,770,353	1,195,826	629,809
- of which <i>forborne</i>	-	-	3,943	10,871	-	-	565,301	650,881	415,188	150,391
A.2 Unlikely to pay	122,631	116,389	58,103	74,738	1	-	2,141,606	1,812,216	739,070	345,149
- of which <i>forborne</i>	-	-	46,224	59,027	-	-	1,280,464	933,336	369,900	107,716
A.3 Past-due Impaired	2,004	1,546	2,828	517	-	-	31,837	9,930	38,553	11,081
- of which <i>forborne</i>	-	-	-	-	-	-	3,175	1,168	1,382	230
A.4 Other Performing exposures	20,385,451	13,113	10,001,732	7,707	67,460	-	31,820,095	364,515	33,858,304	99,938
- of which <i>forborne</i>	4,973	61	88,298	904	-	-	1,486,178	110,050	610,108	27,366
Total A	20,510,307	131,229	10,078,007	143,283	67,461	-	35,764,158	4,957,014	35,831,753	1,085,977
B. Off-balance-sheet exposures										
B.1 Impaired	120,179	-	6,165	245	-	-	1,020,437	137,773	30,170	4,867
B.2 Not impaired	6,672,708	41	6,250,954	1,210	32,091	-	25,063,813	47,032	2,738,921	3,282
Total B	6,792,887	41	6,257,119	1,455	32,091	-	26,084,250	184,805	2,769,091	8,149
Total (A+B) 31 12 2019	27,303,194	131,270	16,335,126	144,738	99,552	-	61,848,408	5,141,819	38,600,844	1,094,126
Total (A+B) 31 12 2018	27,967,564	143,379	17,265,609	372,625	122,208	-	66,010,927	7,712,366	38,133,433	1,661,900



B.2 Prudential consolidation - Breakdown of on- and off-balance-sheet exposures to customers by geographic area

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments
A. Balance-sheet exposures										
A.1 Bad loans	2,939,717	3,390,576	40,487	68,997	1,604	912	-	2	203	178
A.2 Unlikely to pay	3,024,634	2,335,040	24,053	4,743	12,465	8,179	21	159	237	370
A.3 Past-due Impaired	67,681	22,780	7,400	239	63	11	54	40	25	4
A.4 Other performing exposures	92,637,379	481,114	3,085,108	3,113	215,948	525	105,043	457	22,103	65
Total A	98,669,411	6,229,510	3,157,048	77,092	230,080	9,627	105,118	658	22,568	617
B. Off-balance-sheet exposures										
B.1 Impaired	1,172,611	142,707	4,339	177	-	-	-	-	-	-
B.2 Not impaired	39,036,248	51,155	1,614,564	400	32,214	-	39,550	8	3,820	1
Total B	40,208,859	193,862	1,618,903	577	32,214	-	39,550	8	3,820	1
Total (A+B) 31 12 2019	138,878,270	6,423,372	4,775,951	77,669	262,294	9,627	144,668	666	26,388	618
Total (A+B) 31 12 2018	143,690,992	9,665,918	5,142,480	191,024	368,852	10,973	161,683	21,521	13,529	834



B.3 Banking Group – Breakdown of on- and off-balance-sheet exposures to banks by geographic area (book values)

Exposure/Geographic Areas	ITALY		OTHER EUROPEAN COUNTRIES		AMERICA		ASIA		REST OF THE WORLD	
	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments	Net exposure	Overall value adjustments
A. Balance-sheet exposures										
A.1 Bad loans	-	-	144	117	93	12,087	-	-	-	-
A.2 Unlikely to pay	-	-	-	-	-	-	-	-	-	-
A.3 Past-due Impaired	-	-	-	-	-	-	-	-	-	-
A.4 Other performing exposures	11,383,488	1,579	4,819,121	1,129	189,463	344	110,156	607	71,490	69
Total A	11,383,488	1,579	4,819,265	1,246	189,556	12,431	110,156	607	71,490	69
B. Off-balance-sheet exposures										
B.1 Impaired	-	-	3,120	-	3,172	-	-	-	-	-
B.2 Not impaired	820,106	10	1,452,715	478	418,336	211	598,597	142	105,292	160
Total B	820,106	10	1,455,835	478	421,508	211	598,597	142	105,292	160
Total (A+B) 31 12 2019	12,203,594	1,589	6,275,100	1,724	611,064	12,642	708,753	749	176,782	229
Total (A+B) 31 12 2018	10,683,734	1,464	4,074,666	4,827	1,038,712	14,336	2,194,440	725	655,018	971



B.4 Large exposures

Item/Amount	31 12 2019	31 12 2018
a) Book value	64,476,300	68,172,323
b) Weighted value	4,016,330	4,180,033
c) Number	10	10

Regulations provide for positions to be defined as "large exposures" by making reference to credit-risk unweighted exposures.

An exposure is deemed as a "large exposure" when its amount is equal to or greater than 10% of Own Funds.

The decrease for the year in the "Book value" is due primarily to the operations with Central Counterparties, excluded from the weighted value as required by - CRR art. 400 (1). The decrease in Weighted value in 2019, compared to the previous year, is attributable to the reduction in SFT whit Bank counterparties

C. Securitisation transactions

Qualitative Information

Structures, processes and goals

The execution of securitisation transactions, keeping with the organisational model established at Group level for the governance and management of risks, is governed by specific internal regulations.

The Parent Company's Structural Liquidity Service establishes general practices and coordinates activities in relation to securitisation transactions. The criteria and rules for managing securitisation transactions are instead determined by the Credit Portfolio Governance Area.

More specifically, for the securitisation of performing loans, the Credit Servicing Service and the Securitised PE Portfolio, within the Credit Portfolio Governance Area, is responsible for managing aspects and obligations associated with servicing activities and for monitoring the performance of existing transactions through monthly and quarterly reports on collections of residual principal, positions in arrears and disputed positions arising from securitisation transactions. The same Service prepares the summary statements containing the data of the portfolio sold and, as part of critical situation management, it reports cases that may pose potential risks for noteholders to the relevant functions in the organisation.

For securitisations of non-performing loans, the servicing and debt collection performance control services are handled by market operators outside the Group.



Quantitative Information

C.1 Banking Group - Exposures arising from major own securitisation transactions broken down by type of securitised assets and type of exposure

Quality of underlying assets / Exposures	Balance sheet exposure						Guarantee issued						Lines of credit					
	Senior		Mezzanine		Junior		Senior		Mezzanine		Junior		Senior		Mezzanine		Junior	
	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure	Gross exposure	Net exposure
A. Fully derecognised	2,293,831	398	45,144	1,874	22,936	(11,006)	-	-	-	-	-	-	-	-	-	-	-	-
Non-performing loans	2,293,831	398	45,144	1,874	22,936	(11,006)	-	-	-	-	-	-	-	-	-	-	-	-
B. Partially derecognised	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
C. Not derecognised	-	-	1,843,263	1,965	285,848	(23,844)	-	-	-	-	-	-	-	-	-	-	-	-
Mortgages Loans	-	-	5,486	1,995	4576	(1,688)	-	-	-	-	-	-	-	-	-	-	-	-
Residential mortgages	-	-	960,142	(90)	69,103	-	-	-	-	-	-	-	-	-	-	-	-	-
Corporate Loans	-	-	877,635	-	180,689	-	-	-	-	-	-	-	-	-	-	-	-	-
Shipping	-	-	-	-	31,390	(22,156)	-	-	-	-	-	-	-	-	-	-	-	-
Total	2,293,831	398	1,888,407	3,839	308,784	(9,850)	-	-	-	-	-	-	-	-	-	-	-	-
of which non-performing	2,293,831	398	103,013	5,679	71,873	(37,880)	-	-	-	-	-	-	-	-	-	-	-	-
of which Others	-	-	1,785,394	(1,840)	236,911	3,030	-	-	-	-	-	-	-	-	-	-	-	-

In relation to securitisation transactions with own underlying assets, the table indicates balance sheet exposures, unsecured exposures, and other forms of credit enhancement.



C.2 Prudential consolidation - Exposures arising from major 'third-party' securitisation transactions broken down by type of securitised asset and type of exposure

Type of securitised asset/Exposure	Balance-sheet exposure						Guarantees issued						Lines of credit					
	Senior			Mezzanine			Junior			Senior			Mezzanine			Junior		
	write-downs/			write-downs/			write-downs/			write-downs/			write-downs/			write-downs/		
	Book value	write-backs		Book value	write-backs		Book value	write-backs		Book value	write-backs		Book value	write-backs		Book value	write-backs	
Other assets	10,049	65		3,894	84		36,073	(39,789)		-	-		-	-		-	-	
Consumer credit	68,801	(156)		37,334	(425)		30,867	(379)		-	-		-	-		-	-	
Non performing loans	92,156	(622)		1,265	12		-	-		-	-		-	-		-	-	
First mortgages real estate loans	-	-		4,748	1,726		9,032	(7,241)		-	-		-	-		-	-	
Residential mortgages	76,589	(14)		60,864	(131)		9,883	(11)		-	-		-	-		-	-	
Non residential mortgage	29,351	(89)		26,378	(389)		5,936	(169)		-	-		-	-		-	-	
Total	276,946	(816)		134,483	877		91,791	(47,589)		-	-		-	-		-	-	

The table indicates the exposures assumed by the Group in relation to each third-party securitisation transaction, and also reports the contractual type of assets sold. The column "Write-downs/write-backs" indicates the amount of any write-downs or write-backs during the year as well as depreciations and revaluations posted to the income statement or directly to equity reserves, in the case of securities in the portfolio "Financial assets measured at fair value through other comprehensive income".



C.3 Prudential consolidation - Stakes in special purpose securitisation vehicles

31 12 2019

Securitisation/Vehicle company name	Registered office	Consolidation	Assets			Liabilities		
			Credit	Debt securities	Other	Senior	Mezzanine	Junior
2017 Popolare Bari RMBS S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	536,137		13,605	376,138	58,264	92,516
A-Best Fifteen S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	738,584		49,000	650,954	73,000	31,000
Argo Mortgage 2 S.r.l.	Via Cassa di Risparmio, 15 Genova	NO	43,323			-	14,055	29,350
Arrow CMBS 2018 - 1	3 George's Dock IFSC Dublin 1	NO	292,700		149	154,800	137,900	20
AutoFlorence 1 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	949,972			807,500	109,250	33,250
Autonorio 2019	1 Boulevard Haussmann, 75009 Paris	NO	949,985			674,500	228,000	47,500
Belvedere SPV	Via Vittorio Betteloni 2, Milano	NO	1,076,714		12,800	290,104	70,000	95,000
Berica ABS 3 S.r.l.	Via Battaglione Framarin, 18 Vicenza	NO	448,995		9,293	171,316	93,900	115,012
BP Mortgages S.r.l.	Via Gustavo Fara, 26 Milano	NO	133,005		17,373	27,586	25,300	47,100
Brignole CO 2019-1 S.r.l.	Canada Square, Canary Wharf London, E14 5LB	NO	311,130		6,404	278,100	42,100	11,020
Brignole CQ 2019-1 S.r.l.	Canada Square, Canary Wharf London, E14 5LB	NO	167,918		1,726	139,600	31,000	6,820
Cartesian Residential Mortgages 4 S.A.	6, Rue Eugène Ruppert, L-2453 Luxembourg	NO	377,036		7,718	343,034	34,200	8,100
Civitas SPV S.r.l.	Via Senatore Guglielmo Pelizzo 8-1, 33043 Cividale del Friuli	NO	291,433		16,945	132,254		122,300
Deco 2015-Harp Limited Dac	George's Quay Dublin 2	NO	38,052			-	19,801	18,256
Deco 2019 - Vivaldi S.r.l.	Via Vittorio Betteloni 2, Milano	NO	222,230			122,000	81,000	19
Delft 2019 B.V.	Prins Bernhardplein 200 Amsterdam, 1097 JB	NO	134,440		1,939	96,930	34,700	2,800
Dilosk RMBS 1 Dac	16 Hume Street Dublin 2	NO	108,589		1,029	63,218	35,000	10,300
E-Carat 10	1 Boulevard Haussmann, 75009 Paris	NO	900,000			806,400	84,600	53,144
European Residential Loan Securitisation 2019 - NPL1 DAC	125 Old Broad Street, London EC2N 1AR	NO	446,534		12,826	196,262	102,579	151,587
European Residential Loan Securitisation 2018 - 1 Dac	Canada Square, Canary Wharf London, E14 5LB	NO	166,554		928	51,409	41,948	95,478
Fastnet Securities 12 Dac	3 George's Dock IFSC Dublin 1	NO	336,222		6,193	239,565	52,000	62,200
F-E Mortgages S.r.l.	Piazzetta Monte, 1 Verona	NO	89,108			-	57,075	7,630
Fino 1 Securitisation S.r.l.	Viale Luigi Majno, 45 Milano	NO	657,520		113,128	545,019	69,640	50,311
First Swiss Mobility 2017 1 Ag	Bellerivestrasse 201, 8008 Zurich	NO	304,035			246,269	15,202	13,636
Grand Canal Securities 2 Dac	Kilmore House, Park Lane Dublin 1	NO	434,622		4,893	160,803	67,809	218,839
Heliconus S.r.l.	Piazzetta Monte, 1 Verona	NO	45,689				35,906	
InterMoney Titulizacion, SGTF, S.A.	C/Principe de Vergara, 131 planta 3ª, 28002 Madrid	NO	232,340		13,510	150,000		31,000
Jepson Residential 2019 - 1 DAC	125 Old Broad Street, London EC2N 1AR	NO	596,166		6,593	325,285	217,500	65,185
Lanterna Finance (2015) S.r.l.	Via Cassa di Risparmio, 15 Genova	NO	269,604		14,641	223,120		
Madeleine SPV S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	16,206		2,793	-	2,303	17,522
Mars 2006 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	157,775		4,200	72,719		67,000
Miravet S.à.r.l.	Rue Eugène Ruppert 6, L-2453 Luxembourg	NO	349,810		8,440	241,150	64,885	52,506
Mulcair Securities Designated Activity Company	28 Fitzwilliam Place, Dublin 2, D02 P282, Ireland	NO	352,286			210,803	98,100	41,500
Norma Spv S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	417,242		274	8,801	167,217	241,499
Pepper Iberia Unsecured 2019 DAC	1-2 Victoria Building, Haddington Road, Dublin 4, D04 XN32, Ireland	NO	203,429		11,010	166,900	42,500	14,000
Pietra Nera Uno S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	403,810			209,537	173,218	20,165
Quarzo S.r.l. 2019	Via Galleria Del Corso, 2 Milano	NO	899,931		3,915	783,000		117,000
Sabadell Consumo 1 Fondo de Titulizacion	C/Lagasca 120, 28006 Madrid	NO	878,044		118,577	798,791	119,113	71,320
Sestante Finance 1 S.r.l.	Via G. Negri, 10 Milano	NO	93,829			41,877	40,080	20,997
Sestante Finance 2 S.r.l.	Via G. Negri, 10 Milano	NO	164,788			70,049	52,366	6,250
Sharmrock Residential 2019 - 1 DAC	125 Old Broad Street, London EC2N 1AR	NO	326,123		3,755	186,412	119,700	28,610
Siena Mortgages 10-7 S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	YES	1,484,985		178,457	648,995	817,600	69,193
Siena Npl 2018 S.r.l.	Via Piemonte, 38 Roma	NO	3,098,657		333,302	2,290,364	856,971	565,000
Siena PMI 2016 Serie 2 Srl	Via V.Alfieri, 1 Conegliano (TV)	YES	1,861,471		100,299	1,000,325	745,300	180,700
Storm 2016-I B.V.	Prins Bernhardplein 200 Amsterdam, 1097 JB	NO	1,287,627		24,635	1,192,627	95,000	
Sunrise SPV Z80 S.r.l.	Via Vittorio Betteloni 2, Milano	NO	1,146,224		5,709	793,000	298,100	66,000
Tagus Sociedade de Titularizacao de Creditos S.A.	Rua Castilho, 20 Lisboa	NO	564,297		4,838	495,219	150	5,000
Taurus 2015-1 IT S.r.l.	Via Gustavo Fara 26, 20100 Milano	NO	115,000		7,247	78,574	30,676	-
Taurus 2018-1 IT S.r.l.	Via V.Alfieri, 1 Conegliano (TV)	NO	336,661			221,020	115,672	
Titulizacion de activos	Orense 58, 5ª Planta, 28020 Madrid	NO	33,977			11,525	21,200	-
Towers CQ S.r.l.	Via A.Pestalozza, 12/14 Milano	NO	265,439		10,121	94,954	87,100	110,340
Total			25,756,248	-	1,128,264	16,888,806	5,778,980	3,113,974

Liabilities of third-party securitisation transactions do not have the remaining items different from the financial instruments issued, including cumulative profit (loss) for the year.



C.4 Prudential consolidation - Non-consolidated special purpose securitisation vehicles

31.12.2019

Balance-sheet item/Type of structured entity	Accounting Portfolio Assets		Total Assets (A)	Accounting Portfolio Liabilities		Total Liabilities (B)	Net book value (C=A-B)	Maximum exposure to loss (D)	Difference between exposure to loss and book value (E=D-C)
	Financial assets measured at amortised cost	Financial assets measured at fair value through other comprehensive income		Financial liabilities held for trading	Financial liabilities measured at amortised cost				
2017 Popolare Bari RMBS S.r.l.	-	24,922	24,922	-	-	-	24,922	24,922	-
A-Best Fifteen S.r.l.	-	3,813	3,813	-	-	-	3,813	3,813	-
Argo Mortgage 2 S.r.l.	-	9,934	9,934	-	-	-	9,934	9,934	-
Arrow CMBS 2018 - 1	-	13,953	13,953	-	-	-	13,953	13,953	-
AutoFlorence 1 S.r.l.	-	7,000	7,000	-	-	-	7,000	7,000	-
Autonoria 2019	-	25,613	25,613	-	-	-	25,613	25,613	-
Belvedere SPV	8,898	22,245	31,143	-	-	-	31,143	31,143	-
Berica ABS 3 S.r.l.	-	9,180	9,180	-	-	-	9,180	9,180	-
BP Mortgages S.r.l.	-	6,371	6,371	-	-	-	6,371	6,371	-
Brignole CO 2019-1 S.r.l.	-	8,001	8,001	-	-	-	8,001	8,001	-
Brignole CQ 2019-1 S.r.l.	-	8,400	8,400	-	-	-	8,400	8,400	-
Cartesian Residential Mortgages 4 S.A.	-	8,195	8,195	-	-	-	8,195	8,195	-
Civitas SPV S.r.l.	-	349	349	-	-	-	349	349	-
Deco 2015-Harp Limited Dac	-	5,831	5,831	-	-	-	5,831	5,831	-
Deco 2019 - Vivaldi Srl	-	15,742	15,742	-	-	-	15,742	15,742	-
Delft 2019 B.V.	-	4,791	4,791	-	-	-	4,791	4,791	-
Dilosk RMBS 1 Dac	-	2,008	2,008	-	-	-	2,008	2,008	-
E-Carat 10	-	20,024	20,024	-	-	-	20,024	20,024	-
European Residential Loan Securitisation 2019 - NPL1 Dac	-	10,178	10,178	-	-	-	10,178	10,178	-
European Residential Loan Securitisation 2018 - 1 Dac	-	1,168	1,168	-	-	-	1,168	1,168	-
Fastnet Securities 12 Dac	-	3,617	3,617	-	-	-	3,617	3,617	-
F-E Mortgages S.r.l.	-	2,128	2,128	-	-	-	2,128	2,128	-
Fino 1 Securitisation S.r.l.	43,796	13,152	56,948	-	-	-	56,948	56,948	-
First Swiss Mobility 2017 2 Ag	-	1,661	1,661	-	-	-	1,661	1,661	-
Grand Canal Securities 2 Dac	-	1,265	1,265	-	-	-	1,265	1,265	-
Heliconus Srl	-	9,236	9,236	-	-	-	9,236	9,236	-
InterMoney Titulizacion, SGTF, S.A.	-	5,000	5,000	-	-	-	5,000	5,000	-
Jepson Residential 2019 - 1 DAC	-	6,931	6,931	-	-	-	6,931	6,931	-
Lanterna Finance (2015) S.r.l.	-	10,049	10,049	-	-	-	10,049	10,049	-
Madeleine SPV S.r.l.	-	910	910	-	-	-	910	910	-
Mars 2006 Srl	-	153	153	-	-	-	153	153	-
Miravet Sàrl.	-	4,443	4,443	-	-	-	4,443	4,443	-
Mulcair Securities Designated Activity Company	-	7,842	7,842	-	-	-	7,842	7,842	-
Norma Spv S.r.l.	-	97,807	97,807	-	5,705	5,705	92,102	92,102	-
Pepper Iberia Unsecured 2019 DAC	-	3,000	3,000	-	-	-	3,000	3,000	-
Pietra Nera Uno S.r.l.	-	24,185	24,185	-	-	-	24,185	24,185	-
Quarzo S.r.l. 2019	-	2,006	2,006	-	-	-	2,006	2,006	-
Sabadell Consumo 1 Fondo de Titulizacion	-	3,195	3,195	-	-	-	3,195	3,195	-
Sestante Finance 1 S.r.l.	-	5,128	5,128	-	-	-	5,128	5,128	-
Sestante Finance 2 S.r.l.	-	114	114	-	-	-	114	114	-
Sharmrock Residential 2019 - 1 Dac	-	29,029	29,029	-	-	-	29,029	29,029	-
Siena Npl 2018 S.r.l.	2,286,141	67,786	2,353,927	-	-	-	2,353,927	2,353,927	-
Storm 2016-I B.V.	-	4,490	4,490	-	-	-	4,490	4,490	-
Sunrise SPV Z80 Srl	-	1,004	1,004	-	-	-	1,004	1,004	-
Tagus Sociedade de Titularizacao de Creditos S.A.	-	2,772	2,772	-	-	-	2,772	2,772	-
Taurus 2015-1 IT S.r.l.	-	229	229	-	-	-	229	229	-
Taurus 2018-1 IT S.r.l.	-	1,725	1,725	-	-	-	1,725	1,725	-
Titulizacion de activos	-	1,191	1,191	-	-	-	1,191	1,191	-
Towers CQ S.r.l.	-	44,604	44,604	-	-	-	44,604	44,604	-
Total	2,338,835	562,371	2,901,206	-	5,705	5,705	2,895,501	2,895,501	-



The table includes the interests held by the subsidiary MPS Capital Services S.p.A. and the Parent Company as described below:

- 2017 Popolare Bari RMBS S.r.l.: vehicle established on 17 May 2017 in the Italian Republic pursuant to article 3 of the Supervisory Law as a limited liability company with the name 2017 Popolare Bari RMBS S.r.l., tax code and VAT no. 04881030268. The issuer is registered in the 'Treviso-Belluno companies' register with number 04881030268 and in the register of vehicles held by the Bank of Italy pursuant to the regulation issued by the Bank of Italy on 7 June 2017 ("Provisions on disclosure and statistical obligations of companies involved in securitisation transactions") with no. 35362.3. The loans present in the vehicle's assets are Italian residential mortgage loans with a particular concentration in the Puglia region.
- A-Best Fifteen S.r.l.: (ABEST15 TV 17/18 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation having the purchase of vehicles originated in Italy from FCA Bank S.p.A. as loan collateral.
- Argo Mortgage 2 S.r.l.: Securitisation of loans originated with 13,322 residential mortgage loans distributed throughout Italy. Originator: Banca Carige S.p.A.
- Arrow CMBS 2018 – 1 (ARWC18 A 18/30 TV, ARWC18 A2 18/30 TV and ARWC 1B-TV 18/30 SUB): securitisation having as collateral leasing on retail and office properties originated in France, Belgium and the Netherlands.
- Autoflorence 1 S.r.l. (AUTOF 1 A 12/2042 and AUTOF 1 B 12/42): vehicle established pursuant to law no. 130/1999. The securitisation refers to a portfolio of consumer loans granted by Findomestic Banca S.p.A. (Originator) in order to fund primarily the purchase of vehicles.
- Autonoria 2019 (ANORI A 09/35, ANORI B 09/35 MEZ, ANORI C 09/35 MEZ): a vehicle jointly established by France Titrisation and BNP PARIBAS Securities Services and governed by the provisions of the French Monetary and Financial Code. Originator: BNP Paribas. The portfolio includes loans arising from vehicle loan agreements and those related to respective accessory rights, executed with consumers residing in France.
- Belvedere SPV S.r.l. is a vehicle established pursuant to Law no. 130/1999. The portfolio subject to securitisation purchased from the various sellers (Gemini SPV S.r.l., Sirius SPV S.r.l., Antares SPV S.r.l., SPV Project 1702 S.r.l., Adige SPV S.r.l.) includes non-performing loans.
- Berica Abs 3 S.r.l.: vehicle established pursuant to Law no. 130/1999. Multi-originator securitisation (Banca Popolare di Vicenza and Banca Nuova S.p.A.), which entails the non-recourse transfer of performing loans consisting of residential mortgage loans in favour of parties residing in Italy.
- BP Mortgages S.r.l. (BPMO 1C-TV 07/43 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation of residential voluntary performing mortgage loans distributed throughout Italy. Originator: Banco BPM S.p.A..
- Brignole CO 2019-1 S.r.l. (BRICO 2019-1 A 07/34 and BRICO 2019-1 B 07/34): vehicle established pursuant to Law no. 130/1999. The portfolio includes monetary credits and related rights arising from consumer loan agreements, issued by Credits Servizi Finanziari SpA.
- Brignole CQ 2019-1 S.r.l. (BRICQ 2019-1 A 03/36 e BRICQ 2019-1 B 03/36): vehicle established pursuant to Law no. 130/1999. The portfolio includes monetary credits and related rights arising from consumer loan agreements, issued by Credits Servizi Finanziari SpA.
- Cartesian Residential Mortgages 4 S.A (CATSN 4 A 11/54 and CATSN 4 B 11/54): existing vehicles, organised under the Grand Duchy of Luxembourg laws. Securitisation of credits arising from mortgage loans, secured by residential properties located in the Netherlands. Originator: Venn Hypotheken B.V..
- Civitas SPV S.r.l. (CIVIT 2012-1 A 10/2060): vehicle established pursuant to Law no. 130/1999. Securitisation of a loan portfolio consisting of residential mortgage loan agreements. Originators: Banca Popolare di Cividale S.c.p.A. and Banca di Cividale S.p.A..
- Deco 2015-Harp Limited Dac (DECO15B TV 15/27 SUB): vehicle established under Irish law. Securitisation having as collateral mainly residential mortgage loans (71.8%) originated in Ireland.
- Deco 2019 – VIVALDI S.R.L. is a vehicle established pursuant to Law no. 130/1999. Originator: Deutsche Bank AG, London Branch. The portfolio includes loans issued by Palmanova Propco S.r.l. and Franciacorta Retail S.r.l. linked to some Italian outlets.
- Delft 2019 B.V. (DELFT 2019-1 A 10/42): vehicle established under Dutch law. Portfolio containing mortgage loans originated by ELQ Portefeuille I B.V. and Quion 50 B.V., and secured by residential properties located in the Netherlands.
- Dilosk RMBS No1 Designated Activity Company: portfolio including mortgage loans originated by ICS Building Society and secured by residential properties located in Ireland which were sold by the Bank of Ireland to Dilosk Funding No.1 Limited.



- E-CARAT 10 (ECAR 10 FR A 12/28, ECAR 10 FR B MEZ 12/28, ECAR 10 FR C MEZ 12/28): vehicle established and governed in compliance with the provisions 214-166-1 et seq. of the French Monetary and Financial Code. Originator: Opel Bank. Securitisations of retail loan agreements concerning new and used vehicles originated by the Seller.
- European Residential Loan Securitisation 2018 - 1 Dac (ERLS18 A 18/61 TV): vehicle established under Irish law. Securitisation having as collateral a mix of originated performing and non-performing loans.
- European Residential Loan Securitisation 2019 - NPL1 Dac (ERLS 2019-NPL1 A 07/54, ERLS 2019-PL1 B 03/63): vehicle established under Irish law. Securitisation of a portfolio including mortgage loans originated by Permanent TSB plc (Originator) and secured by residential properties and some commercial properties located in Ireland.
- Fastnet Securities 12 DAC (FSTNT B 16/56 TV SUB): vehicle established under Irish law. Portfolio including mortgage loans originated by Permanent TSB plc and secured by residential properties located in Ireland.
- F-E Mortgages S.r.l. (FEMO 1C-TV 03/43 SUB): vehicle established pursuant to Law no. 130/1999. Securitisation of mortgage loans on performing residential buildings distributed throughout Italy. Originator: UniCredit S.p.A. (former FincoBank S.p.A.).
- Fino 1 Securitisation S.r.l. (FINO CL A 17/45 TV): vehicle established pursuant to Law no. 130/1999. Securitisation of mortgage agreements, credit facilities and other technical forms of financing granted to natural and legal persons and classified as non-performing financial assets. Originator: UniCredit S.p.A. and Arena NPL ONE S.r.l..
- First Swiss Mobility 2017-2-AG: vehicle with loans disbursed in Switzerland in the form of auto loans and leases.
- Grand Canal Securities 2 DAC: the vehicle will make payments on Bonds through principal and interest payments deriving from a portfolio including mortgage loans originated by Irish Nationwide Building Society (Anglo Irish Bank, Irish Bank Resolution Corporation, Hill Samuel Irlanda Ltd, Scottish Legal Trustee Ltd, Irish Industrial Building Society and Irish Mutual Building Society) and Springboard Mortgages Limited for borrowers secured by real estate located in Ireland. There is also a small number of mortgage loans in the mortgage portfolio, for which foreclosure procedures have been completed in relation to the mortgaged properties.
- Heliconus S.r.l. (HELIC 2002-1 B 02/36): vehicle established pursuant to Law no. 130/1999. Originator FincoBank S.p.A.. The securitisation refers to land-property loan agreements, classified as performing loans.
- InterMoney Titulizacion, SGTF, S.A. (WZNK 2019-2 A 03/33): vehicle established under Spanish law, securitisation of credits arising from credit cards. Originator: Wizink Bank, S.A.U..
- Jepson Residential 2019-1 DAC (JPSON 2019-1 B 11/57): vehicle established under Irish law. Securitisation of mortgage loans originated by Bank of Scotland Limited, Start Mortgages DAC and Nua Mortgages Limited and secured by residential properties located in Ireland.
- Lanterna Finance 2015 S.r.l. (LANTE 2015-1 A 10/65): vehicle established pursuant to Law no. 130/1999. Securitisation of loans arising from unsecured loan agreements and mortgage loans granted to small to medium sized enterprises. Originators: Banca Carige SpA (Banca Carige), Banca Carige Italia SpA (Carige Italia), Banca del Monte di Lucca SpA (BML), Cassa di Risparmio di Carrara SpA (CRC) and Cassa di Risparmio di Savona SpA (CARISA).
- Madeleine SPV S.r.l.: as set forth in article 2 of its by-laws, the objective of this vehicle is the acquisition of monetary receivables for the purpose of securitisations and the issue of securities backed by such assets. The Issuer has been established as a multi-use vehicle and as a result it may conduct securitisation transactions in addition to the Securitisation. The loans subject to the securitisation are salary-backed loans to Italian public and private employees.
- Mars 2600 S.r.l. (MARSS 2014-1 A1 10/50): vehicle established pursuant to Law no. 130/1999. Originator: Banca Sella S.p.A.. The securitisation refers to a portfolio of loans arising from residential mortgage and land property loan agreements.
- Miravet S.à R.l. (MIRAV 2019-1 A 05/65): vehicle already existing and organised under the Grand Duchy of Luxembourg laws. The securitisation refers to a portfolio of mortgage loans granted to companies and persons domiciled in Spain. Originator: Catalunya Banc, S.A., Caixa d'Estalvis de Catalunya, Caixa d'Estalvis de Tarragona and Caixa d'Estalvis de Manresa.
- Mulcair Securities Designated Activity Company (MULC 1 A 04/71 and MULC 1 B 04/71): a vehicle established under Irish law. Securitisation of mortgage loans secured by residential properties located in Ireland and originated by Bank of Ireland, Bank of Ireland Mortgage and ICS Building Society.
- Norma SPV: on 1 July 2017, as part of a securitisation of non-performing loans, also originated by banks outside the MPS Group, Banca MPS and MPS Capital Services completed the sale of a portfolio of non-performing loans in the real estate and shipping sectors. The entire portfolio sold to the vehicle Norma SPV S.r.l. consisted of no. 19 loans equal to EUR 284.9 mln, of which:



- no. 12 loans disbursed by the Parent Company for EUR 24.0 mln in the real estate sector and EUR 145.3 mln in the shipping sector;
- no. 7 loans disbursed by the subsidiary MPS Capital Services for EUR 28.8 mln in the real estate sector and USD 86.8 mln in the shipping sector.

As at 31 December 2019, the remaining debt balance of the portfolio originated by the MPS Group amounted to EUR 224.5 mln (including EUR 127.2 mln transferred by the Parent Company and EUR 97.3 mln by MPS Capital Services). To fund the acquisition of this portfolio, on 21 July 2017 the Vehicle issued Class A1, B, C and D ABS securities (the “securities”) for the real estate sector and Class A1, B, C1, C2 and D ABS securities for the shipping sector. The senior classes of both the real estate and shipping transactions were placed with institutional investors, while the mezzanine and junior classes were subscribed by each transferring bank in proportion with the transferred loans. In particular, the MPS Group subscribed the following classes:

- Real Estate: Class B for a nominal amount of EUR 31.2 mln; Class C for a nominal amount of EUR 4.2 mln; Class D for a nominal amount of EUR 15.8 mln.
- Shipping: Class B for a nominal amount of EUR 75.5 mln; Class C1 for a nominal amount of EUR 32.7 mln; Class C2 for a nominal amount of EUR 10.4 mln; Class D for a nominal amount of EUR 105.6 mln.

The placement of part of the notes did not entail the derecognition of the underlying assets from the balance sheet of the transferring Banks, which have substantially retained all risks and rewards associated with the ownership of the assets sold.

- Pepper Iberia Unsecured 2019 DAC (PEPIB A 04/28 and PEPIB B 04/28 MEZ): vehicle established and registered in Ireland. Securitisation refers to a portfolio comprising unsecured consumer loans, originated by Pepper Finance Corporation, S.L.U. (“Pepper Finance”) in Spain.
- Pietra Nera Uno S.r.l. (PNER1D TV 18/30 SUB, PNERA 1 A 18/30 TV, PNERA 1 B-TV 18/30 and PNERA1E TV 18/30 SUB): vehicle established pursuant to Law no. 130/1999. The subject loans of the securitisation are commercial loans linked to a number of Italian outlets. Originator: BRE/Europe 7 NQ S.à r. l..
- Quarzo S.r.l. (QUARZ A18/35 TV): vehicle established pursuant to Law no. 130/1999. Securitisation having as collateral performing consumer credit contracts originated in Italy. Originator: Compass Banca S.p.A..
- Sabadell Consumo 1, Fondo de Titulización (SABAC 1 A 03/31 and SABAC 1 B 03/31): vehicle established under Spanish law. The securitisation refers to a portfolio of consumer loans. Originator: Banco de Sabadell S.A..
- Sestante Finance S.r.l. is a limited liability company incorporated in the Italian Republic pursuant to article 3 of Italian Law no. 130 of 30 April 1999 (Provisions on loan securitisations). The Issuer is registered in the Milan companies’ register with number 03367430968 and in the register held by the Italian Foreign Exchange Office pursuant to article 106 of the Banking Law with number 33852 and the special register (special list) held by the Bank of Italy pursuant to article 107 of the banking law. Since its establishment, the Issuer has undertaken no activities other than the acquisition of initial claims and the signing of settlement documents and it has not prepared any financial statements or declared or paid dividends or assumed any debt, other than the costs and expenses of establishing the Issuer or otherwise pursuant to the settlement documents. The issuer has no employees. The Issuer was established on 17 December 2001 with the name Gea S.r.l. The extraordinary shareholders’ meeting held on 7 November 2003 changed the name to Sestante Finance S.r.l. The Issuer’s authorised share capital, issued and fully paid in, is EUR 10,000. The Issuer’s share capital has been subscribed as follows: Stichting Artemide: EUR 6,000, which represents 60% of the share capital Stichting Olimpo: EUR 4,000, which represents 40% of the equity. The loans held by the vehicle are Italian residential mortgage loans.
- Sharmrock Residential 2019 – 1 DAC (SROCK 2019-1 A 11/57, SROCK 2019-1 B 11/57): vehicle established under Irish law. Securitisation of mortgage loans secured by residential properties located in Ireland. Originators: Irish Nationwide Building Society, Bank of Scotland plc, Bank of Scotland (Ireland) Limited, Start Mortgages DAC and Nua Mortgages Limited.
- Siena NPL 2018 S.r.l.. In the course of 2017, on the basis of what is set forth in the Restructuring Plan and in line with the terms of the agreements entered into with Quaestio Capital Management SGR S.p.A., the Parent Company completed a transfer through securitisation of a portfolio of doubtful loans along with other Group companies. The portfolio was sold on 20 December 2017 to the vehicle Siena NPL 2018 S.r.l., established for this purpose. The vehicle financed acquisition of the portfolio through issuance of the following asset-backed securities (the “Securities”), with limited recourse:
 - (i) Senior A1 notes for EUR 2,683.5 mln;
 - (ii) Senior A2 notes for EUR 412.1 mln;
 - (iii) Mezzanine notes for EUR 847.6 mln;
 - (iv) Junior notes for EUR 565.0 mln



centralised in dematerialised form at Monte Titoli S.p.A. and initially not listed on any Italian and/or foreign regulated market.

On 9 January 2018, the transfer of 95% of the mezzanine notes to Quaestio Capital SGR on behalf of the Italian Recovery Fund (formerly Fondo Atlante II) was completed. In May 2018, at the end of the rating assignment process, the senior notes were restructured into a single class, obtaining an investment grade rating from the 3 ratings agencies involved. The securities issued by the vehicle following the restructuring are the following:

(i) Senior A notes for EUR 2,918 mln, rating A3/BBB+/BBB (Moody's/Scope Ratings/DBRS). The outstanding amount as at 31 December 2019 was EUR 2,290 mln;

(iii) Mezzanine B notes for EUR 847.6 mln, without rating and sold to the Italian Recovery Fund managed, as at 31 December 2019, by DeA Capital Alternative Funds SGR (previously by Quaestio Capital SGR), for 95% of the issue; The outstanding amount as at 31 December 2019, due to the capitalisation of the interest, was about EUR 857 mln;

(iv) Junior notes for EUR 565.0 mln, without rating.

In June 2018, with the transfer of 95% of the junior notes to Quaestio Capital SGR on behalf of the Italian Recovery Fund (formerly Fondo Atlante II), in addition to that of the Mezzanine notes, deconsolidation of the entire securitised portfolio was completed. The remaining 5% of the junior and mezzanine notes was retained for the purpose of compliance with the "retention rule".

Lastly, in July 2018, the MEF granted, with its decree, the government guarantee (GACS) on the senior tranche of the securitisation. Obtainment of the GACS completed the entire securitisation process.

- Storm 2016-I B.V. (STORM A2-TV 16/54): vehicle established under Dutch law. Securitisation having as collateral residential mortgage loans originated in the Netherlands.
- Sunrise SPV Z80 S.r.l. (SUNRI 20019-2 A 10/44): vehicle established pursuant to Law no. 130/1999. Originator: Agos Ducato S.p.A. The portfolio includes consumer loans and personal loan agreements, granted by Agos to natural persons and classified as performing.
- Tagus Sociedade de Titularizacao de Creditos S.A.: Portuguese vehicle which issued notes collateralised with loans for auto/lorry purchases/leases and electricity receivables (Originator EDP Servico Universal SA).
- Taurus 2015-1 IT S.r.l.: the issuer was incorporated in the Italian Republic pursuant to the Securitisation Law on 23 October 2014 as a limited liability company and, on 17 November 2014, it changed its name to "TAURUS 2015-1 IT S.R.L.". The Issuer's by-laws call for its closure on 31 December 2100. The Issuer has no employees or subsidiaries. The Issuer's authorised and issued share capital is EUR 10,000, fully paid in. The current shareholder of the Issuer is: Quotaholder Quota Stichting SFM Italia n. 1 EUR 10,000 (100% of the share capital). The main activity of the Issuer, its only scope of business, pursuant to article 2 of its by-laws and in compliance with the Securitisation Law, is the performance of securitisations. The vehicle is collateralised by a portfolio 95% of which consists of three loans secured by 14 commercial and office properties located in Northern Italy and Rome.
- Taurus 2018-1 IT S.r.l. (TAURUS A 18 TV 18/30): vehicle established pursuant to Law no. 130/1999. Securitisation having as collateral mortgage loans of non-residential properties located in Italy. Originator: Bank of America Merrill Lynch International Ltd.
- Titulización de Activos S.G.F.T., S.A (TDA 15 B1 6/42 and TDA 15 B2 06/42): vehicle established under Spanish law. Securitisation of mortgage loans granted by the following originators: Banco Guipuzcoano, Caja Cantabria, Caja de Ingenieros and Caixa Terrassa.
- Towers QC S.r.l.: vehicle established pursuant to Law no. 130/1999. A securitisation of salary/pension-backed loans granted by Accedo S.p.A.

Maximum exposure to the risk of loss has been determined to be equal to book value. During the year under review, the Group did not provide and does not intend to provide financial or other support.



C.5 Prudential consolidation - Servicer activities - own securitisations: collections of securitised loans and redemptions of securities issued by the special purpose vehicle

As at 31 December 2019, the Group does not carry out servicer activities in its own securitisation transactions in which the assets sold have been derecognised in the financial statements pursuant to IFRS 9. For 2018, the Casaforte securitisation, closed with the early redemption of the securitised loan and the notes on 12 June 2019, for which the Parent Company was carrying out servicer activities, although this is a consolidated vehicle, was highlighted.

C.6 Prudential consolidation - Consolidated special purpose securitisation vehicles

The Group carried out securitisation transactions chiefly to optimise its liquidity profile; besides placing the available securities on the market, they were used to perform refinancing transactions with the ECB and repurchase agreements with the market.

The paragraphs below describe the characteristics of the Group's securitisation transactions originated in previous years and ongoing as at 31 December 2019 where the securities were partly placed on the market or with retail customers; it also provides information on the nature of the risks associated with the interests in consolidated securitisation vehicles.

In view of these transactions, the Parent Company allocated reserves in support of the vehicles, should such funds be needed upon occurrence of certain events. As at 31 December 2019, these reserves amounted to EUR 133.8 mln.

It should be noted that in the first half-year of 2019, the Casaforte transaction was completed with the early redemption of the securitised loan and of the notes.

It should also be noted that as at 31 December 2019, the outstanding notes of the Siena Lease 2016-2 S.r.l. transaction, are fully held by the originator MPS Leasing and Factoring (for further details, see the following paragraph Liquidity risks - Self-securitisation transactions).

Own securitisations without derecognition of the underlying assets

Siena Mortgages 10-7 S.r.l.

On 30 September 2010, a portfolio of 34,971 performing residential mortgage loans originated by the Parent Company was sold for EUR 3,479.5 mln. As at 31 December 2019, the remaining debt balance amounted to EUR 1,505.8 mln (19,710 outstanding mortgage loans).

To fund the acquisition of this portfolio, the vehicle issued residential mortgage-backed notes (RMBS); Class A1 and A2 notes - now fully repaid - were sold on the market, whereas the remaining classes of notes issued were initially underwritten by the Parent Company which subsequently also sold on the market the notes of Class A3 (as at 31 December 2019, a minimum share of the notes of class A3 was repurchased on the market by the subsidiary MPS Capital Service).

Market placement of these classes did not entail the derecognition of the underlying assets from the balance sheet of the Parent Company (transferor), which has substantially retained all risks and rewards associated with the ownership of the assets sold.

Siena PMI 2016 Serie 2 S.r.l.

In 2019, the Group finalised, through the vehicle called Siena PMI 2016 S.r.l., a securitisation transaction of a portfolio of performing loan agreements granted to Italian small to medium sized enterprises, in the amount of EUR 2,258.4 mln. As at 31 December 2019, the remaining debt was EUR 1,731.0 mln, for a total of 20,241 loan agreements.

Following the acquisition of the portfolio, which occurred on 12 April 2019, the Vehicle issued, on 19 June 2019, ABS notes in the classes hereinafter indicated (in parenthesis the rating attributed by the Fitch and DBRS agencies as at 31 December 2019):

- Class A1 notes (AA and AAA) for a nominal amount of EUR 187.3 mln, of which EUR 332.1 mln were redeemed;



- Class A2 notes (AA and AAA) for a nominal amount of EUR 813.0 mln;
- Class B notes (AA- and AAL) for a nominal amount of EUR 225.8 mln;
- Class C notes (BB+ and BBH) for a nominal amount of EUR 271.0 mln;
- Class D notes (CCC and C) for a nominal amount of EUR 248.5 mln.
- Class J notes (not rated) for a nominal amount of EUR 180.7 mln.

The Class A2 notes were placed with institutional investors for a total of EUR 720 mln; the remaining senior notes, together with the mezzanine and junior notes, were instead underwritten by the Parent Company that can dispose them with the next sale on the market or can use them as collaterals for loan transactions.

The partial sale of the notes of Class A2 on the market did not entail the derecognition of the underlying assets from the balance sheet of the Parent Company (transferor), which has substantially retained all risks and rewards associated with the ownership of the assets sold.

For all securitisations specified above, during the period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract. There are also no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.

The Group does not intend to provide financial or other support to consolidated securitisation vehicles, nor to assist entities in obtaining financial support.



D. Transfers

A. Financial assets sold and not fully derecognised

Qualitative Information

In September 2019, the MPS Group finalised a sale of a multi-originator type of a portfolio of loans classified as “unlikely to pay”, issued to industrial and service companies located in Italy and with a turnover not under EUR 50 mln, to a Fund - managed by Clessidra SGR S.p.A. The price settlement was determined by offsetting the loan owed by the Fund with the concurrent underwriting of freed up units of the Fund.

As at the sale date, the portfolio consisted of loans payable to the MPS Group and other banking groups by 13 target companies (for the MPS Group, 8 debtors) for a gross total exposure of EUR 272.2 mln (for the MPS Group, EUR 100.1 mln - primarily unsecured, about 71% of the total sold loans - of which EUR 91.2 mln referring to the Parent Company and EUR 8.9 mln to the subsidiary MPS Capital Services S.p.A.) at a total price of EUR 194.9 mln (for the MPS Group, about EUR 76.8 mln). The net book value of the loans as at the sale date for the MPS Group was EUR 70.5 mln.

It should also be noted that, in November 2019, the subsidiary MPS Capital Services S.p.A. finalised the sale of another position - which was however already transferred by the Parent Company - for a total of around EUR 1.8 mln in terms of gross exposure for a transfer value of EUR 1.3 mln, therefore the financing interest of the Group went from the original 39.4% to a total of 39.8%.

The Fund was established for the purpose of improving the performance for the recovery of the loans acquired, thanks to the value increase of the target companies through:

- inputs of a managerial nature, made possible through the substantial addition of the Fund to the net financial positions of the companies and to any conversion of the acquired loans into equity instrument of the same companies;
- contribution of financial resources instrumental for a better industrial and financial turnaround process.

The Fund has issued four categories of units with different economic rights:

- units A reserved to the transferring banks;
- units B and C intended for two categories of institutional investors who contribute a “new finance”;
- units D reserved to the Fund management team.

As indicated above, units A underwritten by the MPS Group were 39.8% of the total and represent, in terms of credit risk, a very significant exposure with respect to the transferred loans. Given the high percentage of retention of risks/benefits related to the transaction, the Group did not derecognise the sold loans which therefore continue to be fully recorded under assets in the Group’s financial statements and the units of UCITS of the Fund were consequently not recognised.



Quantitative Information

D.1 Prudential consolidation - Financial assets sold and fully recognised and associated financial liabilities: book values

	Financial assets fully recognised				Financial liabilities		
	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement	of which: impaired	Book value	of which: subject to securitization transactions	of which: subject to repurchase agreement
Financial assets held for trading	5,673,273	-	5,673,273	X	2,604,421	-	2,604,421
1. Debt securities	5,673,273	-	5,673,273	X	2,604,421	-	2,604,421
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	X	-	-	-
4. Derivatives	-	-	-	X	-	-	-
Financial assets measured at fair value mandatory	97,828	97,828	-	97,828	5,705	5,705	-
1. Debt securities	-	-	-	-	-	-	-
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	97,828	97,828	-	97,828	5,705	5,705	-
Financial assets designated at fair value	-	-	-	-	-	-	-
1. Debt securities	-	-	-	-	-	-	-
2. Loans	-	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	247,467	-	247,467	-	164,080	-	164,080
1. Debt securities	247,467	-	247,467	-	164,080	-	164,080
2. Equity instruments	-	-	-	X	-	-	-
3. Loans	-	-	-	-	-	-	-
Financial assets measured at amortised cost	4,418,007	3,197,003	1,149,578	197,569	2,189,808	1,344,245	845,563
1. Debt securities	1,149,578	-	1,149,578	-	845,563	-	845,563
2. Loans	3,268,429	3,197,003	-	197,569	1,344,245	1,344,245	-
Totale 31 12 2019	10,436,575	3,294,831	7,070,318	295,397	4,964,014	1,349,950	3,614,064
Totale 31 12 2018	9,441,327	2,577,211	6,864,116	201,403	7,052,888	345,604	6,707,284

The net book value of loans classified as “unlikely to pay” that were sold in exchange with units of the Fund managed by Clessidra SGR S.p.A., and were not subject to derecognition, amounted, as at the reporting date of these financial statements, to EUR 71.4 mln and are included under item “Financial assets measured at amortised cost” on line 2 Loans.

D.2 Prudential consolidation - Financial assets sold and partially recognised and associated financial liabilities: book values

This table was not created as the Group did not have any financial assets sold and partially recognised in the current year or previous year.



D.3. Prudential consolidation - Sales transactions relating to financial liabilities with repayment exclusively based on assets sold and not fully derecognised: fair value

	Fully recognised	Partially recognised	Total	
			31 12 2019	31 12 2018
Financial assets held for trading	-	-	-	-
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
4. Derivatives	-	-	-	-
Financial assets measured at fair value mandatory	97,828	-	97,828	101,028
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	97,828	-	97,828	101,028
Financial assets designated at fair value	-	-	-	-
1. Debt securities	-	-	-	-
2. Loans	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-
1. Debt securities	-	-	-	-
2. Equity instruments	-	-	-	-
3. Loans	-	-	-	-
Financial assets measured at amortised cost	3,403,413	-	3,403,413	2,616,570
1. Debt securities	-	-	-	-
2. Loans	3,403,413	-	3,403,413	2,616,570
Total financial assets	3,501,241	-	3,501,241	2,717,598
Total financial associated liabilities	1,349,950	-	1,349,950	345,603
Net value 31 12 2019	2,151,291	-	2,151,291	X
Net value 31 12 2018	2,371,995	-	X	2,371,995

Note that all amounts reported in the item “Financial assets measured at amortised cost - Loans” refer exclusively to the fair value of loans sold with own securitisations without derecognition, which continue to be fully recognised in the Group's balance sheet assets. The amount of EUR 630.0 mln reported under associated liabilities refers to the fair value of the portion of senior notes sold to market counterparties as part of the same securitisation. The Group recognised a liability with the notes-issuing vehicles as an offsetting entry for the cash flows arising from these disposals. Against this liability, the creditor's entitlement to repayment is limited to cash flows arising from the assets underlying senior notes sold.



B. Financial assets sold and fully derecognised with assessment of continuing involvement

Qualitative Information

Quantitative Information

None to report as at 31 December 2019.

C. Financial assets sold and fully derecognised

Following are multi-originator sales, regarding loan portfolios, to a mutual investment fund with the attribution of the related units to the originator intermediaries.

Quantitative Information

On 27 December 2019, the MPS Group, UBI Banca and Banco BPM finalised with AMCO and the Prelios Group a transaction named Cuvée which provides for the creation of a multioriginator platform to manage UTP (Unlikely to pay) loans, from EUR 3 mln to 30 mln, issued to companies of the real estate sector that are in a restructuring phase or in financial difficulties.

In detail, the transaction consisted of the following steps:

- a) sale of all UTP loans by the banks to a securitisation company established pursuant to Law no. 130/1999 (SPV 130), not a subsidiary of AMVO; with the disposal of the loans, each assignor bank acquired a credit from SPV 130 equal to the sale price;
- b) sale by the assignor banks to AMCO of the contractual relationships underlying the loans being sold to the SPV 130, which provide for residual commitments to disburse funds (case not applicable to the first phase for the MPS Group);
- c) contribution/sale to the Fund of the loan owed to the assignor banks by SPV 130 for the sale transaction described in point a). The assignor banks, following the contribution/sale, received from the Fund an amount equal to the sale price;
- d) subsequent issuance by the SPV 130 of untranching notes, fully subscribed by the Fund.

Within the scope of this complex transaction, AMCO took a role as Master and Special Servicer of the securitisation and the Prelios Group the role as Real Estate partner as well as manager of the Fund through Prelios SGR. The partnership enabled to combine financial management skills with specific skills in the real estate sector, creating synergies and greater possibilities for credit collection. Furthermore, it is envisaged that the fund will be able to disburse new financing to assist the companies in achieving a turnaround as well as to complete attractive real estate projects.

The first step of this transaction was completed in December 2019 when the positions of 46 debtors were transferred to the Fund (for the MPS Group, 7 debtors) for a total of about EUR 453 mln (of which EUR 111 mln for the MPS Group) at a price of about EUR 242 mln (EUR 43 mln for the MPS Group). The Group derecognised, as at the reporting date of these financial statements, credit positions for EUR 107.4 mln³⁰ (of which EUR 55.0 mln referring to the Parent Company and EUR 52.4 mln to the subsidiary MPS Capital Services S.p.A.) for a net book value, at the disposal date, of EUR 32.0 mln. The assignor banks received as payment for the sale and following the afore described steps, units of the Fund of which the MPS Group holds 17.7%.

As at 31 December 2019, the sold loans were fully derecognised from the assets in the financial statements of the Group, and units in the amount of EUR 32.3 mln, of which EUR 16.3 mln by the Parent Company and EUR 16.0 mln by the subsidiary MPS Capital Services S.p.A., were recognised.

For more information on the criteria for determining the units fair value, please refer to Part A of these Notes to the Consolidated financial statements.

³⁰ The difference of EUR 3.6 mln versus the total paid amount of EUR 111 mln refers to positions for which, as at the reporting date of these financial statements, the suspending conditions had not yet occurred, consequently they were classified under "Non-current assets and groups of assets held for disposal".



In the past the Group carried out two other multioriginator sale transactions concerning loan portfolios (with full derecognition in the financial statements) to a mutual investment fund, with attribution of the related units to the assignor intermediaries. This refers to a project of Idea Capital Fund S.g.r., a management company that has established two multi-segment mutual investment funds called Fondo IDEA CCR I (2015) and Fondo IDEA CCR II (2017). These funds are closed-end real estate funds reserved to qualified investors and their purpose is to maximise the recovery rate of acquired non-performing loans and of new loans granted through the business and financial restructuring of medium sized companies.

As for Fondo IDEA CCR I, the net book value of the loans as at the sale date for the MPS Group was EUR 9.3 mln. The pool of assignor banks received, as payment for the sale, units of Fondo IDEA CCR I of which the MPS Group holds 8.1%.

As for Fondo IDEA CCR II, the net book value of the loans as at the sale date for the MPS Group was EUR 29.8 mln. The pool of assignor banks received as payment for the sale, units of Fondo IDEA CCR II of which the MPS Group holds 14.1%.

As at 31 December 2019, the book value of these units is respectively EUR 4.7 mln for Fondo IDEA CCR I and EUR 19.2 mln for Fondo IDEA CCR II.

For more information on the criteria for determining the units fair value, please refer to Part A of these Notes to the Consolidated financial statements.

D.4 Prudential consolidation – Covered bond transactions

Characteristics of the Covered Bond Issuance Programmes

The Group has two Covered Bond Issuance Programmes.

The first Programme, meant for institutional investors, was launched in 2010 for an amount of EUR 10,000 mln. The programme is intended to place a secured product on the market, offering covered bonds as a preferred instrument for financial profile improvement in the mid and long term. In light of the developments in the financial markets, the Programme should be considered as part of a wider strategy, aimed at:

- curbing the costs of funding: covered bonds are widely preferred, inasmuch as they are issued directly by the Bank and their repayment is also guaranteed by a segregated pool of assets (in this case, residential mortgage loans); in the event of issuer bankruptcy, covered bond holders enjoy a right of recourse on a portfolio of segregated high-quality assets and are, therefore, willing to accept a lower yield than the one offered by similar uncovered bonds;
- diversifying the Bank's funding sources on the international market;
- lengthening its average debt maturity profile.

On 26 June 2015, the First Programme's meeting of the covered bond holders approved the proposed amendments in order to:

- amend the Programme, to obtain a rating from DBRS (in addition to Moody's and Fitch) for the covered bonds issued and to be issued as part of the Programme; and
- activate, if specific cases of default take place pursuant to the Programme, a "conditional pass through" type mechanism for the repayment of the bonds issued.

At the time of the annual renewal of the Programme, on 23 December 2017, its maximum amount was increased from EUR 10,000 mln to EUR 20,000 mln.

With a view to improving the efficiency and stability of the Group's Counterbalancing Capacity, in 2012 a second Bond Issuance Programme was authorised, collateralised by separate assets consisting of residential and commercial mortgage loans for a maximum of EUR 20,000 mln. The programme is not intended for the market but for instruments eligible as collateral in refinancing transactions through the European Central Bank. The programme, which did not have an explicit rating at its launch, was rated by DBRS in 2013.

The structure of the Group's Covered Bond programmes requires fulfilment of the following activities:

a) the Parent Company or another Group company transfers, without recourse, a pool of assets, which may consist of cash and other assets as appropriate (real-estate backed, residential and commercial mortgage loans), to the vehicles MPS Covered Bond S.r.l. and MPS Covered Bond 2 S.r.l., thereby forming a segregated cover pool;



b) the Transferor grants a subordinated loan to the vehicle, for the purpose of financing payment of the assets' purchase price by the vehicle;

c) the Parent Company issues covered bonds secured by an autonomous, irrevocable and unconditional first-demand guarantee issued by the vehicle for the only benefit of the bond-holding investors and senior debtors in the Programme (the guarantee involves limited recourse to the assets of the Cover Pool owned by the vehicle, which acts as Guarantor).

Accounting treatment

Pursuant to IFRS 9, the derecognition of a financial instrument from the balance sheet of the transferor is determined on the basis of the substance of the contract, not its legal form.

Having said this, the deal is recognised as follows:

- transferred mortgage loans continue to be reported in the Parent Company's balance sheet under item 40b) of assets "Financial assets measured at amortised cost: loans to customers", sub-item "Mortgages", inasmuch as the Parent Company retains the risks and rewards of ownership of the loans transferred;
- the loan disbursed by the Parent Company to the Vehicle is not classified as a separate item in the balance sheet, since it is offset with the amount due to the Vehicle in which the initial transfer price was recognised. The loan, therefore, is not subject to credit risk assessment, because this risk is entirely reflected in the assessment of transferred mortgage loans, which continue to be reported in the Parent Company's balance sheet.
- mortgage loans are subject to movements based on own events (figures and assessment); instalments collected by the Parent Company (which also acts as a servicer) are reallocated daily to the Vehicle's "Collection Account" and accounted for by the Parent Company as follows:
 - collection of principal from borrower is recognised as an offsetting entry to the reduction in the loan to the borrower;
 - reallocation of principal to the Vehicle is recognised as an offsetting entry to the recognition of a loan to the Vehicle;
 - this loan is paid off upon repayment of the subordinated loan;
 - interest from the borrower is recognised as an offsetting entry to Item 10 of the Income Statement "Interest income: loans to customers" (interest on mortgage loans continues to be recognised on an accrual basis);
 - reallocation of interest to the Vehicle is recognised as an offsetting entry to the recognition of a loan to the Vehicle;
 - this loan is paid off upon collection of interest on the subordinated loan.
- the vehicles "MPS Covered Bond S.r.l." and "MPS Covered Bond 2 S.r.l." are invested in by the Parent Company for a control stake of 90%, recognised under Item 70 "Equity Investments" and included in the Group's consolidated financial statements under the comprehensive approach;
- bonds issued are posted to Item 10c) "Financial liabilities measured at amortised cost: debt securities issued" on the liabilities side, and related interest expense is recognised on an accrual basis.

In consideration of the characteristics and accounting treatment of the deal, the swaps associated with the transaction are not recognised in the balance sheet, since their recognition would entail, pursuant to par. B3.2.14 of IFRS 9, a duplication of rights and obligations already recognised due to mortgage loans transferred being maintained on the balance sheet.

Risks and Control Measures

In order to allow the transferee to meet the obligations of the collateral pledged, the Parent Company uses appropriate Asset & Liability Management techniques to secure a trend of substantial balance between the maturities of cash flows arising from the assets sold and maturities of payments due in relation with the covered bonds issued and other costs of the transaction.

The Programmes were structured in compliance with applicable rules and regulations which authorise the issuance of covered bonds only if the transferring and issuing banks meet certain capital requirements.



The structure of the debt issuance programmes of the Parent Company (in the role of transferor and servicer) is subject to stringent regulatory requirements and calls for continuous actions, on a regular basis and for each transaction, by the Credit Portfolio Governance Area, the Finance, Treasury & Capital Management Area and the Lending Risk Officer Areas, as well as supervision by the Credit Audit Service and an external auditor (Deloitte & Touche) in the capacity of Asset Monitor. In particular, these actions include:

- assessment of capital requirements mandated by Supervisory Instructions when it comes to covered bond issuance programmes;
- assessment of the quality and integrity of assets transferred with regard, in particular, to the estimated value of properties, both residential and commercial, on which a mortgage in relation with the asset-backed loans is placed; this assessment may result in repurchases, integrations and additional transfers of supplemental assets;
- assessment of an appropriate ratio being maintained between bonds issued and assets transferred as collateral (Cover Pool - mortgage and residential assets for the first programme and residential and commercial assets for the second programme);
- assessment of transfer limits and integration practices;
- assessment on whether risks are effectively and adequately hedged by derivative contracts in relation to the transaction.

In the course of 2013, the mitigation strategy for interest rate risk on the first Programme was restructured in order to minimise the Vehicle's exposure to market counterparties. In particular, the newly-defined strategy aims to only cover the Vehicle's net exposure to interest rate risk, as opposed to the nominal amount. At the same time, the outsourcing of some Covered Bond Swaps outstanding with market counterparties was carried out.

The paragraphs below provide information on the nature of the risks associated with the interest in the MPS Covered Bond S.r.l. vehicle, whose assets are pledged as collateral of bond issues of the Parent Company partly placed with the market.

In particular, the terms of the agreements that could require the Group to provide financial support to the vehicle MPS Covered Bond S.r.l. are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agencies from time to time;
- if the Parent Company's rating is below "BBB (low)" (DBRS), "BBB-" (Fitch) and "Baa3" (Moody's), the repayment of each subordinated loan will be delayed by 6 months after the original expiry (unless early loan repayment is necessary to allow for compliance with the maximum limit of cash that may be accumulated by the Vehicle, established by regulation as 15% of the total of the cover pool, to the extent to which it is not possible for the Vehicle to acquire new suitable assets to replace cash, pursuant to the Framework Transfer Agreement);
- in accordance with the Master Definition Agreement, the Parent Company shall allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agencies.

As concerns the second programme, the terms of the agreements that could require the Group to provide financial support to the vehicle MPS Covered Bond 2 S.r.l. are as follows:

- the Parent Company undertakes, in accordance with the programme's terms, to ensure compliance over time with the regulatory and contractual tests determined according to the methodologies set by the rating agency from time to time;
- in accordance with the Master Definition Agreement, the Parent Company shall allocate and change the amount of the variable liquidity reserve according to criteria agreed upon with the rating agency.

During the period under review the Parent Company and its subsidiaries have not provided any financial or other support without being obliged under the contract.

There are no cases of financial or other support to a previously non-consolidated structured entity as a result of which the structured entity was controlled by the Group.



The Group does not intend to provide financial or other support to the vehicle, nor to assist the entity in obtaining financial support.

Description of individual disposals and issuances

For the First Programme, on 27 February 2019 a portfolio of 16,880 performing residential mortgage loans was sold, with no outstanding payments at the date of portfolio valuation and meeting selection criteria substantially comparable to those used for previous disposals, for an amount of EUR 1,809.8 mln. On 16 October 2019, an additional portfolio with 12,008 performing residential mortgage loans was sold, with no outstanding payments at the date of portfolio valuation and meeting selection criteria substantially comparable to those used for previous disposals, for an amount of EUR 1,262.9 mln.

Here follows a summary of the main characteristics regarding transfers in the First Programme:

Cover Pool transfer date	Type of securitised assets	Transferor	Total value of asset transferred (in units of eur)	N° of mortgage loans transferred	Breakdown of transferred debtors by business sectors
25/05/10	Residential mortgage loans	Banca MPS	4,413,282,561	36,711	100% natural persons
19/11/10	Residential mortgage loans	Banca MPS	2,400,343,584	19,058	100% natural persons
25/02/11	Residential mortgage loans	Banca MPS	3,887,509,799	40,627	100% natural persons
25/05/11	Residential mortgage loans	Banca MPS (ex Banca Antonveneta)	2,343,824,924	26,804	100% natural persons
16/09/11	Residential mortgage loans	Banca MPS	2,323,368,355	27,973	100% natural persons
14/06/13	Residential mortgage loans	Banca MPS	415,948,266	4,259	100% natural persons
18/09/15	Residential mortgage loans	Banca MPS	1,529,531,983	15,080	100% natural persons
31/10/16	Residential mortgage loans	Banca MPS	775,933,585	7,630	100% natural persons
22/12/16	Residential mortgage loans	Banca MPS	237,758,336	1,903	100% natural persons
03/05/18	Residential mortgage loans	Banca MPS	1,311,870,107	12,401	100% natural persons
27/02/19	Residential mortgage loans	Banca MPS	1,809,753,193	16,880	100% natural persons
16/10/19	Residential mortgage loans	Banca MPS	1,262,890,758	12,008	100% natural persons
Total			22,712,015,451	221,334	

The remaining debt balance on the portfolio as at 31 December 2019 amounted to EUR 11,886.5 mln for 147,277 mortgage loans.

As part of the first Programme, the Parent Company completed a total of twenty-six issuances, thirteen of which had not yet matured or been repaid early for a nominal amount, as at 31 December 2019, of EUR 8,950.0 mln, of which EUR 6,286.3 mln are on the market, while EUR 2,663.7 mln are held by the Parent Company and by the subsidiary MPS Capital Services Banca per le Imprese S.p.A.

In 2019 the following securities were issued as part of the first Programme:

Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
29/01/19	1,000,000,000	2.00%	Annual	january 2024
08/10/19	1,000,000,000	0.88%	Annual	october 2026
Total	2,000,000,000			

For the Second Programme, on 27 September 2019 a portfolio with 4,549 performing residential and commercial mortgage loans was sold, with no outstanding payments at the date



of portfolio valuation and meeting selection criteria substantially comparable to those used for previous disposals, for a total amount of EUR 727.2 mln.

Here follows a summary of the main characteristics regarding transfers in the second Programme:

The remaining debt balance on the portfolio as at 31 December 2019 amounted to EUR 8,666.1 mln for 90,354 mortgage loans.

As part of the second programme, the Parent Company completed thirty-five issuances (of which fourteen not yet matured or redeemed early), which were not intended for the market but repurchased by the Parent Company and used as collateral for refinancing transactions in the Eurosystem, for a total as at 31 December 2019 of EUR 7,550.0 mln.

Cover Pool transfer date	Type of securitised assets	Transferor	Total value of asset transferred (in units of eur)	N° of mortgage loans transferred	Breakdown of transferred debtors by business sectors
30/04/12	Residential mortgage loans	Banca MPS	2,384,995,478	27,047	100% persone fisiche
26/06/12	Residential and commercial mortgage loans	Banca MPS	2,478,270,455	13,993	Mixed
28/08/12	Residential and commercial mortgage loans	Banca MPS	1,401,965,498	17,353	Mixed
24/09/12	Residential and commercial mortgage loans	Banca MPS	2,473,677,574	9,870	Mixed
18/02/13	Residential and commercial mortgage loans	Banca MPS	1,286,740,404	9,033	Mixed
24/06/13	Residential and commercial mortgage loans	Banca MPS	2,147,692,217	12,771	Mixed
25/03/14	Residential and commercial mortgage loans	Banca MPS	1,464,170,335	5,645	Mixed
20/10/15	Residential and commercial mortgage loans	Banca MPS	977,548,353	5,671	Mixed
18/07/16	Residential and commercial mortgage loans	Banca MPS	2,010,907,195	24,162	Mixed
26/08/16	Residential and commercial mortgage loans	Banca MPS	813,253,156	7,211	Mixed
24/03/17	Residential and commercial mortgage loans	Banca MPS	789,153,182	5,799	Mixed
08/05/18	Residential and commercial mortgage loans	Banca MPS	685,537,103	4,718	Mixed
09/11/18	Residential and commercial mortgage loans	Banca MPS	470,369,358	3,002	Mixed
27/09/19	Residential and commercial mortgage loans	Banca MPS	727,237,065	4,549	Mixed
Totale			20,111,517,373	150,824	

As part of the second Covered Bond Programme, the following issues were made in 2019:

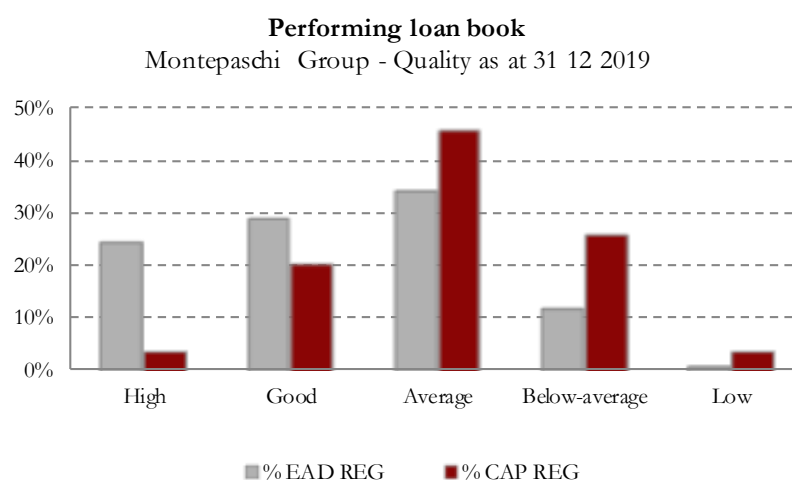
Date of issue	Notional Amount	Coupon	Frequency	Date of maturity
13/09/19	500,000,000	3mE + 0.90%	Quarterly	january 2023
13/09/19	500,000,000	3mE + 0.98%	Quarterly	may 2023
Total	1,000,000,000			



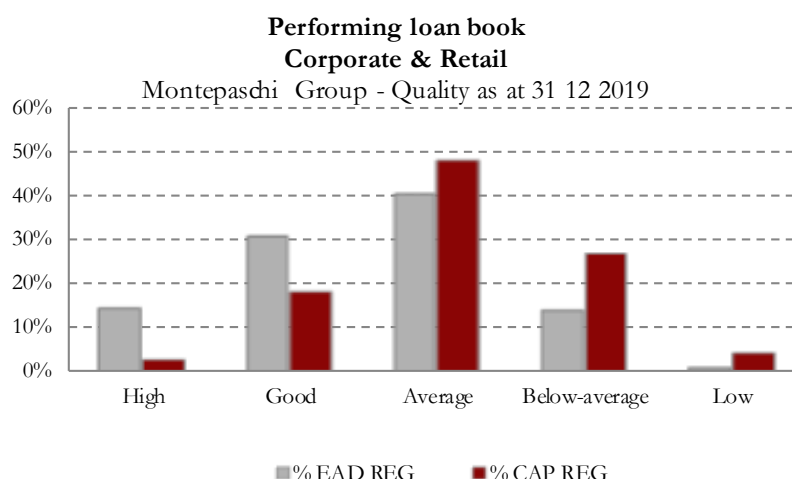
E. Prudential consolidation - Credit risk measurement models

This paragraph provides information of a quantitative nature related to the models for the measurement of credit risk, the qualitative characteristics of which have been described in Chapter 2 “Policies for risk management” of Section 2 “Prudential consolidation risk” of these Notes to the consolidated financial statements.

The chart below provides a credit quality breakdown of the Group portfolio as at 31 December 2019 by Exposure to Risk (EAD REG) and Regulatory Capital (CAP REG). The following graph shows that about 53% (49% as at 31 December 2018) of risk exposure relates to high and good quality customers (positions in financial assets are excluded). It should be noted that the ranking below also includes exposure to banks, government agencies and non-regulated financial and banking institutions, which are not included in the AIRB approaches. As borrowers, these entities are nevertheless subject to a credit standing assessment using official ratings, if any, or appropriate benchmark values that have been determined internally.



On the other hand, the following chart provides a breakdown of credit quality only for Corporate and Retail portfolios (which are largely validated by regulatory authorities for the use of internal PD and LGD models). As at 31 December 2019, high or good quality exposure accounted for approximately 45% of total exposure (42% as at 31 December 2018).

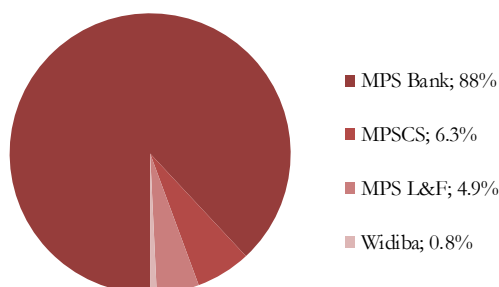


With reference to Risk Exposure, the Parent Company covers 88% of the Group's total, while MPS Capital Services, MPS L&F and Widiba jointly cover the remaining 12%.

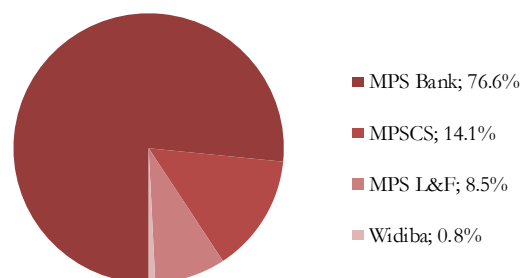
The Regulatory Capital for credit risk is absorbed mainly by the Parent Company (76.6%), followed by MPS Capital Services (14.1%) and MPS Leasing & Factoring (8.5%).



Risk Exposure
Montepaschi Group - 31 12 2019



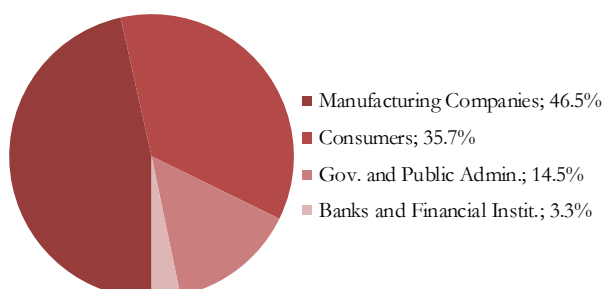
Regulatory Capital
Montepaschi Group - 31 12 2019



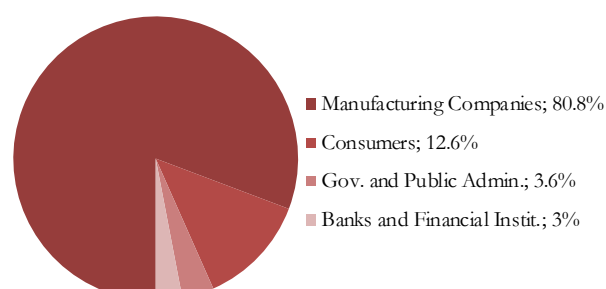
An analysis conducted at the end of 2019 shows that the Group's risk exposure is mainly toward "Manufacturing Companies" (46.5% of total loans disbursed) and "Households" (35.7%). The remaining portion is broken down between "Government and Public Administration" and "Banks and Financial Institutions", respectively at 14.5% and 3.3%.

In terms of Regulatory Capital, 80.8% is absorbed by the "Manufacturing Companies" customer segment. The "Households" segment stands at 12.6%; followed by "Government and Public Administration" and "Banks and Financial Institutions" with 3.6% and 3% respectively:

Risk Exposure
Montepaschi Group - 31 12 2019



Regulatory Capital
Montepaschi Group - 31 12 2019

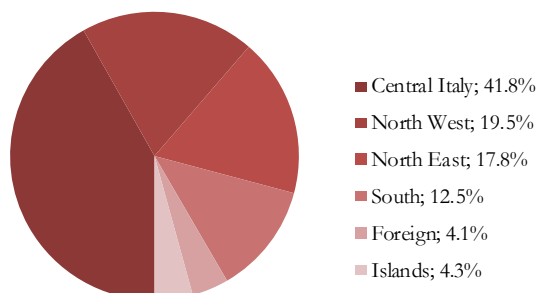


An analysis of the geographical breakdown of the Group customers shows that exposure to risk is primarily concentrated in Italy's Central regions (41.8%), followed by North West (19.5%), North East (17.8%) and Southern regions of Italy (12.5%), the Islands (4.3%) and Foreign Countries (4.1%).

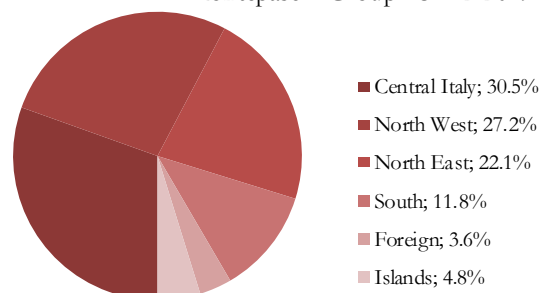
Regulatory Capital absorption is also higher in Central Italy (30.5%), in North West Italy (27.2%) and North East Italy (22.1%) due to the greater concentration of loans in those areas. These are followed by Southern Italy (11.8%), Italy's Islands (4.8%) and Foreign Countries (3.6%):



Risk Exposure
Montepaschi Group - 31 12 2019



Regulatory Capital
Montepaschi Group - 31 12 2019

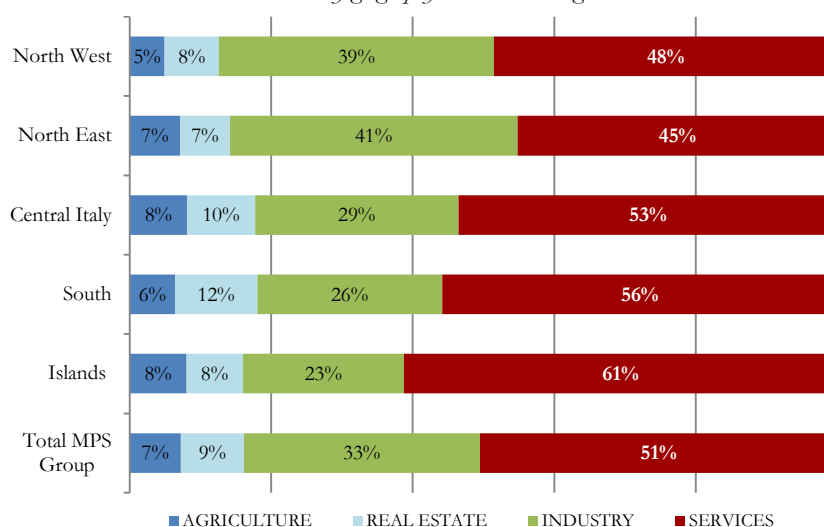


Lastly, the following graphs show, solely for Italian corporate customers, the percentage breakdown of Default Exposure by individual Geographic Area and Regulatory Capital absorption by Business Sector.

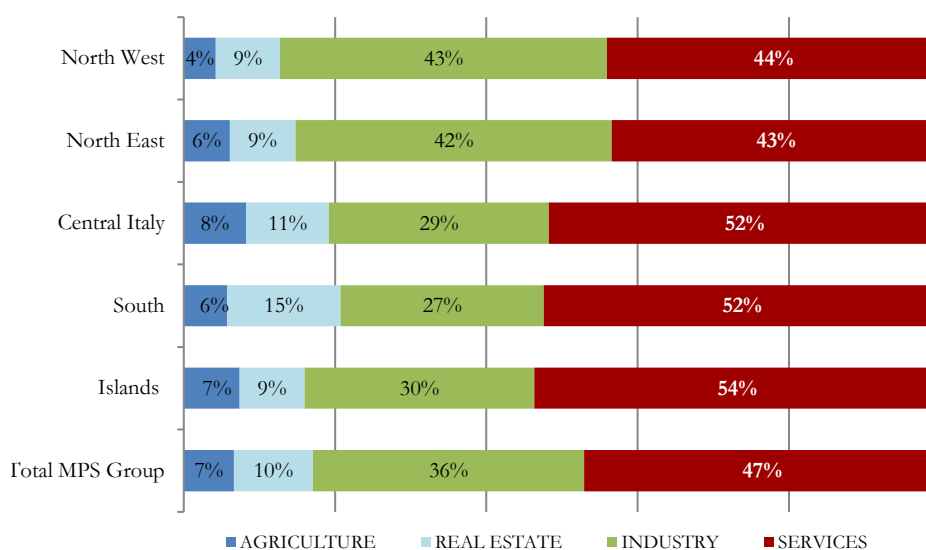
The largest share of Default Exposure for businesses in all Geographic Areas is accounted for by the "Services" sector. Out of the Group's total exposure, the share of Services accounts for 51% and is followed by Industry (33%), Building (9%) and Agriculture (7%):

Italian Corporate customers – performing loan book as at 31 12 2019

EAD REG by geography and business segment



Also as regards Regulatory Capital (CAP REG), the greater concentration relates to the Services sector:

**Italian Corporate customers – performing loan book as at 31 12 2019***CAP REG by geography and business segment*

The comparison between expected loss and actual loss is performed on an annual basis by the internal control function as part of PD and LGD backtesting procedures.

1.2 – Market risks**1.2.1 Interest rate and price risk – Regulatory trading book****Market risks relating to the Trading Book***Market risk management model for the trading book*

The Group's Regulatory Trading Portfolio (RTP), or Trading Book, is made up of all the Regulatory Trading Books managed by the Parent Company (BMPS) and MPS Capital Services (MPSCS). The Trading Books of the other subsidiaries are immune to market risk. Trading in derivatives, which are brokered on behalf of customers, is centralised at MPSCS.

The market risks in the trading book are monitored in terms of Value-at-Risk (VaR) for operational purposes. The Group's Finance and Liquidity Committee is responsible for directing and coordinating the overall process of managing the Group's proprietary finance thereby ensuring that the management strategies of the various business units are consistent.

The Group's Trading Book is subject to daily monitoring and reporting by the Financial Risk Officer Area of the Parent Company on the basis of proprietary systems. VaR for management purposes is calculated separately from the operating units, using the internal risk measurement model implemented by the Risk Management function in keeping with international best practices. The Group uses the standardised methodology in the area of market risks solely for reporting purposes.

Operating limits defined for trading activities are expressed by level of delegated authority in terms of VaR, which is diversified by risk factors and portfolios, monthly and annual stop losses, and stress. Furthermore, the trading book's credit risk, in addition to being included in VaR computations and in the respective limits for the credit spread risk component, is also subject to specific operating limits for issuer and bond concentration risk which specify maximum notional amounts by type of guarantor and rating class.

VaR is calculated with a 99% confidence interval and a holding period of one business day. The Group adopts the method of historical simulation with daily full revaluation of all basic positions, out of 500 historical entries



of risk factors (lookback period) with daily scrolling. The VaR calculated in this manner takes account of all diversification effects of risk factors, portfolios and types of instruments traded. It is not necessary to assume, a priori, any functional form in the distribution of asset returns, and the correlations of different financial instruments are implicitly captured by the VaR model on the basis of the combined time trend of risk factors. The trend-based scenarios used in the model are constructed as the daily change, in terms of the ratio, of the individual risk factors; the shock is applied to the current market level, making the VaR measure reactive to changes in market conditions.

The management reporting flow on market risks is periodically transmitted to the Risk Management Committee, the Group's Top Management and the Parent Company's Board of Directors in a Risk Management Report, which keeps Top Management and governing bodies up to date on the overall risk profile of the Group.

The macro-categories of risk factors covered by the Internal Market Risk Model are IR, EQ, CO, FX and CS as described below:

- IR: interest rates on all relevant curves, inflation curves and related volatilities;
- EQ: share prices, indexes, baskets and relative volatilities;
- CO: commodity prices, indexes and baskets;
- FX: exchange rates and related volatilities;
- CS: credit spread levels.

VaR (or diversified or net VaR) is calculated and broken down daily for internal management purposes, even with respect to other dimensions of analysis:

- organisational/management analysis of portfolios;
- analysis by financial instrument;
- analysis by risk family.

It is then possible to assess VaR along each combination of these dimensions in order to facilitate highly detailed analyses of events characterising the portfolios.

In particular, with reference to risk factors the following are identified: Interest Rate VaR (IR VaR), Equity VaR (EQ VaR), Commodity VaR (CO VaR), Forex VaR (FX VaR) and Credit Spread VaR (CS VaR). The algebraic sum of these items gives the so-called Gross VaR (or non-diversified VaR), which, when compared with diversified VaR, makes it possible to quantify the benefit of diversifying risk factors resulting from holding portfolios on asset class and risk factor allocations which are not perfectly correlated. This information can also be analysed along all the dimensions referenced above.

The model enables the production of diversified VaR metrics for the entire Group in order to get an integrated overview of all the effects of diversification that can be generated among the Group entities on account of the specific joint positioning of the various business units.

Moreover, scenario and stress-test analyses are regularly conducted on various risk factors with different degrees of granularity across the entire tree structure of the Group's portfolios and for all categories of instruments analysed.

Stress tests are used to assess the Group's capacity to absorb large potential losses in extreme market situations, so as to identify the measures necessary to reduce the risk profile and preserve assets.

Stress tests are developed on the basis of discretionary and trend-based scenarios. Trend-based scenarios are defined on the basis of previously-registered real situations of market disruption. Such scenarios are identified based on a time frame in which risk factors were subjected to stress. No particular assumptions are required with regard to the correlation among risk factors since trend-based data for the stress period identified has been measured.

Stress tests based upon discretionary scenarios assume extreme changes occurring to certain market parameters (interest rates, exchange rates, stock indices, credit spreads and volatility) and measure the corresponding impact on the value of portfolios, regardless of their actual occurrence in the past. Simple discretionary scenarios are currently being developed (variation of a single risk factor) as are multiple ones (variation of several risk factors simultaneously). Simple discretionary scenarios are calibrated to independently deal with one category of risk factors at a time, assuming shocks do not spread to the other factors. Multiple discretionary scenarios, on the other hand, aim to assess the impact of global shocks that simultaneously affect all types of risk factors.

It should be noted that the VaR methodology described above is, for operational purposes, also applied to the portion of the Banking Book consisting of financial instruments that are comparable to trading instruments (e.g.



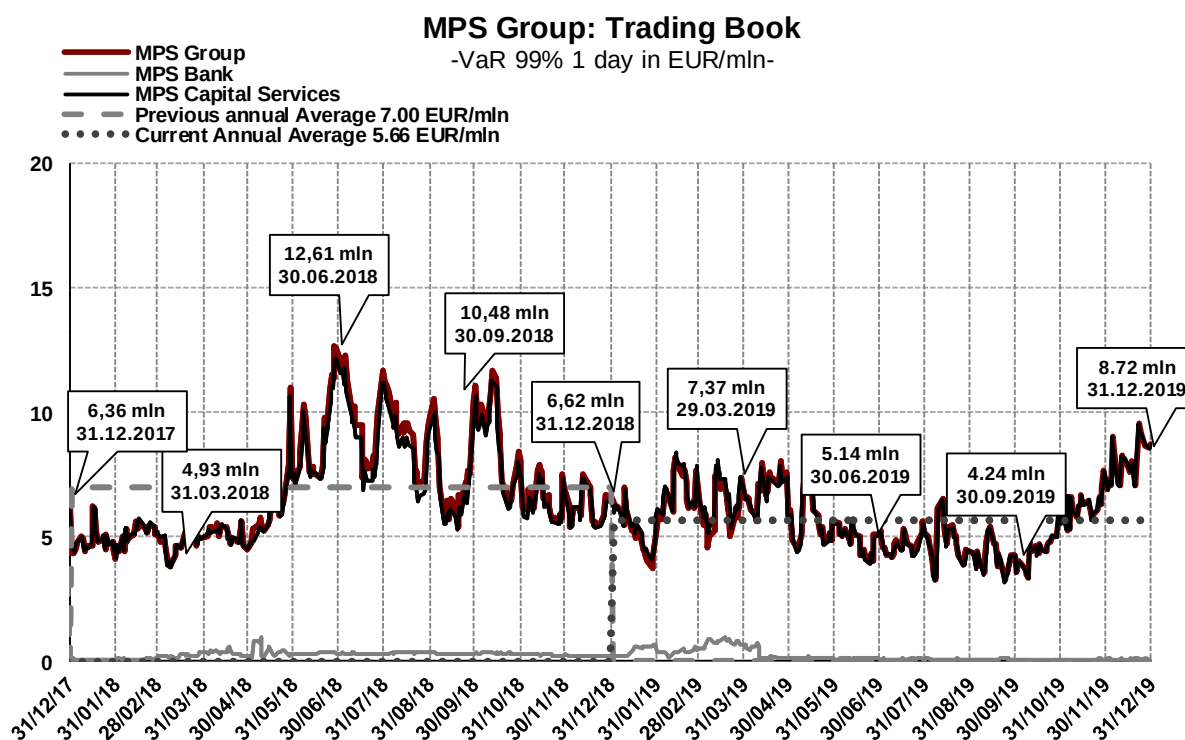
Equity instruments/Bonds held in portfolios, measured at fair value, classified as FVTPL and FVOCI, and in AC portfolios). The measurements and charts below refer to the Regulatory Trading Book.

During the year 2019, the market risks of the Group's Regulatory Trading Book showed, in terms of VaR, a performance influenced by the subsidiary MPS Capital Services, mainly for own trading activities in the CS-IR segment (transactions in Italian government bonds and long futures) and, to a lesser extent, client-driven activities in the EQ segment (options and equity futures on the main market indices). The Parent Company's portfolio contribution to total VaR was negligible.

The volatility of the VaR during the year, down from 2018, was due to the trading activities of the subsidiary MPS Capital Services, linked to cycles of auctions on short-term Italian Government Bonds. Today, the VaR is sensitive to changes in the short-term exposure of the Italian credit spread given that it incorporates, in the tail scenarios recorded between May and June 2018, a marked widening of the yields on Italian Government bonds, more significant on the short-term than the long-term component (i.e. increase in yields with flattening of the curve).

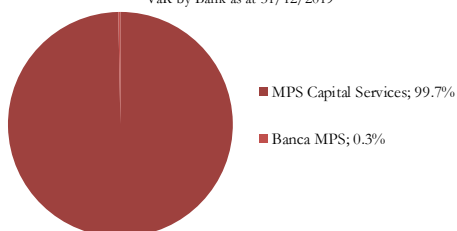
The gradual increase of VaR in the last quarter of the year related to the increase in the exposure of the Italian government securities (EUR 4.6 bn, average exposure in nominal terms in the fourth quarter, with a total duration of less than one year).

Note that in August 2019, a new tail scenario entered the historical simulation VaR model, relating to the increase in the Italian credit spread due to the intervening crisis in the government.



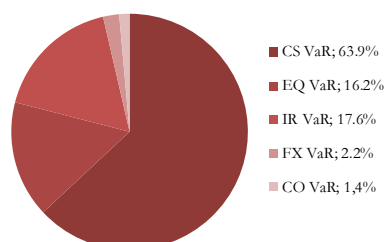


MPS Group: Trading Book
VaR by Bank as at 31/12/2019



With regard to the legal entities, MPS Capital Services accounted for 99.7% and the Parent Company for 0.3% of overall risk as at 31 December 2019.

MPS Group: Trading Book
VaR by Risk Factor as at 31/12/2019



A breakdown of VaR by risk factors shows that 63.0% of the Group's portfolio was allocated to credit-spread risk factors (CS VaR), 17.4% was absorbed by interest rate risk factors (IR VaR), 16.0% by equity risk factors (EQ VaR), 2.2% by foreign exchange risk factors (FX VaR), and the remaining 1.4% by commodity risk factors (CO VaR).

■ MPS Group
VaR PNV 99% 1 day in EUR/mln

	VaR	Data
End Period	8.72	31/12/2019
Min	3.28	23/09/2019
Max	9.57	23/12/2019
Average	5.66	

In 2019, the Group's VaR in the Regulatory Trading Book ranged between a minimum of EUR 3.28 mln on 23 September 2019 and a maximum of EUR 9.57 mln on 23 December 2019, recording an average value of EUR 5.66 mln. The Regulatory Trading Book VaR as at 31 December 2019 amounted to EUR 8.72 mln.



VaR model backtesting

The Group has implemented a backtesting procedure compliant with current regulations governing Market Risk as part of its own risk management system.

Backtesting refers to a series of tests conducted on VaR model results against day-to-day changes in the trading book value, with a view on assessing the model's forecasting capacity as regards the accuracy of the calculated risk metrics. If the model is robust, by periodically comparing the estimated daily VaR in t-1 against the results of the trading activity in t, it should be possible to determine that the actual losses are greater than the VaR with a frequency consistent with that defined by the confidence level.

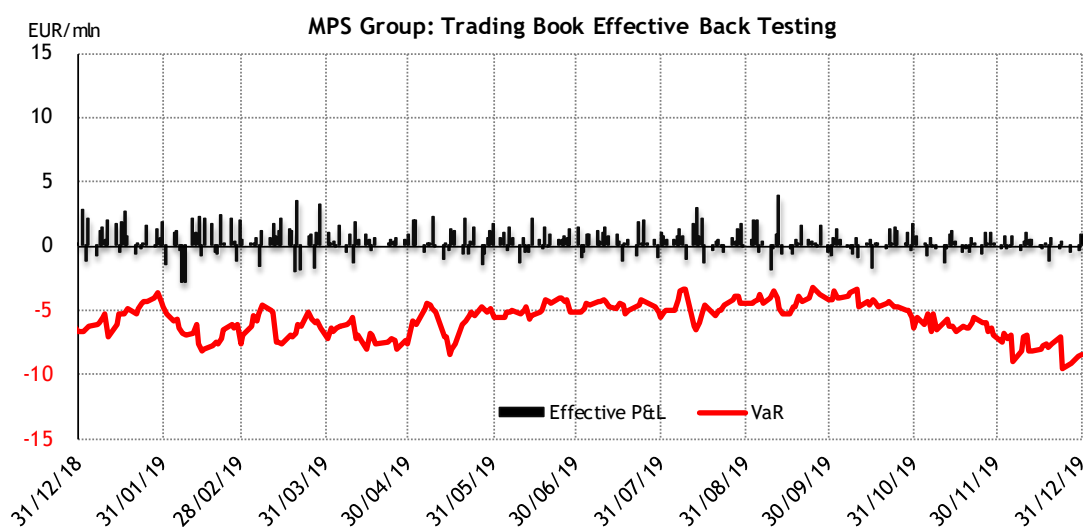
Based on current supervisory instructions, the Financial Risk Officer Area considered it appropriate to apply the theoretical and actual backtesting methods and integrate these into the Group's management reporting system.

The first type of test - theoretical backtesting - has a stronger statistical significance in reference to measuring the accuracy of the VaR model ("uncontaminated test").

The second type of test (actual backtesting) meets the need for verifying the VaR model's forecasting reliability in reference to the actual Group operations (daily trading profit and losses) less the effect of any interest accrued between trading days t-1 and t on the bonds, and less the effect of fees and commissions.

These "clean" P&L results (the "actual P&L") are compared with the previous trading day VaR. If the losses are greater than those forecast by the model an "exception" is recorded.

The chart below shows the actual backtesting results of the internal Market Risks model in relation to the Group's Regulatory Trading Book for 2019:



The backtesting shows no exceptions in 2019.



Structured credit product

Management Model

As at 31 December 2019, the Group did not have a particularly significant portfolio of structured credit products compared to its total financial assets or its total assets.

These investments are subject to risk limits set by the Board of Directors and monitored daily by the Financial Risk Officer Area. Stop loss, risk limits, and nominal limits are defined for maximum exposure for major issuer categories, broken down by rating.

The data reported in this section refer to the entire Group.

Note that no Structured Credit Products considered in this disclosure have embedded credit derivatives that need to be separated from their host cost contract for IFRS 9 purposes.

As at 31 December 2019, there were no direct or indirect exposures to US subprime mortgage loans, Alt-A or monoline insurers.

Positions in Securitisations of third-party issuers

As at 31 December 2019, the securities positions on structured credit products other than own securitisations had a total book value of EUR 449.5 mln, compared to EUR 348.9 mln as at 31 December 2018.

This section does not analyse the securitisations issued by Siena Npl from the disposal of bad loans on 22 December 2017 (deconsolidated in June 2018) since, although they are a vehicle in which the Group has no stake and were not originated and held for liquidity requirements (self-securitisations), the loans transferred belonged to the MPS Group.

In terms of profit and loss, the following was recognised: a positive component in item 10 "Interest income and similar revenues" for EUR 5.5 mln, a negative component in item 80 "Net profit (loss)" for EUR 0.9 mln and a write-up of EUR 0.01 mln in item 130 "Net impairment (losses)/reversals for credit risk".

With regard to the regulatory classification, the positions are primarily held by the subsidiary MPS Capital Services (90.3%) and allocated to the Trading Book (88.3% in terms of book value). The residual positions refer to both the Banking Book of the Parent Company (recognised under financial assets measured at amortised cost).

The underlying assets transferred as part of the securitisation transaction are predominantly residential mortgage loans (32.8%), non-performing loans (20.8%) and personal loans (19.1%). To be noted, for the latter type of underlying transferred positions, 61% of the positions held have benefited from the public guarantee on securitisations (so-called Gacs).

Geographically speaking, the main countries from which the sold loans were granted are: Italy 63%, Ireland 15.1% and Spain 5.8%.

Overall, 97% of the book value of the exposures consists of investment grade securities (with rating up to BBB- included).

The senior tranche accounts for 61.6% of the exposures in terms of book value, and the mezzanine tranche for 28.0%, while the junior tranche accounts for the remaining 10.4%.

Credit Derivative Positions

All exposures analysed in this section are standardised credit indices, synthetic tranches, options on credit indices and single-name CDS.

As at 31 December 2019, net exposures to this type of derivatives have a book value (with accounting as a CDS derivative) of EUR -122 mln; net of consolidation activities these financial instruments are all held by MPS Capital Services and are all included in the Trading Book.



In terms of profit and loss, there was a negative component of EUR 77 mln in item 80 “Net profit (loss) from trading.

Qualitative Information

A. General aspects

Each bank of the MPS Group which is relevant as a market risk-taking centre contributes to the generation of interest rate risk and price risk in the overall Trading Book.

A.1 Interest rate risk

With reference specifically to the Parent Company, the Finance, Treasury & Capital Management Area (FTCMA) is the Business Area in charge of trading. The Global Markets Department carries out trading activities for the subsidiary MPSCS.

The FTCMA manages a proprietary portfolio which takes trading positions on interest rates and credit. In general, interest rate positions are taken by purchasing or selling bonds, and by creating positions in listed derivatives (futures) and OTCs (IRS, swaptions). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss.

In particular, the FTCMA operates in the short-term portion of the main interest rate curves, mostly through bonds and listed derivatives.

With regard to credit risk in the trading book, the equity positions are generally managed through the purchase or sale of bonds issued by companies or by creating synthetic positions in derivatives. The activity is oriented to achieve a long or short position on individual issuers, or a long or short exposure on specific commodities. The activity is carried out solely on the Bank's own behalf with objectives of absolute return and in compliance with other specific issuer and concentration risk limits.

A.2 Price risk

The Business Area in charge of the Parent Company's trading activity with respect to price risk is the FTCMA which manages a proprietary portfolio and takes trading positions on equities, Stock Exchange indexes and commodities. In general, positions on equity securities are taken both through the purchase/sale of equities and through the positions created in listed derivatives (e.g. futures) and OTC (e.g. options). Trading is carried out exclusively on the Bank's own behalf, with objectives of absolute return, in compliance with the delegated limits of monthly and yearly VaR and stop loss. The Global Markets Department also carries out trading activities for the subsidiary MPSCS.

B. Interest rate and price risk: operational processes and measurement methods

With regard to the market risk management process concerning the management and methods for measuring interest rate and price risk, see the above paragraph entitled “Market risk management model for the trading book”.

Quantitative Information

1. Regulatory Trading Book: breakdown of balance sheet financial assets/liabilities and financial derivatives by residual life (repricing date)

This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.



2. Regulatory Trading Book: breakdown of exposures in equity instruments and stock indices by major countries of the listing market.

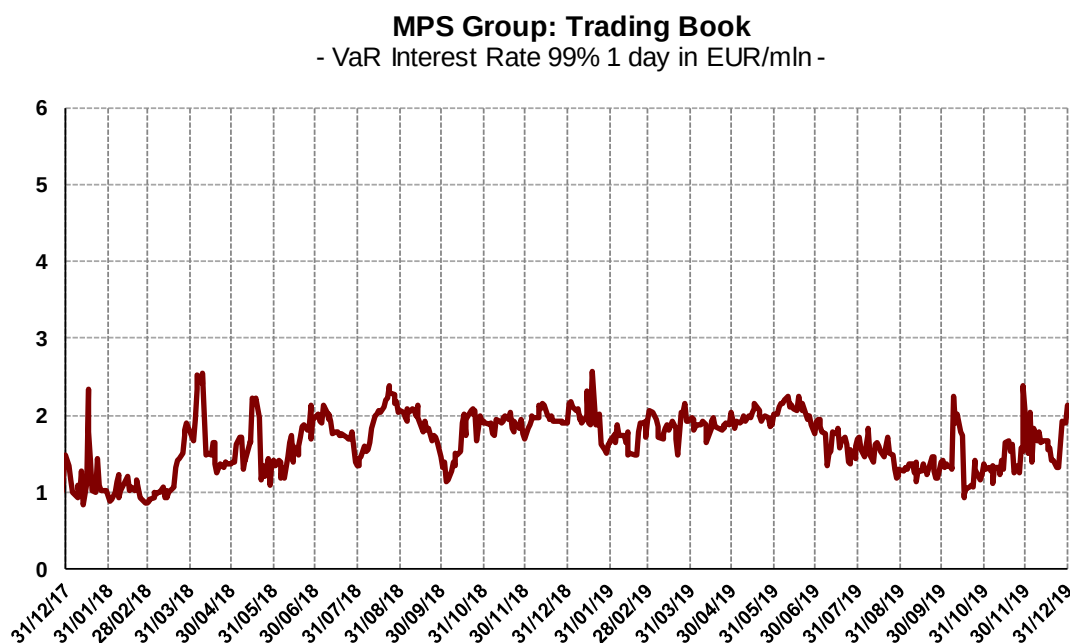
This table was not prepared since an analysis of the Regulatory Trading Book's sensitivity to interest rate risk and price risk is produced based on internal models.

3. Regulatory Trading Book: internal models and other sensitivity analysis methods

The rate and price risk of the Trading Book is monitored in terms of VaR and scenario analysis.

3.1 Interest rate risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than rate risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Interest Rate VaR) has operational relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units. Below is information on the Group's diversified Interest Rate Regulatory Trading Book VaR:



The trend in Interest Rate VaR during 2019 was influenced by the trading activities of the subsidiary MPSCS, primarily in bonds and derivatives.

■ MPS Group VaR PNV IR 99% 1 day in EUR/mIn

	VaR	Data
End Period	2.13	31/12/2019
Min	0.93	16/10/2019
Max	2.57	18/01/2019
Average	1.70	



Simulations include the following interest rate risk scenarios:

- +100 bps parallel shift for all interest rate and inflation curves;
- -100 bps parallel shift for all interest rate and inflation curves;
- +1 point parallel shift for all volatility surfaces of all interest rate curves.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.

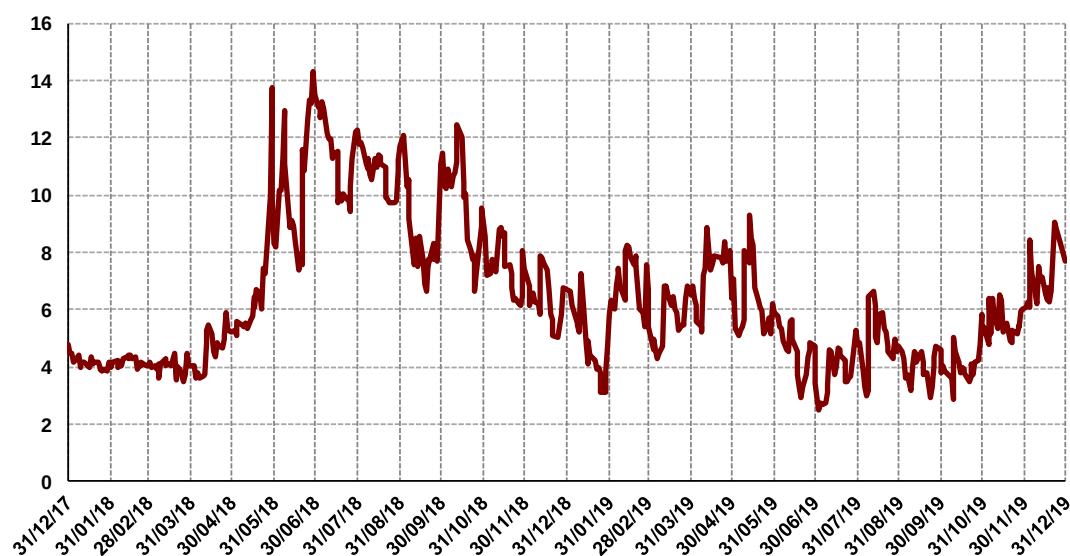
■ MPS Group: Trading Book

EUR/mln

Risk Family	Scenario	Global Effect
Interest Rate	+100bp all Interest Rate Curves	11.33
Interest Rate	-100bp all Interest Rate Curves	(13.51)
Interest Rate	+1% all Interest Rate Volatility	0.48

To complete the interest rate risk analysis, details are also provided on the credit spread risk of the Group's Trading Book associated with the volatility of issuers' credit spreads. The VaR by risk factor (specifically, Credit Spread VaR) has operational relevance for the purpose of risk management analyses, even though the operating units use the overall VaR diversified among all risk factors and portfolios.

MPS Group: Trading Book - VaR Credit Spread 99% 1 day in EUR/mln -



In 2019, the trend in Credit Spread VaR was mainly affected by trading activities of the subsidiary MPSCS, primarily in Italian short-term government bonds, linked to cycles of auctions, with partial derivatives hedging (medium/long-term BTP futures). At the end of December, the Credit Spread VaR stood at EUR 7.71 mln, above the average levels of the year, due to the increase in the average holding of Italian government bonds in the last quarter.



■ **MPS Group**
VaR PNV CS 99% 1 day in EUR/mIn

	VaR	Data
End Period	7.71	31/12/2019
Min	2.49	03/07/2019
Max	9.28	14/05/2019
Average	5.38	

For the purposes of sensitivity analysis, the simulation scenario is as follows:

- +1 bp parallel shift for all credit spreads.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses.

■ **MPS Group: Trading Book**

EUR/mIn

Risk Family	Scenario	Global Effect
Credit Spread	+1bp all Curves	(0.64)

3.2 Price risk

Each business unit within the Group operates independently on the basis of the objectives and powers it has been assigned. The positions are managed by special desks provided with specific operational limits. Each desk adopts an integrated risk management approach (covering more than price risk, when allowed) in order to benefit from the natural hedge resulting from simultaneously holding positions on risk factors that are not perfectly correlated. The VaR by risk factor (specifically, Equity VaR) has management relevance for the purpose of risk management analyses, even though it is the global VaR diversified among risk factors and portfolios that is used by the operating units.

Below is information on the Group's diversified Equity VaR.

MPS Group: Trading Book
 - VaR Equity 99% 1 day in EUR/mIn -





In 2019 the Equity VaR was influenced by activities related to the structuring and coverage of policies and other structured products of the subsidiary MPSCS, and by the trading activity, mostly on options and futures with key market indexes as underlying. At the end of December, the Equity VaR came to EUR 1.96 mln, just above the average levels of the year.

■ MPS Group
VaR PNV EQ 99%1 day in EUR/mln

	VaR	Data
End Period	1.96	31/12/2019
Min	1.01	20/08/2019
Max	2.46	14/06/2019
Average	1.67	

The simulated price scenarios are as follows:

- +1% of each equity or index price;
- -1% of each equity or index price;
- +1 point of all volatility surfaces of all equity risk factors.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses for the equity component:

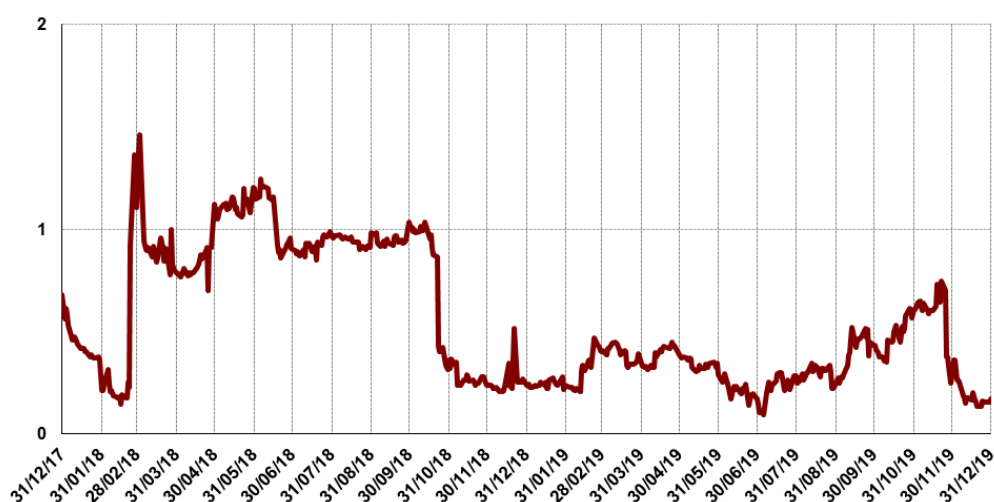
■ MPS Group: Banking Book

EUR/mln

Risk Family	Scenario	Global Effect
Equity	+1% Equity Prices (prices, indices, basket)	(3.02)
Equity	-1% Equity Prices (prices, indices, basket)	2.89
Equity	+1% Equity Volatility	0.71

In terms of exposure to commodity risk, in 2019 trends in the Commodity VaR were affected by the subsidiary MPSCS due to activities carried out in support of the customers and for temporary exposures of proprietary trading, primarily on options and futures where the main commodity indexes are underlying. At the end of December, the Commodity VaR stood at EUR 0.17 mln, lower than the average for the year.

MPS Group: Trading Book
- VaR Commodity 99% 1 day in EUR/mln -





■ MPS Group

VaR PNV CO 99% 1 day in EUR/mln

	VaR	Data
End Period	0.17	31/12/2019
Min	0.09	05/07/2019
Max	0.75	22/11/2019
Average	0.34	

The simulated price scenarios are as follows:

- +1% of each commodity price;
- -1% of each commodity price;
- +1 point of all volatility surfaces of all commodity risk factors.

All positions related to the Trading Book are classified as “Financial assets held for trading” for accounting purposes, with changes in market value posted directly to the income statement. Below is the overall effect of the scenario analyses for the Commodity component:

■ MPS Group: Trading Book

EUR/mln

Risk Family	Scenario	Global Effect
Commodity	+1% Commodity Prices	(0.01)
Commodity	-1% Commodity Prices	0.01
Commodity	+1% Commodity Volatility	0.00



1.2.2 Interest rate and price risk - Banking Book

Qualitative Information

A. General aspects, operational processes and measurement methods for interest rate risk and price risk

A.1 Interest rate risk

The Banking Book consists of all exposures not included in the Trading Book and, in accordance with international best practices, identifies the set of the Group's commercial trades connected to the transformation of maturities in the assets and liabilities and ALM financial activities (treasury and risk hedging derivatives).

The strategic Banking Book rate risk choices are defined periodically in the IRRBB Strategy document approved by the Board of Directors and made operational within the Group's Finance and Liquidity Committee; these choices are based on interest rate risk measures expressed in terms of changes in economic value as well as interest margin.

With reference to the sensitivity test on economic value, the Montepaschi Group applies a predefined set of interest rate scenarios in line with the Basel guidelines, which envisage non-parallel movements of the curve aside from parallel shifts of 25, 100 and 200 bps. As interest margin analyses focus on the short term, they consider exclusively the application of parallel scenarios. The economic value sensitivity measures are determined by clearing the origination of the cash flows of the components not directly relating to interest rate risk.

The Group is committed to the continual updating of risk measurement methodologies by gradually fine-tuning the estimation models so as to include all major factors that progressively modify the interest rate risk profile of the banking book.

Risk metrics are calculated by using a model for the valuation of demand items (Non-Maturity Deposits, NMDs) whose characteristics of stability and partial insensitivity to interest rate changes are described in the systems with a statistical approach which takes into consideration the time series of customer behaviours.

In addition, the Montepaschi Group incorporates within the rate risk measurements a simplified behavioural model which takes into account the aspect of residential mortgage prepayment (so-called prepayment risk).

In 2019 project activities related to the introduction of an approach for the treatment of non-performing loan items, net of their allowance for doubtful debts, were completed.

The Group adopts an interest rate risk governance and management system known as the IRRBB Framework which avails itself of:

- a quantitative model, which provides the basis for monthly calculation of the exposure of the Group and the individual companies to interest rate risk in terms of risk indicators;
- risk monitoring processes, aimed at periodically verifying compliance with the operational limits (risk limits and risk tolerance) assigned to the Group overall and to the individual legal entities within the Risk Appetite Statement;
- risk control and management processes, geared toward bringing about adequate initiatives for optimising the risk profile and activating any necessary corrective actions in the case of exceptions from and/or misalignments with the IRRBB Strategy.

Within the above system, the following responsibilities are centralised in the Parent Company:

- definition of strategic and operational policies for managing the Group's Banking Book and controlling its interest rate risk;
- coordination of Group policies' implementation by the companies included in the scope;
- governance of the Group's short-, medium- and long-term rate risk position, both overall and at individual company level, through centralised operational management.

In its governance function, the Parent Company therefore defines criteria, policies, responsibilities, processes, limits and instruments for rate risk management.



The Group Companies included in the scope of application are responsible for abiding by the rate risk policies and limits defined by the Parent Company and the requirements set by the relevant Supervisory Authorities.

Within the model defined, the Finance, Treasury and Capital Management Area (FTCMA) of the Parent Company is responsible for the operational management of the Group's overall rate and liquidity risk.

Specifically, within the FTCMA Area, the Group Treasury Service manages the short-term rate risk and liquidity risk for the Group. In addition, the Area carries out hedge monitoring and management activities consistent with accounting policies, involving centralised oversight for definition of the network's internal rates (BMPS and other Group companies) for Euro and foreign currency transactions with maturities beyond the short term.

A.2 Price risk

The Group's Banking Book, subject to price risk, consists primarily of equity investments, equities and UCITS, measured at fair value. Trading in UCITS is carried out exclusively through the direct purchase of the funds/SICAVs, with no use being made of derivative contracts. Exposure to commodities of the Group's Banking Book was equal to zero.

Price risk measurement is carried out on positions held primarily for strategic or institutional/instrumental purposes.

The instrument used for measuring price risk applied to equity securities and UCITS, other than equity investments, is the Value at Risk (VaR), the methodology of which is described in Section 2 - "Market risks" of this Part E of the Notes to the consolidated financial statements.

Stress tests are conducted regularly as part of price risk governance strategies for the banking book in order to assess the Group's ability to absorb potential losses resulting from extreme events.

With reference to the equity investments component, the internal measurement system uses, for determining the Internal Capital, a metric borrowed from the Supervisory approach according to the standard method. This method calls for exposures to equity instruments to be assigned a risk weighting factor of 100% or 150% if high risk, unless they need to be deducted from Capital. The Capital deduction mechanisms according to current supervisory rules (CRD4/CRR) further expand the perimeter of deductions to also include non-significant investments in financial sector entities (<10%) and provide for deduction exemptions. It is worth noting that the most significant portion of the MPS Group's investment portfolio is included within the aggregate of significant investments in other financial sector entities (mainly the equity investment in the AXA Group).

Quantitative Information

1 Banking Book: breakdown of financial assets and liabilities by residual life (repricing date)

This table has not been prepared since an analysis of the banking book's sensitivity to interest rate risk and price risk is produced based on internal models.

2 Banking Book: internal models and other sensitivity analysis methods

2.1 Interest rate risk

The sensitivity of the Group, at the end of 2019, was indicative of exposure to rate reduction risk. The amount of economic value at risk in the event of a +100 bps parallel shift of the rate curve came to EUR +164.71 mln at the end of 2019 (vs. EUR -160.29 mln for a shift of -100 bps). However, if benchmarked against Capital, these values are below the level considered as the attention threshold by the Bank of Italy.

The sensitivity of the Group's net interest income (margin sensitivity) if rates increase by 25 bps amounts to EUR +20.75 mln at the end of 2019 (EUR -24.27 mln for -25 bps).

The internal measurement system is independently developed by the Risk Control Function of the Parent Company, which periodically reports on the extent of portfolio risks and their changes over time. The results are regularly brought to the attention of the Parent Company's Risk Management Committee and governing bodies.



2.2 Price risk

Shown below is a scenario analysis which includes all directional positions assumed by the Group in equity securities and UCITS, measured at fair value (e.g. securities classified as “Financial assets measured at fair value through other comprehensive income” and as “Financial assets measured at fair value as per mandatory requirements”):

■ MPS Group

EUR/mln

Risk Family	Scenario	Impact on net interest and other banking income and net profit	Impact on shareholders' equity	Global Effect
Equity	+1% Equity Prices (prices, indices)	1.50	2.44	3.94
Equity	-1% Equity Prices (prices, indices)	(1.50)	(2.44)	(3.94)
Equity	+1% Equity Volatility	0.00	0.00	0.00

The shareholding in the Bank of Italy represents approximately 77% of the effect on the Shareholders' Equity relating to the scenario analysis described above.

1.2.3 Foreign exchange risk

Qualitative Information

A. Foreign exchange risk: general aspects, operational processes and measurement methods.

Foreign exchange operations are mainly based on short-term trading, with the systematic balance of the transactions originated by the franchise and the retail banks which automatically feed into the Group's position.

Trading activities are carried out primarily by the Finance, Treasury and Capital Management Area of the Parent Company and, on the forex options segment, by the subsidiary MPSCS, with a direct management of the exchange rate risk. The foreign branches of the Parent Company maintained modest forex positions exclusively originated by funds available for commercial purposes. The turnover in cash allocated to Group portfolios and OTC derivatives for MPSCS remained stable in terms of risk, with ongoing and careful use of delegated powers. Foreign currency equity investments are typically financed by funds denominated in the same currency, with no assumption of foreign exchange risk.

For a description of stress tests used in the risk governance strategy on exchange rates and the model applied, please refer to the section “Market risk management model for the Trading Book”.



B. Hedging of exchange rate risk

Quantitative Information

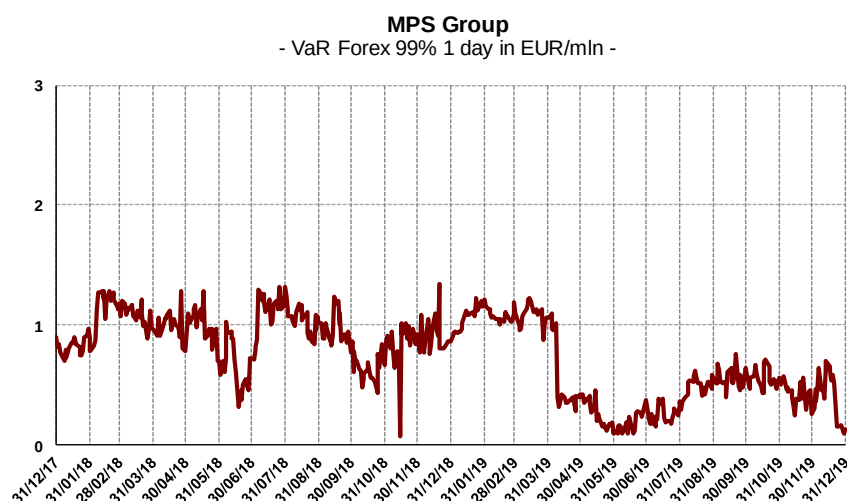
1. Breakdown by currency of assets, liabilities and derivatives

Items	Currencies					
	US dollar	Pound sterling	Yen	Canadian Dollars	Swiss Franc	Other currencies
A. Financial assets	1,749,314	18,056	12,670	7,048	22,128	41,071
A.1 Debt securities	687,013	39	-	-	1,661	3
A.2 Equity securities	74,393	1,426	663	192	1,691	1,244
A.3 Loans to banks	344,120	2,517	4,872	1,355	10,296	23,452
A.4 Loans to customers	643,788	14,074	7,135	5,501	8,480	16,372
A.5 Other financial assets	-	-	-	-	-	-
B. Other assets	25,027	1,169	152	239	1,190	1,743
C. Financial liabilities	755,139	20,957	3,196	4,197	3,044	24,417
C.1 Deposits from banks	253,779	9,718	227	984	230	10,740
C.2 Customer accounts	455,875	11,239	2,969	3,213	2,814	13,677
C.3 Debt securities	45,485	-	-	-	-	-
C.4 Other financial liabilities	-	-	-	-	-	-
D. Other liabilities	13,268	476	276	9	35	4,315
E. Financial derivatives						
- Options						
+ Long positions	217,657	7,116	1,065	-	371	644
+ Short positions	66,652	-	1,727	-	-	154,697
- Other						
+ Long positions	1,146,906	158,949	27,686	9,828	15,835	238,247
+ Short positions	2,613,680	170,721	42,566	10,092	16,014	88,842
Total assets	3,138,904	185,290	41,573	17,115	39,524	281,705
Total liabilities	3,448,739	192,154	47,765	14,298	19,093	272,271
Difference (+/-)	(309,835)	(6,864)	(6,192)	2,817	20,431	9,434



2. Internal models and other sensitivity analysis methods

Exchange risk is monitored in terms of VaR and scenario analysis (for the methodology see the paragraph “Market risk management model for the Trading Book”). Shown below is information concerning the Group’s diversified Forex VaR.



The Group’s Forex VaR in 2019 is represented by the Parent Company’s exposure to bonds in foreign currency (USD), mainly in the financial category, recognised under “Financial assets measured at amortised cost”. Forex VaR volatility in 2019 was affected by temporary variations in the exposure of the Trading Book of the subsidiary MPSCS, due primarily to activities on foreign exchange derivatives EUR/USD.

At the end of December, Forex VaR stood at EUR 0.13 mln, lower than the average for the year.

■ MPS Group VaR Forex 99% 1 day in EUR/mln		
	VaR	Date
End of Period	0.13	31/12/2019
Min	0.09	30/12/2019
Max	1.23	14/03/2019
Average	0.58	

The following scenarios were used for foreign exchange rate simulations:

- +1% for all foreign exchange rates to the Euro;
- -1% for all foreign exchange rates to the Euro;
- +1 point for all volatility surfaces of all foreign exchange rates.

The impact on net interest and other banking income and on profit/loss for the year was estimated taking account of positions classified as “Financial assets held for trading” and “Financial assets measured at fair value as per mandatory requirements”; market value changes are recognised directly in the income statement. Instead, the effect on equity is estimated with reference to all positions classified as “Financial assets measured at fair value through other comprehensive income” and related fair value hedges (FVH). The total effect is the result of the algebraic sum of the two components. Below is a summary of the scenario analyses.

■ MPS Group EUR/mln

Risk Family	Scenario	Impact on net interest and other banking income and net profit	Impact on shareholders' equity	Global Effect
Forex	+1% Exchange rate against EUR	0.41	(0.05)	0.37
Forex	-1% Exchange rate against EUR	0.06	0.05	0.10
Forex	+1% Forex Volatility	0.38	0.00	0.38



1.3 - Derivatives and hedging policies

1.3.1 Derivatives for trading

A. Financial derivatives

A.1 Financial derivatives for trading: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2019				Total 31 12 2019			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Debt securities and interest rate	-	371,717,907	6,375,561	25,026	-	359,578,915	6,996,012	-
a) Options	-	20,937,068	1,662,065	-	-	36,759,812	1,953,047	-
b) Swaps	-	348,430,681	3,922,547	-	-	319,725,861	4,168,487	-
c) Forward	-	-	790,949	25,026	-	-	874,478	-
d) Futures	-	2,350,158	-	-	-	3,093,242	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	8,861,224	15,389	197,327	-	10,321,261	8,631	43,080
a) Options	-	6,736,002	15,389	177,737	-	8,478,973	8,631	20,363
b) Swaps	-	1,718,315	-	-	-	1,445,575	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	406,907	-	19,590	-	396,713	-	22,717
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	1,365,862	2,730,418	-	-	1,986,996	2,688,163	-
a) Options	-	3,895	723,234	-	-	300,593	914,379	-
b) Swaps	-	1,007,780	-	-	-	1,304,047	-	-
c) Forward	-	354,187	2,007,184	-	-	371,631	1,773,079	-
d) Futures	-	-	-	-	-	10,725	-	-
e) Other	-	-	-	-	-	-	705	-
4. Commodities	-	237,752	223,105	-	-	385,535	134,160	-
5. Other underlying	-	-	-	-	-	-	-	-
Total	-	382,182,745	9,344,473	222,353	-	372,272,707	9,826,966	43,080



A.2 Financial derivatives for trading: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2019				Total 31 12 2018			
	Over the counter			Organise d financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements			Contracts subject to Master netting agreements	Contracts not subject to Master netting agreements	
1. Positive Fair value								
a) Options	-	123,764	18,934	10,087	-	247,996	25,952	4,489
b) Interest rate swap	-	5,071,707	172,376	-	-	3,913,814	177,134	-
c) Cross currency swap	-	2,423	-	-	-	9,034	-	-
d) Equity swap	-	32,384	-	-	-	17,418	-	-
e) Forward	-	7,607	31,873	-	-	4,227	13,302	-
f) Futures	-	1,507	-	-	-	2,395	-	-
g) Other	-	5,563	19,484	-	-	5,207	20,567	-
Total	-	5,244,955	242,667	10,087	-	4,200,091	236,955	4,489
2. Negative fair value								
a) Options	-	216,761	11,146	2,079	-	261,446	20,228	4
b) Interest rate swap	-	3,490,997	1,553	-	-	2,138,742	3,509	-
c) Cross currency swap	-	48,313	-	-	-	32,138	-	-
d) Equity swap	-	42,467	-	-	-	30,642	-	-
e) Forward	-	8,525	7,997	5	-	7,156	56,430	-
f) Futures	-	448	-	-	-	3,721	-	-
g) Other	-	9,023	11,518	-	-	11,284	5,963	-
Total	-	3,816,534	32,214	2,084	-	2,485,129	86,130	4



A.3 Financial OTC derivatives for trading: notional amounts, gross positive and negative fair value for counterparties

31.12.2019

Underlying assets	Central Counterparties	Banks	Other Financial Companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	X	-	737,776	5,637,785
- positive fair value	X	-	4,411	189,303
- negative fair value	X	-	1,016	4,574
2) Equity securities and stock indices				
- notional value	X	760	5,336	9,293
- positive fair value	X	783	6,469	1
- negative fair value	X	-	-	124
3) Exchange rates and gold				
- notional value	X	1,074,771	21,554	1,634,092
- positive fair value	X	11,051	259	10,814
- negative fair value	X	2,826	-	12,068
4) Commodities				
- notional value	X	-	-	223,105
- positive fair value	X	-	-	19,575
- negative fair value	X	-	-	11,607
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	187,857,961	183,086,365	773,582
- positive fair value	-	1,820,689	3,182,764	120,415
- negative fair value	-	1,315,002	2,229,479	1,814
2) Equity securities and stock indices				
- notional value	-	1,701,840	7,159,385	-
- positive fair value	-	40,095	63,526	-
- negative fair value	-	25,905	177,627	-
3) Exchange rates and gold				
- notional value	-	1,201,347	164,515	-
- positive fair value	-	8,668	1,400	-
- negative fair value	-	55,212	1,695	-
4) Commodities				
- notional value	-	35,900	201,851	-
- positive fair value	-	2,793	4,605	-
- negative fair value	-	2,884	6,917	-
5) Other underlying				



A.4 Residual life of financial OTC derivatives for trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	189,181,886	126,609,029	62,302,553	378,093,468
A.2 Financial derivatives on equity securities and stock indices	5,390,377	3,200,157	286,079	8,876,613
A.3 Financial derivatives on exchange rates and gold	3,084,673	1,011,607	-	4,096,280
A.4 Financial derivatives on other underlying assets	430,729	30,128	-	460,857
A.5 Other financial derivatives	-	-	-	-
Total 31 12 2019	198,087,665	130,850,921	62,588,632	391,527,218
Total 31 12 2018	114,561,305	212,725,207	54,813,161	382,099,673

B. Credit derivatives

B.1. Credit derivatives for trading: end of period notional amounts

Transaction categories	Trading book	
	single name	with multiple counterparties (basket)
1. Purchases of protection		
a) Credit default products	531,558	250,000
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2019	531,558	250,000
Total 31 12 2018	563,793	58,815
2. Sales of protection		
a) Credit default products	3,631,888	230,000
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Others	-	-
Total 31 12 2019	3,631,888	230,000
Total 31 12 2018	2,715,109	288,570



B.2. OTC credit derivatives: gross positive and negative fair value - breakdown by products

	Total 31 12 2019	Total 31 12 2018
1. Positive fair value	-	-
a) Credit default products	8,171	14,596
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	8,171	14,596
2. Negative fair value	-	-
a) Credit default products	130,209	56,429
b) Credit spread products	-	-
c) Total rate of return swap	-	-
d) Other	-	-
Total	130,209	56,429

B.3. OTC credit derivatives for trading: notional amounts, gross fair value (positive and negative) for counterparties

31 12 2019				
Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Purchase of protection				
2) Sales of protection				
Contracts subject to master netting agreements				
1) Purchase of protection				
- notional value	-	236,880	544,679	-
- positive fair value	-	-	1,200	-
- negative fair value	-	1,525	10,182	-
2) Sales of protection				
- notional value	-	234,823	3,627,065	-
- positive fair value	-	898	6,073	-
- negative fair value	-	-	118,502	-

B.4 Residual life of OTC credit derivatives for trading: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
1. Sales of protection	350,721	1,998,875	1,512,292	3,861,888
2. Purchase of protection	350,721	300,837	130,000	781,558
Total 31 12 2019	701,442	2,299,712	1,642,292	4,643,446
Total 31 12 2018	229,000	2,638,346	939,285	3,806,631

B.5 Credit derivatives related to the fair value option: annual changes

This table was not completed as the Group has no such liabilities to report for either the current or the previous year.

1.3.2 Hedges**Qualitative Information**

The Group, in applying IFRS 9, has exercised the option provided by the standard to continue to fully apply IAS 39 for all types of hedging (micro and macro). Therefore, the provisions of IFRS 9 in terms of hedging do not apply.

A. Fair value hedging

The purpose of interest rate risk hedging is to protect the banking book from changes in the fair value of deposits and loans caused by movements in the interest rate curve or to reduce the variability of cash flows linked to a particular asset/liability.

At Group level, the risk predominantly hedged is the interest rate risk with fair value hedges, for a total of approximately EUR 45 bn in nominal amount of hedging derivatives.

The Group uses the following hedges to manage interest rate risk:

- micro fair value hedges: hedging of trading assets (loans/mortgage loans), security portfolio and bonds;
- macro fair value hedges: hedging of non-trading assets (loans/mortgage loans) and corporate funding (time deposits);

The fair value hedges at Group level regard both micro hedges of assets and liabilities, identified specifically and represented by government bonds in the Banking Book and bonds issued by the Parent Company, as well as macro hedges (macro hedge - version with bottom layer approach) of retail fixed-rate deposits.

The derivatives used for this purpose are primarily interest rate swaps (IRS) and options on rates realised with third parties or with other companies of the Group which, in return, hedge the market risk so that the requirements for outsourcing hedging with counterparties, necessary to qualify the hedging at the consolidated financial level, are complied with.

Derivatives are not listed in regulated markets, but are traded within the scope of OTC circuits. OTC agreements also include those brokered through Clearing Houses.



B. Cash-flow hedging

Hedging activities carried out by the Group aim at covering exposure to fluctuations in future cash flows, attributable to changes in the interest rate curve, associated with a specific asset/liability, as payments of future floating interests on a payable/receivable or to a highly probable future transaction.

At the Group level, hedging derivatives for cash flow hedging transactions amounted to about EUR 50 mln in nominal value.

The Group adopts only specific hedges (micro cash flow hedge) of floating interest loans.

The derivatives used for this purpose are predominantly interest rate swaps (IRS).

C. Hedging of foreign investments

The Group does not have any such hedging in place.

D. Hedging instruments

The sources of ineffectiveness of a hedging relationship are generally and primarily ascribable to the following aspects:

- trading of derivatives based on non-market parameters;
- incorrect estimate of the hedging percentage;
- plan for the amortisation of the notional amount that is not aligned with that recognised on the hedged instrument.

The ineffectiveness of the hedging is recognised in the Income Statement and measured according to the possibility of continuing to apply the hedge accounting rules.

E. Hedged items

At the Group level, the main types of hedged items are:

- debt securities under assets;
- debt securities issued;
- fixed-rate commercial loans;
- optional component implicit in the floating-rate mortgage loans;
- fixed-rate commercial funding;
- fixed-rate funding (TLTRO).

E.1 Debt securities under assets

Hedging relationships of these assets are especially of a micro fair value hedge type; derivatives used for this purpose are mainly IRS and the hedged risk is the interest rate risk.

In order to verify the efficacy of the hedge the Dollar Offset Method is used. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.



E.2 Debt securities issued

These are securities subject to hedging of a micro fair value hedge type; derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

In order to verify the efficacy of the hedge the Dollar Offset Method is used. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.

E.3 Fixed-rate commercial loans

In these cases, the hedging relationships in place are of a macro fair value hedge type and the derivatives used as hedging instruments are primarily IRS. The hedged risk is the interest rate risk.

The effectiveness of the macro hedging on fixed-rate loans is measured based on specific forward-looking and retrospective tests aimed at demonstrating that the portfolio subject to hedging contains an amount of assets of which the sensitivity profile and the changes in the fair value for the interest rate risk reflect those of the hedging derivatives. It must be noted that for the purpose of the forward-looking and the retrospective tests, the portfolio subject to hedging takes into account the prepayment estimates, determined on the basis of the model used from time to time for managing the interest rate risk.

E.4 Optional component implicit in the floating-rate mortgage loans;

The optional components implicit in the mortgage loans with floating interest rate are hedged with a macro fair value hedge using, as hedging instruments, cap/floor derivatives.

The effectiveness of the hedging is verified by using the resilience of the capacity test.

E.5 Fixed-rate commercial funding

Fixed-rate commercial funding is subject to hedging relationships of a macro hedge fair value type, primarily through the use of hedging instruments such as IRS derivatives. The hedged risk is the interest rate risk.

The effectiveness of the macro hedges on the commercial funding with fixed interest rate is verified using the Dollar Offset Method. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item. The effectiveness is verified through a capacity test that compares the amount of the hedged items and the amount of the hedging instrument.

E.6 Fixed-rate funding (TLTRO)

In the case of this funding, the hedging relationships in place are of a micro fair value hedge type and the hedging instruments used are primarily IRS. The hedged risk is the interest rate risk.

In order to verify the efficacy of the hedge the Dollar Offset Method is used. This method is based on the relationship between the cumulated changes (from the beginning of the hedging) in the fair value of the hedging instrument, attributable to the hedged risk, and the past changes in the fair value of the hedged item.



Other information

The Group, as regards the IBOR reform, exercised the option of an early application of the amendments to IAS 39. Following, as required in IFRS 7.24H, is the table containing details, by nominal amounts, of the hedging according to the reference index of the interest rates.

Interest rates	Nominal Hedging			Total
	Micro - FVH	Micro - CFH	Macro - FVH	
EURIBOR 1M	12,250,000		3,998,157	16,248,157
EURIBOR 3M	2,046,448		3,579,363	5,625,811
EURIBOR 6M	11,998,576	50,000	9,150,726	21,199,302
USD LIBOR 3M	449,218			449,218
EURIBOR 30Y CMS	80,097			80,097
3M USDEUR BASIS	44,864			44,864
	26,869,203	50,000	16,728,246	43,647,449

The table shows the notional amount of hedging derivatives including the offsetting made pursuant IAS 32.

The Group does not show any significant hedging index-linked to Eonia/Libor, therefore:

- the significant reference index for the Group hedging is the Euribor;
- the risk exposure impacted by the index reform is not substantial;
- the Group has used a regulatory internal document where the actions to be undertaken are described in the case of a substantial change to, or discontinuation of, an index;
- the Group has set out a specific project intervention regarding the reform of financial indexes and the transition to new risk free rates, and it monitors any regulatory changes.



Quantitative Information

A. Financial hedging derivatives

A.1 Financial hedging derivatives: end of period notional amounts

Underlying asset/Type of derivative	Total 31 12 2019				Total 31 12 2018			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Debt securities and interest rate	-	43,472,849	-	-	-	38,599,458	-	-
a) Options	-	8,192,756	-	-	-	3,883,249	-	-
b) Swaps	-	35,280,093	-	-	-	34,716,209	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
2. Equity securities and stock indices	-	-	-	-	-	-	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	-	-	-	-	-	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
3. Exchange rates and gold	-	389,354	-	-	-	382,009	-	-
a) Options	-	-	-	-	-	-	-	-
b) Swaps	-	389,354	-	-	-	382,009	-	-
c) Forward	-	-	-	-	-	-	-	-
d) Futures	-	-	-	-	-	-	-	-
e) Other	-	-	-	-	-	-	-	-
4. Commodities	-	-	-	-	-	-	-	-
5.Other underlying	-	-	-	-	-	-	-	-
Total	-	43,862,203	-	-	-	38,981,467	-	-



A.2 Financial hedging derivatives: gross positive and negative fair value - breakdown by products

Underlying asset/Type of derivative	Total 31 12 2019				Total 31 12 2018			
	Over the counter			Organised financial markets	Over the counter			Organised financial markets
	Central counterparties	No Central counterparties			Central counterparties	No Central counterparties		
		Contracts subject to master netting agreements	Contracts not subject to master netting agreements			Contracts subject to master netting agreements	Contracts not subject to master netting agreements	
1. Positive fair value								
a) Options	-	960	-	-	-	2,405	-	-
b) Interest rate swap	-	214,997	-	-	-	219,707	-	-
c) Cross currency swap	-	2,129	-	-	-	1,190	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) others	-	-	-	-	-	-	-	-
Total	-	218,086	-	-	-	223,302	-	-
2. Negative fair value								
a) Opzioni	-	93,528	61,522	-	-	102,355	-	-
b) Interest rate swap	-	1,272,019	-	-	-	738,562	-	-
c) Cross currency swap	-	37,647	-	-	-	34,198	-	-
d) Equity swap	-	-	-	-	-	-	-	-
e) Forward	-	-	-	-	-	-	-	-
f) Futures	-	-	-	-	-	-	-	-
g) Others	-	-	-	-	-	-	-	-
Total	-	1,403,194	61,522	-	-	875,115	-	-



A.3 Financial OTC hedging derivatives: notional amounts, gross positive and negative fair value for counterparties

31 12 2019

Contracts not subject to netting agreements	Central counterparties	Banks	Other financial companies	Other entities
Contracts not subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	-	-	-
- positive fair value	-	-	-	-
- negative fair value	-	61,522	-	-
2) Equity securities and stock indices				
3) Exchange rates and gold				
4) Commodities				
5) Other underlying				
Contracts subject to master netting agreements				
1) Debt securities and interest rates				
- notional value	-	42,835,129	637,720	-
- positive fair value	-	213,948	2,009	-
- negative fair value	-	1,308,914	56,633	-
2) Equity securities and stock indices				
3) Exchange rates and gold				
- notional value	-	389,354	-	-
- positive fair value	-	2,129	-	-
- negative fair value	-	37,647	-	-
4) Commodities				
5) Other underlying				



A.4 Residual life of financial OTC hedging derivatives: notional amounts

Underlying asset/residual life	Up to 1 year	1 to 5 years	Over 5 years	Total
A.1 Financial derivatives on debt securities and interest rates	17,972,516	11,124,096	14,376,236	43,472,848
A.2 Financial derivatives on equity securities and stock indices	-	-	-	-
A.3 Financial derivatives on exchange rates and gold	389,354	-	-	389,354
A.4 Financial derivatives on other underlying assets	-	-	-	-
A.5 Other financial derivatives				
Total 31 12 2019	18,361,870	11,124,096	14,376,236	43,862,202
Total 31 12 2018	8,782,551	20,588,686	9,610,230	38,981,467

B. Credit hedging derivatives

B.1 Credit hedging derivatives: end of period notional amounts

B.2 Credit hedging derivatives: gross positive and negative fair value - breakdown by products

B.3 OTC credit hedging derivatives: notional amounts, gross positive and negative fair value for counterparties

B.4 Residual life of OTC credit hedging derivatives: notional amounts

The table above was not completed as the Group had no outstanding credit hedging derivatives for either the current or the previous year.

C. Non-derivative hedging instruments

C.1 Hedging instruments other than derivatives: breakdown by accounting portfolio and type of hedging

D. Hedged instruments

D.1 Fair value hedging

D.2 Cash-flow and foreign investment hedging

E. Effects of hedging transactions on equity

E.1. Reconciliation of equity items

The tables for Sections C, D and E were not completed, as the Group exercised the option, envisaged on first-time application of IFRS 9, to continue to use, as regards “hedge accounting”, the provisions of IAS 39.



1.3.3 Other information on derivatives (trading and hedging)

A. Financial and credit derivatives

A.1 OTC financial and credit derivatives: net fair values for counterparties

31 12 2019

Underlying assets	Central counterparties	Banks	Other financial companies	Other entities
A. Financial derivatives				
1. Debt securities and interest rates				
- notional value	-	226,188,382	184,461,860	6,411,367
- positive fair value	-	-	4,411	189,303
- negative fair value	-	61,522	1,016	4,574
2. Equity securities and stock indices				
- notional value	-	1,702,599	7,164,720	9,293
- positive fair value	-	783	6,469	1
- negative fair value	-	-	-	124
3. Exchange rates and gold				
- notional value	-	2,665,472	186,069	1,634,092
- positive fair value	-	11,051	259	10,814
- negative fair value	-	2,826	-	12,068
4) Commodities				
- notional value	-	35,900	201,851	223,105
- positive fair value	-	-	-	19,575
- negative fair value	-	-	-	11,607
4. Other underlying				
- notional value	-	-	-	-
- positive fair value	-	573,480	933,827	118,600
- negative fair value	-	1,231,347	269,046	-
B. Credit derivatives				
1. Purchase of protection				
- notional value	-	236,880	544,679	-
- positive fair value	-	-	-	-
- negative fair value	-	-	-	-
2. Sales of protection				
- notional value	-	234,823	3,627,065	-
- positive fair value	-	-	-	-
- negative fair value	-	-	4,238	-



1.4 - Liquidity risk

Qualitative Information

A. Liquidity risk: general aspects, operational processes and measurement methods

In 2019, the MPS Group continued to strengthen and boost the efficiency of its strategic and operating liquidity risk management processes, placing particular attention on the development of the Liquidity Stress Test Framework and to the integration of the metrics on concentration risk within the scope of the corporate decision-making processes.

Group Liquidity Risk Framework

The Group has used a **Liquidity Risk Framework** for many years now, intended as the set of tools, methodologies, organisational and governance setups which ensures both compliance with national and international regulations and adequate liquidity risk governance in the short (Operating Liquidity) and medium/long (Structural Liquidity) term, under business as usual and stress conditions.

The reference Liquidity Risk model for the Montepaschi Group is “centralised” and calls for the management of short-term liquidity reserves and medium/long-term financial balance at Parent Company level, guaranteeing solvency on a consolidated and individual basis for the Subsidiaries.

The internal assessment of liquidity adequacy is a process that is part of the more general Risk Management macro-process, in direct connection with the Risk Appetite Framework (RAF) through the annual formulation of the Risk Appetite Statement (RAS) with related thresholds.

The overall internal liquidity adequacy assessment takes place periodically as part of the strategic ILAAP (Internal Liquidity Adequacy Assessment Process) process consisting mainly of:

- ILAAP Outcomes, or quantitative (inherent risk) and qualitative (risk management and controls) assessments on risk positioning prepared by the Risk Control function and submitted to the Board of Directors, a document accompanied by the LAS (Liquidity Adequacy Statement), i.e. a summary declaration prepared by the Board of Directors where it expresses its vision and awareness regarding the management of the liquidity adequacy.
- ILAAP ongoing, which consists substantially of periodical analyses of liquidity adequacy which are described in reports to the corporate bodies

Liquidity Risk Management

The management of the Group's **Operational Liquidity** aims at ensuring the capacity of the Group to meet the cash payment obligations within a short-term time frame. The essential condition for a normal course of business in banking is the maintenance of a sustainable imbalance between cash inflows and outflows in the short term. From the operational perspective, the benchmark metric in this respect is the difference between net cumulative cash flows and Counterbalancing Capacity, i.e. the reserve of liquidity in response to stress conditions over a short time horizon, in addition to the Liquidity Coverage Ratio (LCR) regulatory measure - Delegated Act. From the extremely short-term perspective, the Group adopts a system for the analysis and monitoring of intraday liquidity, with the goal of ensuring normal development during the day of the bank's treasury and its capacity to meet its intraday payment commitments.

Management of the Group's **Structural Liquidity** is intended to ensure the structural financial balance by maturity buckets over a time horizon of more than one year, both at Group and individual company level. Maintenance of an adequate dynamic ratio between medium/long term assets and liabilities is aimed at preventing current and prospective short-term funding sources from being under pressure. The benchmark metrics are gap ratios which measure the ratio of total loans over more-than-1-year and more-than-5-year maturity deposits and the ratio of loans to retail/corporate deposits in addition to the regulatory measurement of the Net Stable Funding Ratio (NSFR) in accordance with the BCBS definition. The Group also defined and formalised:

- the asset encumbrance management and monitoring framework with the goal of analysing:
 - the overall degree of encumbrance of total assets;
 - the existence of a sufficient quantity of assets that may be encumbered but which are free;



- the Group's capacity to transform bank assets into eligible assets (or in an equivalent manner, to encumber non-eligible assets in bilateral transactions);
- and
- the monitoring framework of the Concentration Risk, with the goal of analysing:
 - the concentration of the funding sources, by counterparty and by type of channel;
 - the concentration of the assets composing the liquidity reserves of the Group.

The liquidity position is monitored under business-as-usual conditions and under specific, system-wide and/or combined stress scenarios (with adverse and extreme intensity) according to the Liquidity Stress Test Framework. The purposes of these exercises are:

- to show, in a timely manner, the main Group's vulnerability to liquidity risk;
- to calculate the survival time frame of the Group under stress conditions;
- to enable a prudential determination of surveillance levels, to be applied to the Liquidity Risk measurement metrics within the scope of the annual Risk Appetite Statement.

Within the scope of Risk Appetite Framework, the Liquidity Risk Framework identifies the tolerance thresholds for liquidity risk, that is to say the maximum risk exposure deemed sustainable in a business-as-usual scenario and under stress conditions. The short/medium and long-term liquidity risk limits derive from the setting of these risk appetite thresholds.

The system of operating limits, known as Liquidity Risk Limits, is defined so as to make it possible to promptly identify approaches to the risk tolerance threshold as defined in the annual Risk Appetite Statement process.

In order to immediately identify the emergence of vulnerabilities in the liquidity's position, the Group has developed a range of Early Warnings, classified as generic or specific depending on whether the individual indicator is designed to detect potential vulnerabilities in the overall economic context of reference or in the Group structure.

Group's Liquidity Management

Operating and Structural Liquidity management is governed by the Parent Company's Liquidity Management Department, which is responsible for defining and implementing funding strategies in the short and medium/long-term.

With reference to the management of Operating Liquidity, Liquidity Management manages the Group's "liquidity reserves" so as to guarantee the Bank's capacity to deal with expected and unexpected outflows, to that end making recourse to various interbank market instruments (unsecured deposits, collateralised deposits, repos) as well as transactions with the Central Bank.

With regard to the management of Structural Liquidity, Liquidity Management pursues the objectives laid out in detail in the annual Funding Plan which outlines the medium/long-term strategies defined on an operational basis in the "Liquidity and Funding Strategy". The Group's Liquidity and Funding Strategy defines the funding activity guidelines of the BMPS Group in terms of risk appetite, with a three-year time horizon, in compliance with the long-term risk tolerance thresholds on operating and structural liquidity indicators, internal and regulatory, defined within the Group's Risk Appetite Statement (RAS).

In addition, to complete the Funding Plan, Liquidity Management prepares the Contingency Funding Plan, which represents the operational tool for liquidity risk management intended to define intervention strategies in the case of extreme liquidity tensions, laying out procedures and actions that may be promptly activated to obtain sources of funds in emergencies. The strategies to be applied are defined on a case by case basis by the Management Committee at its Liquidity Stress/Crisis session considering the type, duration and intensity of the crisis and the reference context when the crisis takes place.

Liquidity position: regulatory indicators

The Group uses the following main BMPS Group indicators to assess its liquidity profile:

- Liquidity Coverage Ratio (LCR), which is the short-term liquidity indicator corresponding to the ratio between the amount of high quality liquid assets and the total net cash outflows in the subsequent 30 calendar days. Starting from 2018, the indicator has been subject to a minimum regulatory requirement of 100%;



- Net Stable Funding Ratio (NSFR), which is the structural 12-month liquidity indicator corresponding to the ratio between the available stable funding amount and the compulsory stable funding amount. Although there is no minimum regulatory requirement for this indicator, it is included in supervisory reporting every quarter;
- Loan to Deposit Ratio, representing the ratio between loans to customers and direct funding, excluding transactions with central counterparties.

Trends in these three indicators during the reference period are shown below.

	Regulatory requirement	31 12 2019	31 12 2018
LCR*	100%	152.4%	190.2%
NSFR **		112.6%	112.3%
Loan to Deposit Ratio ***		94.4%	96.0%

(*) The comparative figure relating to the LCR index as at 31 December 2018 was restated to take into account a specific interpretative clarification provided by the supervisory authority.

(**) Note that the NSFR figure represents a calculation provided exclusively for informational purposes and is calculated in accordance with the provisions laid out in the document published by the Basel Committee in October 2014 (Basel III: The net stable funding ratio, Basel Committee on Banking Supervision), pending regulatory provisions, which could be different with reference to the aggregates to be considered as well as any weighting factors to be applied to them.

(***) Calculated as Loans to customers / (Deposits from customers + Debt securities issued + Financial liabilities measured at fair value) using data extracted from the 2018 and 2019 financial statements, respectively.

The short-term liquidity indicator, the Liquidity Coverage Ratio (LCR), was 152.4% as at 31 December 2019, higher than the minimum regulatory requirement for 2019 (100%), and down from December 2018 (190.2%).

The medium/long-term liquidity indicator, the Net Stable Funding Ratio (NSFR), was 112.6% as at 31 December 2019, slightly up since December 2018 (112.3%).

The trend of the regulatory liquidity indicators between 2018 and 2019 (in particular LCR) was affected by the approaching of the maturity date, between January and March 2020, of the Notes with Government Guarantees (GGB) issued by BMPS in 2017 and still outstanding for a nominal amount of EUR 8 bn.

Due to this important maturity date, the liquidity indicators were maintained at levels that are largely above the regulatory levels thanks to the positive trend of the direct commercial funding, the contribution from collateralised bilateral funding transactions, as well as a regained regularity of the access, in particular in the second half of the year, to the market of public issues reserved for institutional investors. As regards this matter, the Parent Company carried out, in 2019, the following transactions:

- in January, a "Covered Bond" issue with 5-year maturity, 2% coupon, in the amount of EUR 1,000 mln;
- in July, an unsecured "Senior Preferred" bond issue with 3-year maturity, 4% coupon, in the amount of EUR 500 mln;
- in July, a "Tier 2" subordinated bond issue with 10-year maturity, 10.5% coupon, in the amount of EUR 300 mln;
- in September, an unsecured "Senior Preferred" bond issue with 5-year maturity, 3.625% coupon, in the amount of EUR 500 mln;
- in October, a "Covered Bond" issue with 7-year maturity, 0.875% coupon, in the amount of EUR 1,000 mln;
- also in October, the "reopening" (tapping), for a nominal amount of EUR 250 mln, of the unsecured "Senior Preferred" issue, placed in September 2019.



Furthermore, in June 2019, the Bank finalised a securitisation transaction of a portfolio of roughly EUR 2.3 bn consisting of “performing” loans granted to Italian SMEs. The transaction was carried out through the Siena PMI 2016 vehicle which, in order to finance the acquisition of the portfolio, issued ABS securities in the classes indicated below (in brackets the Fitch and DBRS ratings):

- A1 (AA and AAA) for a nominal amount of EUR 519.4 mln;
- A2 (AA and AAA) for a nominal amount of EUR 813.0 mln;
- B (AA- and AAL) for a nominal amount of EUR 225.8 mln;
- C (BB+ and BBH) for a nominal amount of EUR 271.0 mln;
- D (CCC and CC) for a nominal amount of EUR 248.5 mln.
- J (not rated) for a nominal amount of EUR 180.7 mln.

The Class A2 notes were placed with institutional investors for a total of EUR 720 mln; the remaining senior notes, together with the mezzanine and junior notes, were instead underwritten by the Parent Company that can dispose them with the next sale on the market or can use them as collaterals for loan transactions.

As at 31 December 2019, the operating liquidity position showed an unencumbered counterbalancing capacity level of EUR 24.7 bn, up compared to 31 December 2018 (EUR 21.2 bn).



Quantitative Information

1. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Euro

31.12.2019											
Account / Maturity		On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance sheet assets											
A.1	Government securities	16,436,485	2,016,651	1,276,397	1,997,895	4,938,942	4,586,666	8,886,942	26,678,149	42,126,338	9,580,529
A.2	Other debt securities	517	-	352,092	107,175	718,044	330,197	3,525,427	7,029,926	5,444,545	-
A.3	Units of UCITS	220,748	1,112	2,185	9,628	43,990	56,103	92,086	639,464	4,136,121	10,775
A.3	Units of UCITS	176,522	-	-	-	13	-	-	-	-	329
A.4	Loans	16,038,698	2,015,539	922,120	1,881,092	4,176,895	4,200,366	5,269,429	19,008,759	32,545,672	9,569,425
-	Banks	4,642,286	2,737	106,829	20,117	205,562	77,597	209,746	156,715	5,250	9,262,051
-	Customers	11,396,412	2,012,802	815,290	1,860,975	3,971,334	4,122,769	5,059,682	18,852,045	32,540,423	307,374
Balance sheet liabilities											
B.1	Deposits and current accounts	63,963,716	4,951,594	181,782	2,903,068	3,139,888	7,343,332	8,925,020	18,966,259	4,457,013	1,344,245
-	Banks	56,417,536	83,061	111,489	320,492	656,504	932,835	830,878	6,546,647	-	-
-	Customers	643,825	-	-	-	9,000	40,003	-	4,750	-	-
B.2	Debt securities	55,773,711	83,061	111,489	320,492	647,504	892,832	830,878	6,541,897	-	-
B.3	Other liabilities	3,511,831	4,526	233	2,236,617	1,360,869	110,638	216,264	5,426,545	3,520,330	1,344,245
Off-balance-sheet transactions											
C.1 Financial derivatives with exchange of principal											
-	long positions	36,774	843,886	444,024	944,083	1,454,152	1,404,866	300,693	590,172	528,245	-
-	short positions	591,883	1,846,005	318,783	255,417	1,317,314	463,848	322,798	351,939	409,310	-
C.2 Financial derivatives without exchange of											
-	long positions	5,083,282	-	568	17,676	10,487	33,381	30,295	-	-	-
-	short positions	3,837,081	-	87	3,750	25,806	7,717	46,717	-	-	-
C.3 Deposits and borrowings to be received											
-	long positions	-	5,636,824	-	-	-	-	115,323	-	-	-
-	short positions	-	5,649,020	-	-	-	-	115,323	-	-	-
C.4 Irrevocable commitments to disburse funds											
-	long positions	198,606	3,670,020	-	21,054	160,844	42,910	639,102	531,952	925,984	-
-	short positions	2,355,647	3,146,419	-	-	100,232	-	437,283	150,892	-	-
C.5	Financial guarantees given	12,083	436	145	1,183	6,703	6,237	5,782	17,719	281	-
C.6 Financial guarantees received											
C.7 Credit derivatives with exchange of principal											
-	long positions	-	-	-	-	-	-	-	-	-	-
-	short positions	-	-	-	-	-	-	-	1,760,250	1,642,292	-
C.8 Credit derivatives without exchange of principal											
-	long positions	-	-	-	-	-	-	-	-	-	-
-	short positions	9,733	-	-	-	-	-	-	1,760,250	1,642,292	-



2. Breakdown of financial assets and liabilities by residual contractual duration - Currency: Other

Account / Maturity	On demand	1 to 7 days	7 to 15 days	15 days to 1 month	1 to 3 months	3 to 6 months	6 months to 1 year	1 to 5 years	over 5 years	Unspecified maturity
Balance-sheet assets	386,057	44,653	49,378	136,899	165,202	78,988	89,442	351,994	529,896	131,688
A.1 Government securities	10	-	-	-	493	2,230	3,001	16,731	130,104	-
A.2 Other debt securities	45	-	9	79	3,146	5,134	21,246	162,536	387,467	-
A.3 Units of UCITS	56,379	-	-	-	-	-	-	-	-	-
A.4 Loans	329,623	44,653	49,369	136,820	161,563	71,624	65,195	172,727	123,25	131,688
- Banks	220,805	19,558	23,303	51,080	37,965	8,880	21,511	5,105	554	-
- Customers	108,818	25,095	26,066	85,740	123,599	62,744	43,684	167,623	11,772	131,688
Balance-sheet liabilities	427,736	89	28,623	289,127	8,467	6,376	5,027	35,781	1,574	-
B.1 Deposits and current accounts	401,179	89	28,623	68,157	7,783	6,041	4,425	-	-	-
- Banks	23,247	-	14,480	3,814	-	-	-	-	-	-
- Customers	377,932	89	14,144	64,343	7,783	6,041	4,425	-	-	-
B.2 Debt securities	-	-	-	-	267	267	534	29,115	-	-
B.3 Other liabilities	26,557	-	-	220,970	417	68	68	6,666	1,574	-
Off-balance-sheet transactions										
C.1 Financial derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	29,375	305,334	396,086	245,806	392,972	243,871	54,399	88,662	178	-
- short positions	39,879	328,064	332,230	688,514	966,304	440,206	212,728	127,051	16	-
C.2 Financial derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	249,895	-	-	-	-	-	-	-	-	-
- short positions	132,451	-	-	-	387	-	267	-	-	-
C.3 Deposits and borrowings to be received	-	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-
C.4 Irrevocable commitments to disburse funds	-	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	1	3,266	1,833	-	1,552	-	-
- short positions	6,652	-	-	-	-	-	-	-	-	-
C.5 Financial guarantees given	6	-	-	-	6	-	18,483	1,420	-	-
C.6 Financial guarantees received	-	-	-	-	-	-	-	-	-	-
C.7 Credit derivatives with exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	-	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	186,933	380,986	133,523	59,462	-	-
C.8 Credit derivatives without exchange of principal	-	-	-	-	-	-	-	-	-	-
- long positions	5,494	-	-	-	-	-	-	-	-	-
- short positions	-	-	-	-	-	-	-	-	-	-



Self-securitisations

The securitisation transactions whereby the Group underwrites securities issued by vehicle companies (self-securitisations) are not shown in the tables of Part E of the Notes to the Consolidated Financial Statements, section "C. Asset securitisation and disposal transactions", pursuant to the provisions of Bank of Italy Circular 262.

Self-securitisations of assets are transactions aimed at improving liquidity risk management by optimising the amount of assets readily available to cover liquidity requirements.

Although the Group's direct and full underwriting of the notes issued by the vehicles does not make it possible to obtain direct liquidity from the market, it still provides the Group with securities that could be used for ECB refinancing (limited to the senior tranches as ECB eligible) and for reverse purchase agreements by increasing the availability of disposable assets, thus improving the MPS Group safety margin against liquidity risk (counterbalancing capacity). These transactions had no economic impact on the financial statements: loans continue to be reported under item 40b) "Financial assets measured at amortised cost: loans to customers" on the assets side, while underwritten notes are not reported.

As at 31 December 2019, this category includes the self-securitisations completed in December 2007 (Siena Mortgages 07-5), April 2008 (Siena Mortgages 07-5 II series), April 2009 (Siena Mortgages 09-6), January 2016 (Siena Lease 2016-2) and October 2016 (Siena PMI 2016).

In particular, the Siena Lease 2016-2 transaction, following redemption of the securities initially placed on the market, became a self-securitisation in 2019 since the outstanding securities were entirely underwritten by the originator MPS Leasing & Factoring.

Siena Mortgages 07-5, I and II series

On 21 December 2007, through the vehicle Siena Mortgages 07-5 S.p.a., the Parent Company finalised a securitisation of performing loans consisting of a portfolio of 57,968 residential mortgage loans for a total of EUR 5,162.4 mln, of which a balance of EUR 1,027.3 mln (19,853 mortgage loans) outstanding as at 31 December 2019.

In order to fund the acquisition, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody's and Fitch as at 31 December 2019:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 4,765.9 mln, of which EUR 4,141.3 mln redeemed;
- Class B notes (Aa3 and AA), for a nominal amount of EUR 157.4 mln;
- Class C notes (B3 and B), for a nominal amount of EUR 239.0 mln.

A cash reserve was also set up to support the transaction for an amount of EUR 124.0 mln, through the issuance of class D notes, which was posted under assets, item 40 b) "Financial assets measured at amortised cost: loans to customers". The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve: EUR 29.0 mln as at 31 December 2019.

The first series was followed on 24 April 2008 by a second series (Siena Mortgages 07-5 second series), collateralised by a separate pool of assets consisting of an additional sale of a portfolio of performing loans composed of 41,888 residential mortgage loans for a total of EUR 3,461.0 mln and with a residual life of about 20 years.

As at 31 December 2019, 12,193 mortgage loans were outstanding for a balance of EUR 788.5 mln.

In order to fund the acquisition of loans, the Vehicle (the existing Siena Mortgages 07-5 S.p.a.) issued RMBS in the following classes, rated by Moody's and Fitch as at 31 December 2019:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 3,129.4 mln, of which EUR 2,633.8 mln redeemed;
- Class B notes (Aa3 and AA-), for a nominal amount of EUR 108.3 mln;



- Class C notes (NR and B), for a nominal amount of EUR 178.3 mln.

A cash reserve was also set up to support the transaction for an amount of EUR 81.9 mln, through the issuance of class D notes, posted to the assets side under item 40 b) "Financial assets measured at amortised cost: loans to customers". The transaction reached the Protection Ratio (ratio between total Class B and C notes and total Class A, B and C notes) which allowed for the gradual reduction of the cash reserve which amounted to EUR 18.6 mln as at 31 December 2019.

Siena Mortgages 09-6, I series

On 22 April 2009 the Parent Company finalised a securitisation through the vehicle Siena Mortgages 09 – 6 Srl of a portfolio of performing mortgage loans in real estate and building for a total of EUR 4,436.5 mln. As at 31 December 2019, the remaining debt balance stands at EUR 1,306.3 mln, for a total of 19,906 mortgage loans.

In order to fund the acquisition of the portfolio sold, the Vehicle issued Residential Mortgage Backed Floating Rate Notes (RMBS) in the following classes, rated by Moody's and Fitch as at 31 December 2019:

- Class A notes (Aa3 and AA) for a nominal amount of EUR 3,851.3 mln, of which EUR 3,177.5 mln redeemed;
- Class B notes (NR and AA), for a nominal amount of EUR 403.7 mln;
- Class C notes (NR and A-), for a nominal amount of EUR 181.4 mln.

A cash reserve was also set up to support the transaction for an amount of EUR 106.5 mln, through the issuance of class D notes, posted to the assets side under item 40 b) "Financial assets measured at amortised cost: loans to customers". As at 31 December 2019, the reserve amounted to EUR 138.4 mln.

Siena PMI 2016

In 2016 the Parent Company carried out a securitisation through the vehicle named Siena PMI 2016 S.r.l. The transaction was finalised on 30 September 2016 through the sale of a portfolio of performing loans to Italian small and medium sized enterprises, for a total of EUR 1,739.3 mln. As at 31 December 2019, the remaining debt balance stands at EUR 409.9 mln, for a total of 8,737 mortgage loans.

In order to fund the acquisition of the portfolio sold, on 27 October 2016, the Vehicle issued Asset-Backed Securities (ABS) in the following classes, rated by Fitch and DBRS as at 31 December 2019:

- Class A1 notes (AA and AAA) for a nominal amount of EUR 470.0 mln, redeemed in full;
- Class A2 notes (AA and AAA) for a nominal amount of EUR 400.0 mln, redeemed in full;
- Class B notes (AA and AAH), for a nominal amount of EUR 150.0 mln, redeemed in full;
- Class C notes (BBB and AH) for a nominal amount of EUR 313.0 mln, of which EUR 131.5 mln redeemed;
- Class J notes (not rated) for a nominal amount of EUR 406.3 mln, of which EUR 121.2 mln already redeemed.

Siena Lease 2016-2 Srl

On 3 December 2015, the subsidiary MPS Leasing & Factoring sold to the vehicle company "Siena LEASE 2016-2 S.r.l." a portfolio consisting of 13,181 performing finance leases totalling EUR 1,619.8 mln. As at 31 December 2019, the remaining debt balance amounted to EUR 694.8 mln (4,043 lease transactions).

In order to fund the acquisition of this portfolio, on 28 January 2016 the Vehicle issued Asset-Backed Securities (ABS) in the following classes, rated by Fitch and DBRS as at 31 December 2019:

- Class A notes for a nominal amount of EUR 761.3 mln, redeemed in full;



- Class B notes (Aa3 and AA), for a nominal amount of EUR 202.5 mln, of which EUR 185.5 mln redeemed;
- Class C notes (Aa3 and A+) for a nominal amount of EUR 202.5 mln;
- Class D notes (Ba2 and NR) for a nominal amount of EUR 251.0 mln.
- Class J notes (not rated) for a nominal amount of EUR 202.5 mln.

1.5 – Operational risk

Qualitative Information

A. Operational risk: general aspects, operational processes and measurement methods

General aspects and Framework structure

By an administrative ruling dated 12 June 2008, the Bank of Italy authorised the Group to use internal models for the determination of capital requirements for credit and operational risks.

The adoption of the advanced model (AMA) calls for banks to:

1. adopt an internal organisation which defines the roles of the corporate bodies and functions involved in the operational risk management process;
2. establish a control function for data gathering and storing, capital requirement calculation, risk profile assessment and reporting;
3. perform ongoing checks on the quality of the management system and its compliance with regulatory provisions;
4. delegate the internal auditing body to perform periodic audits on the operational risk management system;
5. guarantee over time that the system is actually used by the corporate management (use test).

For this purpose, the Group has adopted an integrated system for operational risk management, i.e. an internal framework built around a governance model that involves all companies included in the AMA model scope of application. The approach defines the standards, methods and instruments that make it possible to measure risk exposure and the effects of mitigation by business area.

The advanced approach is designed to integrate all major qualitative and quantitative (LDA-Scenario mixed model) information sources (information or data).

The quantitative Loss Distribution Approach (LDA) component is based on the collection, analysis and statistical modelling of internal and external time series of loss data (the latter supplied by the Italian Database of Operational Losses, DIPO).

The qualitative component focuses on the evaluation of the risk profile of each unit and is based on the identification of relevant scenarios. In this framework, the companies included in the AMA scope area are involved in the: identification of the processes and risks to be assessed; assessment of risks by process managers in charge; identification of possible mitigation plans; discussion of priorities and technical-economic feasibility of mitigating actions with Head Office functions.

Next is a phase for monitoring progress on the implementation of actions scheduled and compliance with objectives and deadlines.

The Framework identifies Group Operational Risk Management (ORM) as the operational risk control function (within Parent Company's Chief Risk Officer Department).

The Parent Company's ORM calculates the capital required to hedge operational risks by the use of different components of the model (internal data, external data, contextual and control factors, qualitative analyses), supports decision-making by Top Management from the standpoint of creating value by containment, mitigation



and transfer of the risks detected, and as it does for other companies included in the scope, it gathers internal loss data and identifies the risks to be evaluated in qualitative analyses.

The Advanced Measurement Approach (AMA) is applied to all domestic financial and banking entities, while the foundation model is used for remaining components and foreign companies. As at 31 December 2019 internal model coverage in terms of the relevant indicator exceeded 95%.

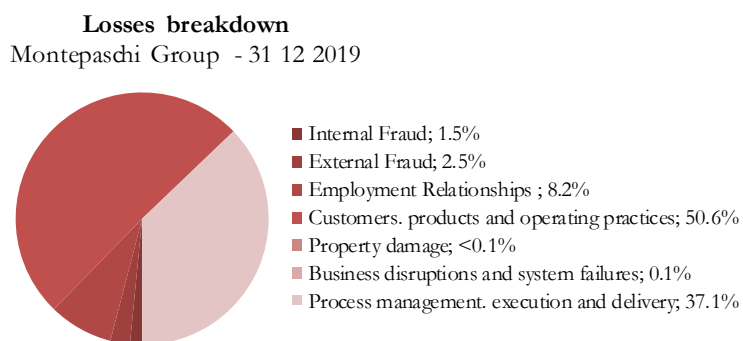
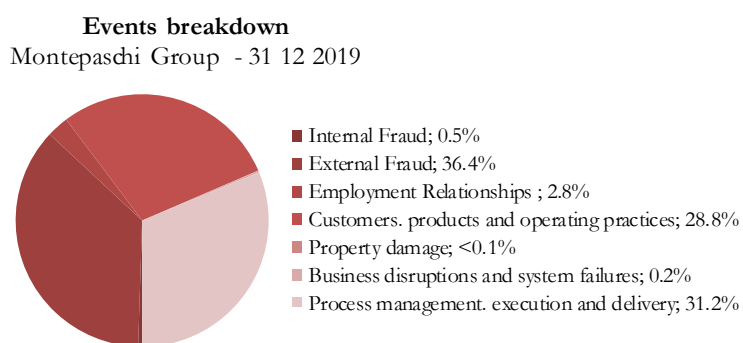
ORM has also set up a reporting system which ensures timely information on operational risks for the Top Management, which transposes the strategic principles of the management system into specific operating policies. Reports are regularly submitted to the Risk Management Committee and governing bodies.

Over time, the adoption of the AMA model has ensured better-informed management of operational risk, guaranteeing a material progressive reduction of the Group's operational risk.

As of 30 June 2017, the Advanced Measurement Model was changed to increase the historical depth of internal loss data from 5 to 10 years and to introduce the scaling of external data in order to discourage unexpected requirement fluctuations.

Quantitative Information

Following is the percentage breakdown of the number of events and operating losses recognised in 2019, broken down into risk classes:



As at 31 December 2019, the number of operational risk events and the losses were up compared to December 2018. This increase in the number is primarily due to the redemptions in favour of the customers, tied to reporting activities to third parties regarding diamond operations.



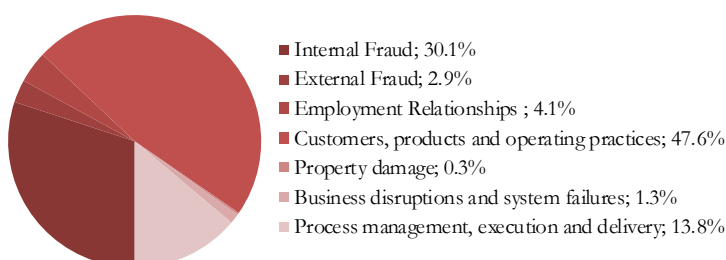
The types of event with the greatest impact on the income statement remain attributable to non-fulfilment of professional obligations with customers (under "Customers, products and operating practices": approximately 51% of the total) and operational and process management shortfalls (under "Process management, execution and delivery": 37% of the total).

With regard to "non-fulfilment of professional obligations with customers", risk events are mainly associated with claims due to the application of compound interest and to the compensation initiative with regard to customers indicated to third-party companies for the purchase of diamonds.

By contrast, the graph below shows the breakdown of regulatory requirements by risk class:

Regulatory Capital Requirements

Montepaschi Group - 31 12 2019



The Regulatory Requirement as at 31 December 2019 was up compared to December 2018, also due to the increase in the recorded operating losses.

The breakdown of losses recognised in the period differs from the breakdown of the requirement in that the latter is calculated using a 10-year time series and was predominantly due to the unexpected loss component.

Main types of legal, employment law and tax risks

Some information is reported below including, when relevant and/or advisable, that relating to individual claims with reference to significant issues involving the MPS Group and which are not considered completely groundless or normal within the context of the activities of the Group companies.

Legal disputes and Out of court claims

The risks associated with legal disputes – i.e. disputes brought before judicial authorities and arbitrators – are carefully reviewed by the Group.

In case of disputes for which the disbursement of financial resources to perform the underlying legal obligation is believed to be "likely" and the relevant amount can be reliably estimated, allocations are made to the Reserve for Risks and Charges using statistical or analytical criteria.

As at 31 December 2019, are pending:

- legal disputes, where quantified, amounted to a total of approximately EUR 4.8 bn. In particular:
 - approx. EUR 2.2 bn in claims regarding disputes for which there is a "probable" risk of losing the case, for which provisions of EUR 0.5 bn have been allocated;
 - approx. EUR 1.7 bn in claims attributable to disputes for which there is a "possible" risk of losing the case;
 - approx. EUR 0.9 bn in claims attributable to the remaining disputes, for which there is a "remote" risk of losing the case.
- Out of Court claims, where quantified, amounted to a total of approximately EUR 0.9 bn. In particular:



- approx. EUR 0.6 bn in claims regarding disputes for which there is a “probable” risk of losing the case,
- approx. EUR 0.3 bn in claims attributable to disputes for which there is a “possible” risk of losing the case.

Note the Group has exercised the possibility granted by IAS 37 of not providing detailed disclosures on the provisions allocated in the financial statement if such information may seriously jeopardise its position in disputes and in potential settlement agreements.

The key characteristics of significant cases, by macro-category or individually, are described below.

Disputes regarding compound interest, interest and conditions

Following the change in orientation by the Supreme Court of Cassation (Corte di Cassazione) on the legitimacy of the practice of capitalising on a quarterly basis the interest payable accrued on current accounts, as of 1999 there has been a progressive increase in claims for the return of interest expense resulting from quarterly compound interest. In these lawsuits, the plaintiffs also contest the legitimacy of the interest rate and the methods to determine the commissions applied to the accounts. In this regard, the interpretation introduced since 2010 by the Supreme Court on usury - according to which overlimit fees (Commissioni di Massimo Scoperto), even before Italian Law no. 2/2009 was enforced, should have been calculated on the basis of the effective global rate (Tasso Effettivo Globale - TEG), contrary to Bank of Italy guidelines - is frequently the pretext for the actions brought by customers. The plaintiffs most often claim irregularities in current account balances; however, claims concerning compound interest are also increasingly frequent: these cases are based on the alleged illegitimacy of the so-called “French-style amortisation” in mortgage loans, and violation of Italian Law no. 108/1996 on usury in term loans. Aware that the jurisprudential interpretation is often disadvantageous (although not univocal), at least with respect to certain issues, the Group is committed to maximising the arguments in its defence - which do exist, particularly concerning the statute of limitations - identifiable in the regulatory and interpretative framework. For this type of dispute, provisions for risks of EUR 133.8 mln were allocated, against a total claim amount of EUR 316.7 mln.

Dispute regarding bankruptcy rescindments

The reform implemented from 2005 has reduced and limited the scope of bankruptcy rescindments, particularly those relating to current account remittances. For those that can still be filed, or already pending at the effective date of the reform, the Group is giving maximum emphasis to all the arguments available in defence. For this type of dispute, provisions for risks of EUR 31.1 mln were allocated, against a total claim amount of EUR 150.7 mln.

Disputes concerning bonds issued by Countries or Companies that subsequently defaulted, and financial plans.

The considerable defensive efforts made in this type of lawsuit resulted over the years in the emergence of some favourable jurisprudential orientations, at least with respect to certain specific cases, which are allowing balanced risk control. It should be noted that starting from 2015, several unfavourable rulings were issued by the Supreme Court – with its latest order no. 6252 published on 14 March 2018 by the Civil Cassation Section 1[^] - pursuant to which “*the financial product called 4You does not entail an interest worthy of protection, under the regulatory framework, as it does not comply with the general principles set forth in articles 38 and 47 Cost.*”, due to the evident synallagmatic unbalance. Given these rulings, a penalising predilection in the case law regarding the Parent Company arguments can be considered solidified. For this type of dispute, provisions for risks of EUR 9.8 mln were allocated, against a total claim amount of EUR 27.4 mln.

Dispute with purchasers of subordinated bonds issued by Group companies

Following the burden-sharing plan implemented in 2017 in application of Law Decree no. 237/2016, some investors who had purchased subordinated bonds issued by Group companies (later becoming shareholders as a result of the aforementioned measure, with resulting losses compared to the amount initially invested) sued the Parent Company, claiming that, at the time of the investment, it did not inform customers regarding the nature



and characteristics of the financial instruments purchased, also raising objections on the proper fulfilment of obligations with which the Parent Company must comply as a financial intermediary.

This dispute is primarily related to investments in Lower Tier II bonds; indeed, in the majority of the cases the investors had their securities converted into ordinary shares pursuant to the law, without being able to benefit from the public offering for settlement and exchange promoted by the Parent Company pursuant to Decree no. 237/2016 ("Burden Sharing").

However, for the sake of comprehensiveness, we would like to point out other cases in which although the counterparties purchased Upper Tier II securities, they claim that they were unable to participate in the public offering due to misselling by the Parent Company, or in any event they had objections relating to the Upper Tier II securities purchased after 31 December 2015 (cut off date).

Lastly, a limited number of disputes concerns cases in which investors sold their bonds prior to the Burden Sharing pursuant to Decree no. 237/2016.

The number of these disputes currently stands at 116 for a total amount of relief sought of EUR 49.4 mln, for which provisions for risks of EUR 26.4 mln have been recognised.

Disputes and out-of-court claims related to financial information distributed in the 2008-2015 period

The Parent Company is exposed to civil action, legal action (29634/14 and 955/16), and out-of-court claims with regard to the financial information disclosed during the period 2008-2015.

In particular, as at 31 December 2019, the total claims for this type of dispute amounted to EUR 2.0 bn, subdivided as follows (data in EUR mln).

Type of dispute	31/12/19	31/12/18
Civil dispute *	883	764
Filed civil claims cp 29634/14 **	137	42
Filed civil claims cp 955/16 ***	95	76
Out-of-court claims ****	858	607
Total claims	1,973	1,489

(*) The increase in the civil dispute claims compared with 31 December 2018 is primarily ascribable to the writ of summons from Fondi York for investments carried out in 2014, partially offset by settlement agreements reached with some counterparties.

(**) The increase in claims with reference to civil action in the CP no. 29634/14 compared to 31 December 2018 is related to the written closing arguments formulated at the hearings on 23 and 30 May 2019, in which the civil parties specified their demands for compensation, or quantified the demands that were previously not quantified, net of the compensation requests for 2 civil parties which at the hearing of 19 September 2019 expressed formal request to terminate the civil action against the Parent Company as liable for damages.

(***) The increase in claims referring to civil actions in the CP no. 955/16 compared with 31 December 2018, is attributable to the filing, at the hearing of 16 September 2019, of an expert witness in the interest of a few hundred civil parties, regarding the quantification of the alleged damages they had suffered.

(****) Lastly, the increase in the claim from out-of-court proceedings of around EUR 251 mln compared with the end of 2018, refers to the 2014-2015 share capital increases.



The main lawsuits are outlined below by type.

Banca Monte dei Paschi di Siena S.p.A. vs. Marangoni Arnaldo + 123 shareholders and investors

In July 2015, Mr Arnaldo Marangoni sued the Parent Company, claiming to have purchased shares between 2008 and 2013, during subscription of the capital increases of 2008 and 2011, as well as on the Electronic Stock Market, based on false information provided by the Parent Company with regard to its capital, economic, financial, profit and management situation. Another 123 shareholders intervened in the lawsuit, submitting the same complaints (although their respective positions are not entirely uniform). The 123 interveners requested: (i) examination of the false nature of the statutory financial statements, quarterly and interim reports, capital increase prospectuses of 2008 and 2011, price-sensitive press releases relative to the years 2008, 2009, 2010, 2011 and 2012 of BMPS and, consequently, (ii) a ruling sentencing BMPS to compensate for damages. The counterparties claiming compensation for monetary and non-monetary damages for a total of about EUR 89 mln.

The case was referred to the Board for a decision on the preliminary objections raised by the Parent Company. The Judge handed down a decision on 25 January 2018, rejecting the preliminary objections, and adjourned to 13 February 2018 for the continuation of the proceedings. At that hearing, the Parent Company reserved the right to appeal the non-definitive ruling of the Court of Milan and the Judge, after granting the terms pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure, adjourned the proceedings to the hearing scheduled for 18 December 2018. At the hearing, the Judge reserved the right to decide on the preliminary evidence and subsequently, once the reservation had been lifted, ordered a CTU (court-appointed expert) to identify any information omissions and to determine the damage resulting from them, postponing the case until 19 February 2019 for the consultant to take the oath. At the hearing on 19 February 2019, certain issues inherent in the appraisals were discussed and clarified and the court-appointed expert was duly sworn in. The work of the experts was set to begin on 1 April 2019, while the case was postponed until the hearing scheduled for 19 November 2019, with a court-appointed expert assigned to verify the possibility of reaching a resolution. Some negotiations were initiated and led to an amicable settlement of this dispute.

At the beginning of January 2020, this dispute was settled with no impact on the Income Statement.

Banca Monte dei Paschi di Siena S.p.A. vs. Coop Centro Italia s.c.p.a

On 26 July 2016, Coop Centro Italia S.c.p.a. served a writ of summons against the Parent Company, jointly with CONSOB, before the Court of Florence (Section specialised in corporate matters) for the hearing of 20 January 2017, requesting total compensation of EUR 85.5 mln for actual damages, in addition to loss of profits quantified during the course of the proceedings in EUR 17.9 mln for a total claim of EUR 103.4 mln, due to the alleged false disclosure of the prospectuses relating to the Parent Company's capital increases in the years 2008, 2011 and 2014, in which the company had participated.

Specifically, the counterparty claimed damages of EUR 20.3 mln for the capital increase of 2008 and EUR 9.2 mln for the capital increase of 2011, for contractual liability pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance or art. 2049 of the Italian Civil Code in relation to the actions of its then representatives and employees, also pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance, for 56.0 mln, jointly and severally - or alternatively each to the extent applicable - with CONSOB, called upon to respond pursuant to articles 2043 and 2049 of the Italian Civil Code for the actions of the Supervisory Authority and those of its commissioners and officials, with regard to the 2014 capital increase, regarding capital losses incurred as well as loss of profit determined during the course of the proceedings. At the hearing on 12 October 2017, the Judge reserved his decision on the claims. Upon lifting of the reservation, the Judge ordered a court-appointed expert report, with the investigative operations beginning on 30 October 2018 and the case adjourned to 23 May 2019. On 15 January 2019, the court-appointed experts submitted an application asking the Judge for guidelines on whether or not to involve the bond holders in conducting the investigative operations. With ruling of 17 January 2019, the Judge reserved his decision on the matter and suspended the investigative operations in the meantime, to resume upon issuance of the decision and whose timing will therefore be updated. Moreover, with a subsequent petition filed on 28 February 2019, the consultants requested the Judge to specify if the investigations can be extended to the question of the proper accounting treatment of loans and if the court-appointed experts can consider the fact that in 2011, in addition to purchasing shares, Coop sold the option rights that it was due. The Judge, lifting the reservation, gave the parties a deadline of 10 September 2019 to make it possible to take a position on the various preliminary issues and matters discussed in this case and scheduled the hearing for 3 October 2019 to discuss



these aspects. The judge, during the hearing on 24 february 2020, declared inadmissible the issue and postponed the case to the hearing of 16 july 2020.

Whit a separate sentence dated 2 march 2020, the judge responded to preliminary inquires of CTU, which will soon be able to resume the expert operations suspended in the meantime.

Banca Monte dei Paschi di Siena S.p.A. vs. Coofin s.r.l.

On 26 July 2016, Coofin S.r.l. served a writ of summons against the Parent Company, together with CONSOB, before the Court of Florence (Section specialised in corporate matters) for the hearing of 20 January 2017, requesting total damages of EUR 51.6 mln as actual damages, in addition to loss of profits quantified during the course of the proceedings as EUR 9.8 mln for a total claim of EUR 61.4 mln, due to the alleged false nature of the prospectuses relating to the Parent Company's capital increases of 2008, 2011 and 2014, in which the company participated.

Specifically, the counterparty claimed damages of EUR 11.5 mln for the capital increase of 2008 and EUR 6.1 mln for the capital increase of 2011, for contractual liability pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance or art. 2049 of the Italian Civil Code in relation to the actions of its then representatives and employees, also pursuant to art. 1218 of the Italian Civil Code, as well as art. 94, paragraph 8 of the Consolidated Law on Finance, for EUR 34.0 mln, jointly and severally - or alternatively each to the extent applicable - with CONSOB, called upon to respond pursuant to articles 2043 and 2049 of the Italian Civil Code for the actions of the Supervisory Authority and those of its commissioners and officials, with regard to the 2014 capital increase, regarding capital losses incurred as well as loss of profit determined during the course of the proceedings. At the hearing on 13 March 2018, the Judge reserved himself for the admission of preliminary evidence. Upon lifting of the reserve, the Judge decided to submit to the Board the decision on the preliminary exceptions raised by the Parent Company, adjourning the hearing to 6 December 2018 for the specifications of the pleadings. In the meantime, the Judge had set a hearing for 10 October 2018 to discuss a petition for deferment by the Parent Company with regard to submission of the relative documentation. Following replacement of the Judge, the hearing of 10 October 2018 was adjourned to 5 March 2019, while nothing was decided regarding the hearing for clarification of the conclusions of 6 December 2018, which was not held. By decree of 26 February 2019, the new magistrate scheduled the hearing for the clarification of the conclusions for 25 February 2021; therefore, at the moment there is no court-appointed expert admitted, while the reservation was lifted on the petition for deferment in the terms formulated by the defence, allowing for the submission of various documents of interest for the Parent Company, with the exception of Consob notices.

Banca Monte dei Paschi di Siena S.p.A. vs. Alken Fund Sicav and Alken Luxembourg S.A.

On 22 November 2017, the counterparties (the "Funds") served a complaint on the Parent Company, as well as Nomura International, Giuseppe Mussari, Antonio Vigni, Alessandro Profumo, Fabrizio Viola and Paolo Salvadori, before the Court of Milan, requesting that the court confirm and declare: (i) the alleged liability of the Parent Company pursuant to art. 94) of the Consolidated Law on Finance, as well as for the deeds of defendants Mussari, Vigni, Profumo and Viola pursuant to art. 2935 of the Italian Civil Code due to the offences perpetrated against the plaintiffs; (ii) the alleged liability of defendants Mussari and Vigni in relation to investments made by the Funds in 2012 on the basis of false information; (iii) the alleged liability of defendants Viola, Profumo and Salvadori in relation to investments made by the Funds subsequent to 2012; and (iv) the alleged liability of Nomura pursuant to art. 2043 of the Italian Civil Code and, as a result, order BMPS and Nomura jointly and severally to provide compensation for financial damages equal to EUR 423.9 mln for Alken Funds Sicav and EUR 10 mln for lower management fees and reputational damage to the management company Alken Luxembourg SA, as well as jointly and severally with Banca MPS and Nomura the defendants Mussari and Vigni for damages resulting from the investments made in 2012, and Viola, Profumo and Salvadori for damages subsequent to 2012. The counterparties also requested that the defendants be ordered to provide compensation for non-financial damages upon confirmation that they were guilty of the offence of providing false corporate disclosures. The Parent Company duly appeared and set out its defence. In the alternative, for the denied possibility of granting the opposing applications, the Parent Company applied for recourse against Nomura. The first hearing, initially set for 18 September 2018, was deferred to 11 December 2018, in order to allow discussion between the parties on the transversal issues formulated by a number of defendants. It should be noted that in the judgement, three individuals intervened, separately and independently, claiming damages for a total of approx. EUR 0.7 mln. At the hearing of 11 December, the Judge reserved his decision on the preliminary objections raised by the parties. Upon lifting the reservation and accepting the objections raised by all the



defendants, the Judge declared Alken's summons null and void, due to failure to specify the dates of the share purchases and the nullity of the powers of attorney, assigning the plaintiffs a deadline of 11 January 2019 to supplement the applications and rectify the defects of the powers of attorney. On the other hand, the judge considered Alken's claims concerning the alleged incorrect accounting of the claims to be sufficiently specific and rejected the plea of nullity of the acts of intervention. Following the plaintiff's additions, the defendants insisted on the objections of nullity of the summons and powers of attorney. At the end of the discussion on these objections, which took place at the hearing of 30 January 2019, the Judge reserved his decision. Upon lifting the reservation, the Judge - considering that these preliminary questions must be decided together with the merit - granted the preliminary terms pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure and adjourned the hearing for discussion of the preliminary requests to 2 July 2019. At that hearing, the Parent Company requested and obtained a deadline of 8 July to object to the demands submitted by an intervener (whose intervention the Parent Company acknowledged at the hearing), after the parties discussed and illustrated their respective preliminary briefs and the relative petitions. At the end of the discussion, the Judge reserved the right to decide on the preliminary evidence. By order of 24 July 2019, the Judge rejected the request for a court-appointed expert witness submitted by Alken, deeming that the case was ready for a decision considering the subjective characteristics of the plaintiff (professional investor) and the operations of Alken on the BPMS shares (with acquisitions which extended, inter alia, even beyond December 2015). The plaintiff's hearing was scheduled for 14 April 2020.

Dispute between York Funds and York Luxembourg / Banca MPS Spa, Alessandro Profumo, Fabrizio Viola, Paolo Salvadori and Nomura International PLC

On 11 March 2019, York Funds and York Luxembourg served a writ of summons to the Parent Company's registered office, bringing an action before the Court of Milan (Section specialised in corporate matters) against Banca MPS Spa, Messrs. Alessandro Profumo, Fabrizio Viola, and Paolo Salvadori as well as Nomura International PLC, ordering the defendants, jointly and severally, to pay damages amounting to a total of EUR 186.7 mln and - subject to an incidental finding that the offence of false corporate communications has been committed - to compensation for non-monetary damages to be paid on an equitable basis, pursuant to art. 1226 of the Italian Civil Code, plus interest, revaluation, interest pursuant to art. 1284, para. IV of the Italian Civil Code, and interest compound pursuant to art. 1283 of the Italian Civil Code.

The plaintiffs' claim is based on alleged losses incurred as part of its investment transactions in MPS totalling EUR 520.30 mln, carried out through the purchase of shares (investment of EUR 41.4 mln by York Luxembourg) and derivative instruments (investment of EUR 478.9 mln by York Funds). The plaintiffs' quantified their comprehensive losses at EUR 186.7 mln.

The investment transactions challenged began in March 2014, when Messrs. Fabrizio Viola and Alessandro Profumo held the offices of CEO and Chairman, respectively, of Banca MPS Spa. The plaintiffs charge alleged unlawful behaviour by top management of the Parent Company in falsifying the financial representation in financial statements, substantially modifying the assumptions used in measurements of financial instruments issued by the Parent Company.

The first hearing, initially scheduled for 29 January 2020, was postponed to 4 February 2020. The Bank entered an appearance as provided for by the law. On 03 February 2020, an act pursuant art. 105 cpc, was filed by a civil part. With this act the civil part demand the refund of the full loss of its investment, equal to EUR 15,517.42 made during 2014 in equity instruments issued by the bank. The judge has postponed the case at the hearing on 15 March 2020.

Banca Monte dei Paschi di Siena S.p.A./ Civil action and third-party action of the Parent Company as civilly liable party

The investors submitted claims for compensation against the Parent Company as part of the criminal proceedings no. 29634/14 r.g.n.r. (General Criminal Records Registry) (a total of 1,240) pending before the Court of Milan, in which the Parent Company was involved as a civilly liable party, as well as the other criminal proceedings no. 955/16 r.g.n.r. (there are a total of 2,272 civil parties) with reference to the financial statements, reports and other corporate communications of the Parent Company from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, in which the Parent Company is a defendant pursuant to Italian Legislative Decree 231/01 as well as a civilly liable party.



Criminal proceeding no. 29634/14

With reference to the criminal proceedings in relation to “Alexandria”, after the service of the order of closing of the preliminary investigations, the Office of the Public Prosecutor at the Court of Milan sought the committal for trial of the former Top Management of the Parent Company and two members of the Management of Nomura for false corporate disclosures and market manipulation. Note that the criminally liable conduct ascribed to the various parties under investigations refer to the financial statements closed on 31 December in 2009, 2010, 2011 and 2012, and to the balance sheet as at 31 March 2012, 30 June 2012, and 30 September 2012.

As regards the offences allegedly committed by the above-mentioned individuals, the Prosecuting Attorney also sought the committal for trial of the Parent Company and Nomura in relation to the administrative offences pursuant to Legislative Decree 231/2001.

In March 2016 this proceeding was combined with the other legal action pending before the Court of Milan in relation to the investigations concerning the Santorini, FRESH 2008 and Chianti Classico transactions.

By an order of 13 May 2016, the Preliminary Hearing Judge (in Italian, the “GUP”) authorized the lodging and admissibility of the claims for damages of the offended parties against the entities already involved in the proceedings as defendants pursuant to Legislative Decree 231/2001.

On 2 July 2016, with the approval of the Public Prosecutor, the Parent Company filed a request for plea bargain in the criminal proceedings, in relation to the objections made against the Bank in accordance with Legislative Decree 231/2001.

After the request for plea bargain, the Parent Company’s position was closed. With the plea bargain, accepted by the Preliminary Hearing Judge on 14 October 2016, the Parent Company exits the proceedings as defendant in the administrative offence following crimes committed by its own former executives, limiting the consequences to an administrative financial penalty of EUR 600 thousand and a confiscation, for EUR 10 mln, without exposing itself to the risk of higher penalties.

Lastly, with regard to the above, on 1 October 2016 the Preliminary Hearing Judge ordered the committal for trial of the defendants other than the Parent Company. At the hearing on 15 December 2016, the civil parties, those already admitted in the previous “Alexandria” proceedings as well as the new civil parties, requested that the Parent Company, Nomura and Deutsche Bank be summoned as civilly liable parties in relation to the offences with which the former directors and executives committed for trial were charged.

Following an extensive closed session meeting, the Court summoned the banks as civilly liable parties, providing the notification deadline to the parties of 10 January 2017, allowing for the completion of notifications at the latest by 31 January 2017 and scheduling the hearing for 21 February 2017.

At the hearing on 21 February 2017, the Parent Company appeared before the court as a civilly liable party.

During the proceedings, by order of 6 April 2017 the Court of Milan decided on the requests for the exclusion of civil parties submitted by the defence teams of the defendants and the civilly liable parties, excluding several civil parties.

In addition, the claim of damages as a civil party by the Parent Company with respect to Giuseppe Mussari, Antonio Vigni, Daniele Pirondini and Gian Luca Baldassarri was also excluded on the assumption of its contributory liability with respect to the defendants.

At the hearing on 16 May 2019, once the public prosecutor’s indictment was completed, requests for sentencing for nearly all of the defendants were formulated and convictions were requested pursuant to Italian Legislative Decree 231/01, as well as seizures for the two foreign banks involved, Deutsche Bank AG and Nomura International PLC

At the hearings on 23 and 30 May 2019, the civil parties that summoned the Parent Company as a civilly liable party formulated their demands for compensation in writing.

The MPS Foundation, which had not cited the Parent Company as civilly liable, made no direct request to it, but instead formulated demands against the natural person defendants and executives/former executives, as well as the representatives of Nomura.

The Bank of Italy which, like the MPS Foundation, did not summon the Parent Company as a civilly liable party, asked for the defendants to be sentenced to pay a sum to be settled on an equitable basis.

As regards CONSOB, which summoned the Parent Company as a civilly liable party, for nearly all damage items it requested a quantification on an equitable basis, except for that relating to supervisory costs quantified as a



total of roughly EUR 749 thousand. The provisional amount is requested alternatively, to the extent of roughly EUR 298 thousand.

At the hearings on 3 June 2019 the lawyer of Banca Monte dei Paschi di Siena as a party bearing civil liability presented arguments; at the subsequent hearings on 6, 13, 17, 20 and 27 June 2019, the lawyers of the defendants presented their arguments.

At the hearings on 4, 11 and 18 July 2019, the lawyers of the other defendants and those of the civilly liable Deutsche Bank presented their arguments.

Furthermore, the hearing on 18 July 2019, the defence attorneys of some civil parties declared on the record that they revoked their actions against the Deutsche and Nomura defendants, as well as the requests for compensation from such banks as civilly liable parties, revocations that were subsequently filed at the next hearings on 11 and 19 September 2019.

At the same hearing on 19 September, 2 civil actions against the defendants, former representatives of the Parent Company, were revoked, with consequent waivers of the requests for compensation as a civilly liable party, which resulted in a decreased total amount of the claim intended as the sum of the requested monetary and non-monetary damages, from around EUR 191 mln to around EUR 137 mln.

On 30 September 2019, the discussions of the foreign defendant entities pursuant to Italian Legislative Decree 231/01, Deutsche Bank and Nomura, were concluded.

The trial continued on 31 October 2019 to incorporate possible new revocations of civil party actions, as well as on 8 November, when the final hearing was held.

On 8 November 2019, the Court read the conclusion of the ruling in first instance by convicting all defendant natural persons, and pursuant to Legislative Decree 231/2001, the legal persons of Deutsche Bank AG and Nomura International PLC.

The Parent Company, in the capacity of civil liable person (not accused pursuant to Legislative Decree 231/2001 and to a previous agreement) was convicted – jointly with the defendant natural persons and the two foreign banks – and ordered to pay compensation for damages in favour of the civil parties that had entered an appearance, in separate civil proceedings, since the Court rejected the request for allowing an amount on a provisional basis and immediately enforceable, pursuant to art. 539 of the Code of Penal Proceedings.

Criminal proceeding no. 955/16

On 12 May 2017 the committal for trial of the representatives Alessandro Profumo, Viola Fabrizio and Salvadori Paolo (the first two no longer in office) was requested within new criminal proceedings before the Court of Milan, in which they were charged with false corporate disclosures (art. 2622 of the Italian Civil Code) in relation to the accounting of the “Santorini” and “Alexandria” transactions with reference to the Parent Company’s financial statements, reports and other corporate communications from 31 December 2012 to 31 December 2014 and with reference to the half-yearly report as at 30 June 2015, as well as market manipulation (art. 185 of the Consolidated Law on Finance) in relation to the disclosures to the public concerning the approval of the financial statements and the balance sheets specified above.

In relation to these proceedings, in which the Parent Company is identified as the injured party, the first hearing was held on 5 July 2017, during which several hundred natural persons and a number of trade associations asked to appear before the court as civil parties. The Preliminary Hearing Judge postponed the proceedings to 29 September 2017 for the deliberation of the requests as well as for consolidation with the proceedings pending against the Parent Company, as the defendant entity pursuant to Italian Legislative Decree 231/01 for the same actions with which Mr Profumo, Mr Viola and Mr Salvadori are currently charged. At the hearing on 29 September 2017, 304 of the 337 who requested were admitted as civil parties. The remaining parties were excluded due to a lack of *legittimatio ad causam*. At the same hearing, the proceedings pending against the Parent Company, as the party liable under administrative law, were joined with those pending against the natural persons. Therefore, the Judge admitted the summons of the Parent Company as a civilly liable party and adjourned the proceedings to the hearings of 10 November 2017 and 24 November 2017 to allow for the service of the related notifications.

At the hearing on 10 November 2017, the defence attorney of Mr Salvadori objected on the basis of the alleged nullity of the committal for trial request against his client as the compulsory charge against the client should have been formulated only for the offence pursuant to art. 2622 of the Italian Civil Code and not also for that



pursuant to art. 185 of the Consolidated Law on Finance. In connection with this issue, this defence attorney also objected on the grounds of the Milan A.G.'s lack of jurisdiction.

At the hearing on 24 November 2017, the Preliminary Hearing Judge handed down an order:

- declaring the nullity of the request for committal for trial with respect to Mr Salvadori;
- ordering the separation of the relative position from the main proceedings (pending against Mr Viola and Mr Profumo, as well as the Parent Company) with reference to the section relating to the alleged offence pursuant to art. 185 of the Consolidated Law on Finance;
- reserving any decision concerning issues of jurisdiction until such time as the public prosecutor makes his own determinations in this regard.

Therefore, the Public Prosecutor has issued the notice of the conclusion of investigations with respect to Mr Salvadori for the offence pursuant to art. 185 of the Consolidated Law on Finance and filed the (new) request for committal for trial against Mr Salvadori for such offence and, lastly, requested the (new) preliminary hearing (again for the crime of market manipulation).

At the hearing on 9 February 2018, the Preliminary Hearing Judge acknowledged the filing in the meantime of:

- the ultimate Parent Company defence brief concerning jurisdiction;
- the documents submitted by the defence attorney of Mr Viola and Mr Profumo;
- the briefs of Mr Bivona and Attorney Falaschi; as well as
- a request for an order for attachment submitted by the latter against Mr Viola and Mr Profumo.

After which time, the Preliminary Hearing Judge convened the proceedings against Mr Salvadori following his removal from the proceedings ordered during the previous hearing with regard to the charge pursuant to art. 185 of the Consolidated Law on Finance.

The civil parties readmitted again requested the summons of Banca MPS as civilly liable party. Therefore, the Preliminary Hearing Judge adjourned the case - also for the proceedings against Mr Viola and Mr Profumo - to the hearing of 13 March 2018 which was not held by abstention and was therefore postponed to 6 April 2018 for the appearance before the court of the liable party and for the discussion of and decision on the matter of jurisdiction.

Following the formalisation of the appearance before the court by the Parent Company, the Prosecutor requested the issue of a pronouncement of acquittal because there is no case to answer or because the act does not constitute an offence depending on the charge in question. On the outcome of the hearing, the schedule was updated on 13, 20 and 27 April 2018 for the continuance of discussion and the possible issue of the final ruling of the preliminary hearing.

Following the outcome of the preliminary hearing, the Preliminary Hearing Judge ruled that there were no grounds for a decision not to proceed to judgment and ordered the committal for trial of the defendants, natural persons (Messrs. Viola, Profumo and Salvadori) and Banca MPS (as the defendant entity pursuant to Italian Legislative Decree 231/01). Only Mr Salvadori was found not to be subject to proceedings for the charge pursuant to Article 185 of the Consolidated Law on Finance.

At the hearing of 17 July 2018, 2,243 civil parties joined the lawsuit. Some of these have formally requested the mention of the Parent Company as party with civil liability, while most of the defence attorneys only requested the extension of the lawsuit to their clients with regard to the Parent Company, as a party with civil liabilities already called in the lawsuit. Some civil parties brought a lawsuit to the ultimate Parent Company as responsible party in pursuant to Italian Legislative Decree no. 231/2001. At the outcome, the Court adjourned to the hearings of 16 October and 6, 13 and 19 November 2018. Only the preliminary questions relating to the civil parties joining the lawsuit were heard at the hearing of 16 October 2018.

On 16 October 2018, the hearing for discussion of the civil parties joining the lawsuit was regularly held, as per the last hearing of 17 July 2018, with the addition of another 165 civil parties. The defendants and the Parent Company pleaded that the latter were late. At the hearing of 6 November 2018, the Board, upon lifting of the reservation, ordered the exclusion of some civil parties, which consequently amounted to 2,272 (349 of which had quantified the alleged damages), and the extension of the cross-examination between the ultimate Parent



Company/undertaking and the new civil parties admitted, without further formalities and rejecting the request for summons by CONSOB, the Bank of Italy and EY S.p.A. as civilly liable parties.

At the hearing of 19 November 2018, the Court rejected by order the objections relating to the issue of lack of territorial jurisdiction previously raised by the defence. Consequently, the proceedings were declared open and the next hearing was scheduled for 18 March 2019, with reservation of the decision on the request for an order of attachment against Mr Profumo and Mr Viola, submitted by a number of parties. The reserve was lifted with decision dated 3 December 2018, through which the Court rejected the request for an order of attachment against the aforementioned executives.

The preliminary hearing was opened on 18 March 2019. At subsequent hearings, some texts were examined and are currently being reviewed by the expert witnesses.

The relief sought, if stated in the civil action, amounted, as at 31 December 2019, with reference to the proceedings in question, to approximately EUR 95 mln.

Investigation with reference to Impaired loans on the 2012, 2013, 2014 financial statements and 2015 half-yearly report.

In 2019, the Parent Company was involved, as the administrative liable party, pursuant to Legislative Decree no. 231/2001, as regards the afore mentioned pending proceedings on an alleged claim, pursuant to article 2622 of the Italian Civil Code, concerning the financial statements 2012, 2013, 2014 and the six month financial statements 2015 formulated in reference to an alleged overvaluation of non-performing loans.

On 25 July 2019, the Preliminary Investigations Judge of the Court of Milan ruled, on one hand, to dismiss the proceedings against the Bank, as a party liable pursuant to Legislative Decree no. 231/2001, but on the other hand, ordered the continuation of the investigations of the defendant natural persons (chairman of the Board of Directors, CEO and pro-tempore Chairman of the Board of Statutory Auditors) thus rejecting the request for dismissal presented by the public prosecutor and also supported by an expert witness report assigned by the Attorney General's office.

Currently, the investigations are being carried out in the form of an evidence gathering procedure for which the Preliminary Investigations Judge has appointed two experts who, by the end of the first half of 2020, should conclude their assessments. A new hearing calendar will be scheduled on June and July 2020.

Obviously the results of this evidence gathering procedure will be very important for the arguments of the public prosecutor therefore it appears necessary to wait for such results before expressing an assessment about the risk of losing the case.

The proceedings – even though dismissed as regards the Parent Company as an administrative liable party – continues to be important for Banca MPS due to the very likely recognised liability for damages that the credit institution would be called on to assume, should penal proceedings be initiated.

Out-of-court claims for the repayment of sums and/or compensation for damages by Shareholders and Investors of Banca Monte dei Paschi di Siena S.p.A. in relation to the 2008, 2011, 2014 and 2015 share capital increases

In relation to capital increases and the allegedly incorrect financial information contained in the prospectuses and/or in the financial statements and/or in the price sensitive information for the period 2008-2011, as at 31 December 2019, the Parent Company has received 942 out-of-court claims, for a total of approximately EUR 655 mln in quantified claims, aimed at obtaining reimbursement of the amounts invested and/or compensation for monetary and non-monetary damages following the alleged suffered losses. Of said claims, less than 10% filed civil suits (the majority of which as part of the case filed by Marangoni Arnaldo + 123 as mentioned above).

These claims – brought individually or collectively, through two professionals and by ADUSBEP – although naturally heterogeneous, are mostly justified by generic references to the Parent Company's alleged violation of the industry legislation governing disclosure and, therefore, were rejected by the Parent Company in that they were considered generic, unfounded, not backed by suitable documentary evidence, and in some cases past the statute of limitations. As at 31 December 2019, the residual claims of the plaintiffs who did not file civil suits amounted to EUR 592 mln.

Lastly, another 410 out-of-court claims relating to the share capital increases in 2014-2015 must be added to the ones indicated above, for a claim amount of EUR 271 mln (EUR 266 mln considering only the plaintiffs who did not file civil suits).



The grand total amount claimed as at 31 December 2019 is therefore around EUR 858 mln.

Generally speaking, and in application of the provisions of international accounting standard IAS 37, with regard to legal disputes, the civil action filed in the criminal proceedings 29634/14 and out-of-court claims relating to disputes regarding the period 2008-2011, the Parent Company has assessed the risk of losing as "probable" and has therefore set aside provisions for risks and charges in the financial statements. The assessments made regarding the risk of losing the case reflect the decision of the Parent Company itself in March 2013 to initiate liability actions against the Chairman and General Manager at the time and the foreign banks involved, and they also take into account the positions taken on the subject - in addition to those of the Milan Public Prosecutor's Office - by the Supervisory Authorities, the relative decisions to bring civil action and the sanctions imposed by them.

In reference to the penal proceedings 29634/14, no disbursement is anticipated in favour of the parties who entered an appearance since, due to the afore-mentioned ruling of 8 November 2019 which rejected their request for granting a provisional amount immediately enforceable pursuant to article 539 of the Code of Penal Proceedings, the damage compensation in their favour can take place in a separate civil proceeding to be initiated by the civil parties themselves.

Conversely, for disputes regarding the period 2012-2015, no provisions were made, as the risk of losing was deemed "unlikely". This includes criminal proceeding 955/16, in relation to which the Parent Company issued a press release the 12 July 2018 in which it informed the public of its decision not to join as a civil party, considering that the conditions did not exist, while reserving the right to the widest possible protection in civil proceedings should any elements of liability towards the defendants emerge. Even in this case, the risk of losing assessment made by the ultimate Parent Company took into account the positions of the Supervisory Authorities and, in particular, of the relative common decisions not to join as a civil party and not to impose administrative sanctions. Also of equal importance was the position adopted by the Milan Public Prosecutor's Office, which, although obliged to proceed by the Preliminary Investigations Judge, reiterated its conviction that the objections were unfounded, requesting during the preliminary hearing a decision not to prosecute the defendants. Therefore, for civil and criminal disputes concerning the information disclosed solely in the period 2008-2011, the provisions for risks were determined in such a way as to take into account the amount invested by the counterparty in specific periods of time characterised by the disputed information alterations (net of any disinvestments made during these same periods). The damage subject to compensation was then determined on the basis of the "differential damage" criterion, which identifies the damage as the lowest price that the investor would have had to pay if he had had access to complete and correct information. For the purposes of this determination, econometric analysis techniques have been adopted - with the support of qualified experts - suitable to eliminate, among other things, the component inherent in the performance of the equity securities belonging to the banking sector during the reference period. More in detail, the total damage caused by each event potentially capable of generating information alterations was first quantified and then the amount abstractly attributable to the individual Plaintiff/Civil Party was calculated, taking into account the share of capital held from time to time. The differential damage criterion is appropriate for the events that triggered the aforementioned proceedings. From a purely likely and conservative standpoint, the different criterion of "full compensation" was also taken into account (of a minor importance in the prevailing law, including the one that is currently taking shape on this specific subject matter), and that is based on the argument that false or incomplete information may have a causal impact on the investment choices of the investors to such an extent that, in the presence of correct information, they would not have made the investment in question; in this case, the damage is therefore commensurate to the invested capital, net of the amounts recovered from the sale of shares by the Plaintiff/Civil Party. Instead, with reference to out-of-court claims relating to the period 2008-2011, in order to take into account the probability of their transformation into real disputes, the funds were determined by applying an experiential factor, in line with the ultimate parent company policies for similar cases, to requests made by counterparties. As at 31 December 2019, there are no significant changes to report with respect to the valuations of the prior year. In any case, the Parent Company has exercised the possibility granted by IAS 37 of not providing disclosures on the provisions allocated in the balance sheet if it believes that such information could seriously jeopardise its position in disputes and in potential settlement agreements.

Furthermore, on 31 December 2019, again with regard to civil disputes, settlement agreements were reached, involving the closure of 14 disputes against a total relief sought of EUR 70.3 mln. The outlays made following the above transactions did not have a negative impact on the income statement of the 2019 period.

Furthermore, at the beginning of January 2020, settlement agreements were reached, involving the closure of no. 1 dispute with multiple plaintiffs against a total claim of approximately EUR 89 mln, with no additional impact



on the Income Statement. On February 2020, 2 settlement agreement were reached, for a total petitem of approximately Eur 1.0 mln.

Other disputes

Banca Monte dei Paschi di Siena S.p.A. vs. Fatrotek

This case, where the Parent Company was sued together with other credit institutions and companies with the summons of 27 June 2007, seeks the assessment of alleged monetary and non-monetary damage suffered by the plaintiff, as a result of an alleged unlawful report filed with the Italian Central Credit Register. The relative claim amount is EUR 157 mln. The plaintiff also asks that the defendant banks be found jointly liable, each proportionately to the seriousness of its behaviour. The Parent Company's defence was based on the fact that the company's extremely severe financial situation fully justified the Parent Company's initiatives.

At the hearing on 31 May 2018, the Judge reserved his decision on the challenges raised by the convened parties. On 5 June 2018, the Company declared bankruptcy. On 25 July 2018, upon lifting of the reservation made during the hearing of 31 May 2018, the case was adjourned to 31 October 2018, for the court-appointed expert to take the oath. In the meantime, the receivership of the Fatrotek S.r.l. bankruptcy summarised the judgement. The case was adjourned to the hearing of 4 December 2019 for the same issues. At the hearing of 13 February 2020 the judge appointed an expert. The new hearing has been set on 25 November 2020.

Banca Monte dei Paschi di Siena S.p.A. vs. Fallimento Medeghini S.p.A. in liquidazione

The lawsuit, brought with the writ of summons of 26 March 2012, concerns a claim for compensation for alleged damages brought before the Court by the trustee in bankruptcy due to banking transactions completed as part of the 2007 capital increase of the company which then failed. In particular, the trustee claims the merely fictitious nature of the capital increase, in that, as a result of a series of bank movements, the sum allocated to this would have been transferred to the company's current accounts only formally, without therefore resulting in an actual increase in capital.

During the proceedings, an expert review was ordered, at the end of which the expert appointed by one of the parties assessed and documented damage for approximately EUR 2.8 mln, but did not specify whether such damage was due to conduct by the Parent Company or, instead, if it was caused by the directors of the bankrupt company to the mass of creditors as a result of continuation of the company's activities. The claim amounts to approximately EUR 155 mln.

The Parent Company's defence was based on various considerations in fact and in law, and was aimed at demonstrating the absolute groundlessness of the claims brought by the bankruptcy procedure due to total lack of a causal link between management acts that led to the default and the Parent Company's conduct.

During the technical appraisal ordered by the Court, the opposite party's demands that a link of causality be recognised between the capital increase and the subsequent transactions that worsened the company's financial difficulties - in which the Parent Company acted as a mere executor - were repeatedly and effectively rebutted by the Parent Company's expert witness.

During the appraisal, the Court-appointed expert witness accepted almost entirely the arguments of the defendant Parent Company, and in any case the plaintiff's claim, as formulated, appears to be groundless in terms of damages to be awarded, as no damage has been suffered. The case was adjourned to 12 March 2020 for closing arguments.



Banca Monte dei Paschi di Siena S.p.A. vs. Riscossione Sicilia S.p.A.

On 15 July 2016, Riscossione Sicilia S.p.A. served a writ of summons on the Parent Company before the Court of Palermo, asking the Court to order it to pay a total amount of EUR 106.8 mln.

The claim of Riscossione Sicilia S.p.A. falls within the realm of the complex dealings between the Parent Company and the plaintiff, originated from the disposal to Riscossione Sicilia S.p.A. (pursuant to Law Decree 203/05, converted into Law 248/05) of the stake held by the Parent Company in Monte Paschi Serit S.p.A. (later Serit Sicilia S.p.A.).

Specifically, Riscossione Sicilia, in relation to the contractual provisions involved in said disposal, now asks the Parent Company be ordered to pay, under its contractual liability, for alleged contingent liabilities of Monte Paschi Serit S.p.A./Serit Sicilia S.p.A.

The Parent Company duly appeared before the court with a cross-action against Riscossione Sicilia S.p.A. The preliminary investigation was recently completed with the filing and examination of the report of the court-appointed expert witness, the results of which were favourable to the Parent Company. In fact, the expert not only concluded that the Parent Company owes nothing to Riscossione Sicilia S.p.A., but also identified a receivable of the Parent Company of roughly EUR 2.8 mln, equal to the balance of the price for the sale of 60% of Serit Sicilia S.p.A. to Riscossione Sicilia S.p.A. by the Parent Company (dating back to September 2006), a sum that has to date been retained by Riscossione Sicilia S.p.A. by way of guarantee deposit. The expert also identified a further receivable of the Parent Company, linked to the obligation of Riscossione Sicilia S.p.A. to collect on notices of default, no higher than around EUR 3.3 mln, the exact quantification of which was referred to the Court. The counterparty's petitions aiming to call the court-appointed expert witness back to provide clarifications and to change his conclusions were rejected, and the case was adjourned for concluding arguments to 8 March 2021. Considering the foregoing, the provision for risks initially recognised (EUR 2 mln) was eliminated.

On 1 September 2016, against the instalments falling due in December 2014 and 2015, the Parent Company filed a request for an injunction at the Court of Palermo, which was granted on 25 January 2017 for the amount of EUR 40 mln (plus interest on arrears of EUR 867 thousand), limiting the "provisional enforcement" to just EUR 25 mln.

On 11 March 2017, Riscossione Sicilia objected to the above-mentioned order and requested that it be revoked and, by means of a cross-action, that the Parent Company be sentenced to pay an amount of approximately EUR 66 mln.

To justify its objection, Riscossione Sicilia alleged that the Parent Company owed it EUR 106.8 mln by virtue of certain representations and warranties set forth in two contracts for the sale of shares whereby the Parent Company had transferred the entire share capital of the company Serit – Sicilia S.p.A. to Riscossione Sicilia. Moreover, in the petition, Riscossione Sicilia acknowledged that its claims were already subject to other proceedings pending before the same Court.

The Parent Company duly appeared before the court requesting the dismissal of the opposing party's objection, claiming, *inter alia*, a *lis pendens* scenario in relation to the defences carried out by Riscossione Sicilia as a basis for the opposition.

With ruling dated 26 January 2018, the Judge rejected the application for suspension submitted by the counterparty of the opposing injunction for the part in which provisional enforceability had been granted and accepted the Parent Company's request for the provisional enforceability of the order for the remaining part of the sum ordered. At the hearing of 12 June 2018, the Judge ordered separation of the position relating to the loan agreement subject of the injunction from the position relating to the defences explained by Riscossione Sicilia's counter-claims and combined only the counter-claim formulated by Riscossione Sicilia with another judgment in respect of which the aforementioned *lis pendens* profiles exist.

With regard to the judgement concerning the receivable deriving from the loan agreement, the Judge assigned the terms pursuant to art. 183, paragraph 6, of the Italian Code of Civil Procedure. Upon filing of the pleadings, the Judge, considering the case to be ready for a ruling, adjourned the discussion pursuant to art. 281-sexies of the Italian Code of Civil Procedure to 24 September 2019.

With a ruling dated 24 September 2019, the Court of Palermo rejected the appeal filed by Riscossione Sicilia S.p.A. and confirmed the injunction issued in favour of the Parent Company, ordering the counterparty to pay all legal expenses, in the amount of EUR 45 thousand, in addition to accessory expenses, as provided for by the law.



Note that with complaint dated 19 October 2017, Riscossione Sicilia challenged the measure of first aid. Even the appeal phase ended with rejection of the Riscossione Sicilia's claims. In this regard, it should be noted that the measure by which the Court of Palermo rejected the complaint lodged by Riscossione Sicilia - in addition to confirming, on the one hand, the groundlessness of the allegations made by the latter and, at the same time, the correctness of the Parent Company's conduct, which legitimately suspended use of the credit facilities in application of the provisions of articles 1460 and 1461 of the Italian Civil Code - contains a statement concerning the alleged public nature of the money to be collected. In particular, the Court ruled that the money collected by the concessionaire "until it becomes available to the Internal Revenue Office" would not constitute a "simple amount of money, and as such subject to confusion, but rather an asset which falls under the category of public assets not available to the fiscal entity and therefore cannot be removed from its public-law destination" (see the order issued by the Palermo Court on 26 January 2018). Based on the above, the Finance Department of the Sicily Region, on 10 May 2018, made an appeal in pursuant to art. 700 of the Italian Code of Civil Procedure against the Parent Company and in respect of Riscossione Sicilia, before the Court of Palermo, asking for the Parent Company to be prevented from suspending credit lines to allow the current account holder Riscossione Sicilia to fulfil its obligation, as Collection Agent, to pay the amounts relating to tax revenues to the tax authority, the Sicily Region, by adopting any urgent means suitable for implementing the transfer of the amount of around EUR 68.6 mln in tax revenues, in addition to the anticipated interests, to the tax authority Sicily Region and through this to the competent Finance Department. In the proceedings in question the Parent Company is duly constituted and the Court, which at the hearing requiring both parties to appear set for 21 June 2018 had reserved judgement, rejected the appeal with decision communicated on 28 June 2018.

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Lastly, on 17 July 2018, the Finance Department of the Sicily Region notified the Parent Company by means of an order of injunction pursuant to art. 2 of Italian Royal Decree no. 639/1910 and of repayment, pursuant to art. 823, paragraph 2 of the Italian Civil Code of the above amount of around EUR 68.6 mln, assigning the Parent Company the term of 30 days to make the payment with the warning that, on the back of the failure to do so, it will proceed with the forced recovery through entry of the action in the list of cases. The Parent Company notified its defence, with the first hearing set for 12 December 2018, against said injunction, drawing up the related application for suspension of the enforceability of said injunction (or execution if launched in the meantime) with the request for a provision without prior hearing of the other side. The Court, which reserved its right to the hearing of 21 August, by order of 24 August rejected the request for suspension, specifying, however, that the injunction may be enforced on the active amounts in the current account of Riscossione Sicilia. The defendant filed an application for the Riscossione Sicilia case, leading to the Court of Palermo's postponement of the first hearing - already scheduled for 12 December 2018 - to 20 March 2019. This first hearing, postponed again to 17 July 2019 due to the unavailability of the Judge, was then scheduled for 26 September 2019. At the first hearing, upon acknowledging the statements provided by the parties, the Judge set out the terms for filing the pleadings pursuant to art. 183 of the Code of Civil Proceedings and adjourned to an evidentiary hearing scheduled for 22 April 2020.

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For the sake of completeness, it should be noted that the Parent Company has also filed an administrative case before the Regional Administrative Court of Sicily - Palermo office for the declaration of nullity and/or annulment of the injunction order pursuant to art. 2 of Italian Royal Decree no. 639/1910, notified by the Department on 17 July 2018.

The appeal concerns the Order of injunction in the part in which, "alternatively, pursuant to art. 823, paragraph 2 of the Italian Civil Code, it orders Parent Company Monte dei Paschi di Siena (...) to return to the Sicily Region, within the same period of 30 days from receipt of the present, the amount of 68,573,105.83, plus interest at the rate established by special legislation for late payment in commercial transactions, as provided for by paragraph 4 of art. 1284 of the Italian Civil Code".

Following notification of the appeal on 16 October 2018, the appeal itself was filed by the Parent Company on 12 November 2018. The Department appeared via the Avvocatura dello Stato (office of the State Attorney) on 15 November 2018. The first hearing has not yet been scheduled.



Banca Monte dei Paschi di Siena S.p.A. vs. receivership estate of Antonio Amato & C. Molini e Pastifici in Salerno S.p.A. in liquidazione

This action was brought on 11 June 2013 by the company's trustee in bankruptcy against the former directors and statutory auditors of the later bankrupt company and against the Parent Company, together with other credit institutions, for compensation for the alleged damage, quantified as the difference between the liabilities and assets of the proceedings, also deriving from a pool loan granted by the financing institutions which would have delayed the emergence of the insolvency of the later bankrupt company, worsening its financial difficulties. The claim amounts to EUR 90 mln.

The Parent Company rose preliminary objections and filed a motion to dismiss the case for lack of venue jurisdiction and of active legitimation; in the merits, the Bank asked the Court to dismiss the plaintiff's claims as inadmissible and/or groundless or, as a secondary request, to reduce the amount of compensation awarded in consideration of the different degree of guilt in causing the damage, in accordance with art. 2055, paragraph 2 of the Italian Civil Code.

The hearing for closing arguments, initially scheduled for 18 June 2019, was postponed at the hearing of 19 September 2019 for the same issues. Upon delivery of the concluding arguments, the decision is still pending.

Serventi Micheli Terzilia + Others vs. Fallimento Zenith, Banca Monte dei Paschi di Siena S.p.A. + other credit institutes

In this case, brought with the writ of summons of 25 November 2013, the directors of the bankrupt Zenith S.p.A. - summoned before the court by the insolvency administrator with a liability action pursuant to article 146 of the Bankruptcy Law - in turn summon the Parent Company and other banking institutions to hear them declare their exclusive and/or concurrent liability, alleged to have replaced the directors by taking action to allow the return and/or acquisition of guarantees for the large amount of receivables claimed. After the judge rejected the preliminary requests, the case was adjourned to 11 December 2018 for closing arguments. The sentence was declared suspended at the hearing of 11 December 2018, due to the passing of one of the plaintiffs. The claim amounts to approximately EUR 26.5 mln. The case was taken up again by the trustee in bankruptcy and for the continuation of the case a hearing was scheduled for 11 September 2019. The case was adjourned to a hearing scheduled for 17 June 2020 for the delivery of the concluding arguments.

Banca Monte dei Paschi di Siena S.p.A. and other eleven credit institutes vs. Lucchini S.p.A. in Amministrazione Straordinaria

With a writ of summons issued on 23 March 2018, the Extraordinary Administrators of Lucchini SpA instituted legal proceedings before the Court of Milan against the Parent Company and other 11 institutes and companies, to obtain compensation, jointly and severally, for damages allegedly suffered and quantified at around EUR 350.5 mln primarily and around EUR 261.2 mln in the alternative.

The Extraordinary Administrators, who primarily quantify the damages in relation to those generated by the delayed subjugation of the Company to the extraordinary administration proceedings and to the receipts by the defendants in the implementation of a restructuring agreement, essentially assume that the responsibilities of the same defendants could be in fact justified in such restructuring agreement of December 2011 which, according to the plaintiff's submission, would have allowed its signatories, on the one hand, to conceal the real state of failure of the Company so preventing, more specifically delaying the start of the insolvency proceedings and, on the other, to exercise an improper intervention in the management of the Company which could have characteristics of abuse of direction and coordination in pursuant to articles 2497 and 2497-sexies of the Italian Code of Civil Procedure. The Extraordinary Administrators therefore assume the Banks' responsibilities, in addition to in relation to said hypothesis of abuse of direction and coordination, as they are considered to be de facto administrators and for the activities and violations ascribed to the administrators appointed by the same Banks in pursuant to articles 2055 and 2049 of the Italian Civil Code. The first hearing scheduled for 10 July 2018 was postponed to 30 October 2018 and the Parent Company appeared before the court within the required terms to present its defence. The next hearing is scheduled for 19 November 2019. The case was adjourned to a hearing scheduled for 3 March 2020 for the delivery of the concluding arguments.

MPS Capital Services Banca per le Imprese S.p.A. vs. Etika Esco S.p.A.

The joint-stock company Etika Esco (hereinafter "Plaintiff" or "Company") sued MPS Capital Services Banca per le Imprese S.p.A. (hereinafter "MPSCS") before the Court of Florence, contesting the illegitimacy of the



MPSCS conduct which, upon resolution of a loan of EUR 20.0 mln in favour of a company to be formed (hereinafter "Newco Sviluppo Marina Velca") which should have been wholly-owned by the Plaintiff, did not proceed with the stipulation of the contract and the consequent disbursements.

It should be noted that the transaction, which was the subject of analysis that concluded with the resolution of 7 September 2016, was structured to allow Newco Sviluppo Marina Velca to complete the project for the construction of a real estate complex of about 300 small villas, as well as renovation and expansion of a golf course, in an area owned by Sviluppo Marina Velca S.r.l., located in the municipality of Tarquinia (hereinafter "Real Estate Project").

The Real Estate Project involved an Italian closed-end investment fund which, through a vehicle company incorporated under Luxembourg law, held 100% of the capital of Sviluppo Marina Velca S.r.l.

MPS Capital Services Spa had already intervened in support of this project by granting a loan of EUR 9.4 mln to Sviluppo Marina Velca S.r.l in 2012 (hereinafter the "2012 Loan"), which expired on 31 July 2014. In September 2016, the period of the resolution on the subject loan, approximately EUR 11 mln remained, comprising principal, overdue interest, arrears and accessories.

The Company's takeover of the Real Estate Project assumed the acquisition by Etika Esco of a special purpose vehicle (identified as Rell's Risorse s.r.l.) which should have purchased the shares of Sviluppo Marina Velca S.r.l. and then proceeded with the merger by incorporation. Purchasing the shares of Sviluppo Marina Velca S.r.l. would have required the MPSCS intervention as guaranteed creditor, in order to authorise the transfer of the shares subject to pledge as collateral for the 2012 Loan.

Given the context of the scenario indicated by the Company, the objections raised with regard to MPS Capital Services Spa conduct are briefly illustrated below.

The Plaintiff claims that, upon scheduling an appointment with a Notary Public to transfer the shares of Sviluppo Marina Velca S.r.l., MPSCS notified that it would not be able to participate only the day before said meeting, due to alleged internal delays.

Having missed said appointment, without justification, MPS Capital Services Spa subsequently adopted a closed attitude towards the Plaintiff, no longer responding to the many requests to proceed with the financing transaction until 15 March 2017, date in which MPSCS communicated, with arguments and justifications deemed by the Company to be entirely insufficient, the forfeiture and/or revocation of the resolution of 7 September 2016.

The Plaintiff maintains that the conditions set by MPS Capital Services Spa for the effectiveness of the resolution of 7 September 2016 were all met and, for those not met, should have been considered as having been fulfilled pursuant to Article 1359 of the Italian Civil Code due to the fact and fault of MPS Capital Services Spa.

Failure to complete the acquisition of the shares of Sviluppo Marina Velca s.r.l., and then the loan agreement with consequent failure to pay the sums, caused enormous damage to the Company, quantified at approximately EUR 96.0 mln, of which i) approximately EUR 46.0 mln as loss of profit for not having been able to achieve, as General Contractor, the revenues from implementation of the Real Estate Project and damage from requests for payment of penalties provided for in the contracts signed in view of the above activity and ii) EUR 50.0 mln in additional damage that will accrue in arrears, namely with regard to the sum decided by the court.

MPS Capital Services Spa duly appeared before the court, replying that none of the conditions detailed in the letter of participation in the loan resolution had been satisfied. It was also pointed out that a few days after the resolution of the transaction (17 October 2016) the Company had asked MPS Capital Services Spa for an advance on the first disbursement of EUR 2.6 mln, to be secured by a mortgage issued by the same company to be merged, namely Sviluppo Marina Velca S.r.l. This request indicated a worrying lack of liquidity by the Company, which, however, would have had to inject a significantly higher equity during implementation of the Real Estate Project.

The change in creditworthiness revealed following the aforementioned request for pre-financing not only led the Bank to reject said new loan, but also to re-examine, in light of MPS Capital Services Spa evident lack of liquidity, the transaction already approved, leading to the final decision not to confirm and, therefore, to revoke said resolution granting the loan, also given the failure to comply with the conditions for the stipulation of the loan.

Further investigation by MPS Capital Services Spa revealed that a hidden promoter of the transaction was a person with a very unfavourable track record and who had previously been refused financing by MPS Capital Services Spa for the same project.



In concluding, MPSCS filed a counterclaim asking for the conviction of the Plaintiff for vexatious litigation, pursuant to art. 96 of the Italian Code of Civil Procedure.

The parties filed all the pleadings allowed by the Judge pursuant to art. 183, IV paragraph of the Code of Penal Proceedings.

With the pleading referred to in art. 183, para. VI, no. 1 of the Italian Code of Civil Procedure filed by Etika Esco on 21 February 2019, it was specified that the total claim is not EUR 96.0 mln, as the damages suffered as a result of the facts presented in the summons amount to EUR 46.2 mln, “or in any case to an amount not less than EUR 50.0 mln or higher, due to the additional damages that will accrue in the meantime for the plaintiff due to the stated reasons, or, in the alternative, the payment of a different amount, even lower, that will be reached over the course of the litigation and/or which the Judge should determine on an equitable basis, as necessary”.

At the hearing for the examination of the pieces of evidence, pursuant to article 184 of the Code of Civil Proceedings, the Investigation Judge reserved the decision on the claims of the parties. With an order dated 26 January 2020, the Judge stated that the “evidence adduced, based on the allegations, the objections and the documentation presented by the parties, is superfluous for the purpose of a decision. Therefore, a hearing must be scheduled for the presentation of closing arguments.”

The Judgment was adjourned to 16 December 2021 for the closing arguments.

Banca Monte dei Paschi di Siena S.p.A. vs Marcangeli Giunio Srl

With a writ of summons, notified on 28 November 2019, the claimant company Marcangeli Giunio srl asked the Court of Siena to assess, first and foremost, the contractual liability of the Parent Company for not issuing a loan of EUR 24.2 mln - necessary to the purchase of land and the construction of a shopping mall with spaces to be leased or sold – and subsequently the conviction of the Parent Company with order to pay compensation for actual damages and loss of profit in the amount of EUR 43.3 mln. As an alternative, in view of the facts specified in the writ of summons, an assessment is requested regarding the pre-contractual liability of the Parent Company for having interrupted the negotiations with the Company and not having disbursed the agreed upon loan, and the conviction of the same and order to pay damage compensation in the same amount asked first and foremost. The first hearing is scheduled for 23 March 2020.

Banca Monte dei Paschi di Siena S.p.A. vs. Extraordinary Administrators of Impresa S.p.A.

On 11 November 2016, the Extraordinary Administrators of Impresa S.p.A. served a writ of summons on the Parent Company along with other banks participating in a pool (our share is 36.48%) to have the liability of such banks, the members of the Board of Directors of Impresa S.p.A., today under Extraordinary Administration, and the auditing firm confirmed and declared by the court and to have them ordered to provide compensation for damages, jointly and severally, allegedly suffered by the company to the extent of EUR 166.9 mln.

The case is still in the initial phases and the hearing for the first appearance of the parties was held on 31 October 2017.

Along with the defence attorneys of the other Banks in the pool, a preliminary objection was first of all raised concerning the nullity of the complaint; however, the Judge deferred all assessments in this regard to when the decision will be made by the Board.

In the proceedings, the pleadings pursuant to art. 183, paragraph six of the Italian Code of Civil Procedure were filed within the deadlines granted (31 January, 2 March and 22 March 2018) and at the subsequent hearing on 29 October 2018, the Judge reserved his decision with regard to the plaintiff's preliminary requests.

Lifting the reservation, at the hearing of 28 October 2019, the Judge rejected the preliminary objections regarding the invalidity of the complaints and the statute of limitation, reserving to decide on the admission of the court-appointed accounting expert at the end of the audit, concurrently decided upon, about the correctness of the information provided by the counterparty.

The Judge has also admitted oral evidence, formulated by some of the appeared Directors of the Board, regarding circumstances that do not involve the Banks.

At the latest hearing of 21 January 2020, an adjournment to 9 March 2020 was scheduled in order to proceed with the formal questioning.

*Banca Monte dei Paschi di Siena S.p.A. vs. CO.E.STRA. Srl in Liquidazione and Preventative Agreement*

On 4 December 2014, the administrators of the arrangement with creditors served a writ of summons on the Parent Company along with other banks participating in a pool (our share is 28.51%) to have their contractual or tort liability in relation to the company's debt restructuring agreement entered into on 30 November 2011 confirmed and declared by the court and have the defendant banks ordered to provide compensation for claimed damages, jointly and severally, suffered or for the claimed aggravation of distress that the company allegedly suffered, quantified by the opposing party as EUR 34.6 mln.

An appeal was filed for the referral of the case to a different competent court; at a public hearing for the discussion of the referral to a different competent court the Attorney General office briefly presented its own closing arguments insisting on the inadmissibility of the referral to a different competent Court.

The Parent Company requested the admissibility of the petition while Co.E.Stra, which did not file additional pleadings pursuant to article 378 of the Code of Civil Proceedings, also concluded on the inadmissibility of the referral to a different competent court and in any case, asked for its rejection, on the assumption of the erroneous nature of the appealed order.

At the end of the discussion, the Board reserved its decision; therefore the results of the referral to another competent court is pending.

Banca Monte dei Paschi di Siena S.p.A. vs. FRESH 2008 Bondholders

Some holders of FRESH 2008 securities maturing in 2009, with writ of summons served on 19 December 2017, initiated proceedings against the Parent Company MPS, the company Mitsubishi UFJ Investors Services & Banking Luxembourg SA (which replaced the Parent Company in issuing the bond loan Banca di New York Mellon Luxembourg), the British company JP Morgan Securities PLC and the American company JP Morgan Chase Bank NA (which entered into a swap agreement with the bond loan issuer) before the Court of Luxembourg to request confirmation of the inapplicability of the Burden Sharing Decree to the holders of FRESH 2008 securities and, as a result, to have it affirmed that such bonds cannot be forcibly converted into shares, as well as that such bonds will continue to remain valid and effective in compliance with the issue terms and conditions, in that they are governed by the laws of Luxembourg. Lastly, to ascertain that MPS has no rights, in the absence of the conversion of the FRESH 2008 securities, to obtain the payment of EUR 49.9 mln from JP Morgan in damages for holders of FRESH 2008 securities.

In view of completeness it is noted that, following the start of the proceedings in question, the Parent Company, on 19 April 2018, tabled a dispute before the Court of Milan against JP Morgan Securities Ltd, JP. Morgan Chase Bank n.a. London Branch, as well as the representative of the Fresh 2008 securities holders and Mitsubishi Investors Services & Banking (Luxembourg) Sa to ascertain that the Italian Judge is the only one with jurisdiction and competence to decide about the usufruct contract and the company swap agreement signed by the Parent Company with the first two defendants in the context of the operation of the share capital increase in 2008. Consequently the Parent Company asks for: (i) the determination of the ineffectiveness of the usufruct contract and the company swap agreement which anticipate obligations of payment in favour of JP Morgan Securities PLC and JP Morgan Chase Bank Na in relation to the entry into force of Decree 237; (ii) the determination of the intervened ineffectiveness and/or resolution and/or termination of the usufruct contract or, alternatively, (iii) the determination of the intervened resolution of the usufruct contract relating to the capital deficiency event of 30 June 2017. The first hearing was held on 18 December 2018 and the Judge, considering the prejudicial nature of the issue of jurisdiction raised by the defendants, in view of the fact that a dispute is pending before the Luxembourg Court involving the same demand and the same cause, granted the parties terms to reply only to the procedural objections and adjourned the hearing to 16 April 2019 for assessment of the disputed issue. At the next hearing on 2 July 2019, the decision in the case was deferred to a later date. With order dated 2 December 2019, the Court of Milan has ordered the suspension of the proceedings pending a decision by the aforementioned Luxembourg district court. Against this order, the Parent Company has filed a petition with the Court of Cassation for the referral to a different competent court.

Fondazione MPS, "Alexandria" operation

Fondazione MPS has brought legal proceedings against the attorney Mr Mussari, Mr Vigni and Mr Nomura, based on their alleged liability pursuant to article 2395 of the Italian Civil Code for the direct damage suffered by



MPS following the subscription of a share capital increase of the Parent Company, resolved on in 2011, at a price different from the one that should have been correctly subscribed if the “Alexandria” restructuring had been duly represented in the Financial Statements of the Parent Company. Subsequently, it has petitioned for the conviction of the liable parties with order to pay EUR 268.8 mln for a financial loss and EUR 46.4 mln for non-financial damages, subsequently reduced to EUR 230.3 mln.

In this judgement, Mr Vigni was authorised to take action against the Parent Company because of an indemnity obligation (with respect to third parties claims) allegedly undertaken by the latter towards him within the consensual termination of his executive position; the attorney Mussari was authorised to take action against the Parent Company as the liable party, pursuant to article 2049 of the Italian Civil Code, due to some executives allegedly liable for the transaction carried out with Nomura. The Parent Company received later a writ of summons in its capacity as a third party called on by the afore-mentioned defendants independently promoted by Fondazione MPS and has entered an appearance disputing the claims filed against it. In addition, with a subsequent authorised pleading, Nomura broadened its claims against the Parent Company, asking to determine the share of liability attributable to the latter and to be kept harmless from it based on its share of liability exceeding the one attributed thereto. However, the settlement agreement entered into by the Parent Company and Nomura on 23 September 2015 provides, inter alia, that this claim is withdrawn. Mr Vignani has waived the legal actions brought against the Parent Company following a plea of lack of jurisdiction of the Court of Florence, whereas the action under the right of recourse/indemnity from the attorney Mussari against the Parent Company continued. Subsequently to the technical expert opinion formally obtained, the Judge has adjourned to 25 July 2019 for the closing arguments. The case was adjourned to a hearing of 16 March 2020 for the oral arguments.

Employment law disputes

Banca Monte dei Paschi di Siena S.p.A. vs. Fruendo

At the reporting date of these Financial Statements, for all 460 current appellants, rulings in the first instance were delivered by the Courts of Siena, Rome, Mantua and Lecce (for no. 138 workers) and/or in second instance by the Courts of Appeal of Florence, Rome and Brescia (for n. 321 workers) all against the Parent Company, giving the workers concerned the right to be re-hired, with the exception of one ruling in first instance delivered on 4 October 2019 in favour of the Company³¹.

Against the unfavourable judgements, the Parent Company has already appealed with the competent Courts of Appeal with hearings scheduled, to date, between March 2020 and February 2021; or appealed with the Court of Cassation which has ordered an examination in a public hearing that has not yet been scheduled.

It should be noted that both the Parent Company and Fruendo, appealing against the unfavourable judgments delivered so far, have filed a petition for deferment with the European Court asking for an assessment of compliance with EC Directive 2001/23 of art. 2112 of the Italian Civil Code, as interpreted by the decisions of the Supreme Court of Cassation, with which the appealed judgments comply.

In particular, out of the 459 workers entitled to be rehired by the Parent Company, 72 (later decreased to 30 following 25 waivers to be ratified in accordance with legal procedures and 16 settlements and one retirement with pension) have submitted a writ of execution requesting to have their employment with the Bank reinstated and consequently to have their insurance and contribution position restored, to which the Parent Company objected by appealing with the Labour Section of the Court of Siena. At the hearing scheduled for 15 February 2019, the Judge reserved a decision.

It should also be noted that in 2017, 52 workers of Fruendo S.r.l., not under the same category of those who had appealed against the sale of the business unit (later decreased to 32 following waivers/settlements, currently under proceedings) brought the Bank before the Court of Siena (in 6 separate judgments) requesting the continuation of their employment relationship with the Bank, upon declaration of the unlawful interposition of

³¹ The Court of Siena, objecting on a procedural defect, rejected the petition presented by the counterparty, delivering a judgment favourable to the Bank.



labour (“unlawful contract” that does not involve penal ramifications) as part of the services outsourced by the Bank to Fruendo S.r.l.. The Court of Siena, Labour Section, with judgment dated 25 January 2019 rejected the claims filed by the counterparties. This judgment was appealed by 16 workers before the Court of Appeal of Florence with a hearing scheduled for 23 April 2020.

It should also be noted that in the case of a sale of a business unit considered to be unlawful, the Court of Cassation, in reference with the remuneration obligations of the transferor, has recently handed down a ruling that was not aligned with the case law confirmed over time by the Supreme Court itself: with its recent rulings, it affirmed that the transferring employer would bear remuneration obligations in addition to those fulfilled by the transferee employer, since the principle that the payment made by the latter would discharge the former is considered not applicable to the case in question.

Based on these out of court orientations (so-called “double remuneration”), recently 63 workers involved in the transfer of the business unit and recipient of the above rulings in their favour, in order to request the remuneration allegedly due with the notification of the injunctions that have been appealed by the Bank with the Courts of Siena, Mantua and Rome with hearings scheduled to date between March and May 2020, have brought legal actions against the Bank.

16 of the workers, recipients of these proceedings, have appealed before the Court of Appeal of Florence with a hearing scheduled for 23 April 2020.

Risks from tax disputes

Among the cases associated with tax disputes which regard the Group, those in which the risk of losing is considered “probable” are limited in number and adequate provisions have been made to the provisions for risks and charges.

With reference to a series of pending legal disputes, in May 2019 the Parent Company, as well as the subsidiary MPS Leasing & Factoring, accepted the facilitated settlement of the tax disputes (“Pace Fiscale”) set forth in art. 6 of Law Decree 119/2018 (converted into Law 136/2018). Due to the acceptance of the settlement, against an outlay of roughly EUR 1.2 mln, the Group reduced its exposure to the risk of contingent tax liabilities for a total amount (claim) of roughly EUR 30 mln.

* * *

Diamond offer

In 2012, Banca Monte dei Paschi di Siena signed a cooperation agreement with Diamond Private Investment (DPI) to regulate the modalities for the reporting of the offer of diamonds by the company to the customers of Banca MPS. This activity generated total purchase volumes of EUR 344 mln, mainly in 2015 and 2016, with a significant drop already from 2017.

The Antitrust Authority (Autorità Garante della Concorrenza e del Mercato - AGCM), with the resolution adopted at the meeting of 20 September 2017, established the existence of behaviours in violation of the provisions relating to unfair trade practices on the part of DPI and of the banks that had signed agreements with them. With regard to the Parent Company, a sanction of EUR 2 million was imposed.

This measure was challenged before the Lazio Regional Administrative Court which, with sentence of 14 November 2018, rejected the parent company appeal. No appeal has been lodged against the judgment and it has therefore become final.

The Parent Company had in any case suspended the reporting activity to DPI of its customers starting from 3 February 2017, as soon as they became aware of the opening (25 January 2017) of the formal AGCM investigation with regard to DPI (later extended to the banks with which it had agreements). On 19 March 2018 the Parent Company terminated the cooperation agreement with DPI (the activity had in practice already been terminated from the date of suspension) and activated a compensation process for its customers who had received recommendations and intended to exit their diamond investment.



The compensation operation, agreed by Board of Directors since January 2018, anticipates the payment to customers a consideration up of an amount equal to the latter had originally paid to DPI for the purchase of stones, with the simultaneous transfer of the same to the Parent Company and the completion of the transaction.

Once the necessary authorisations were obtained, the initial transactions with customers were completed in the second half of 2018.

Following the launch of the initiative for a compensation to the customer process by the Parent Company, AGCM, given also the importance of the measures adopted for the mitigation of the financial impact of the communication of the offer of diamonds to the customers, requested to be kept updated on the progress of this initiative. The most recent report on the progress of the compensation process was sent to AGCM by the Parent Company on 15 January 2020, with an update of the data as at 31 December 2019.

On 19 February 2019, the Parent Company was served a preventive attachment order from the Judge's Office for the Preliminary Investigations in relation to this case. The decree was served to several individuals, two diamond-producing companies (Intermarket Diamond Business S.p.A. and Diamond Private Investment S.p.A.), as well as 5 ultimate parent company/undertaking, including the Parent Company, and resulted, for Banca MPS, in the preventive attachment of the profit from the crime of continued aggravated fraud, in the amount of EUR 35.5 mln. In addition, a preventive attachment order was served by equivalence pursuant to art. 53 of Italian Legislative Decree 231/2001, for EUR 0.2 mln for the crime of self-money laundering.

In the attachment order, the Parent Company – as an administrative liable party – is challenged, at point 14), with the administrative unlawful act related to an offence pursuant to article 5, paragraph 1, letter b) and 25 octies of Italian Legislative Decree 231/2001 as regards the self-laundering offence pursuant to article 648 ter 1 of the Penal Code.

The Parent Company, in order to have access to the investigation documentation, is proposing a request for a review against this precautionary measure.

On 28 March 2019, the notice with the scheduled hearing, for re-examination, before the Court for 2 April 2019, was given.

Following acquisition of the proceedings documentation, the Parent Company deemed appropriate to waive the appeal for re-examination before the Court and to propose instead, for a later time, a release from attachment pursuant to article 321, paragraph 3 of the Code of Penal Proceedings.

On 15 April 2019, a notice for the request of an extension of the duration of the preliminary investigations was given.

On 28 September 2019, the notice for the completion of the investigations against the investigated parties (and their defenders) deemed liable and co-labile of the alleged theft against diamond investors, was filed.

The provision, containing the information for guaranteeing the right to a defence, involves 87 natural persons and 7 legal persons including the Parent Company.

The representatives of the Parent Company involved are 8, 5 of whom are executives (who are attributed the criminal conduct under article 648 ter 1, 2 and 5 of the Penal Code) and 3 are Heads of subsidiaries. The Bank remains involved in the proceedings pursuant to the alleged administrative offence under article 25 octies of Legislative Decree 231/01 related to article 648 ter 1 of the Penal Code.

On 4 December 2019, the Parent Company, in reference to the decree of preventive attachment issued on 13 February 2019 by the Preliminary Investigations Judge of the Court of Milan in the amount of EUR 35.2 mln, has filed with the Public Prosecutor's Office of Milan a claim for a partial restitution in the amount of EUR 10.5 mln, equal to the total amount reimbursed to some of the customers.

The Parent Company is waiting for the outcomes of this case.

Following the undertaken initiatives, the Parent Company has set aside provisions, over time, that take into account, among other things, the anticipated number of requests and the current wholesale value of the stones to be collected.

As at 31 December 2019, the provisions for risks and charges for the compensation initiative being carried out by the Parent Company amount to EUR 98 mln (included in "Other provisions for risks and charges" sub-item "others"). In terms of allocations, a total of EUR 98 million was recognised. The transactions with the customers, carried out in 2019 amounted to Euro 172 mln.



Financial risks of investment services

Foreword

The following section on financial risks of investment services was written as part of the “Operational Risk” section in line with the compulsory framework for preparation of the Notes to the Consolidated Financial Statements, even though this subject presents specific characteristics and involves organisational levels of authority that are not directly traceable to operational risk management.

Wealth risk management process and methods

The Group pays particular attention to the governance of risks regarding investment services that are a direct and indirect result of the risks incurred by customers in relation to the performance of investment services.

Governance of these risks is aimed at protecting customers and at preventing any potential negative impacts on the Group in terms of operational and reputational risk.

Organisational responsibility at Group level for supervising financial risk measurement, monitoring and control activities and mapping investment products/services for the purposes of MiFID adequacy is an integral part of the Group’s integrated risk management responsibilities, and is assigned centrally to the Wealth Risk Management Service, within the Operating Risk Officer Area of the Parent Company’s Chief Risk Officer Department. This is to ensure centralised governance of the direct and indirect risks which the Group incurs during the course of its operations.

“Wealth risk management” focuses on the overall set of operational and management processes as well as measurement and monitoring tools/methods used to ensure overall consistency between customers’ risk profiles and the risk of investment products and portfolios offered to - or in any case held by - customers.

The investment products (of the Group and of third parties), whether or not included in the overall offering to the Group’s customers, are mapped for risk on the basis of quantitative measurements of market and credit risk factors; liquidity and complexity assessments are also conducted on these products. Product mapping is one of the guiding criteria for carrying out investment adequacy checks as part of the consulting service offered.

For the sake of simplicity, investment product risk mapping, performed with reference to individual risk macro-factors, is grouped under specific risk categories.

A special focus is given by the Group to the monitoring and prevention of potential financial and reputational risks which investment services, particularly in contexts of financial crisis, may generate as a consequence of increased market volatility. The fast-moving and not always predictable market trends may result in rapid changes in product risks and generate potential financial losses, as well as prompting a changing attitude by customers towards their own financial investments.

Customers have regularly been informed of changes in the risk of financial instruments held, so as to ensure timely disclosure transparency and facilitate possible decisions aimed at rebalancing the risk profile of their investments.

Advisory services on offer, customer risk profile and risk of investment products/portfolios

The strategic choice of the Parent Company is to systematically combine the placement of financial products with advisory so as to ensure the highest level of protection for the investor and, at the same time, enhance the role played by relationship managers. Again, with a view to protecting customers, the obligation to verify appropriateness has also been extended to the trading activities on the secondary market of the certificates issued by the Group.

Banca MPS offers two types of advisory services:

- a “basic” advisory, aimed at verifying the suitability of a single specific investment recommendation, or several investment transactions or several disinvestment transactions in relation to the risk of the customer’s investment portfolio as a whole. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer’s portfolio, including the recommended investment product(s), as a reference.



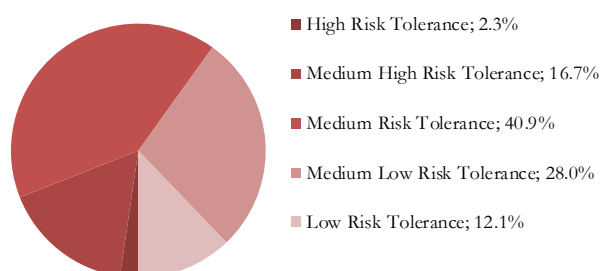
- an “Advanced” advisory, aimed at verifying the suitability of the overall set of advised transactions based on a range of investment/disinvestment transactions targeted at the construction of one or more portfolios of advanced advisory, consistent with the respective investment objectives, in reference with an optimal asset allocation that aims at obtaining maximised future returns, based on the investment portfolio risk given the customer’s risk profile. In this regard, the adequacy model adopts a multivariate control approach to the individual risk factors, taking the risk of the customer’s portfolio, including the recommended investment product(s), as a reference.

Wealth risk management activities cover the entire distribution perimeter of the network of Group branches, the investment services operated by Banca Widiba and by MPS Capital Services.

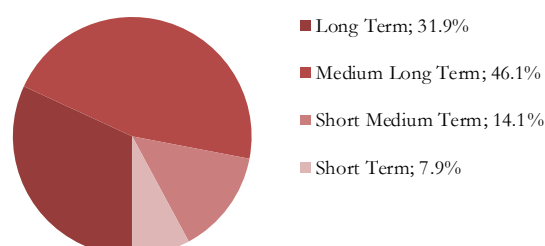
From 3 January 2018, the MiFID II directive (2014/65/EU) came into force in the entire European Union. Together with MiFIR or Markets in financial instruments regulation (EU Regulation 600/2014), this has changed the reference framework of European legislation. By adopting a new MiFID questionnaire introduced on 2 January 2018, Banca MPS and Banca Widiba have revised the methods of customer profiling and the rules for determining the indicators underlying a customer’s risk profile (particularly on: investment objectives, experience, knowledge and time horizon).

An analysis of the questionnaires completed at the end of 2019 shows that 40% of the Group customers in the “Private” macro-segment, namely retail customers which represent almost the entire customer base of the Group, and which hold investment products, showed a “low” or “medium low” risk tolerance, 41% a “medium” risk tolerance and the remaining 19% a positioning in higher risk tolerance classes. In addition, mainly medium to long-term investment time horizons were preferred.

Retail Clients - Investment Objective
Montepaschi Group - 31/12/2019

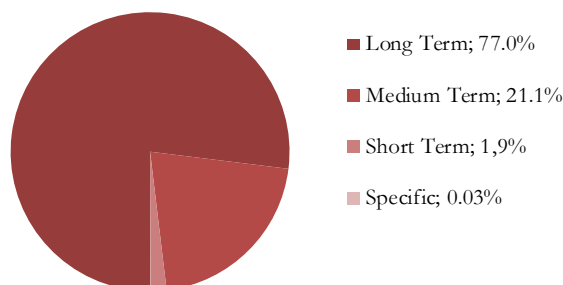


Retail Clients - Investment Horizons
Montepaschi Group - 31/12/2019



At the end of 2019, the portfolios held by Consumer/Retail customers on the basis of formalised “advanced” advisory proposals to obtain optimum asset allocation, were mainly distributed into the recommended, especially long-term, Asset Allocation macro-classes.

Retail Clients - Portfolio Management Advisory
Preferred Asset Allocations
Montepaschi Group - 31/12/2019





Section 3 - Insurance companies risks

Neither the Group nor its subsidiaries perform insurance activities. However, the Group has holdings in the share capital of insurance companies, such as “AXA MPS Assicurazioni Danni S.p.A.” and “AXA MPS Assicurazioni Vita S.p.A.”. These holdings are carried at equity and are recognised under consolidated assets, item 70 “Equity investments”. Against the risk of loss from these investments, the Group holds a specific equity requirement calculated in accordance with supervisory methodologies.

Section 4 - Other companies risks

There are no significant additional risks for the remaining companies included in the scope of consolidation that are neither part of the Banking Group nor the insurance companies. Regarding MPS Tenimenti Poggio Bonelli e Chigi Saracini Società Agricola S.p.A., it should be noted that the book value at which the real estate properties and vineyard are recognised is in line with the values determined by specific appraisals and assessments. The risk of a loss in the value of real estate assets is, in any case, covered by a specific capital requirement which the Group calculates in compliance with supervisory procedures.



Part F – Information on consolidated shareholders' equity

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Section 1 - Consolidated shareholders' equity

A. Qualitative Information

The Group pursues strategic objectives focused on quantitative and qualitative strengthening of capital, structural rebalancing of liquidity and achievement of sustainable profitability levels, compatible with the undertaken risks.

In this perspective, capital management, planning and allocation activities play a crucial role in ensuring compliance over time with the minimum capitalisation requirements set by the regulations and the supervisory authorities, as well as with the risk appetite level approved by the Group's strategic supervision body.

To this end, within the Risk Appetite Framework (RAF), the target capitalisation levels are estimated on a yearly basis and the capital is allocated to the business units according to the expected development, returns and estimated risk levels, making sure that the allocated capital is sufficient to ensure compliance with minimum requirements, under both normal and stress conditions. In the context of the RAF it is used to perform prospective capital adequacy assessments over a multiyear period, under both normal and stress conditions. The analyses are carried out both at Group level and by each individual legal entity subject to regulatory capital requirements. The Group uses methodologies for the correct measurement of profitability, based on risk, by adopting these indicators also within the RAF framework, with related monitoring and management of the total expected risk/return profile.

The achievement of objectives and compliance with regulatory minimum requirements is constantly monitored throughout the year.

The formal corporate processes to which the RAF is applied at least on an annual basis are the budget, the Risk Appetite Statement and the ICAAP. These processes are also consistent with the Recovery Plan process, in particular guaranteeing that the Recovery (RPI) indicators are included among the RAS (KRI) indicators and that the related threshold alerts are aligned.

The definitions of equity applied are those used in Supervisory Regulations: Common Equity Tier 1, Tier 1 and Capital; moreover, the RAPM metrics also include Invested Capital, i.e. the amount of Shareholders' equity needed to achieve Common Equity Tier 1 values, whether determined ex ante as target levels or realised ex post.

The Capital at Risk concepts applied are those used in the regulatory requirements and correspond to the risk weighted assets (RWA), determined on the basis of the rules set out in the supervisory regulations, and the internal capital, defined by the Group based on the so-called "Economic Outlook" provided for in the related ECB guidelines. Both measurements are used as part of RAPM metrics.



B. Quantitative Information

B.1 Consolidated shareholders' equity: breakdown by business areas

31.12.2019

Net equity items	Prudential Consolidation	Insurance companies	Other companies	Consolidation cancellations and adjustments	Total	of which: Group	of which: minority interests
Shareholders' equity	10,329,326	304,317	161,389	(465,708)	10,329,324	10,328,619	707
Share premium	2	-	2,413	(2,413)	2	-	2
Reserves	(769,220)	407,735	78,939	(486,673)	(769,219)	(769,173)	(47)
Equity instruments	-	-	-	-	-	-	-
Treasury shares (-)	(313,710)	-	-	-	(313,710)	(313,710)	-
Valuation reserves	67,633	150,731	274	(151,004)	67,634	66,394	1,239
- Equity instruments measured at fair value through other comprehensive income	(19,239)	-	-	-	(19,239)	(19,239)	-
- Finciale assets (other than equity instruments) measured at fair value through other comprehensive income	6,675	-	-	-	6,675	6,675	-
- Cash flow hedges	166	-	-	-	166	166	-
- Exchange difference	2,715	-	-	-	2,715	2,715	-
- Non-current assets and group of assets held for sale	-	-	-	-	-	-	-
- Financial liabilities measured at fair value through profit and loss (changes in own credit worthiness)	33,288	-	-	-	33,288	33,288	-
- Actuarial gains (losses) on defined benefit plans	(113,410)	-	(28)	28	(113,410)	(113,410)	-
- Share of valuation reserves of equity investments valued at equity	147,146	146,845	302	(147,146)	147,147	147,146	-
- Special revaluation laws	10,292	3,886	-	(3,886)	10,292	9,053	1,239
Profit (loss) for the year - Group and minority interests	(1,033,142)	86,233	(11,029)	(75,204)	(1,033,142)	(1,033,011)	(131)
Net equity	8,280,889	949,016	231,986	(1,181,002)	8,280,889	8,279,119	1,770



B.2 Valuation reserves for financial assets measured at fair value through other comprehensive income: breakdown

Asset/Amount	Prudential Consolidation		Insurance companies		Other companies		Consolidation cancellations and adjustments		TOTAL	
	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve	Positive reserve	Negative reserve
1. Debt securities	209,147	(30,929)	172,352	-	-	(809)	(172,352)	809	209,147	(30,929)
2. Equity instruments	11,623	(55,716)	2,590	(27,444)	-	-	(2,590)	27,444	11,623	(55,716)
4. Loans	-	-	-	-	-	-	-	-	-	-
Total 31 12 2019	220,770	(86,645)	174,942	(27,444)	-	(809)	(174,942)	28,253	220,770	(86,645)
Total 31 12 2018	105,299	(222,215)	95,137	(29,438)	-	(821)	(95,137)	30,259	105,299	(222,215)

B.3 Valuation reserves for financial assets measured at fair value through other comprehensive income: annual changes

	31 12 2019		
	Debt securities	Equity instruments	Loans
1. Opening balance	(48,227)	(68,689)	-
2. Increases	235,724	33,615	-
2.1 Increases in fair value	181,699	11,683	-
2.2 Net losses (recoveries) on impairment	3,993	X	-
2.3 Reversal to profit and loss of negative reserves	36,842	X	-
2.4 Transfers to other component of equity (equity instruments)	-	10,154	-
2.5 Other increases	13,190	11,778	-
3. Decreases	9,279	9,019	-
3.1 Decreases in fair value	7,445	7,187	-
3.2 impairment provisions	243	-	-
3.3 Reversal to profit and loss of positive reserves: followiong disposal	1,228	X	-
3.4 Transfers to other component of equity	-	1,748	-
3.5 Other decreases	363	84	-
4. Closing balance	178,218	(44,093)	-



B.4 Valuation reserves for defined benefit plans: annual changes

	Internal funds	External funds	Provisions for employees severance pay	31 12 2016
Opening balance	(34,981)	1,044	(73,417)	(107,354)
Remeasurement of net defined benefit liability (asset):	(1,525)	(1,239)	(3,588)	(6,352)
Return on plan assets excluding interests	129	2,739	-	2,868
Actuarial gains (losses) arising from changes in demographic assumptions	(1,276)	(626)	-	(1,902)
Actuarial gains (losses) arising from experience adjustments	(75)	4,275	1,669	5,869
Actuarial gains (losses) arising from changes in financial assumptions	(4,363)	(11,401)	(5,257)	(21,021)
Changes in effect of limiting net defined benefit asset to asset ceiling	4,060	3,774	-	7,834
Gains (losses) on settlements	-	-	-	-
Others	95	18	(431)	(318)
Closing balance	(36,411)	(177)	(77,436)	(114,024)

Section 2 – Regulatory banking capital and ratios

See the information on own funds and capital adequacy contained in the public disclosure (Pillar 3).

Section 3 - Insurance regulatory capital and ratios

The Group does not include exclusively or jointly controlled companies subject to insurance supervision.

Section 4 – Capital adequacy of the financial conglomerate

The MPS Group is not a financial conglomerate.



Part G – Business combinations

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Section 1 – Business combinations during the period

1.1 Business combinations

1.1.1 Transactions included in the scope of application of the international accounting standard IFRS 3 "Business combinations"

No business combinations, as defined by IFRS 3, were carried out in 2019.

1.1.2 Business combinations between entities under common control

In 2019, the merger by incorporation of the subsidiary Perimetro Gestione Proprietà Immobiliari S.p.A. into Banca Monte dei Paschi di Siena S.p.A. was completed. This merger falls under the scope of “business combination between entities under common control” and similarly to other transactions of the same type, carried out in previous periods, was recognised at going concern values compared with the consolidated financial statements of the MPS Group.

Section 2 - Business combinations completed after the period

There are no transactions to report.

Section 3 – Retrospective adjustments

No retrospective adjustments are reported.



Part H – Related-party transactions

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1 Information on the remuneration of key management personnel

Items / Amounts	Total	Total
	31 12 2019	31 12 2018
Short-term benefits	6,793	7,225
Termination benefits	-	1,263
Total compensation paid to key management personnel	6,793	8,488

In compliance with the instructions provided by accounting standard IAS 24 and in light of the current organisational structure, the Group has opted for the disclosure scope to include not only the Directors, Statutory Auditors, the General Manager and the Deputy General Managers, but also other Key Management Personnel.

The information regarding remuneration policies is contained in the 'Remuneration Report pursuant to art. 123 ter of the Consolidated Law on Finance', available on the Parent Company's internet site, which contains the following data:

- a detailed breakdown of compensation paid to the Governing and Control bodies, General Managers and, in aggregate form, to Key Management Personnel;
- quantitative information on the remuneration of "Key employees";
- monetary incentive plans in favour of members of the Administration and Control Body, the General Managers, the Deputy General Managers and other Key Management Personnel;
- information on the equity investments of members of the Administration and Control Body, the General Managers and other Key Management Personnel.

In 2019, no employment termination of key management personnel has occurred.



2. Related-party transactions

In compliance with the regulatory provisions under Consob Resolution no. 17221 of 12 March 2010, article 53 of TUB (Consolidated Law on Banking) and implementing provisions (Bank of Italy Circ. 263/06 Title V, Chapter 5) the “Related-Party Transactions Committee” (previously “Committee of Independent Directors”) composed from three to five independent directors was established.

Through resolution dated 29 November 2018, the Board of Directors of the Parent Company approved - upon obtaining the prior favourable opinions of the Related-Party Transactions Committee and of the Board of Statutory Auditors - the *Group Directive in relation to management of the provisions on Related Parties, Associated Parties and obligations of the Banking entities, adopted with Consob Regulation no. 17221/10 of Bank of Italy Circular no. 263/06, Title V, Chapter 5, and pursuant to art. 136 of Italian Legislative Decree 385/1993 (T.U.B. - Consolidated Law on Banking)* (hereinafter, the “Group Directive”), in replacement of the previous “Global Policy on transactions with related parties, associated parties and obligations of the Banking entities”. The 2018 Group Directive was subsequently updated according to Resolution issued by the Board of Directors of 16.12.2019 and upon prior favourable opinions issued by the Related-Party Transactions Committee and by the Board of Statutory Auditors.

The Group Directive defines the organisational model adopted by the MPS Group (principles and responsibilities) for the management process of the provisions applicable to related parties, associated parties and obligations of the bank representatives, and in particular, governs, at the MPS Group level, the principles and rules for the control of risks arising from situations of possible conflicts of interest with some subjects close to the decision making centres of the Parent Company.

Within the Group Directive, the following is also defined:

- formulation of the responsibilities assigned within the MPS Group (tasks and responsibilities of the top management bodies and corporate functions of the Parent Company and Subsidiaries);
- scope of the related parties, associated parties (“Group Scope”) and other subjects in a potential conflict of interest;
- criteria for the identification of transactions, level of relevance of the transactions;
- decision-making procedures and exemption cases;
- internal policies in the area of control.

For the purpose of the Group Directive, they acknowledge the transactions carried out with the subjects operating within the Group Scope which involve the performance of risk activities, the transfer of resources, services and obligations, regardless of the requirement of a consideration.

As regards the types of transactions, they are classified by the Directive as follows:

- “transactions of greater relevance”: transactions where at least one of the following indexes, applicable according to the specific transaction, exceeds the 5% threshold:
 - countervalue relevance index: the ratio of the countervalue of the transaction to the total of the own funds resulting from the most recent published consolidated balance sheet;
 - relevance index of the assets: the ratio of the total assets of the entity to which the transaction refers, to the total assets of Banca MPS;
 - relevance index of the liabilities: the ratio of the total liabilities of the acquired entity to the total assets of Banca MPS.
- “transaction of lesser relevance”: transactions of an amount above the negligible amount and up to the threshold of greater relevance; within the scope of the transactions of lesser relevance, the following transactions are considered of a “significant amount”:
 - when the amount exceeds EUR 100.0 mln and up to the threshold of greater relevance (countervalue relevance index);
 - or, in the case of acquisition transactions, mergers and demergers of an amount equal to or less than EUR 100.0 mln, the relevance index of the assets and/or liabilities is equal to or exceeding the ratio of EUR 100.0 mln to the consolidated regulatory capital.
- “transactions of a negligible amount”: transactions of an amount equal to or less than EUR 250.0 thousand which represents the negligible threshold valid pursuant to the Group Directive.



The *Group Directive*, in the version in effect from time to time, is posted on the MPS Group's web site and is therefore available in full-text version at the following link:

https://www.gruppomps.it/static/upload/ope/operazioni_con_parti_collegate_e_soggetti_collegati.pdf

From 2016, the Parent Company's Board of Directors formally resolved to approve inclusion of the Ministry of Economy and Finance (MEF) and of the relevant directly and indirectly controlled companies within the scope of related parties on a discretionary basis pursuant to the provisions of the Group Directive, excluding the prudential regulation.

Following completion of the Parent Company's precautionary recapitalisation procedure, after which the MEF became the controlling shareholder from August 2017, the Parent Company received notification on 18 December 2017 from the Supervisory Authority with regard to the methods for the resulting application of limits to risk assets laid out in prudential regulations, pursuant to art. 53 of the Consolidated Law on Banking and its implementing provisions (Bank of Italy Circ. 263/06 Title V Chapter 5), through application to the Parent Company of the "silo" approach for calculation of the reference limits.

With reference to the MEF scope, the Parent Company has availed itself of the exemption provided by paragraph 25 of IAS 24 on the disclosure of transactions and balances of existing transactions with government-related entities. The main relationships held with the MEF and with its subsidiaries, in addition to financing transactions, include Italian government securities recorded in the portfolios "Financial assets measured at fair value through other comprehensive income" for a nominal amount of EUR 5,451.5 mln and "Financial assets measured at fair value through profit and loss" for a nominal amount of EUR 3,360.8 mln as well as "Financial assets measured at amortised cost" for a nominal amount of EUR 5,228.3 mln.

Information is provided below regarding transactions, worthy of mention, carried out by the Parent Company with the related parties in 2019, broken down into "MEF related-party transactions" and "Transactions with other related parties".

MEF related-party transactions

- On 7 January 2019 around EUR 43.7 mln was drawn from available credit lines in the context of the Bank's operations with regard to existing agreements stipulated between CASSA DEPOSITI E PRESTITI S.p.A. and the Italian Banking Association, subject of the Framework Agreement approved by the Board of Directors on 18 December 2018 (already discussed in Part H of the Financial Statements as at 31 December 2018). The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as CASSA DEPOSITI E PRESTITI S.p.A. is a subsidiary of the MEF.
- On 26 February 2019, the Credit Committee of the Parent Company authorised with respect to SIA S.p.A. an increase in the ordinary mixed credit facility usable for the issue of unsecured financial and/or commercial sureties, from EUR 5.0 mln to EUR 20.0 mln, with confirmation of a maximum of EUR 1.5 mln for the issue of sureties in favour of Poste Italiane and the possibility to issue sureties in the interest of subsidiaries up to a cumulative maximum amount of EUR 1.0 mln. SIA S.p.A. is a significant party according to IAS 24 as it is a subsidiary jointly controlled by CDP Equity S.p.A., a subsidiary of Cassa Depositi e Prestiti S.p.A. which in turn is owned by the MEF.
- On 4 April 2019, the Manager of the Performing Loans Department of the Parent Company authorised in favour of SOGIN S.p.A. the ordinary revision, with confirmation, of two mixed credit facilities (already mentioned in the part H of the 2018 Financial Statements), for a total amount of EUR 19.9 mln, of which (i) one for EUR 18.9 mln used for the issue of sureties with underlying financial obligations against VAT refunds and for the issue of letters of credit relating to the import of goods and (ii) another for EUR 1.0 mln used for forward currency transactions that may be used only for transactions with a commercial underlying asset. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since SOGIN S.p.A. is subject to the direct and full control of the MEF.
- On 07 May 2019, the Credit Committee of the Parent Company resolved on the ordinary review of the position of ANSALDO ENERGIA S.p.A. and, in particular, authorised: (i) the extension of the mixed credit facility of EUR 10.0 mln usable in full for the opening of documentary credit backed by documents also not representative of goods and the issue of Letters of Credit and for the issue of



financial and/or commercial sureties; (ii) the extension of the credit facility of EUR 3.0 mln, usable for exchange rate risk hedging transactions on commercial transactions with the exclusion of any speculative purposes and (iii) the extension of the mixed credit facility with a reduction from EUR 20.0 mln to EUR 7.0 mln, also guaranteed by a pledge in cash of 50% of the credit line, usable for the issue of counter-guarantees in the interest of ANSALDO ENERGIA S.p.A. The transaction is governed by Consob Regulation no. 17221/2010, as ANSALDO ENERGIA S.p.A. is indirectly owned by the MEF as a result of the control of CDP Equity S.p.A., a subsidiary of CASSA DEPOSITI E PRESTITI S.p.A., which in turn is owned by the MEF.

- On 22 May 2019, the Credit Committee of the Parent Company authorised in favour of FINCANTIERI S.p.A.: (i) the extension of the credit facility of EUR 30.0 mln usable in full for forward currency transactions and/or currency options, interest rate hedging transactions, commodity risk hedging transactions, with the exclusion of all speculative purposes; (ii) the extension of the mixed credit facility with a reduction from EUR 65.0 mln to EUR 25.0 mln usable to the extent of EUR 2.3 mln for the issue of sureties and limited to the amount of EUR 10.0 mln for current account overdrafts and in full for forward drafts and (iii) the granting of a new credit facility of EUR 40.0 mln usable as a Revolving Credit Facility with forward drafts and repayment at final maturity, to support company working capital management requirements. The transaction in question falls within the scope of application of Consob Regulation no. 17221/2010, as FINCANTIERI S.p.A. is subject to the control of Fintecna S.p.A., a financial company in turn is owned, through CASSA DEPOSITI E PRESTITI S.p.A., by the MEF.
- On 14 June 2019, the Manager of the Chief Lending Officer Department of the Parent Company authorised with respect to TOSCANA ENERGIA S.p.A. the confirmation for a total of EUR 32.3 mln of credit facilities under the following terms (i) confirmation of the cash credit facility of EUR 2.0 mln; (ii) confirmation to increase the credit line from EUR 1.5 mln to EUR 2.3 mln usable for the issue of sureties in favour of Public Entities to guarantee the proper execution of works and participation in calls for tender, simultaneous cancellation of another two credit lines for a total of EUR 0.8 mln and (iii) increase in the credit line from EUR 13.0 mln to EUR 28.0 mln for forward drafts to replace another credit line of EUR 15.0 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as TOSCANA ENERGIA S.p.A. is indirectly owned by Cassa Depositi e Prestiti S.p.A..
- On 17 June 2019, the Credit Committee of the Parent Company authorised in favour of CASSA DEPOSITI E PRESTITI S.p.A. the ordinary granting of a financial credit line for spread risk of EUR 20.0 mln for delivery versus payment transactions on own securities. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as CASSA DEPOSITI E PRESTITI S.p.A. is a subsidiary of the MEF.
- On 15 July 2019, the Credit Committee of the Parent Company, with the prior favourable opinion by the Related-Party Transactions Committee, resolved in favour of SAIPEM S.p.A. for the ordinary review of the credit facilities, with a change made to the granted credit lines, from EUR 105 mln to a total EUR 95 mln. The transaction falls within the scope of application of CONSOB Regulation no. 17221/2010, since SAIPEM S.p.A. is jointly owned by Eni S.p.A. and CDP Equity S.p.A., which are in turn owned by the MEF.
- On 6 September 2019, the Purchase and Real Estate Area of the Parent Company authorised one-year extension (from 9 October 2019 to 9 October 2020) of the agreement for the provision of mailing services with POSTE ITALIANE S.p.A., in the total amount of EUR 18.1 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since POSTE ITALIANE S.p.A. is owned by the MEF.
- On 28 November 2019, the Board of Directors of the Parent Company resolved in favour of ENI S.p.A., upon the favourable opinion of the Related-Party Transaction Committee, on the ordinary



review of the credit facilities, with a restructuring of the granted credit lines, from EUR 350.0 mln to a total of EUR 300.0 mln. The transaction in question falls within the scope of application of Consob Regulation no. 17221/2010, since ENI S.p.A. is owned by the MEF, pursuant to the holding held both directly by the MEF and through CASSA DEPOSITI E PRESTITI S.p.A. which is in turn owned by the MEF itself.

- On 28 November 2019, the Board of Directors of the Parent Company, upon favourable opinion of the Related-Party Transaction Committee, resolved on a “SACE 2019 Framework Agreement”, with 1-year duration and with a decrease of the total amount from EUR 500.0 mln to EUR 400.0 mln, compared to the prior 2018 SACE Framework Agreement (commented in Part H of the Financial Statements as at 31 December 2018). The transaction aimed to complete the loans and credit facilities assisted by SACE S.p.A. guarantees up to the maximum amount of EUR 400 mln, with validity to 28 November 2020. This Framework Agreement is to be considered valid for all insurance policies and guarantees received by the Parent Company, as well as for MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.A. and MPS LEASING & FACTORING S.p.A.. The transaction falls within those governed by Consob Regulation no. 17221/2010, since SACE S.p.A. is owned by the MEF.
- On 28 November 2019, the Board of Directors of the Parent Company, upon the favourable opinion of the Related-Party Transaction Committee, authorised the participation of the Bank, with the maximum holding of EUR 125 mln, in the pool loan transaction of a maximum EUR 500.0 mln in favour of AMCO-ASSET MANAGEMENT COMPANY S.p.A., for the acquisition of non-performing loans (NPL), of a 6 month duration and a bullet redemption at the maturity date; on 13 December 2019, the large Corporate Area of the Bank authorised the termination of the afore-mentioned credit line of EUR 125.0 mln, since on 28 November 2019 the extraordinary shareholders’ meeting of AMCO-ASSET MANAGEMENT COMPANY S.p.A. resolved on the increase of the share capital by EUR 1.0 mln thus cancelling the need for an initial funding that had led AMCO-ASSET MANAGEMENT COMPANY S.p.A. to request the afore-mentioned pool loan. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since AMCO-ASSET MANAGEMENT COMPANY S.p.A. is owned by the MEF.
- On 5 December 2019 and previously, on 5 July 2019 and 5 August 2019, EUR 110.2 mln was drawn from available credit lines, through different transactions, within the context of the Bank’s operations and existing agreements stipulated between CASSA DEPOSITI E PRESTITI S.p.A. and the Italian Banking Association, subject matter of the Framework Agreement approved by the Board of Directors of the Bank on 18 December 2018 (already discussed in Part H of the Financial Statements as at 31 December 2018). The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as CASSA DEPOSITI E PRESTITI S.p.A. is a subsidiary of the MEF.
- On 13 December 2019, the Board of Directors of the Parent Company, upon the favourable opinion of the Related-Party Transactions Committee authorised: i) the transfer, pro soluto, to a securitisation vehicle managed by AMCO-ASSET MANAGEMENT COMPANY S.p.A., in the capacity of master and special servicer, of loans granted to some companies, equal to, as at 31 August 2019, nominal EUR 56.8 mln against the transfer of units of investment fund equal to EUR 21.4 mln (to be finalised also with deferred effective date and/or even for only some of the identified debtors, with consequent reduction of the portfolio under transfer and related consideration); ii) the transfer/contribution to an alternative closed-end and reserved investment fund managed by an SGR (*Prelios* SGR) of the loan granted by the Bank to the vehicle, following said transfer transactions; and iii) the subscription of shares of the afore-mentioned fund itself for the transaction of transfer/contribution described in the previous point. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, since AMCO-ASSET MANAGEMENT COMPANY S.p.A. which is fully owned by the MEF.



- On 20 December 2019, the Related-Party Transactions Committee of the Parent Company has resolved in favour of VALVITALIA S.p.A. on the ordinary review of the credit facilities, with a change made to the amount from EUR 38.5 mln to a total EUR 29.0 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as VALVITALIA S.p.A., through Valvitalia Finanziaria S.p.A., which is indirectly and jointly owned by CDP S.p.A., which in turn owned by the MEF.

Transactions with other related parties

- On 18 April 2019, the Board of Directors of the Parent Company authorised with respect to the SORGENIA GROUP - as part of the current Restructuring Agreement pursuant to art. 182-bis of the Bankruptcy Law, which became effective as of 29 December 2017 (hereinafter, the “2017 DRA”)-: (i) the extension of existing credit facilities for the companies SORGENIA S.p.A., SORGENIA POWER S.p.A. and NUOVA SORGENIA HOLDING S.p.A. (holding company of the SORGENIA GROUP); (ii) the cancellation of facilities for outstanding hedging derivatives, the use of which was previously suspended, of Sorgenia S.p.A.; (iii) the cancellation of the unsecured credit facility of EUR 13.5 mln relating to SORGENIA S.p.A. as it was no longer usable because not included in the 2017 DRA and, with the favourable opinion of the Related-Party Transactions Committee, (iv) the activation of facilities for outstanding hedging derivatives of Sorgenia Power S.p.A. with a reduction in the line to a total of EUR 21.0 mln (of which EUR 1.0 mln for the disposal of existing transactions maturing in June 2019), usable only for interest rate risk hedging transactions, with maturity on 31 December 2027, and in compliance with the operating limits defined within the 2017 DRA. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as it refers to the companies SORGENIA S.p.A., SORGENIA POWER S.p.A., subsidiaries of NUOVA SORGENIA HOLDING S.p.A. (the SORGENIA GROUP’s holding company), subject to significant influence by the Parent Company.
- On 29 May 2019, the Board of Directors of the Parent Company authorised, with the favourable opinion of the Related-Party Transactions Committee, with respect to SVILUPPO E INTERVENTI IMMOBILIARI S.r.l IN LIQUIDAZIONE (“S.I.I.”) (i) a new restructuring agreement (the “2019 DRA”) pursuant to art. 182-bis of the Bankruptcy Law with confirmation of the de facto moratorium in place until the 2019 DRA becomes effective, allowing inter alia the company SVILUPPO E INTERVENTI IMMOBILIARI S.r.l IN LIQUIDAZIONE to accept offers for the acquisition of real estate, with the resulting restriction of the mortgage collateral, according to specific conditions and in line with the provisions of the 2019 DRA. In summary, joining the 2019 DRA provides for the assumption by Sansedoni S.p.A., sole shareholder of S.I.I., of the share of the loan relating to the Bank which is not sufficient in the new SII plan (roughly EUR 15.1 mln), with a subsequent conversion into participative financial instruments of Sansedoni according to the provisions of the 2019 DRA; the bullet non-interest bearing rescheduling to 31 December 2023 of the mortgage exposure not taken over by Sansedoni of roughly EUR 12.4 mln, without prejudice to annual obligatory advance repayments through cash sweeps deriving from the sale of assets subject to the establishment of a minimum cash reserve of EUR 0.5 mln in order to cover operating expenses. Note that the total exposure of the customer group connected to SVILUPPO E INTERVENTI IMMOBILIARI S.r.l IN LIQUIDAZIONE - as at the date of the subject resolution - amounted to EUR 130.8 mln. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, as the Parent Company has significant influence over Sansedoni S.p.A., sole shareholder of SVILUPPO E INTERVENTI IMMOBILIARI S.r.l IN LIQUIDAZIONE.
- On 29 May 2019, the Board of Directors of the Parent Company authorised, with the favourable opinion of the Related Party Transactions Committee, with respect to SANSEDONI SIENA S.p.A.: (i) a new restructuring agreement (the “2019 DRA”) pursuant to art. 182-bis of the Bankruptcy Law with confirmation of the de facto moratorium in place until the signing of the 2019 ADR, which, in turn, will call for a moratorium until that agreement becomes effective. In summary, joining the 2019 DRA provides for the conversion into equity financial instruments of the entire unsecured exposure and part of the mortgage exposure for a total of around EUR 73.0 mln; the conversion into additional equity financial instruments of roughly EUR 15.0 mln relating to the insufficient portion of debt in the new plan of the company Sviluppo e Interventi Immobiliari s.r.l in liquidazione and assumed by SANSEDONI SIENA S.p.A. in execution of the 2019 DRA; the bullet non-interest bearing rescheduling to 31 December 2023 of the unconverted mortgage exposure of roughly EUR 30.6 mln, without prejudice to annual obligatory advance repayments through cash sweeps deriving from the sale



of assets provided a cash reserve of EUR 2.0 mln has been established previously in order to cover operating expenses as well as a cash reserve for expected investments for the enhancement and marketing of owned assets. The transaction falls within the scope of application of Consob Regulation no. 17221/2010, due to the significant influence exercised by the Parent Company over SANSEDONI S.p.A.

- On 2 September 2019, the Specialised Corporate Disbursement Service of the Parent Company authorised, in favour of GENERALI ITALIA S.p.A., the confirmation of ordinary credit lines for a total of EUR 10.0 million. This transaction falls under the scope of application of the Consob regulation no. 17221/2010, since GENERALI ITALIA S.p.A. is fully owned by Assicurazioni Generali S.p.A. which, in turn, holds, through its subsidiaries, 4.319% of the share capital of the Parent Company and as such, it was identified as a related party on a discretionary basis pursuant to the Group Directive.
- On 12 November 2019, the Credit Committee of the Parent Company authorised IMMOBILIARE NOVOLI S.p.A. and SANDONATO S.p.A. to review the credit facilities, including the granting of new credit lines for IMMOBILIARE NOVOLI and partial restructuring of the existing credit facilities, respectively in the amount of EUR 55.7 mln in favour of IMMOBILIARE NOVOLI S.p.A. and EUR 42.2 mln in favour of SANDONATO S.p.A. The transactions fall within the scope of application of Consob Regulation no. 17221/2010, since they refer to IMMOBILIARE NOVOLI S.p.A. which is held by 50% by the Parent Company and by the company SANDONATO S.p.A. which is in turn fully owned by the afore-mentioned IMMOBILIARE NOVOLI S.p.A..
- On 16 December 2019, the Board of Directors of the Parent Company resolved, regarding THE SUPPLEMENTARY PENSION FUND FOR EMPLOYEES OF BMPS WHO HAVE BECOME SUCH SINCE 1 January 1991 (the “FUND”), upon the favourable opinion of the Related-Party Transaction Committee and within the scope of approval of the collective agreements entered into by the Bank and the Trade Unions, on the authorisation also of the following: (i) transfer from the Bank to the FUND of the assets and income payment obligations related to 6 Defined Benefits Plans in the amount of EUR 110.5 mln and (ii) the assumption, toward the FUND, of a guarantee for additional funds to cover any capital insufficiencies in the estimated amount of EUR 33.7 mln. For the transactions under points i) and ii), the implementation phase remains subject to the finalisation of the process for statutory changes to the Fund. These transactions fall under the scope of application of the Consob Regulation no. 17221/2010, since THE SUPPLEMENTARY PENSION FUND FOR EMPLOYEES OF BMPS WHO HAVE BECOME SUCH SINCE 1 January 1991, is classified as a Consob related party pursuant to the Group Directive.

The following tables summarise the relationships and economic effects of transactions carried out in the year with associates, key management personnel and other related parties.

The “MEF Scope” column highlights the balances³² of the balance sheet and income statement items as at 31 December 2019 relating to the transactions carried out with the MEF and the companies controlled by the MEF, namely companies controlled directly or indirectly by the MEF and their associates.

³² The criteria to fill out the two tables are different from those of the European Securities and Markets Authority (ESMA) used for the table “Exposure to sovereign debt risk”.



2.a Related-party transactions: balance sheet items

	Value as at 31 12 2019						
	joint venture	Associated companies	Executives with strategic responsibility	Other related parties	MEF Perimeter	Other related parties	% on consolidated
Financial assets held for trading	-	300	-	12,469	5,885,346	5,898,115	59.56%
Financial assets measured at fair value mandatory	-	202,065	-	-	39,258	241,323	31.59%
Financial assets measured at fair value through other comprehensive income	-	-	-	-	5,648,494	5,648,494	83.97%
Loans to customers measured at amortised cost	80,482	348,769	4,221	633	6,737,303	7,171,408	8.06%
Other assets	-	-	-	102	-	102	0.01%
Total assets	80,482	551,134	4,221	13,204	18,310,401	18,959,442	
Financial liabilities measured at amortised cost	3,295	294,851	2,512	38,697	2,675,741	3,015,096	2.64%
Financial liabilities held for trading	-	-	-	-	1,850	1,850	0.05%
Other liabilities	34	139	1	1,354	440	1,968	0.07%
Total liabilities	3,329	294,990	2,513	40,051	2,678,031	3,018,914	
Guaranties issued and Commitments	29,144	137,683	421	108	1,591,829	1,759,185	n.a.

2.b Related-party transactions: income statement items

	Value as at 31 12 2019						
	joint venture	Associated companies	Executives with strategic responsibility	Other related parties	MEF Perimeter	Other related parties	% on consolidated
Interest income and similar revenues	1,250	4,168	46	49	299,677	305,190	14.49%
Interest costs and similar charges	-	(201)	(2)	(40)	(28,802)	(29,045)	4.72%
Fee and commission income	447	941,062	7	941	186,129	1,128,586	65.83%
Fee and commission expense	(59)	(603)	(1)	(5)	(94,958)	(95,626)	36.02%
Net profit (loss) from financial assets and liabilities measured at fair value through profit and loss	-	140,754	-	-	-	140,754	n.s.
Net adjustments/impairments	21,547	37,559	-	-	(12,530)	46,576	-7.64%
Dividends	-	-	-	-	225	225	2.01%
Operating costs	4	(37,154)	(6,826)	(6,329)	(30,350)	(80,655)	3.08%

For the list of subsidiaries and companies subject to significant control as at 31 December 2019, see the tables of the Notes to the financial statements - Part B - Information on the balance sheet - Section 7.

The securitisation transactions are described in Part E of the Notes to the consolidated financial statements.

With regard to the balances shown in Table 2.b shown above, please note the following:

- fee and commission income from associates almost entirely regards to the insurance subsidiaries AXA MPS Assicurazioni Vita SpA and AXA MPS Assicurazioni Danni SPA.
- net profit (loss) of the other assets and liabilities measured at fair value through profit and loss refers entirely to capital gains on the securities of the Sorgenia Group;
- net impairment (losses)/reversals for credit risk include a reversal on the Sorgenia Group for EUR 49.9 mln for the associated companies and a reversal on Immobiliare Novoli and its subsidiary Sandonato for EUR 21.1 mln for



jointly held investments. The related risk provision amounted to EUR 86.7 mln; interest income accrued on Sorgenia Group amounted to EUR 1.5 mln; those accrued on Immobiliare Novoli and Sandonato to EUR 1.2 mln;

- provisions on non-performing positions as at 31 December 2019 totalled EUR 142.0 mln;
- Operating cost in associates regard the insurance costs whit AXA MPS Assicurazioni Vita SpA and AXA MPS Assicurazioni Danni SpA.

With regard to the MEF scope, the following is noted:

- financial assets predominantly comprise government bonds, which generated interest income for EUR 279.7 mln;
- fee and commission expense against the guarantee granted by the government on securities amount to EUR 94.3 mln, while fee and commission income refer to the contract with Anima (associate for the MEF scope);
- Operating costs are almost entirely attributable to postal costs;
- net impairment (losses)/reversals for credit risk include the write-downs on Selex, Trevi Finanziaria Industriale and Industria Italiana Autobus.



Part I – Share-Based Payment Agreements

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Qualitative Information

Description of share-based payment agreements

To pursue the objective of encouraging alignments of the interests of management with those of shareholders, Supervisory Provisions on pay and incentive policies and practices establish that at least 50% of variable remuneration provided to “key employees” should be paid in the form of shares or associated financial instruments over a period of at least 3-5 years. “Variable remuneration” refers to variable components that are performance-linked or other parameters-linked as well as incentives paid for the early termination of the employment relationships exceeding the amount due by law (“severance”).

In accordance with the aforementioned regulatory provisions, the Montepaschi Group adopted annual Performance Shares plans up to financial year 2017. As it already occurred in 2018, at the session of 11 April 2019, the Shareholders’ Meeting of the Parent Company approved a Treasury Shares plan for 2019, designated exclusively to the payment of any severance for personnel of the Montepaschi Group. The contents and the methods for the functioning of the afore-mentioned plans are described in the “Remuneration policies” posted on the web site of the Parent Company <https://www.gruppompis.it/corporate-governance/remunerazione.html>.

As the provision of performance shares for the Plans up to 2017 does not require the material assignment of shares, but rather the payment of an amount pegged to the share value reported over time, for accounting purposes it is considered a cash settled share based payment pursuant to IFRS 2 “Share-based payments”. The debt corresponding to the amounts to be recognised are paid off in cash and recorded at the end of the service period; the total amount depends on the price of the instruments representative of the capital (performance shares) measured at fair value, defined as the best estimate of the amount due in consideration of the different conditions established by the plans, valued with regard to the fair value of the shares assigned from year to year. The estimate of the fair value of the share, at the measurement date, does not take into account any expected vesting conditions (e.g. condition of permanence in service or conditions for the achievement of results), except for market conditions. The vesting conditions are taken into consideration by adjusting the number of assignments included in the assessment of the liability arising from the transaction; the market conditions (as with any other non accrual-related conditions) are instead considered in the estimate of the liabilities fair value arising from the transaction and of the related cost attributed to the Income Statement.

The 2018 and 2019 plans, providing for the assignment of shares of the Parent Company at the accrual time of the vesting conditions, fall within the scope of equity settled share-based payments, set forth in IFRS 2, therefore the instruments representative of the capital are recognised through an equity reserve. Within this scope, the severance cost set forth in the Plans and the corresponding increase in net equity are measured at the fair value of the shares to be assigned; the estimate of the fair value of the share at the measurement date does not take into account any expected vesting conditions (e.g. condition of permanence in service or conditions for the achievement of results), except for market conditions. The vesting conditions are taken into consideration by adjusting the number of financial instruments included in the measurement of the amount of the transaction so that the value recognised in the financial statements for the services received as a payment for the financial instruments will be based on their number which, at the end, will actually be accrued; the market conditions are instead considered in the estimate of the fair value of the assigned shares.

The fair value of the Performance Shares and of the treasury shares assigned is determined - pursuant to art. 9, paragraph 4 of the Income Tax Act (TUIR) - on the basis of the arithmetic average of the MPS share prices reported in the thirty days leading up to the assignment date.

Quantitative Information

In reference with the 2017, 2018 and 2019 plans, as at this reporting date, no amount is recognised since the instruments representative of the capital did not accrue, due the non-occurrence of the accrual conditions.

With regard to the 2016 Plan, of the original 32,806 deferred performance shares, 5,340 were settled in 2019 and 6,560 were removed following application of the malus clauses; therefore, 14,346 Performance Shares were recognised. Of these, 1,220 assigned in 2018 will be settled during 2020, while the remainder will be assigned annually - subject to the verification of pre-established malus conditions - over a five-year period and settled one year after the relative assignments.



Part L – Segment reporting

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This section of the Notes to the Consolidated Financial Statements is prepared in accordance with the IAS/IFRS international accounting principles, with particular reference to IFRS8 “Operating Segments”.

The aforementioned accounting standard, applied as of 1 January 2009 to replace IAS14 “Segment reporting” and the adoption of which has no effect on the valuation of balance sheet items, requires reports to be drafted in relation to operating segments on the basis of the internal reporting actually used by management to take decisions on the allocation of resources to various segments and to conduct performance analyses.

Group operations by business segment

The Montepaschi Group operates in the following business areas:

- Retail and commercial banking: includes lending activities, traditional banking services, financial advisory and digital banking services, the offering of banking and insurance products through the strategic partnership with AXA, wealth management and investment products;
- Leasing and Factoring: includes the offering of leasing and factoring packages for businesses, artisans and professionals;
- Corporate finance: mid- and long-term lending, corporate finance, capital markets and structured finance;
- Investment banking: trading and global markets;
- Foreign banking: products and services in support of market expansion and investments of Italian companies abroad.

Operations in the business areas are conducted by the following operating units of the Group:

- sales & distribution network, comprising the branches and specialised centres of Banca Monte dei Paschi di Siena;
- Banca Widiba SpA, which includes the business of the Financial Advisory Network and Digital Banking;
- product factories, i.e. Group banks and companies expressly dedicated to developing specialised financial instruments to be offered to the market, particularly including: MPS Capital Services (specialised in corporate finance, capital market and structured finance), MPS Leasing & Factoring (specialised in the provision of leasing and factoring services to businesses);
- foreign network³³, distributed geographically in some of the major financial and economic markets and in several emerging countries with the highest rates of growth and/or key relations with Italy.

The Group also includes service operations dedicated to the management of IT and telecommunications (Consorzio Operativo di Gruppo).

For the purpose of identifying the Operating Segments provided for by IFRS 8, the Montepaschi Group has adopted the business approach. Income statement/balance sheet data are then aggregated based on criteria including business area and operating unit of reference, relevance and strategic importance of operations involved, and cluster of clients served.

Based on the Group’s organisational structures and reporting criteria, the following operating Segments were identified:

³³ Broken down as follows: 1 operational branch in Shanghai. It must be noted that, as provided for in the Commitments of the Restructuring Plan, in 2019 the subsidiaries of London, New York and Hong Kong were closed; 9 representation offices (in target areas of Central-Eastern Europe, North Africa, India and China); 1 bank under foreign law, specifically Monte Paschi Banque S.A., for which the Parent Company has decided to launch the orderly winding-down process by drafting a plan in compliance with the indications contained in Commitment no. 14 “Disposal of participations and businesses”, i.e., (i) progressive deleveraging of the current loan portfolio, (ii) acceptance of deposits only from existing customers, (iii) suspension of business development activities, (iv) no new initiatives in new segments or markets, as well as other regulatory restrictions in place. Performance for 2019 is in line with the plan objectives mentioned above.

With regard to Monte Paschi Belgio S.A., its sale was concluded on 14 June 2019 to an investee of funds managed by Warburg Pincus. The agreement had already been announced to the market in October 2018 and was concluded in June 2019 after the acquisition was approved by the European Central Bank.



- Retail Banking, which includes the income statement and balance sheet results pertaining to clusters of Retail customers (Value, Premium and Small Business segments);
- Wealth Management, which includes the income statement and balance sheet results pertaining to clusters of Private Banking customers (Private Banking and Family Office segments) and the subsidiary MPS Fiduciaria;
- Corporate Banking, which includes the income statement and balance sheet results pertaining to clusters of Corporate customers (SME, Entities and Key customers), Large Groups Area, Foreign Branches and the subsidiaries MPS Capital Services, MPS Leasing & Factoring and the foreign banks BMP Belgio and MP Banque;
- Banca Widiba SpA, which includes the income statement and balance sheet results pertaining to the financial advisor network and the self-service channel;
- Corporate Centre: in addition to cancellations of intragroup entries, this Operating Segment incorporates the results of the following business centres:
 - ✓ service operations supporting the Group's business, dedicated in particular to the management and development of IT systems (Consorzio Operativo Gruppo MPS);
 - ✓ companies consolidated at equity and held for sale;
 - ✓ operating units, such as proprietary finance, ALM, Treasury and Capital Management which, individually, fall below the disclosure requirements for primary reporting.

The paragraph "Accounting Standards" shows the income statement and balance sheet results for each identified operating segment. Note that:

- to allow for continuity in the description and interpretation of the performance results, even though the subsidiary BMP Belgio S.A. was sold on 14 June 2019, its economic data are included in the individual income statement items of the Corporate Banking operating segment, rather than in the item "Profit (loss) after tax from assets held for sale and discontinued operations", while the balance sheet data as at 31 December 2019 (and as at 30 September 2019) does not include BMP Belgio S.A. since the entire equity investment was sold in June. The subsidiary's data as at 31 March 2019, 31 December 2018 and 30 September 2018 were included in the individual balance sheet items of the Corporate Banking operating segment, even though it was being disposed of during that time.
- as from 2019, the cost allocation model for the identified operating segments was updated, thus, in order to make the comparison meaningful, the 2018 values were drafted on a pro-forma basis.

Income statement criteria by operating segment

The net operating income by operating segments was constructed based on the following criteria:

- **Net interest income:** in relation to the business centres of Banca Monte dei Paschi di Siena, it is calculated by way of contribution on the basis of internal transfer rates broken down by products and maturities. With reference to non-divisionalised entities, net interest income is the difference between "interest income and similar revenues" and "interest expense and similar charges".
- **Net fee and commission income:** determined by direct allocation of commissions to the operating segments.
- **Operating expenses:** the aggregate includes administrative expenses (after recovery of expenses) and net value adjustments to property, plant and equipment and intangible assets. The operating expenses of non-divisionalised entities (mono-segments) are directly allocated to their corresponding Operating Segments while, for Banca Monte dei Paschi di Siena, they are allocated to their respective Segments of reference by using a "cost allocation" model. With regard to Other administrative expenses and Net value adjustments to property, plant and equipment and intangible assets, the model allocates external and intragroup cost components to the business centres either directly or by means of specific drivers, starting from a set of previously identified and priced services. With reference, however, to "Personnel expenses", the model allocates costs to Business Centres on the basis of the unique functional position



of the resources, or, if this is not possible, according to specific criteria relating to the operations performed.

- **Net impairment (losses)/reversals on loans:** analytically allocated to the individual operating segments

Balance-sheet criteria by operating segment

Balance sheet aggregates were developed by precisely surveying the balances on individual customers and subsequently aggregating them by service model/operating segment. Such accounts are also related to the income/expenses allocated to each segment. In particular:

- **interest-bearing loans to customers:** the interest-bearing assets used for the operations of a business segment, which are directly attributable to the segment itself;
- **deposits from customers and debt securities issued:** the interest-bearing liabilities arising from the operations of an operating segment, which are directly attributable to the segment itself.

Transactions between operating segments

Each segment's income and results include transfers between operating segments (Internal Transfer Rates). These transfers are reported in accordance with the best practices accepted by the market (i.e. the fair value method or cost method increased by a proper margin) both with respect to commercial and financial transactions.

The income of each operating segment is determined before intragroup balances and intragroup transactions are eliminated during the process of consolidation. In line with the internal reporting system used by the Montepaschi Group, balances of intragroup transactions are not shown separately.



Basis for preparation

In accordance with the recommendations of IFRS 8, the table below presents the Group's income statement and balance sheet results as at 31 December 2019, developed according to the Operating Segments defined above:

SEGMENT REPORTING	Business Segments				Corporate Center	Total MPS Group
	Retail banking	Wealth Management	Corporate banking	Widiba		
Primary segment						
(EUR mln)	31/12/19	31/12/19	31/12/19	31/12/19	31/12/19	31/12/19
PROFIT AND LOSS AGGREGATES						
Net interest income	944.9	11.8	459.3	57.6	27.8	1,501.3
Net fee and commission income	1,184.5	108.9	300.7	12.3	(156.9)	1,449.5
Other income	70.2	18.8	134.8	0.0	128.7	352.6
Other operating expenses/income	18.2	0.4	-16.5	-0.3	(81.9)	(80.1)
Total Income	2,217.8	139.8	878.3	69.6	(82.3)	3,223.3
Operating expenses	(1,637.3)	-99.6	-445.5	-61.2	(46.0)	(2,289.6)
Pre Provision Profit	580.4	40.3	432.8	8.4	(128.3)	933.6
Net impairment losses (reversals) on loans and financial assets	(268.1)	0.1	-325.7	-0.3	(17.1)	(611.1)
Net Operating Income	312.3	40.4	107.1	8.1	(145.4)	322.5
BALANCE SHEET AGGREGATES						
Interest-bearing loans to customers	40,370	498.8	30,758.1	640.7	13,896	86,163
Deposits from customers and debt securities issued(*)	41,916	3,496.5	17,230.0	3,099.9	28,475	94,217

(*) The values stated in the Sales & Distribution segments are gross interest-bearing loans and therefore do not include the allowance for impairment.



The following table summarises the values relating to the year 2018.

SEGMENT REPORTING		Business Segments				Corporate Center	Total MPS Group
Primary segment		Retail banking	Wealth Management	Corporate banking	Widiba		
(EUR mln)		31/12/18	31/12/18	31/12/18	31/12/18	31/12/18	31/12/18
PROFIT AND LOSS AGGREGATES							
Net interest income		989.2	7.5	565.2	51.5	129.5	1,742.8
Net fee and commission income		1,240.1	115.1	310.5	17.1	(159.4)	1,523.3
Other income		5.9	0.4	(18.5)	(0.1)	73.6	61.3
Other operating expenses/income		13.3	0.4	(17.1)	(0.4)	(36.1)	(39.9)
Total Income		2,248.5	123.3	840.2	68.0	7.5	3,287.5
Operating expenses		(1,709.2)	(103.2)	(495.6)	(61.9)	19.0	(2,350.7)
Pre Provision Profit		539.3	20.2	344.7	6.2	26.5	936.8
Net impairment losses (reversals) on loans and financial assets		(248.2)	(4.5)	(385.0)	(0.6)	13.8	(624.6)
Net Operating Income		291.1	15.6	(40.3)	5.5	40.3	312.2
BALANCE SHEET AGGREGATES							
Interest-bearing loans to customers		39,915	535	32,963	472	10,011	83,896
Deposits from customers and debt securities issued(*)		39,703	3,178	18,399	2,749	26,443	90,472

N.B.: The Group has elected not to restate comparative data on a consistent basis in the year of initial application of IFRS 16.

(*) The values stated in the Sales & Distribution segments are gross interest-bearing loans and therefore do not include the allowance for impairment.



Part M – Leasing Information

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Section 1 - Lessee

Qualitative Information

In the capacity of lessee, the Parent Company stipulates leasing agreements of properties to be primarily used for business. Therefore, these leases of properties are used by the branches and as spaces intended to accommodate ATMs or internal offices.

The leasing activity also includes the stipulation of leasing agreements related to properties for residential use for employees who transfer to other work locations. The flats are subsequently subject to sub-lease agreements between the Parent Company and the employees, considered out-of-scope of the standard.

In reality, the leasing activities of the Parent Company is related to the need to relocate branches and offices. Particular attention is paid to the identification of the properties that are more suitable for the intended use, in line with the cost effectiveness criteria set forth by the company.

The contracts, executed in the capacity of lessee, outstanding at 31 December 2019, were 1,300.

Within the scope of negotiations prior to the execution of new leasing contracts, the Parent Company has undertaken commitments regarding the location of some properties to be used for ATMs.

The Group companies undertake the role of lessee primarily in the leasing contracts of properties hosting their offices. These contracts were originally executed with the company Perimetro, incorporated into the Parent Company during the year.

The following specificities apply to the companies of the Group:

- Widiba executes leasing contracts concerning properties to be used for business (e.g., financial shops, spaces used for offices) and residential use, as in the case of flats sub-leased to employees who have transferred to other business locations. As for the Parent Company, the execution of new contracts is necessary in the case of relocations. Currently, the subsidiary, as a lessee, has 117 contracts, for business use, and 13 contracts for hospitality purposes.
- MPS CS executes leasing contracts concerning properties for business and residential use; in the latter case, they are flats sub-leased to employees who have transferred to other business locations. As at 31 December 2019, the subsidiary is the lessee of 8 contracts, for business use, and of 33 contracts for hospitality purposes. During the year, 8 contracts, in the lessee role, were terminated;
- The Consorzio Operativo di Gruppo MPS has an outstanding leasing contract, as a lessee, for infrastructural (mainframe) services in addition to leasing contracts for properties to be used for business;
- MPS L&F executes leasing contracts for properties for residential use for its own employees and for employees of other companies of the Group. As at 31 December 2019, the company, as a lessee, had 5 leasing contracts for business use, 2 of which will be terminated shortly.

Contracts relating to automobiles mainly refer to long-term leases of office cars and cars given as a fringe benefit to employees.

The Group is not exposed to cash outflows that are not already reflected in the measurement under liabilities of the leasing. In detail, the exposures deriving from extension options are recorded under liabilities for the leases recognised in the financial statements, since the Group considers as certain the first renewal; the other cases referred to in the accounting standard (variable payments tied to the leasing, guarantees of the residual value, commitments on leasing not yet operational) are not present as regards the contracts executed in the capacity of lessee.

The Parent Company and the Group companies recognise as costs:

- short-term leases in the case of assets such as properties and technologies (in particular in reference with the mainframe hardware module) when the related contracts have a maximum term of twelve months and do not provide for any extension options.
- the leasing of assets of a modest value, i.e. characterised by a value that is under five thousand euro, related mainly to cell phones.



Quantitative Information

The following table shows amortisation costs for the assets with right of use, broken down by the underlying asset class.

	31 12 2019
Amortization costs on Right of Use acquired through leasing	53,885
a) Land	-
b) Buildings	51,020
c) Furniture and Furnishings	-
d) Electronic systems	1,750
e) Other	1,115

Section 2 - Lessor

Bank and companies of the Group in the capacity as Lessor

Qualitative Information

The Parent Company executes, in its capacity as the lessor, leasing contracts of properties for business and residential use.

The properties for business use are leased to both third parties and to intra-group companies. In the latter case, the properties and spaces occupied by the administrative offices of the companies of the Group are the subject matter of these contracts.

As regards the properties for residential use, these are primarily owned flats leased to third parties.

The contracts for residential use have generally a duration of 4+4 years, the ones for business use a duration of 6+6 years.

The leasing contracts executed as lessor, as at 31 December 2019, are approximately 250 and are protected by a deposit paid by the lessee, as set forth in the applicable laws. This amount can be used to repair any damage that the tenant may cause.

In addition to this, the Parent Company does not apply any specific contractual clause regarding the management of any risk associated with the rights held on the underlying assets.

MPS Leasing & Factoring S.p.A. is the company of the Group that carries out marketing activities on financial leasing in the capacity of lessor. The Company operates in the market by executing contracts intended for the most part to companies and offering products from the real estate, business, vehicles, energy and aircraft sectors.

In carrying out its activities, it avails itself of the Banca MPS and single-firm agents.

At 31 December 2019, MPS Leasing & Factoring S.p.A. had in its portfolio about 30,500 contracts for a gross value of EUR 3,934.7 mln, of which EUR 2,325.5 mln in the real estate leasing sector (6,240 contracts), EUR 889.0 mln in the business segment (13,600 contracts), EUR 257.4 mln in the vehicle sector (9,500 contracts), EUR 369.0 mln in the energy sector (725 contracts) and EUR 93.8 mln in the aircraft sector (430 contracts). The value of the leasing contracts executed during the year amounted to EUR 698 mln (3,437 contracts), up by 7.3% compared with the previous year. The trend by segment of the subsidiary in terms of volume, shows a growth compared with the previous year for the real estate sector (+35.9%; +68 mln) while the business sector declined by 6.4% and the vehicle sector by -5.8%, showing a good performance compared with the market.

Financial leasing contracts, executed with customers, allow for a risk management on the underlying assets in line with the policies of the Group but they do not provide for repurchase agreements, guarantees on the residual value or variable payments. The Company recognises financial leasing in compliance with the accounting standard IFRS 16 and classifies the transactions under financial assets measured at amortised cost.

The other companies of the Group do not have outstanding contracts in the capacity of Lessor.



Quantitative Information

1. Information on the balance sheet and income statement

For information on loans for leasing and assets transferred under operating leasing, see tables 4.2, 9.1 and 9.6 of Section 4 and Section 9, Part B, Assets; for the information on interest income on loans for leasing and on other income from financial and business leasing, see tables 1.1 and 16.2 respectively in Section 1 and in Section 16, Part C.

2. Financial leasing

2.1 Classification by time bands of payments to be received and reconciliation with the loans for leasing recognised under assets

Time	31 12 2019 Total lease payments receivable
Up to 1 year	787,721
from 1 to 2 years	577,258
from 2 to 3 years	506,899
from 3 to 4 years	397,912
from 4 to 5 years	297,394
over 5 years	1,403,667
Total lease payments receivable	3,970,851
RECONCILIATION WITH INVESTMENTS	3,970,851
Deferred financial income	445,527
Unguaranteed residual values	553,316
Lease investments	2,972,008

The table shows the classification by time bands of payments to be received for leasing and the reconciliation between the payments to be received and the loans for leasing referring to MPS L&F in the capacity of lessor. The amounts are not actualised (IFRS 16.94).

The table does not show the amount of value adjustments referring to the loans for leasing, in the amount of EUR 585.95 mln, and the amount of explicit credits for EUR 580.97 mln.

2.2 Other information

No other information to report.



3. Operating leasing

3.1 Classification by time bands of payments to be received

Time bands	year	31 12 2019 Total lease payments receivable (excluding VAT)
Up to 1 year	2020	10,113
from 1 to 2 years	2021	10,052
from 2 to 3 years	2022	9,228
from 3 to 4 years	2023	7,851
from 4 to 5 years	2024	7,721
over 5 years	starting from 2025	23,083
Total		68,048

The table shows the classification by time bands of payments to be received for the leasing by the Parent Company (IFRS 16.97). The amount of payments shown are not actualised.

MPS Leasing & Factoring S.p.A. is not currently active in the operating leasing market.

The other companies of the Group do not have outstanding contracts in the capacity of Lessor.

3.2 Other information

No other information to report.



Public disclosure pursuant to art. 89 - Communication by country - of Directive 2013/36/EU ("CRD IV")

From the 4th update of the Bank of Italy Circular no. 285/2013, Part One (Title III, Chapter 2) the public disclosure set out in art. 89 - Communication by country - of Directive 2013/36/EU ("CRD IV") is transposed into the Italian legal framework and introduces the obligation to disclose information concerning banking activities, subdivided by country where each bank is based; the disclosure is to be provided in the financial statements or posted on the entity's website.

In particular, the Parent Companies of banking groups are required to provide on a consolidated basis the following information, subdivided by country:

- a) Names of the companies based in the country and nature of the business
- b) Turnover
- c) Number of Full-time equivalent employees
- d) Profit or loss before tax
- e) Tax on profit or loss
- f) Public subsidies received

The tables below present the required information for the Group, with reference to the situation as at 31 December 2019.

The term "Turnover" refers to the total banking income as recorded in item 120 of the consolidated income statement.

The term "Number of full-time equivalent employees" refers to an average number representing the ratio between the total number of hours worked by all employees, excluding overtime, and the total annual number of hours contractually required of full-time employees.

"Profit or loss before tax" means the sum of items 290 and 320 (the latter net of taxes) of the consolidated income statement.

"Tax on profit or loss" means the sum of taxes recorded in item 300 of the consolidated income statement and income taxes on groups of assets held for sale.

The item "Public subsidies received" should indicate any grants received directly from the public administrations. This item does not include transactions performed by central banks for purposes of financial stability or transactions carried out to facilitate the monetary policy transmission mechanism. Similarly, transactions included in government aid schemes approved by the European Commission should not be taken into consideration.



						31.12.2019
Country	Turnover (€/1000)	Number of FTEs	Profit or loss before tax (€/1000)	Tax on profit or loss (€/000)	Public subsidies received (€/000)	
Algeria	-	1	-	-	-	
Belgium	2,038	-	(4,276)	-	-	
China	2,245	24	335	120	-	
Egypt	-	4	-	-	-	
France	33,000	175	(1,223)	(357)	-	
Germany	-	1	-	-	-	
India	-	1	-	-	-	
Italy	3,163,674	21,196	(84,469)	(1,091,266)	334	
Luxembourg	50	-	(172)	-	-	
Morocco	-	3	-	-	-	
Russia	-	3	-	-	-	
Tunisia	-	2	-	-	-	
Turkey	-	3	-	-	-	
U.S.A.	57	9	(3,326)	-	-	
Total Group companies	3,201,064	21,420	(93,131)	(1,091,503)	334	
Companies under significant influence valued at equity	-	-	20,507	-	-	
Consolidation adjustments	(796)	-	108,155	22,830	(334)	
Total Montepaschi's Group	3,200,268	21,420	35,531	(1,068,673)	-	

For the United States, to be noted is that in 2019 the subsidiary of New York was closed and the Delaware vehicles were liquidated.

As regards Belgium, it must be noted that on 14 June 2019, the sale of Monte Paschi Belgio S.A was concluded to an investee of funds managed by Warburg Pincus. The agreement had already been announced to the market in October 2018 and was concluded in June 2019 after the acquisition was approved by the European Central Bank.

To be noted is that the subsidiary MPS TENIMENTI POGGIO BONELLI AND CHIGI SARACINI SOCIETA' AGRICOLA S.p.A. has received EUR 0.3 mln in 2019 as assistance, contributions and bonuses to support agricultural production in EU countries.



List of Montepaschi Group companies by location and business type

Country	Company name	type of business	
Algeria	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Algeria
Belgium	BANCA MONTE P ASCHIBELGIO S.A.	Retail & Corporate banking service	Retail & Corporate banking service
China	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Shanghai and Hong Kong branches, representative office in Guangzhou and Beijing
Wgypt	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Cairo
France	MONTE PASCHIBANQUE S.A.	Retail & Corporate banking service	
Germany	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Frankfurt
India	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Mumbai
Italy	AIACE REOCO S.r.l.	Real Estate	
Italy	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	
Italy	CASAFORTE S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	CIRENE FINANCE S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	CONSORZIO OPERATIVO GRUPPO MONTEPASCHI	IT Services	
Italy	CONSUM.IT SECURITISATION S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	ENEA REOCO S.r.l.	Real Estate	
Italy	G.MM ASTOR S.r.l.	Real Estate Leasing	
Italy	MAGAZZINIGENERALIFIDUCIARIDI MANTOVA S.p.a.	Warehousing	
Italy	MONTE PASCHIFIDUCIARIA S.p.a.	Trust management	
Italy	MPS CAPITAL SERVICES BANCA PER LE IMPRESE S.p.a.	Retail & Corporate banking service	
Italy	MPS TENIMENTI OGGIO BONELLIE CHIGI SARACINISOCIETA' AGRICOLA S.p.a.	Winery	
Italy	MPS COVERED BOND 2 S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS COVERED BOND S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	MPS LEASING & FACTORING BANCA PER I SERVIZI FINANZIARI	Retail & Corporate banking service	Leasing e factoring
Italy	PERIMETRO GESTIONIPROPRIETA' IMMOBILIARIS.c.p.a.	Real Estate	
Italy	SIENA CONSUMER 2015 S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA CONSUMER S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 10-7 S.r.l.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA LEASE 2016 2 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 07-5 S.p.a.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA MORTGAGES 09-6 S.R.L.	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA PMI2015 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	SIENA PMI2016 SRL	Financial services for business	Special Purpose Entity (SPE)
Italy	WISE DIALOG BANKS.p.a. - WIDIBA	Retail & Corporate banking service	On-line Bank
Luxembourg	MONTEPASCHILUXEMBOURG S.A.	Financial services for business	Special Purpose Entity (SPE)
Morocco	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Casablanca
Russia	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Moscow
Tunisia	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Instabul
Turkey	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	Representative office in Instabul
U.S.A.	ANTONVENETA CAPITAL LLC. I	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	ANTONVENETA CAPITAL LLC. II	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	ANTONVENETA CAPITAL TRUST II	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	ANTONVENETA CAPITAL TRUST I	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	BANCA MONTE DEIP ASCHIDISIENA S.p.a.	Retail & Corporate banking service	New York branch
U.S.A.	MPS CAPITAL TRUST I	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	MPS CAPITAL TRUST II	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	MPS PREFERRED CAPITAL I LLC	Financial services for business	Special Purpose Entity (SPE)
U.S.A.	MPS PREFERRED CAPITAL II LLC	Financial services for business	Special Purpose Entity (SPE)



CERTIFICATION OF THE CONSOLIDATED FINANCIAL STATEMENTS PURSUANT TO ART. 81-TER OF CONSOB REGULATION NO. 11971 OF 14 MAY 1999, AS SUBSEQUENTLY AMENDED AND SUPPLEMENTED

1. The undersigned, Stefania Bariatti, as Chairman of the Board of Directors, and Nicola Massimo Clarelli, as Financial Reporting Officer, of Banca Monte dei Paschi di Siena S.p.A., having regard to article 154-bis, paragraphs 3 and 4 of Italian Legislative Decree no. 58 of 24 February 1998, do hereby certify the:
 - appropriateness with respect to the company's profile, and
 - effective application of administrative and accounting procedures used in the preparation of the consolidated financial statements for fiscal year 2019.
2. The verification of the adequacy and effective application of administrative and accounting procedures for the preparation of the consolidated financial statements during 2019 was based on methods defined by the MPS Group in line with the COSO model, and for the IT component, COBIT, which constitute the reference framework for the internal control system generally accepted internationally.
3. It is also certified that:
 - 3.1 the consolidated financial statements:
 - were prepared in accordance with the international accounting standards recognised by the European Union pursuant to European Parliament and Council Regulation No. 1606/2002 of 19 July 2002;
 - are consistent with the underlying documentary evidence and accounting records;
 - are suitable to provide a true and fair representation of the capital, economic and financial situation of the issuer and group of companies included within the scope of consolidation.
 - 3.2 the Report on Operations includes a reliable analysis of the trends and results of operations as well as of the position of the issuer and of all entities included within the scope of consolidation, together with a description of the main risks and uncertainties they are exposed to.

Siena, 25 February 2020

Signed by
On behalf of the Board of Directors
The Chairman
Stefania Bariatti

Signed by
The Financial Reporting
Officer
Nicola Massimo Clarelli



Independent Auditors' report

Independent auditor's report
in accordance with article 14 of Legislative Decree n. 39, dated
January 27, 2010 and article 10 of EU Regulation n. 537/2014
(Translation from the original Italian text)

To the Shareholders of
Banca Monte dei Paschi di Siena S.p.A.

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Monte dei Paschi di Siena Group (the "Group"), which comprise the balance sheet as at December 31, 2019, the income statement, the statement of comprehensive income, the statement of changes in equity, the cash flows statement for the year then ended and the notes to the consolidated financial statements.

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at December 31, 2019 and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted by the European Union as well as with the regulations issued for implementing art. 9 of Legislative Decree n. 38, dated February 28, 2005 and art. 43 of Legislative Decree n. 136, dated August 18, 2015.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA Italia). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Banca Monte dei Paschi di Siena S.p.A. (the "Bank" or the "Parent Company") in accordance with the regulations and standards on ethics and independence applicable to audits of financial statements under Italian Law. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of matter

We draw attention to the matters described by the directors in relation to the implementation of the actions envisaged in the 2017–2021 Restructuring Plan and the updated 2020 – 2024 management projections related to the Group's forecasted income statement and balance sheet, included in the report on operations and in the paragraph "Going concern" of the notes to the financial statements. Our opinion is not modified in respect of these matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We identified the following key audit matters:

Key Audit Matters	Audit Responses
Classification and valuation of loans to customers Loans to customers measured at amortised cost, the amount of which is shown in item 40 b) of the balance sheet, represent, as at 31 December 31, 2019, the 67% of the total assets. The process of classifying loans to customers in the various risk categories and measuring them is relevant for the audit because the value of loans is significant for the financial statements as a whole and because the value of the related impairment losses is determined by the directors through the use of estimates that have a high degree of subjectivity. Among these, the following are particularly relevant: - the identification of evidence of impairment of the loans, the recoverable amount of the collateral acquired, the determination of expected cash flows and their timing of collection, the costs expected to be incurred for the collection of the loans; - as regards to the statistical evaluations: the definition of homogeneous loan categories in terms of credit risk, the determination of the probability of default ("PD") and the related estimated loss (Loss Given Default - "LGD"), based on historical data observation for each risk class and on forward looking information, including macroeconomic factors; - The determination of the parameters of significant increase in credit risk for the classification into the different stages. Information on the classification and measurement of loans to customers is provided by the directors within the Part A – Accounting policies, the Part B – Information on the Balance Sheet – section 4 - Financial assets measured at amortised cost, the Part C – Information on the consolidated income statement – section 8.1 - Net impairment (losses)/reversal for credit risk on financial assets measured at amortised cost and the Part E – Information on risks and hedging policies – paragraph 1.1 "Credit Risk", of the notes to the financial statements.	In relation to these aspects, our audit procedures, performed also with the support of our risk management and information systems experts, included, among other: - understanding of the policies, processes and controls implemented by the Group in relation to the classification and measurement of loans to customers and performing compliance procedures on the key controls, including those relating to IT; - performing substantive procedures to verify the correct classification and measurement of credit positions and securities included in the loans to customer; - understanding of the methodology used in relation to statistical evaluations and the reasonableness of the assumptions adopted also to consider the forward looking information in the parameter of PD, LGD and Exposure at Default ("EAD) as well as performing test of controls and substantive procedures, to verify the accuracy of the determination of the PD, LGD and EAD parameters, relevant for the purpose of determining the impairment losses; - performing comparative analysis of loans to customers and related coverage levels, and analysis of the most significant deviations; - analysis of the disposals occurred in the year, also through securitization transactions, and of the related assumption for the derecognition; - analysis of the adequacy of the disclosure provided in the notes to the financial statements.

Key Audit Matters	Audit Responses
Recoverability of deferred tax assets As at December 31, 2019, the Group recorded under item 110 of the balance sheet "Tax assets" Euro 833 million of deferred tax assets ("DTA") attributable to tax losses and other deductible temporary differences, the recoverability of which depends on the availability of future taxable income. The valuation of the recoverability these assets (known as "probability test", required by the international accounting standard IAS 12) is a relevant matter for the audit because their value is significant to the financial statements as a whole, and because the valuation is based on a model that provides for the use of assumptions and estimates that have a high degree of subjectivity. Among these, particularly relevant are those related to: • estimation of taxable income, which is presumed to occur during the time period considered for the recovery of the DTAs, on the basis of the 2020 – 2024 management projection related to the Group's forecasted income statement and balance sheet and the additional assumptions in relation to their projection in the future, the growth rates used and the probability of occurrence of the same; • length of the foreseeable time frame for the recovery of the DTAs; • correct interpretation of the applicable tax legislation. The disclosure of the assessments made by directors in relation to the recoverability of deferred tax assets is included in the Part A – Accounting policies, in the Part B – Information on the Balance Sheet – section 11 - Tax asset and liabilities and in the Part C – Information on the consolidated income statement – section 21 - Tax (expense)/recovery on income from continuing operations, of the notes to the financial statements.	In relation to these matters, our audit procedures included, among other: • understanding of the Group's policy, process and controls in relation to the assessment of the recoverability of the DTAs; • analysis, also with the support of our experts in business valuations, of the 2020 – 2024 management projection related to the Group's forecasted income statement and balance sheet and of the additional assumptions used for the purpose of estimating the results useful for the determination of taxable income; • analysis, also with the support of our tax experts, of the reasonableness of the assumptions and the parameters used for the development of the probability test based on the tax legislation applicable to the different types of temporary deductible differences; • performing substantive procedures on the completeness and accuracy of the data used to determine the future taxable income included in the probability test; • analysis of the adequacy of the disclosure provided in the notes to the financial statements.

Key Audit Matters	Audit Responses
Evaluation of legal risks The legal risks assessment process, carried out by the Group with the support of its legal advisors and other external experts, is a relevant aspect for the audit because of their significant value and because the estimate of the related charges requires the directors to make use of estimates that present a high degree of subjectivity. Information regarding significant litigations in which the Group is involved and other legal risks are provided by the directors in the Part B – Information on the Balance Sheet – section 10 - Provisions for risks and charges, in the Part C – Information on the consolidated income statement – section 13 - Net provisions for risks and charges and in the Part E – Information on risks and hedging policies, of the notes to the financial statements.	In relation to these matters, our audit procedures included, among other: • understanding of the Group's policies, process and controls in relation to the assessment of legal and litigation risks; • obtaining written confirmation from the Group's legal advisors, of their assessment of the evolution of existing disputes and the risk of losing the case; • analysis, also with the support of our legal experts, of the reasonableness of the assumptions used to estimate the provisions made as well as the conclusion reported in the opinion and analysis prepared by the experts engaged by the directors; • performing substantive procedures on the completeness and accuracy of the data used to determine the provisions for risks; • analysis of the adequacy of the disclosure provided in the notes to the financial statements.

Responsibilities of directors and Those Charged with Governance for the Consolidated Financial Statements

The directors are responsible for the preparation of the consolidated financial statements that give a true and fair view in accordance with International Financial Reporting Standards as adopted by the European Union and with the regulations issued for implementing art. 9 of Legislative Decree n. 38, dated February 28, 2005 and art. 43 of Legislative Decree n. 136, dated August 18, 2015, and, within the terms provided by the law, for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless they either intend to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

The statutory audit committee ("Collegio Sindacale") is responsible, within the terms provided by the law, for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with International Standards on Auditing (ISA Italia) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with International Standards on Auditing (ISA Italia), we have exercised professional judgment and maintained professional skepticism throughout the audit. In addition:

- we have identified and assessed the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, have designed and performed audit procedures responsive to those risks, have obtained audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- we have obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control;
- we have evaluated the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors;
- we have concluded on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern;
- we have evaluated the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation;
- we have obtained sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We have communicated with those charged with governance, identified at an appropriate level as required by ISA Italia, regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We have provided those charged with governance with a statement that we have complied with the ethical and independence requirements applicable in Italy, and we have communicated with them all matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we have determined those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We have described these matters in our auditor's report.

Additional information pursuant to article 10 of EU Regulation n. 537/14

The shareholders of Banca Monte dei Paschi di Siena S.p.A., in the general meeting held on April 21, 2011, engaged us to perform the audits of the consolidated financial statements of each year ending from December 31, 2011 to December 31, 2019.

We declare that we have not provided prohibited non-audit services, referred to article 5, par. 1, of EU Regulation n. 537/2014, and that we have remained independent of the Group in conducting the audit.

We confirm that the opinion on the consolidated financial statements included in this report is consistent with the content of the additional report to the audit committee (Collegio Sindacale) in their capacity as audit committee, prepared in accordance with article 11 of the EU Regulation n. 537/2014.

Report on compliance with other legal and regulatory requirements

Opinion pursuant to article 14, paragraph 2, subparagraph e), of Legislative Decree n. 39 dated January 27, 2010 and of article 123-bis, paragraph 4, of Legislative Decree n. 58, dated February 24, 1998

The directors of Banca Monte dei Paschi di Siena S.p.A. are responsible for the preparation of the report on operations and of the Report on Corporate Governance and Ownership Structure of Monte dei Paschi di Siena Group as at December 31, 2019, including their consistency with the related consolidated financial statements and their compliance with the applicable laws and regulations.

We have performed the procedures required under audit standard SA Italia n. 720B, in order to express an opinion on the consistency of the report on operations and of specific information included in the Report on Corporate Governance and Ownership Structure as provided for by article 123-bis, paragraph 4, of Legislative Decree n. 58, dated February 24, 1998, with the consolidated financial statements of Monte dei Paschi di Siena Group as at December 31, 2019 and on their compliance with the applicable laws and regulations, and in order to assess whether they contain material misstatements.

In our opinion, the report on operations and the above mentioned specific information included in the Report on Corporate Governance and Ownership Structure are consistent with the consolidated financial statements of Monte dei Paschi di Siena Group as at December 31, 2019 and comply with the applicable laws and regulations.

With reference to the statement required by art. 14, paragraph 2, subparagraph e), of Legislative Decree n. 39, dated January 27, 2010, based on our knowledge and understanding of the entity and its environment obtained through our audit, we have no matters to report.

Statement pursuant to article 4 of Consob Regulation implementing Legislative Decree n. 254, dated December 30, 2016

The directors of Banca Monte dei Paschi di Siena S.p.A. are responsible for the preparation of the non-financial information pursuant to Legislative Decree n. 254, dated December 30, 2016. We have verified that non-financial information have been approved by the directors.

Pursuant to article 3, paragraph 10, of Legislative Decree n. 254, dated December 30, 2016, such non-financial information are subject to a separate compliance report signed by us.

Rome, March 12, 2020

EY S.p.A.

Signed by: Francesco Chiulli, Auditor

This report has been translated into English language solely for the convenience of international readers.



Annexes

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Disclosure of independent auditors' fees

Pursuant the provisions of art.149 duodecies of Consob Issuers' Regulation, the table below shows all payments made to the Auditors, EY SpA, and to others forming part of its network, broken down by type of service provided.

31 12 2019		
Type of services	Service provider	Total
Auditing	EY S.p.a.	1,860
Other attest services	EY S.p.a.	1,000
Other services	Ernst & Young Financial Business Advisory S.p.a.	903
Total		3,763

Amounts are exclusive of V.A.T., ancillary expenses and Consob charges.



PENSION FUNDS – Defined benefit pension funds without plan assets

“Supplementary Pension Fund for personnel of former Tax Collection Agencies”

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	19,060,667
Increases	1,131,633
- provisions for the year	128,489
- Other	1,003,144
Decreases	1,685,407
- Benefit paid	1,685,407
- Other	-
Closing balance as at 31 12 2019	18,506,892

“Supplementary Pension Fund for personnel of former Banca Operaia di Bologna”

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	5,588,941
Increases	490,695
- provisions for the year	58,089
- Other	432,606
Decreases	386,505
- Benefit paid	386,505
- Other	-
Closing balance as at 31 12 2019	5,693,131

“Supplementary Pension Fund for personnel of former Banca di Credito Popolare e Cooperativo di Reggio Emilia”

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	640,726
Increases	52,140
- provisions for the year	6,214
- Other	45,926
Decreases	38,684
- Benefit paid	38,684
- Other	-
Closing balance as at 31 12 2019	654,182

**“Supplementary Pension Fund for personnel of former Banca Popolare Veneta”**

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	919,546
Increases	94,585
- provisions for the year	1,635
- Other	92,950
Decreases	166,126
- Benefit paid	166,126
- Other	-
Closing balance as at 31 12 2019	848,005

Obligation for “Supplementary Pension Fund for personnel of former General Managers”

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	2,981,022
Increases	24,273
- provisions for the year	24,273
- Other	-
Decreases	315,052
- Benefit paid	250,429
- Other	64,623
Closing balance as at 31 12 2019	2,690,243

“Supplementary Pension Fund for personnel of former MPS Capital Services Banca per le Imprese S.p.A.”

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	4,107,980
Increases	436,242
- provisions for the year	20,048
- Other	416,194
Decreases	505,188
- Benefit paid	505,188
- Other	-
Closing balance as at 31 12 2019	4,039,034



“Supplementary Pension Fund for personnel of former Credito Lombardo”

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	2,689,431
Increases	194,912
- provisions for the year	18,086
- Other	176,826
Decreases	250,180
- Benefit paid	250,180
- Other	-
Closing balance as at 31 12 2019	2,634,163

“Supplementary Pension Fund for personnel of former Banca Toscana”

Accounting statement as at 31 12 2019	(in units of Eur)
Opening balance as at 01 01 2019	457,495
Increases	-
- provisions for the year	-
- Other	-
Decreases	-
- Benefit paid	-
- Other	-
Closing balance as at 31 12 2019	457,495



PENSION FUNDS – Defined benefit and defined contribution pension funds with plan assets

“Supplementary Pension Fund for personnel of former BNA” – Defined benefit section

BALANCE SHEET

		(in units of Eur)		
	Assets	31 12 2019	31 12 2018	Changes
10	Direct investments	23,099,670	23,249,460	(149,790)
	a) Deposits	389,792	453,856	(64,064)
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	22,605,858	22,633,989	(28,131)
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	104,020	161,615	(57,595)
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	-	-	-
	TOTAL ASSETS	23,099,670	23,249,460	(149,790)
	Liabilities	31 12 2019	31 12 2018	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	101,960	-	101,960
	b) tax payables for current period	(18,863)	-	(18,863)
	a) tax credit for prior period	120,823	-	120,823
	TOTAL LIABILITIES	101,960	-	101,960
100	Net assets available for payment of benefits	22,997,710	23,249,460	(251,750)
	Net assets available for payment of benefits in previous year	23,268,322	24,581,812	(1,313,490)
	Changes in net assets available payment of benefits	(270,612)	(1,332,353)	1,061,740



INCOME STATEMENT

(in units of Eur)

	31 12 2019	31 12 2018	Changes
10 Balance of social security management	(1,116,371)	(1,181,452)	(65,081)
a) Contributions for benefits	-	-	-
b) Advances	-	-	-
c) Transfers and redemptions	-	-	-
d) Transfers to annuities	-	-	-
e) Payments in capital	-	-	-
f) Premiums for additional benefits	-	-	-
g) Payments in annuities	(1,116,371)	(1,181,452)	(65,081)
h) Other payments	-	-	-
20 Profit (loss) from direct financial activities	966,581	(150,901)	(1,117,482)
a) Interest and profit on bonds and government securities	388,448	539,222	150,773
b) Interest on cash equivalents	-	-	-
c) Profits and losses from financial transactions	578,132	(690,122)	(1,268,255)
d) Interest (expense) from repo transactions	-	-	-
e) Pension fund profit guarantee difference	-	-	-
f) Contingent assets	-	-	-
g) Forfeitures charged to the participants	-	-	-
h) Kickbacks from UCITS	-	-	-
i) Commission expense	-	-	-
30 Profit (loss) from indirect financial activities	-	-	-
40 Operating expenses	-	-	-
a) Management companies	-	-	-
b) Custodian bank	-	-	-
c) Insurance policy	-	-	-
d) "State supervision" contribution	-	-	-
50 Financial and insurance income (loss) (20+30+40)	966,581	(150,901)	(1,117,482)
60 Balance from administrative activities	-	-	-
a) General and administrative expenses	-	-	-
70 Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(149,790)	(1,332,353)	(1,182,563)
80 Substitute tax	(120,823)	18,863	139,685
Changes in net assets available for payment of benefits (70+80)	(270,612)	(1,313,490)	(1,042,878)



“Supplementary Pension Fund for personnel of former Banca Toscana” - Defined benefit section

BALANCE SHEET

		(in units of Eur)		
Assets		31 12 2019	31 12 2018	Changes
10	Direct investments	83,209,339	90,575,648	7,366,309
	a) Deposits	79,751,384	87,077,605	7,326,222
	b) Receivables from repo transactions	-	-	-
	c) Securities issued by Governments and other international institutions	-	-	-
	d) Listed debt securities	3,394,783	3,434,698	39,915
	e) Listed equity securities	-	-	-
	f) Unlisted debt securities	-	-	-
	g) Unlisted equity securities	-	-	-
	h) Units of UCITS	-	-	-
	i) Options purchased	-	-	-
	l) Accrued income and prepayments	63,172	63,345	173
	m) Profit guarantees released to pension fund	-	-	-
	n) Other assets from financial activities	-	-	-
	o) Accrued income not yet received	-	-	-
20	Managed investments	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Assets from administrative activities	-	-	-
50	Tax receivables	-	-	-
	TOTAL ASSETS	83,209,339	90,575,648	7,366,309
Liabilities		31 12 2017	31 12 2018	Changes
10	Liabilities from social security	-	-	-
20	Liabilities from financial activities	-	-	-
30	Profit guarantees on individual accounts	-	-	-
40	Liabilities from administrative activities	-	-	-
50	Tax payables	-	-	-
	TOTAL LIABILITIES	-	-	-
100	Net assets available for payment of benefits	83,209,339	90,575,648	7,366,309
	Net assets available for payment of benefits in previous year	90,575,648	97,476,737	6,901,089
	Changes in net assets available payment of benefits	(7,366,309)	(6,901,089)	465,220



INCOME STATEMENT

(in units of Eur)

	31 12 2019	31 12 2018	Changes
10 Balance of social security management	(7,453,260)	(7,912,196)	(458,936)
a) Contributions for benefits	-	-	-
b) Advances	-	-	-
c) Transfers and redemptions	-	-	-
d) Transfers to annuities	-	-	-
e) Payments in capital	-	-	-
f) Premiums for additional benefits	-	-	-
g) Payments in annuities	(7,472,328)	(7,912,196)	(439,867)
h) Other payments	-	-	-
20 Profit (loss) from direct financial activities	86,951	1,011,107	924,156
a) Interest and profit on bonds and government securities	126,865	334,555	207,690
b) Interest on cash equivalents	-	-	-
c) Profits and losses from financial transactions	(39,915)	676,551	716,466
d) Interest (expense) from repo transactions	-	-	-
e) Pension fund profit guarantee difference	-	-	-
f) Contingent assets	-	-	-
g) Forfeitures charged to the participants	-	-	-
h) Kickbacks from UCITS	-	-	-
i) Commission expense	-	-	-
30 Profit (loss) from indirect financial activities	-	-	-
40 Operating expenses	-	-	-
a) Management companies	-	-	-
b) Custodian bank	-	-	-
c) Insurance policy	-	-	-
d) "State supervision" contribution	-	-	-
50 Financial and insurance income (loss) (20+30+40)	86,951	1,011,107	924,156
60 Balance from administrative activities	-	-	-
a) General and administrative expenses	-	-	-
70 Changes in net assets available for payment of benefits before substitute tax (10+50+60)	(7,366,309)	(6,901,089)	465,220
80 Substitute tax	-	-	-
Changes in net assets available for payment of benefits (70+80)	(7,366,309)	(6,901,089)	465,220